ISBN: 979-8-218-96493-1

DISCLAIMER: The information provided in this book is intended for informational purposes only and should not be construed as legal, financial, or professional advice. The views expressed herein are those of the author alone and may not reflect those of any organization or entity with which the author is affiliated. While every effort has been made to ensure the accuracy of the information presented, the author and publisher make no representation or warranties with respect to the accuracy, applicability, fitness, or completeness of the book's contents. The author shall not be liable nor responsible for any loss or damage allegedly arising from any information or suggestion within this book. The reader is responsible for performing their own due diligence and should seek the advice of qualified professionals before making any decisions related to the content of this book.

Copyright © 2023. Published by Winning By Design, LLC, a Delaware Company. All rights reserved as permitted under the United States Copyright Act of 1976. No part of this book may be reproduced, used, or distributed in any form or by any means, without expressed written consent of the publisher. For permissions or other inquiries, please contact us at Info@WinningByDesign.com. The contents of this book were created in the United States of America.

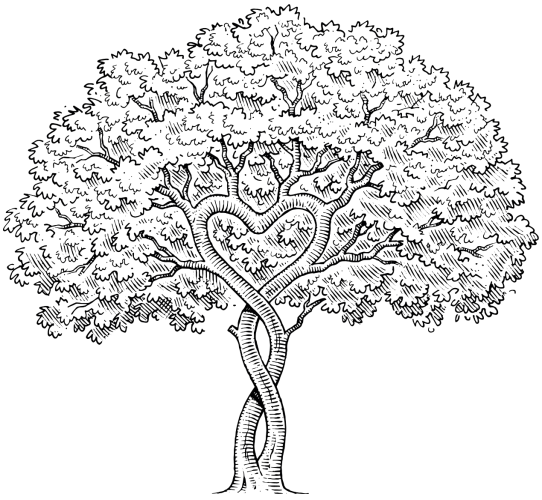
First Edition, revision 1.4, April 4, 2024

Unless otherwise stated, all graphs and visual aids included in this book were designed and produced by Winning by Design Creative. Special thanks to Roee Hartuv, Dan Smith, Jackie Kummerl, Oren Lavi, Alex Esser, Dominique Levin, Dave Boyce, Calvin Boyce, David Spitz, and Sari Green for their hard work, input, and guidance.

To our readers, thank you for embarking on this journey with us. We hope the insights and strategies shared in these pages empower you to achieve new heights in your business.

REVENUE

ARCHITECTURE



To Maureen, the love of my life,

We are like two trees, each standing tall and independent. Our roots dig deep, anchoring us with stability, while our branches stretch upward toward the light. As the seasons of life ebb and flow, our branches increasingly find themselves entwined, and our leaves whisper secrets carried by the wind.

Though we started as two individual trees, we've each given a little and leaned in, creating a single, magnificent canopy together. Beneath it, we've raised a family, offered shelter to loved ones, and opened our arms to those in need. We've weathered many storms and basked in abundant sunshine, each event leaving a ring in our trunks and adding a chapter to our story.

In the grand forest of life, we're often seen as a single tree, stronger together than we ever could have been apart.

PREFACE

The launch of a recurring revenue business and its journey to become a public company are often likened to a rocket launching into space to explore new worlds.

Imagine sitting in the capsule of that rocket, eyes gleaming with excitement, feeling the adrenaline rush through your body as you prepare to break speed barriers with hopes of reaching the stars. This is what it feels like to launch a company, and this sense of triumph extends far beyond the company's founders. For those who have been part of a successful launch, across all roles in the organization, these moments stand out as some of their proudest achievements.

But there are dangers lurking underneath; there are fears that few speak about. When famed astronaut John Glenn was asked, "When you are sitting in that capsule listening to the countdown, how do you feel?" He responded, "I felt exactly how you would feel if you were getting ready to launch and knew you were sitting on top of two million parts—all built by the lowest bidder on a government contract."

Today, being part of a hypergrowth Startup feels much the same: sitting atop a highly explosive recurring revenue engine that requires thousands of individual actions to work seamlessly together, dependent on flawless execution by people who may lack formal education or practical experience in the subject.

To no one's surprise, this results in fewer than 2% of venture funded companies reaching their destinations. I believe we can do better. Much better. This book aspires to double or even quadruple that success rate.

How? By applying the same engineering-like approach used to build rockets, to construct bridges, and to guide medical procedures. An approach rooted in extensive research, proven scientific principles, modeled on practical experiences, executed through processes, and implemented in systems. This book is not meant to provide mere answers. As Carl Sagan once said, "Science is more than a body of knowledge. It's a way of thinking." This book is meant to do just that. And with it, open up a new world of possibilities.

I refuse to believe that our greatest accomplishments in the field of Go To Market lie behind us. Especially with the rise of AI. It feels like we're standing on the precipice of a new age, and an exciting era awaits. Yes, there are many threats, but there are even more exhilarating opportunities. So with a gleam in our eye, let's step into this new and wonderful world of scientific growth together.

All Systems Go!

REVENUE

ARCHITECTURE

CONTENTS

	Prologue	08
Chapter 01.	Introduction	10
Part I.	**Fundamentals**	**42**
Chapter 02.	First Principles	46
Chapter 03.	Models and Data	70
Chapter 04.	Systems and Processes	88
Part II.	**Design**	**121**
Chapter 05.	The Revenue Model	124
Chapter 06.	The Data Model	157
Chapter 07.	The Mathematical Model	194
Part III.	**Build**	**233**
Chapter 08.	The Operating Model	236
Chapter 09.	The Growth Model	306
Chapter 10.	The Go To Market Model	379
Part IV.	**Deploy**	**449**
Chapter 11.	Simply Deploy	452
	Epilogue	478
	Annex	479
	Abbreviations	515
	Bibliography	517

PROLOGUE

Built nearly a century ago, the Golden Gate Bridge was a pioneering marvel, and it remained the longest and tallest suspension bridge in the world for nearly 30 years. How do you build a bridge longer and taller than any bridge ever built? And how do you get it to withstand a century of wind, waves, and earthquakes? The answer lies in meticulous planning, precise design, adherence to scientific principles, and innovative engineering. The engineers and architects behind it recognized the significance of a solid foundation based on observation and scientific knowledge. I have the privilege of frequently driving across the Golden Gate Bridge, and each time, I am in awe of its vast span.

Based on its location in Silicon Valley and funded by gains from the days of gold mining, I can't help but draw parallels between the bridge and the world of recurring revenue. When the bridge was built, it was based on the latest scientific advances. I firmly believe we can apply many of the same scientific principles that guided the construction of this iconic bridge to the realm of building scalable and sustainable recurring revenue businesses. However, to do so, we must embrace a scientific approach, which means we must base our strategies and decisions on evidence, data, and practical experience.

Over the past decade, I have collaborated closely with over a thousand companies, gaining first-hand insight into their growth. These experiences have left me with a compelling vision of the future, where subscription-based services illuminate the path to a more customer-centric approach to sales.

It is clear to me that we are at a crossroads in the world, transitioning from old to new ways, spurred by the advancements of Artificial Intelligence (AI). This new approach must be scalable, sustainable, and durable to meet the demands of an ever evolving business landscape.

A recurring revenue SaaS business is like a factory made up of GTM motions acting like production lines, each made up of modular components. Just as the modular components of a bridge are designed independently and then assembled to span a gap, each of the components in a revenue factory is optimized independently and brought together functionally to produce revenue in a number of GTM motions. All individuals who work in a revenue factory come together to form the Go-To-Market (GTM) team. The GTM team aims to achieve 3 core goals: driving (revenue) growth, optimizing operational costs, and improving product quality. The exact same goals as that of a factory.

Historically, two critical elements have been missing to help the GTM team achieve these goals: an Operating Model to run the factory efficiently, and a detailed growth design. Revenue Architecture is a discipline encompassing the collective knowledge of all GTM functions. Its outcome is the blueprint for the Operating Model, laying the foundation for sustainable growth. In today's hypergrowth Scaleups, each team member must grasp the fundamental principles of growing a recurring revenue operation. Learning from the abuses and issues we have witnessed during the decade that preceded the 2022 SaaS crash, executive education on this subject is an absolute requirement.

This book serves as a guiding light, illuminating a lifetime of lessons learned and synthesizing a new path forward. It is a work in progress, in which you play an essential role as the reader. Your contribution and continuing exploration are vital to shaping the future of successful scaling. So, as we bid farewell to an exciting decade, let us appreciate the achievements that have brought us this far. However, let us also acknowledge that the strategies and methods that propelled us in the past will no longer be enough to carry us forward.

Join me on this transformative journey as we embark on a scientific approach to scaling up. Together we can build beautiful businesses that, like the Golden Gate Bridge, stand the test of time, and leave us in awe.

01

INTRODUCTION

01 | INTRODUCTION

A few years ago, we witnessed one of the most remarkable human-made wonders ever. Nearly all of humankind came to depend on it overnight. Yet, even today, few can pinpoint what it was, as it was obscured by the events that followed. This book not only unveils the source code behind this modern marvel but also provides the blueprint to recreate its magic.

In 2020, the world faced a crisis of monumental proportions: a global pandemic. Almost overnight, remote work became not the exception, but the rule. Billions relied on their phones, tablets, and computers to navigate the intricacies of daily life—to work, communicate with family, participate in their communities, and go to school. At some point during the pandemic, nearly everyone on earth who had a smartphone installed a product like Zoom, hosted on a ubiquitous infrastructure known as "the cloud." The technology deployed on an unprecedented scale, and against all odds, it worked flawlessly. Students and teachers, schools and governments—everyone found themselves relying on the cloud.

Amid the chaos and upheaval of a global pandemic, a quiet wonder had occurred—one that many of us took for granted, even while it underpinned nearly every facet of our lives: the cloud had come to our rescue. This wonder didn't just suddenly appear; it came about through decades of incremental advancements in global infrastructure and cloud software that allowed the cloud to embrace the moment. The term "the cloud" sounds fluffy, but there is much more to it than its nebulous name suggests.

The cloud came to exist in its current form because it was heavily influenced by the following:

1. **The Internet:** The triumph of SaaS, or Software as a Service, in 2020 was rooted in an intricate web of interconnected servers and computing power built over the previous 30 years. This offered extensive, seamless, and ubiquitous access to the cloud regardless of geographical location.

2. **Smartphones:** Devices permeate every aspect of our lives. With over 6.5 billion smartphones in the market, approximately 2 out of every 3 individuals had direct access to the cloud infrastructure.

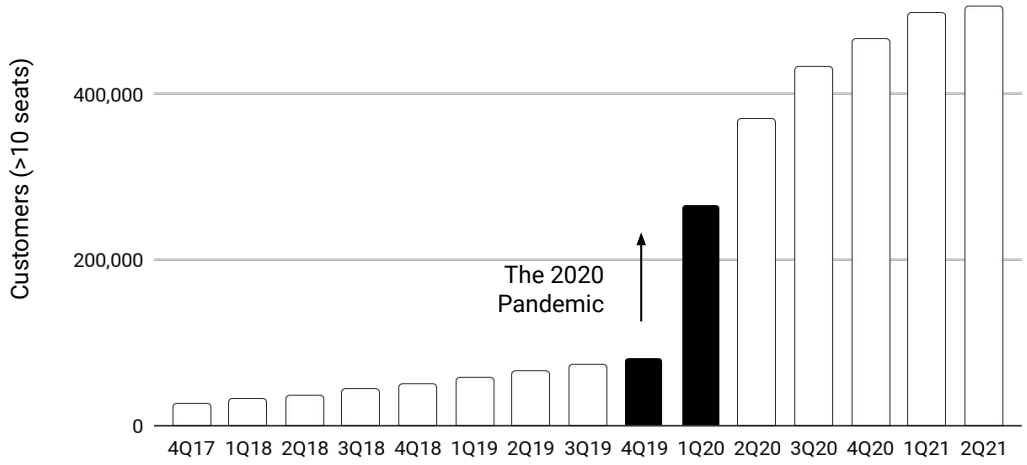
3. **A Diverse Landscape of Applications:** With many applications available, virtually every need could be catered to. Communication apps such as Zoom (see Figure 1.1) gained immense popularity, fostering seamless connections between people regardless of their physical isolation.

These building blocks forged a highly reliable global infrastructure serving billions of users worldwide. Yet, one crucial building block has gone unnoticed:

4. **Innovative Business Models:** The industry embraced a novel business approach, enabling access to essential services through subscription- or usage-based fees on a recurring basis. The most popular use case is SaaS. This innovation facilitated ubiquitous access and enabled everyone with a smartphone to partake.

Before the pandemic, many industry experts doubted a cloud-based infrastructure could carry the performance needed for global Enterprise-grade systems. However, the 2020 pandemic proved them wrong. Overnight, every business, government, and educational institution worldwide became dependent on cloud products and experienced the benefits of a subscription-based approach using a recurring revenue model. In the summer of 2020, we pinched ourselves, for we had all witnessed a wonder: during the pandemic, the entire world had become dependent on subscription- and consumption-based services overnight, and it did so without a hitch. It felt as if SaaS products and their novel pay structures had just saved the world.

FIGURE 1.1 ***The explosive growth of communication applications in B2B during the pandemic reflected by the rise in the number of Zoom customers with more than 10 employees.***



Next, we will dissect the factors behind the rapid growth and the subsequent market crash, analyzing its underlying causes, in **Section 1.1 The Golden Era**. This exploration will help set the stage for where we are headed next and how to get there, introducing 3 key concepts:

- **Section 1.2 The Revenue Factory:** We'll delve into the Factory concept, which offers a blueprint for sustainable growth and operational efficiency in recurring revenue businesses.
- **Section 1.3 The Go-To-Market (GTM) Approach:** Moving away from the siloed operation, we'll explore a GTM approach where revenue is generated through a unified organizational effort akin to a factory's production line.
- **Section 1.4 Phase Shifting:** An examination of how recurring revenue businesses undergo several fundamental changes quickly, a concept known as Phase Shifts. The focus will be on managing through these numerous phase shifts smoothly, which most management teams are unfamiliar with.

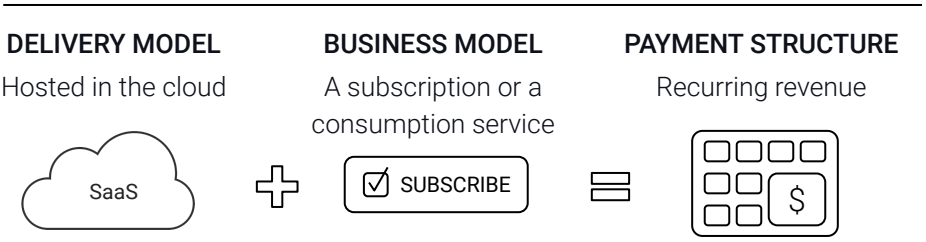
Collectively, they do not just narrate a shift in strategic thinking; they propel us into an exciting future and act as tools to navigate the modern economic landscape's ever-changing landscape.

AMBIGUOUS SAAS TERMINOLOGY EXPLAINED

SaaS is a versatile term that encompasses various aspects of the software delivery model. It plays a pivotal role in modern technology, and its usage can be classified into 3 categories:

- **SaaS as a Delivery Model:** Refers to cloud-hosted applications accessed via the internet through subscription-based services. Users lease the software instead of owning it outright. The advantages include accessibility from any internet connection and regular software updates and maintenance without the hassle of manual installations.
- **SaaS as a Business Model:** Includes both subscription-based and consumption-based agreements. Subscription-based agreements specify the duration of software access, ranging from daily to annual terms, while consumption-based agreements detail the usage-based terms and pricing, aligning costs with the actual use of the software.
- **SaaS as a Payment Structure:** Encompasses recurring payments based on the terms outlined in a subscription contract. Recurring payments provide a more dependable and continuous stream of income, allowing for better resource allocation. Due to the need to provide ongoing results to retain customers, it naturally fosters long-term relationships with customers, making it customer-centric.

FIGURE 1.2 ***The term "SaaS" means different things to different people.***



Throughout this document, we will limit the use of "SaaS" and instead refer to "Recurring Revenue," indicating its use as a payment structure, or "Subscription" to reflect on it as a business model. This approach provides a clearer delineation of the multifaceted role of SaaS in the software industry.

1.1 THE GOLDEN ERA

While the number of subscription services were exploding and valuations were catapulting, underneath, a fire was smoldering. Most of these companies were being built on a “growth-at-all-costs” mindset, and the sudden increase in usage made their structural and conceptual weaknesses more pronounced. To create more growth, more people were hired, and more attention was paid to short-term wins without applying short- or long-term financial discipline. Unsurprisingly, this resulted in a steep increase in the cost of acquisitions. Meanwhile, companies went public with less revenue, relying on more immature marketing and sales motions. Surely this could not continue? All this led to 2021, a year that marked a watershed era of success for the SaaS industry: 27 Initial Public Offerings (IPOs), and an astonishing 787 unicorns were minted, according to DealRoom. This surge was largely fueled by the continued growth-at-all-costs mindset.

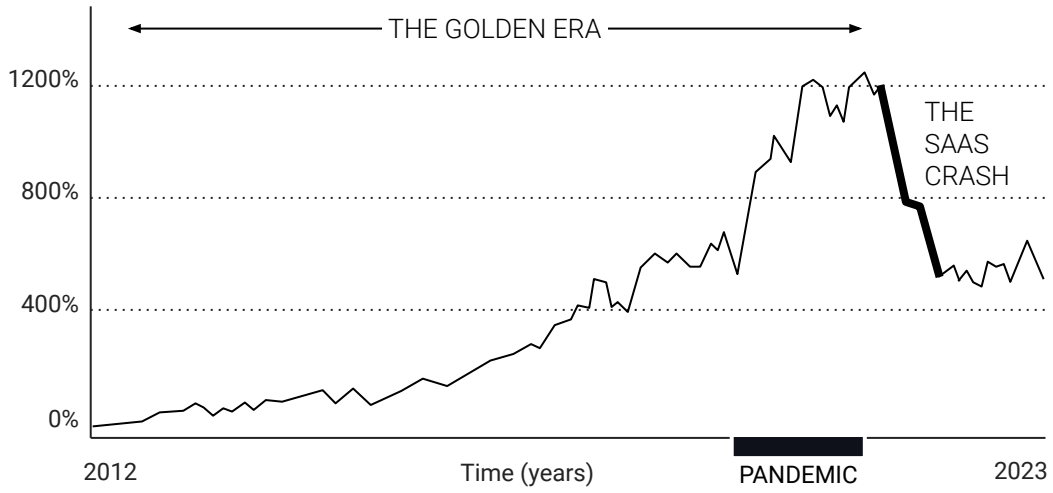
The SaaS Crash

In 2021, after more than a decade of intense growth, signs of a coming transformation began to emerge. In November 2021, the SaaS stock market peaked. However, on December 3, 2021, the first domino fell as the *Wall Street Journal* reported, "DocuSign Shares Fall More Than 40% as Customer Behavior Shifts." At the start of 2022, a casual observer might have judged everything to be fine, but by then, geopolitics and other emerging challenges had begun to slow down the economy.

In February 2022, many marketing leaders noticed a sluggish lead flow, and in the following months, sales leaders started to see deals being delayed. Naturally, booking performance fell short, and soon after, the growth rate began to decline, slowing down funding and delaying IPOs. With less money available to invest, the valuations of Startups dropped. Market reporter Rebecca Szkutak published an article on March 23, 2022, entitled "Record-Setting Venture Capital Market Shows Signs of a Slowdown.”

By early summer 2022, the situation had worsened, and venture firms started to recommend their portfolio companies cut costs by 20% across the board, while others advised surgically paring down expenses. However, it was too late; the damage was done. The SaaS market had crashed, marking the end of an 11-year tech bull market that resulted in a historic 50% value destruction in public (and private) SaaS companies, with the average market cap down 57% from its 12-month highs. This massive reduction in market value impacted public SaaS companies and hit the entire tech ecosystem like a tidal wave.

FIGURE 1.3 ***Performance of SaaS companies over time, normalized against January 2012 by SaaS Capital Index®.***



The end of the Golden Era of SaaS had come. An era that began with Marc Andreessen's prescient words in 2011, "Why Software is Eating the World," crashed during the winter of 2022 and ended with an exclamation point with the collapse of Silicon Valley Bank on March 10, 2023. So, where do we go from here? To learn where we are going we must first delve into the origins of this turmoil.

The new situation we find ourselves in demands a new operational framework. But to do that, we have one important thing to do. We must first identify the root cause of the crash to prevent it from ever happening again.

What Caused the SaaS Crash?

The SaaS crash did not come as a surprise to everyone. Many industry experts had warned of the market's unsustainability in the years leading up to this. However, the speed at which it happened and the widespread impact of the crash still caught many off guard. For far too long, the market had coasted on a diet of financial junk food, propelled by cheap investment money warranted by occasional bursts of explosive growth in a particular sector.

Various factors contributed to this unprecedented fall, including rising interest rates, the end of the COVID inflation, macroeconomic risks, and geopolitical uncertainties like the war in Europe. While these events certainly played an important role and may have caused the situation to spill over, they were not its root causes. An average customer buying a license to sign electronic documents or to use communication software is typically disconnected from U.S. bond prices. And let's not forget that customers were still buying and feverishly using SaaS products when this occurred. So what was the cause?

During the Golden Era of SaaS, the prolonged period of low interest rates led to abundant investor capital. It enabled SaaS investments to grow without regard to near-term profitability, a Go-To-Market (GTM) approach that has since been coined "growth at all costs." To find the actual problem, let's analyze what the growth-at-all-costs GTM approach is.

The Growth-at-All-Costs Culture

During the Golden Era the market rewarded growth at SaaS companies with higher valuations. Entrepreneurs quickly realized that the faster the growth, the higher the valuation, thereby increasing the likelihood of going public.

Investors themselves also favored this trend, as an investment made at a given valuation could swiftly be justified by the next investor willing to invest at multiple times that valuation. Ultimately, the public markets rewarded founders, allowing them to amass unimaginable wealth and helping investors achieve their Internal Rate of Return, or IRR, targets. It resulted in companies hiring unskilled labor, purchasing a myriad of tools, and applying unproven methods—all of which contributed to the soaring costs found on most SaaS companies' financial statements.

In practical terms, the quality of the customer experience was considered secondary to the growth rate. This approach compelled organizations to focus on seeking more revenue, leading to an emphasis on acquiring more deals and leads. Unfortunately, this relentless pursuit of *more* led to organizations using spam-like tactics and handing over control to the lowest-cost and least-skilled laborers who used the advances of email automation to SPAM prospects and customers. This GTM approach caused overall costs to skyrocket, resulting in a chaotic array of tools and methods. Consequently, departments operated ineffectively and inefficiently, pressuring companies to search for more leads to create more deals and generate more revenue. The growth-at-all-costs mentality fostered an "always do more" culture. It's important to note that the industry wasn't oblivious to these issues.

As early as 2016, it became evident that the current growth tactics wouldn't be sustainable in the long run. In fact, by 2018, the industry recognized the necessity for a more cost-efficient approach to growth and initiated efforts to address the situation. However, when the pandemic struck, these corrective initiatives were set aside. If anything, the pandemic further fueled the flames of the growth-at-all-costs mindset, intensifying an already precarious situation.

Who's to Blame?

Although we may be quick to point fingers at investors as the root of all this, such blame is unfair and inaccurate; entrepreneurs were equally at fault. A pattern had emerged: pursue growth at all costs, and receive higher and higher valuations. Investors could justify their investment, with each of these valuations doubling or tripling. Companies could get to the public market faster, where the founders and investors could take their chips off the table and become wealthy. Then, technology vendors such as email automation providers, service providers, and consultants came along to fan the flames. Everyone was contributing to the hype. It was not the fault of a single party. It was an entire industry's doing, and it brought us to where we are today, with tens of thousands of SaaS companies sitting on a mature global infrastructure with over a billion users—not a bad place to be, and a fantastic foundation upon which to build.

The Road from Growth at All Costs Leads to Sustainable Growth

SaaS as an industry has undergone a significant transformation over the last decade, marked by 4 distinct eras:

- *In 2012, we witnessed a surge in growth* fueled by low interest rates, fostering a growth-at-all-costs mentality, which inevitably led to bloated cost structures.
- *Starting in 2020,* growth stalled amid economic uncertainty and recession fears, while high acquisition costs persisted. Rising interest rates began to compress valuation multiples from as much as 40x down to 8x.
- *In the summer of 2022*, there was a significant shift towards cost control. Then, in early 2023, the collapse of SVB marked a turning point away from the growth-at-all-costs trend. However, even as companies started reducing growth guidance, expense cuts remained relatively shallow.
- *In 2024, the era of sustainable growth begins.* Companies are starting to manage the costs of growth and aim for a long-term target of 30% operating margins. Highly profitable, high-growth companies are emerging.

This trajectory shows a clear path toward a more profitable and sustainable future.

In summary: During the Golden Era, SaaS companies aimed for high valuations, often relying on a single metric—the growth rate. With ready access to low-cost capital, they received virtually unlimited funding, driving growth with minimal oversight, resulting in a pervasive growth-at-all-costs mentality. This relentless pursuit of growth led to an increased demand for unskilled and technology–assisted labor, prioritizing quantity over quality in serving customers. The time has come to transition to a new, more sustainable framework. It promises an era of sustainable growth and the rise of high-quality, billion-dollar B2B software companies. As we look toward a future defined by growth, we turn our attention to an unconventional yet promising domain—the factory model.

1.2 THE RECURRING REVENUE FACTORY

When one thinks of a factory, images of stark, grueling environments with monotonous production lines may come to mind—hardly the ideal of a dynamic modern workplace. Of course, this isn't the vision we aim for with the recurring revenue factory. Consider this: throughout history, factories have spearheaded technological advances to the extent that today, we give a number to the industrial revolutions they have caused. Each has brought a monumental shift made possible by new foundational principles upon which the next generation of factories could be built. We envision the revenue factory as an example of a fourth-generation factory designed to drive efficient, high-quality growth.

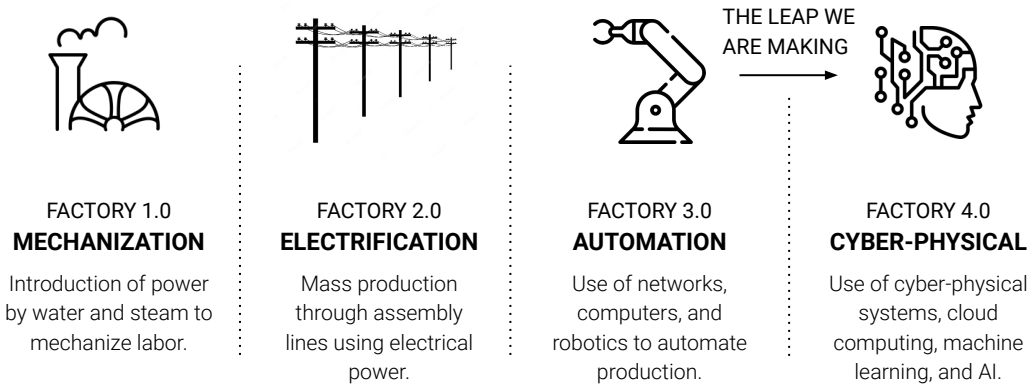
The Goal of a Factory: Cost Efficient Production of Quality Products

Factories have always served as symbols of the implementation of organized, systematic methodologies. At its core, a factory aims to enhance production and achieve economies of scale, leading to reduced unit costs as production numbers increase. However, the pursuit of increased volume and cost reduction historically has resulted in quality issues. This brings us to a third crucial goal of a factory, as emphasized by the renowned W. Edwards Deming: Quality. His approach to quality is deeply rooted in processes that prioritize the customer, rely on data-driven decision-making, and embrace a culture of continuous improvement. Deming's teachings on quality management have left an indelible mark on the manufacturing industry and played a pivotal role in shaping the global quality management movement.

1.2.1 The Impact of the Industrial Revolution

The Industrial Revolution transformed small, decentralized, and often craft-based workshops into large-scale, centralized, and mechanized industrial facilities. These advances span multiple generations. Known as "industrial revolutions," each marks a major shift in industrial and technological capabilities. These revolutions have reshaped our world, resulting in profound changes across social, economic, and technological dimensions.

FIGURE 1.4 ***The 4th Industrial Revolution is marked by cloud computing, machine learning, and AI.***



The Golden Era Thrived on Automation, Part of the Third Industrial Revolution

For example, during the Golden Era, many developments were the result of the Third Industrial Revolution (3IR). With the transition to a subscription-based revenue model, the revenue per customer declined, necessitating a significant increase in customer acquisition to meet growth objectives. This led to a demand for more customers and leads well before achieving operational maturity to handle such growth. The SaaS industry turned to a product of the Third Industrial Revolution: Automation. Email automation, in particular, played a pivotal role in increasing production of emails, enhancing production consistency through email sequencing, and improving quality using templated emails. This approach, by its very nature, led to cost reduction, as a single prospector with automation tools could achieve the work of many prospectors doing this manually.

Today We Are in the Fourth Industrial Revolution

Today, we find ourselves in the Fourth Industrial Revolution (4IR), marked by Machine Learning (ML) and Artificial Intelligence (AI). These advances rely on processes to make data-driven decisions. Although it's still early, the technological advances have already led to transformative apps, such as personalized customer experiences driven by the analysis of usage patterns, real-time coaching (co-pilots), dynamic pricing responding to demand, and predictive forecasting, to name a few.

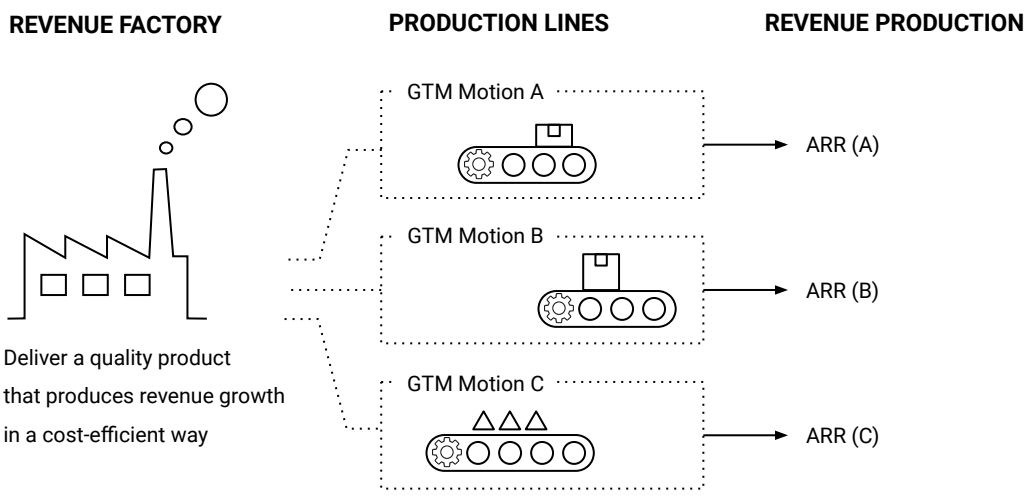
1.2.2 Mapping a Factory Approach to Producing Recurring Revenue

The analogy of a subscription business with a factory extends beyond mere automation. Just like a factory that produces revenue growth, a subscription business operates with similar objectives. In fact, the goals of a factory align to those of a recurring revenue business perfectly:

Factory Goals		Goals of a Recurring Revenue Factory
● Increase Production	⇒	Achieve Growth
● Improve Efficiency	⇒	Lower Costs
● Enhance Quality	⇒	Deliver the Promised Impact

The first goal in both factories and subscription businesses is clear: increase output. In factories, this means more production, akin to achieving growth in subscription businesses. Historically this was driven by a growth-at-all-costs approach. Today's emphasis on sustainable growth in subscriptions mirrors the factory's aim for efficiency. The analogy further extends to the methods of increasing output: just as factories use different production lines to create a variety of products from the same materials, subscription businesses deploy various GTM motions to diversify their revenue streams

FIGURE 1.5 ***A subscription business operates like a revenue factory with a number of production lines (GTM motions). Each production line signifies a different revenue stream, characterized by specific growth metrics and cost structures.***



Similarly, we can identify the shift toward cost-conscious growth, which today is referred to as “sustainable growth,” prioritizing cost reduction, or what VCs have termed “capital-efficient growth,” aimed at increasing Free Cash Flow. These objectives are inward-focused and do not directly benefit the customer.

This is where the importance of the third goal, Quality, becomes evident. In a factory context, “Quality” signifies a product's consistent ability to perform its intended function. When applied to SaaS products, this concept translates to its ability to reliably deliver the promised results, again and again, commonly referred to as “delivering recurring impact.” To implement the Recurring Revenue Factory, we can identify the essential tasks:

- Achieve Growth ⇒ Implement efficient processes for *scalability*.
- Lower Costs ⇒ Apply unit economics to ensure *sustainability*.
- Recurring Impact ⇒ Instill quality management for long-term *durability*.

Historically, operationalization followed a departmental approach, where each department aimed to achieve specific targets. However, achieving results in a Recurring Revenue Factory requires a more integrated approach, which we will refer to as the GTM approach. This approach emphasizes cross-functional collaboration and alignment across departments to drive recurring impact.

SUSTAINABLE VS. CAPITAL-EFFICIENT GROWTH

Sustainable and capital-efficient growth are similar but not the same: Sustainable growth involves maintaining a consistent long-term growth rate without encountering operational or financial hurdles. Companies achieving this show strong revenue retention metrics like GRR and NRR, balancing resource allocation. On the other hand, capital-efficient growth focuses on how well a company uses its capital for expansion, typically measured by revenue or profit per investment unit, with Free Cash Flow (FCF) as a key metric. While sustainable growth is about long term viability, capital-efficient growth aims for cost-effective expansion. Both are crucial for the success of a recurring revenue business.

1.2.3 The Increase in Volume and Velocity

In 2010, closing a perpetual software deal in the enterprise sector could generate revenue ranging from $500,000 to $10,000,000 up front. These numbers typically did not account for an additional 18% to 22% per year allocated for annual upgrade and support contracts, which were commonly established for at least another 3 years. Enterprise sellers would concentrate on a restricted number of qualified opportunities annually, typically achieving a 30% win rate. Sales cycles in this context often extended for an average of 18 months, and in some instances, as long as 3 years. This level of effort would typically generate annual revenue of around $2,000,000 for a junior rep and well above $4,000,000 for a senior rep.

We can compare that to the subscription-based services market in which a solution similar in scope brings in $100,000 in annual contract value (ACV) with a sales cycle ranging from 6 to 9 months. In this scenario, the same experienced rep would carry a lower target around $1,200,000. This would require the rep to secure 12 commitments per year. Based on today's win rate of 20%, the seller would, therefore, need to work on 60 qualified opportunities per year. This would be a challenge for most of today's enterprise reps. When we contrast this with an SMB sale, these numbers escalate even further. For example, a deal with an ACV of $10,000 against a quota of $500,000 requires a total of 50 wins per year and require as many as 50 qualified opportunities per month. Win rates and sales cycles will vary depending on factors such as industry, product, market conditions, and company strategies. However, the overall outcome remains the same: a much higher velocity and an order of magnitude increase in deal volume compared to a perpetual business.

In summary: The goal of a recurring revenue business is to achieve the highest growth rate in the most cost-efficient manner. The Revenue Factory tackles this challenge by streamlining processes and enhancing efficiency through iterative improvements, thereby ensuring consistent delivery of recurring impact. To achieve this, companies must shift from a traditional departmental approach to a more collaborative, cross-departmental approach known as a GTM approach.

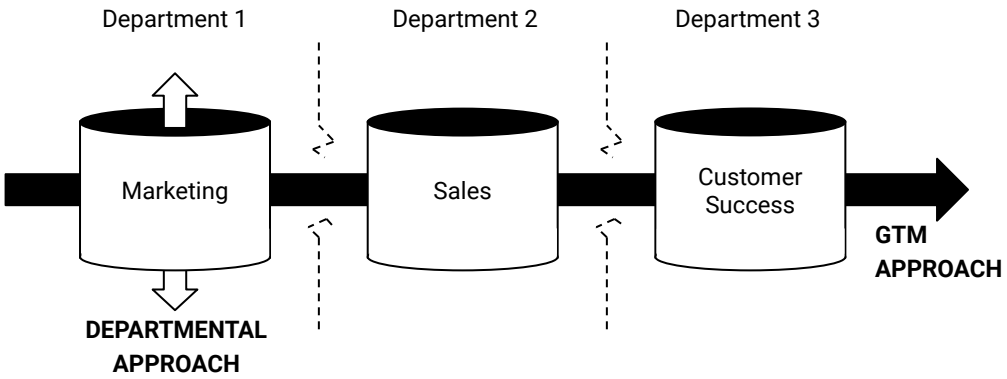
1.3 THE GO-TO-MARKET APPROACH

The integration of various functions in marketing, sales, and customer success forms what is referred to as the Go-To-Market (GTM) approach. This approach aligns the product with market needs and business goals. It aims to build awareness among prospective customers, educate them on the product's merits, help sell it effectively and efficiently, and importantly, ensure consistent delivery on what was promised. The GTM approach serves as the driving force behind growth, and its significance cannot be overstated.

Today's Departmental Approach

Traditionally, each department functioned autonomously, employing distinct means and methods to achieve its objectives. For example, the marketing department, led by the CMO, focused on generating awareness and providing qualified leads to support the sales team. Similarly, the sales and customer success departments operated independently, each with its own set of metrics and tools specific to their functions. However, it doesn't stop there. Companies structure and organize their resources differently within each department. Marketing departments are divided into distinct functions that operate in parallel, such as Content Marketing, Email Marketing, and Demand Generation, with each responsible for specific programs or campaigns.

FIGURE 1.6 ***Today, recurring revenue businesses operate in silos, in which each department focuses on its own objectives. A GTM approach breaks down these silos and emphasizes cross-functional collaboration and alignment across departments.***

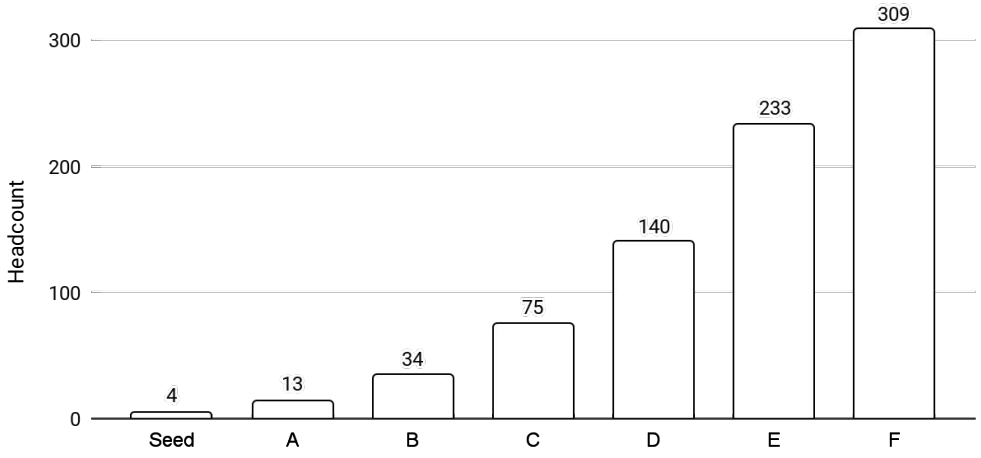


Sales teams are segmented based on regions, vertical markets, or company size. Customer success is typically organized with functions operating sequentially, such as onboarding, renewals, and expansion.

The Impact of Silos

With the departmental approach, each department has its unique structure built around specific deliverables. The consequence of such an approach is that it creates silos within the organization. These silos in turn create inefficiencies, including duplicated efforts and a lack of alignment towards broader company objectives. For instance, the marketing team might focus on generating leads that the sales team is unaware of, or the customer success team might miss opportunities for upselling or cross-selling due to a lack of alignment with the sales department. Team members working from different locations (remote) further complicates cross-department/cross- functional coordination. Such a lack of coordination has hindered overall company performance and growth. This heightened level of complexity necessitates organized restructuring, leading us to a cross-functional GTM approach where departments work collaboratively and share information to achieve the common objective: deliver Recurring Impact to attain Recurring Revenue. This shift aims to break down the silos, leading to greater organizational efficiency and effectiveness.

FIGURE 1.7 ***The median headcount by fundraising stage was recorded by Carta in 2021. It shows the 10x growth in headcount which causes fiefdom building. Such rapid growth occurs at the moment the organization still lacks processes.***



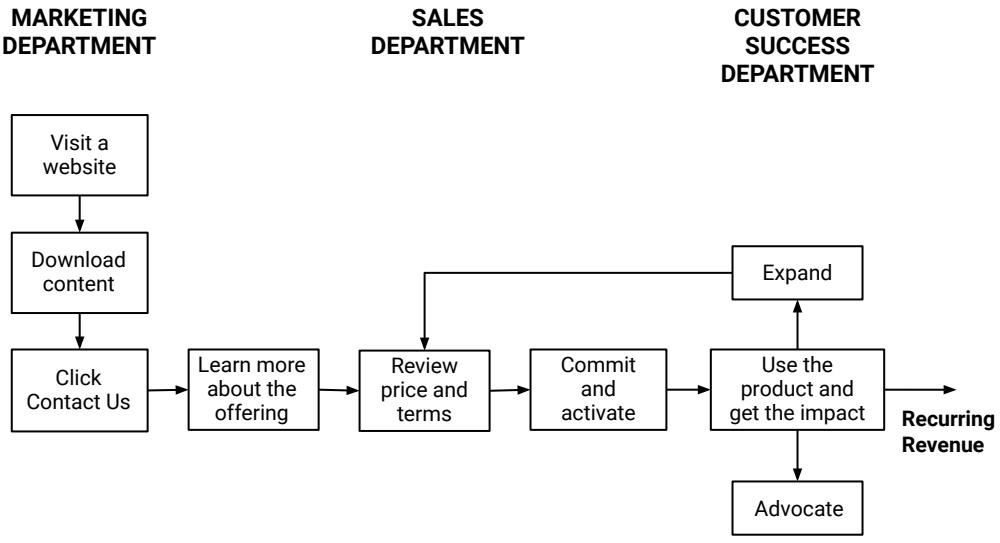
1.3.1 Introducing the GTM Motion

Where a factory has product lines, a revenue factory has GTM motions. A GTM motion refers to a company's structured set of activities, tactics, and processes that span across the entire customer journey. It starts with finding prospects, qualifies them, and ultimately turns them into satisfied customers. This approach involves collaboration across functions from the marketing, sales, and customer success departments. The aim of a GTM motion is to enhance organizational efficiency by reducing costs and boosting effectiveness through increased production or growth, alongside improving customer experience.

Go Fast and Go Long

Different types of GTM motions are suited to different business models, products, and customer bases. They are essential for scaling business operations and achieving a sustainable, profitable growth rate. For example, an "inbound GTM motion" might involve generating leads through content marketing, qualifying them via technology or human interactions, and then handing them off to a sales team to gain a commitment. In that scenario, they will trigger dozens of micro-actions, pass through at least 3 different departments, and do so all within mere minutes.

FIGURE 1.8 ***An example of a high-velocity inbound GTM motion, as perceived from the customer's perspective. It involves multiple actions across many functions and 3 departments***



On the other hand, an "Enterprise motion" might involve targeted outreach to large companies, using a dedicated sales force backed by high-level marketing and account management efforts. This may take a consistent approach for a long period of time. The goal of a GTM motion is to ensure that, amid all this activity, the customer has the best possible experience. It aims to create coherence across all these actions and make the interactions appear smooth. For this we are going to use the concept of GTM motions.

1.3.2 Different GTM Motions

Thinking about GTM motions leads us to a deeper understanding of revenue growth and its associated costs, both of which are essential components of achieving a profitable business model. In this book we will explore the following 5 GTM motions:

- **No Touch:** Customers are marketing, selling, and servicing the products.
- **Low Touch:** Marketing, sales, and support relies on technology, like chatbots, with personal engagement reserved for more complex situations.
- **Medium Touch:** Involves specialized roles like a Sales Development Rep (SDR) or Customer Success Manager (CSM) qualifying a customer's needs before involving a Sales Manager or product expert.
- **High Touch:** A Sales Manager or Customer Success Manager, often field-based, oversees a small portfolio of accounts. For advanced solutions, this likely involves support from a Solutions Architect.
- **Dedicated Touch:** A dedicated team solely focused on serving one large Fortune 500 account, often led by an executive who reports directly to the CEO, ensuring a comprehensive approach to both sales and service needs.

Each of these GTM motions operates on a different cost structure. For example, it would make no sense to fly cross country to close a $10/month deal. This means that to be sustainable requires that we map the right GTM motion to the revenue generated by the customer over time.

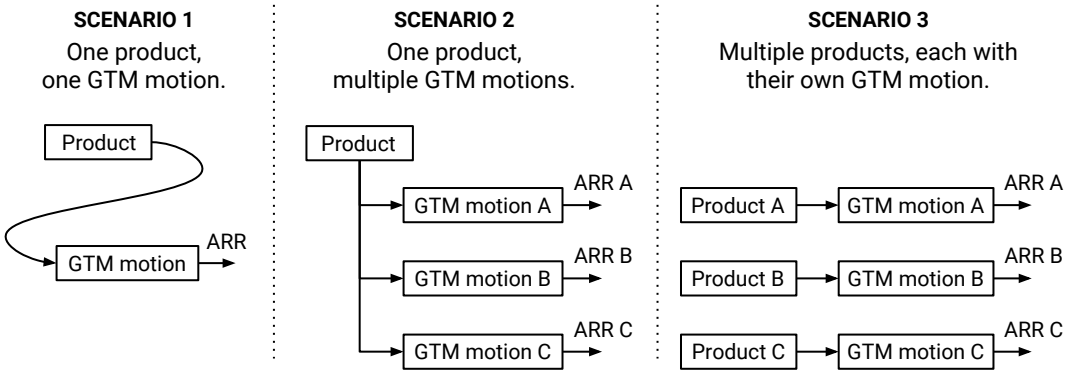
1.3.3 Matching Products with GTM Motions

Just as a company can have multiple products each generating its own revenue stream, a single product can have multiple GTM motions, also with their own revenue stream (see Figure 1.9). For example:

- **Scenario 1:** A product-led growth (PLG) product employs an inbound motion to attract pro-users, generating leads through content marketing.
- **Scenario 2:** A single product utilizes 3 separate GTM motions. For example, an inbound motion is in place for targeting SMB accounts, a field sales team focuses on Enterprise accounts, and a dedicated team caters to a select few strategic accounts.
- **Scenario 3:** Three distinct products are each aligned with their own GTM motion. For instance, Product A targets pro-users through an inbound motion. Product B aims at the SMB market using an outbound motion. Finally, Product C focuses on the Enterprise sector, employing a field sales motion.

By understanding different GTM motions and scenarios, businesses can strategize on varied paths to growth. Some GTM motions might be slower but generate substantial recurring revenue, like the Enterprise GTM motion. Others might offer a much higher deal volume but come at a lower ACV.

FIGURE 1.9 ***Different products and GTM motions each can create different revenue streams.***



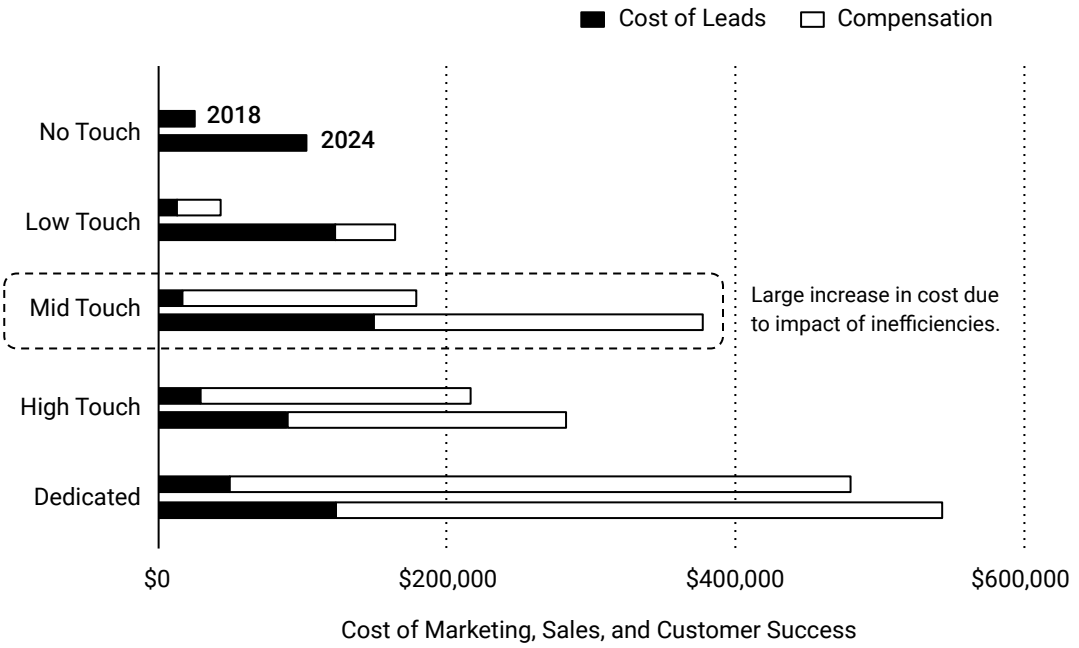
1.3.4 Cost of a GTM Motion

A crucial aspect of different GTM motions is aligning the cost with the revenue it generates. For instance, if you sell a multimillion-dollar solution, you can't expect customers to purchase it by watching a demo video and presenting their credit card information; they will want to engage with multiple specialists and stakeholders.

Conversely, if you sell a $5/month subscription, customers don't expect an on-site visit. Actually, they will probably prefer to watch a video and enter their credit card information in a self-serve portal. In essence, the cost of the GTM motion must be aligned with the recurring revenue it produces.

From 2018 to 2021, we witnessed a significant increase in the cost of GTM motions (see Figure 1.10). The 2022 SaaS market crash was caused by companies paying twice as much for GTM motions.

FIGURE 1.10 ***From 2018 to 2024, we observed a significant rise in the cost of GTM motions. In some instances, the mid-touch approach, utilizing 2 junior sellers (SDR and a Jr. AE), even became more costly than a high-touch approach relying on a single seller (Sr. AE).***



The Need for Sustainable GTM Motions

Creating a sustainable business relies on implementing cost-effective GTM motion anchored in proven, repeatable processes. This requires utilizing technology for more affordable task execution or hiring individuals at standard wages for routine tasks, instead of depending on scarce, exceptionally skilled, and highly paid talent.

THE RISING COST OF THE OUTBOUND MOTION

The surge in demand for subscription-based services has fueled the rapid expansion of SaaS companies, skyrocketing from approximately 1,000 in 2011 to a staggering 35,000 by 2023. These companies have adopted similar GTM motions, often with the assistance of popular technology.

For example, between 2015 and 2020, the outbound GTM motion featuring an inside sales team emerged as the preferred approach. This strategy leveraged cutting-edge email hyper-personalization and sequencing technologies. However, as automation increased production, the success rate of outbound emails declined.

In 2015, it took over 100 cold outbound emails to generate a single opportunity. By 2018, this number had risen to 200 cold outbound attempts, including emails, calls, and social interactions. In 2023, it had surged over 1,000 cold outbound attempts to generate one opportunity.

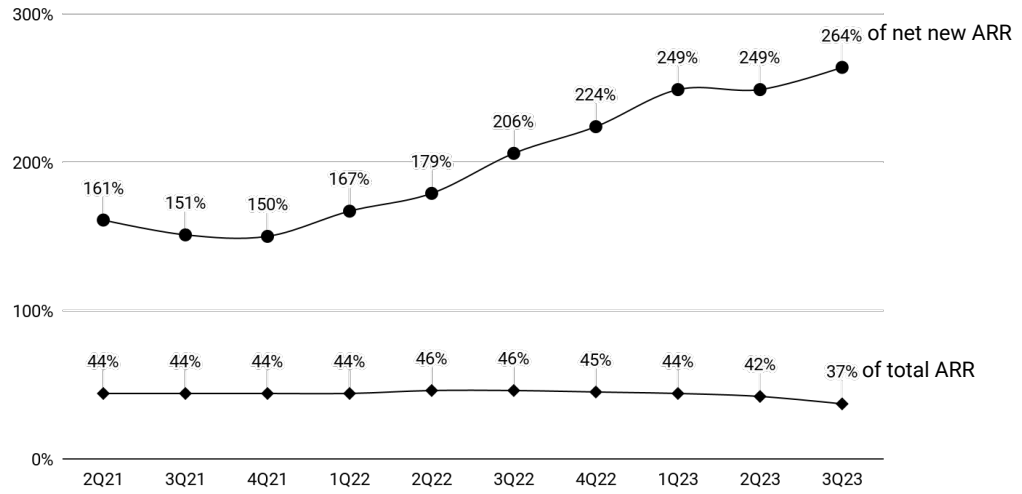
This created an insatiable thirst for leads to call on, resulting in soaring lead acquisition costs. But it didn't stop there. It generated a demand for more salespeople to send out more emails, which drove up salaries. For instance, entry-level Sales Development Representative (SDR) positions, which had a starting annual salary of around $35,000 in 2015, had climbed to $55,000 by 2018. By 2023, the target earnings for a US-based SDR reached $80,586, according to ZipRecruiter reports.

This led to the cost of outbound doubling from 2018 to 2023.

1.3.5 *The Problem Only Got Worse*

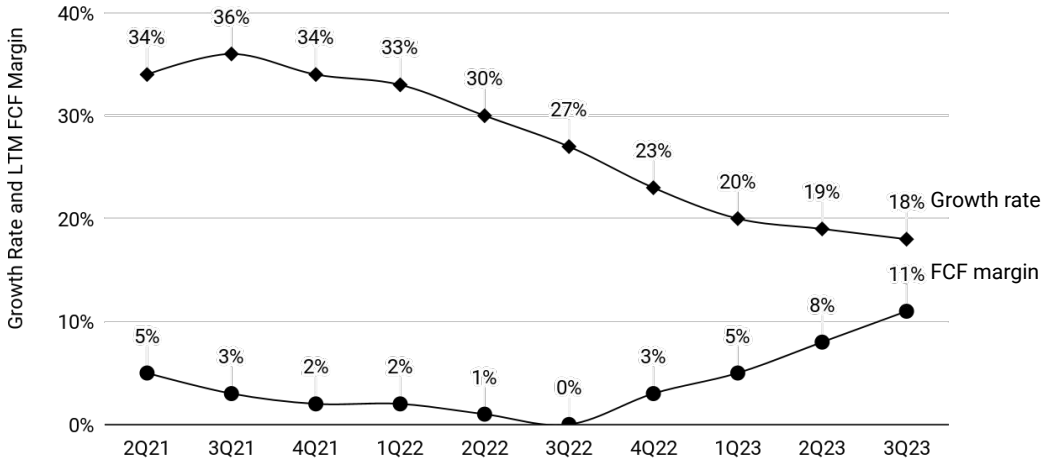
Several years after the crash, the SaaS industry is still struggling to find scalable and sustainable GTM motions. This challenge is evident in the trend of marketing and sales costs as a percentage of newly acquired revenue, depicted in Figure 1.11. Despite initial cost reductions due to workforce downsizing, the expenses subsequently increased. By the end of 2023, the cost of acquisition had worsened to 1.5 times the severity observed at the outset of the crash. The issue stems from the industry's failure to adapt their GTM motions in the years that followed the crash.

FIGURE 1.11 ***Cost of Acquisition and Expansion depicts that the GTM problem is not solved.***



The trend toward cost reduction and Free Cash Flow (FCF) generation, especially among venture-backed companies, led to the continuation of inefficient practices. The widespread availability of AI tools exacerbated the problem by enabling startups to continue their aggressive "Grow at all costs" strategies at a lower cost. While a healthy focus on FCF is generally prudent, a lack of operational capability to apply this to GTM motions led to a decline in growth. This phenomenon was reported by David Spitz from Benchsights who looked at the data from publicly listed SaaS companies. It revealed a decline in average growth rate from 36% to 18%, effectively halving it (see Figure 1.12).

FIGURE 1.12 ***The decline in average growth rate and increase of FCF among public SaaS companies.***



The combination of the decline in growth rate, and the increase in cost of acquisition tell us that the GTM challenges faced by late-stage startups and scaleups are worsening. These challenges can often be traced back to lack of knowledge and expertise in revenue architecture. The teams that operate the recurring revenue machine, commonly do not understand how it works. Thus, it's reasonable to predict that a sustainable GTM strategy will become a key success differentiator for venture-backed companies in the coming years, and that Revenue Architecture will play an important role.

1.3.6 Navigating Growth Stages

A high-velocity organization undergoes various stages of growth in a relatively short time frame. What an average company accomplishes in 40 years, a hypergrowth subscription-based company achieves in about 10 years—4 times faster—by progressing through a series of growth stages and critical milestones.

Growth stages

Growth stages in SaaS mark a firm's maturation and business evolution. Each stage comes with unique challenges, objectives, and key performance indicators.

For simplicity, we will keep it to 3 growth stages here:

- **Startup Stage:** In this initial phase, SaaS startups aim to validate their product–market fit by acquiring the first set of customers willing to pay for the product. That makes the product the star of the show, and rightly so. However, once they have validated the product and gained traction, the focus shifts from having a great product to selling it at scale.
- **Scaleup Stage:** SaaS companies in the Scaleup stage focus on rapid growth, expanding revenue from $10 million to $500 million, by launching multiple GTM motions and optimizing each GTM motion for profitability.
- **Grownup Stage:** Representing maturity, SaaS companies shift their focus entirely to profitability, operational efficiency, adhering to metrics related to publicly traded companies.

From initial ideation and securing first customers to scaling operations and optimizing for profitability across GTM motions, understanding these stages helps SaaS businesses allocate resources effectively, target the right customer segments, and implement growth strategies tailored to their current phase.

Critical Milestones

In the SaaS industry, success hinges on a few critical milestones:

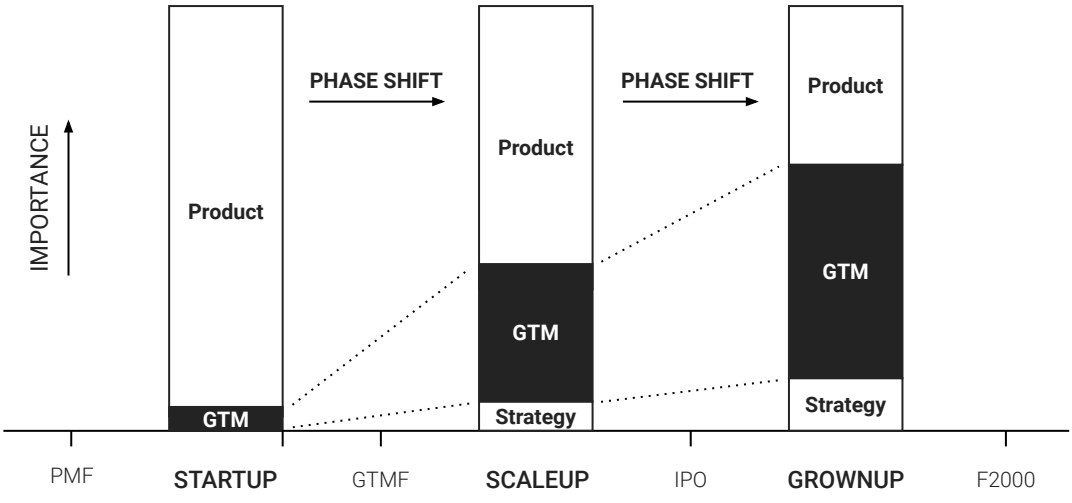
- **Product-Market Fit (PMF)** ensures that the software isn't just another product; it means it addresses a genuine market need, and different customers are willing to pay for it, often indicated by reaching $1M in ARR.
- **Go-To-Market Fit (GTMF)** focuses on how you effectively bring your product to the masses. It's not only about the value your software offers but also how you present, and deliver that value.

  Achieving PMF means you have created a product that customers find valuable enough to pay for. GTMF, on the other hand, ensures this product is presented to, and reaches the right audience, efficiently. True GTMF goes beyond consistently hitting growth targets by acquiring new customers; it involves reliably delivering value to customers, thus fostering retention and enhancing lifetime value for both the seller and the buyer. Typically, reaching true GTMF is a process that spans years – and for good reason.

- **Going IPO** by offering shares to the general public allows a company to raise substantial capital from external investors, enabling further expansion and growth. Going public also brings increased scrutiny, regulatory compliance, and transparency requirements. It's worth noting that not all successful SaaS companies go public; some opt for acquisitions or other forms of exit.
- **Fortune 2000** reflects a company has achieved over $5B in revenue, and is seen as a major accomplishment in the business world.

This requires a significant shift in focus as the company matures, moving from a product-centric approach to emphasizing GTM-centric approach. This shift is referred to as a Phase Shift, a topic we will delve into next.

FIGURE 1.13 ***The importance of GTM grows significantly as a company evolves from a Startup into a Scaleup. This transformation requires a company to make drastic changes.***



In summary: A successful recurring revenue factory depends on multiple scalable and sustainable GTM motions, which cover all customer-facing roles. The GTM motions are tailored to align with buyers' purchasing preferences, ranging from the Low Touch motion used for inbound businesses to the High Touch motion used for enterprise sales. Ideally, each GTM motion should achieve sustainability before hitting $10M in ARR.

1.4 PHASE SHIFTING

Think of the 3 growth stages mentioned earlier (see Figure 1.13) as akin to the educational system, where you first attend elementary school, then move on to high school, followed by college. The progression through growth stages is similar to progressing through school, where each school prepares you for the next one. Each school is different, very different; consider the difference between college and high school for example. This reflects how different each growth stage is. And each school has a clear end to it—a graduation.

Schooling vs. Scaling

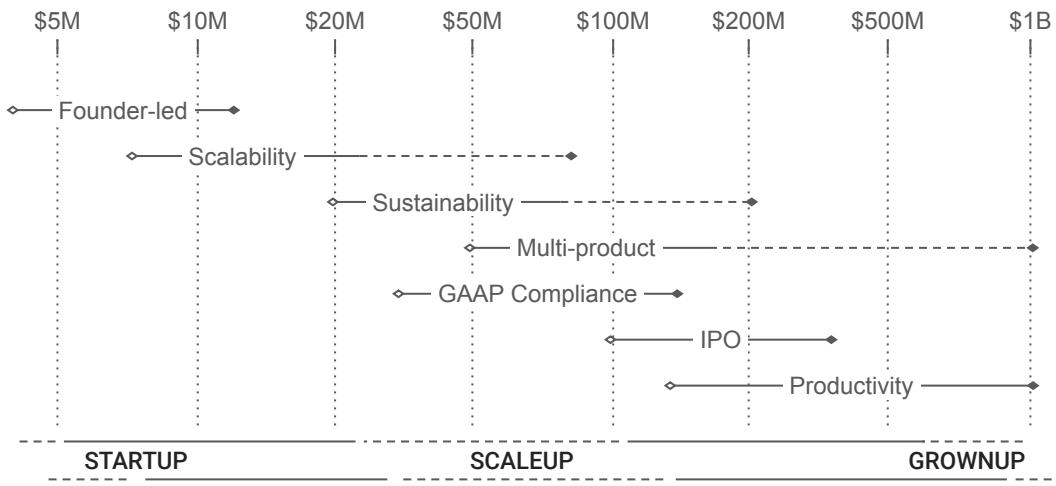
Unlike the educational system, where you know when you graduate, the transitions between growth stages are less defined. In many cases, one growth stage flows seamlessly into another; this is referred to as a phase shift. For example, the transition from Startup to Scaleup represents a phase shift, but there are many others:

- From founder-led to sales-led growth.
- From grow at all costs to sustainable growth.
- From a people-centric to a process-centric culture.
- From a SMB to an Enterprise GTM motion.
- From domestic to international growth.
- From a single product to a product portfolio.
- From non-GAAP to GAAP compliance.
- From a private to a public company (IPO)

These are just a few examples of phase shifts a company experiences. While in the educational system, people "phase shift" from one school to the next every 4 to 6 years, hypergrowth companies experience multiple phase shifts, often 2 to 3 simultaneously, over the span of a few years. Each growth stage requires a different set of strategies, a new set of metrics, involves new

leadership, different systems, demands more advanced processes, and so on. This explains why phase shifts can take time, on average, around 18 months, making them a significant undertaking that demands the full attention of the CEO and careful planning by those involved on the executive team.

FIGURE 1.14 ***Phase Shifts define the Startup, Scaleup, and Grownup growth stages.***



Executives are aware of most of these phase shifts, but they are unaware of the process of a phase shift, so they spend most of their time reacting to the effects of past phase shifts rather than preparing for the next one. The presence of departmental silos and the constant turnover of staff only make this more daunting. Perhaps this helps explain why the grow-at-all-costs mindset has endured for such an extended period, while we all knew it no longer worked. It's just so much more convenient to continue with the status quo.

In summary: Revenue Architecture, as a discipline, establishes the scientific foundation for Recurring Revenue growth and serves as a linchpin in driving these transformative phase shifts, in particular those involving GTM motions. Through a series of models, it not only educates but also guide companies on their growth journey, It helps them to proactively prepare for phase shifts, rather than merely reacting to them.

1.5 RECAP

The Golden Era of SaaS, which spanned from 2011 to late 2021, was marked by remarkable growth and innovation. However, its abrupt end in early 2022 can be attributed to the unsustainable grow-at-all-costs approach that had become the norm. This resulted in companies going public prematurely, often with insufficient revenue, while relying on immature marketing and sales strategies.

Although a shift to a sustainable approach is essential, it alone will not address the operational growth challenges, and when applied incorrectly it is likely to have adverse effects that focusing on cost reduction often leads to a decline in product quality. The product quality in a recurring revenue business is what leads to renewals.

To tackle these challenges, we are introducing a simple concept: To operate a recurring revenue business as if it were a factory, a Recurring Revenue Factory, and see each GTM motion as a production line. This approach draws inspiration from the best practices from the industrial revolution, and it customizes them to suit to the distinctive needs of recurring revenue businesses.

Table 1.1 ***The 3 main goals of a recurring revenue factory, mapped to maturity phases.***

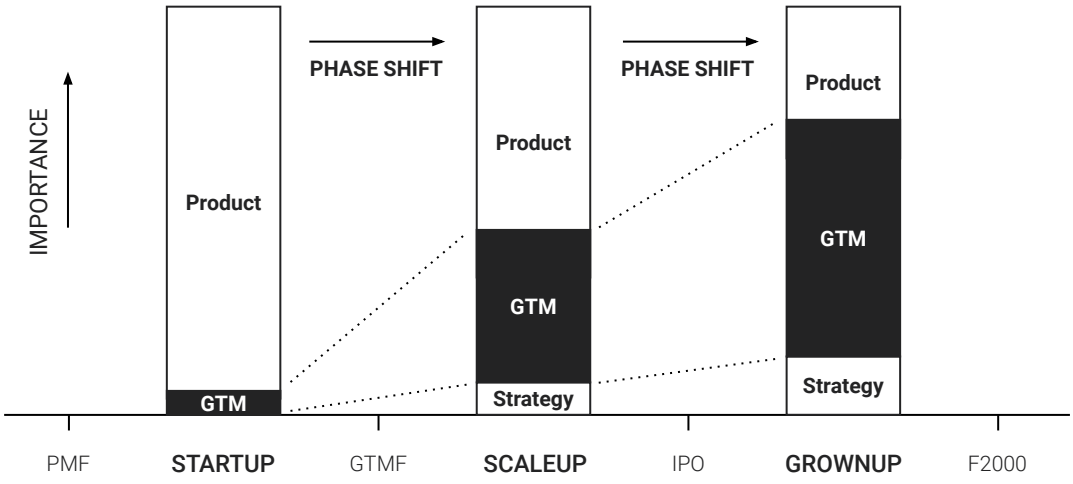
Factory Goal	Recurring Revenue Factory	Operational Directive	Maturity Phase
Production	Accelerate Growth	Implement proven processes	Scalability
Efficiency	Lower Cost	Apply unit economics (cost)	Sustainability
Quality	Deliver Recurring Impact	Instill quality management	Durability

The main goal of the Revenue Factory is clear: to establish recurring revenue growth. This goal centers on delivering what causes recurring revenue, recurring impact. This requires a customer-centric approach that covers the entire customer journey.

The shift in perspective requires that organizations break away from their traditional departmental approach, silos, and instead develop cross-functional collaboration.

Central to this transformation is the GTM approach that brings together all functions that call on a customer under a GTM motion. We identified 5 specific GTM motions: No Touch, Low Touch, Medium Touch, High Touch, and Dedicated Touch. These motions offer flexibility to tailor to different business models and customer needs. Implementing such a transformative change is not without challenges and takes time, typically requiring an 18-month phase shift.

FIGURE 1.15 ***The importance of GTM grows significantly as a company evolves from a Startup into a Scaleup. This transformation requires a phase shift.***



In summary: The Revenue Factory emerges in response to the 2022 market crash, aiming to establish recurring revenue through recurring impact. This objective hinges on cross-functional collaboration, the adoption of a GTM approach, and the strategic use of GTM motions. Revenue Architecture provides a guiding framework to design, build, and operate a successful recurring revenue factory based on GTM motions.

WHAT IS NEXT?

Just as an architect meticulously designs a bridge to ensure its longevity, stability, and efficiency through the use of proven frameworks, Revenue Architecture uses a series of established frameworks. This is vital to achieve the same level of rigor in designing, building, and deploying a revenue factory.

- **Part I. Fundamentals:** This section covers the scientific frameworks upon which a recurring revenue factory is based, including First Principles, Models & Data, and Systems & Processes.
- **Part II. Design:** Here, we explore the design of a recurring revenue factory, which is based on a series of frameworks that form a foundation. This includes The Revenue Model, The Data Model, and The Mathematical Model.
- **Part III. Build:** To build the factory, more frameworks are utilized, designed to enable a business to adapt to frequent market changes. These are The Operating Model, The Growth Model, and The Go-to-Market Model.
- **Part IV. Deploy:** For most organizations, adopting a scientific approach does not come naturally. It requires guidance on operating it with an emphasis on continuous and iterative improvement.

Let's begin by exploring the fundamentals upon which a recurring revenue factory is based, as this understanding is crucial for the successful operation of a recurring revenue business.

A SaaS company is a revenue factory, with the GTM motions acting as its production lines.

PART I

FUNDAMENTALS

PART I | FUNDAMENTALS

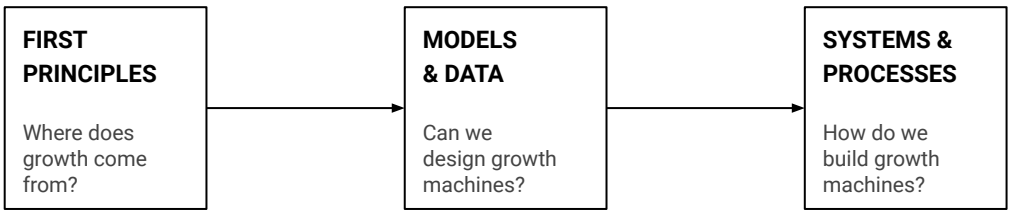
Revenue Architecture uses scientific principles to optimize for growth, and is not the first discipline to do so. Many other industries have already done this: manufacturing, sports, medicine, healthcare, economics, agriculture, transportation, design, and architecture, to name a few. These industries have all embraced a scientific foundation to drive growth.

The Core Scientific Principles of Revenue Architecture

We start by looking at 3 interconnected scientific principles:

- First Principles (Chapter 2)
- Models and Data (Chapter 3)
- Systems and Processes (Chapter 4)

FIGURE I1 ***Three scientific principles form the foundation for building a recurring revenue factory.***



First, the Shift Towards Customer-Centric Growth

Recurring business thrives on customer-centricity, emphasizing impactful solution delivery. As a result, revenue growth becomes an organic outcome rather than the ultimate objective. Previously, we might have prioritized growth for its own sake, aiming for achievements like unicorn status or an IPO. By reorienting our approach to emphasize customer-centricity, we unveil the true potential of recurring revenue, fostering sustainable and lasting growth.

Next, Harnessing Models and Data for Growth

With a solid grasp of the first principles we utilize models to design and test our growth engine. These models serve as blueprints and establish a structured framework that simulates revenue dynamics. They empower us to make informed decisions as we scale our recurring revenue operation from $10 million in ARR to $1 billion. During this process, data is used to validate and fine-tune the models, ensuring their accuracy and relevance to the current reality.

Lastly, Transitioning From Theory to Practice Through Systems & Processes

Modeling allows us to make well-informed decisions and optimize our growth approach. As we advance, we refine and enhance the Growth Model. We then transition from theory to reality through implementation. This involves setting up systems and processes that turn the insights, strategies, and analyses derived from the first principles, models, and data into an operational model that can be implemented in real-life scenarios.

An Example of Applying Scientific Principles in Building Construction

The application of scientific principles can be found all around us. Today, architects utilize First Principles, Models & Data, and Systems & Processes to enhance structural integrity, design performance, and construction efficiency. This approach allows for the construction of modern architect-designed buildings in large quantities, while maintaining high quality and relatively low costs.

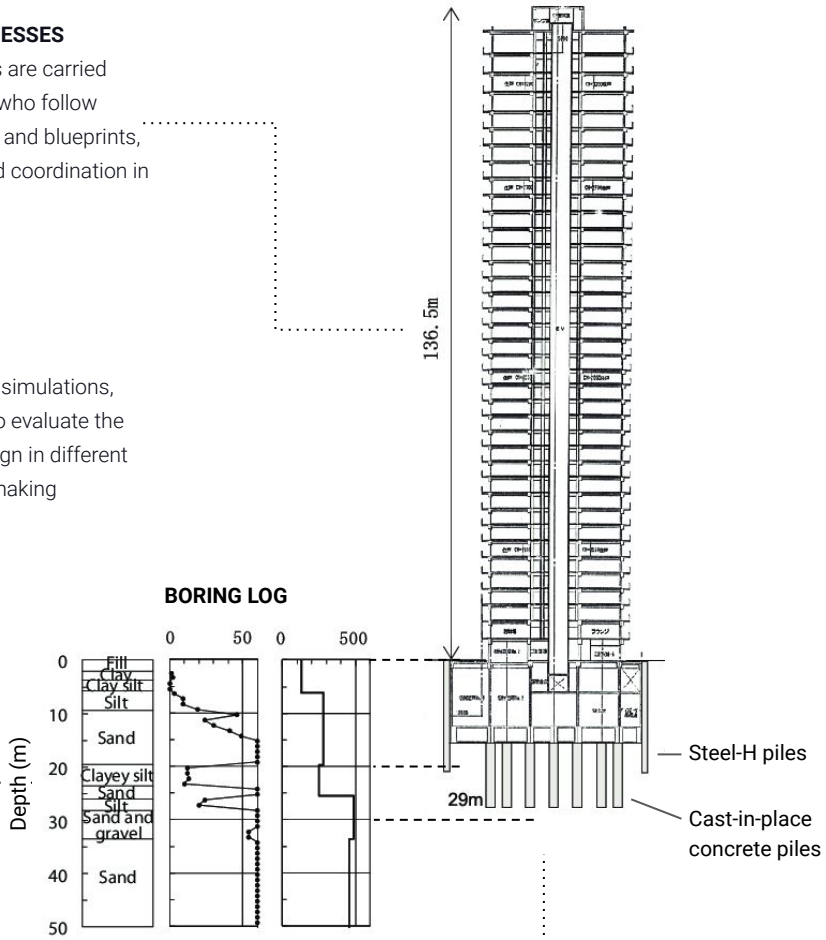
FIGURE I2 ***Architects rely on first principles, models, and systematic processes to create structurally sound, adaptable, and well-coordinated buildings.***

SYSTEMS AND PROCESSES

Construction activities are carried out by a diverse crew who follow systematic processes and blueprints, ensuring precision and coordination in the building process.

MODELS AND DATA

Field tests, along with simulations, provide us with data to evaluate the performance of a design in different conditions to enable making informed decisions.



FIRST PRINCIPLES

Architects consider the foundation's constraints and prioritize structural integrity to ensure the stability and durability of the building.

02

FIRST PRINCIPLES

02 | FIRST PRINCIPLES

In this chapter, we will delve into the source code of a potent growth engine capable of significantly enhancing a company's revenue. We'll shed light on the core differences between growth strategies anchored in perpetual monetization with an upfront-payment model and those rooted in subscription monetization that relies on a recurring revenue model.

Harnessing First Principles for Recurring Revenue Growth

The recurring revenue engine, primarily utilized by subscription services, hasn't reached its full potential. The primary hindrance is a lack of understanding of where growth comes from, and the unfamiliarity by the operators of the capabilities of the extremely powerful growth engine under the hood. In many ways it is akin to using a Ferrari as a lawnmower. To truly harness the power of the recurring revenue engine, it's vital to comprehend the mechanics of the growth engine that it thrives on. This is about dissecting growth into essential components, challenging conventional beliefs, and gleaning insights from unshakeable truths.

Unraveling the Recurring Revenue Mystery

By invoking first principles thinking, we can decipher the fundamental components of growth. With this knowledge, crafting a clear, actionable, and phased growth strategy becomes straightforward, paving the way for its seamless implementation. Such an approach will amplify recurring revenue benefits and foster sustained business growth.

2.1 FIRST PRINCIPLES THINKING EXPLAINED

In the movie *Moneyball*, a vivid demonstration of first principles thinking unfolds. The film follows Billy Beane (portrayed by Brad Pitt), the general manager of the Oakland A's baseball team. Instead of relying on traditional scouting methods, Beane turns to statistical analysis and advanced metrics (Sabermetrics).

This allows him to spot undervalued players who possess the exact skills that lead to game victories. By deconstructing baseball to its core components and zeroing in on the elements crucial to success, Beane manages to build a formidable team despite financial constraints. His pioneering approach not only challenges but also upends the age-old reliance on gut feelings and outdated metrics, setting a new standard for player assessment in baseball.

Reasoning by Analogy

In the *Moneyball* story, the act of relying on past strategies and assuming that what previously worked will continue to succeed is referred to as "reasoning by analogy." It's a natural human inclination, predicated on the belief that the familiar and the known provide a predictable path. However, as we'll understand, this is often not the case, especially when the business landscape experiences significant shifts. Today, many companies adhere to outdated methods in their quests for growth. Specifically, they employ marketing and sales strategies initially designed for on-prem hardware and perpetual software. This mindset is a manifestation of reasoning by analogy. While reasoning by analogy has merits, it falters during significant change, frequently failing to adapt promptly to the latest trends and innovations.

Currently, marketing and sales teams are entrenched in reasoning by analogy, persisting in retrofitting their programs to market and sell using a perpetual software GTM approach where sellers receive payment up front. They then attempt to adapt it to a subscription-based business model, which relies on recurring revenue—a fundamentally different monetization strategy.

A Practical Illustration

A tangible instance of reasoning by analogy is evident in the role of sales development reps (SDRs). Circa 2015, SDRs predominantly focused on emailing many prospects to secure discovery calls. This strategy stemmed from the belief that if you knock on more doors, you'll create more opportunities to sell. This belief catalyzed a surge in tools designed to automate this approach, making dispatching hundreds of tailored emails as simple as sending just one. The prevalent thought was "the more effort, the higher the return." Initially, it was effective. However, as this methodology became mainstream, potential buyers became inundated with personalized emails.

Is More Always Better?

What if the "more is always better" axiom is misguided? What if the act of sending countless emails not only fails to deliver the desired outcome but also jeopardizes successful engagement with the ideal clientele? While reasoning by analogy might suggest "craft better emails" or "send messages to their LinkedIn inbox," it may overlook the possibility that the volume of messages isn't the root issue. And to make matters worse, these strategies failed to deliver and consume precious resources, dramatically inflating acquisition and retention costs.

Embracing the First Principles Approach

The idea behind first principles thinking is to break out of this cycle and avoid being limited by preconceived notions or assumptions. It cautions against repeatedly deploying ineffective strategies in the faint hope they might someday prove fruitful again. Instead, first principles thinking offers a methodology to tackle challenges with a renewed outlook.

2.2 FUNDAMENTALS OF GROWTH

To combat reasoning by analogy and establish accurate first principles, we must analyze the origins of growth, challenge assumptions, and seek empirical evidence to better understand the origins of growth.

2.2.1 Unveiling the Origins of Recurring Revenue Growth

One of the wonders of the subscription model is that revenue doesn't reset to zero each year. If all your first-year customers renew in the second year, and you gain an equal number of new customers, your revenue doubles. Add expansion from existing customers to the mix, and the growth compounds.

But there's more to the story of recurring revenue growth. To gain a deeper understanding, let's delve into the recurring revenue stream of BestCo—a real-world SaaS company operating on a subscription model.

TABLE 2.1 ***BestCo's revenue growth in ARR split across 3 revenue streams.***

	Retention	Expansion	Acquisition	ARR
2013	$0.0	$0.00	$0.90	$0.9
2014	$0.85	$0.08	$1.87	$2.80
2015	$2.63	$0.26	$5.79	$8.69
2016	$8.17	$0.82	$6.48	$15.46
2017	$14.54	$1.45	$11.23	$27.22
2018	$25.59	$2.56	$18.90	$47.04
2019	$44.22	$4.42	$19.96	$68.60
2020	$64.49	$6.45	$22.36	$93.30
2021	$87.70	$8.77	$18.55	$115.02
2022	$108.12	$10.81	$24.54	$143.47

Kickstart FOUNDER SALES

Step 1. ACQUISITION

Step 2. RETENTION

Step 3. EXPANSION

By breaking down the ARR into 3 components—retention, expansion, and acquisition—we see that a business undergoes 3 distinct steps to achieve rapid growth:

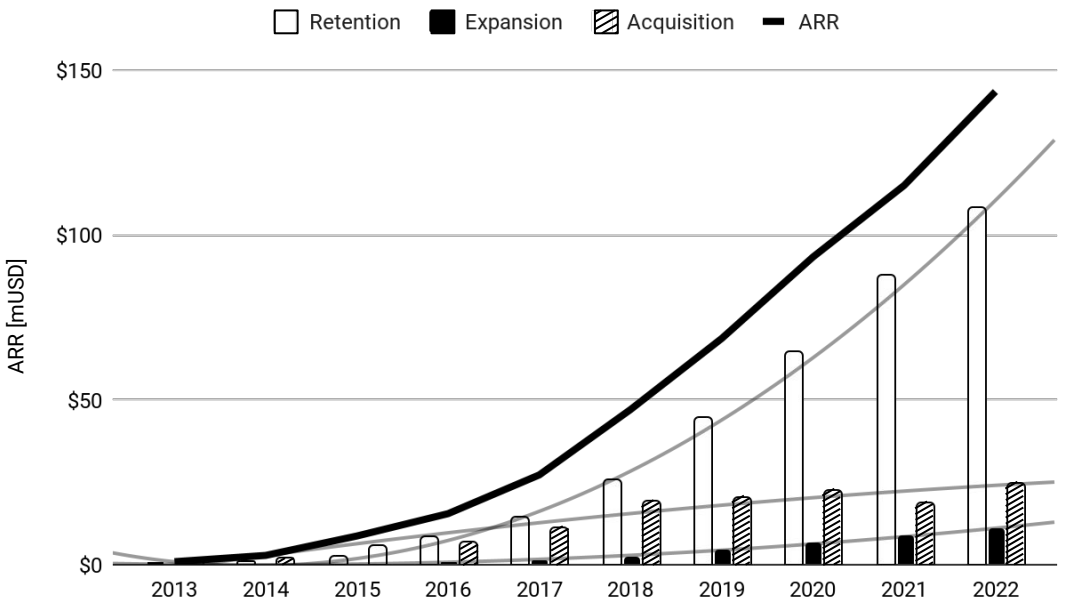
Step 1: Growth through acquisition.

Step 2: Growth through retention.

Step 3: Growth through expansion.

Graphing the data helps us understand what is happening (see Figure 2.1)

FIGURE 2.1 ***Breaking down the ARR into 3 components, and determining a trendline for each.***



The graph displays total revenue (ARR) broken down into its 3 components, each represented by a different column. Trendlines for each component are also shown. This visual representation enables us to make crucial observations:

- **Observation 1:** The ARR line exhibits exponential growth, following a polynomial curve, which we are accustomed to seeing in a healthy recurring revenue business.

- **Observation 2:** The growth rate from retention follows an exponential curve, while the growth rate from acquisition is flattening.

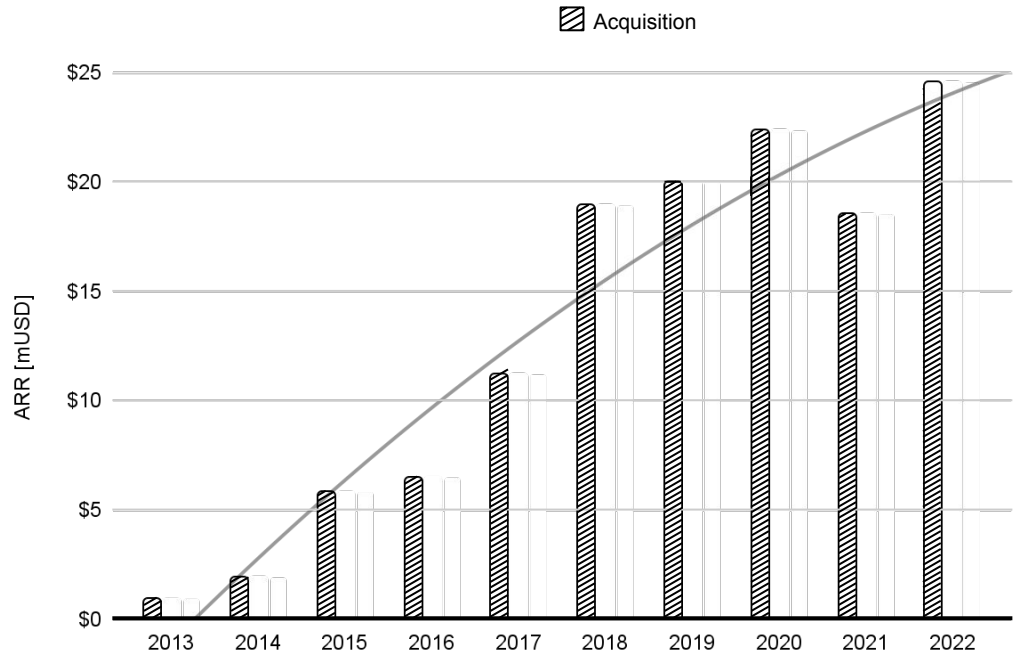
- **Observation 3:** When we isolate the revenue numbers from expansion, as seen in Figure 2.2, it becomes evident that expansion also exhibits an exponential growth pattern.

And most importantly,

- **Observation 4:** The trendline for retention closely mirrors that of the ARR line.

These observations convey that we're experiencing hypergrowth primarily due to the substantial revenue generated from retention. However, let's not jump to conclusions just yet. It's important to remember that you can't retain revenue that you haven't acquired in the first place. Nonetheless, this underscores the increasing significance of revenue retention in a subscription business.

FIGURE 2.2 ***The trend of BestCo's annual revenue growth from acquisition.***



2.2.2 The First Step: Growth Through Acquisition

Let's take a closer look: In 2013, BestCo started with $900,000 from acquisitions, with no revenue from retention or expansion. In the following years, revenue from acquisitions grew to $1.87 million and then to $5.79 million. This marked the moment when the revenue engine kick started.

The $5.79 million from acquisitions in 2015 contributed to a total ARR of $8.69 million for that year. Much of the revenue acquired up to 2015 was retained in 2016. Additionally, the acquisition team maintained its momentum, causing the ARR for 2016 to nearly double from $8.69 million to $15.46 million, even though the growth rate didn't experience a significant jump.

Kickstarting Growth: The Role of the Founder

The recurring revenue engine needs an early kickstart, often initiated by the founder taking on the role of the seller. In the context of PLG, instead of direct selling, the founder can focus on tasks such as addressing feature requests through social media or fixing bugs, similar to Eric Yuan's actions for Zoom during the pandemic. Following this initial phase, it's crucial for a professional team to take over. In PLG, this transition occurs when the first cohorts of customers start generating buzz and bringing in new users. In the case of BestCo, this pivotal step occurred in 2014/2015 when they hired a sales team, leading to revenue growth from $1.87 million to $5.79 million.

2.2.3 The Big Step: Transitioning From Acquisition to Retention

In the initial years of a recurring revenue business, growth heavily depends on acquisition. Nevertheless, there comes a point when growth should shift its focus towards retention and expansion. In the case of BestCo, we can observe that from 2013 to 2016, the company primarily experienced growth through acquisition. However, starting in 2016, revenue from retention began to exceed the revenue acquired from acquisition and by 2019, revenue from retention was more than twice that of the revenue from acquisition.

While it may seem that growth from retention and expansion occurs by itself in the early years, many companies encounter challenges that lead to a slowdown in growth. Many factors contribute to this, and we'll highlight 3 that are familiar to those who have worked in hypergrowth companies:

- **Cause 1. The Revolving Door of Revenue Leadership**
  In the case of BestCo, the growth rate from acquisition flattened towards the end of 2016, leading to the replacement of the VP of Sales due to missing growth targets—the very same VP who hired the first sales team and built the acquisition growth engine. The newly hired CRO came in and immediately implemented a more rigorous sales process and brought in a few high-performing individuals. These efforts resulted in continued growth from acquisition in 2017 and 2018. However, in 2019, growth from acquisition again began leveling off, causing BestCo to fear that its growth engine had stalled once more, prompting the CEO to begin searching for a new sales leader.

- **Cause 2. Investing in Acquisition at the Onset of Growth Slowdown**
  A slowdown in growth often prompts management to invest more in acquisition, typically by hiring more salespeople. But is this the right approach? Let's not forget that hiring salespeople is expensive, causing the cost of acquisition to rise just when the growth rate starts to decrease.

  All of this is a result of a fundamental misunderstanding of how to operate a recurring revenue factory. It's akin to using a high-performance sports car as a lawnmower, with the recurring revenue engine being the sports car primarily used for acquisition-driven growth. This analogy underscores the need for a shift in strategy to maximize the potential of recurring revenue through retention and expansion, rather than overinvesting in acquisition when growth slows down.

- **Cause 3: They Wait Too Long**

  In most SaaS companies, a common issue is that they remain overly focused on acquisition without a timely shift toward retention. This transition encompasses various aspects, including engineering, product development, and more, and it isn't solely dependent on hiring customer success managers (CSMs). Typically, it takes about 2 years to make the phase shift from a growth-from-acquisition-focused approach to a customer-centric growth-from-retention approach.

  As illustrated by BestCo's data in Table 2.1, it would have been advantageous for them to initiate this transition as early as 2016 when growth from retention started to outpace growth from acquisition.

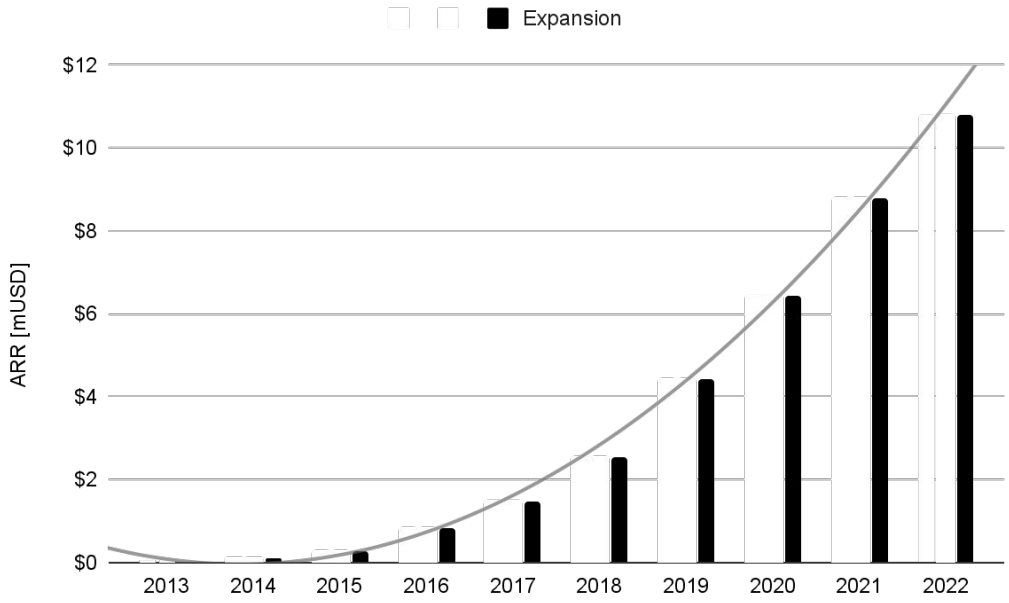
All of this doesn't mean that acquisition is becoming less important, not at all; after all, you can't retain or expand what you haven't acquired. It simply highlights that retention is becoming equally important. If you retain your customers well, it likely indicates you're focused on helping them succeed with your product, which, in turn, enlists them to aid in your growth. This suggests that expansion is about to catch up.

2.2.4 The Last Step: Transitioning From Retention to Expansion

By 2022, BestCo had experienced growth from expansion reaching $10.8 million, which accounted for 40% of the growth from acquisition, totaling $24.5 million. What's more noteworthy is that when we analyze the growth numbers from expansion in isolation, we observe a familiar growth pattern: exponential growth.

While, in the case of BestCo, it will take a few more years, successful companies will eventually witness their growth from expansion surpass that from acquisition (see Figure 2.3). This is a natural progression; it makes sense that as a company continues to grow, it will eventually dominate the market—much like Adobe has done with several of its products. At that stage, the company has shifted its focus entirely from growth through acquisition to growth from expansion, as there are simply no more new customers to acquire.

FIGURE 2.3 ***The exponential growth of the expansion revenue.***



In Conclusion

We have observed that growth initially comes from acquisition. However, as the graphed data and observations confirm, as the company matures, revenue originating from retention makes up the lion's share of the revenue.

While acquisition is foundational, ignoring the growing significance of retention is perilous. By the time a company reaches a critical mass, its Growth Model naturally transitions to emphasize both retention and expansion, as exemplified by companies like Adobe.

Now that we understand the origins of growth, let's distill this experience into the First Principles for any recurring revenue business.

2.3 FIRST PRINCIPLES FOR RECURRING REVENUE

We've just explored the fundamental concepts behind recurring revenue models and observed the following:

- Recurring revenue is based on 3 areas of growth: acquisition, retention, and expansion.
- Each of these growth areas exhibits a polynomial-shaped growth curve.
- The primary engine driving hypergrowth beyond the initial $10M in ARR is a combination of retention and expansion.

With this knowledge we can derive a set of 5 fundamental principles of a recurring revenue business that is grounded in scientific reasoning.

- Principle 1: The growth rate naturally decreases.
- Principle 2: Retention and expansion power growth beyond $10M in ARR.
- Principle 3: The effects of recurring revenue take time.
- Principle 4: The risk of the purchase shifts from the buyer to the seller.
- Principle 5: Recurring revenue is the result of a recurring impact.

We are going to explain each one in detail.

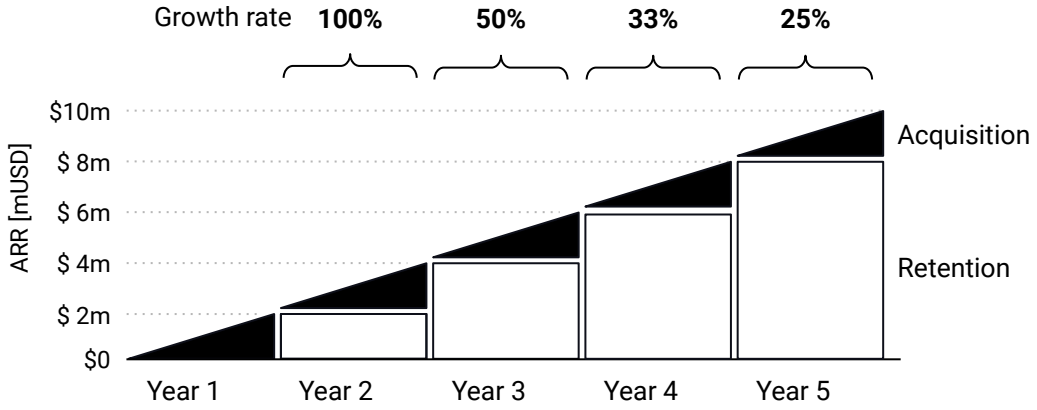
PRINCIPLE 1.

The Growth Rate Naturally Decreases

As companies scale, sustaining a consistent growth rate becomes progressively challenging. It's akin to battling gravitational forces; the larger the revenue base, the more difficult it is to maintain the same percentage growth. This phenomenon doesn't indicate failing strategies but rather represents a natural progression observed in many businesses. For a data-driven explanation, please refer to Annex B. Consider the scenario depicted in Figure 2.4. The revenue from acquisition grows consistently by $2M each year, and the retention rate remains unyieldingly at 100%. Yet, even with these constants, the growth rate undergoes a noticeable decline. It halves from an initial 100% to 50% and continues to taper off as time progresses.

This pattern underscores an important insight: as the amount of total revenue climbs, achieving the same percentage growth becomes more challenging. It's not just about adding the same dollar amount year after year, but adding a larger amount to achieve the same growth rate.

FIGURE 2.4 ***As revenue increases by the same amount, the growth rate naturally declines.***

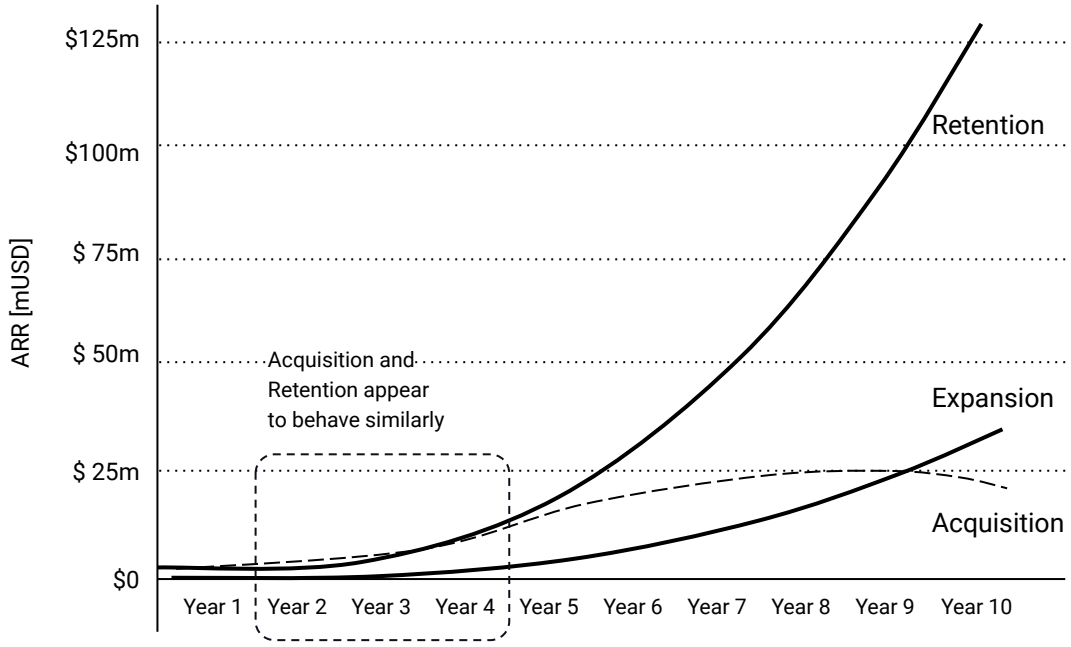


Summary: As a company's revenue increases, maintaining the same percentage of growth becomes more challenging. This isn't due to flawed strategies but a natural business progression. This natural deceleration in the growth rate is a factor businesses must anticipate and strategize for as they mature.

PRINCIPLE 2. **Retention and Expansion Power the Growth Beyond $10M in ARR**

Across hundreds of SaaS companies, we observe a familiar growth pattern in the growth rate. In the initial 5 years, acquisition plays a significant role. In most cases, retention follows acquisition with a one-year lag during this period. However, around $10M in ARR, retention not only starts to catch up but surpasses revenue growth from acquisition, establishing itself as the driving force. This follows a hyperbolic growth curve that leads to hypergrowth. As the years progress, organizations face an increasing challenge in achieving growth through acquisition and become more reliant on growth from expansion, which also follows a hyperbolic growth curve. It is common for growth from expansion to exceed growth from acquisition around $100M in ARR, this occurs typically over 8 years after reaching the first million dollars in ARR.

FIGURE 2.5 ***The exponential growth curve from retention (and expansion) needs to be noticed.***



For a Scaleup that may have revenues measured in the hundreds of millions to billions of dollars, the above chart can apply to the revenue of a single product, a region, a division within the company, or even a single GTM motion.

Summary: In a subscription business, acquisition dominates initial growth. However, at around $10M in ARR, retention becomes the primary driver, with expansion taking over before reaching $100M in ARR. This makes growth a trifecta of acquisition, retention, and expansion:

- Growth is sourced from not 1 but 3 areas: acquisition, retention, and expansion.
- Retention and expansion follow a hyperbolic (polynomial) growth curve that exceeds that of acquisition in a healthy business.

It is important to note that growth from acquisition depends on the organization making a promise to the customer in the form of a *value* proposition, whereas growth from retention and expansion are based on the company delivering on the *value* that was promised, which we will come to know as *Impact*.

PRINCIPLE 3.

The Effects of Recurring Revenue Take Time

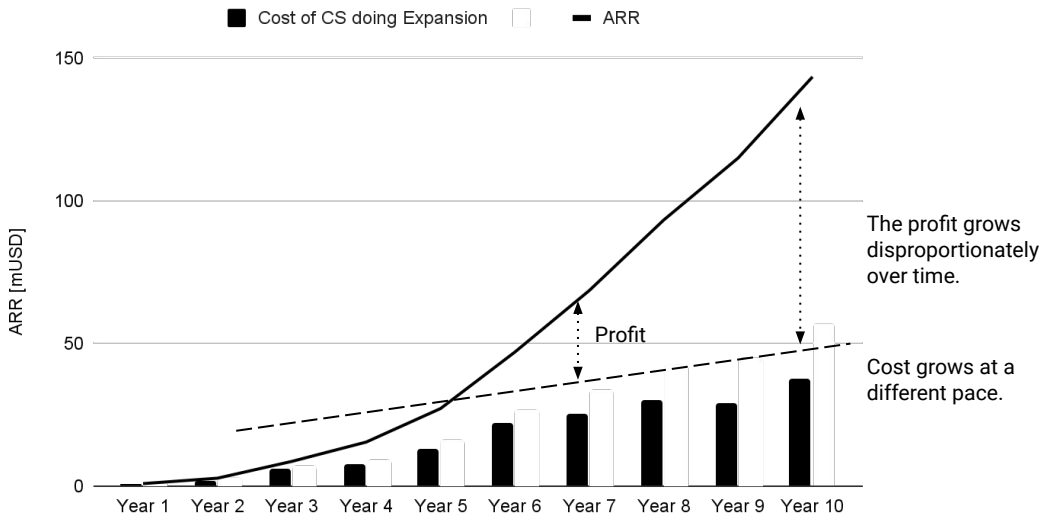
Running a recurring revenue business requires taking a long-term view. To demonstrate this, we will apply the data from Table 2.1 to a set of assumptions:

- Acquisition Cost represents 100% of the revenue acquired in the first year, so no profit is made in the first year.
- Retention Cost amounts to approximately 10% of the revenue retained each year, with the cost of expansion being double that of retention, accounting for 20% of the expanded revenue.

This scenario provides an overview of the total costs against total revenue, as depicted in Figure 2.6 below.

FIGURE 2.6

Gross profit increases over time as costs decline, driven by the shift in revenue growth towards renewals.



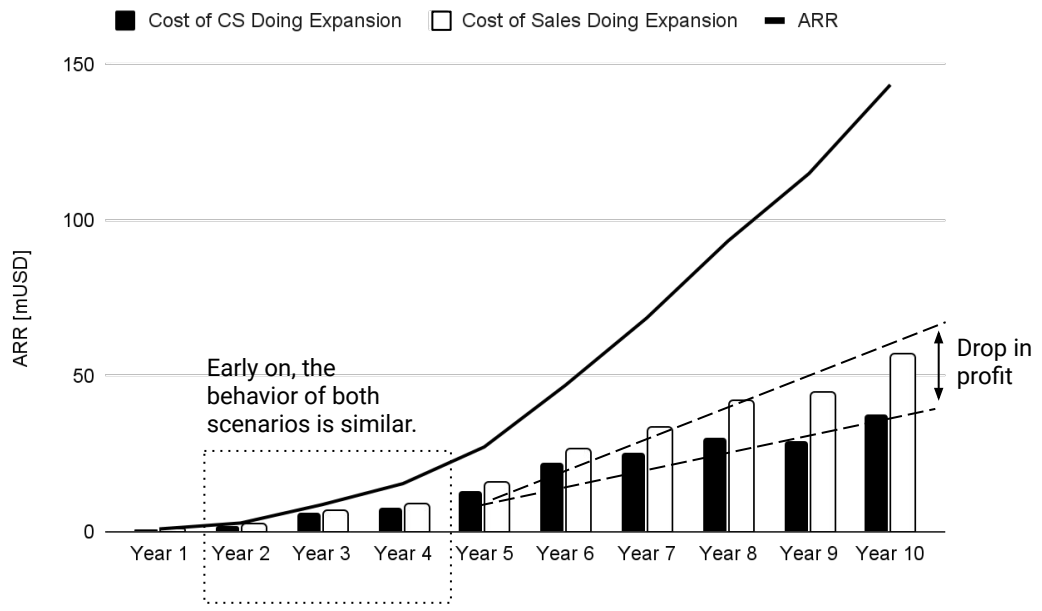
This illustrates a fundamental principle of a subscription business: as time passes, gross profit grows disproportionately. In the initial years, as seen from year 2 to year 4 in this example, profits may remain relatively low, but they continue to grow significantly over time. This underscores the profound impact of time. Compare this to a perpetual model where a set amount of profit is recorded just days after closing a deal.

This marks the beginning of where the true magic of recurring revenue begins: once a customer surpasses its revenue and profit targets, it continues to generate a growing stream of revenue that outpaces the associated costs, leading to increasing profits over time. In other words, as revenue continues to accelerate, so do the profits. These profits enable a company to maintain momentum through new product development, acquisitions, and increased spending on marketing and sales. It reflects the true power of the recurring revenue factory at work.

What Happens If You Assign Sales to Renewals and Expansions?

Success comes with its own set of challenges. A business built on a recurring revenue model is sensitive to even the slightest changes, be they positive or negative. To illustrate this point, let's consider a scenario where we assign the revenue acquisition team (the sales team) to handle expansions, and renewals for large deals. In this scenario, we assume that the acquisition cost remains at 100% of the revenue acquired, causing the cost of expansion to match the cost of acquisition. Additionally, we increase the retention cost to 20% of the revenue retained, as sellers selectively focus on securing the largest renewal deals.

FIGURE 2.7 ***Assigning the acquisition (sales) team to expansions and renewals significantly increases costs, leading to a substantial drop in profit.***



The Delicate Nature of a Subscription Business

Figure 2.7 reveals the significant drop in profits, a result of the increasing rise in costs. In the second and third years, there is minimal difference in costs. However, as customers mature, costs skyrocket, significantly impacting profits. This scenario serves as a stark reminder of the delicate nature of the recurring revenue model and underscores the importance of carefully managing the costs and strategies involved. These skyrocketing costs are not merely a temporary phase that companies go through.

In fact, at the beginning of 2023, a lionshare of all public SaaS companies, many of which had revenues measured in the hundreds of millions to billions of dollars in revenue, reported in their annual statements that they allocated more than 40% of their revenue to cover the cost of marketing and sales, and that this cost was increasing.

A Long-Term Impact of Short-Term Thinking

This demonstrates the adverse effects of decisions that are based on a misunderstanding of how the recurring revenue factory works and operating it as if it were a perpetual software business. The negative effects are often self-inflicted and directly tied to the short tenure of revenue leadership positions.

For instance, when a newly assigned chief revenue officer (CRO) aims to achieve growth targets and secure their bonus, they may opt to reassign sales responsibilities to handle all renewals and expansions, taking responsibilities away from the customer success team. The decision to hit a short-term growth target will have a detrimental impact on the customer lifetime value of thousands of accounts, leading to long-term consequences for profitability.

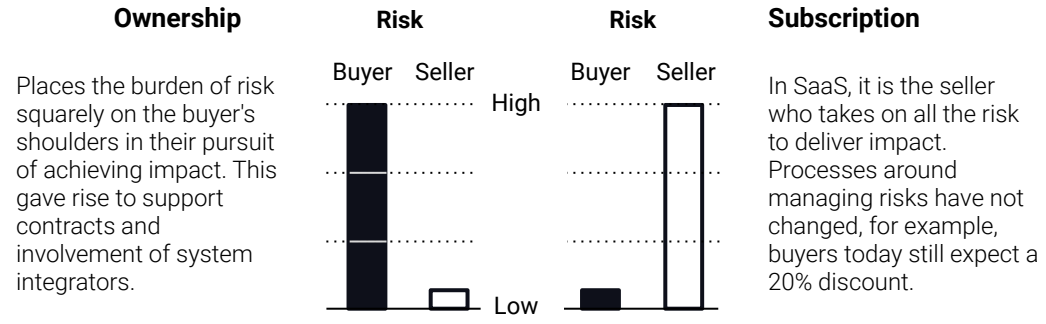
Summary: The real financial benefit of a recurring revenue model aren't immediate; it takes time, measured in years. It requires patience and strategic cost management. A slight mismanagement aimed to have a short-term impact can have significant consequences for profitability.

PRINCIPLE 4.

Recurring Revenue Shifts the Risk From the Buyer to the Seller

Up to this point, we have witnessed several shifts throughout the transition from an upfront-payment revenue model to a recurring revenue model. One of the most significant changes we have yet to address is the seismic risk shift in the purchase process: as the revenue model changes from ownership-based to subscription-based, the risk of the purchase shifts from the buyer to the seller.

FIGURE 2.8 ***In a subscription business the risk of the deal sifts from the buyer to the seller.***



Let’s go back to the year 2000 when a buyer purchased $10 million worth of internet routers; they paid for them up front. Products were typically built on demand by the seller and shipped to the customer's location. Legally, the buyer assumed all of the risk from the moment the equipment was picked up by the shipper. The buyer had to unpack, install, and operate the routers within their network. Since the buyer paid up front, any issues that arose were the buyer's responsibility. In fact, they had to pay an additional 20% fee for a maintenance and support contract.

Compare this to a subscription business, in which it is the seller who takes on most of the responsibility up front. This includes investing in infrastructure long before they even start generating revenue. Additionally, the seller must provide updates, maintenance, and support throughout the customer's subscription. It's a significant shift from the perpetual model, where a seller's profit came right after a sale, to a subscription-based model where profitability is achieved over years as customers renew, and the seller fulfills its commitments.

Trends Driven by Customer-Centric Behavior

As previously discussed, the nature of SaaS revenue, which is received incrementally on a monthly or annual basis, requires a significant amount of time, often 1 to 2 years or even longer, to recoup the acquisition costs and achieve the desired profit margins for the business. Consequently, early customer churn becomes a substantial risk. To mitigate this risk, providers must foster customer-centric behavior, encouraging customers to renew their subscriptions repeatedly. This involves fulfilling the promises made during the initial acquisition (sales) process, thereby establishing a long-term relationship with customers. This may help explain 2 recent trends:

- **Trend 1. Quality-based over quantity-based outreach programs:** Organizations focus on determining early on, in the lead generation process, if the targeted customer can actually achieve the desired impact and has potential for expansion.
- **Trend 2. Product-led growth (PLG):** With PLG, customers are self qualifying based on the impact they obtain early on.

Summary: Transitioning from upfront to subscription payment models shifts purchase risk from buyer to seller. This demands a customer-centric approach with a long-term relationship focus.

PRINCIPLE 5.

Recurring Revenue is the Result of Recurring Impact

When it comes to thinking about a subscription-based business, many people make a twofold mistake: first, they believe it's solely about generating recurring revenue, and second, they assume growth primarily comes from acquiring more customers.

So far, you have learned that recurring revenue growth is an outcome of growth from acquisition, retention, and expansion. Most of this growth comes from customers returning to you yearly or monthly to renew and expand their relationship with your product. They would not do that if it were not for the impact they receive from your products and services. Let's take Netflix as an example we are all familiar with.

If Netflix wants to generate recurring revenue from its customers, it must provide something valuable regularly and consistently. In the case of Netflix, that something is new content. If Netflix were to stop delivering fresh content to its audience, people would stop paying for the service within months, right? I mean, as a Netflix customer, you expect new content monthly in exchange for your monthly payment. If you, as a customer, do not perceive that you are getting fresh content consistently, you will stop paying. It's really that simple.

This example emphasizes the core concept of recurring revenue: to maintain it, you must consistently deliver the impact that customers anticipate from your products and services. If you fail to provide this impact, it's only natural for customers to cease their recurring payments. Or, in simpler terms, Recurring Revenue is the outcome of Recurring Impact.

Summary: Continual revenue relies on consistent delivery of value. Businesses must regularly provide impactful products and services to ensure customer loyalty and recurring revenue.

2.4 EXERCISES FOR FIRST PRINCIPLES

EXERCISE 2.1 **Obtain a Data Set**

Obtain the recurring revenue numbers and split them into 3 components of growth. Enter this in a spreadsheet similar to the one depicted in the table below. Do this over a minimum of 8 periods. The period can be a month, a quarter, or a year. For a product with longer sales cycles, your period should be longer, like quarters; for products with short sales cycles, your periods should be shorter, like months.

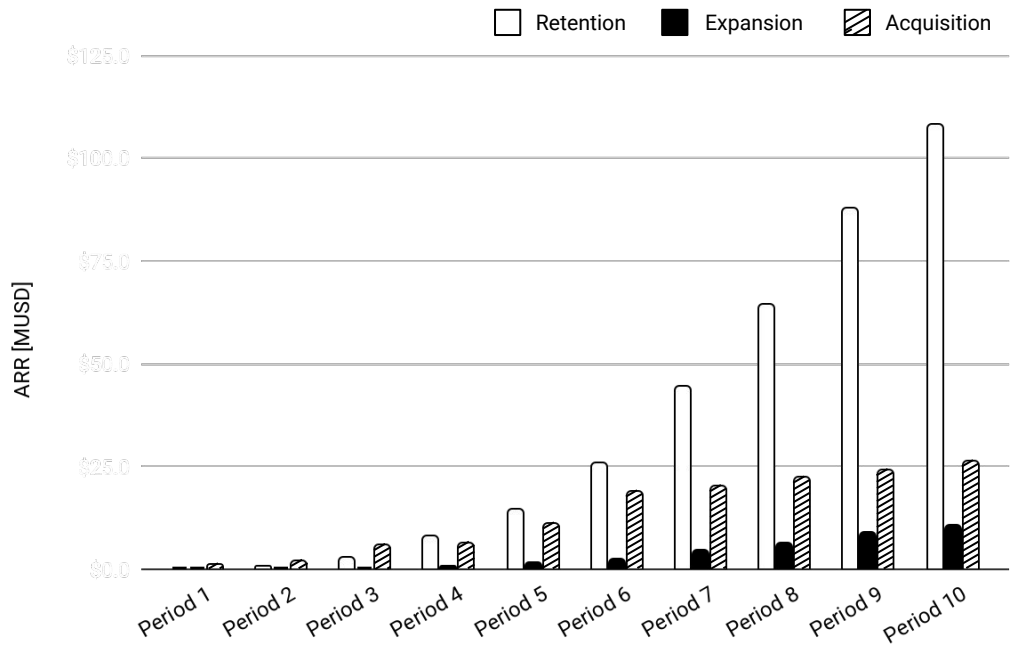
TABLE 2.2 ***Recurring revenue over 10 periods, split across 3 components of growth.***

Revenue	Acquisition	Retention	Expansion	Total
Period 1				
Period 2				
Period 3				
Period 4				
Period 5				
Period 6				
Period 7				
Period 8				
Period 9				
Period 10				

EXERCISE 2.2 **Plot These Numbers in a Column Chart**

Please select all the data and plot them in a side-by-side column chart with separate columns for acquisition, retention, and expansion. The chart should resemble Figure 2.9. Remember not to use a stacked bar chart, which won't helps us establish the trendlines per growth component.

FIGURE 2.9 ***Example of a column chart with the 3 different components of growth side by side.***



EXERCISE 2.3

Add a Trendline

If you are using Google Sheets, click on 1 of the 3 series, and add a trendline. Next, check the R^2 box, which indicates how accurately the trendline follows the data. Choose the type of trendline, such as linear, exponential, polynomial, etc. that results in an R^2 value as close as possible to 1. A 2nd or 3rd-degree polynomial trendline usually yields the best results, with an R^2 value around 0.98 or higher. Repeat this process for each series.

EXERCISE 2.4

Gain an Understanding

Study the trendline, and answer the following questions:

- **Question 1:** Where is most of the growth coming from today?
- **Question 2:** When will growth from retention exceed growth from acquisition?
- **Question 3:** When will growth from expansion exceed growth from acquisition?

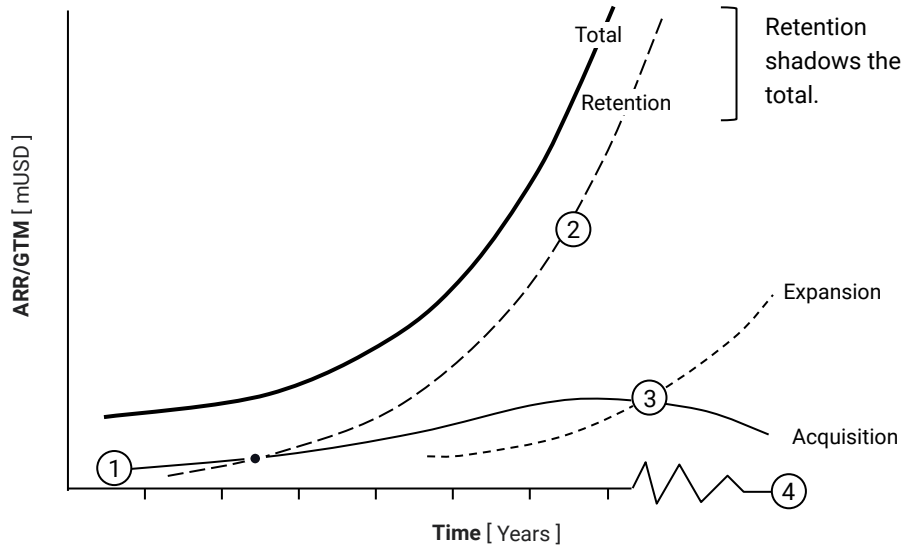
By completing these simple exercises, you now better understand where growth currently originates from and where it is trending.

2.5 RECAP FIRST PRINCIPLES

There are 3 key takeaways from this chapter:

- **Takeaway #1:** Growth in a recurring revenue model has 3 components: Growth from Acquisition (bringing in new customers), Growth from Retention (renewing contracts with existing customers), and Growth from Expansion (selling more to existing customers). Each component exhibits a different growth curve that can be used to model future growth.
- **Takeaway #2:** There are 4 stages of growth (see Figure 2.10). Initially, growth comes from acquisition ①; around $10M in ARR, it comes from retention ②, which forms the basis of exponential growth. Eventually, growth from expansion ③ exceeds growth from acquisition. Lastly, extending the customer lifetime provides a disproportionate amount of profit ④.
- **Takeaway #3:** Growth from acquisition depends on the organization promising value, whereas growth from retention and expansion are based on the company delivering on the value that was promised, which we have come to know as Impact.

FIGURE 2.10 ***The 4 stages of growth consisting of 3 components with growth curves for each.***



The recurring revenue factory is built around a high-performance engine, the power of which remains largely underutilized because we often don't understand how it works. By harnessing first principles thinking, we stripped down this complex topic to its foundational truths, and are able to model scalable, sustainable and durable growth, a topic discussed in the next chapter.

This is based on the following First Principles.

FIRST PRINCIPLES OF RECURRING REVENUE

Principle 1: Growth rates will taper off naturally.

Principle 2: Retention and expansion power growth beyond $10M in ARR.

Principle 3: The effects of recurring revenue take time.

Principle 4: The risk of a purchase shifts from the buyer to the seller.

Principle 5: Recurring revenue is the result of a recurring impact.

Understanding these principles of recurring revenue is essential for any executive. It will help them make informed and strategic decisions to navigate the rapidly shifting tides of the industry.

03

MODELS & DATA

03 | MODELS & DATA

The technological miracle that occurred during the start of 2020 saw over a billion people utilize cloud-based applications, with relatively few infrastructure issues. In this chapter, you will learn where things broke and how to fix them. We will employ a scientific approach called "models & data," which builds on the insights derived from first principle thinking discussed in the previous chapter: that growth comes from acquisition, retention, and expansion.

Next, we are going to approach growth using a series of models. Models are simplified representations of a lot of data. They are to interpret, predict, or explain the data from real-world GTM phenomena. In essence, while data offers the raw information, models provide the tools to understand and utilize that information effectively.

It is Time to Think Beyond Trends

The past years have shown that mindlessly following popular GTM trends promoted at conferences and online workshops rarely works. Just because a particular approach worked elsewhere doesn't mean it will work for your business. Worse, each new approach comes with its own tools, content, and unfamiliar disciplines, making it costly and time-consuming. This chapter teaches you how to leverage models before implementing the latest trends. Ask yourself: What worked? What didn't? And will it work for us?

Leveraging Models for GTM Success

Drawing inspiration from Scott Page's book, *The Model Thinker*, we'll explore the world of modeling behavior to unlock the full potential of recurring revenue growth. You will learn that models have revolutionized various fields for hundreds of years, and now it's time for GTM teams to use them to unlock the full potential of recurring revenue growth. In the end, you will have learned about the 6 essential models governing recurring revenue and how they are combined to create a recurring revenue system.

3.1 MODELS EXPLAINED

You may wonder how models work and how to apply them to growing recurring revenue. In short: we use models to capture scientific observations and transform them into practical frameworks, much like blueprints. Now, before the term "science" has you anticipating terminology-heavy explanations or intricate equations, let's pull back the curtain a bit. Science, at its core, is the study of our natural world. It fuels our curiosity about how our world works, reminiscent of our childhood days when we probed, explored, and questioned.

Models are Neither 100% Accurate Nor 100% Complete

While models aren't perfect representations of reality, well-designed models can encapsulate the experiences of thousands of data points. They are a powerful tool for understanding, explaining, and predicting phenomena. We see the results of modeling all around us: in architecture, where models help design buildings and structures with precision, and in the medical field, where models aid in predicting disease outcomes and treatment effectiveness.

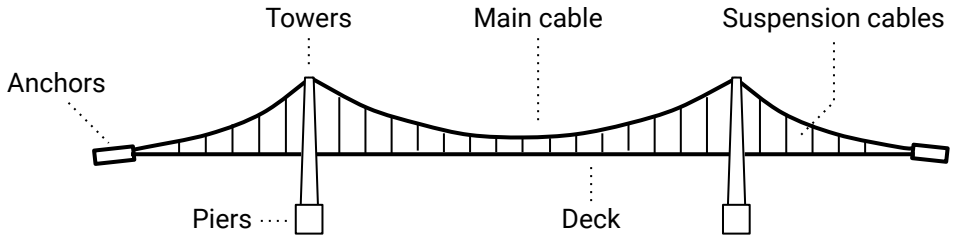
Models are simplified representations of reality; they explain and predict the behavior of something we see today. However, models, by definition, are incomplete and thus not 100% accurate. Models are based on data and simplifications, and they have limitations due to their finite nature compared to the infinite complexity of the real world. We can improve the accuracy of a

model by combining it with other models. Next, we will present examples of other disciplines that have used models. This will help us construct a holistic and robust framework for recurring revenue growth.

Example 1: Civil Engineering – Dividing a Structure into Models

Models are fundamental in the field of civil engineering. For thousands of years, civil engineers have been tasked with designing structures like bridges that must function reliably 100% of the time and endure for as long as 100 years. Take the Golden Gate Bridge as an example. As described in the Preface, this iconic structure is one of the world's largest suspension bridges. Its design addresses the strong winds and seismic activity prevalent in the area. How can a bridge designed in 1935—built as the "largest ever"—work safely, function properly, and last this long? Because they used modeling.

FIGURE 3.1 ***The design of a suspension bridge can be broken down into 6 components.***



Every suspension bridge consists of the same 6 components, assembled in the same way each time: The towers are built on piers. A main cable is strung over the top of the towers and between 2 heavily fortified anchors. From the main cable, the deck is suspended through a series of suspension cables.

Engineers have mathematical models for each of these 6 components, scaling them up or down and combining them to simulate how the system responds under varying circumstances. They then build a prototype to stress test individual components or the design as a whole in a real-life scenario.

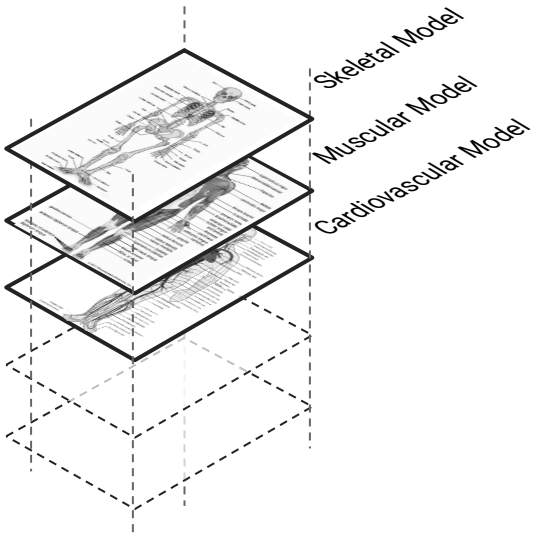
Models Can Bridge Knowledge Gaps

The modeling approach was particularly useful for building the Golden Gate Bridge, as it allowed engineers to capture all available knowledge up to that point. Once the model was verified, adjustments could be made to match requirements unique to the location. By connecting models of individual components, engineers could create a simulation, allowing for different scenarios to be tested. For example, if the towers increase in height, the main cable must be thicker. Today, 90 years after its original design, the Golden Gate Bridge remains one of the world's most iconic bridges, largely thanks to modeling.

Example 2: Human Anatomy – A Case for Combining Models

Let's take a closer look at human anatomy and the use of models. The skeletal system represents the bone structure common to nearly all humans. Similarly, the muscular model showcases our muscle layout. Each model offers a unique view, but neither provides a complete understanding of human movement. Only when we combine the skeletal, nervous, and muscular models do we gain an understanding how humans move.

FIGURE 3.2 ***Human anatomy can be described by a series of models.***



- The human anatomy can be described by a series of models.
- Each model is 100% accurate.
- A single model does not provide an accurate picture of how a human as a whole works.
- Different models provide a different perspective.
- Combining models increases the accuracy.
- It takes multiple models to create an accurate picture of how the human body works.

Combining Models Increases Accuracy

This human anatomy example shows that although a single model may not provide a complete picture, combining models gives us a more precise understanding. The same is true for a recurring revenue system; a single model, such as the Growth Model, may not accurately represent how recurring revenue growth works. However, combining this with the GTM model provides us with a more accurate picture.

Moving forward, combining multiple models will give us a more accurate overall picture that can help us make informed decisions, test hypotheses, and increase our understanding of the inner workings of a recurring revenue system. But models can do more—much more. They can help us better understand how things work and provide a framework to engage in conversations across languages and cultural barriers.

Next, we are going to introduce you to 6 models to set the stage. Each of these models will be detailed in Part II and Part III.

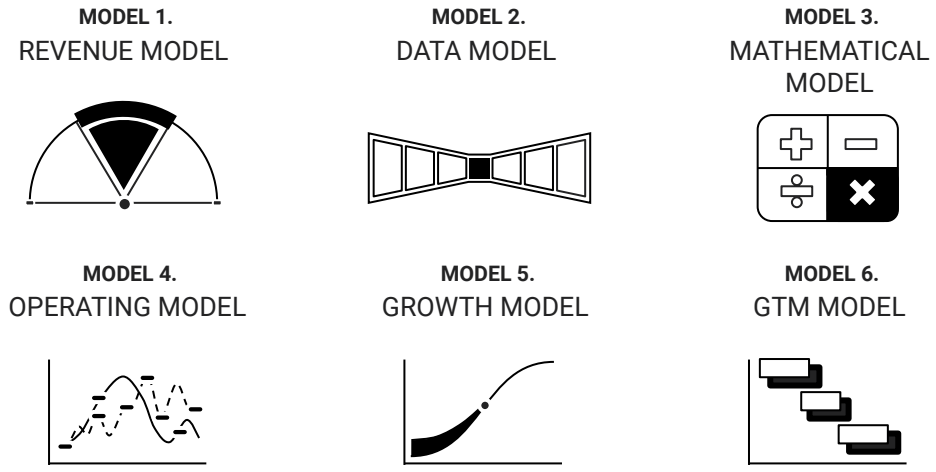
3.2 THE SIX ESSENTIAL MODELS

Now that you understand how modeling works, we'll use this knowledge to construct a scalable, sustainable, and durable recurring revenue engine. As discussed in the previous chapter, recurring revenue growth consists of 3 components—acquisition, retention, and expansion—with the GTM team responsible for designing, building, and operationalizing the necessary systems and processes.

And this is where Revenue Architecture comes in: similar to our earlier examples with the bridge and human body, we'll first break down the GTM operation into essential parts. Then, we'll use models to simulate each part's functionality. Finally, we'll combine these models to simulate the entire system before deploying a solution in the field using systems and processes.

Based on working with over a thousand SaaS companies, and with thousands of revenue leaders we have distilled the recurring revenue factory into 6 essential models: The Revenue Model, The Data Model, The Mathematical Model, The Operating Model, The Growth Model, and the GTM Model.

FIGURE 3.3 ***The 6 essential models that govern a recurring revenue business.***



Let's provide an overview of each of the 6 essential models.

Model 1. Revenue Model

The Revenue Model identifies 3 distinct monetization strategies: ownership, subscription, and consumption. Each of these strategies hinges on a unique revenue model based on a different first principle:

- **Ownership** is reliant on upfront payments. This model is typically seen with perpetual software licenses and on-premise hardware sales.
- **Subscription** is based on periodic payments, commonly associated with subscription-based services like SaaS.
- **Consumption** revolves around payments that correspond to the amount consumed. This approach is found in ride-sharing platforms such as Uber or Lyft, where users are charged based on the duration of their trip.

And herein lies the problem: most recurring revenue businesses still operate on an ownership-based model with a perpetual software monetization strategy.

Model 2. Data Model

For the past 100 years, we have used the marketing and sales funnel to capture growth from acquisition. However, growth from both retention and expansion falls outside the purview of the marketing and sales funnel. The funnel stops where recurring revenue begins.

We are introducing a new Data Model that spans the entire customer journey. It leverages the existing funnel but extends to provide equal emphasis on the stages leading to Retention and Expansion, in addition to those leading to Acquisition. This is visualized as a Bowtie. By superimposing a uniform layer of metrics, it creates a standardized Data Model. These metrics are categorized as follows:

- **Volume metrics** can include the number of leads, the amount of monthly recurring revenue (MRR), and the number of active seats.
- **Conversion metrics** can include lead conversion rate, win rate, and net revenue retention (NRR).
- **Time metrics** include the sales cycle, time to first impact, and the customer's lifetime, but can expand to more detailed metrics involving the time it takes to set up a demo instance, for example.
- **Performance metrics** combine different metrics, such as a volume metric vs. a conversion metric, the number of leads vs. win rate, or the performance per rep. Performance metrics become powerful when you compare 2 conversion metrics against each other, such as win rate vs. churn.

The Foundation for AI-Driven Revenue Architecture

Establishing a standardized data model and a data structure is essential for effectively utilizing AI's capabilities and achieving optimal results in terms of growth, cost reduction, and customer impact. While those lagging behind may limit their AI applications to specific tasks, industry leaders will use Revenue Architecture to set up the data model and structure as their initial step.

Model 3. Mathematical Model

When asked how to double their revenue, many revenue leaders instinctively respond by requesting twice as many leads and insisting on doubling the size of their team to engage with the additional leads. This direct, linear approach sharply contrasts with the inherently exponential nature of recurring revenue growth. Because of the nonlinear characteristics of exponential growth, businesses utilizing a recurring revenue model are highly sensitive to even marginal gains or losses.

The Mathematical Model provides us with a universal language that underpins much of our scientific and technological advancements. The mathematics of a recurring revenue engine can be broken down into 2 distinct parts:

- **Part 1. Acquisition:** Here, growth is driven by the repetition, or frequency of tasks. Each task can influence subsequent tasks. For example, meetings, in which one meeting influences the outcome of the next meeting.
- **Part 2. Retention and Expansion:** In this case, growth is directly tied to repetition over time. An example is an annual increase in price, which compounds over time.

Understanding the nuance of how recurring revenue-based growth engines work is a crucial differentiator between merely surviving and truly thriving.

Model 4. Operating Model

Success in a recurring revenue model relies on various customer-facing roles working together efficiently as a cohesive system, which can be facilitated by implementing an operating model. This model helps ensure that different functions within the organization align their efforts to support recurring revenue growth effectively. Moreover, the lack of a unified approach across a diversity of GTM motions has resulted in the use of mismatched tools and conflicting methodologies. Additionally, it has at times led to bad hiring decisions that place individuals in roles not best suited to their skills or experience. Such misalignments not only drive up costs but, more importantly, cause delays.

The Operating Model is built upon 3 core elements:

1. **Establish a standardized Data Model:** Drawing upon the metrics and details outlined in Model 2, and referred to as the Bowtie.
2. **Adopt a common language:** A consistent vocabulary across all GTM roles, aimed at helping a customer achieve the desired impact.
3. **Implement a uniform methodology:** Create seamless communication throughout the entirety of the customer journey.

The Operating Model aims to foster seamless interaction both within an individual GTM motion as well as collectively across multiple GTM motions. This seamless interaction becomes paramount, especially for Scaleups and Grownups that, propelled by their growth ambitions, are required to swiftly diversify and launch multiple GTM motions.

Model 5. Growth Model

A thriving recurring revenue business progresses through 4 distinct stages:

- **Startup:** With revenue ranging from $1M to $10M, this stage often sees an early stage funding round (A/B round).
- **Scaleup:** Here, revenue grows from $10M to $500M, it is typically accompanied by a late stage funding round (C/D/E/PE round) and is the result of revenue from multiple products and different GTM motions.
- **Grownup:** This post-IPO/PE stage witnesses revenues climbing to a billion dollars and requires a phase shift from a growth focus to a focus on profit.
- **Enterprise:** This is the zenith where a public SaaS company exceeds $1B in revenue for each of its product lines.

Each stage heralds a phase shift characterized by distinct initiatives, stakeholders, performance metrics, and resource assignments. As we delve deeper, you'll gain insight into the intricacies of these growth stages. Mastering how to understand and adeptly navigate these stages empowers GTM teams to carve out a clear roadmap toward scalable, sustainable, and durable growth.

Model 6. The GTM Model

The GTM Model combines the efforts of all functions interacting with customers, encompassing marketing, sales, and customer success. It comprises people, systems, and tools. The GTM Model can include various GTM motions. While different names exist for GTM motions, we have standardized them based on process complexity:

- **No Touch:** Customers are used to marketing, selling, and servicing the product.
- **Low Touch:** Primarily uses AI with personal engagement for complex situations.
- **Medium Touch:** Involves a sales development representative (SDR) who qualifies customers and then hands them off to an AE.
- **High Touch:** AMs manage large accounts, often with technical assistance from a sales engineer or solutions architect.
- **Dedicated Touch:** A team focused on one large (F500) account. This can be managed by an executive who runs a large group and reports directly to the CEO.

Note that each GTM motion can have a channel and a direct option. The lack of understanding about how the GTM Model works often leads to costly mistakes, such as selecting the wrong GTM motion, implementing the right one incorrectly, or inadvertently mixing multiple GTM motions. These mistakes can be particularly costly due to the involvement of personnel.

Summary of the Six Essential Models

Now that you have an understanding of all 6 of the essential models, it's important to recognize that they don't operate in isolation. Instead, they interact with each other in a specific way, forming a structure to which there is a hierarchy. Let's delve into the structure of these models in the next paragraph.

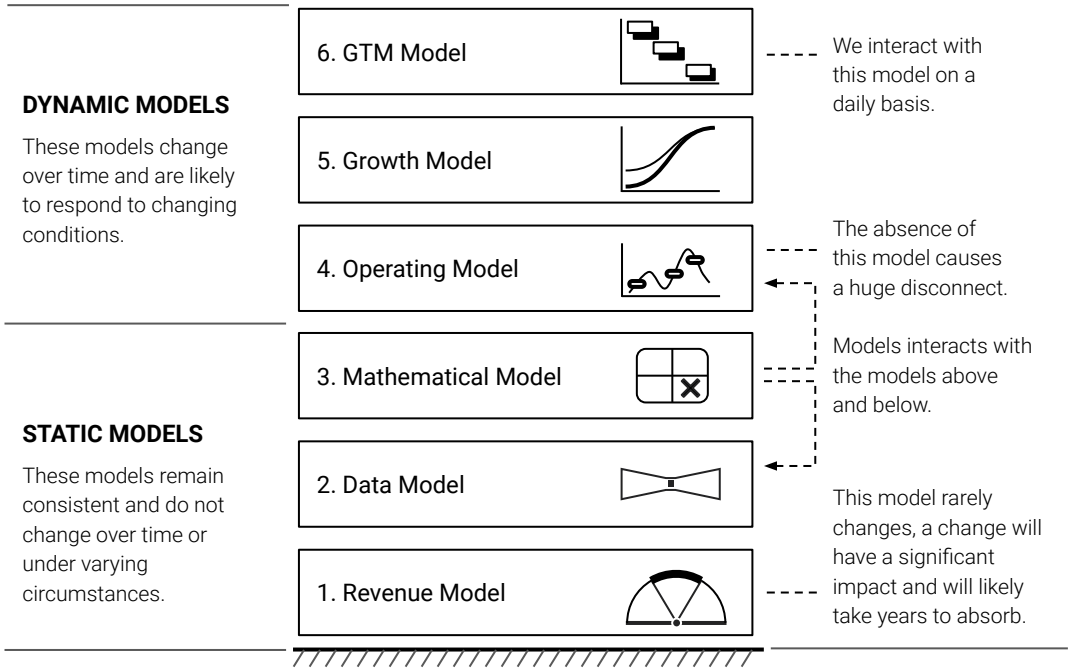
3.3 STRUCTURE OF THE MODELS

There is a hierarchy to the 6 essential models.They are structured like layers sitting on top of each other, with the most fundamental model, the Revenue Model, forming the base. This is not a surprise as the Revenue Model outlines how a business expects to generate revenue growth, affecting all the models layered on top. Revenue Architecture is the discipline that ensures that each model has been appropriately designed, that they are structured in the correct order, and that all models interact correctly with each other.

3.3.1 The Structural Hierarchy of the Six Essential Models

Each model interacts with those above and below it. The models at the bottom of the structure (Models 1 to 3) are more static, meaning they are unlikely to change frequently. For instance, you wouldn't want to switch away from a subscription-based Revenue Model overnight or modify your Data Model often.

FIGURE 3.4 **The structural hierarchy of the 6 essential models, and the separation of dynamic and static models.**



In contrast, the models higher up in the structure (Models 4 to 6) are dynamic, allowing for frequent changes to the GTM Model. For example, many companies launch a new GTM motion every few years.

Today, when a business launches a new GTM motion, it can be done at will by an individual revenue leader, who may not be fully aware of the widespread impacts. When a business launches a new GTM motion, someone disciplined in Revenue Architecture should first review the consequences on each of the 6 essential models, starting at Model 1 and working their way up layer by layer.

At the top, we find the GTM model, which consists of multiple GTM motions. This is the only model with which humans physically interact through tangible actions. Each model interfaces with the others layered above and below.

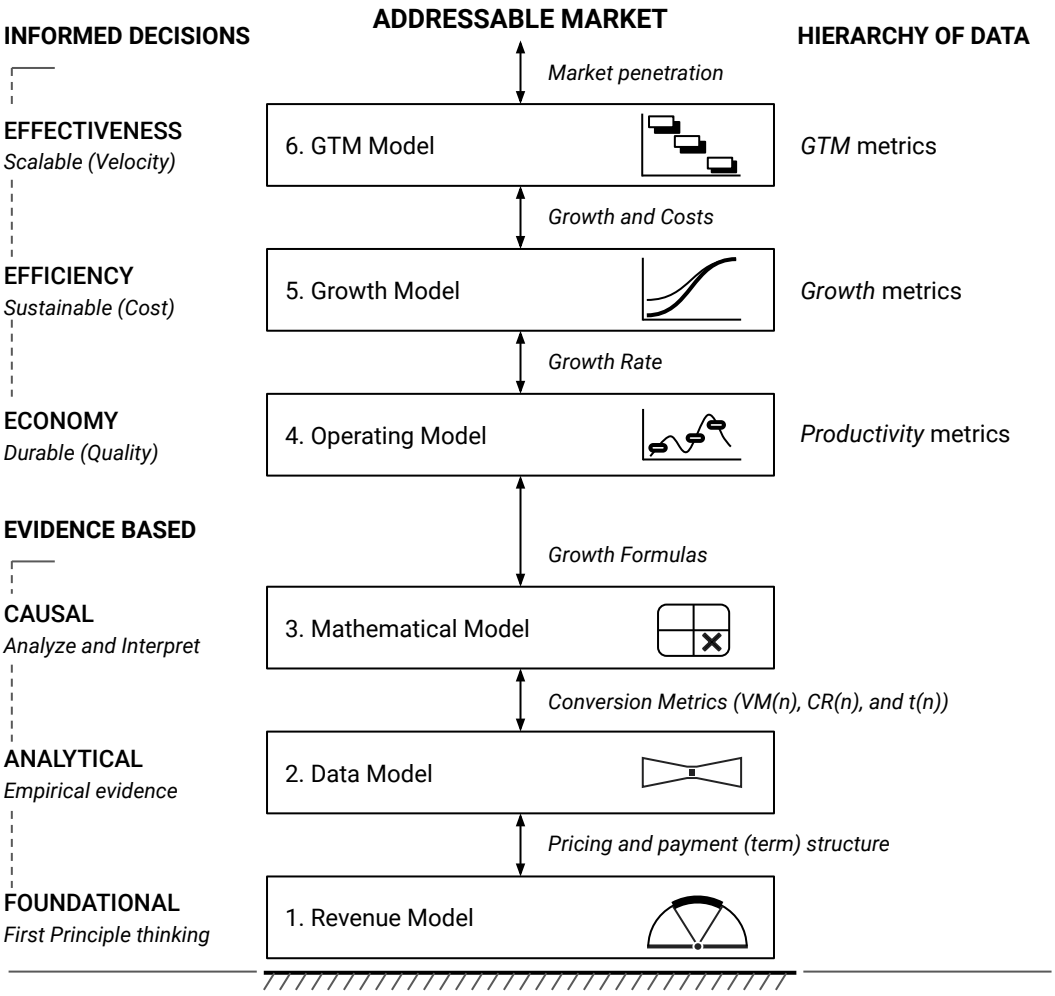
3.3.2 The Organization of Data

The layered approach now enables us to structure data, with each layer serving a specific purpose and interacting with other layers through data to fulfill that purpose (see Figure 3.5).

Let's break it down, starting from the top with the addressable market: we utilize a GTM motion to generate revenue from the targeted market against a cost. This cost can take various forms, including advertising campaigns, salespeople, tools, and more, all contributing to scalable growth. In this context, scalable growth means that the more resources we invest, the more we scale the revenue. This leads to an increase in the growth rate, but it also comes with higher costs that affect the profit margin, thus impact sustainability.

The past few years have taught us on the importance of the cost of growth and striving for sustainable growth. Sustainability, in this context, means that costs like CAC and CTS are on a downward trend. To achieve this, we must rely on performance metrics like revenue and revenue/GTM motion. This approach ensures that the organization makes wise investments in growth where its investments yield the highest reward.

FIGURE 3.5 ***The structure of the 6 essential models, and the organization of data.***



When we examine the CAC/CTS metrics more closely, we quickly discover that the most effective and sustainable growth stems from self-perpetuating growth. In this scenario, new customers are drawn in through referrals from existing customers, and existing customers not only renew but also expand their engagement with the business. This is a reflection of having the right customers, which creates durable growth.

Informed Decisions

The "3 Es" (Effectiveness, Efficiency, Economy) are used for evaluating and improving various aspects of an organization's operations, processes, and decision-making. Here's how each of them is typically applied:

- **Effectiveness**: The degree to which goals and objectives are achieved using a specific GTM motion(s). This is where you find Scalable Growth.
- **Efficiency**: The ability to achieve goals with minimal wasted resources (e.g., time, money, or effort). This is where you find capital-efficient and sustainable growth.
- **Economy**: The optimization of resource utilization to achieve desired outcomes in a cost-effective manner. This is where you find quality metrics such as Productivity (quality metric for performance) and Impact (quality metric for a product's ability to deliver recurring results.

In practice, the 3 Es are often used together to make informed decisions and improvements. For example, an organization might assess the effectiveness of its marketing campaign by examining whether it achieved its intended results (Effectiveness). It could then analyze how efficiently it used its marketing budget to reach those results (Efficiency). Finally, it might consider whether there are more economical ways to achieve the same outcomes without increasing costs (Economy). The 3 Es provide a framework for organizations to evaluate, optimize, and balance their performance in a way that aligns with their goals and resources.

Evidence Based Decision-Making

In scientific research, engineering, and economics, the dynamic interplay between first principles, data, and mathematics is essential for understanding, explaining, and predicting complex systems and phenomena. First Principles serve as the foundational building blocks upon which theories, models, and hypotheses are constructed, providing the crucial theoretical framework that guides scientific and analytical investigations. Data, in contrast, represents empirical evidence collected from the real world, serving as the practical link connecting first principles and data. Mathematical models, derived from these first principles, facilitate the analysis and comprehension of data, allowing for predictions and refinement of theoretical frameworks. This synergy drives evidence-based decision-making and significantly enhances our ability to tackle intricate real-world challenges like the ones we are dealing with.

Scalable, Sustainable and Durable Growth

To build a durable growth engine, organizations must go from driving the business based on "gut feeling" to making informed and evidence-based decisions. Despite notable progress in this area, even the most advanced organizations continue to struggle with relatively immature Data Models, making the pursuit of scalable, sustainable, and durable growth challenging.

3.4 EXERCISES ON MODELS

These exercises are designed to get you thinking about how these models could be used. It might be helpful to do them after reading Chapter 3 and return after reading Parts II and III once you understand the models in greater depth.

EXERCISE 3.1 Growing from $10M to $30M in ARR, which models are affected and how?

Six Essential Models	Affected?	How is the model affected?
1. Revenue Model	☐ Yes	_____
2. Data Model	☐ Yes	_____
3. Mathematical Model	☐ Yes	_____
4. Operating Model	☐ Yes	_____
5. Growth Model	☐ Yes	_____
6. GTM Model	☐ Yes	_____

EXERCISE 3.2 Changing from perpetual to subscription, which models are affected and how?

Six Essential Models	Affected?	How is the model affected?
1. Revenue Model	☐ Yes	_____
2. Data Model	☐ Yes	_____
3. Mathematical Model	☐ Yes	_____
4. Operating Model	☐ Yes	_____
5. Growth Model	☐ Yes	_____
6. GTM Model	☐ Yes	_____

EXERCISE 3.3 **Launching a new GTM motion, which models are affected and how?**

Six Essential Models	Affected?	How is the model affected?
1. Revenue Model	☐ Yes	_____
2. Data Model	☐ Yes	_____
3. Mathematical Model	☐ Yes	_____
4. Operating Model	☐ Yes	_____
5. Growth Model	☐ Yes	_____
6. GTM Model	☐ Yes	_____

EXERCISE 3.4 **Understand the Data Structure by connecting models to the right letters.**

Draw lines to connect the models to the right metrics. Once you have done this read off the metrics in the right order, and build a story of the data structure.

1.	Revenue Model	A.	Growth Rate
2.	Data Model	B.	Conversion Metrics
3.	Mathematical Model	C.	Productivity Metrics
4.	Operating Model	D.	Growth Formula
5.	Growth Model	E.	Market Penetration
6.	GTM Model	F.	Pricing

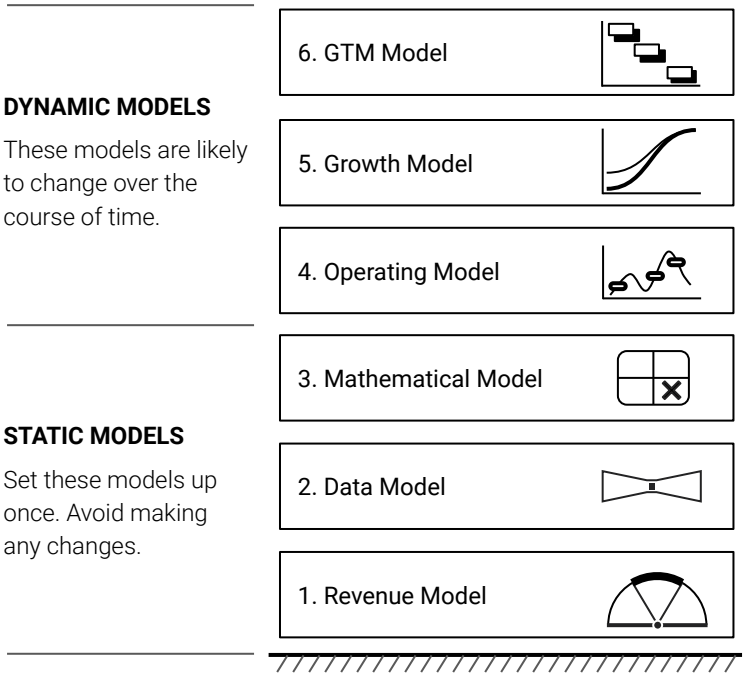
EXAMPLE

3.5 RECAP MODELS

Just as civil engineers use models to design and test the reliability of structures like bridges, business leaders can rely on these 6 essential models to design, prototype, and test the reliability of a recurring revenue factory.

These models interact, creating a layered structure with static models at the base and dynamic models at the top. Individually, each model serves as an insightful framework, but together, they form a structure that demystifies the intricacies of a recurring revenue system. This aids GTM teams in understanding how a recurring revenue–based growth engine functions and clarifies their roles within it.

FIGURE 3.6 **The 6 essential models hierarchically structured in layers.**



Additionally, it assists organizations in anticipating how changes to their systems and processes can impact growth, enabling informed, evidence-based decisions on fund allocation for growth.

While these 6 essential models can't turn an underperforming product into a blockbuster service, they do illuminate a path to success, helping navigate around obstacles that have tripped up countless others. This doesn't guarantee a smooth journey; companies will still encounter challenges—it's part of the process. However, these challenges should primarily arise from product issues, while failure due to choosing the wrong GTM motion, executing a poorly designed process, or hiring the wrong person for the job should be minimized.

In the following chapters, we will delve deeply into each of these models to develop a clear understanding of how your business operates and how it responds to your operational decisions. Along the way, you'll frequently experience 'Aha' moments, gaining insights into why things succeeded or failed in the past.

04

SYSTEMS & PROCESSES

04 | SYSTEMS & PROCESSES

Like any factory, the Recurring Revenue Factory operates on *systems* and *processes*. This chapter delves into the systems and processes that govern a recurring revenue factory and that deliver recurring impact, causing efficient growth.

In the first part of this chapter, we will explore systems. We will learn that the marketing and sales funnel is a system that was designed to acquire perpetual revenue. The generation of recurring revenue falls outside the purview of the marketing and sales funnel. This tells us that to succeed, organizations must adopt a new system that encompasses not only the acquisition of revenue but, importantly, the retention and expansion—the sources of recurring revenue, as discussed in the chapter on first principles. You will come to know this recurring revenue system by its nickname: the Bowtie.

In the second part of this chapter, we will explore processes. The critical point here is that most organizations are people-centric. Such organizations scale their businesses through staffing; you can recognize this as they hire more people when things go well, and when issues arise, they are quick to blame and fire employees. This often coincides with an opinion-based culture. In contrast, a process-centric organization, whether the results are favorable or not, prioritizes the scrutiny of underlying processes from a data-centric perspective. This coincides with a causality-based culture.

These systems and processes are applied to help achieve the 3 goals of a revenue factory:

- **Achieve Growth:** By utilizing closed-loop systems.
- **Lower Costs:** Use of iterative improvements of processes, accomplished via the use of technology, use of ordinary people, or a combination of both.
- **Recurring Impact:** Emphasis on the impact delivered, not the product itself.

Having set the stage, let's begin by understanding the recurring revenue factory, the Bowtie, and why it is so critical to a recurring revenue stream.

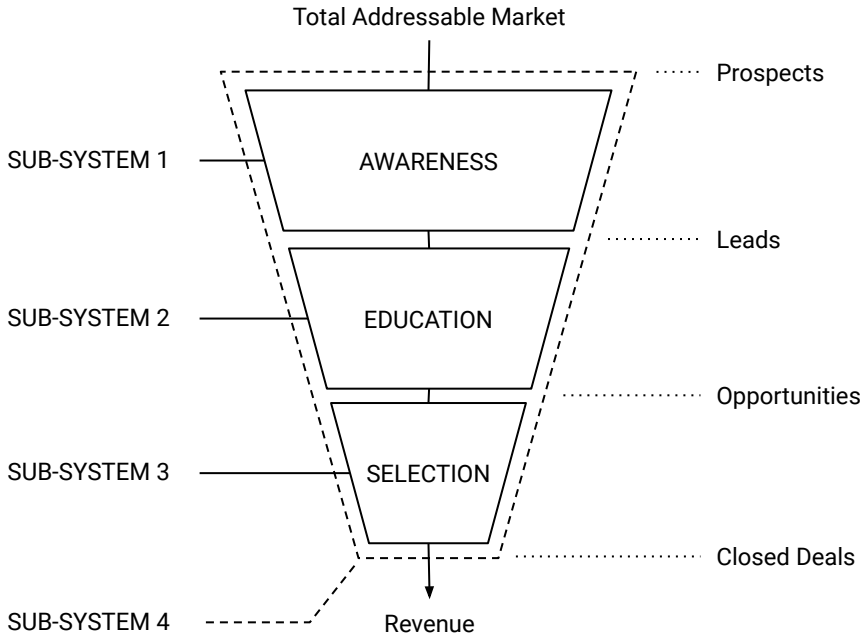
4.1 SYSTEMS EXPLAINED

A system is simply a set of interconnected business functions that work together to achieve a specific goal. You're likely already familiar with the marketing and sales funnel. Well, the marketing and sales funnel is, in fact, a revenue acquisition system designed to convert prospects into perpetual revenue. Historically, it relied on functions like lead generation and lead development to drive growth. By exploring the limitations of the marketing and sales funnel, we will identify missing elements from which we will construct a new system, purpose-built for recurring revenue, called the Bowtie.

4.1.1 The Marketing and Sales Funnel

The classic marketing and sales funnel functions as a revenue acquisition system. It comprises 3 sub-systems, commonly referred to as stages. Ideally, the top-of-the-funnel (TOFU) is rich with prospects, indicating a substantial and accessible market. These prospects engage with content designed to raise *awareness* of potential problems (Leads). Subsequently, they receive *education* on various problem-solving approaches (Opportunities). As they progress through the funnel, they reach a decision point where they *select* the right solution for their needs. For the seller this results in a closed deal, securing revenue and the acquisition of a new customer (Closed/Won).

FIGURE 4.1 ***The classic marketing and sales funnel functions as a revenue acquisition system consisting of 4 sub-systems, with the fourth being the funnel as a whole.***



- **Sub-System 1. Awareness:** Utilizes a series of touchpoints to transform prospects into leads by raising awareness around a problem the prospect is experiencing and the implications of inaction on their business. These touchpoints can encompass activities like filling out a form on a website, downloading content, attending online events like workshops, or watching demo videos. In this context, a lead refers to an individual interested in your products or services. At the end of the lead generation process, you unsurprisingly end up with... leads.

  Leads differ from prospects in that they have expressed interest in some way, defined slightly differently for each company. It could be attending a webinar, download a research paper, comment on a post, or as simple as an inbound request via the website. You have a way to contact them through email, social media, or phone. However, it's crucial to note that although they may have attended a workshop or watched a video, they may still not be ready to learn more about your offering.

- **Sub-System 2. Education:** In this stage, the customer educates themselves with insights into the problem and solution. The goal of this process is to fully understand the impact of the product and determine its priority. This conversion turns a lead into a qualified opportunity. The conversion into a qualified opportunity depends on the GTM motion.

  In a Medium Touch motion, for example, a Development Representative (SDR) may engage with the lead, qualifying them through conversations, which can occur via a call, email, or LinkedIn message. The most common approach for a buyer is through either a self-serve demo (or video) or an online discovery call, during which a salesperson assesses the customer's issue, determines the urgency with which the customer views it, and evaluates the ability of their product to assist the customer effectively.

- **Sub-System 3. Selection:** This guides customers through a decision- making and purchasing process. It can be as simple as providing a link to a webpage for placing an order, or it can involve a series of meetings spread across a months-long decision process where the seller works closely with the customer to answer questions and address the customer's needs.

  Selection often includes educating stakeholders throughout the buyer's organization. This may include, conducting a proof of concept (POC), to help validate the decision with a proposal that presents the return on investment (ROI). In an ownership-based strategy, the seller closes the deal, and the customer transfers the money to the seller within 30 days after closing, converting the opportunity into revenue.

This classic approach concludes with the seller marking the deal as "Closed" in their CRM and moving on to the next opportunity. This is a proven process that has served B2B organizations well. However, it's essential to recognize that this process was designed over a century ago. It has since been used extensively for on-premise hardware sales and, more recently, perpetual software sales. Let's not forget that recurring revenue has distinct characteristics, and therefore encounters the limitations of the marketing and sales funnel.

- **Sub-System 4. The Acquisition System:** There is one more system that comes into play, namely, the combination of the the 3 individual sub-systems which collectively form a revenue acquisition system. This acquisition system operates as its own system with its own characteristics.

  The metrics of the acquisition system are ARR growth, the rate of Growth, and acquisition cost (CAC), for example. This is where the problem with growth at all costs incurred.

By acknowledging the existence of an overarching acquisition system that interconnects the 3 sub-systems, you'll gain a clear understanding of the constraints.

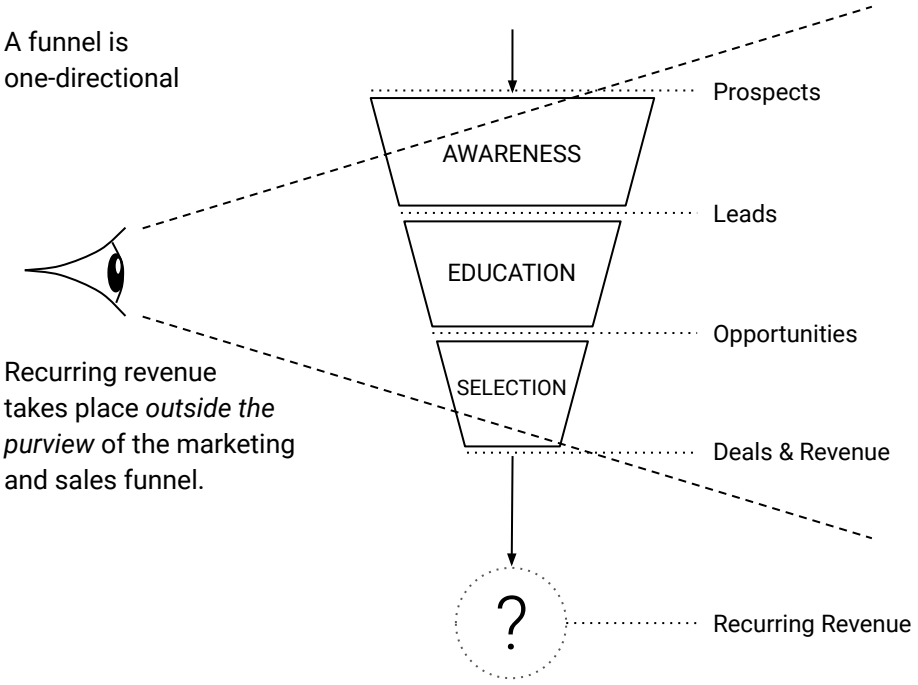
4.1.2 The Constraints of the Marketing and Sales Funnel

As we build a new system to cover the whole revenue stream, we must take a closer look at the constraints of the classic marketing and sales funnel affecting recurring revenue, in order to overcome them.

- **The funnel does not cover recurring revenue:** To state the obvious, 2 out of 3 revenue growth engines (retention and expansion) are taking place outside the purview of the funnel. Currently, recurring revenue, revenue growth, and profits all take place outside the purview of the marketing and sales funnel. The classic marketing and sales funnel, which has served our industry for over 100 years, ends where recurring revenue begins.
- **The funnel is seller-centric:** A seller-centric funnel focuses on closing deals by promising the value of a solution. Recurring revenue focuses, by definition, on what the product does for the customer: Impact. This seller-centric approach can be found all too often in organizations with a maniacal focus on winning more deals, creating an insatiable hunger for (more) leads. It is challenging for a company to outgrow this mindset, and all too often, it comes down to a refresh of the leadership team.

- **The funnel is one-directional:** Prospects enter the top of the funnel and flow downward until they exit at the bottom. This leads revenue organizations to model their processes wrong, as most customers go back and forth between the different functions.

FIGURE 4.2 ***Recurring revenue takes place outside the purview of the marketing and sales funnel.***



- **Operators act as if the funnel functions linearly:** When faced with a demand to double the revenue, revenue leaders frequently respond by urging the organization to generate twice as many leads as though the funnel operates linearly. This reflects a common misperception of a linear relationship between leads, opportunities, deals, and revenue.
- **The funnel does not consider closed loops:** Similar to being one-directional, the funnel also does not show the presence of feedback loops.

These constraints amplify each other, further bolstering the wrong behavior, and today, many companies deal with the daily issues caused unintentionally by boundaries the classic marketing and sales funnel has imposed on them.

WHAT DOES OUTSIDE THE PURVIEW OF THE FUNNEL MEAN?

In early 2020, we engaged with a client preparing for an IPO, boasting a recurring revenue stream of $200M ARR. The CRO ran monthly 90-minute meetings with all revenue leaders, maintaining a tight ship for cross-departmental alignment. To facilitate this alignment, the CRO's office circulated a 50-slide deck containing key metrics for every business segment, focusing on growth patterns from acquisition, retention, and expansion.

The meeting structure mirrored the business flow, starting with leads generated per campaign, quality of leads, win rates, discount levels, and eventually discussing the number of sales reps on quota, etc. However, a noticeable pattern emerged: approximately 85 of the 90 minutes were dedicated to revenue acquisition. With a few minutes left in the meeting, discussions surrounding recurring revenue ended up being rushed and not receiving the attention they deserved.

This happens all the time, and it underscores the claim that recurring revenue often remains overlooked within organizations that operate on the marketing and sales funnel, which models revenue acquisition. This raises the question: Is there a model for recurring revenue?

4.1.3 The Bowtie, A Custom Built System for Recurring Revenue

With the rise of subscription-based businesses in the early 2000s and the growing emphasis on recurring revenue models post-2008, revenue recognition underwent a dramatic shift. In contrast to the ownership-based approach that prevailed for most of its lifetime (LTV)—where revenue was recognized upon shipment of equipment or emailing of the "software license," often occurring within 30 days of the Purchase Order—the subscription model operates differently. In this model, only a small portion of the fees is booked upon the deal's closure, with the full revenue often taking years to materialize.

This change in the way how revenue is recognized rendered the classic marketing and sales funnel inadequate. Enter the Bowtie model, which extends the funnel 4 additional stages to capture growth from acquisition, retention, and expansion.

- **Sub-System 4. Mutual Commit:** "Closing a deal" is not the end; instead, it marks the beginning of a multi-year relationship. Both parties commit to working together: one to continue delivering the promised impact, and the other to keep paying for the product's usage to achieve that impact. Therefore, this stage is referred to as Mutual Commit or simply Commit.

- **Sub-System 5. Onboarding:** Onboarding, also known as Activation in PLG, is designed to swiftly guide customers to experience their initial impact with your product. Whether it takes weeks due to complex integrations or mere seconds through a browser plugin, the objective remains the same: to ensure customers swiftly experience the effect or impact of your product.

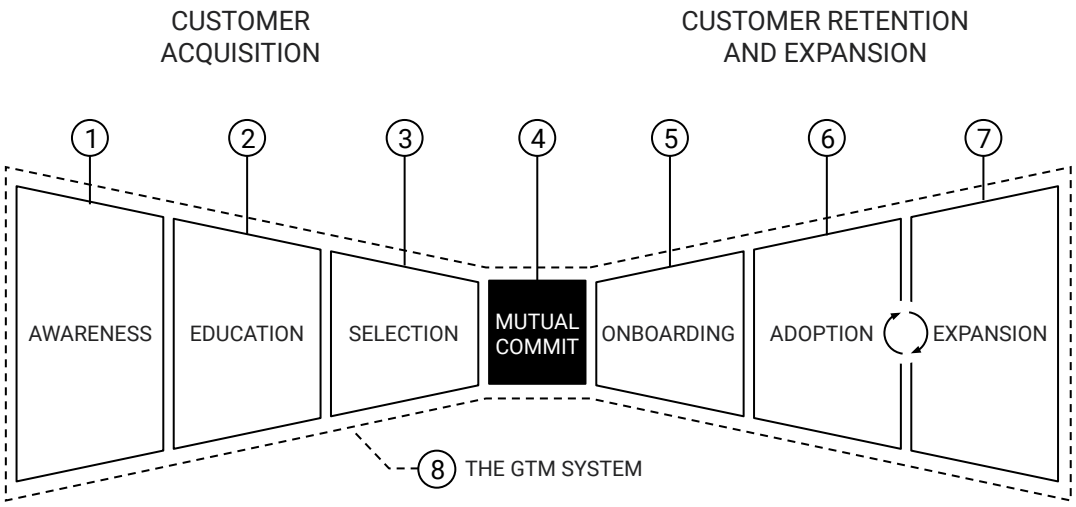
- **Sub-System 6. Adoption:** During Adoption, the customer integrates the product into their daily routines. Providers must offer training, support, and updates to optimize product usage and impact. Effective Adoption leads naturally to contract renewal.

- **Sub-System 7. Expansion:** This stage aims to grow your business with the customer. Expansion involves additional licenses, upgrading to higher-tier plans, or tapping into extra modules and features.

The acquisition system in the marketing and sales funnel, is now replaced by a new system that covers the entire operation:

- **Sub-System 8. The GTM System:** Encompasses all sub-systems that together make the recurring revenue model work. The GTM system possesses its own characteristics and can face challenges even when the individual sub-systems perform effectively. For instance, a batch of bad deals resulting in high churn. It is here where we need to address the issues raised by the grow-at-all-costs approach.

FIGURE 4.3 ***The Bowtie extends the classic marketing and sales funnel to cover the critical stages responsible for recurring revenue growth.***



To understand the importance of the GTM System, consider this analogy: think of an orchestra. Each section—like percussion, brass, and strings—represents a sub-system. Each has its own role and music sheet, but the orchestra as a whole possesses unique characteristics. If one section falls out of sync, the overall performance suffers, regardless of each musician's skill level. Enter the conductor, who ensures the system works as a cohesive whole.

Similarly, even if every function across the entire customer journey works well, the overall system can suffer if these functions aren't orchestrated in harmony. This is especially true in a recurring revenue business. A minor shift in lead volume or a slight dip in retention can dramatically affect overall performance, much like small changes in rhythm or tempo can impact a band's performance.

Acknowledging the existence of the overarching GTM system that interconnects all of the sub-systems raises the question: who owns the GTM system? Today, the CEO is the only authority that can allocate budgets and resources across the company. However, there is no clear answer; our money is on a person with a background in financial modeling, but clearly, this warrants further exploration in the years to come.

WHAT IS CUSTOMER CENTRICITY?

Customer centricity is more than just placing the customer at the forefront; it's fundamentally about ensuring they achieve the desired impact from your product.

The Bowtie model illustrates this by viewing each stage from the customer's perspective. Awareness, for example, isn't just about recognizing your product's excellence or your company's reputation. It's about the customer realizing they have a problem that needs solving, marking the start of their solution-seeking journey.

Following the commitment stage, we encounter terms like “Adoption” and “Retention.” Adoption refers to the customer's initial use of a product, leading to Retention, where they consistently experience the product's benefits. The terms Adoption (customer perspective) and Retention (seller perspective) will be used interchangeably throughout this book.

Consider an applicant tracking system provider for example. Customer centricity means focusing not just on getting customers to sign up and install the product but taking the responsibility to help them establish best practices using the product, resulting in hiring the right fit.

Most SaaS companies still operate in the paradigm of offering a customer a turnkey solution. The term “turnkey” was popularized in the '80s and '90s by on-prem hardware vendors. In this context, customer centricity involves delivering a ready-to-use or “turn-the-key” solution, shifting the responsibility of extracting value and achieving results entirely onto the customer. The turnkey approach marked a significant advancement from its predecessor, where sellers would provide the equipment, but buyers had to undertake the installation themselves, bearing all the responsibilities and associated risks.

To answer the question, customer centricity is about helping customers achieve the recurring impact they were promised each time they make a (recurring) payment.

4.2 CLOSED-LOOP SYSTEMS

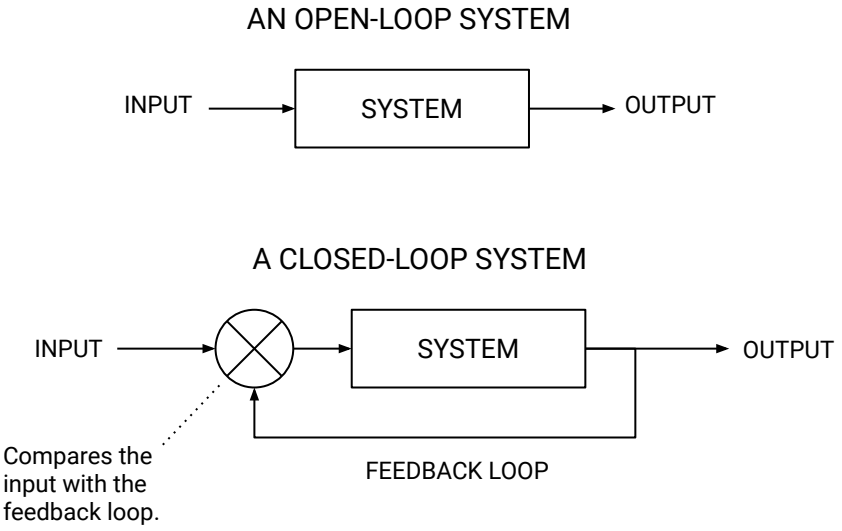
One of the most common misunderstandings derived from running a business using the classic marketing and sales funnel is that it does not reveal the presence of closed loops.

Yet, when you ask revenue leaders at any successful company where most of its growth comes from, you will hear things like word of mouth, existing customers expanding, and referrals from users who like the product. What all of these have in common is that they are the result of a "closed loop."

4.2.1 The Difference Between an Open- and a Closed-Loop System

Closed-loop systems are embedded in our day-to-day lives; we engage with them more often than we think. This begs the question: what exactly is a closed-loop system? At its core, an open-loop system takes an input (leads), undergoes a process (the acquisition system), and produces an output (revenue) without ever pausing to assess the quality or accuracy of that output. In contrast, a closed-loop system uses a feedback loop to compare the output with the original input, enabling informed decisions.

FIGURE 4.4 ***A simplified view of the difference between an open-loop and a closed-loop system.***



Real-World Example: The Thermostat

Consider your home thermostat, a prime example of a closed-loop system. You set a desired temperature, and the thermostat works continuously to adjust the room's climate until it matches your setting.

Now, let's apply this same principle to assess leads. By leveraging AI to analyze calls from existing and satisfied customers, we can extract the impact they are experiencing. This insight enables organizations to refine their lead generation strategies and allocate resources more effectively to campaigns that are likely to attract the right kind of customers—those who consistently generate recurring revenue. This is what we mean by "closing the loop."

Three Steps to Create a Closed-Loop System

The power of a recurring revenue system comes from a tightly knit structure, that is born to operate as a closed-loop system. It takes 3 simple steps to close the loop.

1. **Expand the Funnel into a Bowtie:** Create a complete view of the customer journey by extending the marketing and sales funnel to include recurring revenue, adding the "customer success" stages.
2. **Use Impact to Connect the Sub-systems:** Connect the sub-systems to work as a whole and synchronize them all using a common language and goal. This is referred to as the *GTM approach.* The GTM approach uses *Customer Impact*.
3. **Close the Feedback (Recurring) Loop:** Identify and develop the feedback loops within your business. We tackle this topic next.

The success of PLG in can be traced back to these steps. In PLG, customers play a crucial role in bringing in “leads” through word of mouth; customers are “closing the loop” by generating new leads one at a time. The organization stays informed about the *impact* customers derive from the product through metrics such as Monthly Active Users (MAU) and Weekly Active Users (WAU). This approach of customer advocacy and data-driven insights has been instrumental in PLG's success.

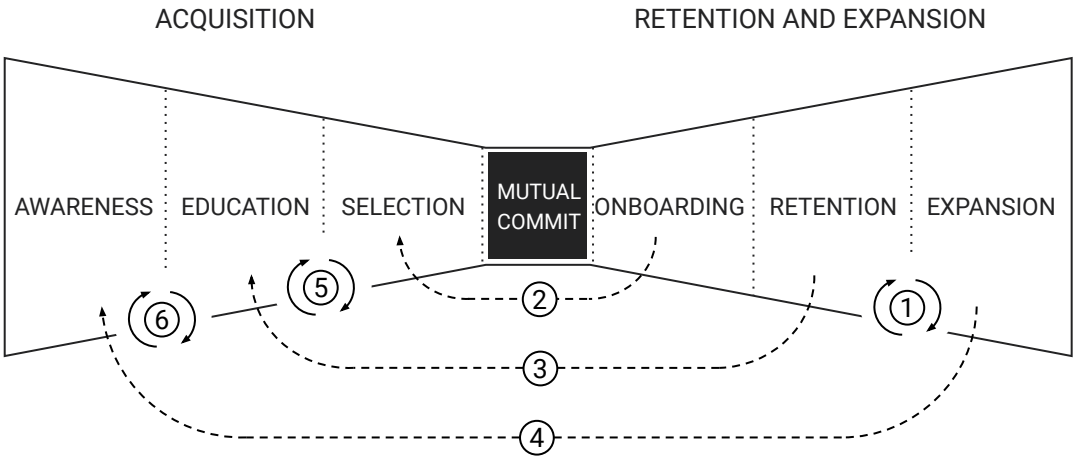
4.2.2 Identifying Closed Loops

The pinnacle of a subscription business is realized when it functions as a closed-loop system. In a closed-loop setting, the system evolves by learning from its actions and feeding outcomes such as customer feedback back into the system in real time.

For the longest time, people believed that a customer would only provide feedback and act as a referral once they were a happy customer, but this is not the case. In fact, a customer really does not want to be the only one among all their peers who picks your solution. This means that a customer can and will mention your name, and they will do this long before achieving the desired impact. This demonstrates the presence and power of closed loops.

Across the Bowtie, you'll find numerous closed loops that either compound revenue growth or generate new leads and opportunities.

FIGURE 4.5 ***The numerous closed loops across the customer journey.***



For example:

1. **Renewals:** The clearest closed loop is when customers renew and expand their business with you, contributing to compound growth.

2. **Risk Sharing:** During onboarding, a customer might mention another team

that could benefit from your solution, thereby reducing their own risk. Savvy companies make this query part of the onboarding process.

3. **Advocacy:** Another common closed loop involves satisfied customers becoming advocates, either spontaneously on social media or through formal channels like a customer advisory board.
4. **Ideal Customer Profile:** Updating your acquisition strategy based on your best customers can form a closed loop, which AI can eventually automate.
5. **Referrals:** Even during the sales process, customers often discuss your solution with peers, potentially pulling them away from competitors. For example, anybody who uses the PLG as a GTM motion knows that they need to encourage existing users to invite their peers to join.
6. **Nurturing:** Some customers, interested but not yet ready to buy, can become “talking leaflets” as they stay updated on your offerings. Various nurturing levels exist, from monthly newsletters to press releases and social media updates.

Closed loops are powerful as they are highly effective and efficient ways of achieving growth. To make a closed loop work in your organization, however, you need to do something.

4.2.3 The Key To Making Closed Loops Work

The key to unlocking the full potential of closed loops lies in having a shared goal across all customer-facing roles. It calls for an integrated GTM approach that fosters collaboration and knowledge sharing. Contrast this with a siloed organization, where various functions operate in isolation, each pursuing its own objectives. As you'll discover in the Operating Model (Chapter 8), the unifying thread connecting all customer-facing roles is *Impact*.

It's crucial to understand that Revenue Architecture is about identifying and leveraging a company's closed loops. We will need to establish proven processes to harness these loops' potential, especially those involving human effort. And that brings us to the following topic: the importance of processes.

PLG IS A CLOSED LOOP SYSTEM PERSONIFIED

Historically, business to business GTM motions were primarily based on sales-led growth (SLG). Deals were forged through in-person meetings and many emails and phone calls facilitated by sales representatives. However, recent years have ushered in a paradigm shift: the advent of PLG. PLG is not just another marketing lead generation campaign or an innovative sales strategy, but rather a comprehensive approach that touches every aspect of customer interaction. Its defining feature? A closed-loop system.

PLG centers the product as the catalyst for growth. Through the nuanced use of customer product feedback and observing behavioral trends, it continuously refines both the product and its promotional strategies, setting into motion a relentless cycle of improvement.

The PLG framework establishes deep bonds between a company and its customers. These lasting relationships promote sustained growth within existing accounts, with continuous engagement bolstering them further. The ongoing interactions provide crucial insights that help blueprint new customer acquisition and improved engagement. The result? A system that stands resilient, and is in sync with evolving customer preferences. As we watch the business world evolve, a fresh concept emerges: customer-led growth (CLG). While PLG leverages standout product features to attract new prospects, and SLG depends on astute marketing and sales maneuvers, CLG distinctively taps into the might of customer communities to ignite new opportunities. Intriguingly, all 3 adopt a closed-loop system methodology.

In the 1990s, the early adopters of the internet were among the first to succeed. In the 2000s, it was those who embraced software. In the 2010s, the pioneers of cloud technology led the way. Now, in the 2020s, those who embrace AI are poised to be the big winners.

Embracing AI involves adhering to systems and processes, particularly closed-loop systems. The success of PLG has demonstrated this.

4.3 PROCESSES EXPLAINED

A process is a series of proven actions taken in a specific order. A process aims to yield the same, or at least a similar, outcome each time it's correctly executed. This repeatability suggests that you can scale your business based on these processes; doing more will yield bigger results. Processes can subsequently be documented, optimized, and automated through technology to deliver an even bigger outcome.

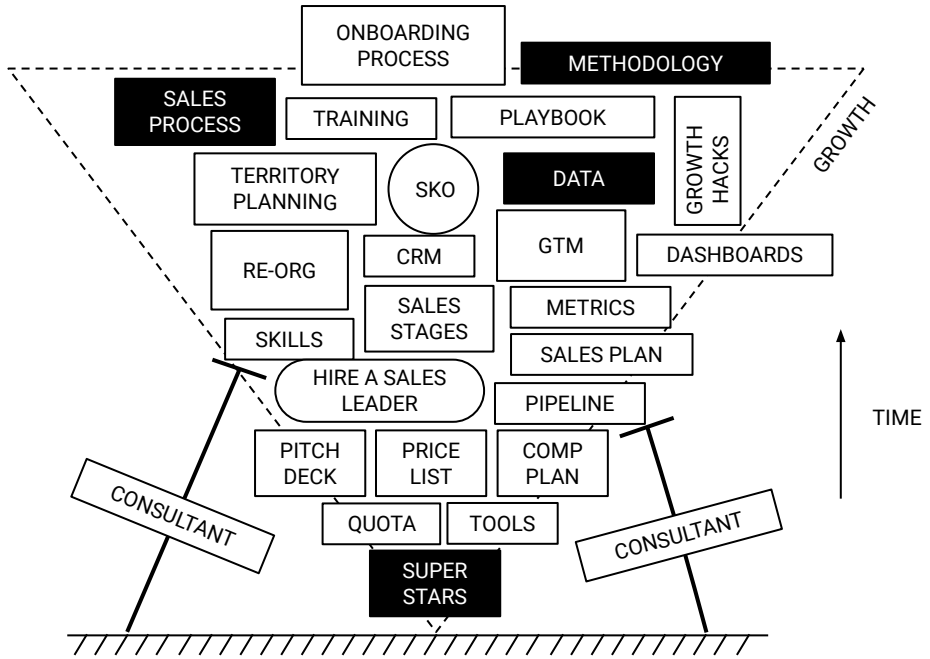
Processes focus on the *how*—how an action is performed, how an outcome is achieved, and so on. The objective is to make the process simple enough for people to operate it. However, achieving simplicity is really hard, especially when the process must accommodate thousands of different individuals, across hundreds of companies, each doing it their own way.

What we are trying to accomplish is akin to reading time on a watch: it appears straightforward on the surface, but the intricate workings beneath are quite complex. Similarly, a well-designed process provides simplicity for users while managing a series of complex operations underneath.

4.3.1 People-Centric vs. Process-Centric

Early-stage Startups are renowned for their high concentration of superstars, which typically includes the founder and extends to the first group of people such as engineers, product management, marketers, first sellers, etc. In its formative stages, the company heavily relies on the intuitive judgment of these standout performers. Their depth of expertise, culled from years or even decades in their respective fields, makes these superstars instrumental in propelling the company (and its products) to its first few million dollars in recurring revenue. In the early days, they excel in an environment without well-defined processes, allowing for swift actions and decisions. Given the team's size at this stage, processes are nebulous, the infrastructure is rudimentary, and data are often discarded.

FIGURE 4.6 ***As a superstar (people-centric) organization grows, it destabilizes as more and more tasks stack on top of each other without any structural framework. Note that this can apply to a GTM motion, function, or entire company.***



As the organization scales, actions start to pile up haphazardly. At first this is not a problem, but soon enough, often in the second or third year, the lack of well-defined processes begins to destabilize the organization's structure.

When a startup secures additional funding, it often expands its workforce by five- to tenfold within a year, all while operating in an environment without established processes. Soon, people will leave, and key departures exacerbate the issue, often necessitating a reset.

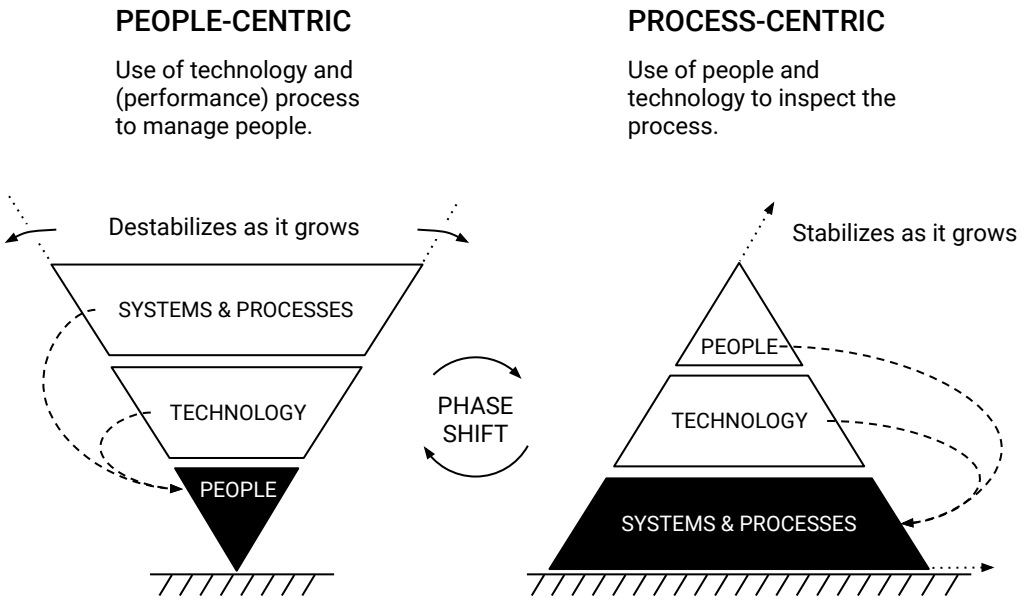
The rapid growth combined with the absence of robust processes intensify organizational instability and chaos at the worst time. Venture-backed firms, expected to grow quickly and facing high turnover, experience this instability acutely. Without clear processes in place, new hires contribute to the chaos as they introduce their own methods and approaches to the job.

The transition from people-centric to process-centric is a major Phase shift, and as we established in Section 1.4, this transition is enormous, it require at least 12 (if not 24) months to make the change, and there is no clarion call alerting the management team to start the transition from a people-centric to a process-centric approach.

Regrettably, the primary catalyst for such a shift often emerges when escalating chaos impedes growth… which is guaranteed to happen. This frequently leads to a moment when the board steps in to make significant alterations to the management team, starting with the revenue leader.

This phase shift does not just happen once. This also occurs with the launch of a new product, or a new GTM motion. In fact, it can happen breaking ground in a new region, or entering a new vertical market, etc.

FIGURE 4.7 ***A people-centric culture without structured processes eventually becomes its downfall due to scalability issues. The challenge is the shift from a non-scalable, people-centric approach to a scalable, process-centric one. Complicating this transition is the absence of a defining moment signaling the need for change.***



4.3.2 The Phase Shift From People-Centric to Process-Centric

What is the difference between process-centric and people-centric cultures. What sets them apart? The difference becomes glaringly apparent when things start going awry. In a people-centric culture, the immediate reaction is to blame and fire the individuals involved rather than examining the flawed processes. In essence, people operating within the system become scapegoats, and leaders assume that bringing in new talent will magically resolve the issue.

This hire-and-fire strategy often worsens the problem, as systems and processes require stability to function effectively. Again, it's worth noting that the average tenure of individuals in a GTM role at a hypergrowth organization hovers around 24 months. You might be scratching your head, grappling with these compounding complexities. But remember, to achieve extraordinary results, you're tasked with solving extraordinary problems.

What We Can Learn From Human Error Studies

The core philosophy in a process-centric organization is to identify errors as outcomes influenced by several factors: lack of process, poor execution of existing processes, or application of incorrect processes—and often, a mix of these. For example: think of salespeople using the wrong acquisition process to renew deals or CSMs failing to upsell effectively due to a skills gap.

What Caused It, Not Who Did It.

In the year 2000, Professor James Reason, an emeritus professor of psychology at the University of Manchester, published a seminal paper titled "Human Error: Models and Management." His central thesis suggests that humans are inherently fallible, making errors inevitable even in the most efficient organizations. Professor Reason argues that errors should be viewed as consequences rather than root causes, originating from upstream systemic factors, which often involve the use of flawed processes or the absence of processes altogether.

The countermeasures employed are grounded in the idea that while we can't alter human nature, we can use people and technology to refine processes.

This could mean revamping the recruiting or onboarding process, among other things. So, when something goes south—like missing a revenue target—the key question is not "who's at fault?" but rather "what caused this?"

Timing the Shift

Venture-backed companies should begin the transition from people-centric to process-centric when they hit as early as $10M in ARR, or for larger organizations $10M, per specific GTM motion. If your company has only one product, consider the C-funding round as the signal to initiate this shift.

THE CEO AS THE DRIVER OF THE PROCESS-CENTRIC PHASE SHIFT

Who is responsible for doing this? The onus falls squarely on the CEO's shoulders to initiate the monumental shift from a people-centric to a process-centric organization. The CEO isn't just the figurehead but the strategic decision-maker who must ensure that this project not only kicks off on time but also reaches completion within a 2-year timeframe.

Why the CEO? Well, they are the only authority within the organization capable of overseeing the big picture and deciding the allocation of financial resources across various departments. This funding could involve hiring new team members, investing in new software tools, or even pivoting the company’s strategy.

Furthermore, the CEO has the option to assemble a dedicated team, referred to as the "GTM Office." This specialized team would work in tandem with the CEO to ensure the systematic implementation of new processes, track milestones, and make necessary adjustments as the project progresses.

4.3.3 The Role of Improvement Processes

The GTM approach, which includes various functions across marketing, sales, and customer success teams, often suffers from a lack of focus on process improvement. To illustrate, we conducted a study in early 2023 with one of our largest customers. Over a 6-month period, we analyzed 50,000 sales opportunities involving thousands of sellers. The results showed that those who followed a proven process outperformed those who didn't by 1.53x when handling the same type and amount of opportunities.

At most companies, an executive team would swiftly approve the development of a new feature or the launch of a marketing campaign that would boost revenue by 1.53x. Similarly, any sales leader would hire a seller capable of outperforming sellers at that rate. Any CEO would endorse the purchase of a tool that delivers such an increase in revenue. However, in a Scaleup there's a surprising hesitancy to invest in process improvements that could achieve a 1.53x increase in revenue using existing resources.

This is awkward, because over the past few decades, many industries have successfully prioritized processes to enhance efficiency, reduce costs, and improve customer satisfaction—all objectives that align perfectly with the goals of building a recurring revenue factory. The absence of this process-centric mindset is so prevalent that it won't resolve itself—active intervention is required from the executive team, particularly the CEO, as this kind of shift often involves allocating budgets across various departments.

The Payoff: Become the Category Leader

There is a fantastic payoff though. Companies that are proactive and excel in using processes emerge as dominant category leaders. A few examples include:

- 86% of all engineering departments use *Agile* for Software development.
- Ford and Toyota adopted *Total Quality Management* (TQM) across the entire company.

- Motorola and GE use *Six Sigma* to streamline manufacturing.
- More recently, Airbnb, Netflix, and UberEats all employed *Design Thinking*.

Historically, as organizations reach a certain size, they must implement processes to continue scaling. Scaleups are no different. Venture-backed organizations must recognize their status as revenue factories and realize that the absence of a GTM process is the Achilles heel in their growth journey. They must adopt a process-centric approach when they hit $10M in ARR.

Scaling and the Long Road to IPO

As the organization grows, it becomes increasingly unstable if you are not using processes, which means that you will need a lot of consultants to shore up the organization, as depicted in Figure 4.6.

Many companies we've worked with are gearing up for a form of an equity event such as an IPO. Going public doesn't happen overnight—it takes years. During this period, there will be several generations of executives, each introducing new tools, methodologies, etc., all of which not only yield suboptimal growth but also inflate costs unnecessarily.

The First Mover Advantage

If this resonates with you, you're not alone. Viewed from a different perspective, this common struggle provides a golden opportunity to distinguish yourself. Remember, the key to the success of powerhouse organizations like Netflix or the Navy Seals is their commitment to robust processes.

Today, businesses with recurring revenue operate much like factories, aiming for growth in volume, cost efficiency, and product quality—goals that mirror traditional factories' objectives. As competition heats up, it's only logical to expect that any recurring revenue business will eventually need a quality management process. There is too much at stake, and if the business to consumer (B2C) market is any indicator, it's that first movers of scale became market leaders. Big or small, we hope these insights serve as a step toward achieving a similar goal for your company.

THE ORIGINS OF QUALITY MANAGEMENT

Quality management originated in manufacturing and left a significant mark on the Industrial Revolution. It introduced the concept of standardization, facilitating increased production of goods with consistent quality. This standardization played a vital role in ensuring customer satisfaction and fostering repeat business, making it a fundamental aspect of the Industrial Revolution's success.

Various factors and events in the business world underscored the importance of quality management. In the mid-1980s, Motorola, a prominent electronic device manufacturer, confronted fierce competition from Japanese companies renowned for their highly efficient manufacturing processes. Recognizing this competitive threat, Motorola understood the urgent need to enhance product quality and reduce defects. In response, they introduced the Six Sigma methodology, a data-driven approach consisting of 5 phases: define, measure, analyze, improve, and control. This initiative proved highly effective in reducing defects and variability in both manufacturing and business operations.

Motorola's success with Six Sigma did not go unnoticed. By the 1990s, quality management had gained widespread acceptance within the manufacturing sector. Today, a diverse range of industries, from healthcare and finance to technology, embraces quality management solutions to increase production, lower costs, improve quality, and enhance customer satisfaction.

The need for quality management did not emerge from a single event but evolved due to competitive pressures confronting global businesses and the ongoing pursuit of process enhancement and product competitiveness. In the contemporary industrial landscape, quality management continues to play a pivotal role by promoting standardization to boost productivity, enhance efficiency, and foster customer satisfaction.

4.4 EXERCISES ON SYSTEMS & PROCESSES

These exercises help you scrutinize your company's systems and processes. As you complete each one, you'll gain insights into potential areas for improvement, enabling you to leverage systems and processes to boost your revenue growth.

EXERCISE 4.1 **Identify Key GTM Functions for Recurring Revenue**

Whether focusing on a specific GTM motion or your entire company, list the GTM functions crucial for generating at least $10M in recurring revenue.

TABLE 4.1 ***Checklist of existing GTM functions and processes.***

GTM function	Current process in place	Tools in use
Example: Sales	Challenger	

What you may learn: You are likely to have more GTM functions on the acquisition side.

EXERCISE 4.2

Describe Current Processes for These GTM Functions

In the next column, jot down the processes you currently have in place for each identified GTM function. You can do this for a single GTM motion or across your revenue operations. Completing this will help you see how many processes are operational.

EXERCISE 4.3

List Tools for Implementing Processes

The primary reason for using tools is to make processes more efficient. In the next column, jot down the crucial tools you've put in place to implement or improve existing processes. This is a chance to identify any unallocated tools, overlaps, or gaps in crucial stages of your operation.

EXERCISE 4.4

Sketch Out Your Key Closed Loops

Draw the most common closed loops that your recurring revenue business relies on. Pay close attention to where these loops start and end, as this will provide insight into which part of your organization should manage each growth loop.

FIGURE 4.8 ***Draw the closed loops that exist in your business, and number each loop.***

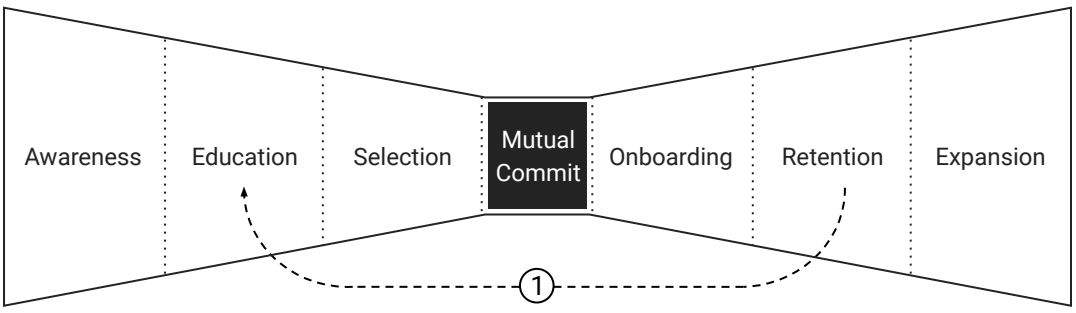


TABLE 4.2 ***Checklist of the number of closed loops, their description, and who is responsible for each.***

Name	Description	Who is Responsible
1. Advocacy	Existing customers post on social media	Customer Marketing

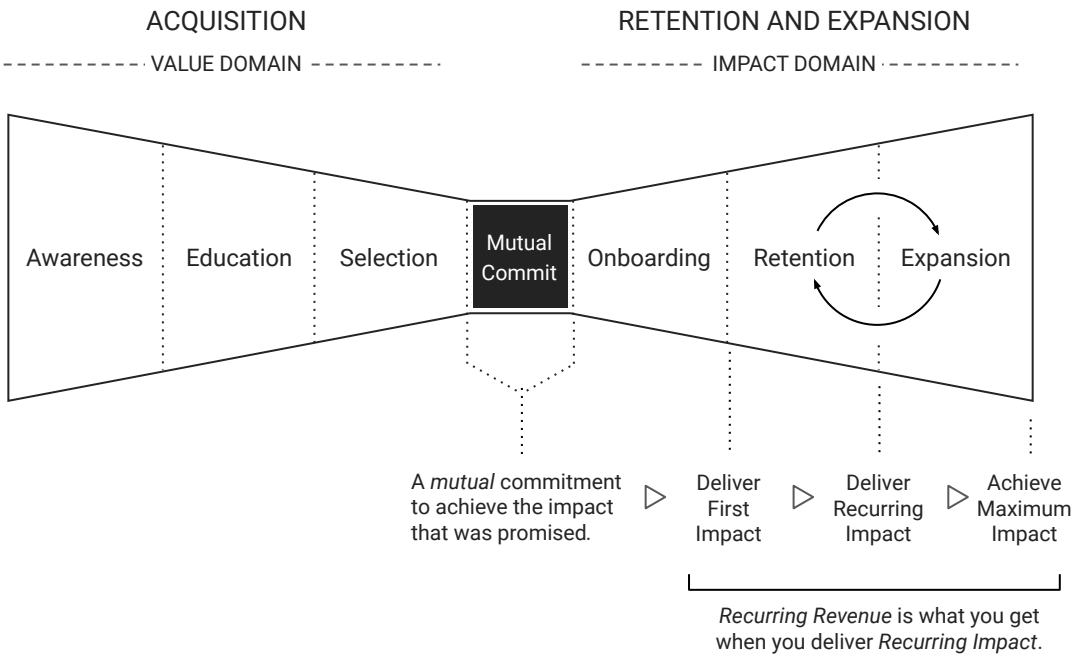
Closed loops often generate a majority of your pipeline, but many companies don't have systems, processes, or designated personnel in place to manage them.

4.5 RECAP OF SYSTEMS & PROCESSES

Systems and processes serve as the foundational scientific principles upon which recurring revenue is built, with the primary goal to drive growth, reduce costs, and ensure the consistent delivery of a high-quality product—Impact— to customers.

SYSTEMS: We expand the classic marketing and sales funnel into a Bowtie by including additional stages such as Mutual Commit, Onboarding, Adoption, and Expansion to ensure ongoing customer impact and revenue generation.

FIGURE 4.9 ***The Bowtie extends the classic Marketing and Sales funnel to cover the stages where recurring revenue is created through delivering recurring impact.***



The Bowtie system captures the significant shift in business models from value-based, where the GTM team's job was to promise an outcome, to impact-based, where GTM teams are responsible for delivering on that promise.

Organizations struggle with this transition because they lack standardized processes across departments.

The Importance of Closed Loop Systems in Recurring Revenue

The classic Marketing and Sales funnel does not include the support of closed loops. There are 3 tasks to complete a closed-loop system: expand the funnel into a Bowtie, interconnect all the functions, and then close the loop.

There are numerous types of closed loops, such as: (1) Renewals, where customers renew or expand their business; (2) Risk sharing, when a customer refers you to another team to mitigate the risk; (3) Advocacy, when satisfied customers share their positive experiences on social media; (4) Learning from existing customers about your ICP; (5) Referrals, as users invite their peers to join; and (6) Spreading the word to raise the awareness about your offerings.

FIGURE 4.10 ***There are 3 tasks to close the loop: expand the funnel into a Bowtie, interconnect all the sub-systems, and close the loop itself.***

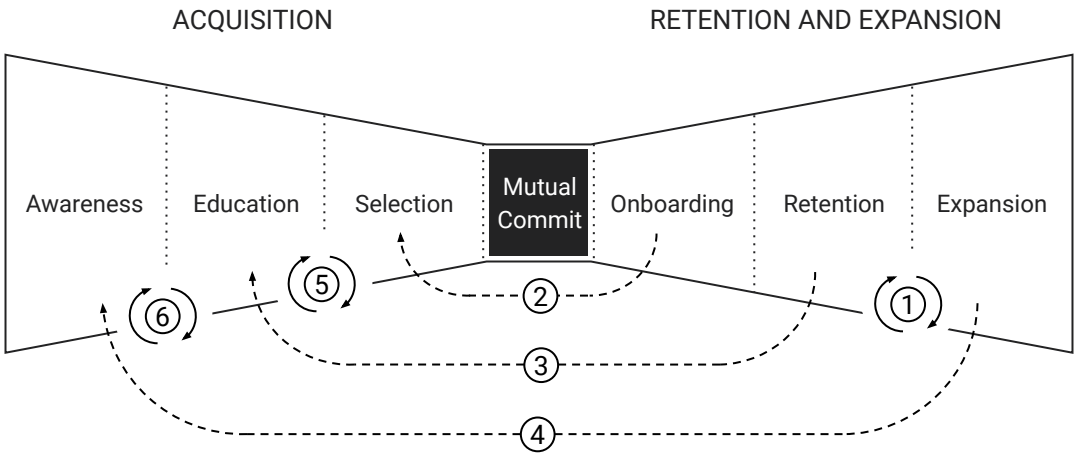
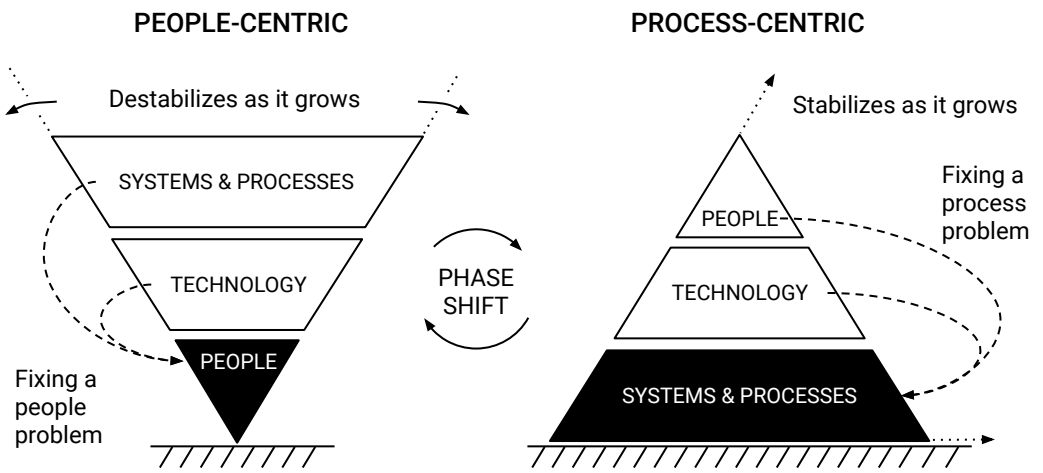


FIGURE 4.11 ***A people-centric culture without structured processes eventually becomes its downfall due to scalability issues. The challenge is the shift from a non-scalable people-centric approach to a scalable, process-centric one.***

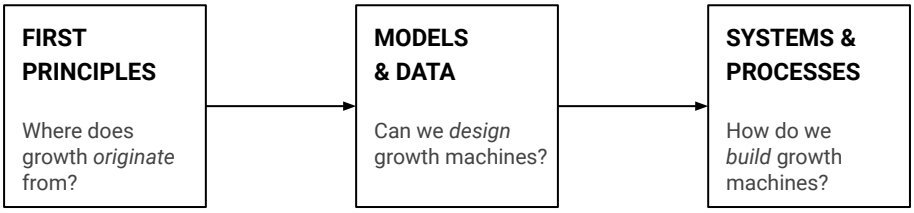


Processes, Iterative Improvement, and Quality Management

Given the high volume of active customers inherent to recurring revenue models, businesses need to transition from a people-centric approach, which relies on hiring superstars, to a process-centric approach that systematically pursues iterative improvements to maintain customer satisfaction and growth.

GTM teams aren't the first to face the challenge to shift from a people-centric operation to a process-centric operation. Many other industries have experienced similar issues and have successfully addressed them through approaches such as Six Sigma, Design Thinking, Lean Manufacturing, Total Quality Management, and Agile Software Development. By applying the best practices of these methodologies, GTM teams can overcome the quality (impact) obstacles and ensure the consistent delivery of desired customer outcomes.

PART I | SUMMARY



Where does growth originate from?

Most organizations are fundamentally built on an outdated First Principle, in that their systems and processes are modeled after perpetual software businesses, where growth stems mainly from customer acquisition.

Growth in a recurring revenue business comprises of 3 components:

- **Acquisition**: Initially new customer fuel growth.
- **Retention**: Over time, a pivotal shift occurs from acquisition to retention. Keeping customers becomes vital, with renewals forming the cornerstone of exponential growth.
- **Expansion**: Eventually, growth from existing customers who derive increasing value from your product, will outpace growth from acquisition.

This transformation toward a customer-centric model is based on the principle that recurring revenue stems from consistently delivering recurring impact.

In the aftermath of the 2022 crash, an urgent need for a more sustainable approach developed. This approach must extend beyond mere cost reduction and free cash flow generation. For a recurring revenue business, the strategic focus must revolve around the primary objective of delivering recurring impact. Neglecting this imperative will lead many companies astray in the years ahead.

Can we design growth machines?

To consistently deliver recurring impact, organizations must shift away from the traditional Marketing and Sales funnel, which offers only a limited perspective of the system, primarily emphasizing growth through customer acquisition.

Instead, adopting a model based on the Bowtie that encompasses the key growth components—acquisition, retention, and expansion—is essential. In contrast, recurring revenue businesses see growth extending beyond the funnel. This shift challenges the conventional view and necessitates a move from an open-loop system, dependent on constant inputs (leads), to a closed-loop system, where existing customers actively contribute to growth.

How do we build growth machines?

To address this transformation effectively, a structured approach is essential. Proven models and data-driven decision-making play a crucial role in navigating the complexities of a growth-oriented recurring revenue business. These models are designed in layers, with 3 foundational static models forming the base and 3 adaptable dynamic models at the top. They work in harmony, powering the Recurring Revenue Factory.

Additionally, adopting a process-centric strategy for incremental improvements becomes vital. Instead of relying solely on superstar hires, organizations should focus on processes, using iterative improvements to ensure customer satisfaction, which, in turn, leads to sustainable growth.

Furthermore, data must serve a dual role—not only for measuring performance metrics like growth rate, costs, and profits but also as a crucial tool for designing, building, and optimizing systems. It's essential to note that deploying technology with the goal of delivering not just more but also better results is key to achieving recurring impact.

The forthcoming chapters will introduce a series of models designed to create, build, and deploy recurring revenue factories. These models are rooted in the fundamental principle that recurring revenue is the direct outcome of recurring impact. This approach aligns means and methods, incorporating technology and methodologies, to significantly enhance our current success rate.

Recurring revenue is the result of recurring impact.

PART II

DESIGN

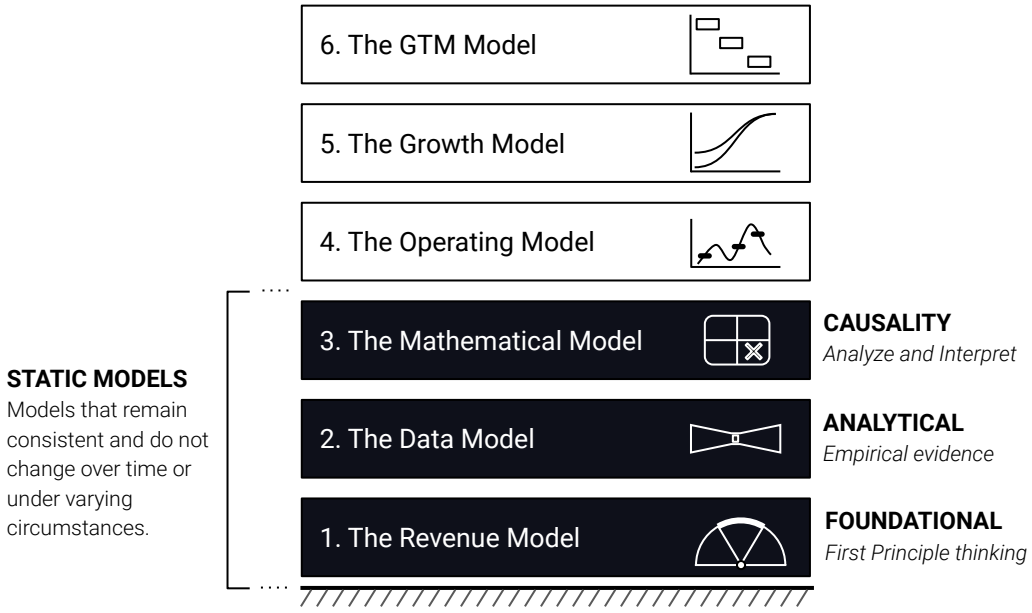
PART II | DESIGN

As we have learned in the previous chapters, recurring revenue growth stems from delivering impactful results. We can utilize models to design a 'revenue factory' aimed at achieving its primary goal: delivering a high-quality product that promotes cost-efficient growth, with customers playing a pivotal role. To accomplish this, we will begin with 3 foundational models of a recurring revenue system:

- **The Revenue Model** builds on the insights we have gathered in First Principles; it defines the *why* and *how* of your revenue streams, offering unique operational metrics and risk profiles for each strategy.
- **The Data Model** is based on the findings of systems and processes and has become a Bowtie showing us the full customer lifecycle—from acquisition to long-term engagement.
- **The Mathematical Model** acts as the engineering blueprint, offering mathematical insights into how your revenue behaves under various conditions. It goes beyond traditional linear assumptions, uncovering the sophisticated nature of a recurring revenue engine.

While you may not see these models in the day-to-day grind, make no mistake: they are the backbone of any scalable, efficient, and sustainable recurring revenue business. Just like our skyscraper, understanding these foundations not only ensures that we stand tall but also helps us navigate the complexities and subtleties of exponential growth and customer engagement.

FIGURE II ***The static models form the base of the recurring revenue system. They require minimal to no adjustments once properly designed. They are indispensable for the system's stability, efficiency, and long-term growth.***



In the picture above, you can see how the models are layered. In this structure, the most fundamental layers refer to the lower layers of the model, specifically the Revenue Model, the Data Model, and the Mathematical Model. These models are fundamental because they provide the essential infrastructure necessary for revenue generation. They model how revenue is generated, measure growth, and provide a mathematical basis for growth. It is best to set up these models thoroughly and not tinker too much, with them as they will impact all layers on top.

As we will learn, these foundational models will tell us that a recurring revenue machine operates quite differently compared to traditional models of growth, which we have been using during the golden era.

Once we have designed the revenue factory in Part II, adhering to the fundamentals discussed in Part I, we can then construct a revenue factory according to the models that form the upper layers: the Operating Model, the Growth Model, and the GTM Model.

05

THE REVENUE MODEL

05 | THE REVENUE MODEL

In the 2017 movie "The Founder," Ray Kroc, a struggling milkshake machine salesman portrayed by Michael Keaton, stumbles upon a small but highly efficient burger restaurant called McDonald's. Fascinated by their innovative "Speedee Service System" and its growth potential, Kroc persuades the McDonald brothers, Dick and Mac, to expand their business nationally.

Initially, the McDonald brothers employed a straightforward monetization strategy centered around offering quality burgers at an affordable price. However, Kroc sees the untapped opportunity for immense profitability by redefining their approach to monetization. He introduces the concept of franchising, allowing individuals to become owners and operators of their McDonald's restaurants while paying royalties to the company.

This strategic shift in monetization strategy in which the royalties become the main recurring revenue stream, leads to remarkable growth and expansion, transforming McDonald's from a modest local eatery to a global fast-food empire with over 40,000 outlets. The story shows how a well-executed change in monetization strategy can be instrumental in driving business success and reshaping entire industries.

In recent years, the B2B market has witnessed a similarly transformative shift. in monetization strategy; we are talking about transitioning from traditional on-premises hardware and perpetual software that got paid up front to cloud-based software that today uses a subscription or a consumption model.

The subscription-based monetization strategy has given rise to more than 30,000 SaaS companies in the past decade. These SaaS companies rely on this subscription model as their primary monetization strategy. This shift has profoundly impacted the market, disrupting traditional business models and unlocking new opportunities for scalability and customer-centricity. To better understand the significance of this shift, we will delve into the Revenue Model, which will provide insights into the dynamics at play.

ELEMENTS OF THE REVENUE MODEL

The revenue model encompasses 3 closely related terms:

- **Monetization Strategy:** Refers to how a seller monetizes its product, particularly regarding the transfer of ownership or offering different usage terms. Common monetization strategies include Ownership (pay to own), Subscription (pay to use), and Consumption (pay per use).
- **Pricing and Packaging:** Pricing sets the cost customers pay for a product or service, while packaging determines how these offerings are bundled or presented. For instance, based on a subscription offer, tiering a product in 3 tiers is a method of pricing and packaging.
- **Business Model:** A combination of the monetization strategy and the pricing and packaging strategy, tailored for a targeted market, including a way to reach and serve the market known as the Go-To-Market model.

This defines how a business earns income, shapes its offerings to meet market demands, and positions itself in the competitive landscape.

For example, consider a startup that develops a new product targeting a specific user group. It chooses a cloud-based model and a subscription monetization strategy with an annual contract. This approach not only reduces development costs but also boosts valuation due to the recurring revenue model, though it sets expectations for rapid growth. The SaaS startup then creates 3 tiered packages, each priced according to different features and benefits. Customers have the option to choose between monthly or annual billing, with both requiring upfront payment.

5.1 THE REVENUE MODEL EXPLAINED

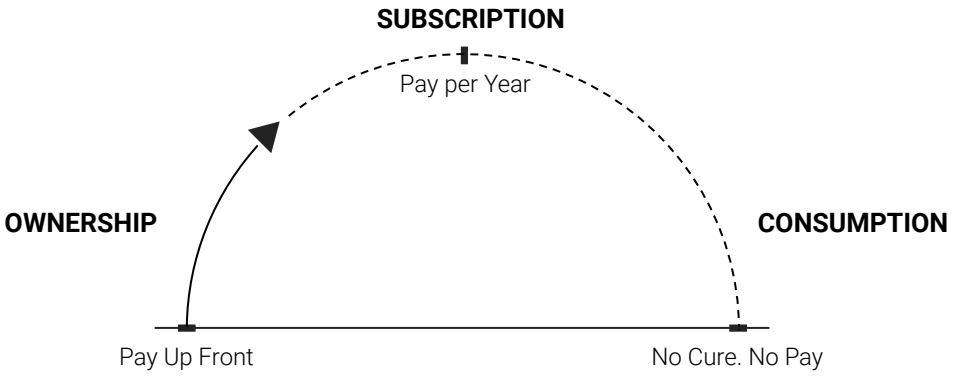
The revenue model encompasses a company's pricing and packaging strategy. Today, pricing is multifaceted, extending beyond simply setting a cost. It includes selecting the right pricing model, such as consumption-based vs. subscription pricing. Packaging also has evolved with the creation of tiered service levels to address diverse customer needs, thereby allowing a more customized approach that better fit the customer's needs. There are many different monetization strategies, we focus on three:

- **Ownership**: This strategy involves customers purchasing and owning products outright. Examples include goods like cars, furniture, or electronics. Here, customers make an upfront payment to acquire ownership.
- **Subscription**: Customers pay a recurring fee to access a product or service over an agreed period. This model is prevalent in streaming services, SaaS, and membership programs, offering continuous access as long as the subscription is maintained.
- **Consumption**: This strategy involves billing customers based on their actual usage of a product or service. Common in utilities like electricity or water, customers are charged according to their consumption levels.

Each of these monetization strategies has unique characteristics that carries distinct implications for revenue growth, resource allocation, cost structure, and business valuation. The Revenue Model helps us understand these differences and the impact is has on a business.

Through this model, we explore how these strategies influence business operations and the GTM strategy. What you will learn is that many SaaS organizations still operate within the framework of the traditional B2B perpetual software model despite the shift in monetization strategies that have taken place. The Revenue Model helps us comprehend the unique strengths of each specific monetization strategy. It illustrates how businesses operate along an arc, representing a spectrum of monetization strategies.

FIGURE 5.1 ***Monetization strategies are mapped along an arc that form the Revenue Model.***



The 3 monetization strategies occupy positions along this arc. Changing the monetization strategy results in a business moving along the arc, resulting in a redistribution of responsibilities between the buyer and the seller.

To illustrate this, please refer to Table 5.1. Observe how the fundamental tasks' responsibilities shift from the buyer to the seller as we transition from one monetization model to another. For example, in the Subscription Model, it is the seller's responsibility to develop the product and support its implementation. Meanwhile, the buyer, often the end-user, is responsible for correctly installing and utilizing the product.

TABLE 5.1 ***Shift in responsibilities based on the chosen monetization strategy.***

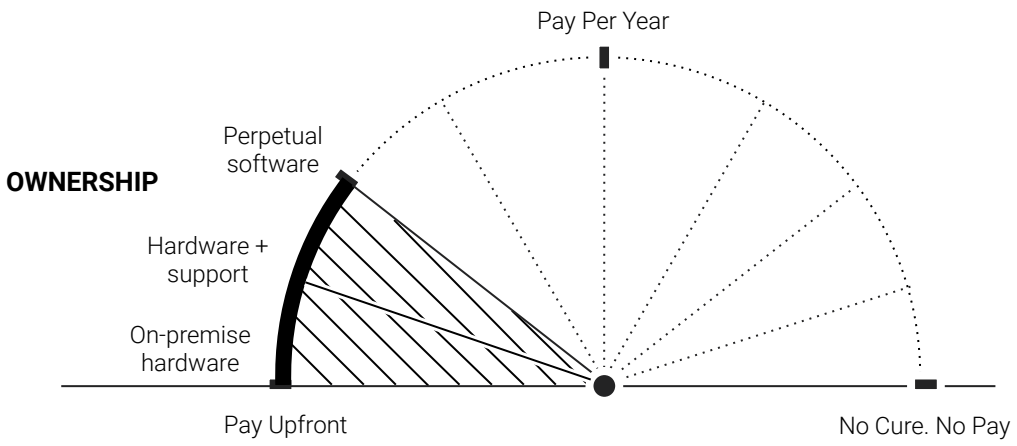
	OWNERSHIP	SUBSCRIPTION	CONSUMPTION
Seller Responsibility	Deliver the product	Deliver the product	Deliver the product
		Make sure it works	Make sure it works
	Make sure it works		Use it
	Use it	Use it	
Buyer Responsibility	Achieve results	Achieve results	Achieve results

Now, let's take a closer look at each monetization strategy, particularly the different types within each strategy.

5.1.1 *Different Types of Ownership*

In the ownership model, the buyer pays up front for the product and is responsible for extracting value from the exchange by installing, using, and maintaining the product. For example, when you buy a car, the buyer instantly becomes the owner but must still drive the vehicle and cover expenses such as gasoline, road tax, parking, etc. Similarly, when buying on-premise hardware like a server, the buyer is responsible for the installation, use, and maintenance. After the purchase has shipped, the seller carries little responsibility besides addressing any defects during manufacturing, often covered under a limited manufacturer's warranty. The buyer has to do all the work.

FIGURE 5.2 ***In the various ownership models the buyer pays for the value exchange up front.***



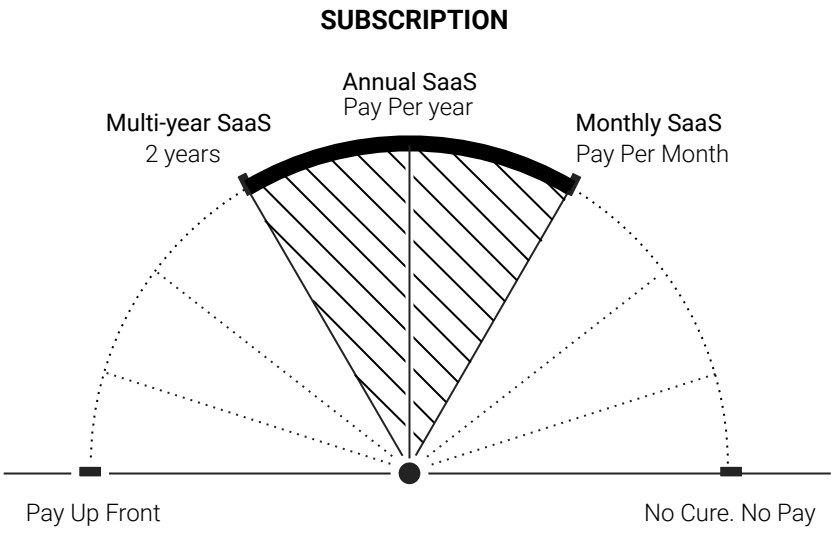
A perpetual software license is an agreement that grants the buyer the right to use a specific version of a software product for an indefinite period via a one-time upfront payment. This type of purchase is tied to a particular software version, and obtaining newer versions requires a new purchase. Perpetual licenses offer users the advantage of long-term access to a stable software version without recurring subscription costs, making them a preferred choice for those who value ownership and control.

5.1.2 Types of Subscription

In the subscription model, the buyer pays a recurring fee for using the product or service for the contracted period, but the buyer never becomes the owner. The most popular subscription model in B2B is SaaS. They can encompass a broader range of products or services beyond software applications. The most common subscription types are: Monthly and Annually, and Multiple (2) Year.

As the payment window extends from annual to biennial, to triennial, and beyond, you gradually move towards an ownership model, which historically operates on a 5- to 7-year amortization schedule. Conversely, as the payment window shortens from pay-per-month to weekly, daily, hourly, and eventually to pay-per-second, you eventually arrive at consumption-based payments.

FIGURE 5.3 ***As a subscriber, you pay for using the product over a period of time.***



Much like McDonald's, Netflix built an empire through a change in the revenue model. Historically video rental business was a usage model. Today as a Netflix customer, you pay a monthly fee to access their library. In this case it is the seller who pays for all the costs involved to give a customer the ability to enjoy their content. It is Netflix who has to pay for the infrastructure that makes this possible. This model is cost efficient when it applies to an

Infrastructure that can be used by all users. For Netflix, all users access the same content library. If a single customer requests a custom-made piece of content, Netflix would need to shift to an ownership model of monetization, requiring the customer to cover production costs and profit up front. Producing a TV series can cost tens to hundreds of millions of dollars for just a few episodes. In the consumer world, monthly subscription contracts such as those for TV services are popular, allowing users to unsubscribe whenever they want.

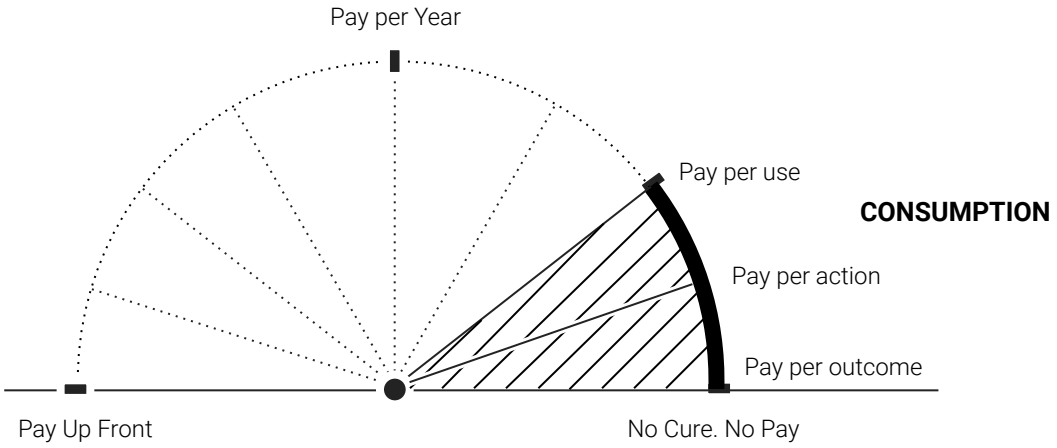
Today, business is moving in all directions, such as from monthly to annual contracts, and more recently even to multi-year contracts. A multi-year contract requires contemplation as it foregoes part of the compound growth mechanics. But it makes sense when an organization such as a government requires the buyer to spend all of the budget in a single year. Another area where multi-year contracts make sense is when the product sold requires a deep investment up front from both parties, for instance, in onboarding and training.

5.1.3 Types of Consumption

In the consumption model, you pay for usage, e.g., by unit of use. The more you use, the more you pay. An early example was putting a quarter in a payphone to make a call. Telcos paid for the manufacturing of the phone booths, their installation throughout the country, the network, and maintenance to keep the network operational. All the user had to do was put in a quarter to make a call. In a recurring revenue business, that same consumption model can manifest in a few different ways. One example is for the use of processing power with an AI service, or the amount of storage or bandwidth consumed.

A further variation is a pay-per-action, commonly used in the ad industry, when the a provider gets paid based on a click, such as an online ad. The trend over the past years has shifted even further to the right, in which a seller of ads no longer gets paid when the consumer clicks on the ad but only when the seller achieves the intended outcome. A great example is sports betting in which the provider gets paid only when a consumer has deposited the money.

FIGURE 5.4 ***In the consumption model you can pay per use, for an action, or for a specific outcome.***



Pay-per-click (PPC) is a prevalent consumption-based monetization strategy in online advertising in which, advertisers pay a fee each time an ad is clicked. The cost per click (CPC) varies based on several factors and can range from just a few cents to tens of dollars. The variation is influenced by the competitiveness of keywords, the target market, and the platform used for advertising.

5.2 CHARACTERISTICS OF THE REVENUE MODEL

The various monetization strategies within the revenue model cause the business to operate differently. Key changes include:

- A radical change from selling value to delivering impact.
- A shift of risk from the buyer to the seller.
- A drop in price by an order of magnitude for each new GTM model.
- A decline in win rate causing the demand for an increase in leads.
- A change in velocity, one of the key drivers of hypergrowth.
- A decrease in retention, increasing the need for more customers/users.

These are just a few characteristics among many, but understanding them can provide insight into how the revenue model functions and the effect it has on the other models.

5.2.1 From Selling Value to Delivering Impact

Within the Revenue Model, the seller's objectives differ based on whether the buyer pays up front or opts for a subscription or consumption-based payment. To clarify these differences, let's categorize the concepts of Value and Impact:

- **Value:** This term refers to the perceived benefits or value that customers expect from purchasing a product. Companies typically present a value proposition, promising specific results or benefits. For instance, a company selling cloud-based project management software might promise enhanced efficiency, streamlined communication, and improved project tracking.

Value represents a promise of future Impact.

- **Impact:** Impact signifies the fulfillment of that promise, pertaining to the tangible, measurable results or benefits that the product delivers during actual use. Using the previous example, if a small business purchases this software and subsequently experiences a 30% reduction in project completion time, better team collaboration, and fewer missed deadlines, these are measurable impacts of the product.

Impact is the fulfillment of the promised Value.

With this categorization, Value and Impact can be aligned with different aspects of the revenue model. Value corresponds to an ownership monetization strategy, where sellers promise value, but it's up to the customers to realize the impact from the product they purchased.

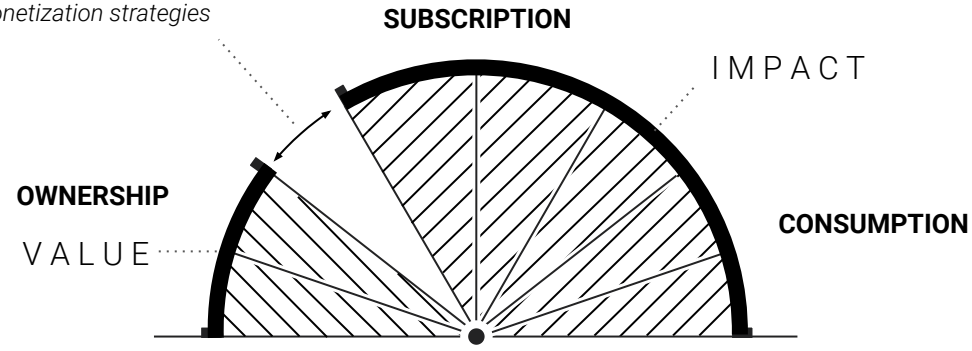
In contrast, Impact is associated with the consumption model, where customers pay based on usage or even for the impact itself. With that said, a subscription business aligns with the Impact aspect as well, where ongoing customer payments are made only if the customer achieves impact over and over again.

Therefore, both subscription and consumption- based monetization strategies hinge on the delivery of continuous, measurable impact.

For instance, SaaS services regularly enhance their software to ensure sustained benefits for users. Furthermore, SaaS platforms often provide robust analytics, enabling customers to measure the software's impact on their business. This commitment to delivering continuous, measurable outcomes aligns with the First Principle of recurring revenue, which prioritizes delivering Impact rather than merely promising Value. This approach is a hallmark of subscription or consumption-based models.

FIGURE 5.5 ***The chasm between different monetization strategies is substantial, underscoring the importance of careful consideration when applying best practices from ownership-based models to subscription and consumption models.***

The chasm between impact and value based monetization strategies



5.2.2 Risk of the Purchase

In an ownership model, the seller sells the promise of what the product can do, also known as "value." The buyer pays up front for the value the product offers on paper. With the purchase and the upfront payment, the buyer shoulders the risk of realizing the promised value. In an ownership model, the seller gets paid in advance and typically incurs minimal risks beyond potential inventory-related costs. If the purchase involves a large-scale order, the buyer must often make an upfront commitment in the form of a large payment, reducing the seller's risk to near zero.

This contrasts the subscription model, in which the seller undertakes significant commitments such as product development, licensing third-party software modules (often tied to a volume-based pricing structure), and hosting the service on a cloud platform, typically involving some volume commitment to the cloud service provider. Meanwhile, the customers of a subscription service don't care about the acquisition or retention costs or any other factors. They only care whether the product can and will deliver the "Impact" they need.

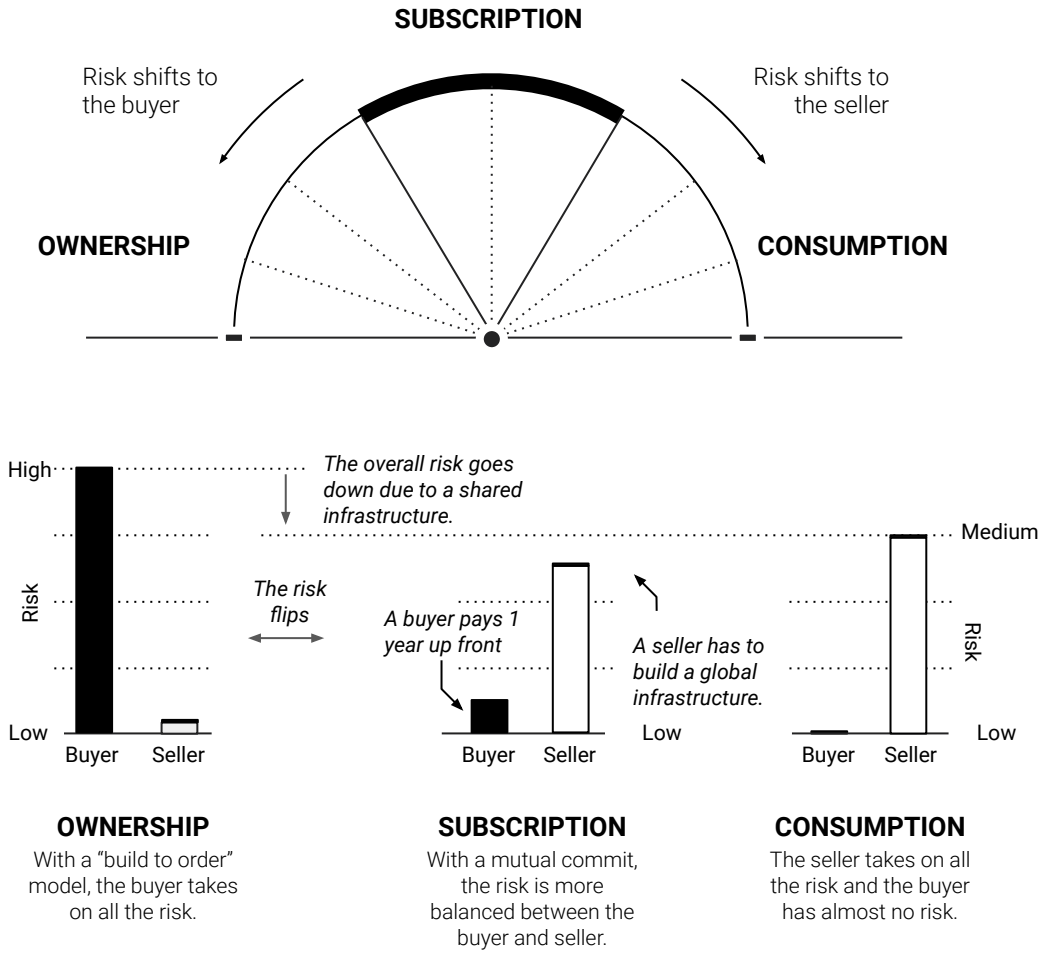
Impact, which was promised as the value during the sales pitch. That tells us that impact is the realization of the value, value that was promised during the marketing and sales process. If the buyer does not experience impact repeatedly, they will cancel the subscription, which can happen long before the seller makes any profit. The lack of profit can quickly lead to a challenging situation, as the more deals a provider closes, the more money they lose.

This can be a problem when sales compensations are based solely on deals won. The salesperson doesn't have to worry about retention because it's not part of their compensation plan, so the company is taking on the risk while incentivising their reps to bring in as many deals as possible.

With a move to the cloud and the use of software, overall risk has decreased for both parties. On one hand, it is much easier for customers to sign up for a solution because there is less on the line. On the other hand, it is just as easy for them to quit, and customers will leave unless you deliver business impact repeatedly.

If you have been in business for over 10 years, you have experienced this shift in risk: selling to the Enterprise based on an ownership model takes 12 to 24 months and likely another 6 to 12 months to roll it out. But with a SaaS offering, the customer can sample the impact through a smaller pilot before expanding the use of the product to other parts of the organization, which could take upwards of 3 to 6 months to acquire and roll out. This causes a revenue acceleration which is a clear outcome of moving to a subscription based model, a topic we will discuss later on in this chapter.

FIGURE 5.6 ***A change in the monetization strategy causes the risk of the purchase to change and switch between the buyer and seller.***

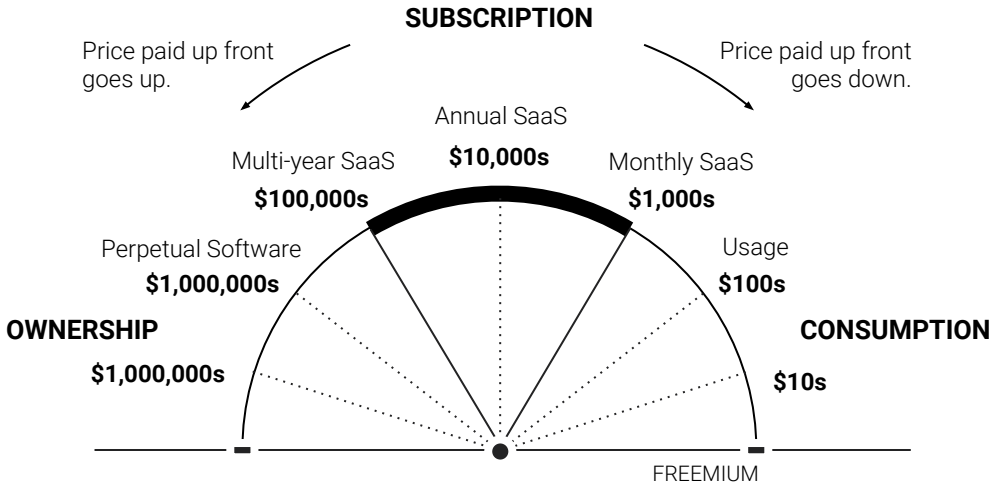


5.2.3 Price

As we move from left to right along the Revenue Model, we also see the price of the value exchange decrease. A perpetual software deal (ownership) can be measured in millions of dollars, paid up front, and is 10 times the size of a subscription deal (SaaS). A usage deal (consumption) goes even further and can be a fraction of the price of an annual SaaS contract. To the right, we run into multi-year SaaS contracts involving higher customer commitment. Multi-year agreements increase retention by making it more difficult for customers to switch to other services during the contract term, for example,

due to the need for extensive onboarding and training up front, or because the buyer invested a lot of effort in extensive testing and vetting of a platform. However, multi-year contracts also present some unique risks and challenges. It limits a SaaS business's ability to increase the price over time, vital to growth in a recurring revenue business. Therefore, sellers should carefully consider the risks and benefits of multi-year contracts and evaluate their customer retention strategies accordingly. To the far right of the spectrum, we eventually end up at the freemium model.

FIGURE 5.7 ***As a business moves along the arc the average price paid in the first year changes by an order of magnitude.***



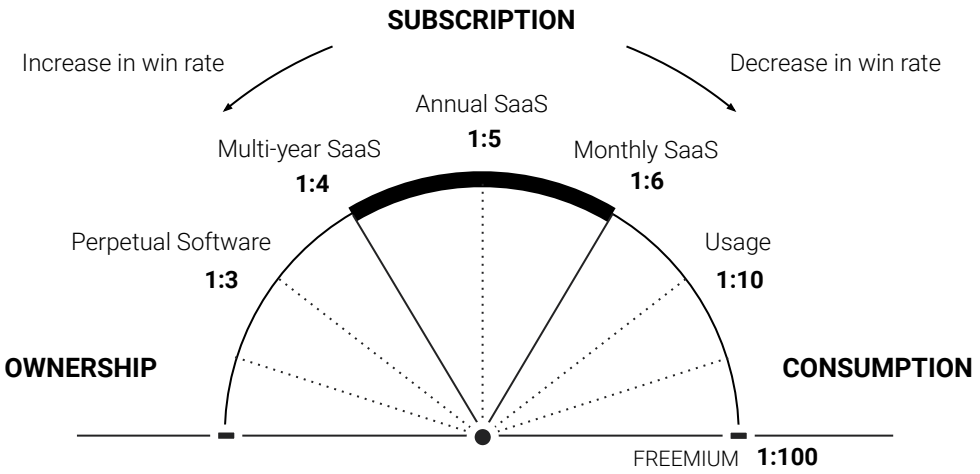
The freemium model stands out as it does not involve a direct value exchange where the buyer pays the seller. In this model, the seller offers value—typically access to a basic version of a product or service—without requiring monetary compensation from the buyer. Instead, the value exchange shifts to alternative methods. One common approach is for the seller to monitor the buyer's usage patterns. This data can be invaluable, often leveraged for targeted advertising, enhancing product features, or understanding customer behavior. The freemium model, therefore, relies on indirect methods of monetization, providing free services to a large user base while exploring other avenues for revenue generation.

5.2.4 *Win Rate*

To make a million-dollar purchase, a buyer at a public company cannot simply submit a request for a quote with a group of vendors. The internal process of a large corporation requires the buyer first to secure a budget, which means that by the time the buyer meets the seller, they are much more educated. The buyer understands the pain they are experiencing and is more committed to genuinely finding a way to solve it.

Across industries, regions, and segments, the win rate in selling to large corporations using an ownership-based model is pretty much the same, around 1:3. As we traverse the arc of the Revenue Model, the win rate starts to drop. The win rate for a SaaS solution based on an annual contract is more like 1:5, and based on a monthly contract, it deteriorates to 1:6 or even 1:7.

FIGURE 5.8 ***The impact of the monetization strategy on the win rate.***



Intriguingly, as the buyer's risk decreases, the win rate paradoxically worsens. One might assume that reduced risk for the buyer should correlate with an improved win rate. The dynamics of the freemium model, often employed as a market entry strategy, provides insight into this paradox.

The free to paid conversion rate historically has been low, as low as one in a hundred. There are exceptions like services such as Spotify and Slack, which boast conversion rates as high as 1:5. Why is the free to paid conversion rate so low? With lower buyer risk, a surge of “unqualified” opportunities often flood the sales funnel. This influx of non-ideal prospects leads to a sharp decline in win rates.

In practice, we see the revenue model operating as a cohesive system in which different factors impact each other. Moving from an ownership to a consumption monetization model results in a substantial decrease in the average price per deal. Consequently, a larger volume of deals is needed to achieve similar financial objectives. However, this shift also brings a notable drop in win rates, implying that relying solely on inbound leads for a volume-based approach is unsustainable and likely detrimental.

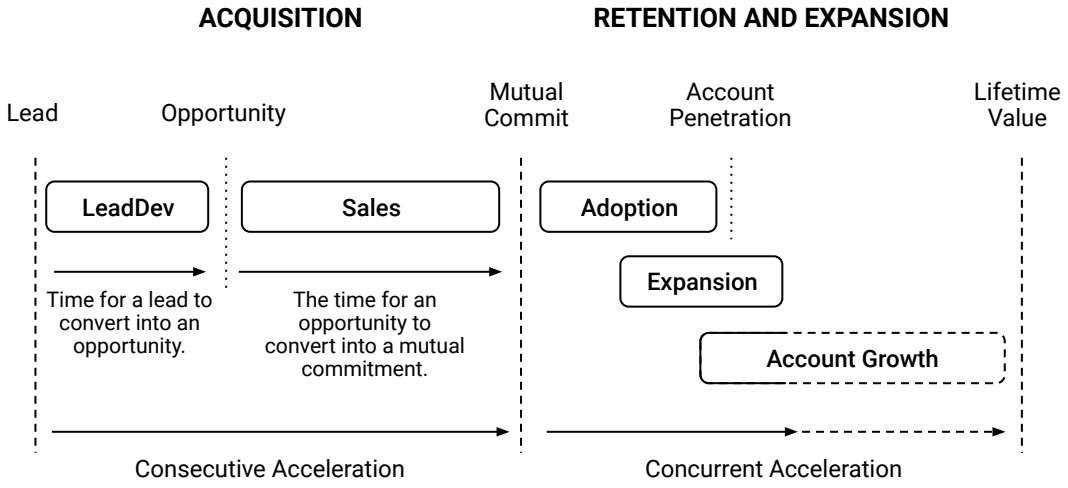
The key to addressing this challenge is to incentivize existing customers to refer new prospects. Success in this approach hinges on customer satisfaction with the product's impact. This underscores the importance of adapting business operations to suit the specific characteristics of the chosen monetization strategy. It highlights that strategies effective in an ownership model do not translate well to a subscription model.

5.2.5 Revenue Velocity

Revenue acceleration involves strategies and tactics that speed up a company's revenue generation, resulting in quicker growth. It stems from either shortening the revenue acquisition process or speeding up revenue expansion.

For acquisition, it depends on how quickly a lead can be converted into an opportunity, and then converting that opportunity into a mutual commitment—known as the sales cycle. In terms of expansion, revenue acceleration relies on customers buying more or renewing quicker, both of which depend on the product’s impact. Hence, accelerating revenue expansion is the result of a customer achieving the desired impact quicker.

FIGURE 5.9 ***Revenue acceleration for acquisition is based on consecutive acceleration and for retention and expansion it is based on concurrent acceleration.***



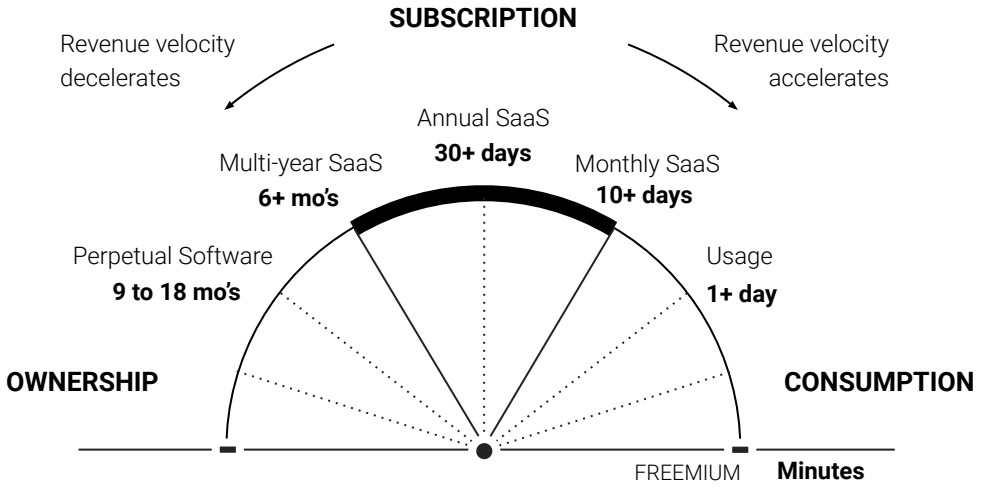
Whereas revenue acquisition is based on consecutive acceleration, revenue expansion is based on 3 actions happening concurrently:

- **The time it takes to adopt the service successfully.** Are customers getting what they paid for? A successful outcome should take weeks to months depending on the complexity of the product in platform sales, and mere seconds in application sales, something we will come to learn to be PLG.
- **The time it takes to achieve account penetration based on expansion.** Think of increasing usage, reaching maximum users, and selling other products. This kind of growth can take months to years. Penetration of an account by sellers can start before the buyer achieves adoption.
- **The time it takes for a customer's business to grow.** Account growth often takes years and is hard to accelerate artificially. Usually, there are a few accounts with lots of growth and many with a little bit of growth balanced by the contraction of a few customers (going out of business).

Suppose we double-click on revenue acceleration of the time it takes to convert an opportunity into a commitment (sales cycle). In that case, it tends

to shorten as we traverse the arc from ownership to consumption. For example, the conventional B2B sales cycle for a perpetual software license, paid up front, lasts 9 to 18 months. Compare that to the sales cycle of a SaaS contract with an ACV of between $24,000, which averages around 50 days.

FIGURE 5.10 ***The impact of the monetization strategy on revenue velocity.***



A common mistake is to consider revenue expansion consecutive. In other words, the account team waits to increase the contract size until the customer is "happy" or until all seats are used. Expansion is a concurrent task, so why not recommend expanding earlier? As a seller, you have more insight into usage patterns and can predict the buyer's growth needs. The buyer in many cases depends on the seller to make a recommendation.

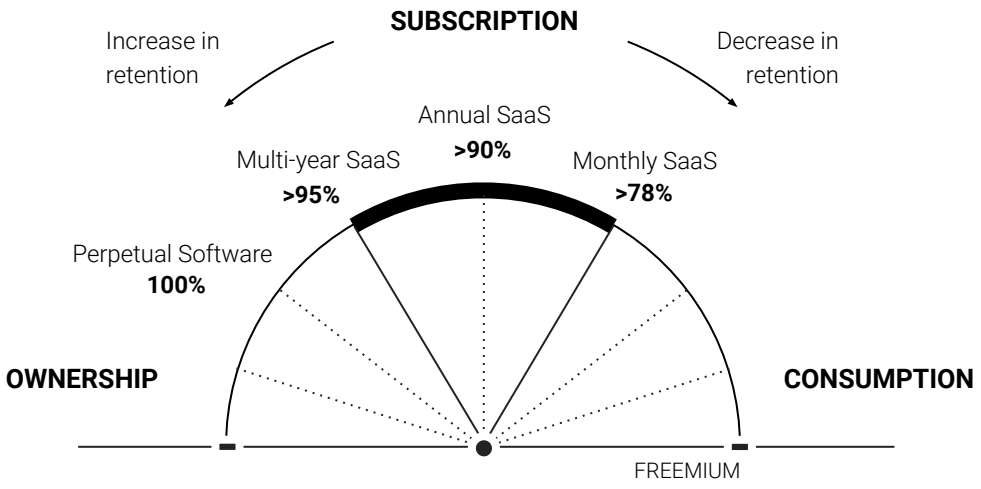
5.2.6 Revenue Retention

When we look at retention, we will notice that the shorter the sales cycle, the lower the retention is, and the longer the sales cycle, the longer the retention is. For example, freemium customers retain at a much lower rate, whereas annual multi-year contracted customers retain at the highest rate.

In recurring revenue, retention (or churn) is a critical metric because it directly impacts revenue growth and profitability, a metric referred to as net revenue retention (NRR), which we will discuss in detail throughout this book.

A business's average monthly retention rate based on recurring revenue depends on the industry, the specific product, and the customer base. However, as a general rule, a healthy monthly retention rate is above 98%. Annualized, this would mean a 78% annual retention. Compare this to an over 90% annual retention rate for an annual contract. It tells us monthly contract retention rates are much lower than annual contracts.

FIGURE 5.11 ***The impact of the monetization strategy on the retention rate.***



There are several reasons for this:

1. **Flexibility:** Monthly contracts offer customers more flexibility than annual contracts, allowing customers to cancel or switch to another service easily.
2. **Commitment:** Annual contracts require customers to commit more to the service, increasing the cost and effort needed to switch to another service. Customers who make this commitment will do so carefully and therefore be more locked in when they do.

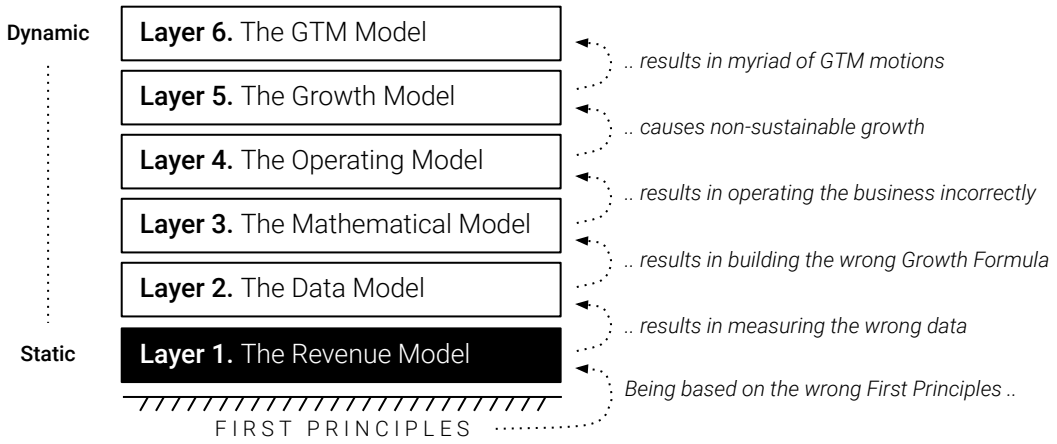
3. **Price:** Monthly contracts often cost 10% to 50% more than annual contracts, which makes customers more sensitive to the price and value of the service. It leads to lower retention rates as customers are more likely to cancel if they feel they are not getting the desired impact for the premium price.
4. **Engagement:** Annual contracts incentivize customers to engage with the service. On the other hand, monthly agreements can lead to lower engagement as customers may be less committed to using the service.

With recurring revenue services becoming more typical, multi-year contracts are becoming more common. The retention rate is generally much higher for annual contracts than monthly contracts due to flexibility, commitment, price, and engagement. Understanding these factors can help SaaS companies develop strategies to improve customer retention.

5.3 IMPLICATIONS AND WARNINGS

You may recall our discussion on the structure of models (Section 3.3), where it was noted that the lower layers serve as the foundation for all other aspects of the business. Conversely, this also implies that choosing an inappropriate monetization strategy, or evolving into one that is incompatible, can have detrimental consequences.

FIGURE 5.12 ***Choices made in the monetization strategy will impact all models layered above.***



Although initially considered a minor oversight, you'll soon realize that selecting a monetization strategy that doesn't sync with other models, will have far-reaching consequences throughout your business.

5.3.1 Mistake 1. Applying the Wrong Metrics

A common mistake made within the Revenue Model, which can cause a lot of problems in later growth stages, is applying metrics from the ownership model to a subscription model.

For example, the win rate of the ownership model for a product sold at a price of $500,000 to an Enterprise is 1:3; many sales organizations (incorrectly) assume that, therefore, they will need a 3x pipeline for their SaaS funnel based on an annual contract size of $24,000. These are 2 very different worlds, each with their own metrics. The win rate of an annual subscription deal based on a $24,000 is 1:5, thus requiring a 5x pipeline. This is a common scenario where a company targets the incorrect amount of inbound leads. And as we just learned, it does not stop there—this impacts the retention rate, velocity, etc.

This results in an incorrect Growth Formula.

5.3.2 Mistake 2. Changing the Monetization Strategy Mid Flight

Businesses may change their monetization strategy mid flight. This can be the result of acquisition, or a business decision. For example, when transitioning from a perpetual software offering to a SaaS offering.

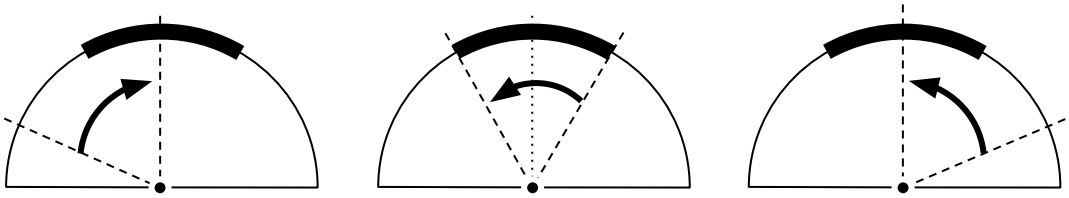
This transition is reflected by moving along the arc from left to right in the Revenue Model. Alternatively, they may shift from a monthly to an annual SaaS contract, thus moving from right to left along the arc in the Revenue Model.

In doing so, they will encounter various changes, not only in how they price but also in how they sell. In addition, these changes will have far-reaching effects on the revenue flow, affecting revenue metrics including but not limited to the sales cycle, win rate, retention, adoption, and total contract length.

A scientific approach means you need to be aware of the impact of the changes, be able to share these changes with the organization, reason if this is the effect the business wants and, if so, determine the action plan to make it a reality. Changes to the Revenue Model generally fall into one of 3 categories:

- **Changing a monetization strategy:** From a monthly to an annual subscription, or vice versa.
- **Adding a GTM motion with a new monetization strategy:** Transition from a use-based PLG offering to an Enterprise-wide annual subscription.
- **Launching a new product:** Launch an annual subscription for a software solution that accompanies a piece of hardware that is paid up front.

FIGURE 5.13 ***Changing or adding a monetization strategy will have far-reaching effects.***



LAUNCH A SAAS OFFERING

Changing the model from a perpetual license model to a subscription model.

Commonly used to compete with a prevailing SaaS vendor in a the SMB market.

LONG-TERM CONTRACTS

Moving from a monthly to an annual, or a multi-year contract.

Commonly used to counter a growing cost of acquisition and retention.

MOVE UPSTREAM

Companies with a PLG offer moving from a consumption to a subscription model.

Commonly used to secure larger contracts and reduce churn to increase growth.

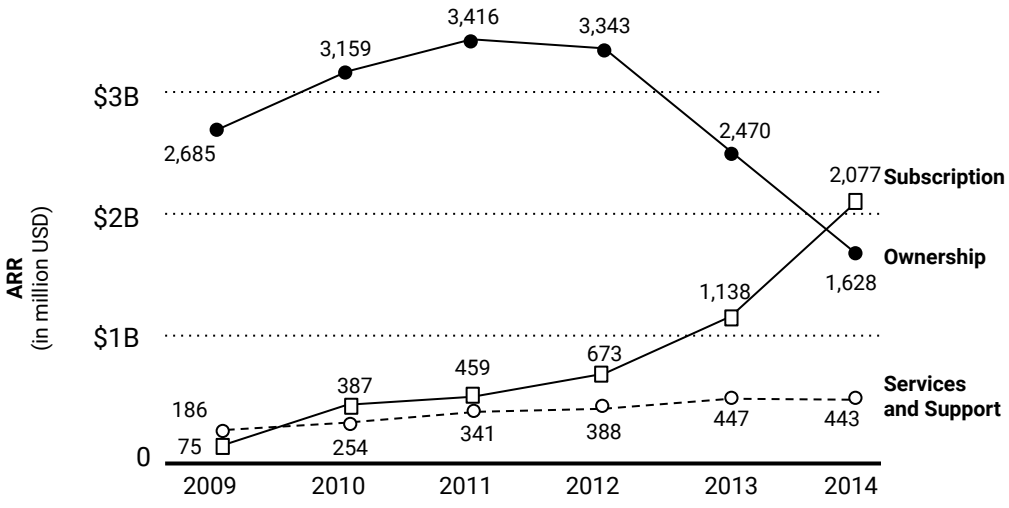
These transformations are categorized as a Phase Shift, often taking years to have an effect, and require a significant amount of dedicated resources to make the shift successful. A change of executives during this period can be highly disruptive. One of the most successful change of monetization strategies was performed by Adobe, and it took several years.

CASE STUDY

In 2011, Adobe, a prominent provider of digital design software, experienced a significant valuation increase. Previously, Adobe's products were sold as one-time software licenses, allowing indefinite use. Their Creative Suite became highly profitable, generating over $3.4 billion in revenue with a gross margin of 97%. Despite this success, Adobe faced challenges keeping up with industry trends. Frequent software updates created a never-ending cycle of upgrades, frustrating loyal users who had to pay for minimal changes. To address this, in 2011, Adobe transitioned to a subscription-based service (SaaS) model. This shift required cultural, technological, and business practice changes. They developed a cloud-based infrastructure to support the software, ensuring customer data security. Sales and marketing strategies were also modified to attract and retain subscribers.

FIGURE 5.14

The pace of Adobe's switch from an ownership to a subscription based monetization model to a subscription based.

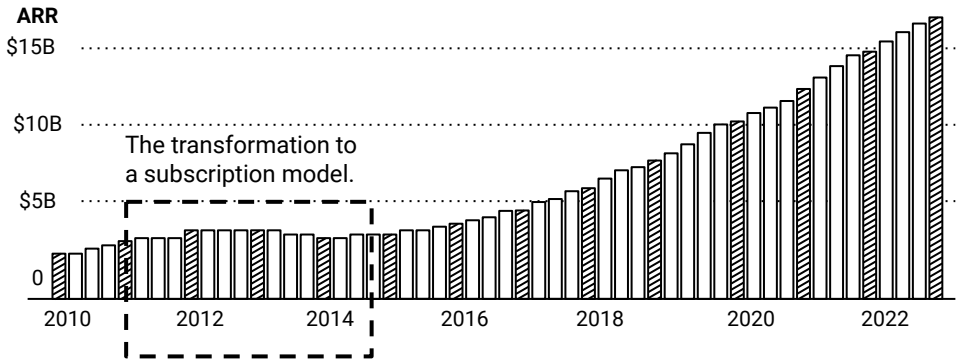


Source: Tomasz Tunguz

By 2014, 3 years after the launch of the subscription service, revenues from subscriptions surpassed license revenue, reaching $2.1 billion and $1.6 billion, respectively. Although the business initially incurred losses, Adobe turned the corner in 2016 and continued to innovate and evolve its products to meet customer needs in the ever-changing technology landscape.

FIGURE 5.15

The revenue growth of Adobe during the Golden Era of SaaS.



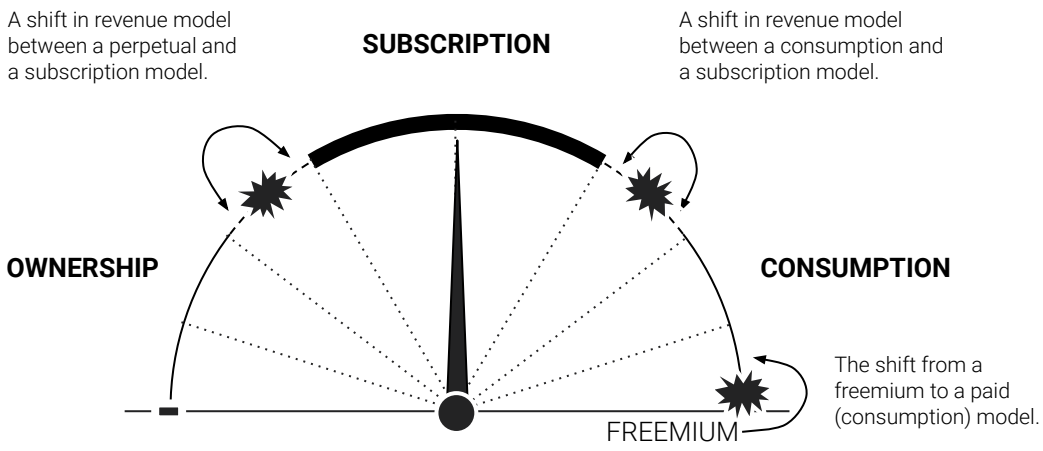
Adobe is now one of the most successful SaaS companies in the world. At the end of 2022, Adobe's value was a whopping $150 billion based on an annual recurring revenue of $17 billion, a multiple of 8.8x.

Like Adobe, a company sometimes wishes to shift from one monetization approach to another. Risks peak during such transformations. Four significant shifts in monetization strategy can precipitate considerable challenges:

- **Transitioning from an ownership to a subscription model,** as exemplified by Adobe's experience, a process that required a minimum of 3 years for successful implementation.
- **Shifting from a subscription to a consumption model** to enhance lead flow by leveraging lower price points.

- **Moving from a consumption to a subscription model,** a strategy aimed at securing larger transaction volumes to support vendors in meeting their growth targets.
- **The evolution from a freemium to a paid model,** particularly the consumption model, represents one of the most challenging transitions in monetization strategy, often consuming its users. In June 2023, a public discord erupted after Reddit, a social media platform hosting various specialized forums, imposed fees on third-party apps. This move angered users who rely on these apps for an enhanced Reddit experience.

FIGURE 5.16 ***The most common moments that cause a radical change in a monetization strategy.***



A shift in monetization strategy is transformational; it involves changes in products, services, skill profiles of people, the technology used, and data measured and reported. But most of all, a cultural shift. It can take years to complete, and it carries a severe penalty for failure measured in high cost, significant loss of revenue, and, most of all, wasting valuable time often measured in years.

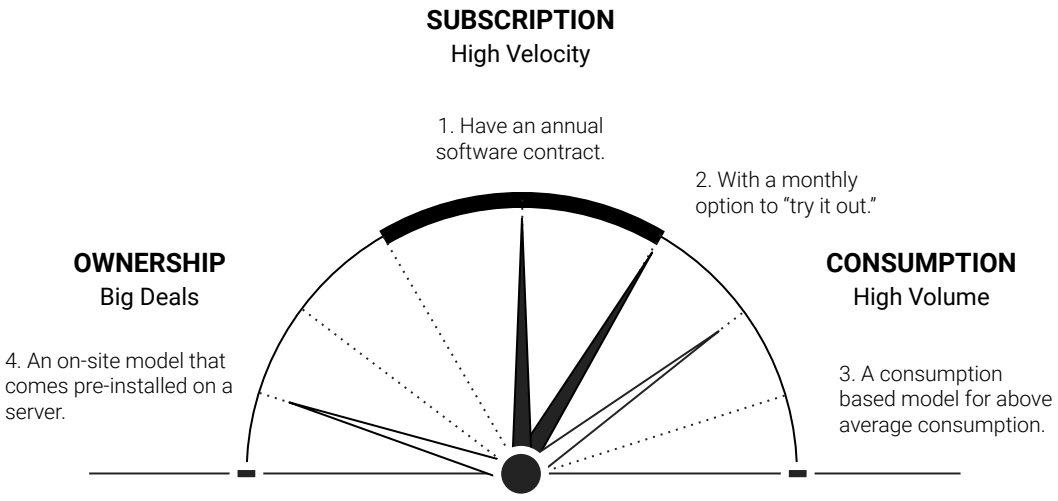
In short, a change in the monetization strategy should never be used as a marketing campaign to generate leads or as a sales methodology to close more deals. A transformation of this magnitude requires thoughtful design and preparation.

5.3.3 *Mistake 3. Multiple Monetization Strategies*

We have run into companies with multiple revenue models that cause lots of confusion with a customer. As you can see in the figure below, this particular company operated 4 different monetization strategies. The standard fare was an annual subscription model with a monthly option sold at a 20% premium. In addition, this company offered consumption based on a usage fee, but they had several customers that demanded an on-prem solution that could be plugged into their network. All in all, they had 4 different monetization strategies.

At this point, it seems obvious not to do this—but growing this over 10 years and with big enough customer names behind it is much more common than most people think. Microsoft for example, as of August 2023, still confuses customers by selling Office both under a perpetual as well as a subscription model.

FIGURE 5.17 ***Multiple monetization strategies depicted in the Revenue Model.***



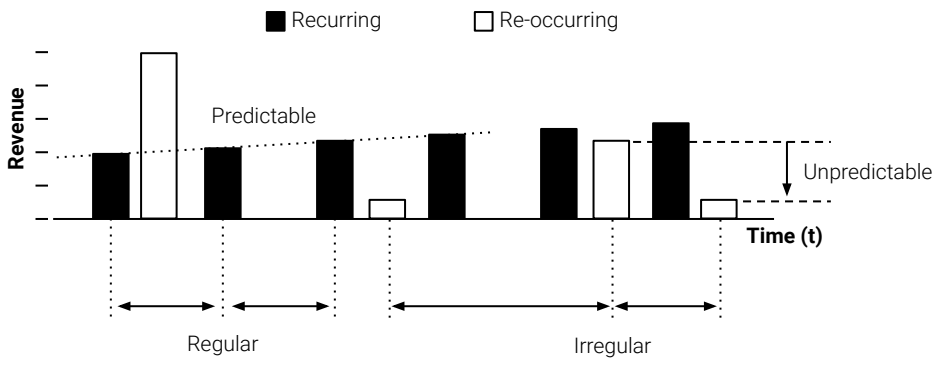
5.3.4 *Mistake 4. Mistaking Re-Occurring Revenue for Recurring Revenue.*

There is a clear distinction between "recurring" and "re-occurring" revenue; understanding this difference is crucial as it significantly impacts the monetization strategy and thus the valuation.

- **Recurring**: The term "recurring" implies that something happens repeatedly and consistently, following a predictable pattern with regular intervals. For example, a SaaS (Software as a Service) contract that requires payment on the 1st day of every month is a recurring revenue model. It signifies a systematic and fixed pattern where customers are regularly billed for continued access to the product or service.
- **Re-occurring:** On the other hand, "re-occurring" suggests that something happens again but lacks the same level of regularity or predictability. It implies sporadic or occasional repetition rather than a consistent and predetermined pattern. In the context of revenue, re-occurring revenue refers to income that may occur repeatedly but without a recurring schedule. It can vary in amount and frequency.

But, the distinction between recurring and re-occurring revenue is not solely about whether payments happen repeatedly but rather about customers' ongoing access to the product or service as long as they continue to pay. Hence, it creates a regular and predictable revenue stream.

FIGURE 5.18 ***The difference between recurring and re-occurring revenue comes down to regularity over time and the predictability of the amount of revenue.***



Understanding the distinction between recurring and re-occurring revenue is essential for businesses to evaluate their revenue models, predict cash flow, and determine their overall value in the market. Companies can build a more stable and sustainable business model with a predictable income stream by focusing on recurring revenue. This carries a higher valuation driving more and more companies to categorize their revenue as recurring where in fact it is re-occurring.

A few common questions to clarify what is and what is not recurring:

Q: Is an on-prem support contract a recurring revenue subscription?

A: No, it's not. While it may involve recurring payments, it primarily covers maintenance and support services for physical devices. This is categorized as "re-occurring" revenue.

Q: Is an insertion order (ad tech) considered a subscription model?

A: No, it's not. An insertion order represents a one-time agreement for a specific advertising campaign. However, if the customer allocates and spends their budget regularly within the insertion order, the revenue is considered re-occurring. Therefore this is categorized as a consumption model.

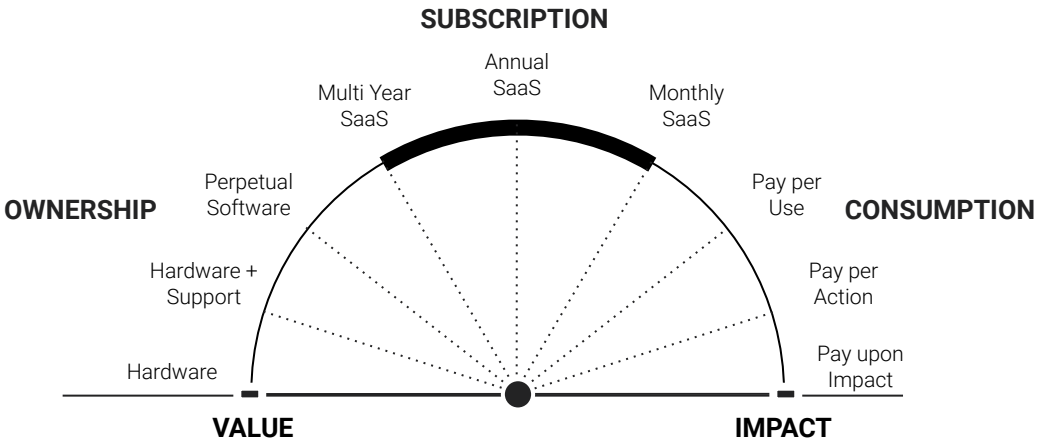
Q: Is usage-based consumption considered a subscription model?

A: Yes, it is. Customers are billed based on their actual usage or consumption of a product or service, such as cloud computing or telecommunications. It aligns with the subscription concept, where customers pay for what they use.

5.4 EXERCISES ON THE REVENUE MODEL

Here are a few simple exercises to develop an understanding how your business performs.

EXERCISE 5.1 **Draw an arrow from the center to every monetization approach you are using.**



Fundamentally you are using a/n _____ based monetization strategy.

EXERCISE 5.2 **Based on the monetization strategy benchmark your key metrics and see if they match up to the characteristics of your monetization approach.**

ARR: _____ ACV/GTM Motion: _____	**Suggested Metric based on the Revenue Model**	**What Is Your Growth Metric today?**
Win Rate (Figure 5.8)	_____ 1:5 OR 20%	_____ 18%
Revenue Acceleration (Figure 5.10)	_____ (>30 DAYS)	_____ (68 DAYS)
Retention (Figure 5.11)	_____ >90% annual	_____ 84% annually

If your numbers are not in the ballpark, assess whether:

- You used a metric based on a different monetization strategy.
- The average performance of the team meets your expectations.
- The market dynamics have changed recently.

If you are off, no need to panic. We simply want to raise the awareness of how your revenue factory is supposed to work. In the following chapters, we will show you how to design it step by step.

EXERCISE 5.3 ***Do you operate in more than one monetization strategy?***

For example, if you run a business with less than $100M in recurring revenue, you should not have different products with varying types of monetization strategy, such as an ownership and. a subscription approach. You may have different approaches within the monetization type—for example, a monthly vs. annual subscription.

If you operate more than one monetization strategy, we recommend you focus on one monetization strategy with at max 3 GTM motions (see Chapter 10).

EXERCISE 5.4 ***Are you using the right metrics for the chosen monetization strategy?***

For example, are you operating around the right metrics as part of your monetization type? A common mistake here is that companies with a subscription product that sells for $20,000 to $50,000 per year operate against a funnel size based on a 1:3 win rate, whereas it should operate against a funnel based on a 1:5 win rate.

Make sure you use the right benchmark data, relevant to your monetization strategy (see Chapter 6.)

EXERCISE 5.5 ***Is your revenue approach aligned across all GTM functions?***

For example, a common problem is the mixing of characteristics from different revenue approaches across departments: the company is selling monthly subscriptions, but sales are still working on a 3x pipeline (ownership), and the customer success team is reporting annual retention numbers, whilst the marketing team spends most of its resources on lead generation vs. customer marketing.

We recommend that you start based on the principles of recurring revenue, implement a Bowtie across all customer facing roles, and establish impact as a uniform language (see Chapter 8).

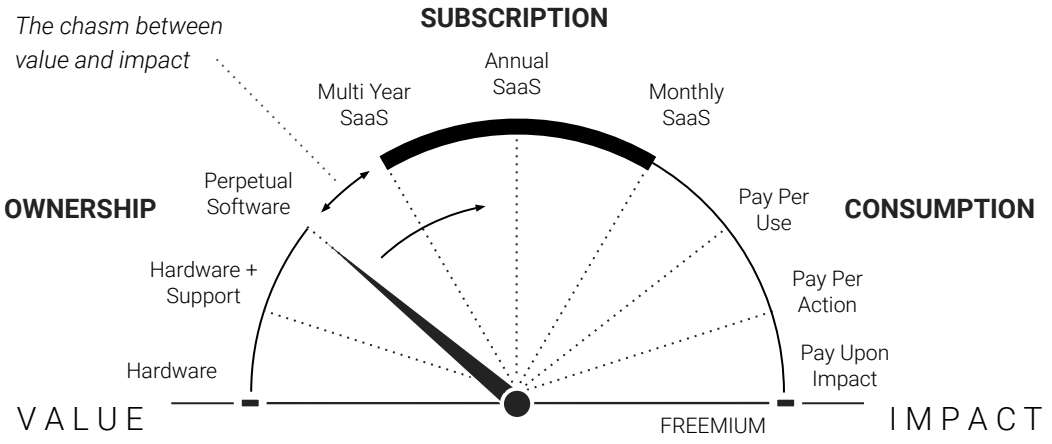
By now, you should have a basic understanding of the Revenue Model and a sense of your business's operational needs.

5.5 RECAP OF THE REVENUE MODEL

The Revenue Model provides a framework that helps us understand the relationship between the various monetization types and outlines the specific characteristics of each type. There are 3 fundamental monetization strategies:

- Ownership, in which the buyer pays the total amount due up front.
- Subscription, which is based on a recurring revenue approach.
- Consumption, which is based on a per outcome basis, such as usage or other action.

FIGURE 5.19 ***The Revenue Model***



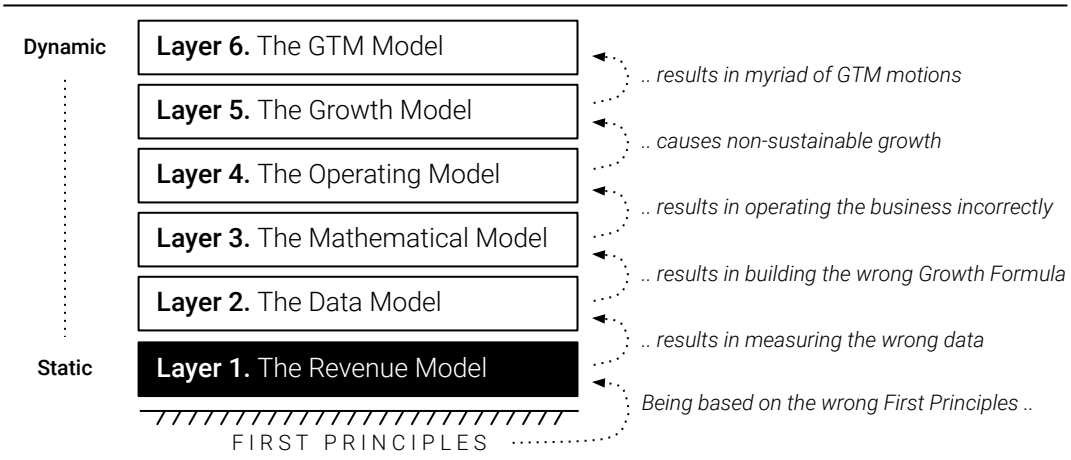
Your position within this model determines the characteristics of your monetization strategy. As we transition along the arc from an ownership-based strategy to a subscription-based strategy, and ultimately to a consumption-based strategy, the following changes occur:

- A radical shift from selling value to delivering impact. Customers initially buy based on value promised but they renew based on the impact received.
- A shift of who takes on the risk from the buyer to the seller. It has become the seller who takes on the lion's share of the risk, and who must be cautious about choosing their customers.

- The drop in price by an order of magnitude drives up the demand for a higher volume of leads to maintain the same growth metrics. Notably, organizations that fail to recognize the source of this increased demand will constantly find themselves in need of more leads.
- A decrease in the win rate further escalates the need for leads, often leading to ongoing tension between marketing and sales departments.
- As we move to the right along the arc, the acquisition velocity increases from months to days, and in some cases to seconds. This increase is driven by consecutive acceleration of lead generation and opportunity conversion.
- For retention and expansion, velocity hinges on concurrent acceleration in onboarding/activation, adoption, and expansion phases. All these are contingent on the customer realizing impact more rapidly.
- In the Ownership monetization strategy the retention theoretically is 100%. However, as we progress along the arc, there is a noticeable decline in retention, underscoring the need for an ever-increasing number of users/customers.

The characteristics of a recurring revenue factory reveal that organizations cannot sustainably scale subscription and consumption-based strategies through marketing and sales efforts alone. Sustainable growth increasingly depends on the active involvement of users and customers, particularly their ability to derive the promised value (impact) from the product. This will affect all models that are layered on top.

FIGURE 5.20 ***Choices made in the monetization strategy will propagate to all models on top.***



Revenue Architecture is a discipline that ensures:

- The chosen monetization strategy provides the best growth opportunity for the business in the coming years.
- Alignment of all business parts around the appropriate metrics, based on the chosen monetization strategy.
- Avoidance of common mistakes in recurring revenue businesses, such as a) an excessive focus on acquisition and b) reliance on growth metrics from an ownership-based monetization strategy.
- Alignment of all Go-To-Market team members. For example, ensuring the customer success team is aware of and understands their role in the chosen approach to achieve the desired results: help the customer achieve recurring impact.

The Revenue Model described in this chapter will allow you to educate the rest of the company about where you are and where you are not. The beauty of the Revenue Model lies in its simplicity; it provides guidance and serves as a starting point for any organization aiming to build a revenue factory with a unified GTM approach.

Once you have structured your monetization strategy within the Revenue Model, it is time to move on to the Data Model.

06

THE DATA MODEL

06 | THE DATA MODEL

In 1898, Elias St. Elmo Lewis developed a model that mapped a theoretical customer's journey from the moment a brand or product attracted their attention to the point of action or purchase. He created a 4-stage process: Awareness, Interest, Desire, and Action, commonly known as AIDA.

Potential customers are introduced to your product or service during the Awareness stage. In the Interest stage, they learn more about it and consider whether it is a good fit for them. In the Desire stage, they are convinced that your offering is the best solution for their needs. In the final stage, they take action and make a purchase. In the 1992 cult classic "Glengarry Glen Ross," Alec Baldwin famously depicted the AIDA model to obtain contract signatures from prospective clients, "...to sign on the line which is dotted."

One hundred and twenty-five years after Elias St. Elmo first wrote about AIDA in his book *The New Thought in Advertising*, most marketing and sales organizations still operate on a derived version of AIDA, now known as the marketing and sales funnel, which ends with the buyer making a purchase. Although the seller's journey ends with the purchase, this is where the buyer's journey starts—and if the product or service delivers on its promise, this journey can last for years.

In a subscription business, what happens after the deal closes is what secures revenue, growth, and profits. Unfortunately, this is not covered in the classic marketing and sales funnel, which was developed for an ownership-based

monetization strategy. The subscription business needs a new model that extends the classic marketing and sales funnel to cover the customer journey. We will refer to this as the Bowtie or the Data Model. This chapter breaks down the Bowtie into 3 parts:

- **Part 1. The Data Model:** Covers the entire customer journey and refers to the complete set of experiences and interactions that a customer goes through when engaging with a company or brand. It encompasses various customer stages, from initial awareness to considering, purchasing, implementing, and using a product or service until it has achieved its full potential.
- **Part 2. The Data Structure:** Provides a measurement standard and framework for organizing and analyzing data. It tells us what we can measure and where, which allows us to compare GTM motions against each other.
- **Part 3. The Benchmark:** A reference or standard for comparing and analyzing industries and domains. While the Data Model provides a framework and structure for organizing and analyzing data, the benchmark allows companies to measure their performance, identify gaps or opportunities for improvement, and compare themselves against industry peers or best practices.

6.1 THE DATA MODEL

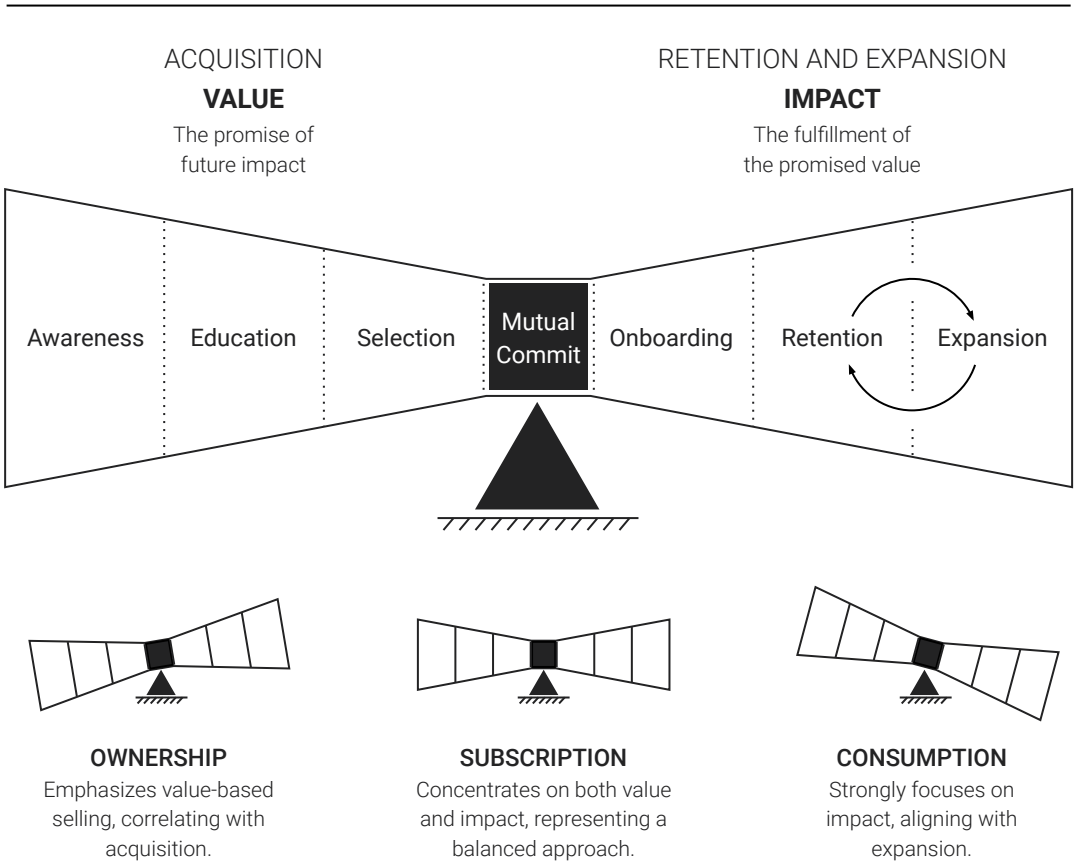
Up to this point, we have learned that the classic marketing and sales funnel ends where recurring revenue begins. Therefore, we extended the funnel into a Bowtie. Chapter 4 described the structure of the Data Model and the use of the Bowtie to map the customer journey in stages. Building on that model, we will now delve into why this approach is customer-centric and how it facilitates a shift to impact-based thinking. This shift is crucial for operationalizing customer-centric thinking in real-world scenarios.

The Balance Between Value and Impact

In Section 5.2.1, we examined how Value and Impact correspond to different revenue models: Value is tied to acquisition and ownership monetization, while Impact is pivotal to retention and expansion in consumption and subscription models. The transition from offering Value to ensuring Impact can be visualized by moving the business's gravitational center.

This metaphor illustrates that the subscription model represents an equilibrium between Value and Impact. Real-world scenarios support this, showing that even successful companies, using a consumption-based model, often have to add an annual subscription offering to sustain business growth, balancing immediate acquisition with long-term customer retention. The Bowtie model isn't just a conceptual tool; it's a custom-designed system for recurring revenue, embracing everything we love from the classic marketing and sales funnel.

FIGURE 6.1 ***The Bowtie as a Data Model reflecting there is a balance between Value and Impact.***



In this context, purchasing a car represents the Value mindset associated with an ownership model. The salesperson emphasizes the car's potential during the sale. However, the car owner must undertake all the work (fueling, driving, and parking) to realize this value. In this analogy, using a rideshare gets you to the same spot but without all the work; this is an Impact approach, using a consumption model. The shift from a salesperson selling a car at a dealer to a rideshare driver dropping off a customer highlights the significant transition from a seller-centric value proposition to a customer-centric focus on impact.

The Shift to Impact-Based Thinking

To become customer-centric, organizations must shift their mindset from a Value-based perspective to an Impact-based perspective, focusing on delivering the customer with the Impact they promised. In other words, they have to shift their attention to the right side of the Bowtie. Although it may seem that this does not help with shareholder value at first glance, it does very much so. In a business that relies on recurring revenue, the customer-centric approach perfectly aligns with the shareholder's interest: increase revenue. As we have learned from First Principles, revenue growth is based on retaining your (best) customers. Retention is grounded in delivering recurring Impact because the more Impact you provide, the more likely the customer is to expand their business with you. This ultimately increases the customer lifetime value, and therefore long term revenue growth as well.

Operationalizing Customer-Centricity

Now that we have established that delivering recurring impact for a customer unlocks recurring revenue, the steps to achieve that become clearer: is the customer using the product? In other words, are you achieving adoption? If not, you have to put efforts in place to achieve that. If we go further upstream, we can now ask, "Were you able to attain the first Impact in the first place?" And as we go even further upstream, it now leads us to ask, "What Impact did we commit during the close, and by when?" The journey mapped back from what the customer wants to achieve suddenly aligns all the company's resources. This applies equally to a business that sells products and services under a $1M annual SaaS contract as well as a $10/month subscription.

6.2 THE DATA STRUCTURE

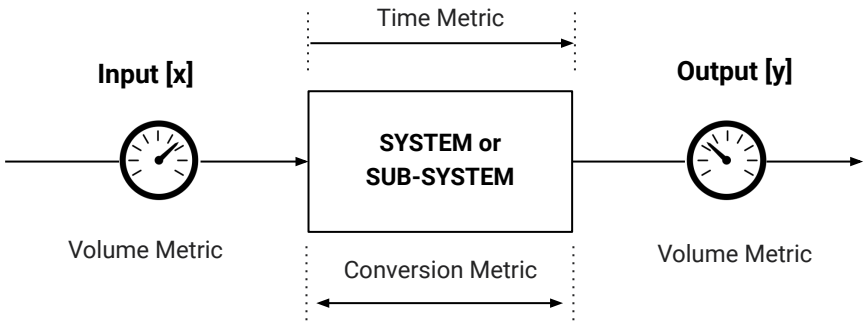
Now that we've established the Data Model as customer-centric, we can overlay a structure that consists of the following elements:

- **Volume metrics (VM [n])** measure the quantity of leads, deals, meetings, and wins.
- **Conversion metrics (CR [n])** measure how many inputs are needed to generate desired outputs.
- **Time metrics (Δtn)** measure how long it takes to convert input into output.

The structure of the data is straightforward. We will look at every system or sub-system as a function with an input and an output. Each input and output is considered a volume metric, such as the number of leads. Dividing the output by the input provides a conversion metric. The time it takes for the input to convert into output is the associated time metric.

As simple as this data structure is, it solves many of the daily problems created when organizations are dealing with a common metric such as win rate. In this case, sales is a sub-system of the acquisition process. It has an output called "Commits" and an input called "Qualified Opportunities." This means that the conversion rate, called win rate, is the number of Commits divided by the total of Qualified Opportunities.

FIGURE 6.2 ***A simplified view of the Data Structure.***

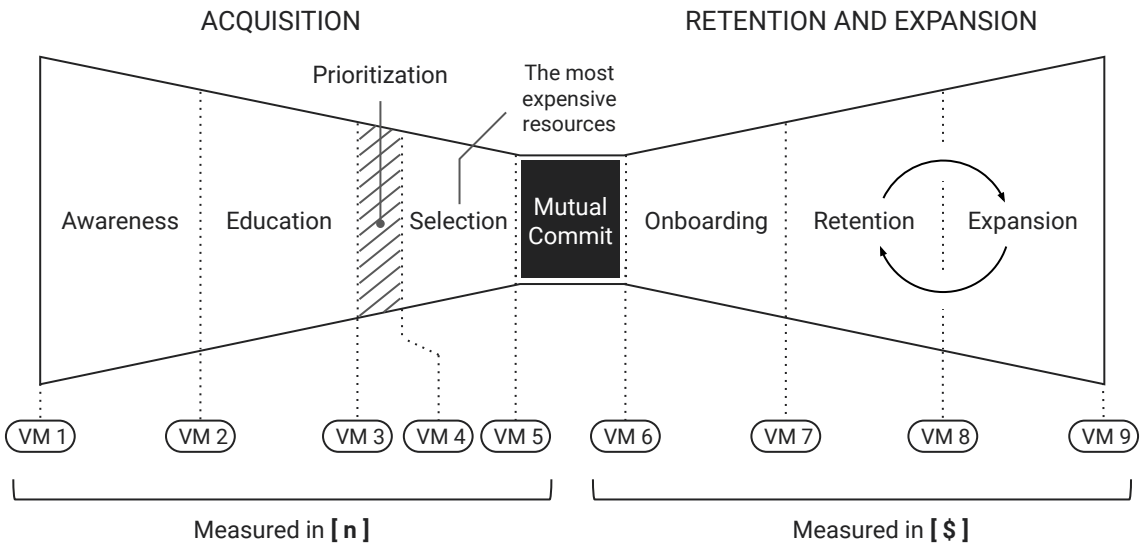


Simple right? It also establishes clarity around where to measure the sales cycle; per the standardized data structure, this is the time it takes to convert a qualified opportunity into a commitment.

6.2.1 Volume Metrics

Volume metrics measure quantity at any given point in the Bowtie model. Common volume metrics are the number of leads, amount of revenue, number of active users, etc.

FIGURE 6.3 ***The Data Structure: Volume Metrics measured across the customer journey.***



Between the Education and Selection stages, we introduce a vital phase called Prioritization. This stage focuses on ensuring that both parties—the buyer and the seller—align their efforts and mutually commit to the desired impact that needs to be achieved. This intervention is timely, as the selection process is where companies typically allocate their most expensive resources, namely people. This phase may include an on-prem product demo or even a proof of concept project that can span weeks. Thus, the Prioritization stage acts as a strategic checkpoint, ensuring that the objectives of both the seller and the buyer are in alignment. In PLG this takes mere seconds as users sample the product.

By defining what is being measured, the data structure overlaid on the Data Model becomes independent of the terminology used across different GTM motions. A standardized data structure is created by referring to each of these moments along the customer journey as a Volume Metric, or VM [n] for short. We start with n = 1 and number upwards sequentially.

Doing this helps when using multiple GTM motions, each using specific terms. For example, what is called a Marketing Qualified Lead (MQL) in an inbound GTM motion may be referred to as a product qualified lead (PQL) in a product-led growth GTM motion, both of which we standardize as VM2. A Sales Accepted Lead (SAL) in an inbound GTM motion is now called Volume Metric 4 (VM4) in the standardized data structure.

TABLE 6.1 ***Definition of the Volume Metrics in the standardized Data Model.***

ACRONYM	DESCRIPTION	EXAMPLE
VM1	Match to the target profile based on Situation, Pain, and Impact potential	Prospect
VM2	Expressed interest and has provided a form of contact information	MQL
VM3	Experiences so much pain that they are considering taking action	SQL
VM4	Verified that this is a priority and no action carries a consequence	SAL
VM5	Number of Mutual Commitments (wins)	Wins
VM6	Amount of revenue committed	$MRR_{committed}$
VM7	Amount of revenue committed minus the Onboarding churn	MRR_{start}
VM8	Monthly or annual recurring revenue	MRR
VM9	The total amount of revenue generated over the entire lifetime	LTV

You will notice that the metrics on the left side of the Bowtie (VM1 to VM5) are commonly measured in numbers, such as the number of leads, opportunities, discovery calls, seats sold, etc. In contrast, the metrics on the right side of the Bowtie (VM6 to VM9) are commonly measured in revenue.

The transition from the left side of the Bowtie (numbers) to the right side of the Bowtie (revenue) is caused by multiplying the number of the Mutual Commitments (VM5) by the average contract value, or ACV, to give users the amount committed (VM6).

The Challenges of Collection, Normalization, and Verification

It's worth noting that collecting this data is no simple task. Aggregating information from multiple sources is the norm. For example, VM1 and VM2 usually come from a marketing automation system, VM3 and VM4 may originate from an email automation tool and VM5 and VM6 are mainly sourced from a CRM and supplemented with a revenue intelligence tool. VM7 to VM9 are gathered from either a Customer Management System, a CRM, or combined with billing software.

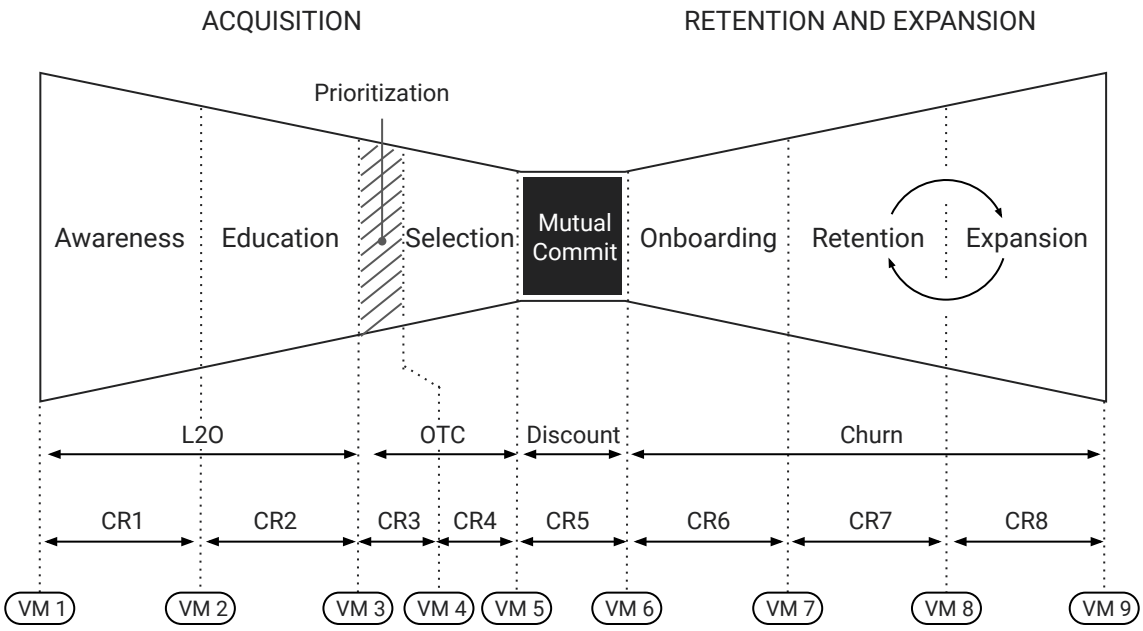
But the work doesn't stop after you've aggregated the data. Before using it, the data must be normalized to ensure that different datasets are interoperable. And then, when you think you're done, you might find yourself in a meeting where someone questions the data's accuracy, asking, "Where did you get that data? It doesn't match what I'm seeing in the field."

In summary: The goal of the standardized data structure is to separate nomenclature from any specific tool or method, allowing us to normalize data across motions and compare performance. This creates clarity and allows the operations team to manage the database effectively.

6.2.2 *Conversion Metrics*

Conversion metrics are key indicators that measure efficiency across the customer journey. Essentially, they quantify the output in relation to the input. For instance, if you're in sales, you're likely familiar with conversion metrics like win rate and churn. In marketing, you might be accustomed to metrics such as lead to opportunity (L2O) and opportunity to close (OTC).

FIGURE 6.4 ***The historic data model (L2O, OTC, and churn) mapped to a standardized data structure.***



However, it's important to note that traditional metrics like L2O and OTC lack the granularity needed for high velocity GTM motions, such as product-led growth (PLG). Therefore, as illustrated in the accompanying diagram, both L2O which equals to multiplying CR1 and CR2, and OTC which equals multiplying CR3 and CR4, have been further refined to offer more detailed insights, enabling you to optimize more effectively.

TABLE 6.2 ***Definition of the volume metrics with 2 examples of different GTM motions.***

ACRONYM	DESCRIPTION OF A SALES GTM MOTION
CR 1 AWARENESS	The efficiency of lead gen marketing campaigns to attract attention. For example, the number of signups as a percentage of the total visitors.
CR 2 EDUCATION	Effectiveness of outreach campaigns to develop leads. For example, the number of people that want to enter the sales process.
CR 3 PRIORITIZATION	Qualify the lead based on the priority of the impact. The result is a qualified opportunity. A common way of doing this is through a discovery call.
CR 4 SELLING	Known as the "win rate," this measures the number of qualified opportunities to obtain one commitment.
CR 5 COMMIT	Multiplying the number of deals committed by the list price (minus any discounts) provides us with the revenue committed.
CR 6 ONBOARDING	Percentage of committed clients in the cohort that were successfully Onboarded. This is represented as a retention number (1 minus churn).
CR 7 RETENTION	The percentage of recurring revenue retained from existing customers, including downgrades and cancels, known as gross revenue retention (GRR).
CR 8 EXPANSION	New ARR added to the cohort through upsells or expansions during the first year and measured as a percentage of ARR of the cohort, post-churn.
CR 9 CLOSED LOOP	For future use in closed loops.

A Note on Expansion (CR8)

Expansion is a crucial growth component for any company using a recurring revenue model. It reflects the ability to drive revenue growth from existing accounts, increasing the customer's Lifetime Value (LTV). By continuously expanding the usage of the SaaS solution within the customer base, you can achieve sustainable revenue growth and enhance customer success. When done correctly, growth from expansion comes at a much lower cost compared to growth from acquisition.

Expansion can take 4 forms:

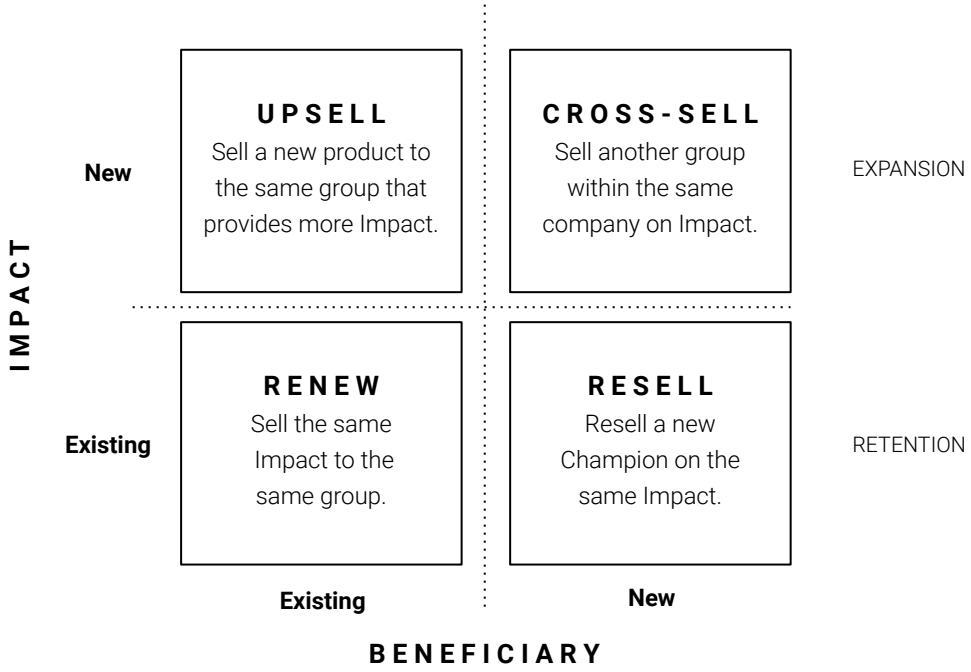
- **Upselling:** Upselling involves selling additional products, features, or higher-tier plans to existing customers. This can include offering add-ons, premium features, increased usage limits, or more advanced functionality that aligns with the customer's evolving needs. Upselling aims to

increase the customer's investment and the value they derive from the SaaS solution. Upselling may also include geographical expansion or annual price increases.

- **Cross-selling:** Cross-selling refers to selling complementary or related products or services to a different set of stakeholders within an existing customer. This can involve targeting other teams, departments, or business units within the customer's organization. For example, ESPN, Disney Parks, and ABC television are 3 different groups within The Walt Disney Company.
- **Renewal and Extension:** Successful renewal of contracts and extending the subscription period with existing customers contribute to expansion. This involves maintaining customer satisfaction, delivering ongoing value, and ensuring a smooth renewal process. Contract extensions may include adjustments to the subscription's terms, duration, or scope to accommodate the customer's changing needs. Renewals typically occur automatically on or right before the anniversary of the contract. Factors that increase the chances of renewals include delivering recurring impact, a smooth renewal process, a fantastic user interface, intuitive navigation, responsive functionality, and customer satisfaction, particularly the speed with which issues are addressed.
- **Reselling:** Reselling is often overlooked, yet it holds both the most significant threat and the most tremendous potential. Reselling occurs when the current Champion, alpha user, or decision-maker leaves their role, say, to accept a job elsewhere. This creates a significant threat as the new person in the position may be tasked with reducing operational expenses and may not have an emotional connection to your product. Therefore, you need to "resell" this person immediately. Don’t overlook the opportunity for your Champion to become a great advocate in gaining the new account.

Two variables influence the growth of a customer's business: a) the impact of the SaaS solution and b) the person or team who benefits from that impact, also known as the benefactor.

FIGURE 6.5 ***Four growth areas, each with a different opportunity.***



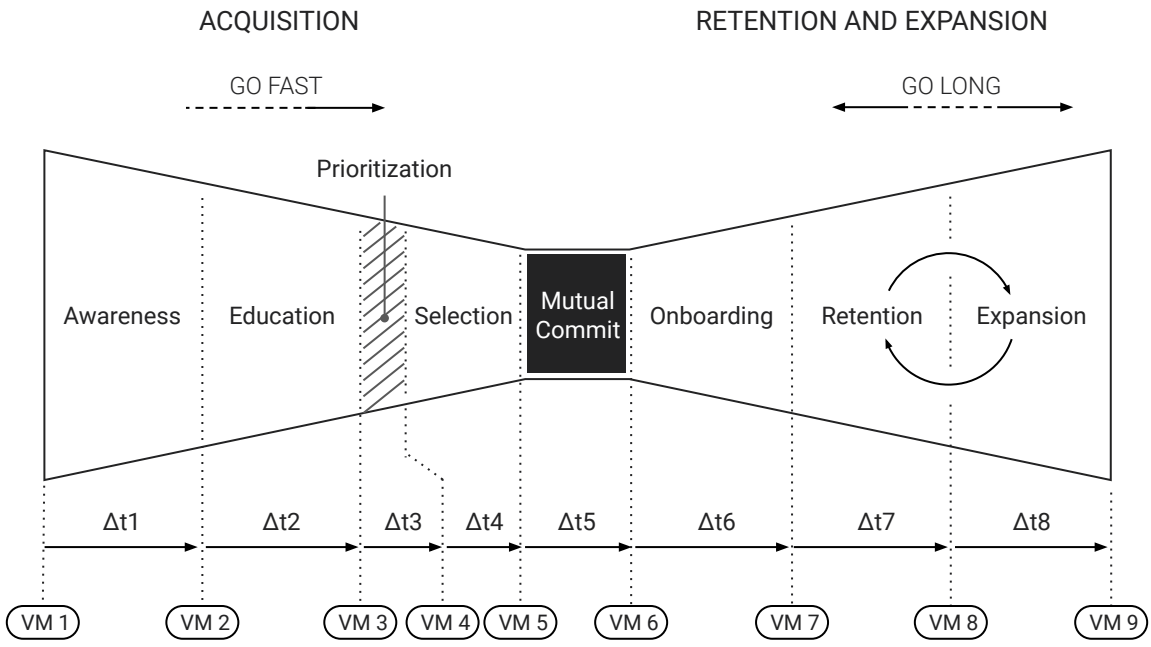
An excited benefactor increases the impact, for example, by buying more seats, upgrading to a more premium version of your software, or buying new products. This is considered an upsell. CSMs may be capable of doing this reactively. Still, if you want to reach out proactively, you will likely need an acquisition-focused salesforce, often referred to as Account Managers or as you may have picked up, AMs. When a new benefactor in an existing account needs to be won over, this is referred to as a cross-sell. A cross-sell should never be handled by a CSM as this is the most complicated sale. You may even need to uproot an existing competitor chosen by another Champion.

One of the most overlooked opportunities is the resell. When your Champion leaves their position, perhaps via promotion, it creates a vacuum for a new Champion to fill. Your team must immediately resell the new person on the offerings benefits or face an instant increased risk of churning. An exciting part of the resell opportunity is that if it involves your Champion leaving to join another company, this creates an opportunity to win a new deal.

6.2.3 *Time Metrics*

Time metrics are used to measure the duration it takes to transform one variable into another. However, what sets the time metrics apart in the GTM motion is their focus. They are not determined by the actual duration of an activity, but rather by the waiting time between various actions. To illustrate, writing an email invite for an event might only take a few minutes, but receiving a response could take several days. Therefore, in this context, the time metric is reflective of the response time, rather than the action time.

FIGURE 6.6 ***The data structure: Time metrics measured across the customer journey.***



Two Different Ways to Approach Time: Go Fast or Go Long

There are 2 ways to approach time; sellers commonly want to speed up time during acquisition, i.e., shorten the sales cycle. Whereas during Expansion, sellers commonly want the customer to stay longer, extending the customer's lifetime. As we will see, time has a disproportionate impact, meaning that increasing a customer's lifetime may disproportionately increase a seller's profit.

This is a fundamental difference that is experienced by a customer based on who calls on them. An AM is more akin to looking at the customer's interest to protect and maximize revenue over the customer's lifetime. In contrast, a more conventional sales manager looks to close a deal quickly. The table below shows the basic definitions of the metrics. It is critical to define this for your business as this commonly leads to confusion and causes acceleration where we need to take it slow and where we need to respond quickly.

TABLE 6.3 ***Definitions of the time metrics.***

ACRONYM	DESCRIPTION
Δt1 AWARENESS	Prospect conversion time; the time it takes to develop a conversation with a customer.
Δt2 EDUCATION	Length of education time needed before a customer is interested in starting the buying process.
Δt3 PRIORITIZATION	The time it takes to qualify the opportunity based on priority (Budget and ROI play a secondary role in Saas).
Δt4 SELLING	The length of the sales cycle.
Δt5 COMMIT	The time it takes to setup an instance in the internal systems and processes.
Δt6 ONBOARDING	The time from when a customer buys to when the first impact is achieved.
Δt7 RETENTION	The length of the contract is often monthly or annually.
Δt8 EXPANSION	The lifetime of the customer is often measured in years.
Δt9 CLOSED LOOP	For future use as a loopback time metric.

Not all time metrics are created equal. One that stands out is the response time to an inbound inquiry (Δt1). The faster you respond, the higher the likelihood of converting the lead into a customer. A timely response will give you an edge over competitors in highly competitive markets. A delayed response will increase the risk of the customer going with a competitor. This not only applies to new leads but also to customers, with the onboarding process duration (Δt6) being a key example. If it takes days to weeks to onboard a customer, the onboarding churn rate will increase.

6.2.4 Using Metrics to Analyze Performance

While conversion metrics focus on transforming one volume metric into another, performance metrics can transcend domains, providing us with deep insights into the recurring revenue system's performance. For instance, dividing Committed MRR [$] by Deals Committed [n] allows us to calculate the average price per deal, and comparing the high win rate to the low retention rate can indicate if the sales team is overselling. Performance metrics enable us to measure performance across various sub-systems. Let's examine 2 performers, Rob and Jennifer, side by side and observe the multiple performance metrics at play.

From a sales performance metrics perspective, Rob outperforms Jennifer in terms of win rate, resulting in 5 deals per month and generating $300,000 in revenue against his quota. In contrast, Jennifer only closes 3 deals and achieves $198,000 in revenue with the same number of opportunities. However, upon closer inspection, we discover that Jennifer has significantly higher onboarding retention and that her net revenue retention over the next 5 years is 1.2, compared to Rob's 0.9. As a result, Jennifer's deals yield nearly $1.5 million over a 5-year horizon, whereas Rob's deals amount to $1.1 million. After conducting an interview, we learn that Jennifer proactively filters out unfavorable opportunities early on and dedicates more time to educating customers.

While we cannot disregard the $270,000 in revenue secured by Rob in the first year, we must also acknowledge the additional $367,760 in revenue generated by Jennifer. Therefore, by using performance metrics we can see that there is not necessarily one clear, black-and-white ideal scenario; Rob performs better on initial deal revenue, while Jennifer performs better on LTV.

TABLE 6.4 ***Demonstrating the impact of performance metrics across 2 sales representatives.***

	Rob	**Jennifer**
Opportunities/month	15	15
Win rate	33%	20%
Commits/month	5.0	3.0
Average Price	$5,000	$5,500
Sales Cycle/deal	20 days	28 days
MRR	$25,000	$16,500
	12	12
ARR/mo	$300,000	$198,000
Retention	90%	100%
Year 1	$270,000	$198,000
NRR	0.9	1.2
Year 2	$243,000	$237,600
Year 3	$218,700	$285,120
Year 4	$196,830	$342,144
Year 5	$177,147	$410,573
5Y-LTV	$1,105,677	$1,473,437

The key lies in identifying areas for improvement within the system. In this example, Rob can learn from Jennifer to take more time and qualify and educate the customer, orchestrating for a higher retention and NRR, while Jennifer can learn from Rob how to win more deals. There are a number of metrics that each impact each other. The Data Model provides us with a scientific tool to identify areas of improvement and implement processes to drive progress.

The interplay of metrics across marketing, sales, and customer success functions creates a spectrum of scenarios, ideal for AI application. Next we will explore an example of how AI can optimize scenarios throughout the entire customer journey.

6.2.5 Use of Metrics to Create a Performance Improvement Process

In the case of a 2-stage organization, the sales development rep (SDR) uses email exchanges to set up a call, resulting in a 15-minute conversation with the client who agreed to a discovery call with the sales manager or AE. We will use 2 conversion rates, CR3 and CR4, to create an improvement process. In this case:

CR3 (Prioritization) refers to the number of qualified opportunities accepted by the Account Executive (AE) divided by the total number of discovery meetings set up by the Sales Development Representative (SDR). As a quality metric, CR3 reveals the lead quality generated by the team.

In the classic marketing and sales approach, this was determined based on access to budget and the potential for a positive ROI. However, in subscription and consumption businesses, this criterion shifts since these models are designed to yield an immediate and large ROI and fit within an OPEX-based budget. Therefore, CR3 primarily assesses the customer's priority for the project. More details on this can be found in Section 8.2.3.

With that said, it is important to note that CR3 is not expected to be 100% because plenty of leads commit to a meeting but never show. This can be due to persistent SDR efforts, a buyer being too busy, a lack of perceived need for the Impact, or the project not having any priority.

- **CR4 (Win rate)** is the number of qualified opportunities it takes for an AE to gain a commitment from a customer. The win rate gives us an idea of the competitiveness in the solution market and the seller's skills. CR4 is not expected to be 100%, far from it. The customer may choose to stick with the status quo, go with a competitor, invest the money elsewhere, or keep delaying the decision indefinitely.

While each of these conversion rates provides valuable insights individually, however when we combine them into a 3x3 matrix they demonstrate all kinds of opportunities for an improvement process.

FIGURE 6.7 ***The combination of conversion rates creates a performance improvement process.***

CR4 WIN RATE	CR3 CONVERSION OF THE DISCOVERY CALL <60%	80%	>95%
<18%	Process issue. Lots of cold calling with no relevance for the client.	Train the seller on diagnosing: are they working as a team?	Train SDRs to qualify and sellers to diagnose on *priority.*
18% to 22%	Train the SDR on identifying deals that have a pain.	Effective and efficient team; record and repeat the process.	Add an AE to the SDR; identify the source of leads.
>22%	Train the seller to stop taking on just the ready-to-close deals.	Potential to add a seller and close more deals.	Add a sales team if you are in a hot market.

The performance improvement process illustrated in the 3x3 matrix is an ideal representation of how an AI system can create a closed-loop system. While the matrix presents 3 distinct win rate scenarios vs 3 different priorities, resulting in 9 scenarios, an AI system in real-world applications has the capability to increase the granularity, essentially evolving to an [n] x [m] level of complexity. This allows for more precise and tailored strategies.

6.3 BENCHMARK MODEL

Based on the Data Model, we now have the ability to standardize metrics that compare performance against industry standards, peers, or ourselves over time. Historically, the challenge is that industry benchmarks lack a standardized Data Model; e.g. the data was not normalized. Or the data was outdated, etc.

Today the benchmark data based on the Bowtie format is being used throughout the industry, allowing companies to compare subsets of data, by a specific conversion metric, such as a function of time, segment, etc.

6.3.1 *Benchmark Data*

Benchmark data can be utilized to identify areas for performance improvement within an organization. For instance, if an organization's specific conversion rate falls below the benchmark, it can use the data to pinpoint the specific problem area and implement an improvement plan.

Moreover, benchmark data aids in setting goals. For example, if an organization's sales performance lags behind the benchmark, a goal to increase sales by a specific percentage can be established. But benchmark data allows for progress tracking as well. By comparing performance against the benchmark, organizations can gauge both areas of progress and areas that require improvement.

One type of benchmark is an industry-wide benchmark, which provides average data from a broad dataset sourced from various industries over an extended period. While an industry benchmark offers a general understanding of performance, by nature it lacks the level of accuracy to operate a recurring revenue factory. But it can be enough data to help sketch out a plan.

TABLE 6.5

Example of a simplified industry-wide benchmark for SaaS companies based on the Data Model.

ACV *Price*	CR1 *Prospect → Lead*	CR2 *Lead → Opportunity*	CR3 *Opportunity → Qualified*	CR4 *Qualified → Commit*	CR5 *1 - Discount Level*	CR6 *1 - Onboarding Churn*	CR7 *Retention (GRR)*	CR8 *Expansion*
Up to $1k	5%	10%	65%	15%	90%	90%	90%	5%
Up to $5k	7%	12%	70%	17%	85%	92%	92%	10%
Up to $15k	8%	15%	80%	20%	81%	93%	95%	15%
Up to $50k	9%	18%	90%	25%	80%	94%	96%	20%
Up to $150k	10%	20%	95%	30%	78%	98%	97%	25%
Over $150k	n/a	n/a	100%	35%	74%	99%	98%	30%

For the period of 2016 to 2022 (n = 868)

Use of an Industry Benchmark to Sketch Out an Operational Plan (Application)

Imagine you are a SaaS company targeting Enterprise customers with a product that has an annual contract value of $80,000. Your sales model operates without SDRs and relies solely on a team of field sales representatives, selling to executive-level stakeholders. SDRs have previously proven to be ineffective, and therefore each seller has the responsibility of generating one third of their total leads through their own leadership development efforts. Those efforts are supplemented by a targeted Account-Based Marketing (ABM) campaign run by the marketing department.

To create an operational plan for the sales team, you refer to the industry benchmark in Table 6.5. According to the benchmark, for an ACV of $80,000, the conversion rate from opportunity to commitment is calculated by multiplying CR3 and CR4, or 95% x 30%, resulting in a conversion rate of 28.5%. We are combining conversion rates CR3 and CR4 due to the absence of SDRs.

Considering that the organization pays its sellers $200,000, on target, to generate $480,000 in recurring revenue annually. Each seller needs to secure 6 commitments per year. With a conversion rate of 28.5%, this translates to requiring 21 opportunities per year. With one-third of the opportunities generated, they have to produce 7 opportunities. Based on an L2O conversion rate of 20%, they need to develop 35 leads annually. The remaining 14 opportunities are generated through ABM lead generation campaigns, with a conversion rate of CR1 x CR2 = 10% x 20% = 2%. This means that the marketing team would need to prospect 700 accounts per year per salesperson to generate the remaining 14 opportunities at a 2% conversion rate.

While this example provides a simplified illustration, it raises many more questions. Factors such as changing market conditions, the relevance of the metrics to your specific market, target stakeholders, compensation plan, and organizational structure should all be considered. Ultimately, you will realize that relying solely on this data type may not provide the reliability needed to build a comprehensive hiring plan. But it tells us that this is not going to be a “walk in the park” for the organization. Therefore, a closer look is needed.

Realtime Benchmark Data

An online benchmark featuring the latest metrics is available. The goal is to enable contributors to compare specific Bowtie metrics in real time, based on different growth characteristics such as ARR and ACV.



6.3.2 Trendline

We have found that people tend to compare their performance against that of others within their sphere of influence. Usually, this comparison is not useful, as it is unlikely that the company's data are aligned with their model. This leads to large discrepancies.

A more effective method is self-benchmarking using trendlines based on your own data, like analyzing performance over the last 12 months (LTM). Trendlines, being straightforward aid in understanding, analyzing, and communicating performance trends. This process enables informed decisions, effective goal-setting, and enhanced performance management.

Example

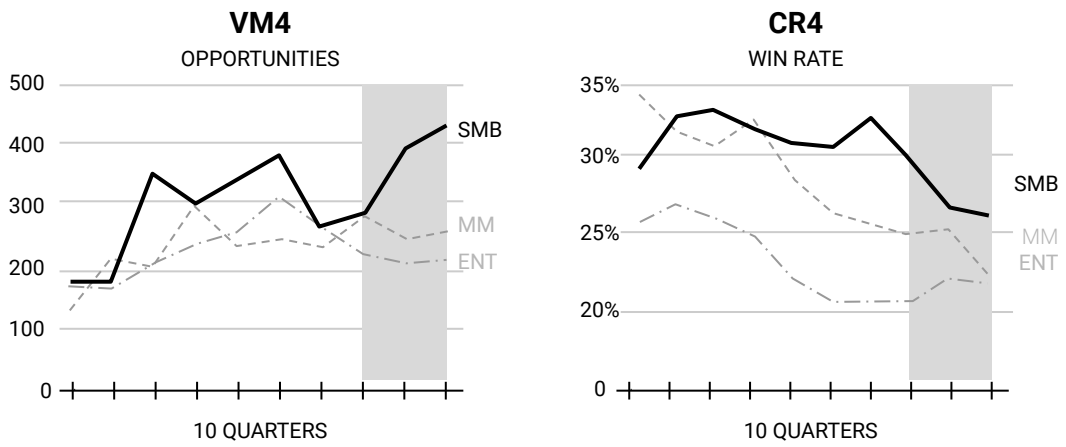
In late 2019, we collaborated with a client offering a single product through 3 different GTM motions, each with a different price point:

- Low Touch approach for the SMB market, ACV: $18,000.
- Medium Touch for the Mid-market, ACV: $24,000.
- High Touch for Enterprise, ACV: $48,000.

In this scenario, we analyzed 2 metrics: Quarterly opportunity creation (VM4) and win rate (CR4). Over the last 10 quarters, we noticed a consistent trend across all GTM motions: An increase in opportunities (VM4) correlated with a decrease in win rates (CR4). Looking closer at the SMB win rate (CR4) the average appears to be approximately 30%. However, in recent quarters, the win rate has been trending downward, reaching as low as 25%, with the current (as of the first half of 2023) win rate at 26%.

This means that at a win rate of 30%, the sellers would require 1/0.3 = 3.33 opportunities to secure one win; at a win rate of 25%, we would therefore need 1/0.25 = 4.0 opportunities to achieve the same result, or, a 20% increase in opportunities. That is a huge difference on an annual scale across 100 sellers, and can lead to millions of dollars lost.

FIGURE 6.8 ***Example trendline of lead development and win rate.***



Translating this into operations:

> *On average, a seller in the SMB market closes 8 deals per quarter, and there are 10 sellers. Therefore, there would be 10 x 8 = 80 SMB deals per quarter under normal circumstances. Historically, this would require 80/0.3 = 267 leads/quarter. However, due to the decline in the win rate over the past quarter, they now need a lot more leads: 80 / 0.2 = 400 leads/quarter, to be exact.*
>
> *The data-driven team at this company operated on trendlines. They noticed the decline in the win rate and took corrective action by increasing investment in lead generation and lead development. As you can observe, the team increased the number of opportunities in the SMB segment. With a historical average of around 300, they raised the number of opportunities to 400 in the last 2 quarters which stabilized revenue production.*

This use case shows that a standardized Data Model facilitates normalized data integration across various functions. Trendlines, created from the integrated data, enable more precise predictions of future trends and allow for timely corrective measures. However the power is in analyzing trendlines for multiple volume and conversion metrics throughout the customer journey, we can detect performance patterns, take appropriate actions, and establish measurable goals. This data driven approach is especially significant in recurring revenue contexts, where even marginal changes can lead to substantial outcomes. We will delve deeper into this topic in Chapter 7.

6.4 APPLICATIONS OF THE DATA MODEL

Next, we are going to apply the Data Model by overlaying different GTM motions:

- **High Touch** for the big deals (see Figure 6.9)
- **Medium Touch** for high-velocity deals (see Figure 6.10)
- **No Touch** for high volume of deals (see Figure 6.11)

Each of these GTM motions, and the relationship between them, is detailed in Chapter 10, titled “The GTM Model.”

Applying the High Touch GTM Motion to the Data Model

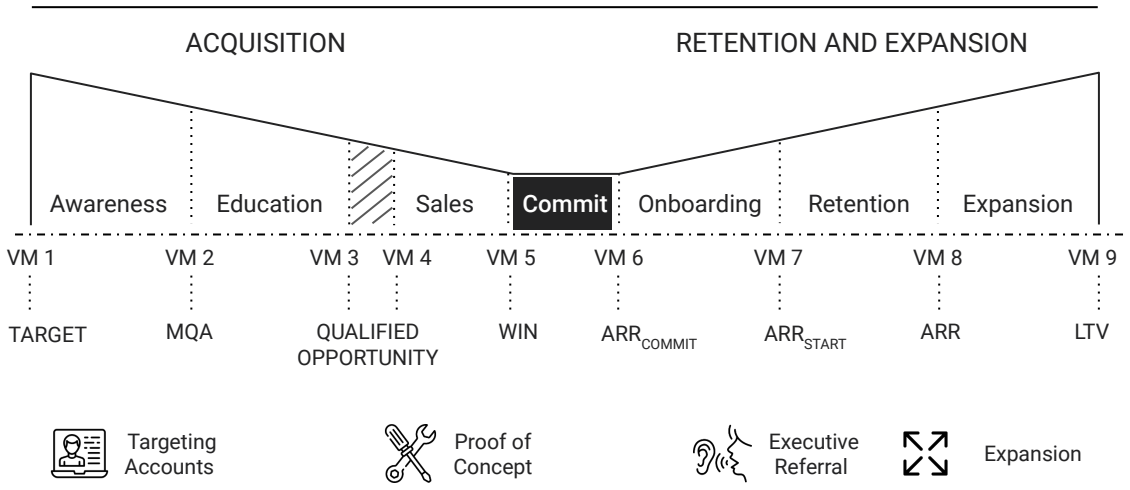
The Enterprise motion in SaaS companies is geared towards securing deals that typically range from hundreds of thousands to millions of dollars. These deals are often a highlight in the quarterly statements of public SaaS companies. In large Enterprise deals, specialized methods such as Account-Based Marketing (ABM) are employed, along with unique terminology. For instance, the focus is on strategically selecting the right accounts (Targets) and nurturing these accounts through advanced campaigns until they become Marketing Qualified Accounts (MQA). Sales using a provocative approach develops this into an opportunity.

Based on this approach, we can map the data model to the High Touch motion as follows: VM1 represents Targets, VM2 represents MQAs, VM3 represents Opportunities, and VM4 represents Qualified Opportunities. However, the High Touch GTM motion is not just about methodology and terminology; it operates effectively within the Data Model. Here's how some unique characteristics of High Touch GTM motions fit into the Data Model:

- **Deal Expansion:** Initial deals may be sizable, but they often generate limited profit, as the company needs to work hard to fulfill its promises. The real growth and profit come from business expansion in the years that follow.
- **Proof of Concept (POC):** The sales cycle can extend over a year, with the seller needing to prove that their solution integrates well within the buyer's tool stack. This involves a significant upfront investment in resources.
- **Targeting:** Given the substantial resource investment over a long period, it is crucial for sellers to carefully select the accounts they wish to pursue.
- **Referrals:** Lead generation primarily relies on existing customers who introduce and advocate for the seller to potential buyers, a process that can be facilitated by a Customer Advisory Board (CAB).

This approach creates a customer journey within the data model that aligns with the unique characteristics of the High Touch GTM motion.

FIGURE 6.9 ***Mapping the High Touch GTM motion on top of the Data Model.***



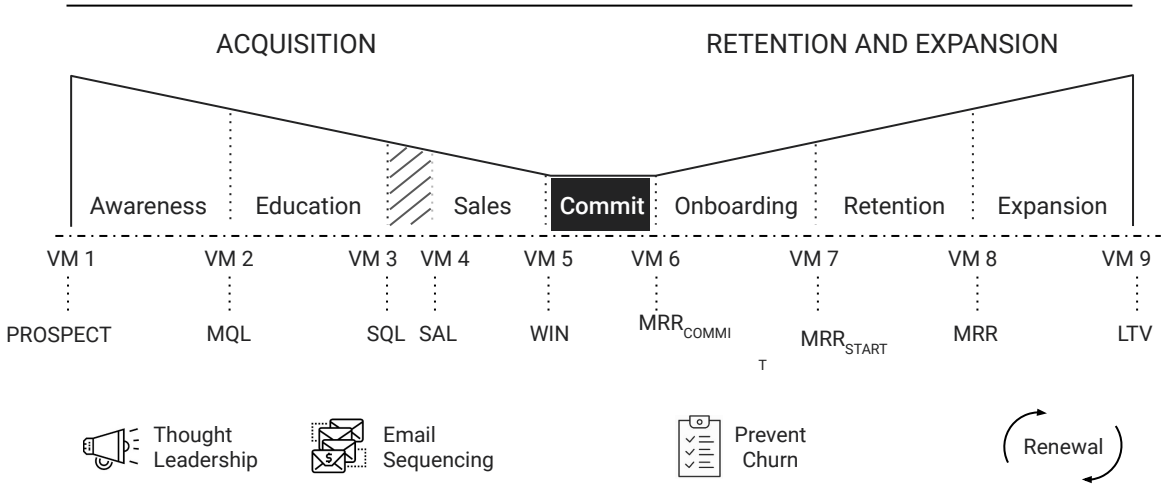
The Medium Touch GTM Motion Within the Data Model

This GTM motion operates seamlessly within the same Data Model as the High Touch GTM motion, although with some distinct characteristics. In this model, a lower-cost representative is responsible for both lead generation (outbound) and lead development (inbound), setting the stage for a discovery call. This call introduces the sales manager, who then qualifies the opportunity and steps through the sales process. Like the High Touch motion, the Medium Touch motion is rich in acronyms that maps to the Data Model as follows:

- **VM2** corresponds to Marketing Qualified Leads (MQL), prospects who provided their email address to attend a webinar.
- **VM3** is linked to Sales Qualified Leads (SQL), following a conversation where the buyers show interest in a solution.
- **VM4** relates to Sales Accepted Leads (SAL), which comes after a qualification by the sales rep, akin to what is termed as Qualified Opportunities in the High Touch motion.

The Medium Touch GTM motion, commonly employed for SMB sales, operates seamlessly alongside the High Touch GTM motion, typically used for Enterprise sales, within the same Data Model. The subsequent figure (Figure 6.10) illustrates the customer journey, highlighting the characteristics of the Medium Touch GTM motion.

FIGURE 6.10 ***Applying the Low Touch GTM Motion to the Data Model.***



Characteristics of a Medium Touch GTM motion are:

- **Thought Leadership:** Due to the dependency on a high volume of deals, there is an insatiable hunger for more leads. Thought leadership is used to generate leads in volume. An example would be Hubspot and its expertise on inbound marketing.
- **Email sequencing:** Deals develop at a relatively high velocity, with companies typically using email sequencing augmented with automation.
- **Churn Prevention:** The high-velocity motion is sensitive to churning deals, and there is often a specific focus on churn prevention.
- **Renewal:** The high-velocity business model, with its demand for a large customer base, relies heavily on a high renewal rate, where customers keep coming back, and remain a client often for up to 8 or 9 years.

The No Touch/Product-Led Growth Motion Within the Data Model

PLG is often misunderstood; it's neither a marketing campaign, a sales methodology, nor a lead generation tool. Intrinsic to the product itself, PLG is a distinctive motion within the Data Model, bypassing several stages as customers themselves drive the product's marketing and sales efforts.

Within the Data Model, PLG encompasses unique descriptions and acronyms, as outlined in Figure 6.11:

- **VM3** represents PQL (Product Qualified Lead), indicating a user whose engagement with the product signals their readiness to convert into a deal.
- **VM4** aligns with PQA (Product Qualified Account), identifying an account with multiple users, presenting an opportunity to sell a team license.
- **VM5** is associated with sign ups, referring to users who create an account to evaluate the product and assess its impact.
- **VM8** denotes Monthly Active Users (MAU), measuring the unique users interacting with the software monthly.

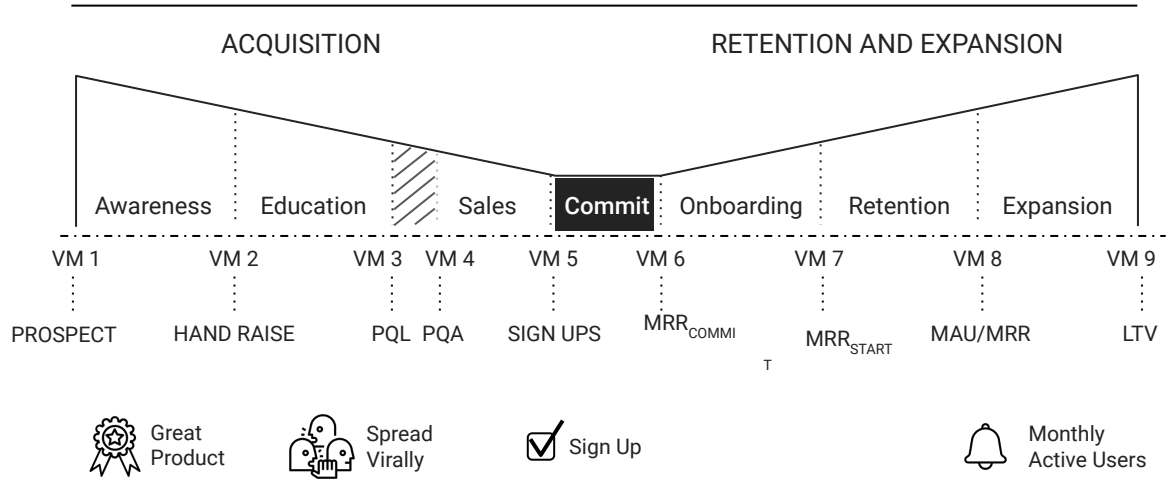
PLG's distinct customer journey, with its unique characteristics, seamlessly integrates with Medium and High Touch GTM motions when mapped using

the standardized Data Model. This journey includes several PLG-specific characteristics:

- **Dependency on a Great Product:** Leveraging the product as a marketing tool, often through a beta-user program, to naturally generate leads.
- **Viral Spread:** Passionate users can drive the product's popularity, creating a viral effect where the product serves as its own marketing and sales force. With in-demand products, such viral spread can occur even before customer sign-ups.
- **Sign Up Focus:** Unlike other GTM motions that focus on acquiring customers (logos), the PLG motion uniquely emphasizes getting actual product users to sign up.
- **Usage:** A primary challenge in most PLG GTM motions is sustaining product usage, a key indicator of churn. Success metrics such as MAU, and others like Weekly Active Users (WAU) and Daily Active Users (DAU), are crucial indicators.

The No Touch GTM motion is applicable for both application sales, where individual users sign up, and platform sales, where it serves as a fully functional sandbox account for the initial user. The following figure (Figure 6.11) illustrates the customer journey within a No Touch GTM motion.

FIGURE 6.11 ***Applying the No Touch GTM Motion to the Data Model.***



Adherence to the Data Model

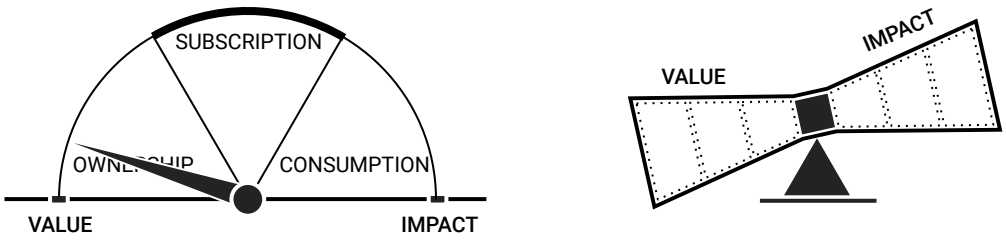
For any part of GTM to reap the benefit of AI, you need to establish a standardized Data Model that supports closed loops. Therefore, any company based on recurring revenue must have a standardized and normalized Data Model that covers the entire customer journey. This Data Model must be archived for dashboard creation, goal setting, performance measurement, improvement processes, or technology integration.

Once agreed upon, adherence to the standardized Data Model must be enforced. Changes are always possible but need to follow a change request process. In this process, a person certified in Revenue Architecture reviews the impact of the proposed changes, which can have significant consequences for valuation.

6.5 COMBINING THE REVENUE AND DATA MODELS

Now that we have covered the first 2 models, we can combine the Revenue and Data Models. For visual storytelling, we transform the Data Model into a balance that can tip to the left or right or remain in balance. An ownership model, which focuses on selling value, is reflected in the Revenue Model by a leftward tilt, causing the Bowtie to tip to the left.

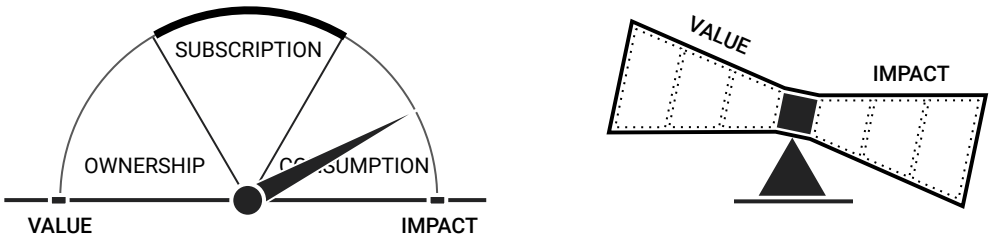
FIGURE 6.12 ***The ownership monetization strategy traditionally employs a High Touch motion, emphasizing value selling and delegating the realization of impact to the buyer.***



Both models emphasize the importance of selling value to customers. We define value as the promise of impact, which aligns with the concept of a "value proposal." Most marketing and sales funnels, even those of many SaaS companies, operate within the value domain, focusing primarily on promising impact. With a value-centric approach, it becomes the customer's responsibility to achieve the impact. The leftward balance reflects the significant risk that buyers bear in the ownership model. This risk is evident in consumer experiences when purchasing a car: once you drive it off the lot, achieving impact becomes your responsibility.

Now, let's examine what happens when the Revenue Model points in the opposite direction, all the way to the right. Notice that the Bowtie follows suit and starts tipping to the right. This alignment signifies the effects of the consumption model, centered around delivering impact to the customer.

FIGURE 6.13 ***The consumption monetization strategy centers on delivering impact and positions the seller at the forefront of the risks.***

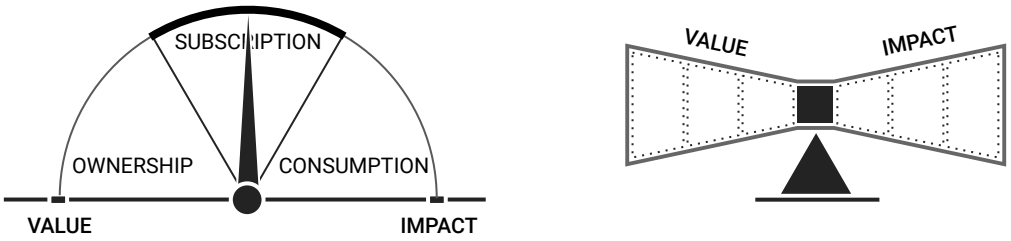


In the consumption approach, the seller assumes most, if not all, of the risk. Earlier we used the example of the ride-sharing industry, where the driver (seller) takes on all risks associated with the vehicle, such as parking tickets or damage. At the same time, the buyer assumes little to no financial risk. However, as we will see in the GTM model, while this model allows for early acceleration, the economic risks eventually become too significant.

This leads us to the subscription model, where the risk is balanced between the buyer and the seller. We establish this balance through an annual subscription, often synonymous with an annual SaaS contract.

With an annual SaaS contract, a balance exists between the seller's promise of value during the acquisition process (left side of the Bowtie) and the buyer's expectation for impact (right side). The buyer achieves this impact through adoption. If the seller can assist the buyer in realizing such an impact, both parties unlock growth through expansion.

FIGURE 6.14 ***The subscription monetization strategy distributes risk between seller and buyer more evenly, making it one of the most balanced business models in current use.***



At this stage, many of you may be starting to grasp concepts that were once unclear and seemed mysterious. Upon reflection, you might now recognize that the classic marketing and sales funnel only captured the process of the ownership monetization strategy, which emphasized closing large deals by highlighting value.

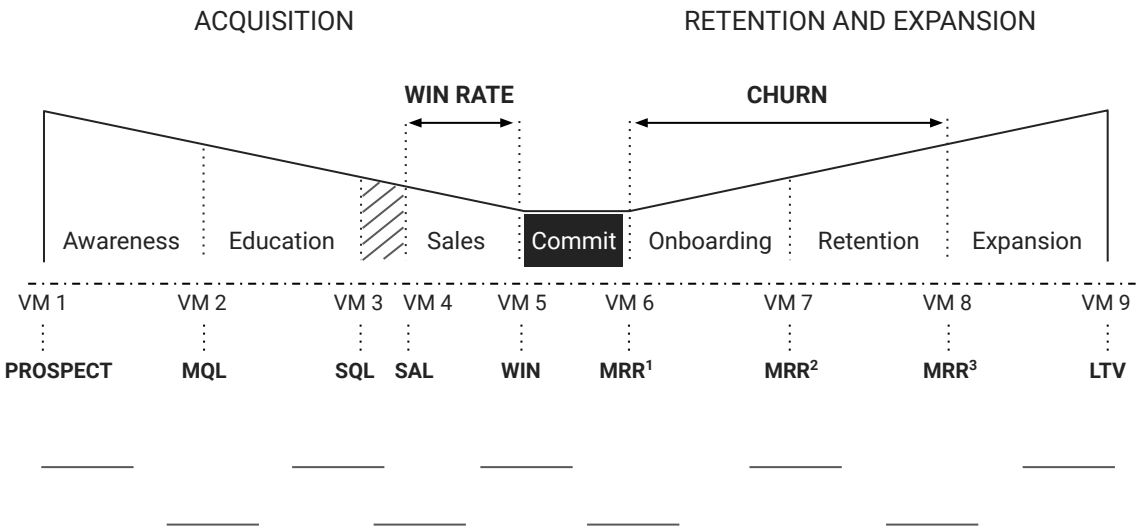
However, to effectively model recurring revenue, a new approach is necessary—one based on a standardized Data Model with a data structure that differentiates between volume, conversion, time, and performance metrics to incorporate public benchmark data. Enter the Bowtie.

6.6 *EXERCISES FOR THE DATA MODEL*

EXERCISE 6.1 **Turn the Funnel into a Bowtie**

Team Collaboration: Gather the entire GTM team and draw the Bowtie. Begin by assigning departments and their respective functions within the model.

Metrics Identification: Identify and illustrate key metrics relevant to the business. Determine what is being measured and where. For instance, if the win rate is measured from VM3 or VM4, draw an arrow to indicate this. As a group, continue to layer the most common metrics over the Data Model. Remember, different GTM motions within a company may use varied terminologies.



Objectives of this exercise:

- Align the most important metrics with the Bowtie model. For example, MQL may correspond to VM2, marking the end of lead generation and preceding lead development.
- Visualize and understand overlaps and gaps across departments and different GTM motions.

Common mistakes to avoid:

- Inconsistent term definitions across departments.
- Same terms and definitions used, but aligned with different timelines, affecting metrics like win rate and sales cycle.
- Ambiguity in term meanings, such as confusion between GRR and NRR.

EXERCISE 6.2 **Normalization:** Now let's lock it in, establish the standardized Data Model for your company across time, functions, and different GTM motions.

- Start with volume metrics: Define each metric clearly, perhaps in a tabular format for ease of understanding. Keep the definitions concise.
- Proceed to conversion metrics and finally, address time metrics.

GTM MOTION: _____

Bowtie	Acronym	Description
VM1		
VM2		
VM3		
VM4		
VM5		
VM6		
VM7		
VM8		

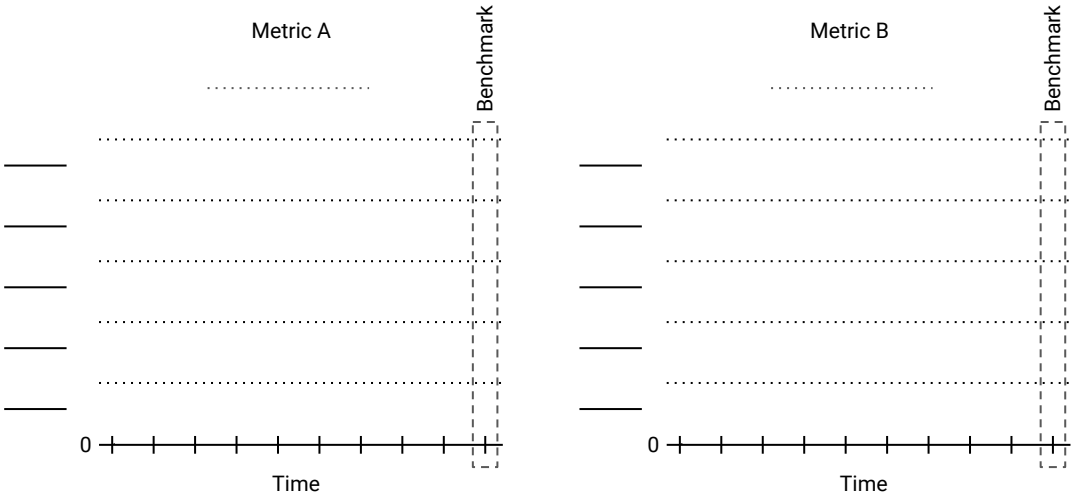
EXERCISE 6.3 **Benchmark**

Use the benchmark via www.benchsights.com/wbd to get yourself oriented. Apply your ACV, and get a first idea. Where appropriate, apply the filter and keep a close eye on the sample size (n) of the data. Once the sample size falls below 20, it will default to the generic benchmark.



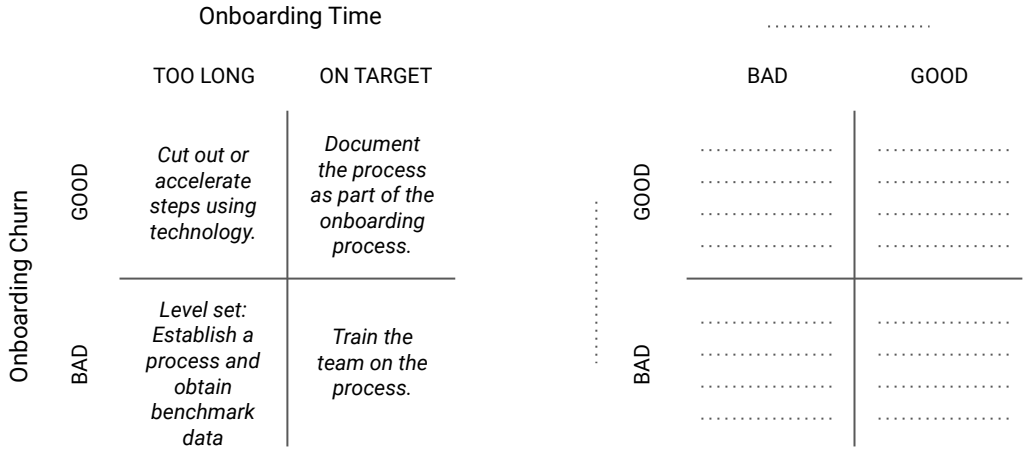
EXERCISE 6.4

Establish a Trendline of the Metrics: Benchmark your performance by creating a trendline. Your chosen timeline should reflect the context of your sales cycle. For example, if your GTM motion is High Touch and your sales cycle spans 9 months, it's advisable to use quarterly intervals.



EXERCISE 6.5

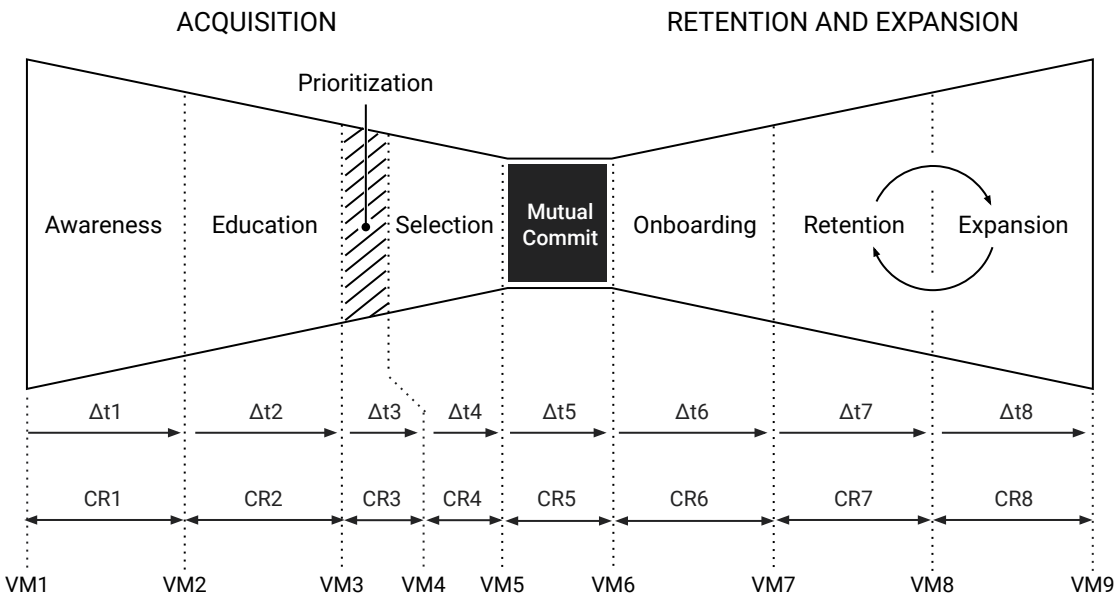
Making Data Actionable: To render the data actionable, construct a 2 x 2 matrix for a direct comparison of Metrics A and B. Evaluate the outcomes of both positive and negative scenarios for each metric, and identify the necessary steps for improvement. This method is useful for getting a better understanding of how to utilize AI in decision-making.



6.7 RECAP OF THE DATA MODEL

At the heart of recurring revenue is the concept that it stems from ongoing impact, which lies beyond the classic marketing and sales funnel. In fact, the journey of recurring revenue starts where the classic funnel ends. The standardized Data Model we've adopted extends this funnel into a Bowtie shape, integrating post-commitment activities. This model is bifurcated: the left side targets customer acquisition, while the right side focuses on nurturing long-term customer relationships. To create the Data Model, we overlay a standardized Data Structure which utilizes 3 metrics: Volume Metrics (VM), Conversion Metrics (CR), and Time Metrics (t). This forms a Data Structure (The Bowtie Metrics) that is layered on top of the Data Model (The Bowtie).

FIGURE 6.15 ***The Bowtie: The standardized data model for recurring revenue.***

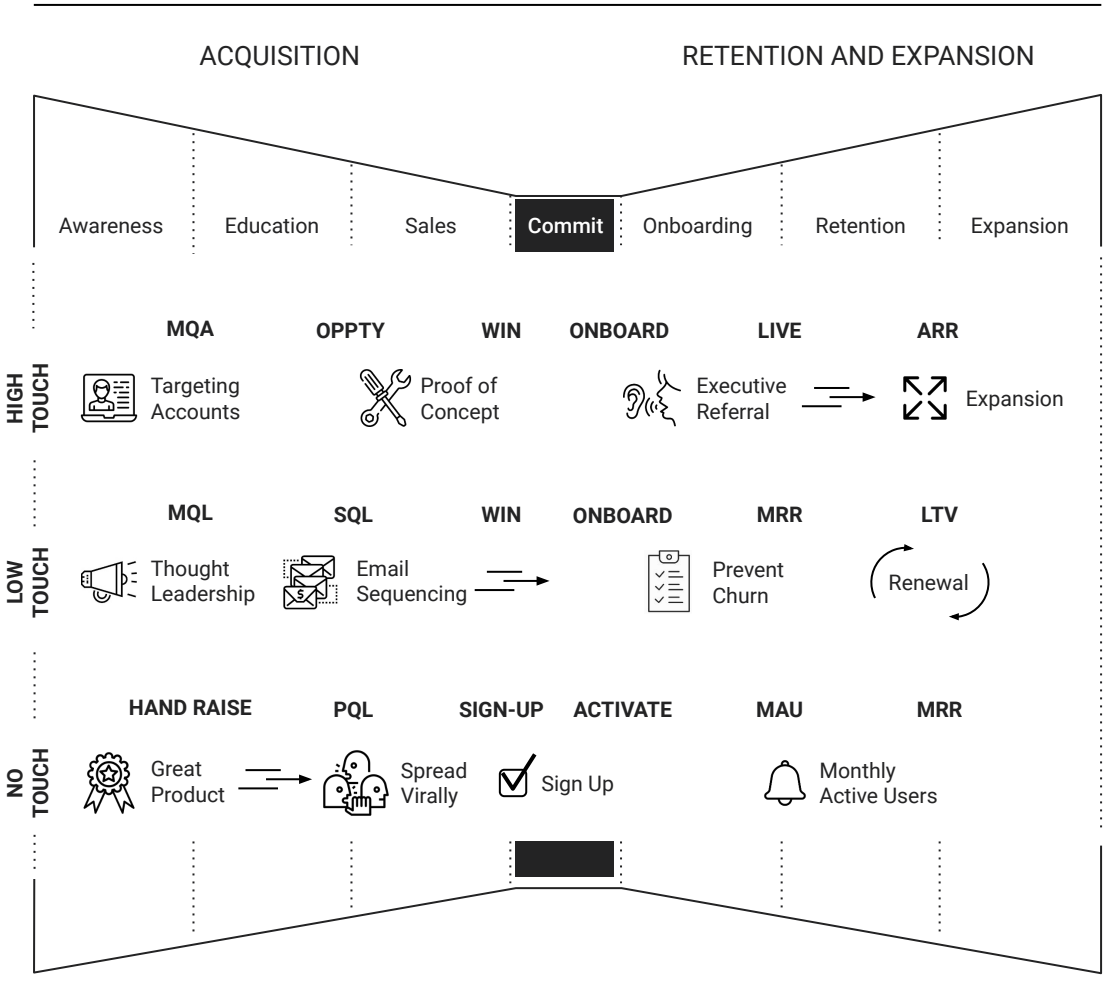


Based on this standardized Data Model, we can conduct a benchmark analysis to evaluate our performance against others using the same model. It helps us pinpoint areas needing improvement. Crucially, the most vital benchmark is against our own historical performance, achieved through trendline analysis.

Trendlines not only enable us to forecast future outcomes but also help in spotting potential issues early, allowing for preemptive action. The Data Model, pivotal across the customer journey, forms the backbone for understanding the financial viability of the different GTM motions.

The standardization of the data model not only enhances system behavior modeling, including closed-loop processes, but also aligns various GTM motions. This is particularly vital as organizations grapple with data compliance challenges arising from unique terminologies and metrics introduced by new GTM motions. Essentially, a standardized Data Model acts as a unifying framework for the entire revenue operation, ensuring data consistency and smooth exchange across all customer-facing business segments.

FIGURE 6.16 ***Example of different GTM motions mapped to the Bowtie.***



The classic marketing and sales funnel, having been in use for over a century, stands not as an outdated relic but as a testament to its immense value and enduring relevance. It's imperative to preserve the rich knowledge and infrastructure built upon this funnel as a model. In doing this, we not just honor its historical significance but more importantly we ensure that its foundational principles are adapted to and guide modern marketing, sales, and customer success strategies. This is particularly relevant in the realm of recurring revenue.

TABLE 6.7 ***Extending the classic Marketing and Sales Funnel into the Bowtie.***

The "Classic Funnel" Characteristics	**The "Bowtie" Characteristics**
Ownership Model.	Ownership Model, Subscription Model, and Consumption Model.
Growth comes from winning more deals.	Growth comes from winning more deals, Retaining existing customers, and Expanding business with existing customers.
Dependency on Volume of the leads.	Dependency on Volume of the leads, Quality of the leads, and Quality of existing customers.
Decision is commonly based on the availability of budget and positive ROI.	Decision is reliant on availability of budget, and positive ROI, but a decision is made on Priority.
Measure leads, deals closed, discount, sales cycle, revenue, NPS, and churn.	Measure ARR, growth rate, CAC Payback, CTS, FCF, MAU, DAU, GRR, and NRR (per GTM motion).
Data are used used primarily to increase lead generation and improve sales conversion.	Data are leveraged for continuous and iterative improvement of the customer experience and measuring a user's ability to achieve impact.
Right customers are those that do not churn.	Right customers are those that expand.
Limited feedback from post-sale stages, often delayed by months (mostly NPS).	Continuous (closed) feedback loop, adapting to customer needs and changing behaviors over time.
Always be closing.	No recurring impact. No recurring revenue.

The Data Model for the Recurring Revenue Factory evolves the funnel into a Bowtie shape, using it as a platform to transition towards a GTM approach. This evolution pays homage to the legacy of the classic marketing and sales funnel, leveraging its timeless wisdom to enhance a recurring revenue business.

07

THE MATHEMATICAL MODEL

07 | THE MATHEMATICAL MODEL

In this chapter, mathematics takes center stage as we address a specific blind spot: nonlinearity. We explore its profound impact on the growth trajectory of businesses relying on recurring revenue. Through stories, graphics and formulas, we unravel the secrets behind the captivating allure of nonlinearity. As humans, our emotions often drive irrational choices with nonlinear consequences. Consider this chapter a much-needed software upgrade that will enhance your understanding. Take time with it, revisiting as needed, as each reading unveils new perspectives and broader implications for your business. Get ready for an epiphany.

7.1 THE MATHEMATICAL MODEL EXPLAINED

Hypergrowth is the result of nonlinear behavior. This chapter breaks down the fundamentals of nonlinearity in these key areas:

- Elements of Accelerated Growth
- Linear vs. Exponential Impact
- Nonlinearity in Acquisition
- Nonlinearity in Retention and Expansion

Understanding the characteristics of nonlinearity is vital to succeed in a subscription business.

7.1.1 Elements of Accelerated Growth

Would you be surprised to learn that the exponential growth engine behind a hypergrowth business model is driven by adding up and multiplying numbers, and doing this *repeatedly*. It is this word, repeatedly, that introduces us to 2 mathematical notations, referred to as Sigma and Pi.

Formula 7.1 depicts the mathematical notation for repeatedly adding numbers, represented by the Greek letter Sigma. Sigma, a capital letter in the Greek alphabet, corresponds to "S" in the English alphabet and is used in mathematics to denote summation. Essentially, Sigma is analogous to Sum.

FORMULA 7-1

$$y = \sum_{n=1}^{5} x(n)$$

$$y = x(1) + x(2) + x(3) + x(4) + x(5)$$

Similarly, Formula 7.2 illustrates the mathematical notation for repeatedly multiplying numbers, using the Greek letter Pi. Pi corresponds to "P" in our alphabet and is commonly used to represent the product of a series of terms. This is akin to the initial sound of the word *product*: Pi is used in the same way as Sigma is described above, except the terms are multiplied instead of added.

FORMULA 7-2

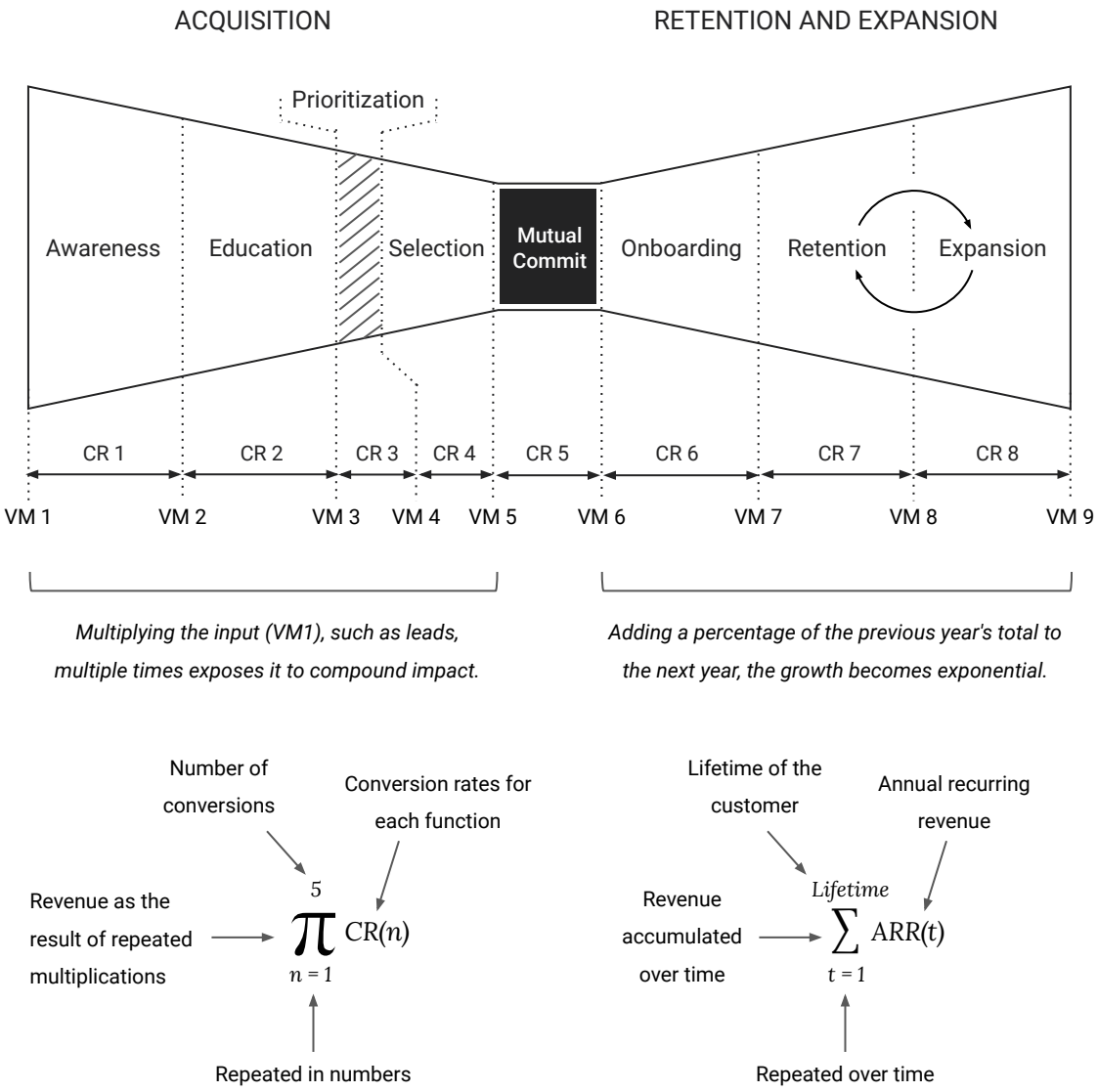
$$y = \prod_{n=1}^{5} x(n)$$

$$y = x(1) \times x(2) \times x(3) \times x(4) \times x(5)$$

Mathematically, the recurring growth engine consists of 2 specific parts: the acquisition part, which is based on repeated additions (∑), and the retention and expansion part, which involves adding together (∑) several multiplications (Π).

This implies a different mathematical principle for each side of the Bowtie.

FIGURE 7.1 ***Each side of the Bowtie is governed by a different mathematical principle. Acquisition is governed by multiplying a number of actions, and retention and expansion is about adding up the cumulative effects over the years.***



In summary: While forms of multiplication occur on both sides of the Bowtie, it's during the retention and expansion phase that the results accumulate over the months and years, creating a compound impact. Repeated multiplication possesses a specific and unique characteristic: it can lead to nonlinearity. Nonlinearity occurs when all conversion metrics experience a similar variation at the same time; for example, they all experience a 10% increase in performance.

7.1.2 Nonlinearity

Understanding nonlinearity comes down to understanding the difference between y = x × n and y = x ^ n. Think of *n* as the number of years (for example, six) and *x* as the monthly marginal improvement (say, 15%). Applying n = 6 and x = 1.15 to both equations vividly demonstrates the distinction.

FORMULA 7-3

$$y = x \times n \qquad (linear)$$

$$y = 1.15 \times 6 = 6.9$$

FORMULA 7-4

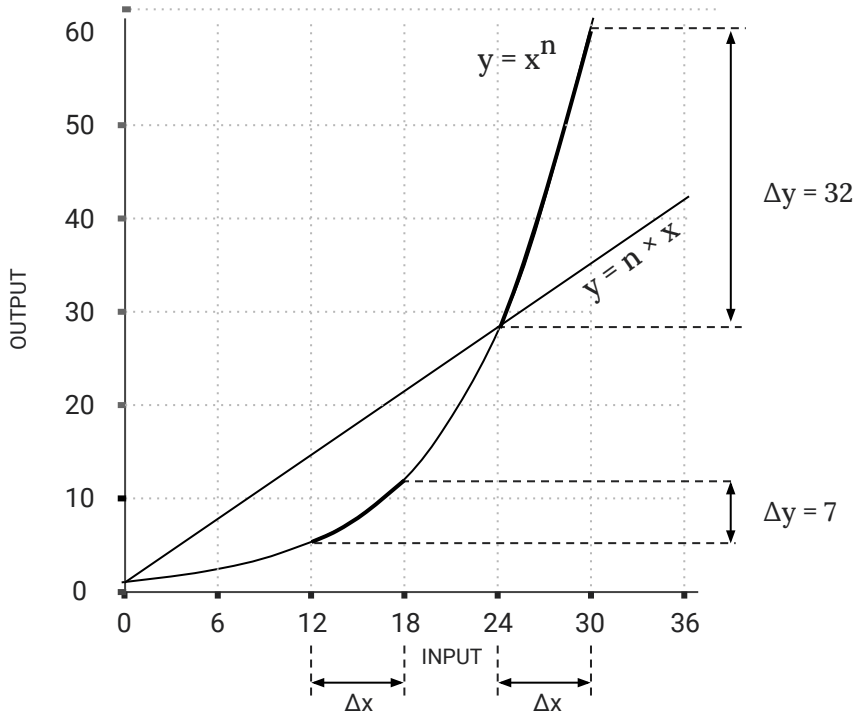
$$y = x^n \qquad (nonlinear)$$

$$y = x \times x \times x \times x \times x \times x$$

$$y = 1.15 \times 1.15 \times 1.15 \times 1.15 \times 1.15 \times 1.15 = 2.3$$

It is the difference between these 2 formulas that cause confusion. Plotting both in a chart helps us visualize the effects of disproportionate impact.

FIGURE 7.2 ***Exponential growth causes a disproportionate impact, where the same incremental change (Δx) results in a much larger change in output (Δy).***



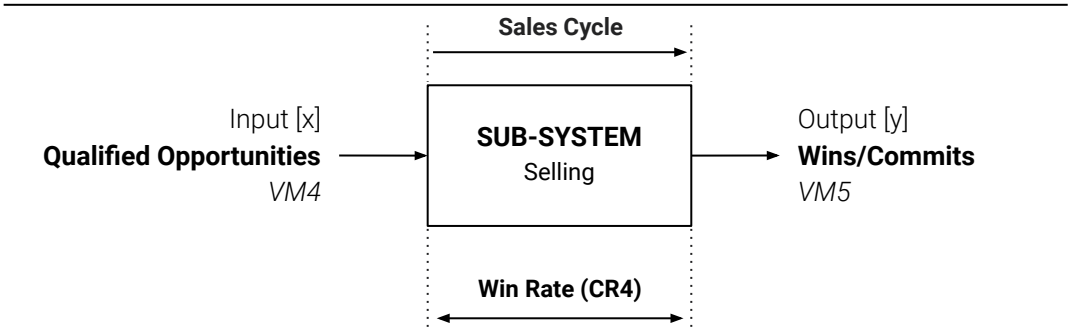
In Figure 7.2, you can observe a disproportionate impact: the same change in x (Δx) results in a different change in y (Δy). For instance, extending a customer's lifetime by 6 months (Δx), from 12 to 18 months, means that the recurring revenue system yields an increase in revenue (Δy = 7). However, if the contract is extended by the same 6 months (Δx) a year later, moving from 24 to 30 months, the revenue boost is much greater—in this example, 5.3 times the initial increase (Δy = 32). This exponential response is key to understanding how operating with a recurring revenue model can shift growth from a moderate 10% to an extraordinary rate exceeding 40%, known as hypergrowth.

In summary: Nonlinearity refers to a characteristic in which small changes lead to disproportionate and often unexpected outcomes. Next, we will examine how recurring revenue growth relies on nonlinear effects, including when and where these effects occur. We will learn that they manifest differently across the acquisition, and similarly the retention and expansion, of revenue.

7.1.3 Nonlinearity in Acquisition

Growth in any company begins with the left side of the Bowtie: acquisition. As we saw in the Data Model, acquisition consists of several sub-systems, each with its own conversion rate. To help us understand the situation, let's create a block diagram that depicts how we calculate the win rate from the number of opportunities.

FIGURE 7.3 ***Win rate depicts a seemingly linear relationship in which the win rate (CR4) equals the amount of commits (VM5) divided by the number of qualified opportunities (VM4).***



To calculate the number of Commits delivered by a sales team (output [y]), we have to multiply the number of opportunities (input [x]) by the win rate, giving us Formula 7-5.

FORMULA 7-5

$$Commits\ (y) = Number\ of\ Qualified\ Opportunities\ (y) \times Win\ Rate\ (CR4)$$

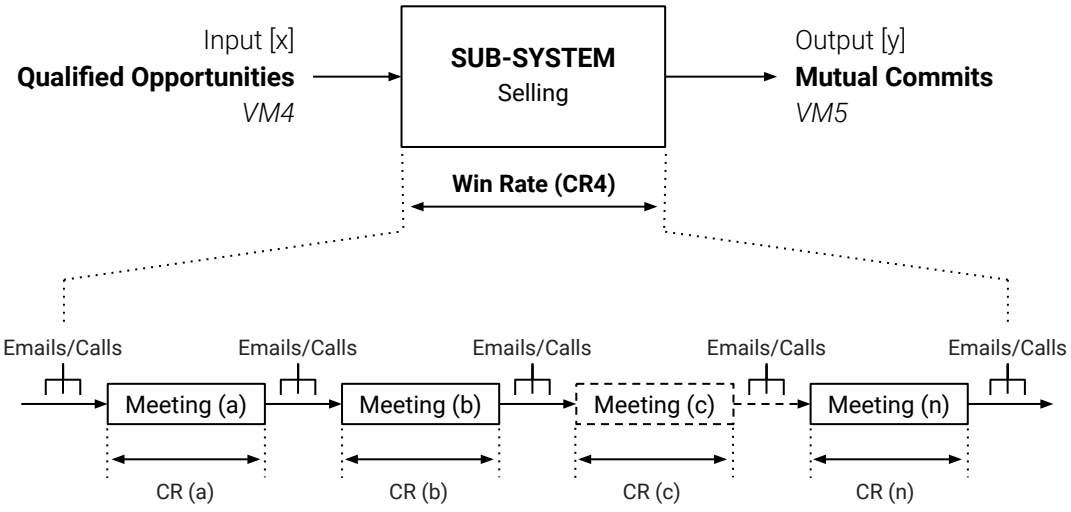
Now, compare Formula 7-5 with Formula 7-3, and you'll notice they look the same.

FORMULA 7-3

$$y = x \times n \qquad (linear)$$

The similarity between Formulas 7-5 and 7-3 leads us to believe that the relationship between the number of mutual commitments and the number of qualified opportunities must be linear—this implies that, to win twice as many deals, we need to double the number of opportunities. However, when we examine what happens in the sub-system, a different picture emerges. Winning a deal is the cumulative outcome of many emails, calls, meetings, and many other interactions. All of these interactions directly impact the win rate.

FIGURE 7.4 ***The number of commits is the product of the conversion rate of all meetings.***



For instance, focusing on scheduled meetings, let's say it takes an average of 12 meetings to gain commitment. Think of a couple of discovery meetings, demonstrations, proposal discussions, negotiations, etc. At the end of these meetings, the buyer and seller decide whether to move forward or not. This means that each meeting has its own conversion rate that contributes to the overall win rate, and that small improvements across multiple actions can disproportionately impact the win rate. This is known as compound impact.

FORMULA 7-6

$$Commits = Number\ of\ Qualified\ Opportunities \times CR\ (a) \times CR\ (b) \times CR\ (c) \times CR\ (n)$$

When assuming the conversion rates (CR) for each meeting to be the same, e.g., CR(1) = CR(2) = CR(3) = CR(n), we get Formula 7-7.

FORMULA 7-7

$$Commits = Number\ of\ Qualified\ Opportunities \times CR\ (n)^{\ number\ of\ meetings}$$

Now, compare formula 7-7 with formula 7-4, and notice the similarities to the nonlinear function which we learned earlier to have a disproportionate effect.

FORMULA 7-4

$$y = x^n \qquad (nonlinear)$$

This suggests the number of wins is not only determined by the number of qualified opportunities but also on the number of meetings and the conversion rate per meeting. This means that something as simple as improving the quality of meetings across the board will have a big impact on the win rate and, thus, the number of wins. Let's illustrate this with an example: 20 leads result in a sales process with an 85% conversion rate (on average) per meeting across 12 meetings.

FORMULA 7-7a

$$Commits = Number\ of\ Qualified\ Opportunities \times CR\ (n)^{\ number\ of\ meetings}$$

$$Commits = 20 \times 85\%^{\ 12\ meetings} \qquad = 2.85$$

$$= 2.85 \times \$40{,}000 = \$113{,}793$$

An 85% conversion rate across 12 meetings results in 2.85 wins or $113,793 based on a $40,000 ACV. Doubling leads from 20 to 40 could double revenue, but this is challenging and may decrease lead quality. Instead, let's improve the conversion rate per meeting from 85% to 90%. What would the impact be?

FORMULA 7-7b

$$Commits = 20 \times 90\%^{\,12\ meetings} = 5.6$$

$$= 5.6 \times \$40{,}000 = \$225{,}944$$

There you have it: by increasing the conversion rate per meeting from 85% to 90% the result doubles from 2.85 to 5.6, consequently doubling the revenue. And increasing meeting success by a small percentage is more reasonable to expect and more sustainable than doubling the number of leads. There are numerous ways to improve the quality of a meeting, such as starting the meeting on time, defining meeting objectives up front, closing the meeting on time and agreeing on the next steps.

However, another variable affects the win rate: *the number of meetings.* Based on Formula 7.5, if we change the number of meetings, we should observe a corresponding change in the win rate. Let's examine that by increasing or decreasing the number of meetings by 1.

FORMULA 7-7c

$$Commits = 20 \times 90\%^{\,\mathbf{13\ meetings}} = 5.1$$

$$= 5.1 \times \$40{,}000 = \$203{,}349$$

FORMULA 7-7d

$$Commits = 20 \times 90\%^{\,\mathbf{11\ meetings}} = 6.3$$

$$= 6.3 \times \$40{,}000 = \$251{,}049$$

Wait, what just happened? By reducing the number of meetings, the number of wins jumped from 5.6 to 6.3. Not as big as changing the conversion rate per meeting, but the effect is still evident. It starts to make sense if you think about it for a moment. Remember, 90% raised to the power of 12 is the same as:

FORMULA 7-7e

$$20 \times 0.9 \times 0.9 \times 0.9 \times 0.9 \times 0.9 \times 0.9 \times 0.9 \times 0.9 \times 0.9 \times 0.9 \times 0.9 \times \boxed{0.9} = 5.6$$

Law of Diminishing Returns: When It Comes to Meetings, Less is More

What we just learned is that every additional meeting reduces the chance of winning a deal by 90%. To illustrate this simply, let's say you start with 20 opportunities; this would typically result in 5.6 wins. However, if you reduce the number of meetings by just one, you avoid an extra multiplication by 0.9, effectively increasing your wins to 6.3.

FORMULA 7-7f

$$Commits = 20 \times 0.9 \times 0.9 \times 0.9 \times 0.9 \times 0.9 \times 0.9 \times 0.9 \times 0.9 \times 0.9 \times 0.9 = 6.3$$

This seems counterintuitive, doesn't it? Common sense might suggest that decreasing the number of meetings couldn't possibly lead to more Commits.

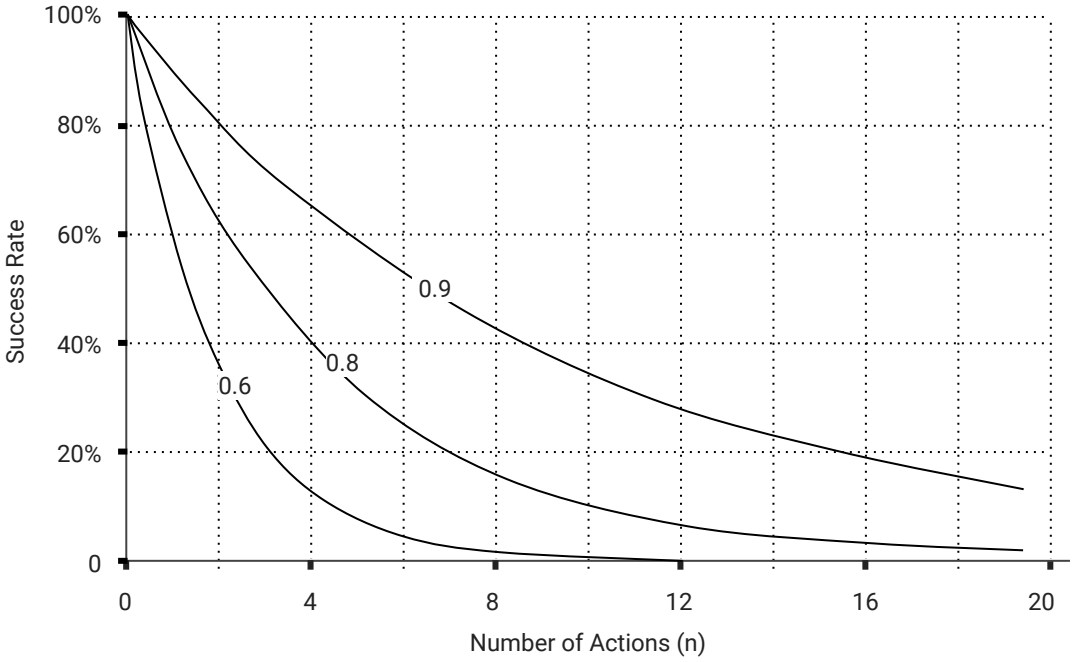
The situation is not as straightforward. After a certain point, more emails and more meetings yield diminishing returns—or, fewer Commits. This suggests that by increasing the quantity of meetings without increasing the quality, it's possible that you're harming your chances of getting the Commit. In practical terms, this means focusing on having the right people in each meeting which can reduce the need for additional meetings and ultimately increase the overall win rate. This principle is even more evident in lead development, where the widespread use of email sequencing tools combined with AI has led to a significant increase in the volume of emails sent to prospects which results in diminished effectiveness due to over-contacting.

The Impact of Attrition

Lead development and subscriber retention are influenced by attrition. This means an increase in actions inversely impacts success rates. For example, sending a prospect twice as many emails does not double the chance of converting them into an opportunity; in fact it results in a decrease in success.

The next figure demonstrates the attrition process in lead development based on volumes of email in an email sequence. It depicts 3 scenarios where *y* represents the unsubscription rate and *x* the number of emails sent in the sequence (n). The nature of these curves vividly shows the subscriber retention rates to exponentially decline as the frequency of emails rises.

FIGURE 7.5 ***An increase in actions (emails) resulting in an exponential decrease in the success rate.***



How Marginal Gains Can Lead to Hypergrowth

If you ask sales leaders how to double the revenue, most will suggest doubling the number of leads. This rational response reflects a linear growth mindset, explaining why many revenue-driven SaaS companies crave leads and resort to volume-based email marketing. However, nonlinearity in attrition demonstrates why marketing struggles to deliver against this target, even if they double their spend. The problem of linear thinking is so prevalent in hypergrowth companies that it often strains the relationship between even the most ardent marketing and sales teams. The solution lies in making marginal improvements across the entire acquisition process: 10% more leads, 10% better (fewer) emails, 10% more effective discovery calls, 10% less discount, and so on. These marginal gains compound and, counterintuitively, create a sharp increase in revenue.

Operators are now capitalizing on a key characteristic of the recurring revenue model—its sensitivity to small changes—to boost growth. However, this sensitivity also uncovers underlying instability within the system, leading to volatility. This important issue is the subject of our next discussion.

Volatility in Acquisition Growth

As shown in Formulas 7.7a and 7.7b, small marginal gains can significantly impact revenue. However, the reverse is also true: when conversion rates drop across the board, revenue decreases disproportionately.

FIGURE 7.6 ***The acquisition system operates as 3 nonlinear sub-systems in an open-loop setup. This configuration is known to cause instability and can lead to a runaway system.***

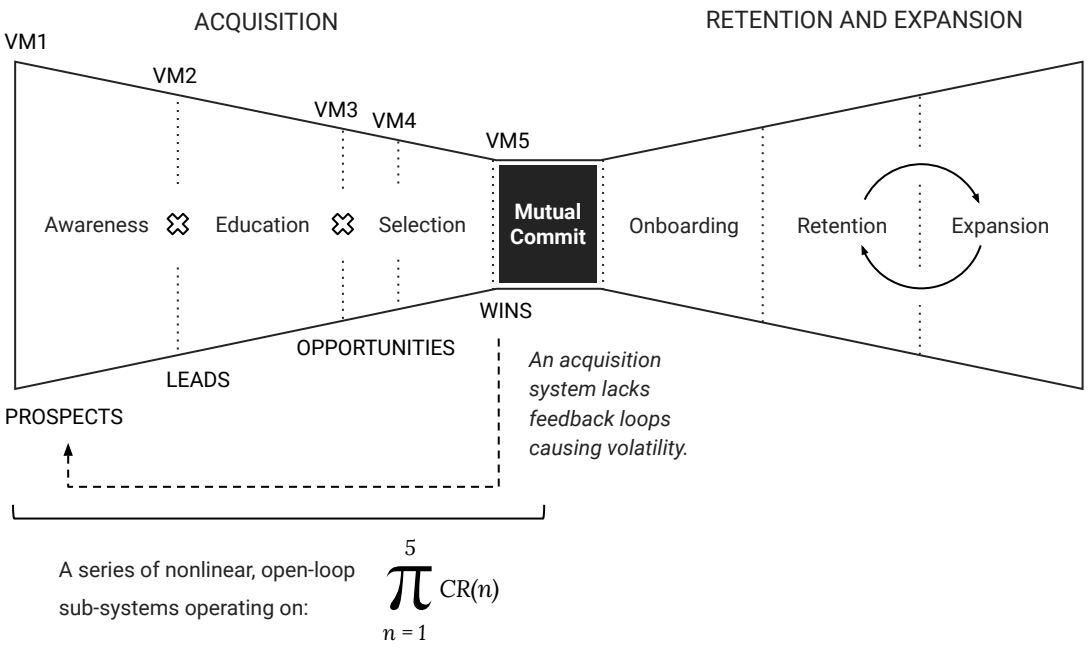


Table 7.1 on the next page illustrates a marginal decline in performance for each conversion rate across various departments. This scenario is reminiscent of a factory setting, where a series of small, seemingly obscure mistakes can culminate in a critical problem—in this context, a sharp drop in revenue.

The absence of self-correcting feedback loops in the system exacerbates this issue, resulting in a phenomenon known as "running away." A system runs away when it lacks a feedback mechanism, thus it fails to adjust to changes, causing its output to increasingly deviate from its intended outcome. Such a scenario is especially prevalent in nonlinear systems, where even minor variations can trigger disproportionate and unpredictable effects, thereby heightening both the likelihood of a "runaway" scenario and severity of the impact.

During the Golden Era of SaaS, this running away phenomenon spurred hyper-growth. In contrast, during the subsequent economic downturn, the system reacted similarly but in reverse, running away again, leading to a rapid, negative impact, this time triggering a crash. In both instances the system behaved exactly the way it was suppose to, it was the operators who lacked the insight to comprehend, predict, and control the system's behavior.

TABLE 7.1 ***A marginal decline in performance of different conversion rates across departments, each operating nonlinearly within an open-loop system, causes a sharp decline in ARR.***

	VM1	CR1	VM2	CR2	VM3	CR3	VM4	CR4	VM5	CR5	VM6
Ref	Prospects		MQLs		SQLs		SALs		Wins		ARR
Q1	500	12%	60	15.0%	9.0	85%	7.7	30.0%	2.3	90%	$41,310
Q2	475	11½%	55	14½%	7.9	83%	6.6	29.0%	1.9	88%	$33,554
Q3	450	11%	50	14.0%	6.9	82%	5.7	28.0%	1.6	87%	$27,686
Q4	425	10½%	45	13½%	6.0	81%	4.9	27½%	1.3	86%	$23,081
Q5	400	10%	40	13.0%	5.2	80%	4.2	27.0%	1.1	85%	$19,094

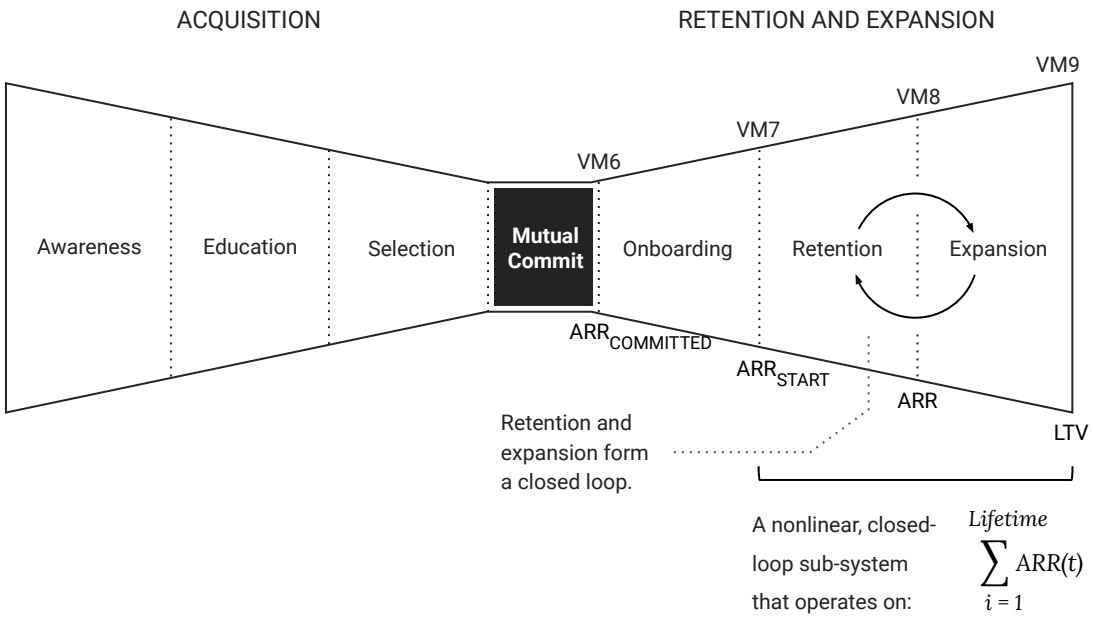
In the next section, we'll explore the characteristics of the growth engine for retention and expansion. Although it operates similarly to the acquisition process, it includes closed-loop elements that provide unique stabilizing effects, yet it demands a set of unique considerations.

7.1.4 Nonlinearity in Retention and Expansion

Growth from Retention and Expansion works in a similar but different way to growth from Acquisition. Both possessing the same attributes such as win rate, sales cycle, and average price. They are similar in that in retention, these factors are relatively stable: the ‘win rate’ can be as high as 99%, the ‘sales cycle’ is determined by the contract length, and the ‘price’ can be predicted with relative accuracy. Where growth from retention differs is that it relies on the actual delivery against the promises made.

Once a mutual commitment is established between a company and its customers, the journey towards expansion unfolds through distinct stages: Onboarding, Retention, and Expansion. It's important to remember that "retention" reflects the seller-centric perspective and is the result of "adoption," the customer-centric perspective. Progression through these stages is measured in terms of time, churn, retention, contraction, and expansion. Each of these can be quantified using numerical values (n), revenue ($) figures, and as a percentage of the total (%).

FIGURE 7.7 ***Retention and Expansion form a closed loop creating stability within the system.***



Onboarding in this context refers to the onboarding of the customer as a whole, not just an individual user, and it operates in a linear fashion. The Retention and Expansion stages on the other hand function as a nonlinear sub-system, and it forms a closed loop system. As customers purchase and effectively utilize more products and services, their contract value increases, driving compound growth. However, it's important to note that this compounding effect is not based on the number of actions, as it is in acquisition, but rather on the effects of it over time. This leads us to GRR and NRR, both of which rely on time to create Lifetime Value (LTV).

Revenue Retention

NRR and GRR are 2 commonly used performance metrics indicative of a customer's health over time. GRR is a metric that measures the overall revenue retained from existing customers without accounting for any expansion. It provides a snapshot of the total revenue generated from the customer base, including renewals.

Within the Data Model, CR7 reflects GRR (see Figure 7.8), and NRR adds revenue growth from existing customers to that. It considers the expansion and contraction of revenue within the existing customer base. NRR provides insights into the net impact of upsells, cross-sells, downgrades, and churn on the overall revenue generated by the customer cohort. Within the Data Model, CR7 x CR8 reflects NRR, depicted in Figure 7.8. As we have learned GRR and NRR form a closed-loop system that feeds on itself and are the core elements of any recurring revenue based growth engine. In fact they form the core of the hypergrowth engine.

Gross Revenue Retention (GRR)

GRR measures the overall revenue retained from existing customers without considering any expansion:

FORMULA 7-8

$$GRR = \frac{MRR(Start) - MRR(Contraction) - MRR(Churn)}{MRR(Start)} \times 100$$

For example, let's consider a company with 100 customers, each paying $1,000 monthly. Multiplying 100 x $1,000/month results in a monthly recurring revenue of $100,000 at the beginning of the month (MRR_{START}). Three customers cancel their contracts throughout the month (MRR_{CHURN}), and 2 downgrade their subscriptions by $500 ($MRR_{CONTRACTION}$). Based on these changes, the GRR can be calculated, resulting in a GRR of 96%.

FORMULA 7-8a

$$GRR = \frac{\$100{,}000 - (2x\$500) - (3x\$1{,}000)}{\$100{,}000} \times 100 = 96\%$$

Net Revenue Retention (NRR)

Similarly, NRR measures revenue growth from existing customers; it is crucial in measuring hypergrowth. It considers the churn, expansion, and revenue contraction within the existing customer base. NRR provides insights into the net impact of upsells, cross-sells, downgrades, and churn on the overall revenue generated by the customer cohort. The formula for NRR is:

FORMULA 7-9

$$NRR = \frac{MRR(Start)+MRR(Expansion)-MRR(Contraction)-MRR(Churn)}{MRR(Start)} \times 100$$

Looking at Figure 7.7, the combination of VM7, CR7, and CR8 within the Data Model forms NRR.

- VM7 equals MRR_{START} is the revenue at the start of the period.
- CR7 is a multiplication of contraction and retention (normalized).
- CR8 is the expansion as the result of renewals, upsells, and cross-sells (normalized).

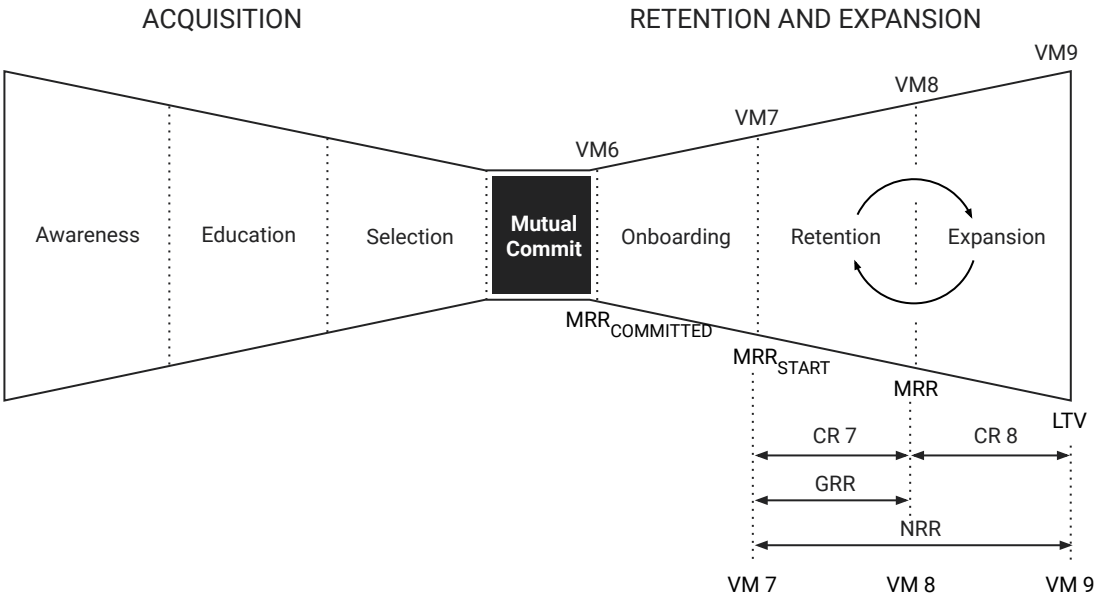
FORMULA 7-9a

$$NRR = \frac{VM7 \ x \ CR7 \ x \ CR8}{VM7} \times 100$$

The result indicates the net change in revenue from existing customers; it can be expressed as a percentage or in revenue. A positive NRR value (above 100%) indicates that the company has successfully expanded its revenue from existing customers, offsetting any revenue lost due to churn or downgrades. A value below 100% suggests a contraction in revenue, meaning that the lost revenue from the churn and downgrades exceeds the revenue gained from expansions.

Note that in the next figure, we are using MRR as the metric of choice. We generally recommend using MRR, but you may also use ARR as long as you are consistent across the entire customer journey and all GTM motions.

FIGURE 7.8 ***Definition of GRR and NRR within the Data Model.***



Let's build on the previous example: A company with 100 customers, each paying $1,000 a month, resulting in a monthly recurring revenue of $100,000 (VM7). Three customers cancel their contracts throughout the month (MRR_{CHURN}), and 2 downgrade their subscriptions by $500 ($MRR_{CONTRACTION}$), but 12 customers expand their business by $500/month for a total of $6,000. Based on these changes, the GRR can be calculated, resulting in a GRR of 96%.

FORMULA 7-9

$$NRR = \frac{MRR(Start) - MRR(Contraction) - MRR(Churn) + MRR(Expansion)}{MRR(Start)} \times 100$$

FORMULA 7-9a

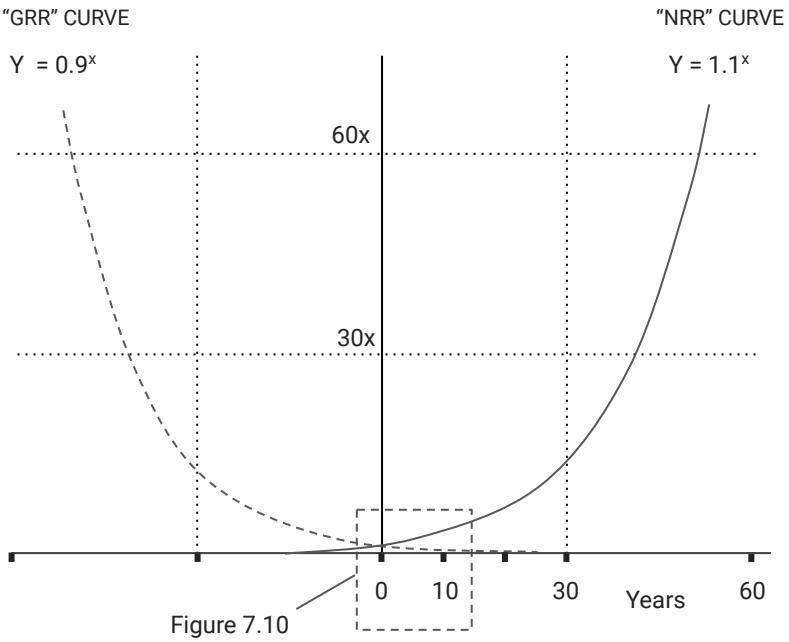
$$NRR = \frac{\$100{,}000 - (2x\$500) - (3x\$1{,}000) + (12x\ \$500)}{\$100{,}000} \times 100 = 102\%\ \ (or\ 1.02)$$

It's important to calculate NRR and GRR against a cohort that operates on the same GTM motion and starts within the same timeframe. In fact, it's imperative to analyze usage metrics such as Monthly Active Users (MAU), Daily Active Users (DAU), and retention numbers (GRR/NRR) on a cohort basis to fully understand the growth patterns.

The Hypergrowth Engine is Powered by the Nonlinearity of NRR

To better understand how hypergrowth works it is crucial to analyze the behavior of GRR and NRR over time. Similar to acquisition, both GRR and NRR follow nonlinear curves. However, they each generate distinct responses that significantly impact long-term outcomes. To illustrate this, we graph the mathematical formulas of GRR (0.9^x) and NRR (1.1^x) and zoom out to fully appreciate the distinct shapes of their respective curves.

FIGURE 7.9 ***NRR and GRR both operate on the same hyperbolic function, but values greater than 1 versus less than 1 result in different nonlinearities within the first 10 years, best observed when zoomed out.***



Focusing on the initial 10 years, a clear divergence emerges: the GRR curve shows a decline, whereas the NRR curve rises. This difference is crucial, highlighting NRR's integral role in driving the nonlinear acceleration characteristic of hypergrowth. For operators, understanding this nonlinearity is key to making decisions that unlock the full growth potential of the hypergrowth engine. For example, this explains why organizations should dedicate a team to expansion (focusing on NRR) much earlier than previously thought.

Lifetime Value (LTV)

In the context of recurring revenue, Lifetime Value (LTV) refers to the estimated total revenue a customer is expected to generate throughout their entire relationship with a company. LTV gives us an idea of the long-term value and profitability of acquiring and retaining customers. LTV is a result of NRR.

In this case, the LTV of a $100,000 deal with an NRR of 1.10 over the lifetime of 5 years can be calculated as follows:

FORMULA 7-1

$$LTV = \sum_{t=1}^{5} ARR\,(t) \qquad [\,t \text{ in years}\,]$$

FORMULA 7-1a

$$ARR(Year\ 1): \$100{,}000$$

$$ARR(Year\ 2): \$100{,}000 \times 1.10 = \$110{,}000$$

$$ARR(Year\ 3): \$100{,}000 \times 1.10 \times 1.10 = \$121{,}000$$

$$ARR(Year\ 4): \$100{,}000 \times 1.10 \times 1.10 \times 1.10 = \$133{,}100$$

$$ARR(Year\ 5): \$100{,}000 \times 1.10 \times 1.10 \times 1.10 \times 1.10 = \$146{,}410$$

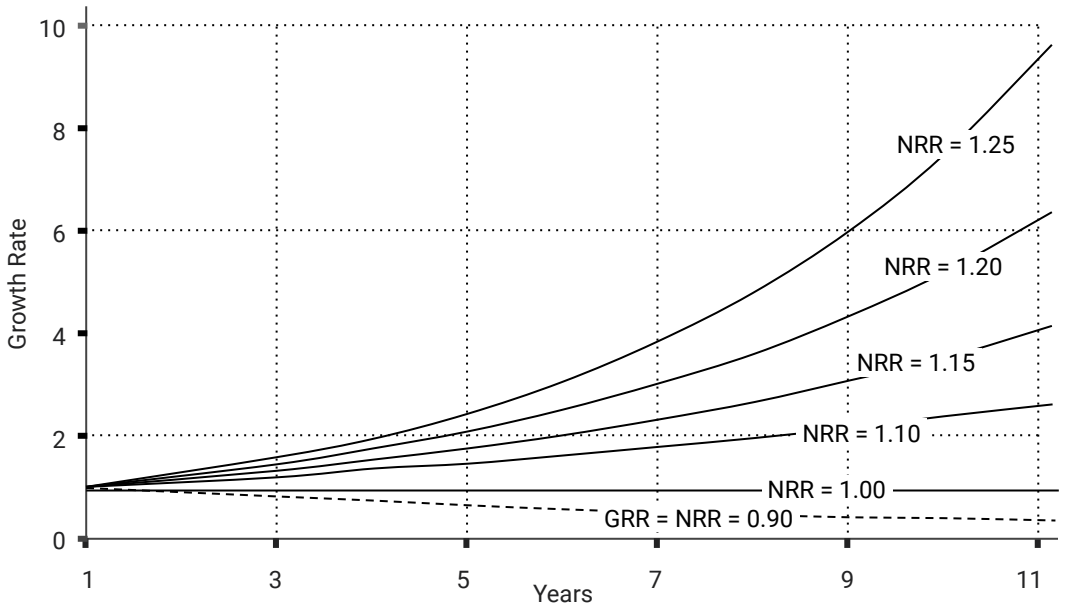
FORMULA 7-1b

$$LTV = \$100{,}000 + \$110{,}000 + \$121{,}000 + \$133{,}100 + \$146{,}410 = \$610{,}510$$

The compounding effect of NRR occurs year over year; this leads to exponential revenue growth. As the NRR improves, the nonlinearity of the curve becomes increasingly evident, and its disproportionate effect on growth becomes more pronounced. This can be observed in the next figure (Figure 7.10), where in year 11, the growth rate (Δy) disproportionately grows, even though the increase in NRR from 1.1 to 1.15 to 1.2, and then to 1.25, is consistent.

This explains an important yet often overlooked part of the hypergrowth engine, in layman's terms: The faster it goes, the more it accelerates—like a snowball rolling down a hill.

FIGURE 7.10 ***The nonlinearity of NRR leads to a disproportionate effect that becomes more pronounced at higher NRR rates. It is fundamental to driving hypergrowth.***

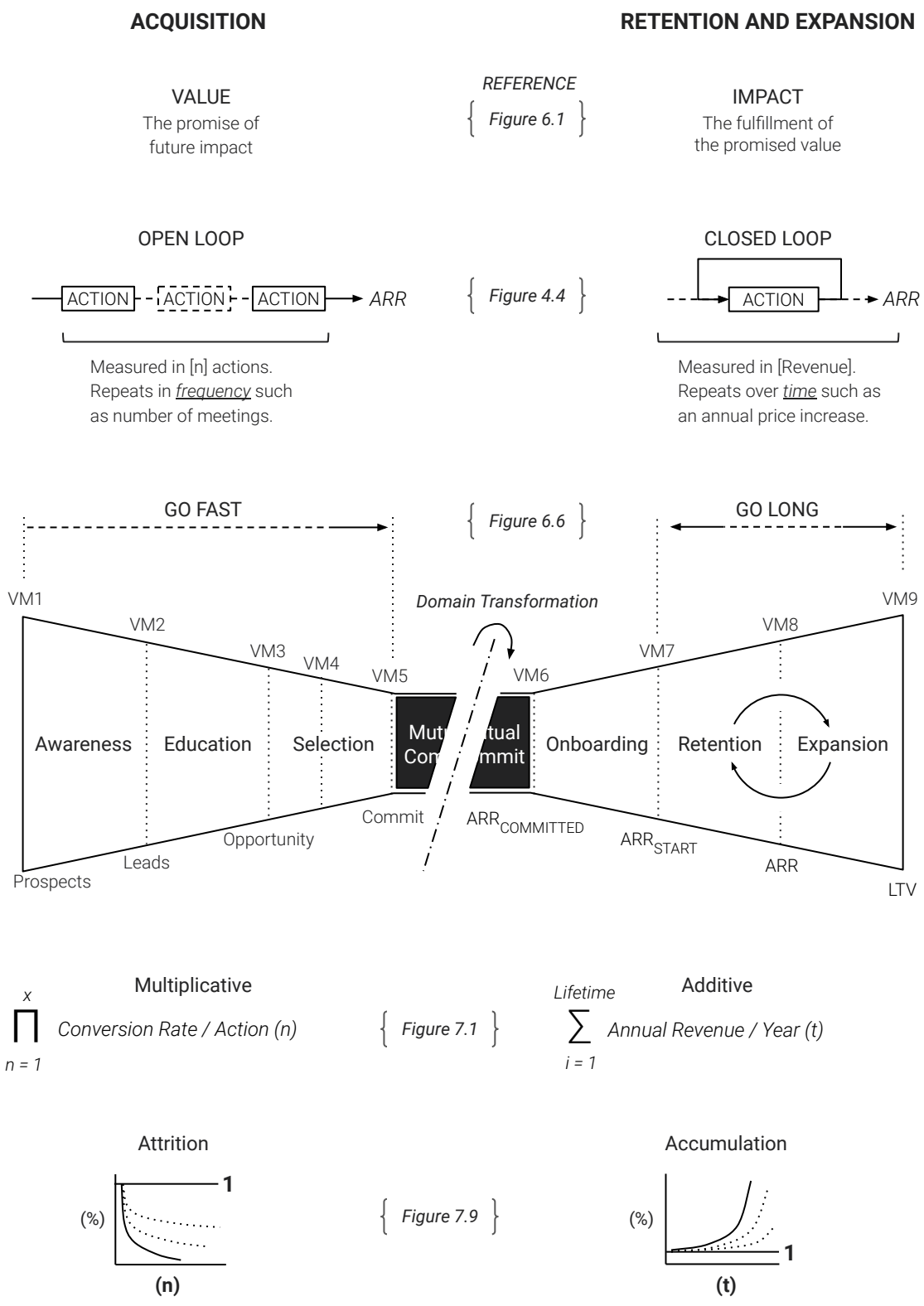


7.1.4 Acquisition and Expansion Operate in Two Different Domains

The 2020 movie *Tenet* mesmerized moviegoers with its mind-bending storyline. Directed by Christopher Nolan, known for his exploration of time in his films, *Tenet* was his magnum opus. The movie operates across 2 different time domains: the ordinary and inverted worlds. In the ordinary world, time progresses forward in a linear fashion. However, in the inverted world, individuals and events can move backward in time. The coexistence of these 2 domains at the same time pushes us to think of time in 2 domains.

We are not using this example to teach you how to travel back in time, at least not yet. What this example does help us explain is that *Tenet* presents 2 different, yet simultaneous, domains that appear similar but operate differently. Realizing that the movie unfolds in these 2 domains sets the stage for understanding that recurring revenue also functions, simultaneously, in 2 distinct domains, each governing growth differently (see Figure 7.11).

FIGURE 7.11 ***Characteristic for Growth from Acquisition vs. Retention and Expansion.***



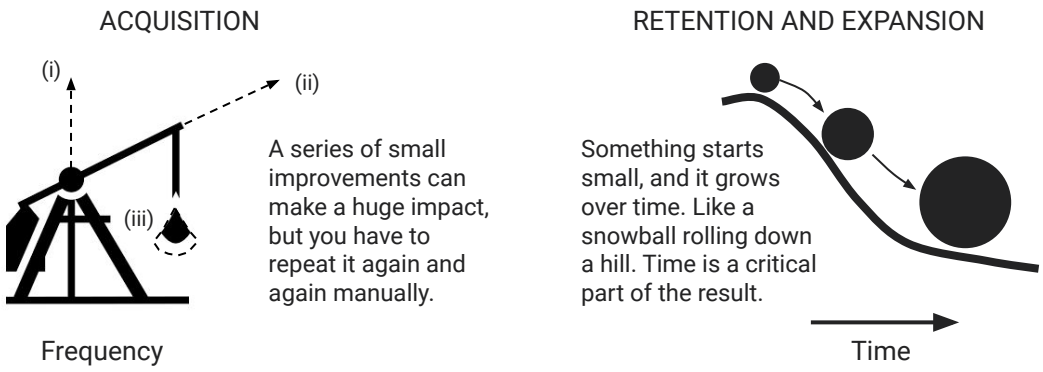
The Acquisition Domain (left side of the Bowtie) and the Retention and Expansion Domain (right side of the Bowtie) are characterized by different factors, explaining why they operate differently:

- **Open Loop vs. Closed Loop:** The left side of the Bowtie currently operates as an open-loop system in which the output, measured in committed customers, is not used as an input. Consequently, the system does not self-correct based on the output it produces. As such, the loop must be manually closed by a customer-facing representative. The system must be corrected by, for instance, identifying that the prospect came from an unsuitable market, and advising the Lead Generation team to seek leads elsewhere. Conversely, the right side of the Bowtie is currently designed as a closed-loop system. In this system, customer commitment, such as a renewal, induces self-correcting behavior. If a customer ceases renewing, the system automatically responds with decreased revenue. One of the significant advancements anticipated in the next decade, made possible by AI, is the development of interconnected closed-loop systems across the entire customer journey, involving all roles and functions (see Section 4.2).

- **Units vs. Revenue:** The left side of the Bowtie is measured in units, such as leads, opportunities, and deals won. In contrast, the right side of the Bowtie is measured in revenue, such as MRR, ARR, and LTV. The transition between these domains is achieved by multiplying the number of units by a revenue value, such as the annual contract value (ACV). It's worth noting that the left side sometimes is assigned a revenue value by multiplying the number of units with the average sales price, reflecting the amount of “pipeline” created.

- **Frequency vs. Time:** The left side of the Bowtie operates on frequency, representing the rate of occurrence of events like meetings or emails sent. On the other hand, the right side is measured in terms of time, representing the duration or progression of events, such as monthly or annual recurrences. Frequency and time are related through the inverse formula (Frequency = 1 / Time). This relationship creates the right side of the Bowtie as an inverse domain of the left side, with each side operating differently.

FIGURE 7.12 ***The characteristics of the frequency and time domains explained.***



- **Attrition vs. Accumulation:** Attrition is observed on the left side of the Bowtie, indicating a decrease or loss of units or opportunities as they progress through the stages. For example, a lead to opportunity conversion rate (CR2) of 10% signifies attrition of 90%. In contrast, accumulation is seen on the right side, indicating the growth or addition of revenue. For instance, a net revenue retention rate of 1.08 resulting from an 8% price increase demonstrates an accumulation of revenue. The key difference lies in the direction of change, with attrition associated with the left side and accumulation (expansion) with the right side.
- **Faster vs. Longer:** In the acquisition domain, speed is crucial, and processes are designed to accelerate progress. Time is measured in days or seconds (PLG), emphasizing faster outcomes. On the other hand, in the Retention and Expansion stages, longevity is desired. So, processes are tailored to maximize the duration of customer engagement. Time is measured in months or years, focusing on extending the customer relationship and maximizing lifetime value.

Before You Make Decisions: Know Which Domain You're Operating In

Understanding the domain in which you operate is essential. Actions that may seem similar, such as hiring or firing a person, can impact growth differently depending on the domain. For example, consider the decision to save $100,000 in salaries by terminating either a sales manager (SM) or a customer

Success manager (CSM). The tendency might lean towards laying off the CSM. However, modeling the impact will likely demonstrate that laying off the CSM can have a far more significant (negative) effect on revenue growth. This is because their role is to help a large group of customers achieve impact. As we have seen, when customers achieve impact, they are more likely to renew, expand their business, and remain customers for a longer period. This growth can itself exceed that of acquisition. Furthermore, as the growth compounds over time, and due to its nonlinearity, it can generate more profit in the years to come.

The recurring revenue factory concept is built on these unique characteristics within the Acquisition and Retention/Expansion domains. Organizations must optimize their growth strategies and drive sustainable revenue generation by recognizing the distinctions and designing processes accordingly.

7.2 GROWTH FORMULA AND UNIT ECONOMICS

Many companies continue to use a top-down approach in developing their operational plans. In this method, an organization selects a revenue target that aligns with its corporate goals, such as doubling the previous year's revenue to meet specific valuation objectives. The organization then formulates an operational plan, specifying the required number of sellers and the investment in marketing campaigns necessary to drive sales.

Growth Formula is a Mathematical Depiction of a GTM Motion

Consider a more scientific approach: envisioning a subscription business as a recurring revenue factory. The primary goal of this factory is to produce revenue in a cost-efficient way through multiple GTM motions. Each GTM motion operates like a production line in a factory. The GTM motion is governed by what we call the Growth Formula—a mathematical depiction of the production capacity. The Growth Formula demonstrates cause and effect, outlining which factors contribute to growth and the necessary dependencies for preparation.

Unit Economics are Shorthand for the Growth Formula

Unit economics act as shorthand for the outcomes derived from the Growth Formula. For example, unit economics can say it takes 100 leads to generate $10,000 in ARR that yields $100,000 in LTV over 5 years. The Growth Formula also helps to test scenarios, such as calculating the cost of revenue, thereby helping companies plan the resources needed to achieve specific targets. Analyzing trends in unit economics help identify issues or opportunities, such as the need to adjust pricing or focus on a specific customer segments.

Creating a Growth Formula

To create a Growth Formula, it is essential first to normalize all the relevant metrics. In the context of the growth from acquisition, this primarily involves normalizing the sales price. The sales price is calculated by multiplying the list price by (1 - discount). Once all the metrics are normalized, we can calculate the Growth Formula.

This example will focus on the Growth Formula for an inbound GTM motion from NewCo. NewCo converts inbound website traffic into leads by capturing their email addresses. These leads are then nurtured through a campaign until they reach a specific lead score. At this point, a salesperson initiates a conversation with them. If the conversation meets specific criteria, the opportunity becomes qualified. The qualified opportunity then goes through to the sales team.

TABLE 7.2 ***Growth formula of a Low Touch GTM motion: 928 visitors generate $67,555 in ARR.***

Visitors	Visited	Leads	Interested	Oppty	Qualified	Q'Oppty
[VM1]	[CR1]	[VM2]	[CR2]	[VM3]	[CR3]	[VM4]
928	12.00%	111	15.00%	17	84.50%	14

Win Rate	Commit	Discount	List Price	ARR(commit)
[CR4]	[VM5]	[CR5]	$24,000	[VM6]
26.00%	3.7	23.30%	$18,408	$67,555

Demonstrating Cause and Effect

We can develop a Growth Formula for the inbound GTM motion using these metrics. Specifically, when we have 928 visitors per month (the cause), it leads to $67,555 in ARR per month (the effect). In this particular case, the Growth Formula is normalized based on the number of visitors per month. However, we can also normalize it using factors such as $100,000 ARR or a single win.

Normalizing the Growth Formula on a single win reveals that it takes 253 visitors to generate 30 leads, which then convert into 5 opportunities, and 1 gets qualified out. The remaining 4 qualified opportunities convert at a win rate of 26% and an average discount of 23%; this translates to $18,408 in ARR.

TABLE 7.3 ***Normalized Growth Formula, providing unit economics for a single win.***

Visitors	Visited	Leads	Interested	Oppty	Qualified	Q'Oppty
[VM1]	[CR1]	[VM2]	[CR2]	[VM3]	[CR3]	[VM4]
253	12.00%	30	15.00%	5	84.50%	4

Win Rate	Commit	Discount	List Price	ARR(commit)
[CR4]	[VM5]	[CR5]	$24,000	[VM6]
26.00%	1.0	76.70%	$18,408	$18,408

The specific Growth Formula can be represented as follows:

FORMULA 7-8

$$
\begin{aligned}
ARR\ (Commit) &= Visitors \times \prod_{n=1}^{5} CR[n] \times List\ Price \\
&= 253 \times CR[1] \times CR[2] \times CR[3] \times CR[4] \times CR[5] \times \$24{,}000 \\
&= \underbrace{253 \times 0.12 \times 0.15 \times 0.845 \times 0.26}_{1} \times \underbrace{0.767 \times \$24{,}000}_{\$18{,}408} = \$18{,}408
\end{aligned}
$$

Recurring revenue operates as an interconnected system, which means that changes in one conversion rate can impact other conversion rates. For instance, if the number of leads decreases, the quality of leads may also decrease, resulting in downstream effects. To simulate this scenario, we can apply a 5% reduction in performance across all conversion metrics.

TABLE 7.4 ***Simulation of the impact of an economic downturn on the "Acquisition System."***

Visitors	Visited	Leads	Interested	Oppty	Qualified	Q'Oppty
[VM1]	[CR1]	[VM2]	[CR2]	[VM3]	[CR3]	[VM4]
253	12.00%	30	15.00%	5	84.50%	4
240	11.40%	27	14.25%	4	80.28%	3

Win Rate	Commit	Discount	List Price	ARR(commit)
[CR4]	[VM5]	[CR5]	$24,000	[VM6]
26.00%	1.0	76.70%	$18,408	$18,408
24.70%	0.8	24.47%	$13,904	$10,759

The system-wide impact of a 5% reduction in each conversion metric is significant, decreasing the ARR from $18,408 to $10,759. The marginal changes in the system vs. the magnitude of the impact on revenue emphasizes the volatility of a recurring revenue system. This demonstrates the importance of the use of a Growth Formula to perform scenario analysis. Scenario Analysis is a critical part of a scientific approach to revenue growth.

Scenario Analysis 1: Impact of Discount on Win Rate

Offering discounts is a common practice to encourage customer purchases. However, it's often assumed that not offering a discount could decrease the win rate. But is this assumption always valid? The critical question is whether the revenue lost due to a potentially lower win rate is greater than the revenue lost through discounts. In our next scenario analysis, we'll explore the impact of eliminating the discount. We'll calculate the adjustment in the win rate to compensate for the difference in revenue acquired.

By reducing the discount to 0%, the ARR(commit) increases to $24,000. The win rate can now be offset by calculating 23.3% × ($18,408/$24,000) = 19.94%. In other words, with the adjusted win rate of 19.94%, the Growth Formula still achieves the same revenue of $18,408. The conclusion is that if all other metrics remain constant, the organization will gain more ARR by eliminating the discount, as long as the win rate stays above 19.94%. When the volume of deals is measured in the hundreds of deals a year, it is unlikely that the average win rate across will decrease significantly due to the removal of the discount. Still, it would be beneficial to conduct a test in an isolated market segment to validate your scenario analysis.

TABLE 7.5 ***Simulation of the win rate needed to secure the same amount of ARR.***

Visitors	Visited	Leads	Interested	Oppty	Qualified	Q'Oppty
[VM1]	[CR1]	[VM2]	[CR2]	[VM3]	[CR3]	[VM4]
253	12.00%	30	15.00%	5	84.50%	4

Win Rate	Commit	Discount	List Price	ARR(commit)
[CR4]	[VM5]	[CR5]	$24,000	[VM6]
19.94%	0.8	0.00%	$24,000	$18,408

Scenario Analysis 2: Calculating the Impact on Lifetime Value (LTV)

We will use the normalized Growth Formula from Table 7.5 to calculate the impact on the customer LTV over a 5-year horizon, based on an ARR commit of $18,408. This commitment experiences in the first year a 98% retention rate and a 102% expansion rate based on an annual price increase. As shown in Table 7.6, this data now extends to the next year and serves as the new baseline. Retention and expansion rates vary annually, leading to a total LTV of $106,909 over a 5-year period (LTV-5Y).

A 5-year horizon is typically suitable for a platform product, which tends to have a longer lifespan within an account, compared to an application atop a platform, where a 3-year horizon (LTV-3Y) may be more appropriate.

TABLE 7.6 ***Calculating Lifetime Value based on a 5-year horizon.***

	ARR(start) [VM7]	Retention [CR7]	Expansion [CR8]	NRR [CR7/8]	ARR [VM9]
Year 1	$18,408	98.0%	102.0%	99.96%	$18,401
Year 2	$18,401	95.0%	128.0%	121.60%	$22,375
Year 3	$22,375	94.0%	112.0%	105.28%	$23,557
Year 4	$23,557	95.0%	108.0%	102.60%	$24,169
Year 5	$24,169				
LTV(5Y)	$106,909				

Table 7.6 clarifies that a business with a recurring revenue stream operates differently: profits are deferred and are reliant on future revenues. You will notice that revenue generated in the first year of $18,408 against $106,909 only represents 17% of the customer's lifetime value over a 5-year horizon. That means 83% of the revenue depends on the seller's performance, over 5 years—specifically, their ability to deliver the recurring impact.

The Growth Formula Opens a Whole New World

If you've come this far, it becomes evident that we are only at the beginning of exploring a new realm where GTM motions function like software—enabling you to test hypotheses and make predictions. Now, you can calculate your Growth Formula for various market segments, industries, products, and regions. A Growth Formula provides a detailed understanding of how specific growth motions within the revenue factory affect overall performance and offers actionable insights for refining your strategies to optimize growth within each motion.

7.3 *COMBINING THE MATHEMATICAL & REVENUE MODELS*

Let's compare the lifetime value of a deal based on 3 different monetization strategies, combining the Mathematical Model with the Revenue Model (see Table 7.7).

By year five, the annual subscription (Model 2) surpasses the upfront payment (Model 1), suggesting the latter is better for customers not retained beyond 4 years. Yet, the annual subscription with a 10% increase (Model 3) boasts a 90% higher revenue than the one-time payment model over a 7-year period.

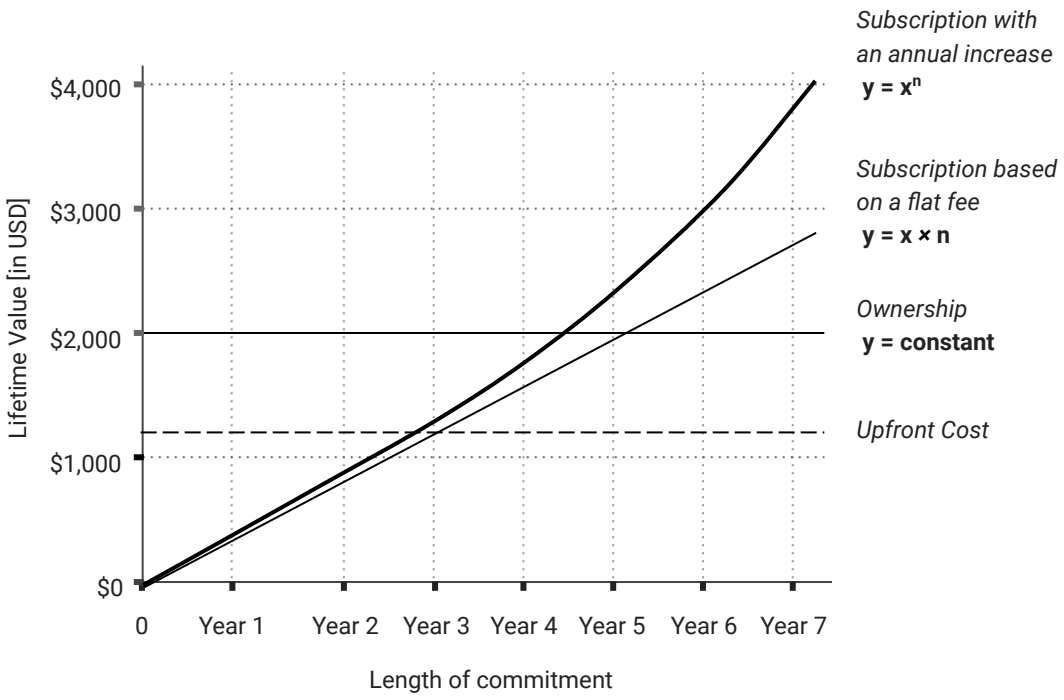
TABLE 7.7 ***Over a 7-year span, the comparison of 3 monetization strategies reveals one superior model.***

	MODEL 1. ***Ownership*** **Paid Up Front**	MODEL 2. ***Annual Subscription***	MODEL 3. ***Annual Subscription w/ a 10% annual increase***
	$y = constant$	$y = x \times n$	$y = x^n$
Year 1	$2,000	$400	$400
Year 2		$800	$840
Year 3		$1,200	$1,324
Year 4		$1,600	$1,856
Year 5		$2,000	$2,442
Year 6		$2,400	$3,086
Year 7		$2,800	$3,795
Total	**$2,000**	**$2,800**	**$3,795**

A significant portion of the additional revenue represents more profit, highlighting the power and potential of a subscription business that can achieve a 10% NRR. Organizations must thoroughly understand how recurring revenue systems can be operated to maximize such profit.

To visualize the impact these 3 different monetization strategies, we will plot each as a function of LTV on the vertical y-axis and time in years (n) on the horizontal x-axis. Right away, you will notice the disproportionate impact of the subscription model as a result of the annual 10% increase. In particular in later years as the revenue starts to take off. This visualizes the power of this model (Model 3) and why so many companies have chosen to pursue this monetization strategy.

FIGURE 7.13 ***Plotting the 3 monetization strategies illustrates the non-linear growth impact of a subscription service with an annual 10% price increase.***



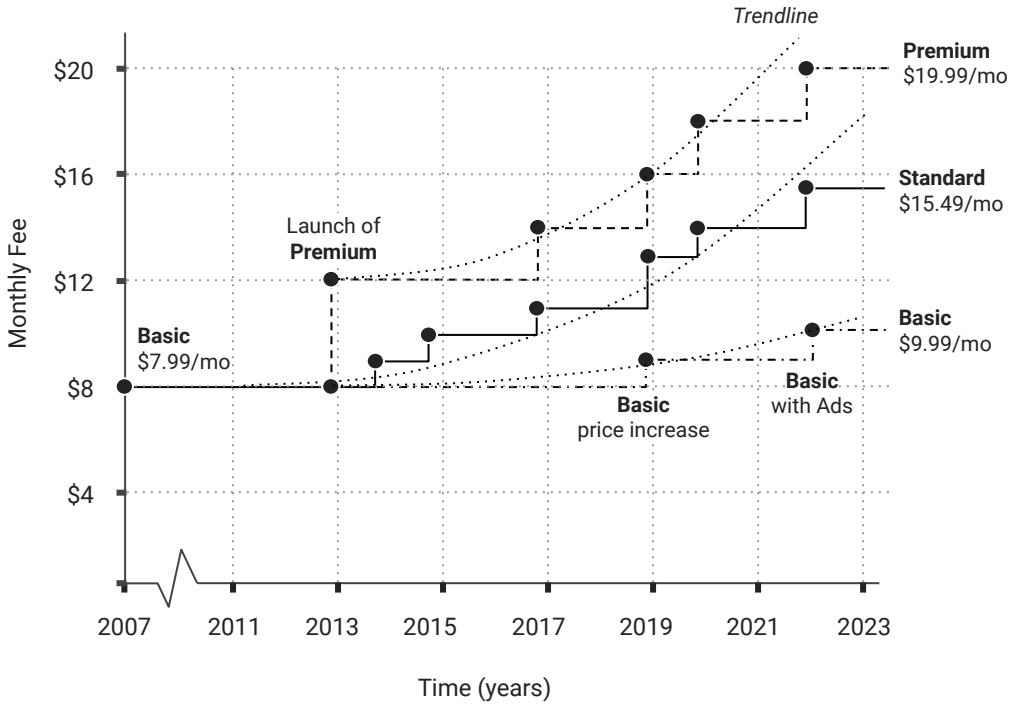
Use Case: Netflix's Revenue Models

As a subscriber to pay-TV subscription services like Disney+, Netflix, and Hulu, you may occasionally experience a price increase. However, these increases do not appear to be of exponential significance, and the timing of these increases seems random. But is that truly the case? Figure 7.13 illustrates Netflix's introduction of various price packages and the implementation of price hikes at different intervals, starting in 2013 when their revenue reached $5 billion.

The data reveals Netflix's gradual price increases and package diversification over time, with recent hikes showing a non-linear trend across all packages. It is worth noting that in 2022, Netflix introduced advertisements in the basic offering, thereby incorporating an additional monetization model for their business.

It demonstrates the significance of timing and how it can have a disproportionate, exponential impact when combined with a slight price increase.

FIGURE 7.14 ***The price increase of Netflix through small changes, spread over different time intervals, and diversification of packages masks the nature of an exponential price increase.***



The latest advertising model utilizes a consumption-based monetization strategy alongside the subscription-based recurring revenue model. As Netflix progressively increases the volume of advertising over time, we can expect the revenue to grow exponentially, expanding along yet another dimension and unlocking virtually unlimited growth potential.

7.4 EXERCISES FOR THE MATHEMATICAL MODEL

EXERCISE 7.1 **Establish an acquisition Growth Formula for the most prominent GTM motion.**

Use a trendline to extrapolate conversion rates based on trends from the past few months or quarters.

Visitors	Visited	Leads	Interested	Oppty	Qualified	Q'Oppty	
[VM1]	[CR1]	[VM2]	[CR2]	[VM3]	[CR3]	[VM4]	

Win Rate	Commit	Discount	List Price	ARR(commit)
[CR4]	[VM5]	[CR5]	$24,000	[VM6]

EXERCISE 7.2 **Establish an expansion Growth Formula for the most prominent GTM motion.**

Carry forward the VM6 from the previous step and fill in the fields. Propagate it across 5 years to calculate the customer LTV for 5 years.

ARR(commit)	Onboarding	ARR(start)	NRR	ARR
[VM6]	[CR6]	[VM7]	[CR7/8]	[VM9]
	Year 2			
	Year 3			
	Year 4			
	Year 5			
	LTV(5Y)			

EXERCISE 7.3 **Normalize the Acquisition part of the Growth Formula to a single commit.**

Visitors	Visited	Leads	Interested	Oppty	Qualified	Q'Oppty	
[VM1]	[CR1]	[VM2]	[CR2]	[VM3]	[CR3]	[VM4]	

Win Rate	Commit	Discount	List Price	ARR(commit)
[CR4]	[VM5]	[CR5]	$24,000	[VM6]
	1			

EXERCISE 7.4 **Normalize the Expansion part of the Growth Formula to a single commit.**

ARR(commit)	Onboarding	ARR(start)	NRR	ARR
[VM6]	[CR6]	[VM7]	[CR7/8]	[VM9]
	Year 2			
	Year 3			
	Year 4			
	Year 5			
	LTV(5Y)			

EXERCISE 7.5 **Based on the normalized Growth Formula, determine the unit economics.**

To create ____ in revenue, we will need _____ leads per month.

It will take ____ leads to turn into _____ opportunities.

Then, it takes _____ opportunities to gain the commitment on one deal.

Each deal, on average, brings us _____ in annual recurring revenue.

If we sustain our NRR over the next 5 years, the LTV/customer is _____.

Remember, this is an example of an open loop, inbound-based system normalized against one commit. It's important to customize this approach for all of the specific GTM motions you have.

EXERCISE 7.6 **Run scenarios based on the Growth Formula to learn how the business scales.**

Carefully evaluate the results of the different scenarios, as they will provide insights into how your business scales. "Scalability" refers to how the system responds to various adjustments. Here are a few scenarios to consider:

- Apply a 10% increase to each conversion metric (VM1 and CR1 to CR5) and assess the impact on ARR_{START} and LTV. Remember to normalize the discount first. For example, if you are offering a 20% discount, a 10% improvement on the discount would be 18%. Normalizing this means that CR5 changes from 0.8 to 0.82.
- Explore changes to the NRR with increments of 5%, and observe the impact. Don't forget to decrease the NRR by 5% increments as well.
- Extend the length of the LTV from 5 to 6 to 7 years, and analyze the effects. Conversely, shorten the LTV to 4 years and then to 3 years.

It's important to note that while scalability focuses on the system's response, sustainability takes costs into account. In Chapter 10, we will discuss the GTM model and its relationship to the costs associated with scalability.

EXERCISE 7.7 **Establish a scalability thesis.**

Based on this, you may have gained a good idea of how to drive short- and long-term revenue growth. Now, let's establish the top 3 metrics that your company needs to focus on based on scalability:

1. _____

   _____

2. _____

   _____

3. _____

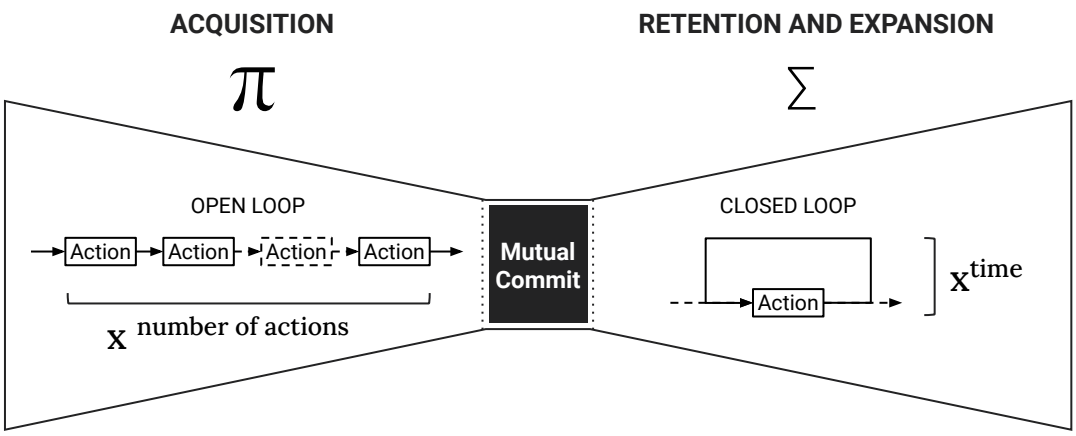
   _____

7.5 RECAP OF THE MATHEMATICAL MODEL

The Mathematical Model in recurring revenue business reveals 2 different growth engines that map to each side of the Bowtie Data model.

On the left side, Revenue Acquisition is characterized by a process of attrition and is subject to a compound effect, marked by repeated multiplication across multiple conversion points. The absence of a feedback loop accentuates this effect, making Acquisition highly sensitive to even the smallest changes. When these changes occur simultaneously across various parts of the customer journey, they significantly influence the outcome—this can lead to either accelerated growth or an unexpected crash.

FIGURE 7.15 ***The simplified Mathematical Model shows that both acquisition and expansion are based on nonlinearity, but operate on a different exponent, creating a different response.***



The right side of the model, focusing on revenue from Retention and Expansion, is more complex. It involves both processes for attrition (GRR) and accumulation (NRR). They are driven by a feedback loop, which fuels exponential growth and creates more stability than the left side. Here, positive actions, such as widespread adoption or effective upselling, don't just add value in isolation. Instead, they feed back into the system, amplifying subsequent actions in a virtuous cycle.

This makes the right side of the Bowtie responsive to positive changes. Minor improvements in product quality or engagement strategies can lead to disproportionately large gains in recurring revenue. This is the realm of exponential growth, where tweaks and enhancements can propel a business into hypergrowth, leveraging the foundation laid in the acquisition phase.

Breaking Down Silos: The Key to Unlocking Nonlinear Potential

What the Mathematical Model demonstrates is that everything is connected, and everything impacts each other. It means that overcoming the silo mentality is crucial to unlocking the full potential of nonlinear recurring revenue systems. Substantial and sustained revenue growth is achieved by consistently making iterative improvements throughout the customer journey, especially during the Retention and Expansion phases. Executives who fail to grasp nonlinearity and continue to operate in silos will impede growth.

Volatility: The Double-Edged Sword of Nonlinearity

The SaaS crash in 2022 was a stark reminder of the system's volatility. The recurring revenue systems worked in reverse; marginal declines across the customer journey led to a steep decline in growth. Understanding this reversal is crucial for future decision-making and managing nonlinear systems effectively.

The Key to Hypergrowth: Embracing Nonlinearity across the Leadership Team

Modern revenue leaders must embrace the mathematics of nonlinearity explained in this chapter. It is crucial to adopt a data-driven mentality and implement continuous improvement processes across all aspects of the business. This approach drives hypergrowth in revenue acquisition, retention, and expansion, steering organizations toward accelerated growth and long-term success.

PART II | SUMMARY

In Part II, we delved deep into the 3 foundational models that are essential for designing a revenue factory: the Revenue Model, the Data Model, and the Mathematical Model. The Revenue Model builds on the foundation of the First Principles from Part I, defining the *why* and *how* of your revenue streams with unique operational metrics and risk profiles for each monetization strategy. The Data Model, purpose-built for recurring revenue organizations, transforms the classic marketing and sales funnel into a comprehensive Data Model shaped like a Bowtie. It captures the entire customer lifecycle from acquisition to long-term engagement. This model emphasizes customer impact at every stage of the customer journey.

However, the true beauty of the recurring revenue engine is unveiled through the Mathematical Model. This model introduces nonlinear dynamics, illustrating how small changes can lead to disproportionate outcomes. Such dynamics not only power the engine but also reveal its sensitivity to these small changes, emphasizing the importance of understanding how the system operates to prevent it from crashing.

Part II focused on designing a sophisticated recurring revenue system tailored to the subtleties of exponential growth and customer engagement. The goal of this section has extended beyond merely achieving growth; it is really to gain a deep understanding of how recurring revenue growth works. This knowledge allows us to roll up our sleeves and start building your recurring revenue factory. For this we are going to rely on the next 3 models: the Operating Model, the Growth Model, and the GTM Model.

How you sell is as important as what you sell.

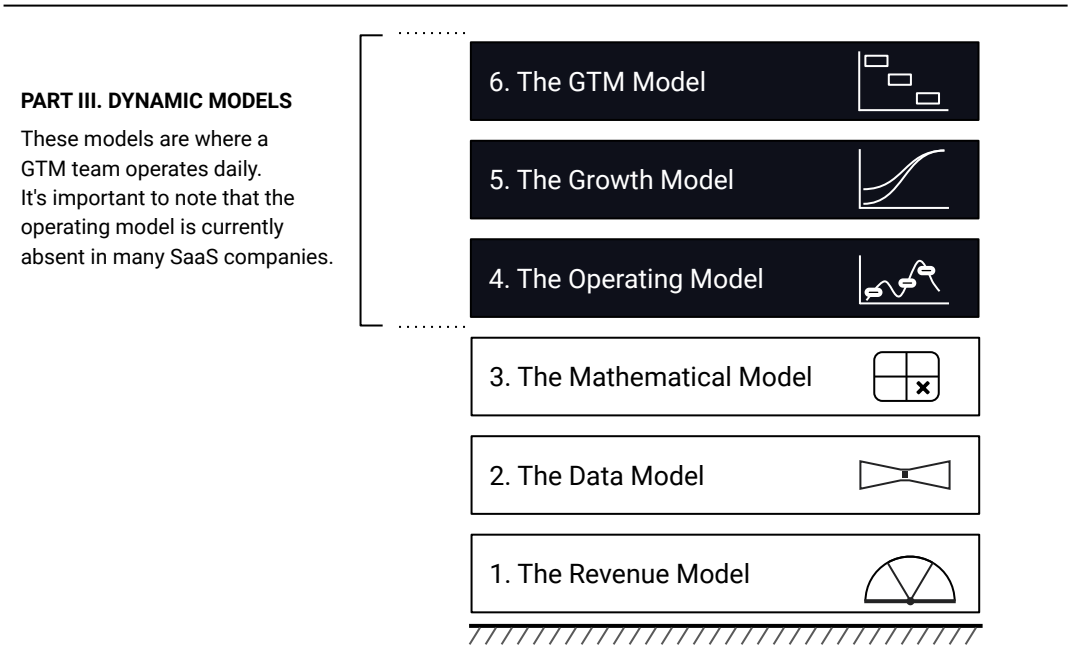
PART III

BUILD

PART III | BUILD

In previous sections, we laid the groundwork for understanding growth through recurring revenue, focusing on its 3 components: acquisition, retention, and expansion. We highlighted the crucial role of impact in each of these areas as a prerequisite for meaningful growth. To capture recurring Impact comprehensively, we evolved the classic marketing and sales funnel into a Bowtie model that includes customer success. This adjustment allows us to identify the key stages where such impact occurs.

FIGURE III ***The dynamic models are the models a business operates in daily.***



Building on this, we explored growth mathematics, discovering that acquisition, retention, and expansion typically follow polynomial or exponential trajectories. This reveals the disproportionate effects a small change can have on outcomes. Equipped with this insight, we crunched the numbers for the recurring revenue system across the customer journey, culminating in a Growth Formula. This formula provides valuable unit economics and informs our decision-making process.

Up next, we'll focus on day-to-day operations, using 3 additional models that build upon the foundational frameworks: the Operating Model, the Growth Model, and finishing off with the GTM Model.

08

THE OPERATING MODEL

08 | THE OPERATING MODEL

In subscription- and consumption-based businesses, critical functions like lead generation, sales, onboarding, retention, and expansion often operate in compartmentalized silos. This siloed structure commonly leads to inter-department interoperability issues. As revenue increases, each silo tends to develop into a fiefdom, further entrenching its unique methods and deepening investment in specialized tools. Initially, startups benefit from operating free from the constraints of overarching unified systems and standardized processes. However, they soon face considerable challenges as they introduce new GTM motions for penetrating different markets, launching additional products, or expanding into new regions.

This scenario resembles a factory metaphor. Growth necessitates the introduction of new GTM motions, similar to launching multiple production lines. The ramp-up of existing production and the initiation of new lines create issues, especially when utilizing the same machinery and personnel. It soon leads to chaos in the revenue factory, as machinery is misapplied across different lines and employees grapple with unclear roles across various stations.

This chaos manifests in the company's financials, evidenced by growth stalling, costs escalating, and dwindling productivity. The situation worsens as revenue increases. SaaS companies are not the first ones to run into this, and they can draw valuable insights from traditional factories, which encountered similar challenges in their formative years.

The concept of a factory guides us toward an Operating Model—a strategic framework that factories employ to structure and manage their production processes, systems, and resources. In this chapter, we will develop an Operating Model, described in the next 3 sections:

- The Incompatibility of Means and Methods (8.1)
- Creating a Customer Centric Methodology (8.2)
- Interface All Means and Methods Across the Customer Journey (8.3)

Let's begin by understanding the cause of the problem.

8.1 INCOMPATIBILITY OF MEANS AND METHODS

Revenue operators face a significant challenge: the widespread use of incompatible means and myriad methods across GTM teams. Eliminating many of these tools and methods might seem tempting, but it is not feasible; instead, the priority should be to create Interoperability. Next, we delve into what Interoperability in GTM entails, focusing on the following aspects:

- The Use of Different Means and Methods (8.1.1)
- The Complexity of Interfacing Different Means and Methods (8.1.2)
- Creating Interoperability (8.1.3)

Let’s start our exploration with a fundamental question: how did we end up with so many means and methods in the first place?

8.1.1 The Use of Different Means and Methods

A venture-backed startup often comprises a small group of experts in their respective fields, each with years, sometimes decades, of experience. As a relatively small team, they can make quick decisions. In these early days, the startup often achieves high velocity due to a lack of formal processes. However, when a startup reaches a couple of million in revenue, it experiences a growth spurt, often expanding from around 10 people to 100 in a year.

This rapid expansion is where problems begin to surface. Each new hire joins a company that lacks established processes for recruiting, onboarding, and all operational aspects of their job.

As they take on their responsibilities, they quickly notice the absence of these defined means and methods needed to perform their roles. Consequently, they tend to introduce the practices and methodologies they gained from their previous jobs. And so, as the company grows, the number of incompatible means and methods grows.

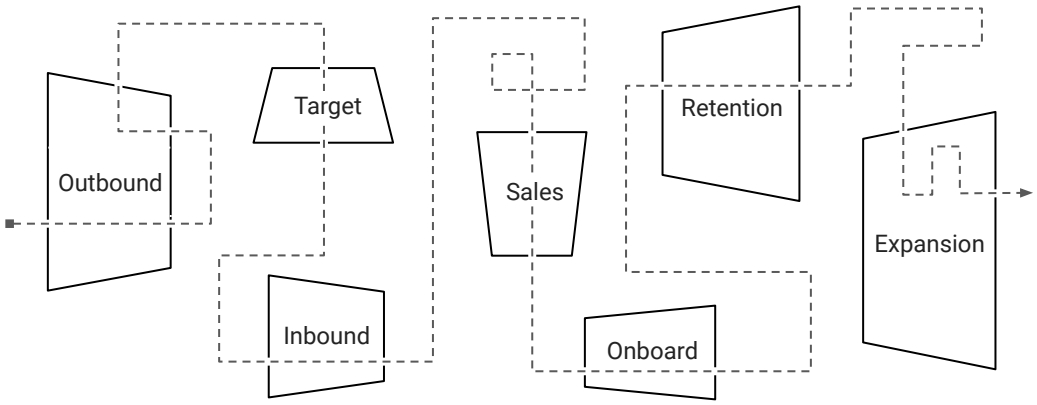
At this stage, several complications arise that significantly decrease the efficiency and effectiveness of the GTM operation, deeply rooting themselves within the organization.

- **The proliferation of incompatible methodologies within a function:** Organizations often let teams pick their own means and methods, not realizing the damage they are causing. For example, teams across regions, products, or market segments may adopt their own means and methods. In sales, for example, you might find the use of BANT in one geographical area or segment and MEDDIC in another.
- **Most tool vendors promote a unique approach:** Each vendor believes they are here to change the world, often introducing new vocabulary, means, and methods into the customer process. They seek to differentiate themselves from the competition through their own terminology. As a result, with dozens of tools come dozens of approaches and acronyms.
- **Executives influence the system and then depart:** Executives joining growing companies usually have the freedom to choose their preferred means and methods, particularly early on. They create new processes, add tools, and bring on personnel from their previous roles. In fast-growing companies, executive tenure averages about 18 months. It means that by the time a company reaches $50M in ARR, typically around its eighth year, it has cycled through several executives in various roles, each contributing to the patchwork of means and methods.

- **Consulting firms take advantage of the chaos:** Independent consulting firms are hired to integrate parts such as Sales or Marketing. They cross-train teams, integrate tool stacks, etc. Everyone involved in this process, particularly those with financial interests, benefits from the chaos—the newly hired executive who can lead with a new approach, the consulting firm, the tool vendor, and the speakers at conferences who, in 20-minute speaking slots, talk about the "next big thing."

These points highlight organizations' complexities and challenges, particularly in GTM operations. The figure below illustrates the outcomes of these challenges: departments operating independently, which leads to inefficiencies and a disjointed customer experience—impacting the efficiency but hampering the effectiveness of achieving recurring impact.

FIGURE 8.1 ***Departments operate independently, leading to inefficiencies. This disjointed approach makes it challenging for customers to experience consistent, recurring impact.***



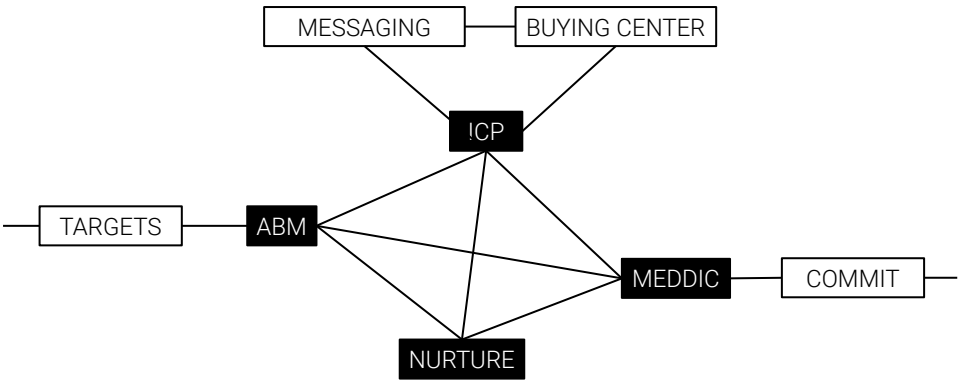
8.1.2 The Complexity of Interfacing Different Means and Methods

Let's explore how the increase in *non-interoperable* means and methods leads to an explosion in interconnections and an exponential rise in complexity. It causes costs to escalate, productivity to drop, and the growth rate to decline. We are going to illustrate this point by starting with a high touch GTM motion and adding a low touch GTM motion.

Case in point: *Account-based marketing (ABM) is a methodology that assists marketers in targeting the right customers through a method known as an Ideal Customer Profile (ICP). The ICP is crafted based on personas within an account, employing a method known as a "buying center." It identifies key roles such as Decider and Influencer, enabling marketers to create messaging that is specifically tailored for each role. This method of messaging is called nurturing, which develops sales opportunities over time. Subsequently, the Enterprise sales team employs a deal qualification method called MEDDIC to develop the opportunities into a mutual commitment.*

The above high touch GTM motion evolves into a series of interconnected means and methods. To generate millions in revenue using a high-velocity GTM motion, it must operate like a well-oiled production line in a factory, requiring seamless integration. While this seems simple at first, the reality is far from it. The means and methods employed are implemented by various departments, each with its own goals, specialized tools, different metrics, and speaking in unintelligible dialects.

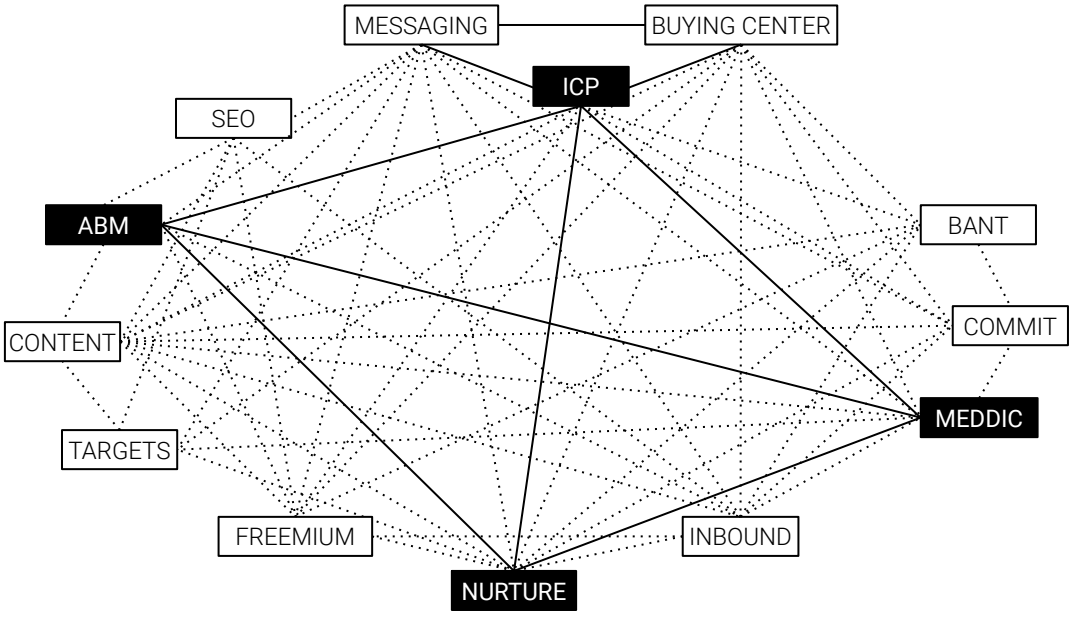
FIGURE 8.2 ***The number of interconnections to gain a mutual commitment from a set of targeted accounts using a high touch GTM motion.***



But it gets worse. Let's look at what happens when we add a new GTM motion in the form of a low touch GTM motion: SEO, Content, Inbound, and Nurturing are added as means while a different method is launched in BANT.

You will notice that the number of interconnections between the different means and methods explodes. It increases complexity as each interface requires more personnel and additional tools and introduces more data.

FIGURE 8.3 ***The root cause of the GTM issue is that the number of interconnections between various means and methods increases exponentially with each additional GTM motions, this causes cost to escalate and productivity to decline.***



Complexity Escalates Cost, Lowers Productivity, and Causes Growth to Decline

Consider that most organizations operate 2 to 3 GTM motions at $30M in revenue, but at $150M in revenue this has grown to as many as a dozen, creating a disarray between departments, functions, and regions. Imagine a business having to respond, rapidly, to changing market conditions. Content must be redeveloped, and new SEO terms must be created based on the latest messaging. Personnel will require retraining, while processes and playbooks require a refresh—essentially, a virtual overhaul of all functions. Without an architected approach, these adaptations lead to disproportionately high costs, a declining productivity per rep, and a drop in revenue growth.

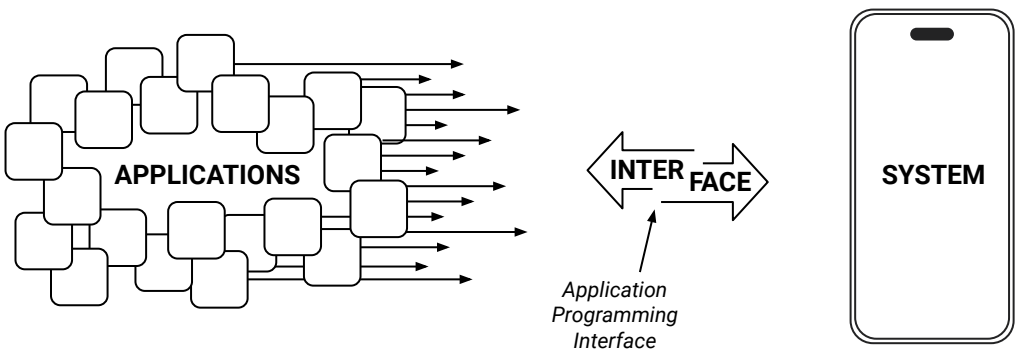
8.1.3 Creating Interoperability

Interoperability across various means and methods throughout the customer journey is essential for subscription or consumption-based businesses. It ensures a consistent customer experience, crucial for building trust and satisfaction. By streamlining operations, Interoperability leads to more efficient and productive transitions throughout the customer journey. It, in turn, promotes renewals, enhances upselling opportunities, and fosters customer advocacy. Additionally, Interoperability plays a vital role in promoting collaboration among personnel, significantly impacting expense management in these organizations. As a result, Interoperability becomes a competitive differentiator for a recurring revenue business.

Use-Case: Interoperability in the Mobile Phone Industry

In the late 1990s, Nokia and Ericsson dominated the mobile phone industry, frequently releasing new models. However, the variety of these models led to compatibility issues with new, complex applications. In contrast, Apple and Google rose to prominence by adopting standardized approaches with their iOS and Android operating systems. This standardization enabled seamless app launches on their platforms, revolutionizing the industry. As a result, Nokia and Ericsson struggled to keep pace with innovation, leading to a decline in market share and consumer loyalty. Apple's and Google's strategies led to millions of Apps, reshaping the mobile phone industry.

FIGURE 8.4 ***The 3 components of an operating system in software.***



Operating Models Are Crucial to Achieve Market Dominance

Today, an Operating System is a foundational platform in the software world, managing various applications and resources. In the business realm, this is mirrored by an Operating Model. Market leaders have leveraged the power of an Operating Model for their success. For instance, Amazon transformed cloud computing and data management with its Amazon Web Services (AWS). Salesforce reshaped the CRM space through its AppExchange, creating a robust ecosystem for business applications. The same is true for Adobe with its Creative Cloud suite. These examples show that many market leaders employ an Operating Model to maintain their competitive edge. This leads to a question: Can an Operating Model be effectively used internally to structure and manage a company's GTM resources to achieve its business objectives?

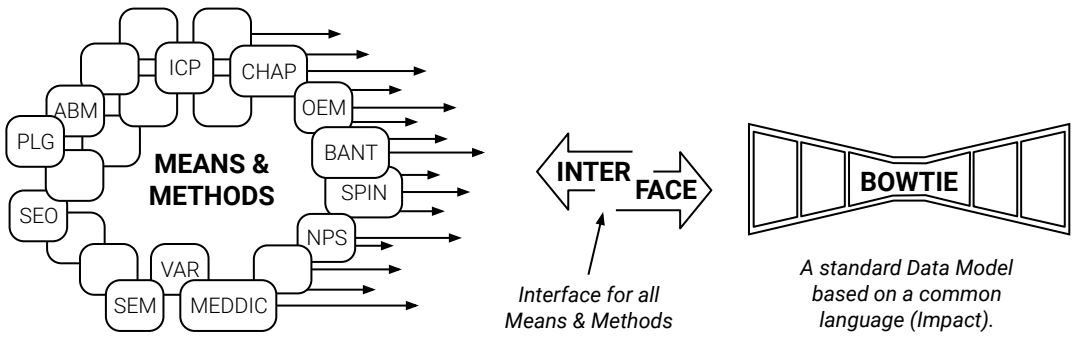
The Three Components of a Uniform Customer-Centric Methodology

By drawing parallels between the concepts of an Operating Model and System, we can formulate a strategic framework that consists of 3 components:

1. The *System* for which we have the Bowtie model (see Chapter 4).
2. The *Apps* are represented by the Means and Methods used in GTM.
3. But what about a *Standardized Interface* akin to the role of an API in Software? How do we recreate that in an Operating Model?

That is what we are going to do next. We will demonstrate how to develop a standardized interface that facilitates interoperability among the myriad of means and methods used in various GTM motions, integrating them into the Bowtie as the central system.

FIGURE 8.5 ***The 3 components of the uniform customer centric methodology.***



8.2 A CUSTOMER-CENTRIC METHODOLOGY

The cornerstone of recurring revenue lies in delivering consistent Impact. When customers experience significant, positive impacts, they tend to renew and expand their commitments, boosting recurring revenue. It demonstrates that Impact is integral to every revenue discussion. But what exactly is Impact? How can it be identified, and what actions should be taken upon recognizing it?

In this chapter, we'll delve into the essence of Impact, examining its origins and influence on economic decisions in the following sections:

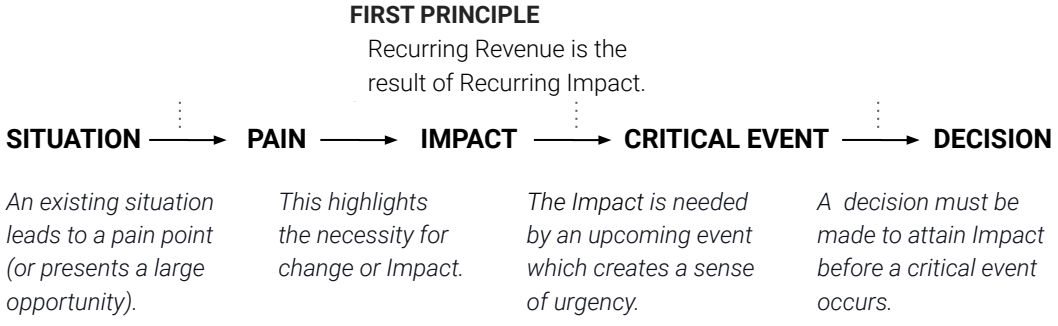
- **Impact:** Everything you need to know about Impact (8.2.1).
- **Situation and Pain:** The drivers behind Impact (8.2.2).
- **Critical Event:** Impact in the context of time (8.2.3).
- **Decision:** How a customers' decisions are influenced by Impact (8.2.4).

By putting Situation, Pain, Impact, Critical Events, and Decision together we get:

- **SPICED:** A standardized approach for recurring revenue (8.2.5)

SPICED operates as a standard interface enabling various methods and means to interact seamlessly. It fosters a common language across departments, enhancing collaboration and easing role transitions. The standardization breaks down barriers between functions caused by incompatible means and methods. All of this is centered on Impact, so let's roll up our sleeves and dive right in.

FIGURE 8.6 ***The relationship between Situation, Pain, Impact, Critical Events and Decision.***



8.2.1 Everything You Need to Know About Impact

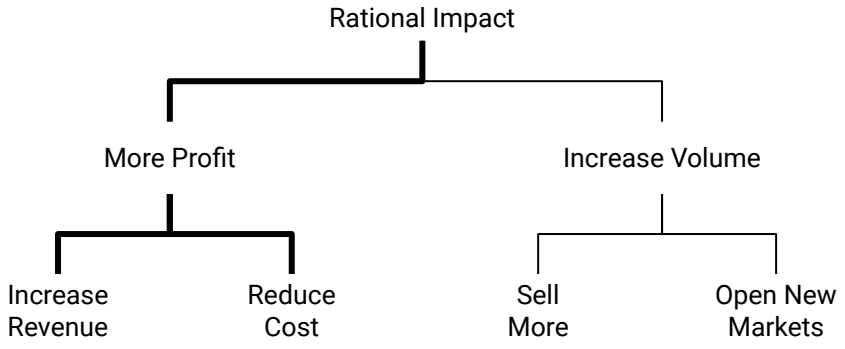
Impact refers to the tangible result that your product or service brings to a customer. The industry has embraced consultative selling over the past decade and transitioned from selling features and benefits to selling solutions. However, to truly excel, we must move beyond solutions and focus on delivering Impact.

Consider an example: ACME offers an exceptional product that consolidates email, social media, and text messages into a single inbox, in real time. The solution is the consolidation of a myriad of communication systems, and one of the Impacts is the time saved. In this, Impact represents what users gain from using the product; it must matter to them. Offering an Impact that does not resonate with the customer will not result in recurring revenue.

The 2 most prevalent forms of Impact are:

- **Increase Revenue:** Companies prioritize business growth and value enhancement, making revenue growth a paramount objective. Products that contribute to revenue growth often experience shorter sales cycles and can be sold at higher prices.
- **Reduce Cost:** Solutions focusing on cost reduction appeal to decision-makers due to their efficiency-driven value proposition. Opting for a cost-reducing solution may seem straightforward, but these solutions can face price competition and make the business reliant on deal volume.

FIGURE 8.7 ***The most common types of Impact are Quantitative, this is called Rational Impact.***



The Discovery of a New Kind of Impact: Emotional Impact

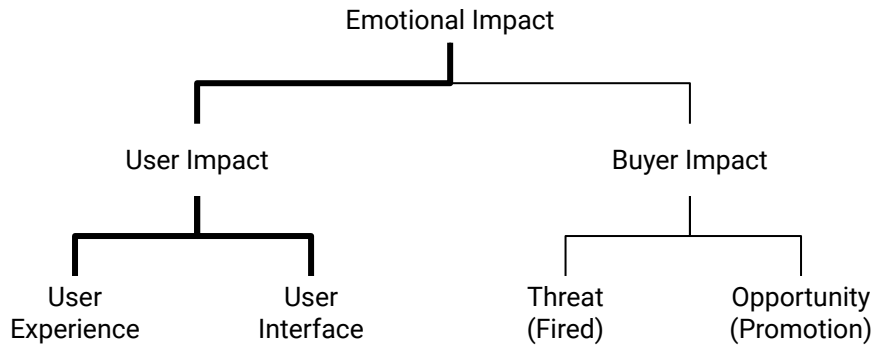
The forms of Impact depicted in the previous figure are quantifiable. They can be measured. These are referred to as Rational Impact. However, there is another Impact dimension of Impact to consider: saving time.

This is where things start to get interesting. Imagine selling a product that, when used effectively, can save 10% of the time spent across multiple teams. It indicates an opportunity for either increasing revenue by utilizing the saved time to sell more or maintaining the same revenue at a lower cost by reducing the headcount. Clearly, saving time generates rational impact.

But what if these time savings not only benefit the company but they extend to the users of the product? What if employees can now perform their job more efficiently, allowing them to leave early on a Friday afternoon and spend time with their loved ones? What if they no longer have to work the entire weekend manually compiling data because this new magical tool handles it effortlessly?

These scenarios point to another benefit, but this benefit goes to the user, not the company. You recognize it when using a product that is so simple to use that it just makes you happy. It makes you want to work with the product more often. Think of some of the apps on your phone; some are so easy and fantastic to use, whereas others are highly complex with many features that cause continuous frustration. This happy feeling you have when working with a product outlines the key to emotional impact.

FIGURE 8.8 ***Emotional impact should be addressed as it plays a critical role in the decision process.***



Three Principles that Govern Emotional Impact

There are 3 principles that will tell us all we need to know about Emotional Impact and that shape the process of how decisions are made:

PRINCIPLE 1

Emotional Impact First Benefits a Person, then the Company

Emotional impact first benefits the person, which increases productivity and improves retention, whereas rational impact first benefits a company and then benefits the person. For example, when your product saves the buyer $1M, the money isn't going to the person first. At least, I hope not. Once it gets to the company, they may return some of it to the employee in the form of a bonus. However, if your product is simple to use, that benefits the person directly. Over the past few years, we have seen this put into practice as users now play a deciding role when purchasing a product, as managers know that adoption will not happen otherwise.

A ubiquitous form of emotional impact is an improved user experience, which can be due to a simplified user interface. Enhancing customer interactions and experiences leads to productivity improvements and is often perceived as a cost-reduction solution. This points to a major challenge, in that different users are likely to experience the product differently. It leads us to the next principle.

PRINCIPLE 2

Emotional Impact Varies by Person

Each person experiences emotional impact differently. Rational impact, on the other hand, is often similar across all those involved in the decision: make more money or lower cost. Figure 8.9 shows a series of meetings conducted over a period, mapped to a 5-stage sales process. The rational impact stays consistent over time, invariably involving some form of ROI, which is based on a combination of revenue increase and cost reduction. Now compare this to the emotional impact on the right. As the opportunity progresses, more people join the process, each with their own take, and their own needs. And most of these people will not voice those takes as they may involve internal politics.

PRINCIPLE 3

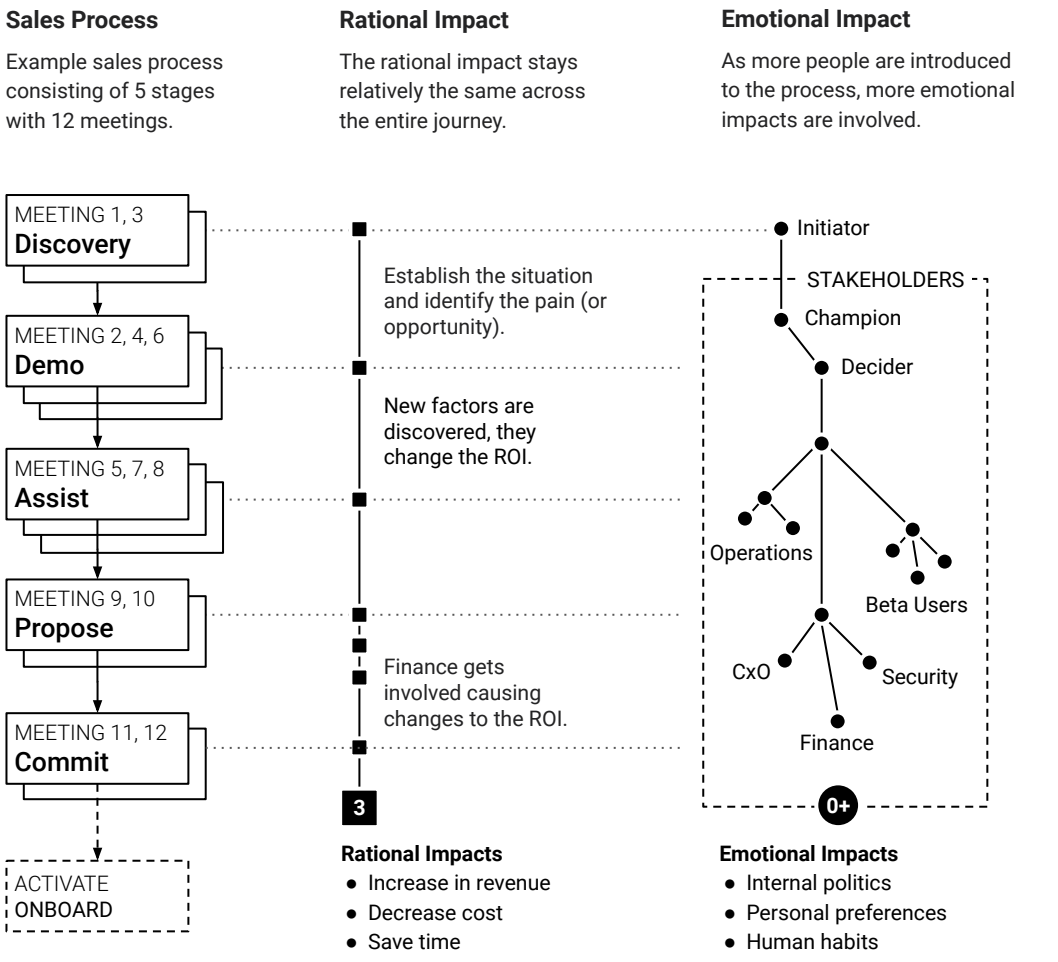
Humans Make Emotional Decisions

Humans tend to make an emotional decision and then justify the decisions with facts and figures. This understanding highlights the significance of product demonstrations, which can make an emotional impact, as they demonstrate how easy a product is to use. This makes the buyer want it for the benefits it offers to them.

This additional dimension of emotional impact, in addition to rational impact helps us understand the difference between an independent user buying an application, and a group of decision-makers in an enterprise buying a platform.

FIGURE 8.9

Purchasing a product in B2B is not just about "saving money." The complexity stems from the involvement of dozens of humans, each wanting something different.



Use Case: Emotional vs. Rational Impact

Let's explore how emotional decisions influence the decision-making process. Within a customer's organization, we identify 2 distinct roles: the Champion, who sees your solution in action (e.g., during a product demo), and the Decider, tasked with addressing a specific problem or opportunity. Both the Champion and the Decider assess your product's rational impact in either solving a problem or seizing an opportunity. The main difference between a Champion and a Decider is that the Decider has the authority to allocate resources to achieve the desired impact within a specific timeframe. Simply put, a Decider has a deadline and a deliverable, while a Champion has neither.

Within this dynamic the seller's role is now twofold: first, to uncover the Decider's rational impact by addressing the Champion's emotional impact, and second, to enable the Champion to sell the rational impact to the Decider(s) internally, so the Decider wants to learn more (referred to as a curiosity gap).

Let's explore how a seller can achieve this through 4 key moments in communication, and how both rational and emotional impact influence the decision-making process.

- **Moment 1:** During a discovery call, the seller combines question-based techniques with a product demonstration to uncover the company's rational needs and the Champion's desired emotional Impact. The seller actively listens for the emotive language used by the Champion, such as "*Creating the dashboards every week is giving me a headache.*"

  This insight lets the sales professional empathize with the Champion and demonstrate how the product leverages AI to generate customized dashboards. By addressing the Champion's needs, the seller builds trust and identifies what the Champion's boss, the Decider, seeks: *"The dashboards are important to you; what is important to your CRO?"*

  In this example, the Champion responds, *"Our chief revenue officer is on the hook to increase revenue within the next 90 days."*

- **Moment 2:** During the follow-up, the sales professional can use the discovered rational needs, stating, "*Based on the data you provided, we can help your CRO increase revenue by approximately $200,000 in the next 90 days.*"
- **Moment 3:** In the subsequent discovery call, the Champion is asked to ensure alignment on the specific rational impact desired by the CRO. In this case, provide the additional revenue within 90 days and ensure the most relevant data are available to demonstrate how the product can help achieve the desired impact.
- **Moment 4:** During the follow-up on-site meeting with a small group of stakeholders, the discussion begins with reviewing their needs and demonstrating how the product can help the Decider achieve the desired impact within 90 days. A closed-ended question such as *"Is this what you were looking for?*" can be used to transition into exploring the impact on their business. As evident, anchoring on the right rational impact that your product can deliver and aligning it with the emotional impact desired by the Decider is paramount.

These 4 moments demonstrate the key role that emotional impact plays, and highlights the need for enablement of the internal buying process.

EQUIPPING THE CHAMPION TO SELL INTERNALLY

The goal is to prevent a situation where an internal Champion approaches the Decider and convinces them to buy the product based solely on its emotional Impact. For example, it has "*fantastic looking dashboards*."

Instead, it is the role of the sales professionals to arm the Champion with guidance and materials that effectively convey the rational Impact that is important to the Decider. For example, they could focus on how to increase revenue in 90 days. This can be as straightforward as a brief write-up accompanied by a recorded demo or a supporting calculation.

The Stickiness of Emotional Impact

While rational impact is crucial for driving customer commitment, it's equally essential to recognize the power of emotional impact in fostering long-term loyalty. Customers quickly become accustomed to rational impact and may overlook the original ROI that initially drove their commitment. For instance, consider an initial sales pitch where your ROI model was based on your solution costing $60,000 annually, consolidating 2 products that together cost $100,000 annually, thus resulting in yearly savings of $40,000.

While this ROI may be impressive initially, its relevance tends to diminish after the first year. As time passes, the buyer is likely to forget about the individual products and their associated costs, focusing solely on your software solution's $60,000 annual price tag. In other words, they become desensitized to the rational impact. This shift in perspective can be felt in conversations around the renewal.

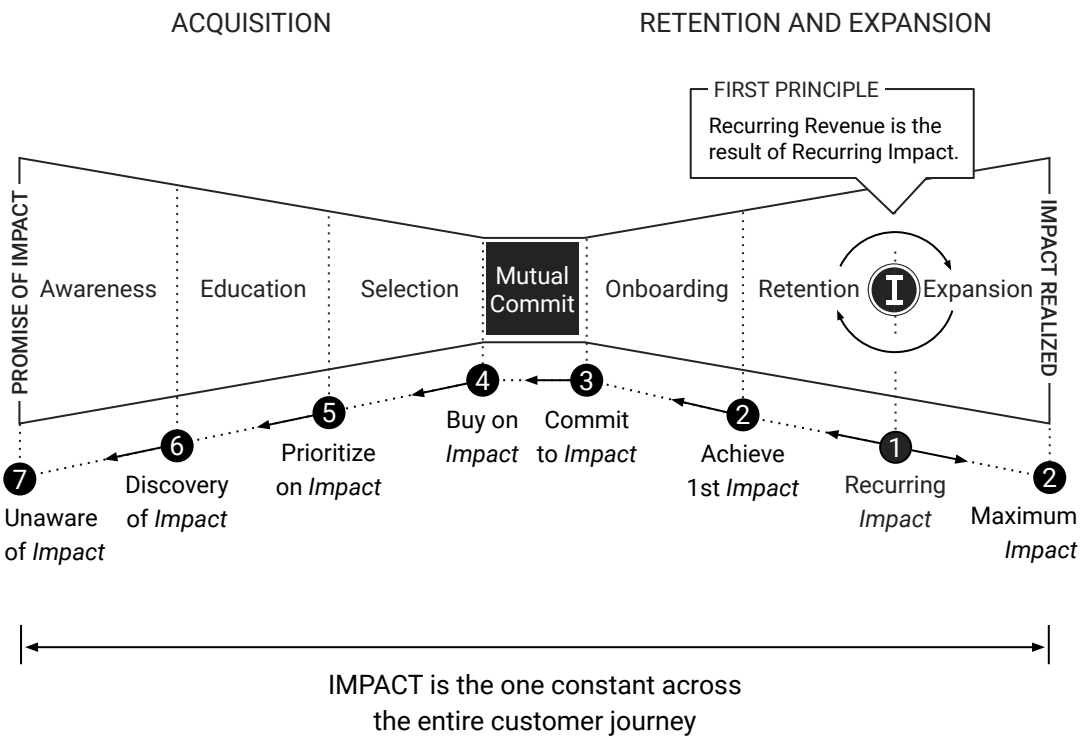
Now, let's consider the emotional impact of that same product. Perhaps it offers simplicity, boasts stunning visuals, and has garnered a devoted user base. The users are likely to revolt if a newly hired CRO decides to shift away from your product.

This scenario is more common than you might think. Why? Because emotional impact adheres to the laws of habit formation. The longer users enjoy your product and develop ingrained habits, the more challenging it becomes to break those habits and switch to an alternative. This can increase resistance and potential turnover, putting long-term relationships at risk. While customers may have initially purchased your product based on its rational impact, the emotional impact makes it stick and fosters ongoing loyalty.

Impact Is the One Constant Across the Customer Journey

As emphasized throughout this book, a subscription-based business, or any business for that matter, must center all of its GTM efforts and organizational structure around consistently delivering recurring impact to the customer. This Impact-centric approach shapes the customer journey, with the pivotal moment of achieving recurring Impact as its anchor, from which the journey cascades upstream and downstream. In contrast, a prospect/lead-based journey follows a cascading path from the top of the sales funnel to a win. This should tell you that if you want to create a common language, it should be based on Impact, and if you want to be based on a uniform methodology, it needs to be centered around Impact.

FIGURE 8.10 ***Impact goes across the entire customer journey, creating a uniform customer-centric language between actions, roles, and functions.***

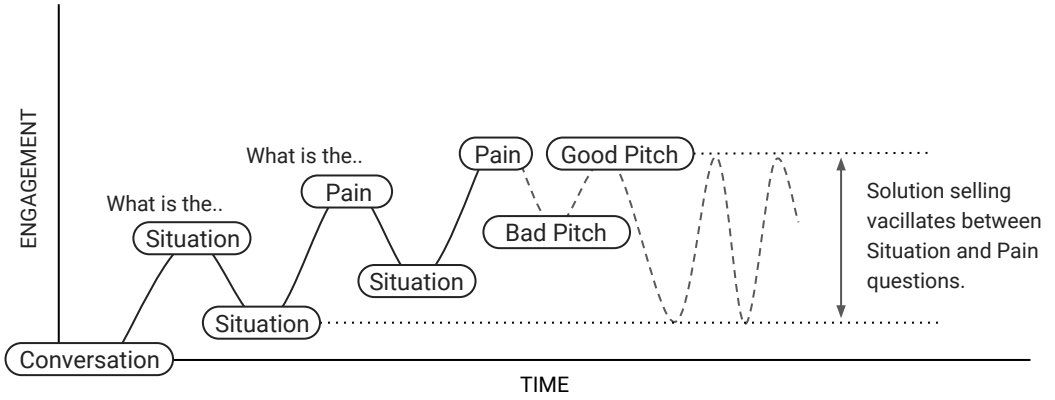


8.2.2 *Situation and Pain as Drivers Behind Impact*

In sales, the ability to uncover Impact is a crucial factor that can make or break a deal. It requires sellers to delve deeper into the customer's world, understand their desired consequences, and align their product or service to deliver the desired Impact. The results of a study conducted by Winning by Design during the first half of 2023 of over 50,000 sales opportunities found that reps who adeptly uncovered Impact during discovery calls and effectively positioned their offerings against the customers' Impact sold, on average, 53% more against the same amount of opportunities. This underscores the importance of uncovering Impact. To illustrate this concept let's consider solution selling (see Figure 8.11).

In this approach, a product is pitched following an initial diagnosis. It starts with a *Conversation*, gradually increasing customer engagement through thoughtful *Situational* and *Pain* questions. This is followed by a *Pitch*, an effective pitch boosts customer engagement, while a lengthy or irrelevant one sees the client tune out. It's important to avoid overwhelming the customer with too many situational questions. Instead, GTM reps should strive for a balanced approach, combining their research with 2 to 3 *Situational* questions leading to 1 or 2 relevant *Pain* questions. It is common for Solution selling to pitch several features and benefits that the solutions offer.

FIGURE 8.11 ***Solution selling is about pitching a product against the customer's Situation and Pain.***

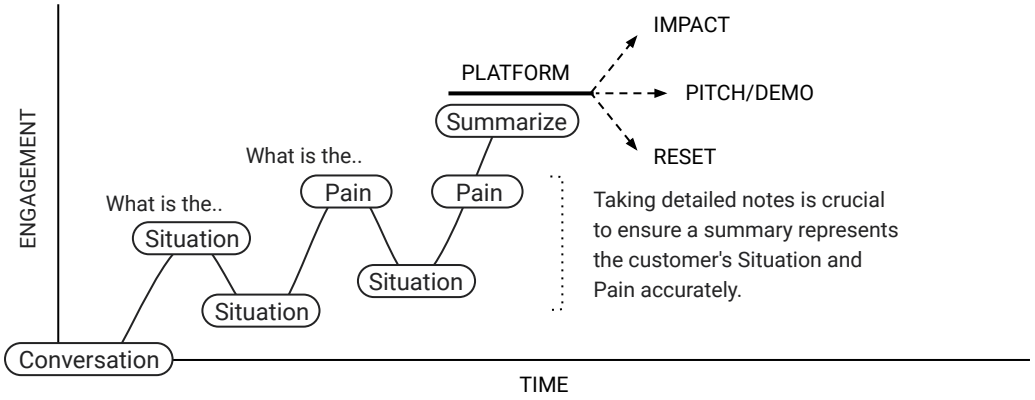


What we are going to do is insert a summary before pitching (see Figure 8.12). It requires the GTM rep to take careful notes during the diagnosis and ask for confirmation after presenting the summary. The customer will either confirm the accuracy with a response like, "*You got it right*," or they will provide more details. Again, a recap should follow this. It's critical for a GTM rep to ensure alignment with the customer, creating a platform that offers 3 options:

- **Reset the Conversation:** If the GTM rep's summary does not align with the customer's perspective, or if the conversation veers off course, the GTM rep can reset the diagnose by asking new situational and pain questions.
- **Pitch or Demo:** Some customers, eager for concrete details, may prefer a straightforward pitch, better yet a demonstration of the product. This can include features and benefits that set a solution apart. When executed well, this can offer remarkable clarity and increase the deal velocity.
- **Uncover the Recurring Impact:** Lastly, the summary can act as a springboard for identifying Recurring Impact. This shifts the conversation from a solution-based approach to a consultative-based approach.

Recognizing the significance of Impact, we will explore how to uncover the recurring impact a client seeks, escalating to a consultative approach. These skills are not only crucial during client Acquisition, but equally important across the entire customer journey, in particular during Retention and Expansion.

FIGURE 8.12 ***A summary following a diagnosis establishes a platform offering multiple options.***



A common mistake among untrained GTM reps is diagnosing problems solely against their product's capabilities, leaving customers feeling pressured into a sale. To avoid this happens, GTM reps should emphasize preparation, active listening, and diligent note-taking. These practices are key to summarizing the customer's objectives accurately, and pinpointing the specific (Recurring) Impact the client seeks.

Uncovering Recurring Impact

After establishing a platform through effective discovery, elevate the conversation in 3 simple steps to uncover the Impact (see Figure 8.12):

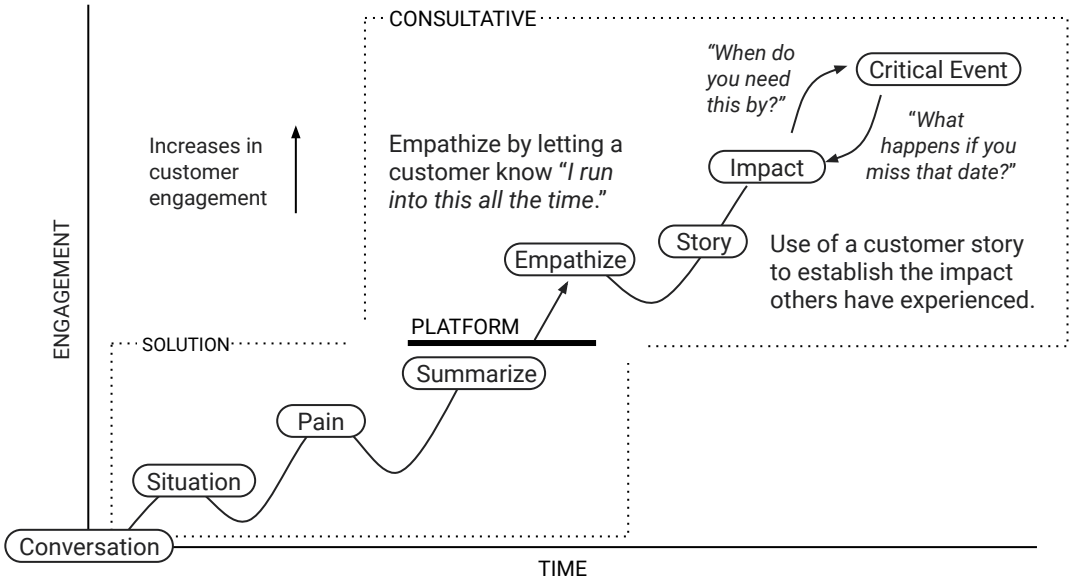
Step 1. Empathize

Step 2. Share a relevant story

Step 3. Uncover Impact

Empathizing with the customer's situation, sharing a relevant story, and showcasing the impact achieved by others helps build trust. This approach develops trust, you have seen this before, and enables you to understand and explore the specific Impact the customer seeks.

FIGURE 8.13 ***The summary sets up a platform, shifting from a solution-based pitch to a consultative approach that uncovers the impact.***



STEP 1.

EMPATHIZE

Empathy signals that you have been there before building trust. Think of a scenario where you asked a waiter for advice on what wine to drink:

Group: "*Most guests enjoy a white wine with the halibut.*"

Expert: "*The chef recommends a white wine with the halibut.*"

Personal: "*I had that earlier today, and I really enjoyed a white wine with it.*"

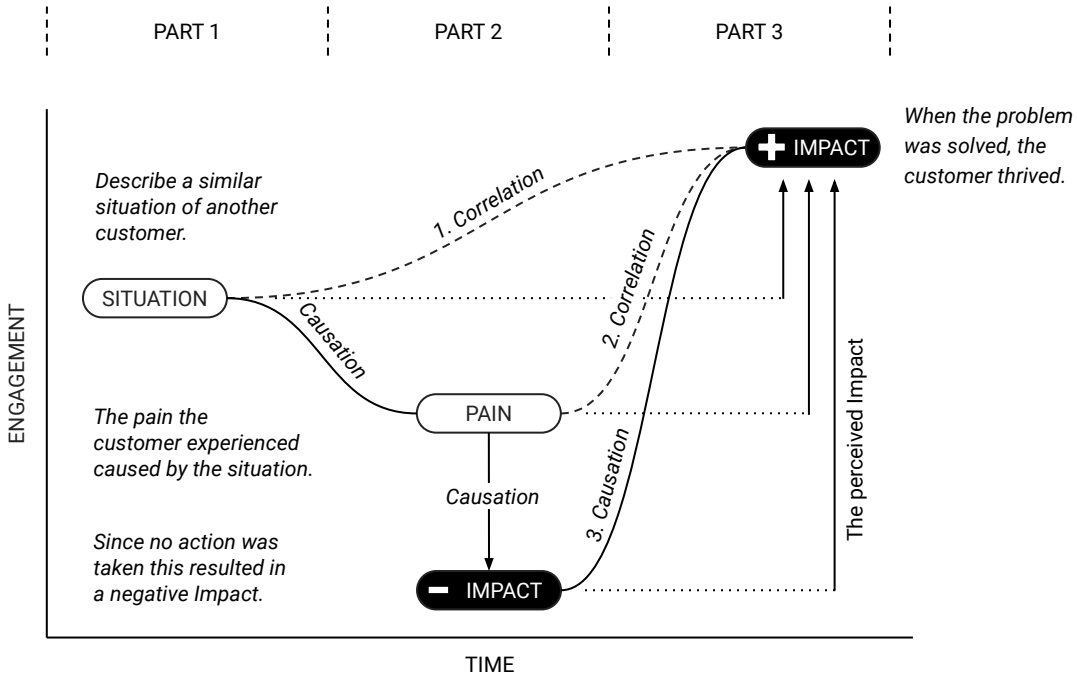
Each of these invokes a sense of empathy for the decision you are about to make, developing a sense of trust that comes from having been in this situation before.

STEP 2.

SHARE A RELEVANT STORY

In the framework of uncovering the Impact, you see that "story" is depicted in a key area with the intent to help establish Impact. Here is how this works: every great story follows one of the few well-defined frameworks for stories. In the world of storytelling, it is not called a framework but an arc. In this case, we follow the arc of a story called "Man in the Hole" by Kurt Vonnegut.

FIGURE 8.14 ***"Man in the Hole" by Kurt Vonnegut using Situation, Pain, and Impact to create a repeatable customer story in 3 parts.***



This story's arc allows us to explain a customer's challenges and describe the negative Impact they experienced (the falling) as if they kept digging the hole deeper and deeper by not taking action. Once they took action, they got out of the hole and experienced a positive Impact. For this to work, we will lay the SPICED framework on top of it, which takes the customer down the rollercoaster of emotions before getting to the resolution.

- **Part 1:** The Situation makes it relevant to them.
- **Part 2:** Not just the Pain but particularly the description of the negative Impact of not solving the problem (no action), or solving it incorrectly.
- **Part 3:** Present the positive Impact the solution has had on the person (emotional) and the company (rational).

The lows are intended to make the highs feel higher, which, according to Vonnegut, make a story more memorable. Using SPICED, the marketing team can now use the Man in the Hole arc to codify their stories so all GTM reps can more easily share them.

ROCKY BALBOA: UNPACKING THE MAN IN THE HOLE STORY ARC

The film *Rocky* is a classic example of the Man in the Hole narrative.

- **Part 1 (S).** Sylvester Stallone stars as Rocky Balboa, a debt-collecting boxer whose passion for the sport doesn't match his unfulfilled life.
- **Part 2 (P).** When he faces Apollo Creed, Rocky is outmatched but undeterred, enduring a punishing bout that brings him to his lowest point.
- **Part 3 (I).** Despite not clinching victory, Rocky's unwavering spirit earns him respect and admiration, transforming him into an icon of resilience and hope.

His ascent from hardship to the brink of success epitomizes the inspiring power of perseverance inherent in the Man in the Hole narrative.

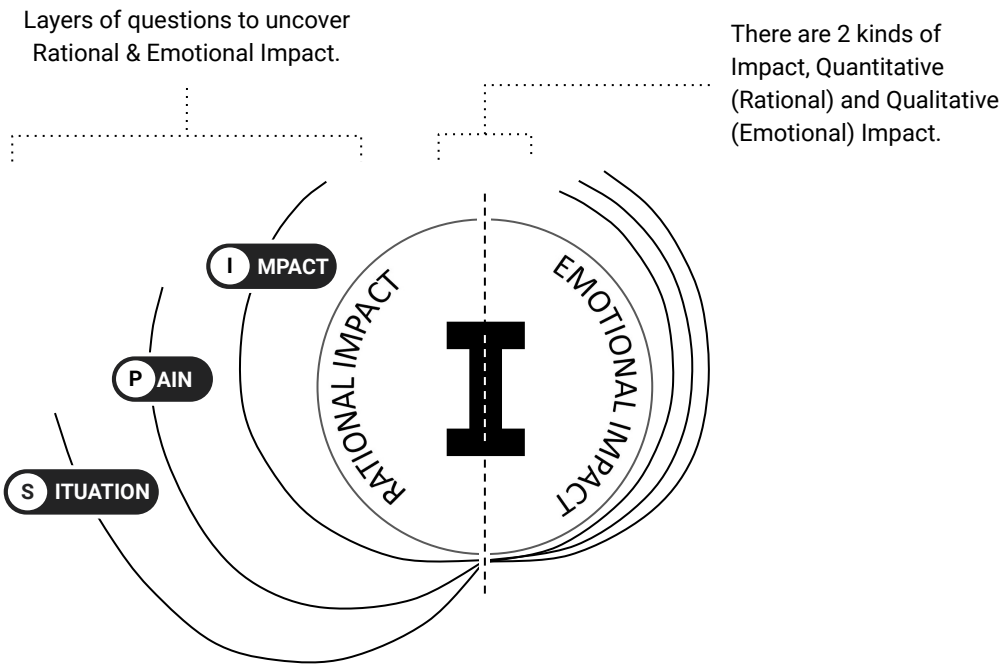
STEP 3.

UNCOVER IMPACT

Imagine finding a gold coin on the beach. You'd likely pick it up, examine it, and consider yourself lucky. But the real opportunity lies in grabbing a shovel and starting to dig.

Many sales professionals stop asking questions once they've identified a client's pain, instinctively mapping it to their solution and beginning their pitch. However, identifying a client's pain is merely scratching the surface. The real treasure—Impact—is often buried deep, but how do we get to it?

FIGURE 8.15 ***To uncover Impact is like peeling back layers of an onion, one at a time.***



Peeling the Onion One Layer at a Time

Think of Impact as the core of an onion, encased by superficial layers that represent a customer's Situation and Pain. Your task is to peel these layers back, one by one. Use the insights gained from each layer to inform your next question, continually digging deeper until you reach the Impact.

It's a journey, so be patient; unearthing all the Impact goals your client may have could take between 3 and 7 questions. This is referred to as question based sales techniques, the most notable one is referred to as SPIN Selling™.

You might wonder, why not just ask directly? Counterintuitively, this approach risks backfiring. The customer might give you an answer, but it could mislead you. Worse, they might get annoyed at having to articulate their thoughts. More importantly, this layer-by-layer approach not only helps you discover the true Impact but also gives you a deeper understanding of the driving forces behind a client's decision-making.

Structure of a Discovery Sequence

The key to success lies in your expertise and using your customer's own words to frame your questions. Here's a basic formula to structure your discovery sequence:

1. Start with 2 to 3 situational questions, drawing on prior research or context provided earlier in the conversation. Overdo it, and the customer may feel interrogated.
2. Follow up with 1 or 2 pain questions. If the customer starts to vent, take notes and ask them to prioritize their issues. Be mindful of body language and avoid harping on the pain, as it can make the interaction uncomfortably intense.
3. Conclude with a few pointed Impact questions.

Here are a few examples that can help you uncover impact once you have established empathy:

- *What Impact does solving the problem have on your team?*
- *What effect will that have on customer satisfaction?*
- *What happened the last time a big challenge wasn't addressed in time?*
- *How important is solving this issue to you?*

Now that we've delved into how to uncover the Impact, our next stop is understanding how this Impact evolves over time.

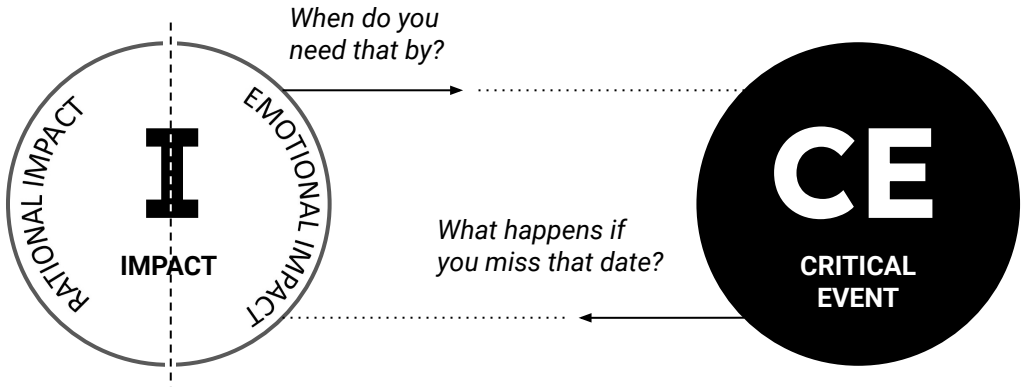
8.2.3 Critical Event

A Critical Event is a specific deadline or milestone within the client's journey that significantly impacts their decision-making process. It is a time-sensitive event or circumstance that creates a sense of urgency for the client to take action. The Critical Event can vary depending on the nature of the business and the specific situation. Still, it often involves a pressing need for Impact, a problem that requires immediate attention, or an opportunity that must be seized within a defined timeframe.

A Critical Event serves as a catalyst for the customer to decide whether to implement a solution, renew a contract, or expand their engagement. Not confined to a specific date, it can also be a flexible milestone, like the end of a funding round or reaching a user milestone such as surpassing a million users.

To identify a Critical Event, one should determine its impact by asking, "*When do you need this by?*" and follow up with "*What happens if you miss that date?*" If there's hesitation from the customer, the urgency of the event may not be as critical. The presence of a Critical Event indicates the customer's prioritization of the problem/opportunity. This also points to there being a relationship between the Impact and a Critical Event.

FIGURE 8.16 ***Impact and Critical Events are interconnected, and they occur not only during acquisition but also in retention and expansion phases.***



A Compelling Event vs. A Critical Event

There is a difference between a *Compelling* and a *Critical* Event. A Compelling Event is something that motivates action, often due to a positive opportunity or benefit. It's like a carrot enticing a client forward. For example, a new technology that could boost productivity is a Compelling Event for adopting it. In contrast, a Critical Event is driven by a sense of urgency, usually because of potential negative outcomes or risks. It's more like a stick urging quick action to avoid harm. For instance, outdated software posing security risks is a Critical Event.

There is a direct relationship between Impact and a Critical Event. When you identify either a significant Impact (like a potential loss) or a Critical Event (like a looming deadline), you can often infer the other. For example, uncovering a risk (Impact) may point to a regulatory compliance deadline (Critical Event), and vice versa.

Understanding these events is crucial in SaaS, as it helps in prioritizing actions and decisions, both for you as a provider and for your clients. It's about identifying what drives a customer's decision—the allure of benefit or the need to avoid detriment.

Why Do so many Organizations Get Critical Events Wrong?

We have found that most GTM teams are ill-prepared to discuss the events that cause a customer to commit. This leads to issues across the board: the lead generation team generates the wrong leads, the sales team consistently misses the forecast, and the customer success team sees a decline in revenue retention. All of these challenges can be attributed to several key issues related to Critical Events:

- ***Firstly***, the GTM team often fails to engage in meaningful discussions about Critical Events. When customers provide information about a specific deadline, the GTM team members often fail to probe further by asking questions like, "*Earlier, you mentioned you needed this product by August 22. What's happening on that date?*" This lack of exploration prevents a deeper understanding of the customer's sense of urgency.

- ***Secondly***, the GTM team commonly confuses a Compelling Event with a Critical Event. For example, a renewal date really is a Compelling Event, as most software services do not immediately switch off if the renewal lapses.
- ***Lastly***, it's essential to recognize that what may be a Critical Event for the Decider (e.g., the fear of getting fired) may be viewed as a Compelling Event for the stakeholder team. While a Critical Event prompts immediate action for the Decider, the stakeholder team may not see it as an immediate problem-solving opportunity.

What we can learn from this is that a Critical and a Compelling Event are forms of priority, and that it is a function of time:

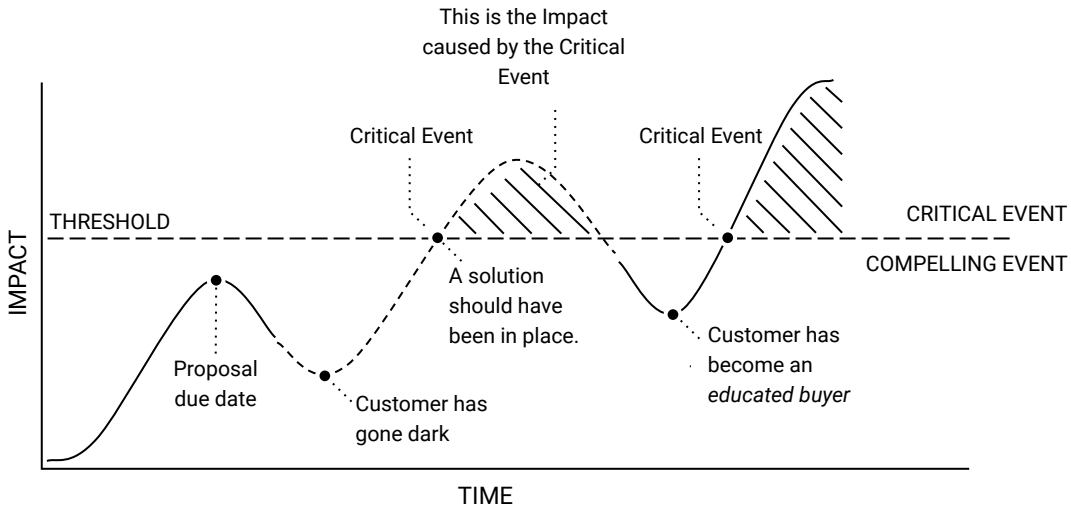
FORMULA 8-1

$$Priority = Impact\ (Time)$$

This allows us to graph Priority on an XY chart, with Time (X-axis) versus Impact (Y-axis). When a priority crosses a certain threshold, it transforms a Compelling Event into a Critical one. This creates a characteristic unique to SaaS in that the customer's priority fluctuates over time. This is in stark contrast with budget and ROI, which remain relatively stable over extended periods.

FIGURE 8.17

Priority is depicted as a function of fluctuating impact over time, a concept teams may not be accustomed to handling—especially in contrast to static measures such as budget availability or a fixed RoI commonly used in perpetual software sales.



A typical purchasing scenario involves a proposal deadline, which, while critical for the seller, maybe just a Compelling Event for the buyer with no immediate impact if missed. However, if the seller fails to meet this deadline, they risk disqualification; to the seller, it is a Critical Event.

After the proposal is submitted, the customer goes dark, leading the GTM team to believe that the deal is lost, the project is delayed, or worse, canceled. Meanwhile, the buyer, lacking a timely solution, might experience a critical event, such as a security breach, leading to significant negative consequences. Recovering from this, the buyer re-enters the bidding process. Still, this time, the customer has experienced a lack of Impact or negative Impact, and with a renewed sense of urgency, they activate their security solution of choice.

Key insights from this scenario include:

- **Priority is dynamic:** The GTM team evolves from clear deadlines and meetings to no communication, illustrating the need to continuously gauge the customer's position and progression in the buying timeline.
- **“Going dark” implies a compelling event:** An absence of communication does not necessarily mean a lost deal or renewal. It merely prompts the GTM team to reassess the Impact presence of a Critical Event.
- **Recognizing an educated buyer:** GTM reps should discern whether the customer has previously dealt with similar decisions and impacts, perhaps in a former role early on in the process. It takes a qualified resource, or educated buyer, to disqualify from the process.
- **Differentiating retention strategies:** Navigating customers through the stages differs from perpetual software sales, focusing on prioritization rather than budget or ROI. For example GTM teams must excel in developing strategies like a Critical Event Timeline (CET) to identify and act on time-sensitive decision drivers.

This example highlights the nuances unique to recurring revenue models, where the level of priority can change significantly and rapidly, a concept often unfamiliar to many GTM organizations.

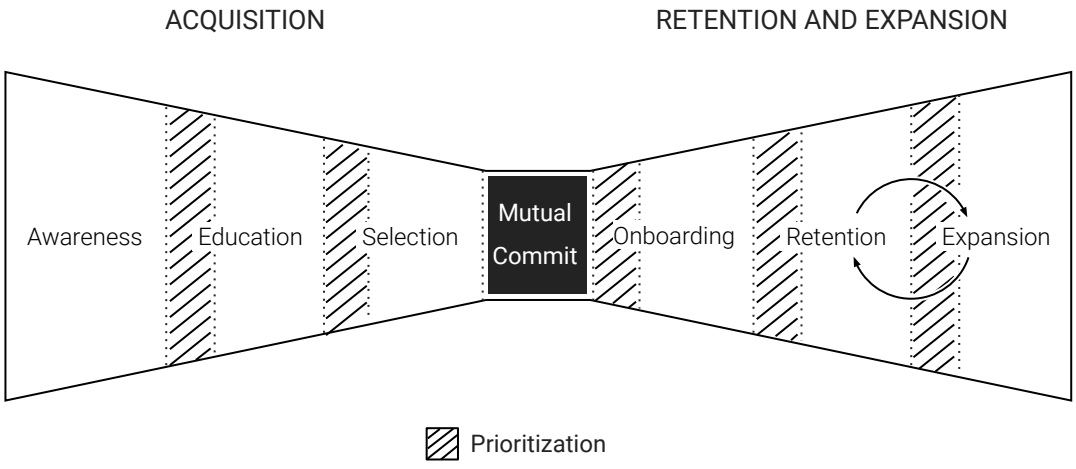
There Are Different Priority Levels

Priority levels can be categorized as follows:

- **Level 4. Business as Usual:** Routine day-to-day operations with no significant opportunities or threats present; the product is a "nice-to-have."
- **Level 3. Compelling Event:** An opportunity that can provide value to the business. It's important but not yet urgent. It generally has no clear deadline or window of opportunity.
- **Level 2. Critical Event**: A situation demanding immediate action to avoid negative impacts. This can be the risk of loss or a significant problem that can damage a business if not addressed quickly.
- **Level 1. Mandatory Event**: Involves critical deadlines or essential requirements, like regulatory compliance, with severe consequences for non-compliance, such as legal penalties or critical system failures.

Prioritization is not a one-time task; the more resources a customer consumes, the higher the costs become (CAC and CTS), necessitating more frequent reassessment. Although rare, in a healthy business, this may involve the firing of a customer due to the disproportionate amount of resources they consume.

FIGURE 8.18 ***Prioritization of the account is crucial throughout the entire customer journey to make sure the customer gets the best amount of resources in context of their spend.***



A Critical Event Timeline

A Critical Event Timeline (CET) refers to the sequence of time-bound events or milestones crucial in a customer's decision-making process. It comes from deep Enterprise sales techniques, where it was developed by Daniel J. Adams when selling Ariba Software. The timeline outlines the specific deadlines and significant moments that impact the customer's purchasing or decision-making journey.

The goal of the CET is to help identify the time-sensitive factors that create a sense of urgency for the customer. It may include key dates such as proposal deadlines, contract renewal dates, project milestones, or other time-critical events influencing the customer's decision. By mapping out the Critical Event Timeline, the buyer and the seller can better understand the time constraints and prioritize their actions and strategies accordingly.

TABLE 8.1 ***Critical Event Timeline - reverse order - starting with customer Impact.***

Event	Date	Activity
First Impact	October 12	The annual company all-hands meeting
Deployment and Testing	September 29	Installation, training, and testing
Mutual Commitment	September 15	Executed paperwork
Legal Review	September 1	The draft contract goes into legal review
Scope Sign-off	August 22	Stakeholder agreement on the scope

A Critical Event Timeline highlights key activities needed to achieve the first Impact. It allows the GTM team to plan and align their efforts to meet the customer's needs within the specified timeframe. It ensures that the necessary actions are taken at the right time to support the customer's decision-making process and maximize the chances of success.

The Critical Event Timeline has a few characteristics:

- **It anchors itself to the day the customer gets what they want,** which is Impact, rather than the date the seller gets what they wish, which is an executed contract signed.
- **It starts with the most important deliverable,** achieve first Impact, and then works backward.
- **It stays focused on a handful of tasks.** The Critical Event Timeline is confirmed with a short, stand-alone email that affirms the dates. This message is likely going to be needed later, in case the event gets delayed.

In summary, understanding the Critical Event Timeline is crucial for managing the time-sensitive factors influencing customer decision-making. GTM teams can use this timeline to strategically plan their actions, ensuring alignment with the customer's decision-making process.

8.2.4 The Decision

The decision involves the following parts which we are going to delve into next:

- **Part 1.** The *Buying Center*
- **Part 2.** The *Decision-Making Process*
- **Part 3.** The *Decision Criteria*

The decision is directly connected to what we learned in the previous paragraphs about the Situation (S), Pain (P), Impact (I), and Critical Event (CE).

We will link back to these elements, creating clarity how decisions are made, and how organizations can structure their GTM efforts.

Part 1.

The Buying Center

In the B2B context, purchase, renewal, or expansion decisions are rarely made by a single person who also ends up being the sole user of the product. Research shows that as many as 20 people can be involved from the buyer's side. These individuals collectively form what is known as the buying center. The buying center comprises a group of individuals within an organization who are involved in the decision-making process for acquiring, retaining, or expanding products or services. A buyer center is a methodology that allows organizations to operate independently of job titles and instead focuses on the roles played by stakeholders, such as Initiators, Champions, and Deciders.

TABLE 8.2 ***A description of the 9 roles that exist within the buying center.***

Role*	**Description****
Initiators	The ones who first suggest or initiate the contact (S, P).
Users	Individuals who will directly use the product or service (S, P, I).
Champions	An advocate within the organization who helps the seller (S, P, I).
Deciders	Members who make the final purchasing decision (I, CE).
Gatekeepers	Those who controls (vetoes) the decision process (I, CE).
Influencers	People who provide information or criteria for evaluating options (I, CE).
Executive Buyer	The person responsible to realize the impact (I, CE, D).
Approvers	Individuals who authorize the proposed actions of deciders or buyers (I, D).
Purchaser	The member who handles the actual procurement process (I, D).

*These roles can overlap, and one person can fulfill multiple roles, especially in smaller organizations.
**The element of a diagnosis most relevant to the role (Situation, Pain, Impact, Critical Event, and Decision).

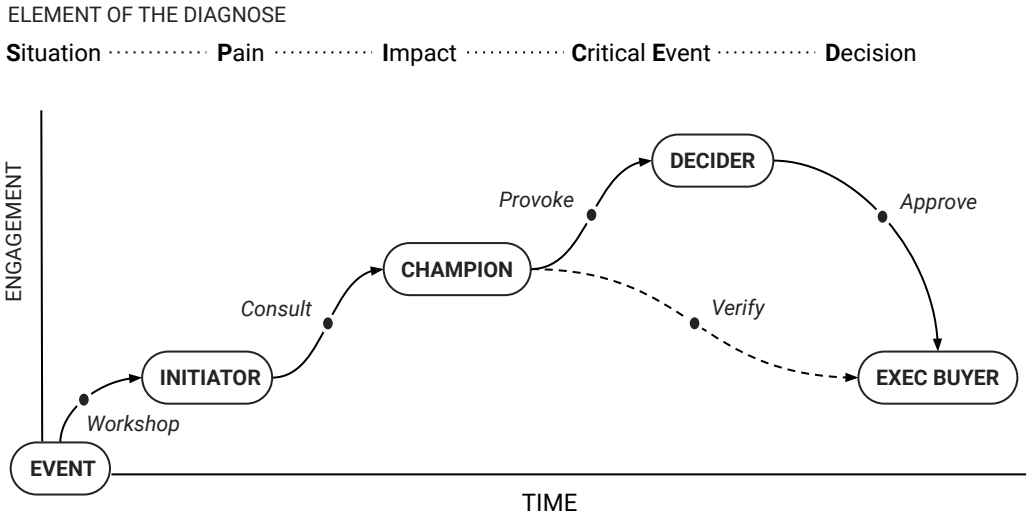
The buying center as a whole functions as a collective decision-making unit, responsible for evaluating options, conducting research, assessing solutions, and ultimately making purchase decisions. Each buying center member plays a specific role in influencing the decision-making process, with different priorities, criteria, and concerns. These roles can change over time.

Part 2.

The Decision-Making Process

The decision-making process has 2 dimensions to which the various roles of the process are mapped in the right sequence. We then overlay the framework we just discussed (Situation, Pain, Impact, Critical Event, and Decision). This gives us an idea how decisions are made.

FIGURE 8.19 ***A decision process for a mid-touch GTM motion involving 4 different roles.***



Using the above as an example, the decision-making process starts with an Initiator, who understands their company's current Situation and Pain and discovers a potential solution at an online event. The solution is then introduced to a Champion.

The Champion evaluates the product's capacity to deliver the desired Impact, typically through a discovery or demonstration call. In this call, the Champion's focus is to ascertain whether the solution can attain the Impact the company seeks. If the solution is deemed viable, the Champion brings a Decider into the conversation.

The Decider, who holds the authority to allocate resources, aligns the solution with the company's Impact needs *within a specific timeframe*. If missing this timeframe would result in adverse consequences, it is labeled a Critical Event; otherwise, it is a Compelling Event.

The Decider, with both resources and a deadline, will likely consult with a broader team before making a final recommendation. It is common for GTM professionals to believe they are talking to a decision maker, while they are working with a Champion. Thut it is important to note that the role of the Decider role differs from the Champion's in that the Decider has access to the needed resources and has a delivery date to hit.

The Executive Buyer manages the allocation of resources to achieve the company's objectives. Unlike the Decider, the Executive Buyer's role extend to a corporate level, for example, they ensure adherence to a fair procurement process, the selection of long-term strategic partners, and they aid in finalizing the legal part of the contract and streamlining the procurement process.

To effectively navigate the decision-making process across all these roles, GTM professionals must have a deep understanding of the responsibilities and perspectives of each role. Therefore, it is crucial for them to build relationships and understand the Impact each role seeks. This requires mastery in active listening and effective communication (see Annex G). Gaining a deep understanding of the Impact a customer wants, and when, allows them to engage effectively with the different roles within the buying center.

A More Complex Deal Has a More Complex Buying Center

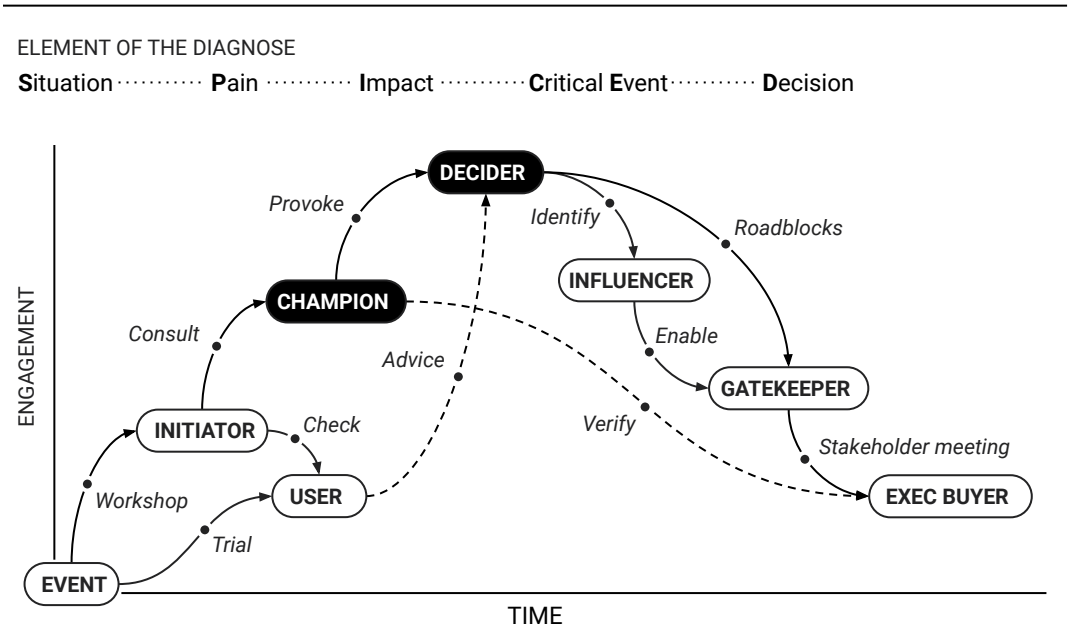
As the business grows, so does the complexity of the decision processes. The decision process gains complexity as more people are mapped to each role and as more roles are introduced. The buying center increases from 4 to 7 roles by adding the roles of *Users*, *Influencers*, and *Gatekeepers*. Let's break down these roles.

Gatekeepers can act as barriers to the purchasing decision. They possess authority but not the power to decide; they exert control by managing the flow of information to various members of the buying center or team. In this capacity, they hold significant influence over the decision by regulating the dissemination of pertinent information.

Influencers contribute to formulating and determining the specifications of the product or service. They evaluate potential suppliers and recommend the ones that best satisfy specific needs. Their input carries weight in the decision-making process.

Users are the individuals who use the product or service. While they may not always be directly involved in the buying process, their feedback and product performance evaluation are critical in the overall decision-making. In recent years users have risen in prominence. They have the ear of the decider through which they can sway a decision.

FIGURE 8.20 ***A more complex and realistic decision process involving 7 different roles within the buying center.***



The complexity of the decision process can further increase when customers seek large and complex B2B deals involving the replacement of entire systems, such as ERP or CRM replacements. In such a scenario, multiple buying centers may exist throughout the company. Each buying center can be seen as a separate hurdle that needs to be overcome. Additionally, there may be competition among these buying centers, where approval from one buying center may pose a challenge when dealing with the next. By using sentiment for each role, we get an idea of where we stand with the decision process.

Part 3.

The Decision Criteria

When it comes to subscription-based products, the decision-making process differs from that of traditional perpetual products. Unlike conventional products, where budget and return on investment are key factors, subscription products face a different challenge. Most buyers have the financial means to afford a subscription-based service, and the subscription model inherently offers a 10x ROI. This holds true for the vast array of 35,000+ subscription products available.

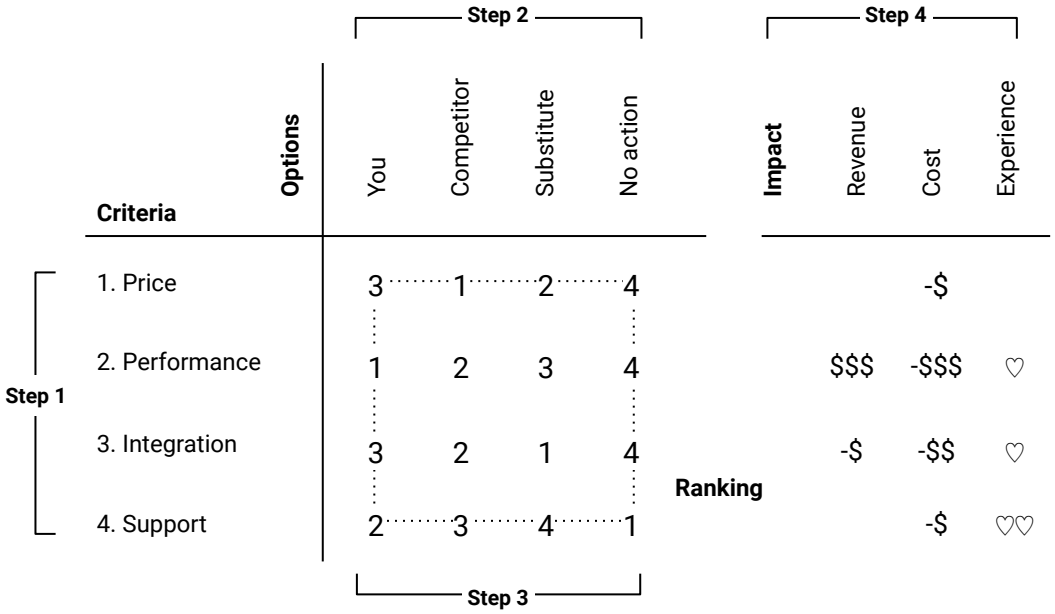
The real challenge for subscription-based products lies in the intense competition they face. With dozens of products vying for the same budget, and hundreds of alternative products that can deliver the same, if not a better ROI, while fitting within the buyer's budget. This leaves buyers wondering whether they genuinely need the product, and need it now. It is crucial for sellers and account managers (AMs), to help customers prioritize their spending by showcasing the unique and lasting Impact that the product can deliver over time. Most buyers follow an arbitrary decision-making process that involves the following steps:

- **Step 1:** Based on a series of discovery calls with various stakeholders across the company, determine the decision criteria.
- **Step 2:** Identify various options to address these decision criteria, such as competitors and substitutes. No action (indecision) is commonly seen as an option.
- **Step 3:** Establish the ranking of each option based on the decision criteria through research, including factors like execution capabilities, analyst reports, or customer feedback from public review sites.

Following this process, buyers often prioritize price as a key criterion, which can result in a price competitor prevailing over you. When the decision involves multiple decision-makers, a weighted ranking is applied to justify the purchasing decision.

Unlike buyers of perpetual software solutions, those opting for subscription services expect near-immediate results, e.g., instant Impact. Consequently, the magnitude of this Impact and its timing have become dominant factors in the decision-making process. This shift requires an additional step: determining the Impact of each criterion (see Figure 8.21).

FIGURE 8.21 ***Historically, decision criteria were stack-ranked and weighted, giving an academic facade to the decision-making process. However, this often masked the subjectivity of the decision. In contrast, using Impact as a criterion shifts the decision towards causality. This allows at a later date, to see if the promised Impact was achieved.***



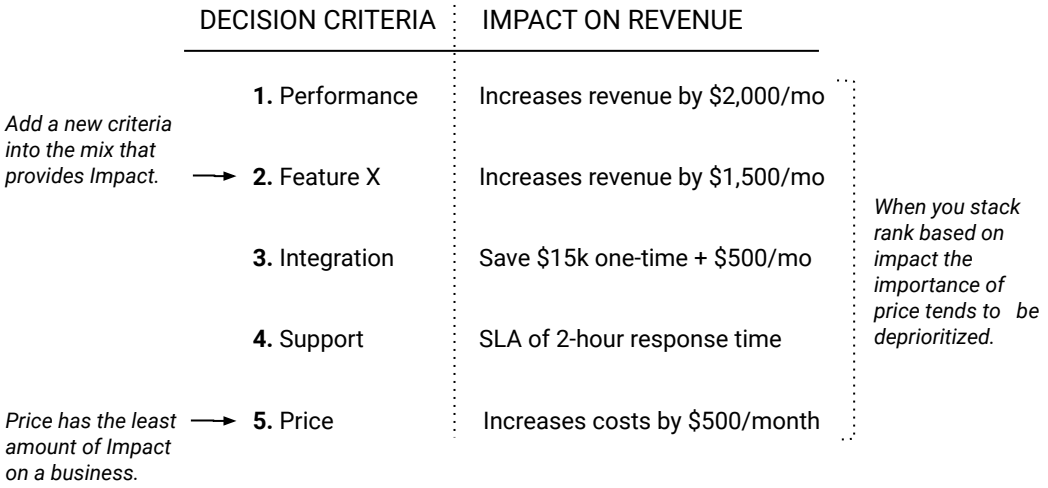
- **Step 4:** Determine the Impact of each criterion. To assist your clients in making the right selection, it is crucial to help them understand and demonstrate the Impact each decision criterion has on their business. This includes considerations such as revenue increase, cost reduction, and improvements in the user experience.

In a customer-centric world we have to embrace the paradigm that a well-educated customer generally ends up making the right decision. This means that we should focus on educating them accordingly.

Educated buyers can assess the Impact of each criterion and make informed decisions based on the overall value it brings to their business rather than solely focusing on price. As a sales professional, you may need to guide customers in identifying and evaluating their decision criteria. It is the responsibility of the GTM team to help a customer uncover the true Impact of each criterion.

In the example shown in Figure 8.22, the stack ranking is rearranged compared to the weighted ranking presented in Figure 8.21, by evaluating the potential effects on revenue and cost reduction, among other factors.

FIGURE 8.22 ***By calculating the Impact of each criterion a new stack rack develops with the most impactful impact likely being ranked the highest.***



In analyzing the decision criteria, the increase in Performance is shown as the largest contributor adding $24,000 in revenue per year. The Feature X unique to this product bolstered revenue by another $18,000 per year. The Integration also proved significant, offering a savings of $6,000/year and a noteworthy one-time saving of $15,000. Although Support is vital, it didn't present a direct financial impact and was thus considered neutral in the financial assessment.

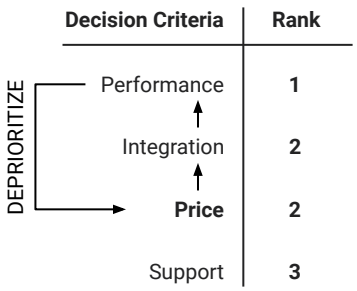
The calculated annual financial gain, accounting for both revenue increases and cost reductions, totals $42,000. Over a 5-year span, including the one-time savings from Integration, the cumulative financial gain reaches $225,000.

Reprioritizing the Decision Criteria

You can help your customer show Impact by increasing revenue, reducing costs, and improving customer experience (simple dashboards) and customer interaction (fewer clicks to get work done). This allows you to help your customer re-prioritize how you compare to competitors and substitutes.

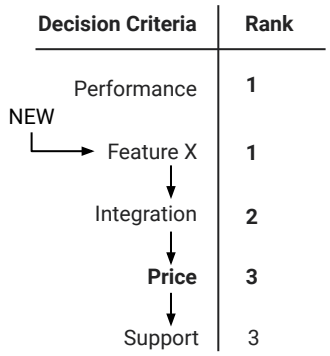
- **Reprioritizing Based on Impact:**

  As we've discussed, since price has a lesser impact on revenue compared to other criteria, calculating the results in an increased priority for all other factors.



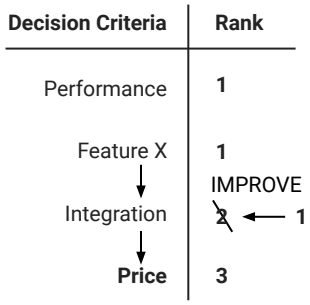
- **Inserting a New Criterion:**

  Introduce a distinctive feature exclusive to your product that delivers a substantial impact. It's advisable to include a customer reference that can attest to the enhancement in impact.



- **Improve Ranking:**

  Subscription-based services constantly release new product updates and new features. Product providers leapfrog each other, which means that your rank is never static and you are always improving.

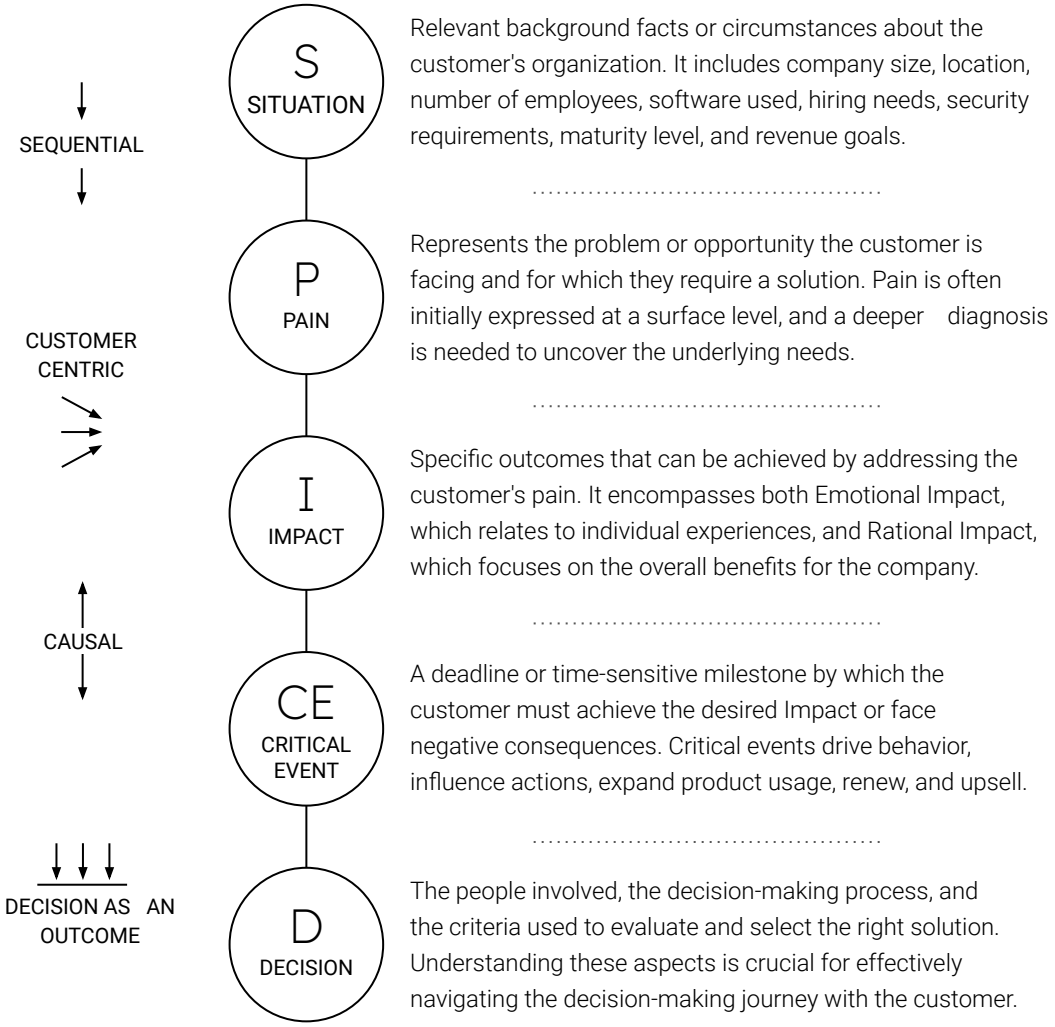


Your client may make this kind of decision only once or twice over a period of years, whereas you, as a sales professional, will help dozens of customers a month. Your experience makes you an expert, and your expertise is needed to demonstrate the Impact to your client. In previous work, we presented the SPICED framework as a method to help you establish the Impact with the client during your discovery meetings and demonstrations.

8.2.5 *SPICED: A Standardized Approach for Recurring Revenue*

Altogether we have SPICED: Situation, Pain, Impact, Critical Event, and Decision. Designed to prioritize customer impact at every stage of the customer lifecycle, SPICED captures the essence of why customers want your product. Unlike other methodologies that are limited to specific teams within the GTM organization, SPICED, with its uniform approach, can be applied anywhere along the customer journey. It serves as a bridge for the sales, marketing, customer success, and product teams, allowing them to align all means and methods.

FIGURE 8.23 ***In the era of high velocity and cost efficient growth, having a uniform methodology such as SPICED is not an option but a necessity.***



Important Traits of SPICED

SPICED has important traits that ensure that every interaction throughout the customer journey is connected and meaningful. As a result it can be applied to any touchpoints with the customer, allowing teams to validate information, qualify prospects, ensure ongoing alignment, and identify risks or opportunities. This effectiveness is derived from the following traits:

- **Customer-Centric:** SPICED strongly emphasizes understanding and delivering customer Impact, making it a customer-centric framework.
- **Sequential:** SPICED follows a logical progression, where understanding the customer's Situation precedes addressing the Pain, which precedes achieving the desired Impact.
- **Causal:** SPICED recognizes a causal relationship between the elements. It acknowledges that the cause (Situation and Pain) leads to the effect (Impact) which precedes the decision. Causal also points to an important factor: if you miss one of the SPICED elements, your outcome may be correlation based. In other words, the entire decision process may be based on the wrong assumption.
- **Decision as an Outcome:** SPICED understands that the decision-making process is driven by the customer's need for Impact and positions itself as a natural outcome of having done the proper groundwork. This applies not only to a new opportunity's commitment to a purchase, but also to a customer renewing or expanding.

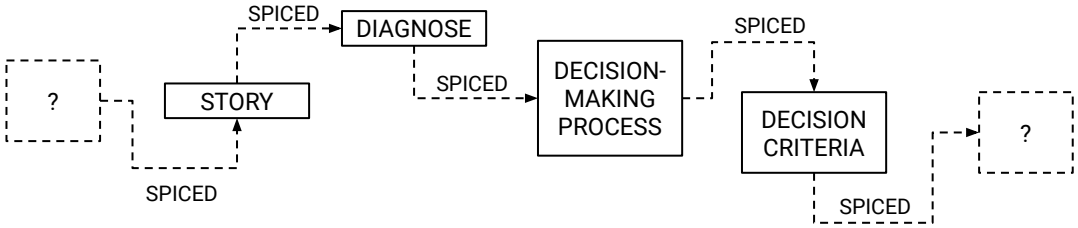
By aligning all customer-facing roles around SPICED, organizations can ensure that teams operate uniformly. This approach promotes collaboration and consistency. It serves to help achieve growth through customer acquisition, retention, and expansion.

Can you imagine what would happen if you would apply this framework to the entire customer journey? That's exactly where we're headed next: exploring how SPICED can be used to interconnect all means and methods in use.

8.3 SPICED IN ACTION

In the previous section, we diagnosed a customer and uncovered the *Impact* by exploring their Situation and Pain. We then applied these elements — Situation, Pain, and Impact — to craft a Customer Story. Next, we pinpointed the Critical Event and utilized all the SPICED components to inform the Decision-Making Process and shape the Decision Criteria. SPICED is now operating as an intermediary, akin to an Interface in the world of software development.

FIGURE 8.24 ***The SPICED framework acts as an Interface between the different actions.***



Departments have operated in silos for years. What if we leverage SPICED not only as an intermediary between actions but also as an interface between the means and methods used across various departments, fostering cross-functional and cross-departmental interoperability? Our focus will be on the most widely-used tactics and strategies in today's market:

8.3.1 Lead Generation

8.3.2 Lead Development

8.3.3 Selling

8.3.4 Customer Success

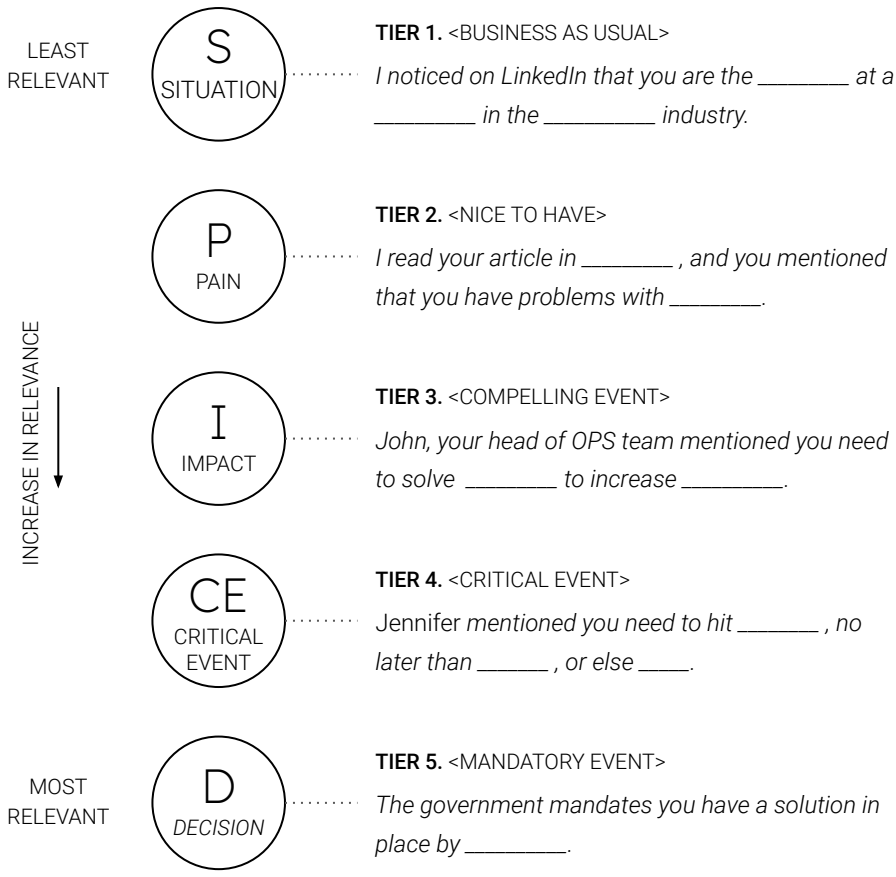
- Onboarding (Activation)
- Retention (Adoption)
- Expansion

This marks the juncture where theory is transformed into practice. It's where building your systems evolves from a conceptual framework on paper into a tangible reality that actively involves people.

8.3.1 *Interfacing Means and Methods in Lead Generation*

Lead generation and lead development have drastically evolved over the past years. Addressing someone by their name in an email was considered relevant in 2015; today, this is no longer good enough, so what to do next? As mentioned previously, SPICED has the trait of being causal, meaning Impact is based on a Pain, which in turn is based on a Situation. This trait can be used in lead generation and lead development, as the reverse is also true—knowing the Impact a customer wants is way more relevant to them than knowing their Pain or Situation. Reaching out to someone based on the Impact they want to achieve is more relevant to them than reaching out based on the Pain they may experience (see Figure 8.25). This trait is the foundation for a variety of lead generation and lead development techniques.

FIGURE 8.25 ***The causal relationship reflects an increase in relevance.***



Three Main Methodologies for Lead Generation

A wide array of means and methods are used for generating leads, including content engagement, social media, personalized cold emails, referrals and affiliates, remarketing, events, and Search Engine Optimization. These various approaches can be categorized under 3 primary methodologies:

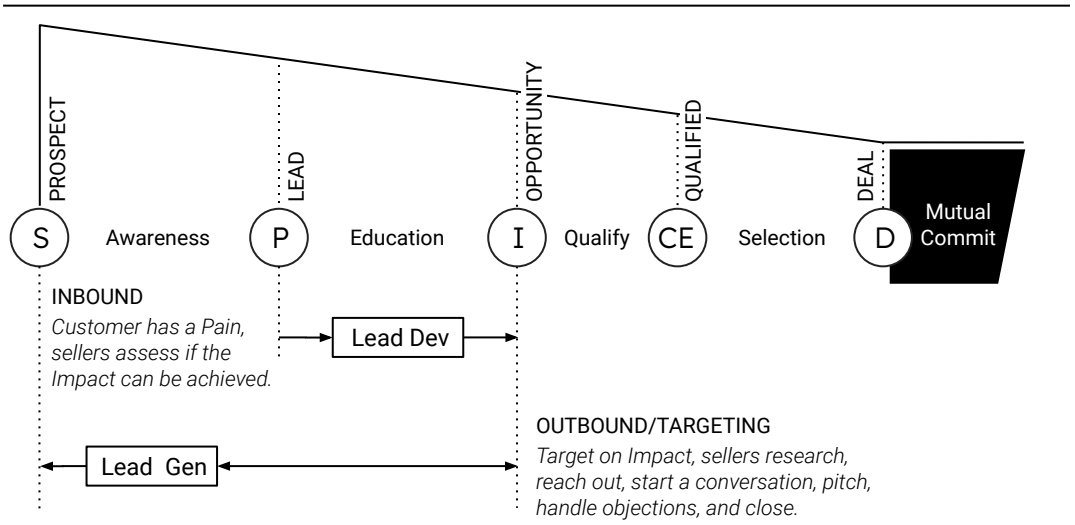
- **Inbound**: Attract prospects using content, SEO, social media events, etc.
- **Outbound**: Reach out to prospects via emails, calls, social, referrals, and ads.
- **Targeting**: Use insights to pinpoint and focus on companies you can impact.

Let's delve deeper into each of these methodologies next.

Inbound

The inbound process focuses on assigning the right resources to the opportunity. The inbound customer often expresses a Pain due to a Situation they are experiencing. Therefore sellers need to diagnose the customer's desired Impact, and make sure they can deliver it. The Request for Proposal (RFP) and Request for Quotation (RFQ) processes for larger deals align with this approach from the buyer's perspective, as the buyer sets the stage with the desired Impact, timeframe, and Decision criteria.

FIGURE 8.26 ***By overlaying SPICED onto the Bowtie model and mapping inbound and outbound methodologies across the customer journey, we gain insight into the significant differences between the two.***

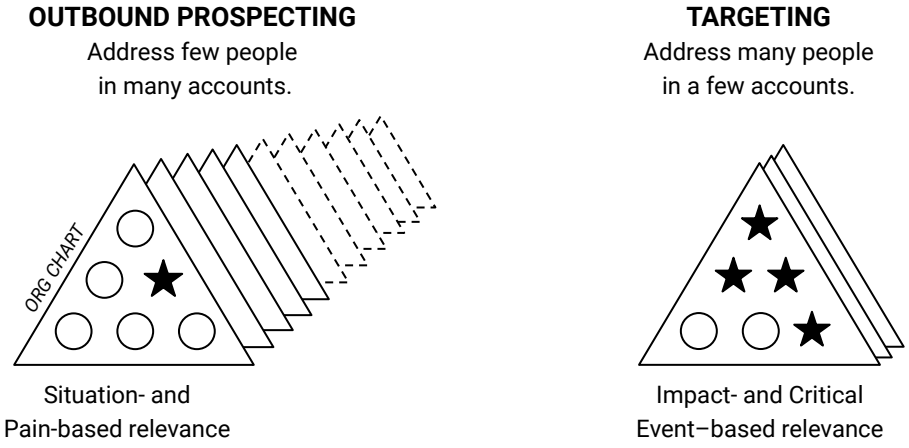


Outbound

Being relevant to the customer is crucial for outbound lead generation. Professional prospectors spend days researching to establish a list of prospective clients who are a good fit. They then focus on those most likely to have an underlying pain point, often identified through social media expressions. In this sense, outbound simply reverses the inbound process presented in Figure 8.26. Over the years, the focus on relevance has evolved. It's moved from situational relevance, such as knowing someone's name, to understanding their pain points, often gleaned from their social interactions.

It's only logical that the next generation of outbound will require sellers to understand the Impact they can bring. This is where AI will play a significant role. For those who need immediate Impact, such as due to a government mandate, determining its priority becomes crucial. Here, priority is a function of Impact and time, resulting in a Critical Event.

FIGURE 8.27 ***The difference in generating leads through outbound prospecting and targeting differs in the number of individuals they address in various roles across a company.***



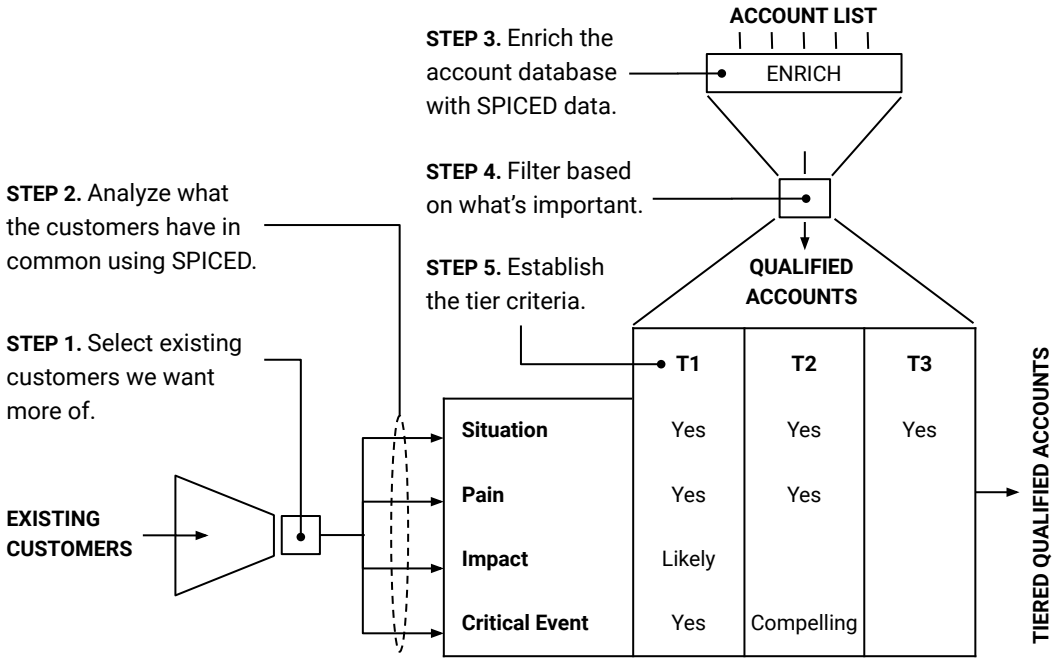
In outbound prospecting, you reach out to a specific individual across hundreds or thousands of companies. Targeting leverages the same principles but focuses on an entire account—a topic we'll discuss next.

AI will help us take significant steps both in quality and cost efficiency in Ideal Customer Profile (ICP) development. The key is not to use AI to produce more cold outbound email campaigns but rather to use AI to increase relevance, combined with identifying the best channel.

Targeting

In the targeting process, we first identify existing customers we want more of and then determine the SPICED characteristics they all have in common to create a tiered targeted account list and strategy. It allows organizations to regulate the money spent on lead generation to match the size of the opportunity, which in turn is based on the Impact. This allows us to design campaigns in which we allocate as much as $5,000 to develop top tier targets, whereas third tier targets may only cost $50 per targeted account.

FIGURE 8.28 ***Using SPICED to create a tiered target account list.***



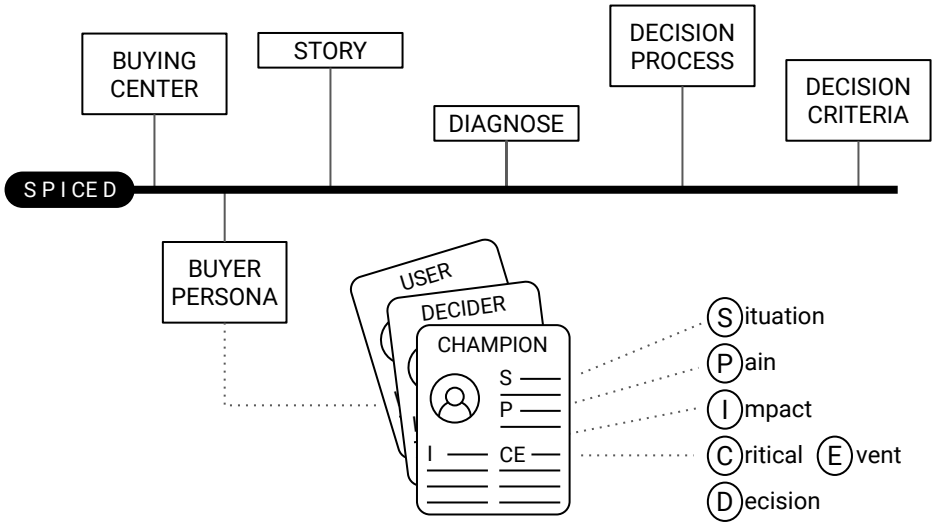
This helps us identify a group of qualified accounts. Next, we need to target a specific group of individuals within these accounts, referred to as personas.

Ideal Customer Profile vs. Buyer Persona

ICPs and Buyer Personas serve complimentary but distinct purposes. ICPs are detailed descriptions of *a company's ideal clients*—those who would benefit the most from its products or services. They are essential for guiding marketing campaigns and sales strategies, ensuring efficient lead qualification, and preventing indiscriminate "spray and pray" marketing.

In comparison, a Buyer Persona is a semi-fictional representation of an actual customer, focusing on demographics, goals, motivators, and challenges. Rather than concentrating on job titles, personas delve into the challenges *individuals* face and their relationship to the solutions offered by your product or service, encapsulated by the SPICED framework.

FIGURE 8.29 ***By integrating SPICED into ICPs, it can be applied across the entire customer journey. SPICED now serves as a versatile interface between various actions and ensures coherence throughout different stages of customer engagement.***



Integrating SPICED into Buyer Personas and ICPs enables their application throughout the entire customer journey. This transformation makes SPICED a versatile interface that harmonizes various means and methods, ensuring consistent engagement across different customer interaction stages.

8.3.2 Qualification

One of the most commonly used methodologies in the sales process Is MEDDIC. MEDDIC is a stage-based deal qualification methodology that is particularly effective in complex sales environments where multiple stakeholders are involved. It emphasizes understanding the buyer's needs, the decision-making process, and key players in the organization.

MEDDIC stands for:

- **Metrics:** Understanding the buyer's specific metrics and the Key Performance Indicators (KPIs) they must achieve.
- **Economic Buyer:** Identifying and engaging with the person who has the authority to make purchasing decisions.
- **Decision Criteria:** Understanding the criteria the buyer will use to decide.
- **Decision Process:** Knowing the steps and timeline involved in the buyer's decision-making process.
- **Identify Pain:** Uncovering the buyer's challenges, problems, or pain points.
- **Champion:** Finding a Champion or internal advocate within the buyer's organization.

By addressing these critical aspects, sales teams can increase their chances of winning deals and minimize the risk of losing opportunities due to misunderstandings or misalignment. It is amazing how robust MEDDIC still is over 25 years after it was conceived.

MEDDIC is the quintessential tool applied at the departmental level, specifically within sales and predominantly in Enterprise sales. It's the Lightsaber of the Old Guard. But don't underestimate it; it is an effective method. By making MEDDIC interoperable with SPICED we can interface it with all other means and methods used in SaaS, such as ABM. Next we will demonstrate this by making MEDDIC interoperable with SPICED.

How to Make MEDDIC Applicable to Recurring Revenue

Originally conceived as a deal qualification methodology for perpetual software sales, MEDDIC can be adapted for recurring revenue by aligning it with SPICED. We are going to do this in 3 steps:

1. Understand the (**M**)etrics and (**I**)dentify the Pain Points.
2. Determine the (**D**)ecision Criteria.
3. Establish the (**D**)ecision Process, (**E**)conomic Buyer, and (**C**)hampion.

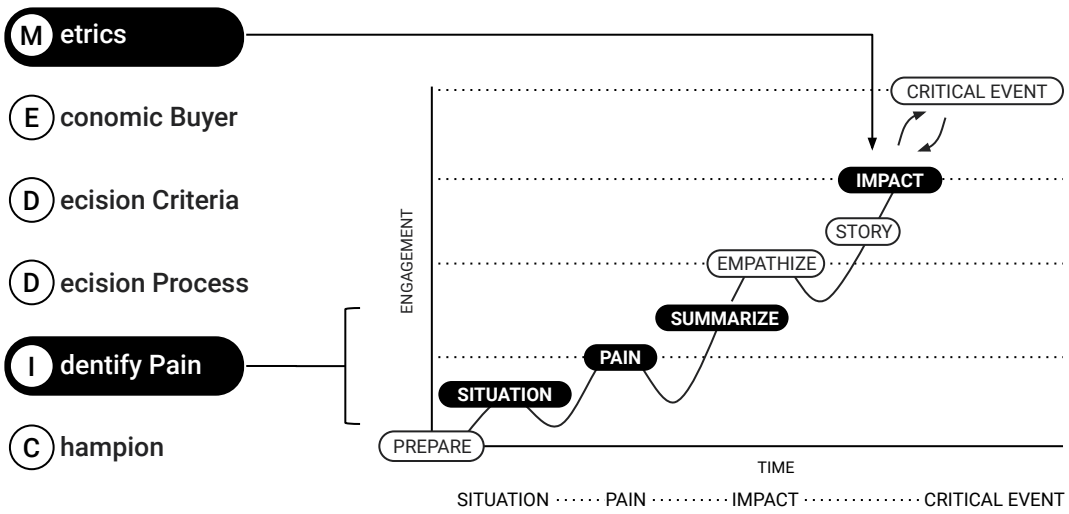
We are going to delve deeper into each of these steps next.

Step 1. Understand the Metrics and Identify the Pain Points.

Identify the metrics, as in the Impact your solution brings to the customer. The Impact-based framework detailed in Section 8.2.2 provides a two-dimensional view of "How to Uncover Impact" and "Identify Pain."

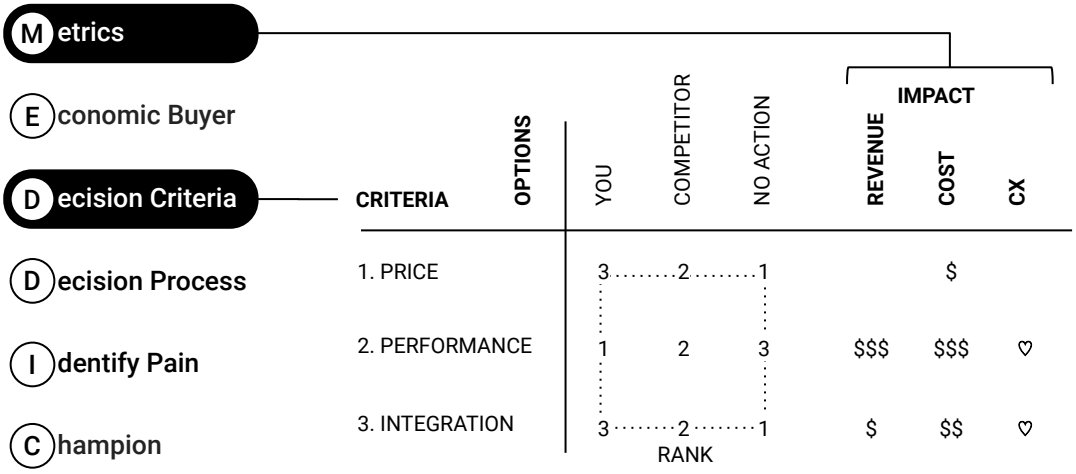
It allows managers to leverage their investment in MEDDIC and expand that with a “and here is how you can”—from knowledge to know-how. Whereas MEDDIC only looks for the rational impact, through SPICED it also offers you emotional impact.

FIGURE 8.30 ***How to diagnose/uncover Impact connects directly to Metrics and Identify Pain.***



- **Step 2. Determine the Decision Criteria.**
  Once we have identified the Impact, we can make it part of the decision criteria, in which we help customers establish the rational impact so they can communicate with their stakeholders using a quantitative approach.

FIGURE 8.31 ***Quantitative decision criteria leverage the Impact uncovered in Step 1.***

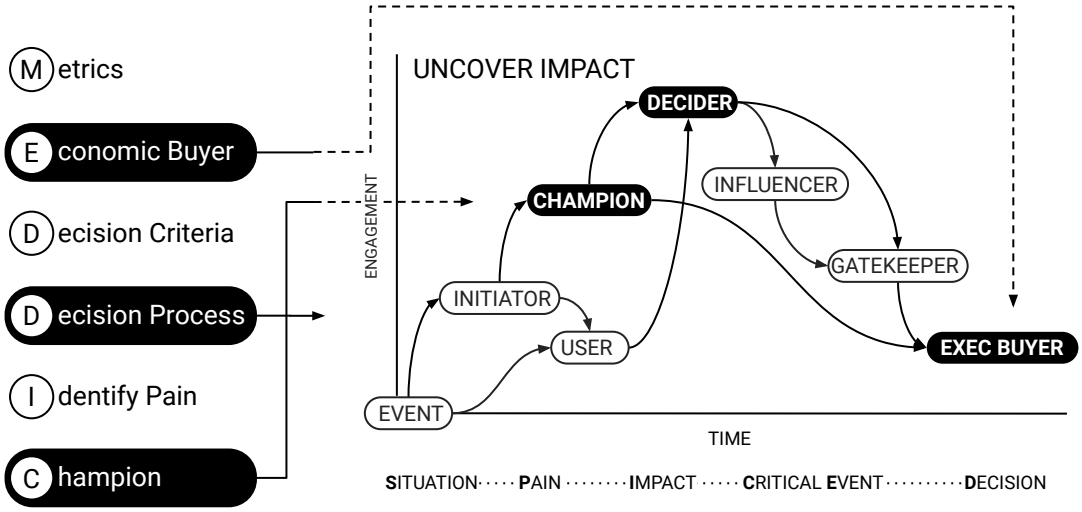


- **Step 3. Determine the Decision Process Using SPICED.**
  Historically, MEDDIC was used for perpetual software sales, priced in the millions of dollars, explaining the focus on getting consensus across a wide variety of decision-makers involved in the decision process.

  Combining MEDDIC with the role of a buying center provides us with a roadmap that allows managers to tell what needs to happen and how to do it.

  For instance, managers often instruct their GTM reps across acquisition and expansion to get to the decision-maker (Decider). However, SPICED shows that a *Champion* is driven by Impact, whereas the *Decider* is motivated by the both Impact and the timing for when that Impact is needed, e.g., Critical Event.

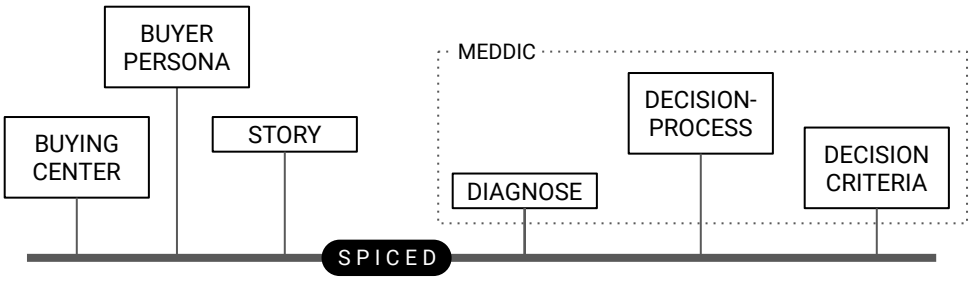
FIGURE 8.32 ***Decision process mapped to MEDDIC.***



In conclusion, MEDDIC helps with Deal Qualification covering 3 actions: Uncovering *Impact*, Understanding the *Decision-Making Process*, and Establishing *Decision Criteria*. The application of SPICED over time within each of these actions offers a step-by-step guide on "How to uncover Impact" and "How to establish the Decision Criteria." With SPICED interwoven in these action, it naturally makes MEDDIC interoperable with SPICED.

This is akin to each action having a standardized USB port, allowing it to interface with any other USB device. In this context, each action being mapped to SPICED enables interaction with all other means and methods that adhere to SPICED.

FIGURE 8.33 ***Using the SPICED interface MEDDIC can interface with other interoperable means and methods, and be applied in multiple GTM motions across the entire customer journey.***



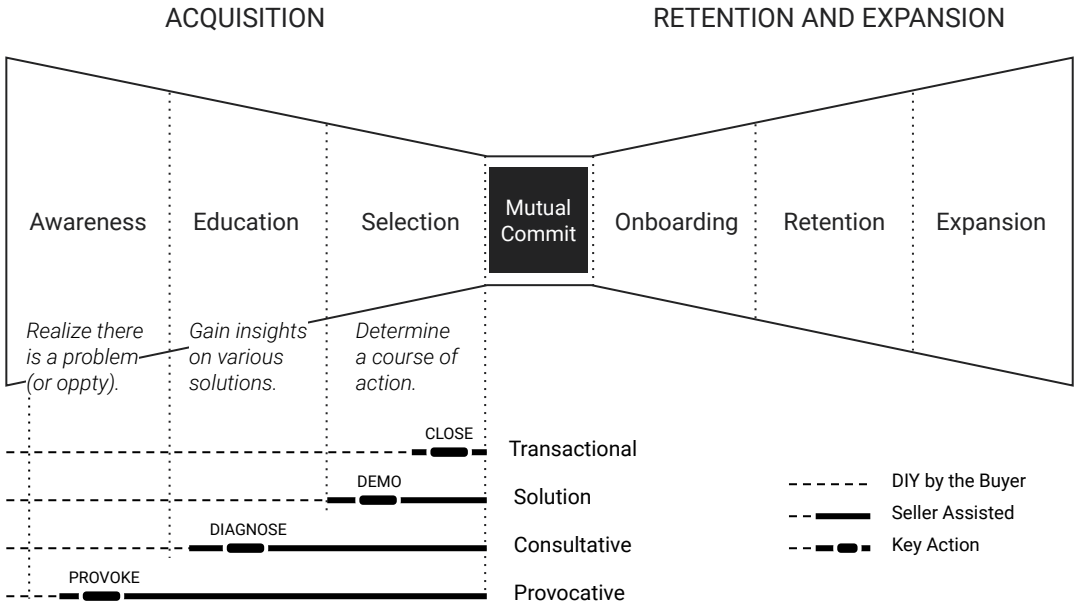
8.3.3 *Interfacing Means and Methods in Sales*

Choosing the right sales methodology is crucial in B2B sales-assisted selling, where each customer requires a personalized approach. Various B2B sales methodologies are tailored for specific buyer–seller dynamics. This chapter dissects the characteristics of the following methodologies:

- Transactional Selling
- Solution Selling
- Consultative Selling
- Provocative Selling

A key distinction among these sales methodologies lies in the point within the customer journey at which the seller engages with the customer.

FIGURE 8.34 ***Four distinct sales methodologies in use in B2B sales today, each engaging with customers at different stages of the customer journey.***



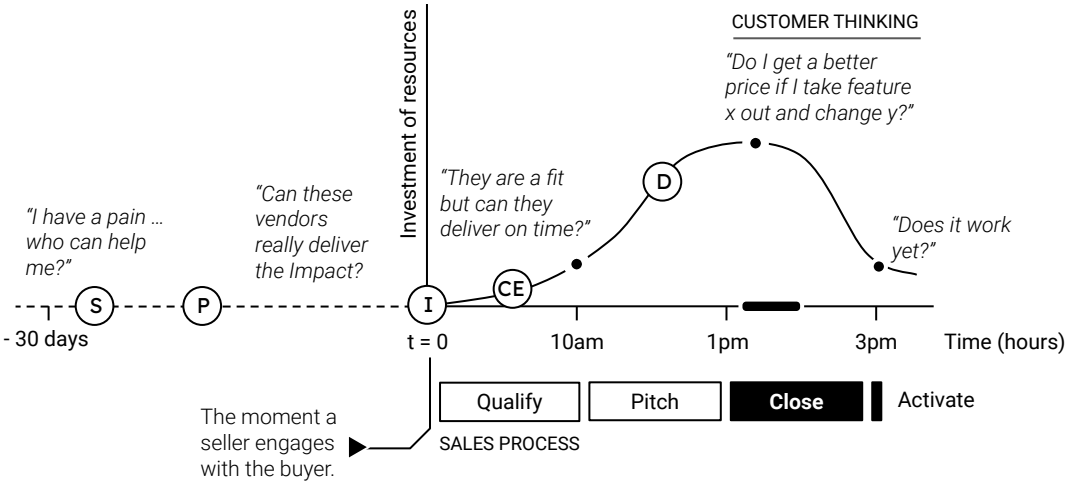
Let's roll up our sleeves and dive into the nitty-gritty of each methodology, beginning with transactional selling.

Transactional Selling

The transactional sales process is a reactionary one. It focuses on quick, one-time sales without a significant emphasis on building deep customer relationships. It's often used for simpler, lower-cost, or commodity items in which customers know what they want and are price-shopping for lead times. They may be willing to forfeit a specific feature if it can save them a lot of money. In transactional selling it is all about the product itself, and it is not uncommon for customers to prefer excluding salespeople from the process or replacing them with automation. Increasingly, transactional models are adopting a PLG approach.

When to use it? Transactional selling shines in high-volume, high-velocity, inbound, or low-cost environments. Consider it when you're targeting deals with an ACV of less than $2,400, a sales cycle shorter than 30 days, and expecting to close over 20 deals per month per seller.

FIGURE 8.35 ***Transactional selling in which clients do most of the education on their own.***



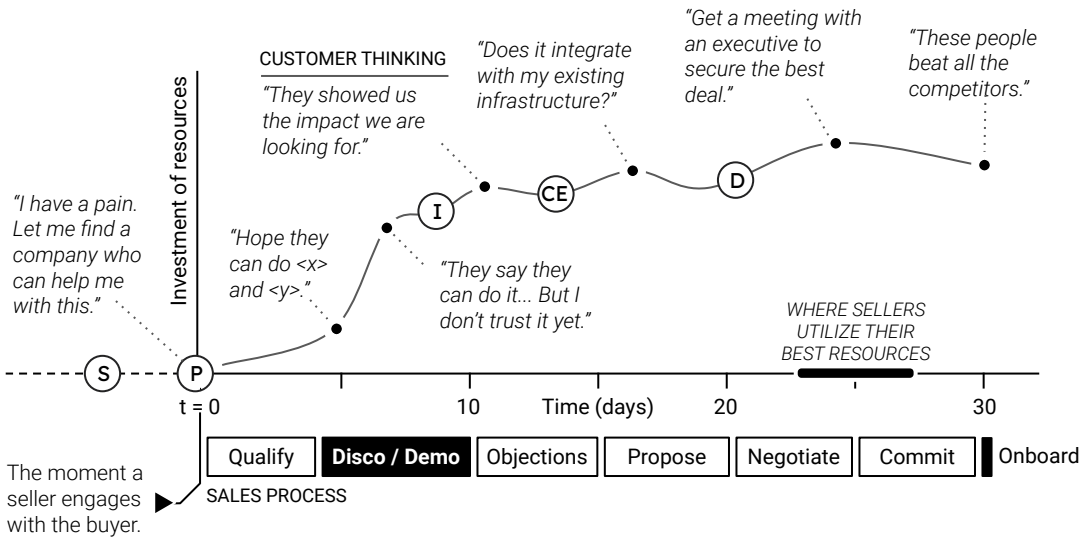
The next methodology, solution selling, is designed for more complex scenarios and is a natural progression from transactional selling in the B2B sales landscape.

Solution Selling

This sales approach focuses on identifying and addressing specific problems. It's often used reactively with inbound customers who already understand their needs and have some knowledge about potential solutions. These customers aren't solely price shopping; they're seeking particular features and may be willing to pay more for them. Typically, by the time they initiate contact, they've narrowed their options to a few providers. In solution selling, it's crucial to conduct a brief discovery and quickly move to a product demo, which helps clarify the exact impact the customer is seeking. A follow-up with a demo recording for internal sharing is recommended.

When to use it? Solution selling is most effective in medium-volume, high-velocity scenarios, primarily with inbound leads. It suits deals around a $10,000 Annual Contract Value (ACV), with a 30-day sales cycle, targeting 5 to 10 monthly deals per account executive.

FIGURE 8.36 ***Solution selling commonly follows an inbound lead, and is centered around a demo.***



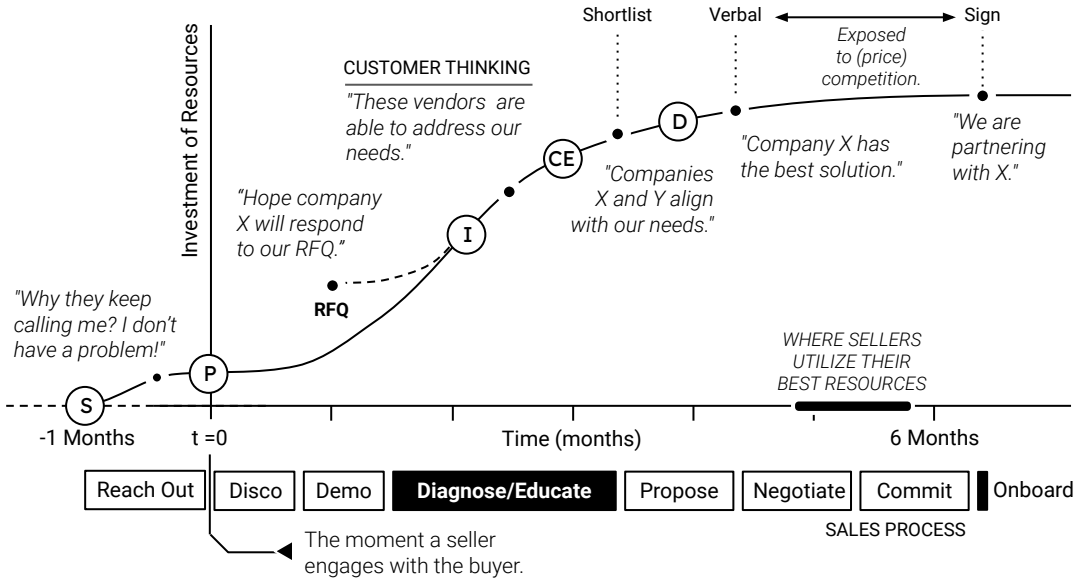
Next up is consultative selling, which delves into developing a customer's needs, using advanced question-based sales techniques to match up to a tailored solution that reflects market expertise.

Consultative Selling

Consultative selling involves early investment in educating the customer, using market experience to highlight important aspects. This might involve campaigns addressing customer Pain and showcasing your solution's Impact. This approach positions the seller as an expert, an educator, and you find yourself assisting the customers in diagnosing their problems and finding appropriate solutions. Notable among consultative methodologies is SPIN selling, which employs a question-based technique. Expertise is demonstrated by aligning with customer requirements, potentially aiding in RFP/RFQ creation. Proof of Concept (POC) is common but it will extend the sales cycle and increase costs as a tech-skilled resources is added.

When to use it? Opt for consultative selling when dealing with complex solutions requiring multiple decision-makers, such as selling platforms like ERP and CRM priced between $20k and $100k ACV. Expect a sales cycle that is measured in months and usually results in 1 to 3 deals per quarter per rep.

FIGURE 8.37 ***Consultative selling focuses on diagnosing the customer's problems.***



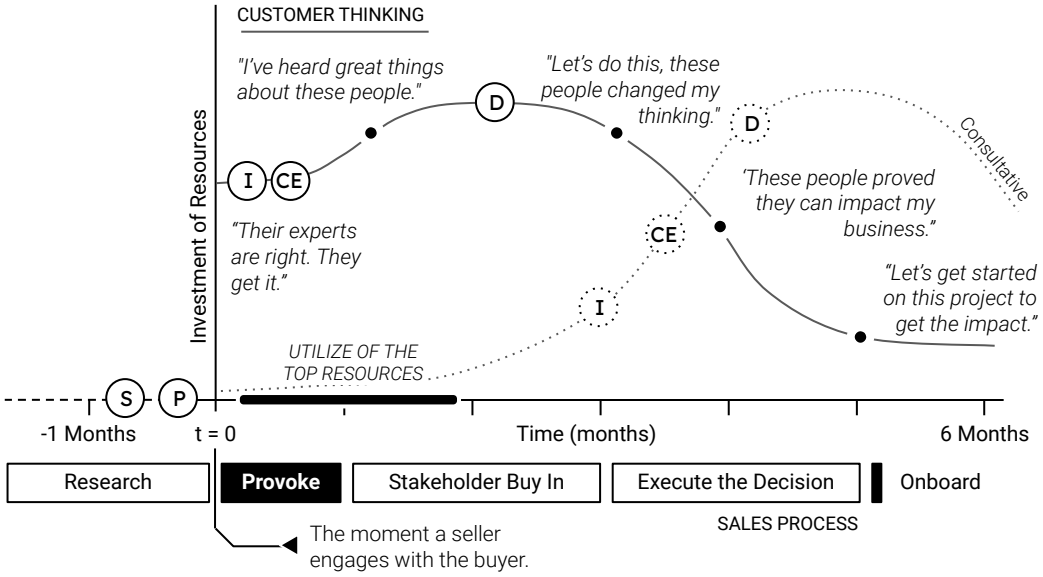
As we transition from consultative selling, we arrive at provocative selling—a methodology that challenges and disrupts conventional thinking.

Provocative Selling

Subscription-based services commonly involve innovative solutions. When presenting an innovative solution that challenges the status quo, you cannot solely rely on the consultative process, as clients may not even realize there is a problem, let alone see it as urgent. Provocative selling involves challenging the customer's status quo. It's used when clients may not recognize a lurking problem or its urgency. Instead of following conventional processes like RFP/RFQ, provocative selling creates urgency by showing a customer they are missing out on significant Impact, which creates a sense of urgency.

When to use it? Provocative selling is most effective for high-value, innovative solutions, typically measured in the hundreds of thousands of dollars. It's particularly suited for addressing a CEO's major priorities, such as outpacing competitors or entering new markets. However, this approach demands a deep understanding of the customer's situation and extensive market and product knowledge. The penalty for failure is significant.

FIGURE 8.38 ***Provocative selling utilizes the best people early on to provoke a customer into action.***



The challenger sale methodology, which pioneered provocative selling, gained popularity in early 2012 following the publication of a book by the same name authored by Matthew Dixon and Brent Adamson.

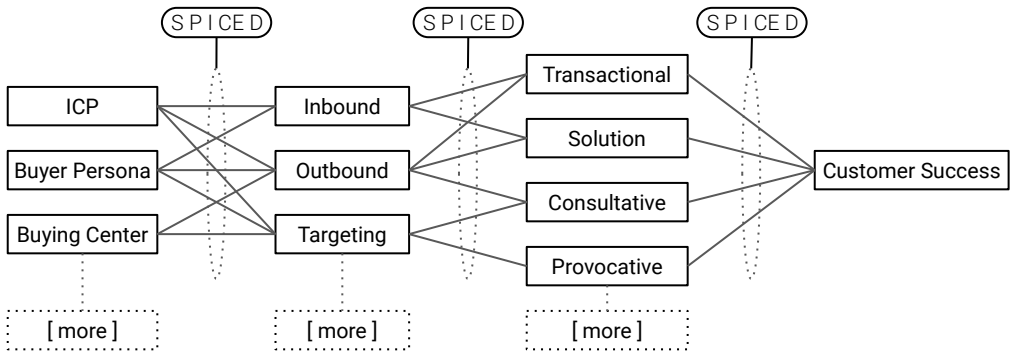
Four Different Methodologies

We discussed 4 different sales-assisted methodologies:

- Transactional Selling: Focuses on pitching the product directly to the customer.
- Solution Selling: Emphasizes discovery and product demonstrations to address specific customer problems.
- Consultative Selling: Centers on diagnosing customer needs and educating them about solutions.
- Provocative Selling: Involves prescribing innovative solutions to challenge and change the customer's status quo.

In a large-scale business with multiple GTM motions it is likely organizations will have a multiple sales methodologies in place. Each of these methodologies requires integration with the various lead generation techniques we discussed earlier, and post-sales activities. Since they all operate on SPICED we can integrate them all together.

FIGURE 8.39 ***Connecting it all together.***



As illustrated in the figure above, numerous marketing and sales means and methods exist for customer acquisition on the left side of the Bowtie model. However, on the right side—focused on customer success—we find few established methodologies. Addressing this gap will be our next focus.

8.3.4 *Customer Success*

Today there a few standardized means and methods in place in Customer Success. This presents an incredible opportunity; it essentially offers a clean slate. This allows us to implement SPICED in customer success teams from the start which can bring transformative benefits. We are going to do this by mapping SPICED to every key activity. When done right, it integrates seamlessly with the Acquisition, or the left side of the Bowtie. As we've discussed, the right half of the Bowtie includes 3 stages: Onboarding, Retention, and Expansion. In each stage, we have picked a handful of moments (see Table 8.3).

TABLE 8.3 ***Key actions to establish Recurring Impact.***

Onboarding (Activation)	Retention (Adoption)	Expansion
O1. Handoff	A1. Drive Impact Process	E1. Expansion Process
O2. Customer Kickoff	A2. Impact Review	E2. Whitespace Planning
O3. Joint Impact Plan	A3. Health Scoring	E3. Account Planning
O4. Achieving First Impact	A4. Trigger Plays	E4. Expansion Execution
	A5. Renewal	E5. Account Retirement

Next we provide a few examples of how integration with SPICED works:

- **Moment 1.** Handoff
- **Moment 2.** Renewal
- **Moment 3.** Expansion Process

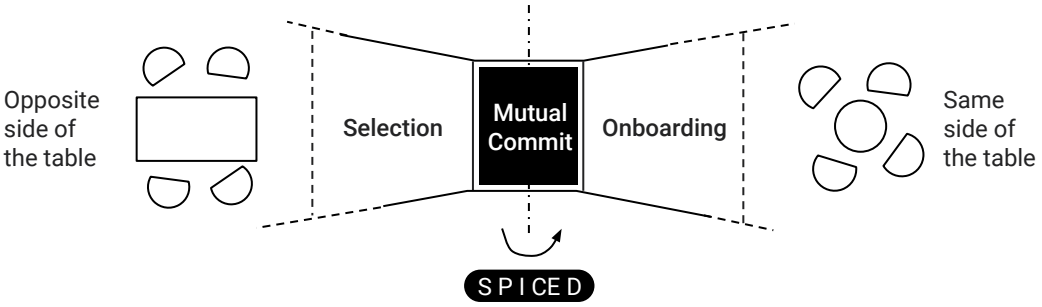
This will demonstrate that by integrating SPICED into individual actions, all methods the rely on these actions by defacto become SPICED compliant the same way MEDDIC became SPICED compliant by integrating SPICED into the 3 core actions: *Diagnose*, *Decision-Making Process*, and *Decision Criteria*.

Let's start by showing how SPICED is integrated in Handoff.

Moment 1. Handoff (to Customer Success)

In SaaS companies, the handoff from sales to customer success is more than a mere administrative step; it's a pivotal moment that sets the stage for the customer's entire journey. This process usually kicks off when both parties sign a Mutual Commitment, often focused on achieving a particular set of goals.

FIGURE 8.40 ***The drastic change in the relationship that occurs the moment both parties commit.***

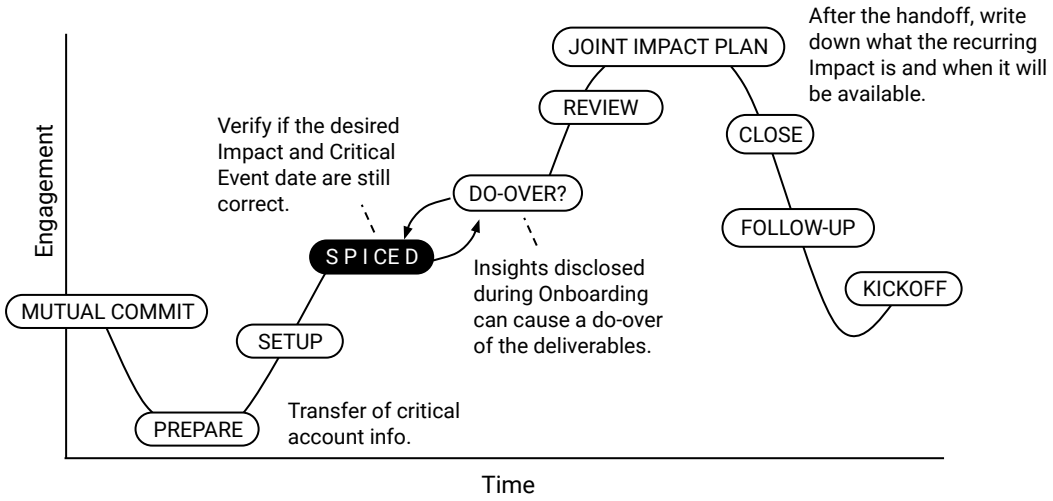


Imagine this scenario: It's a Friday afternoon, and after days of negotiating terms and hashing out details, both the buyer and seller teams finally reach a Mutual Commitment. Despite the high stakes and tension, everyone has been playing their roles perfectly—sitting, metaphorically, on opposite sides of the table. But come Monday, when the ink dries on the contract, there's a noticeable shift. Suddenly, it's like everyone has moved their chairs to sit together on the same side of the table.

Now, the goals are aligned, changing the dynamics of the relationship. This creates a golden opportunity for the customer success team or, in the case of PLG, the systems and processes in place. The shift from the sales team to the customer success team is not merely about ticking boxes. While a checklist may provide a sense of progress, it doesn't necessarily translate to meaningful achievement. This is the time to delve deeper, reconfirming the customer's real needs, preferred outcomes, and timelines. Rather than just helping the customer achieve their first impact, this period is ripe for strategic moves, such as introducing upselling opportunities and suggesting cross-selling options.

Enter SPICED. This framework transforms the handoff into a seamless, impactful experience. It empowers the customer success team or onboarding representative to validate and potentially revise the customer's desired impact and timeline. As a standardized methodology, SPICED can be incorporated into various systems and training protocols, elevating onboarding from a mere set of tasks to a true competitive edge. With each iteration, the SPICED framework aims to continually refine and improve the customer experience.

FIGURE 8.41 ***SPICED enables for the orchestration of the renewal and expansion.***



Moment 2. Renewal

View renewals as an opportunity to reassess Impact by incorporating the following SPICED questions into the renewal process:

- Has their *Situation* or *Pain* changed since the initial purchase?
- Have they realized the intended *Impact* from using the product?
- How does the achieved *Impact* align with their corporate initiatives/KPIs?
- Do they plan to continue utilizing the product for the same *Impact*?
- Is there an upcoming *Critical Event* that requires more or different *Impact*?

These questions deepen the understanding of how your customer benefits from your product paving the way for scalable, sustainable, and durable growth.

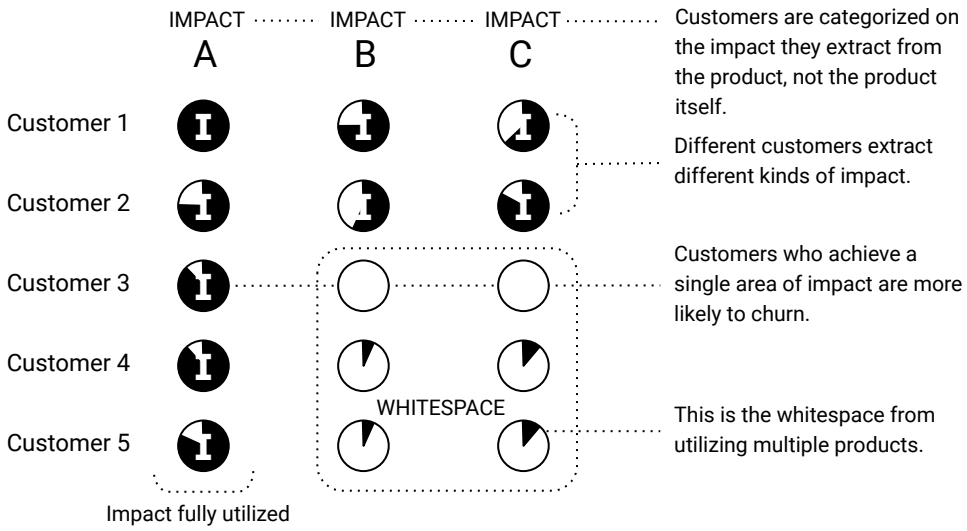
Moment 3. Expansion through White Space Planning

Expansion does not have to be reactionary to a customer's needs. Whitespace planning is a process that identifies the additional needs for Impact–not Product–outside the original scope based on the impact a customer needs.

Today, most whitespace planning is based on a combination of the Situation and Pain, such as the number of employees vs. the amount of seats sold.

Instead we recommend to prioritize whitespace planning based on Impact as depicted next (see Figure 8.42). Users of a PLG motion may choose to replace Impact with Monthly/Daily Active Usage.

FIGURE 8.42 ***Whitespace planning based on Impact.***



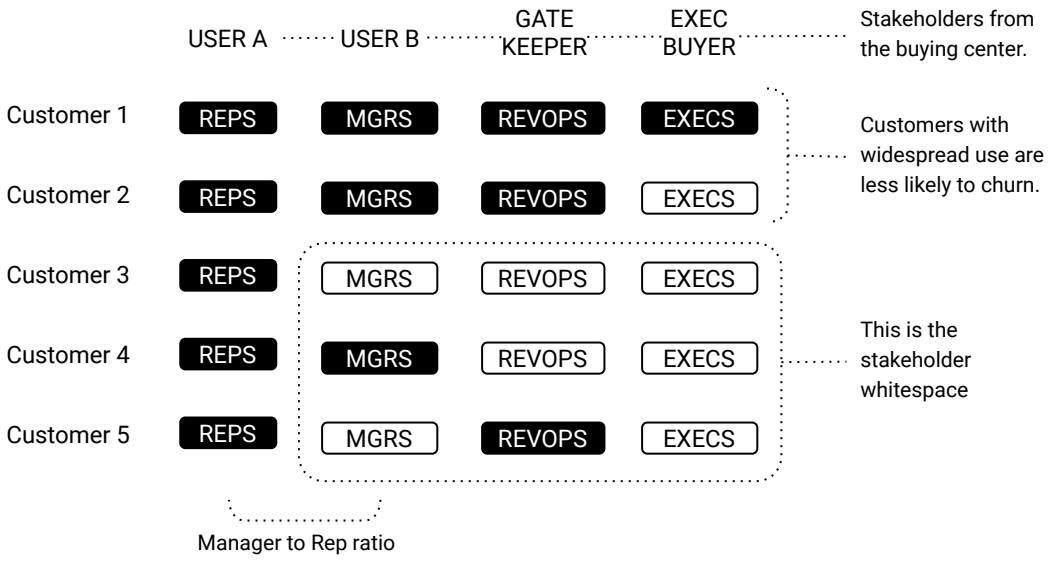
The whitespace areas—represented by the empty circles in the figure—indicate opportunities for expansion by offering additional products or services that could provide the Impact in these underutilized areas. The segmented pie charts in Customer 4's and Customer 5's rows suggest that they are utilizing multiple products but still have whitespace opportunities to achieve a full Impact.

The lack of utilization the full Impact of purchased products exposes a company to risk as those customers are more likely to churn. This can be remedied by a Customer Marketing campaign that highlights best practices for achieving Impact B and C based on insights gained from working with Customers 1 and 2.

In this whitespace planning moved from Situation and Pain to Impact since this is more relevant to the customer. You may recall we discussed the importance of relevance earlier (Figure 8.23) and its relationship to SPICED.

From this we can learn that it can also be applied to Critical Events and Decision. In case of Critical Event, you can create a whitespace based on which companies are hiring, or in case of the Decision, you can map how widespread your product is being used across different stakeholders (see Figure 8.43).

FIGURE 8.43 ***Whitespace planning based on stakeholders from the buying center (decision process).***



When stakeholders across a customer's buying center, like those at Customer 1, fully engage with a service, there's no whitespace, signaling complete utilization of the product's impact. Conversely, when engagement is lacking among stakeholders—as with Customer 3—whitespace is revealed. By weaving a product into the workflows of various roles, a company solidifies its presence and boosts the potential for retention and expansion.

Here's the crux: Impact-based whitespace planning focuses on what the users get from a product beyond mere usage, thus increasing customer retention and paving the way for growth. Given that expanding existing customer sales is more economical than acquiring new ones, whitespace planning becomes crucial for driving scalable, sustainable, and lasting growth.

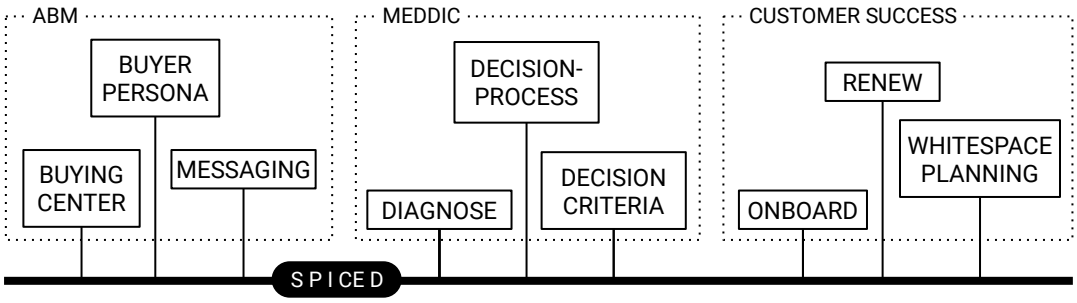
The Creation of an Operating Model

In this section, we've learned how to create interaction between different means and methods through SPICED. Employing Buyer Personas has allowed us to identify distinct roles within the Buying Center, which we've seamlessly integrated into the decision process with the aid of SPICED. Combining this with a targeting approach we can create an ABM approach.

Next we mapped critical actions, such as Uncovering Impact, the Decision-Making Process, and Decision Criteria, directly to the MEDDIC methodology, thereby making MEDDIC interoperable with ABM.

Furthermore, we've interconnected various Customer Success actions by applying the SPICED framework. Essentially, SPICED serves as the unifying thread that weaves all methods and practices across the customer journey together, akin to how Apple's iOS provides a cohesive platform for millions of apps on the iPhone.

FIGURE 8.44 ***SPICED creates a Uniform Methodology that acts as an interface between crucial actions from all GTM teams across all GTM motions.***



Mapping these actions to the data model crystallizes into the recurring revenue operating model. It consists of 3 components:

- **A standard model** in the Bowtie that cover the entire customer journey;
- **A common customer-centric language** centered on Impact; and
- **A uniform methodology** that creates interoperability between all actions based on SPICED.

8.4 EXERCISES

EXERCISE 8.1 **Create a 5 x 5 x 5.**

Description: Unearth the top 5 rational impacts your product provides, the top 5 emotional impacts it evokes across different buyers, and the 5 Critical Events that drive the customer to buy your product. This is a fantastic starting point for any GTM motion.

Directions: Pick an actual customer you know well, as in a person, not a company. Think of how they would respond to these questions. If you do not know of a customer, call up a friend in the Customer Success department.

Rational (Quantitative) Impact	Emotional (Qualitative) Impact	Critical Event

EXERCISE 8.2 **Using one of the Rational Impacts you offer, establish a SPICED.**

Description: Think of a customer, and pick a rational Impact, identify the Pain associated, then describe the Situation when it occurs. This creates a SPICED.

Directions: For instance, if you offer application tracking software, the rational Impact could be *faster response time*. The Pain would be the overwhelming number of responses to a job opening, and the Situation could be hiring 10 reps.

Rational Impact	Pain	Situation	Relevant Use Case

EXERCISE 8.3

Create a Customer Story

Description: Use an existing customer, apply Situation, Pain, and Impact to build a customer story. This story can be used across the entire customer journey.

Directions: You are now using the previously dissected SPICED in reverse, starting with the Situation and the Pain it caused.

This reminds me of _____ at _____, who had _____.
NAME *RELEVANT COMPANY* *SITUATION*

This caused her _____. At first she decided to not do anything about it
PAIN

this caused _____. It first frustrated her, but by _____ she now
NEGATIVE IMPACT *ACTION*

has achieved _____ , and _____.
RATIONAL IMPACT *EMOTIONAL IMPACT*

EXERCISE 8.3

Map to the Decision Process.

Navigate the organizational maze to identify who matters in the decision-making process and what drives them.

Step 1. Map the Roles

List the roles and circle the sentiment toward your product: use **+** for positive, **–** for negative, **=** for neutral, and **?** for unknown.

Role	SPICED	Name	Sentiment
Initiator	S, P, I	_____	+ – = ?
User	P, I	_____	+ – = ?
Champion	I	_____	+ – = ?
Decider	I, CE, D	_____	+ – = ?
Influencer	I, D	_____	+ – = ?
Gatekeeper	I, D	_____	+ – = ?
Exec. Buyer 1	D	_____	+ – = ?
Exec. Buyer 2	D	_____	+ – = ?
_____	__	_____	+ – = ?

Step 2. Gap Analysis

Looking at Step 1, identify the gaps. Who do you not know, who has a negative sentiment? This is easy to relate to an enterprise deal, but imagine how your AI system can assist a PLG motion to increase the coverage inside an account, or provide use-cases to the right person to increase DAU.

Step 3. Map it to Two Pivotal Roles

Identify 2 pivotal roles you're selling to and fill in their impacts and events.

	#1. _____	**#2. _____**
Rational Impact:	_____	_____
Emotional Impact:	_____	_____
Critical Event:	_____	_____

Step 4. Establish a 3 × 3 or a 5 × 5

Many deals are lost due to being single threaded. By establishing multiple relationships early on and maintaining the information flow, the win rate doubles. Multi-thread your approach to boost your win rate. Name your Customer Champion and Account Executive.

Account Executive _____	**Customer Champion _____**
• _____	• _____
• _____	• _____
• _____	• _____
• _____	• _____
• _____	• _____

Step 5. Create an Account Plan (for Acquisition, Retention, or Expansion)

Outline your action plan to ensure stakeholder engagement:

#1 We will talk to _____ to identify the rational impact.
CHAMPION

#2 We will keep _____ happy by providing _____ .
DECIDER *RATIONAL IMPACT*

#3 We will develop a 3 x 3 by asking _____ for an intro to
CHAMPION

_____ and have _____ on my team reach out to
INFLUENCER *EXECUTIVE*

_____ with an invite to _____ .
DECIDER *MEET/CALL*

#4 Will leverage _____ on _____ and ask to provide
CONTENT *INFLUENCER*

_____ to _____ .
INSIGHT *GATEKEEPER*

#5 I will ask _____ on our team to send _____ on their team
EXECUTIVE *EXECUTIVE*

a personal note to develop a relationship.

Imagine if 90% of your team followed this guided approach, leveraging AI where appropriate. An effective Operating Model enriches the entire customer journey.

8.5 RECAP

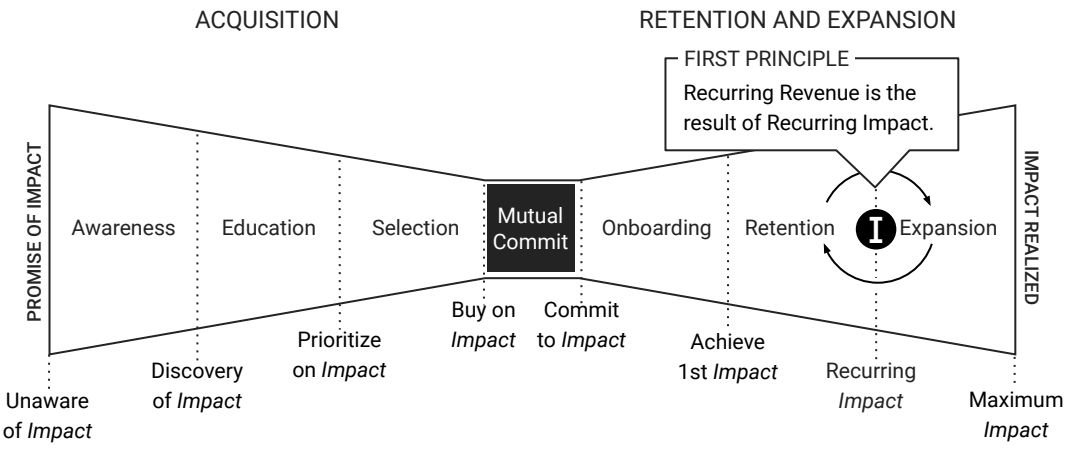
Operators of recurring revenue businesses face significant challenges when managing multiple Go-To-Market motions, often struggling with a plethora of incompatible tools and methods. This complexity primarily arises during rapid growth phases of startups, where the absence of established processes leads to the ad-hoc adoption of various practices introduced by new hires. As these companies grow, they encounter a mix of tools and methodologies that impede efficiency and effectiveness.

Compounding the issue are factors like short tenures of executives and the diverse approaches promoted by tool vendors, which further increase complexity. Therefore, interoperability is essential for ensuring consistent customer experiences and maintaining operational efficiency in subscription-based businesses.

To orchestrate a unified customer experience across all GTM motions, departments, functions, roles, and geographies of the GTM organization, companies need to take 3 steps:

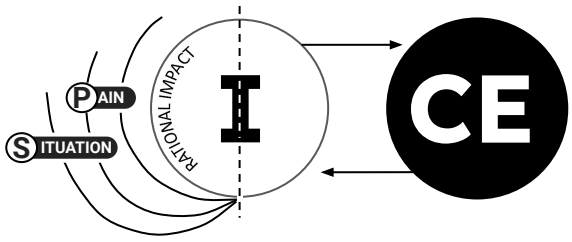
- **Step 1. Create a standardized data model:** We recommend you replace the funnel with the Bowtie to align all your metrics.

FIGURE 8.45 ***Standardized data model, a uniform customer-centric language based on the first principle of recurring revenue.***



Step 2. Establish a common language: Use Impact as the basis for a common customer-centric language spoken across the entire customer journey.

FIGURE 8.46 ***A common language based on Impact and Critical Event.***

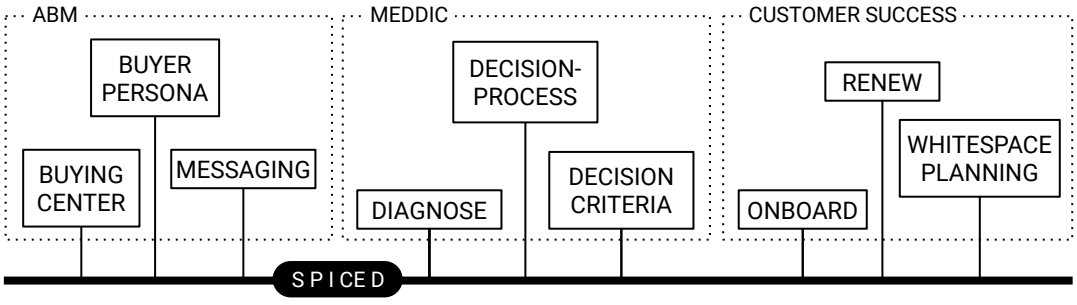


Step 3. Deploy a uniform methodology: Use SPICED as a standard interface to ensure all actions, means and methods are interoperable. SPICED stands for:

- Situation
- Pain
- Impact
- Critical Event
- Decision

Step 4. Map spiced to actions: SPICED can now be used as an interface between different actions. This allows any action to plug-in and interact.

FIGURE 8.47 ***Use SPICED to interface actions, means, and methods.***



Consider this an example of an operating model, which functions the same way as Apple's iOS. The benefits are multifaceted: reduced costs due to streamlined team communication, increased revenue velocity, and improved quality of deliverables (Impact) that drive growth from customers.

09

THE GROWTH MODEL

09 | THE GROWTH MODEL

As of late 2021, fewer than 2 out of every 100 cloud companies that raised over $3 million reached $100M in ARR, and only 2 out of every 1,000 reached $1B in ARR. These success rates have since been steadily declining. The purpose of revenue architecture is to boost these success rates. In the first part of this chapter, we will explore the Growth Model, revealing that nearly all companies follow a similar and predictable path. Along the way, they encounter the same hurdles, referred to as the 12 revenue breakpoints. In the second part of this chapter, we will present solutions to overcome these revenue breakpoints.

9.1 THE GROWTH MODEL EXPLAINED

The Growth Model can be broken down into the following components:

- Growth Patterns (9.1.1)
- Growth Rates (9.1.2)
- Growth Stages (9.1.3)
- Growth Trends (9.1.4)
- Growth Funding (9.1.5)

Putting these growth components together we get:

- The Growth Model (9.1.6)

What we are going to learn is that companies with a recurring revenue stream follow a very similar, and predictable, trajectory.

HOW THE COMPOUND EFFECT WORKS

In a subscription-based business like SaaS, the "Compound Effect" refers to the cumulative impact of recurring revenue over time, leading to exponential growth. Explained in detail in Chapter 2, here is how it works:

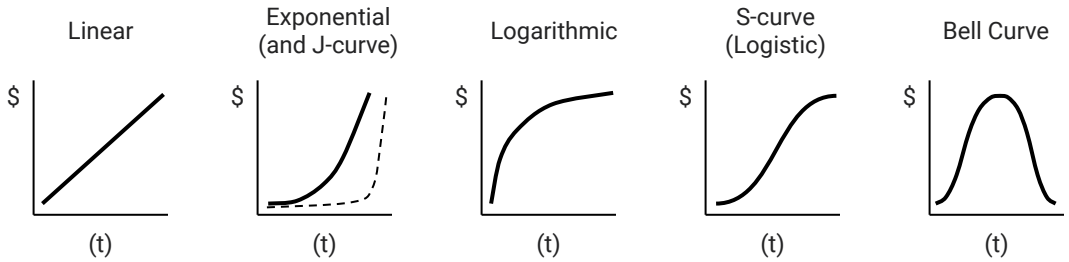
- In a subscription business like SaaS, customers typically pay a monthly or annual fee to use the software. This creates a stream of recurring revenue that has a level of predictability to it.
- The Compound Effect takes hold when the business retains a large part of its recurring revenue and expands this through upsells, cross-sells, or price increases, such as through tiered pricing models.
- Retaining customers not only contributes to revenue in the current period but also, in all likelihood, in subsequent periods.
- Over time, the total revenue grows as new revenue is added and existing revenue is retained. Each cohort of new customers added in previous periods contributes to compounding revenue growth. This is different from an ownership model wherein revenue from a customer is often realized in a single period.
- The longer a customer stays, the more valuable they become, as the initial acquisition cost is distributed over a more extended period. It means that the profitability of each customer tends to increase over time.
- As more customers use the service, network effects attract more users and creates a positive feedback loop that further accelerates growth.

The Compound Effect underlines the importance of not just acquiring new customers, but, more crucially, retaining them and maximizing their value over time. It is a balancing act for management teams that requires a deep understanding of how the recurring revenue engine works.

9.1.1 Growth Patterns

Growth patterns describe a company's revenue expansion over time, characterized by distinct stages, trends, and metrics. There are several growth patterns as can be seen next (see Figure 9.1)

FIGURE 9.1 ***Commonly seen growth patterns.***



A linear growth pattern represents a steady and consistent increase over time, while an exponential growth pattern involves rapid and proportional expansion. In contrast, a logarithmic growth patterns follows a curve showing diminishing returns. The logistic or S-curve growth pattern begins with exponential growth but levels off as resources become limited. The bell curve growth pattern describes a symmetrical distribution of values, often seen in statistics, where most data points cluster around the mean. We can find these growth patterns in well-known companies; the next table provides a number of examples of companies and the current growth pattern they exhibit.

TABLE 9.1 ***Description and examples of commonly seen growth patterns.***

Growth Pattern	Company Example	Description
Linear	Coca-Cola, Procter & Gamble	Consistent growth over time.
Exponential	Amazon, Facebook	Rapid, accelerating growth.
J–Curve	Tesla, Spotify	Initial struggle followed by significant growth.
Logarithmic	Microsoft Windows, Adobe	Rapid initial growth, then plateau.
S-curve	Apple, Netflix	Slow start, rapid growth, then stabilization.
Bell Curve	Blackberry, Nintendo Wii	Peak followed by decline.

The Compound Effect of a subscription businesses, such as SaaS, is closely aligned with an S-curve growth pattern due to the way recurring revenue compounds over time. Here is how it works:

- **Early Stage:** Initially, when a subscription business is newly established, growth tends to be slow. This is due to factors like early market entry challenges, the need to establish product-market fit, and the initial effort required in customer acquisition. During this phase, the Compound Effect is irrelevant because the customer base and recurring revenue are still small.
- **Middle Stage**: As the business begins to gain traction and acquire more customers, the effects of customer retention and recurring revenue start to compound. Each new customer adds to the recurring revenue base, and retained customers from previous periods continue to contribute, leading to a rapid increase in total revenue. This is where the Compound Effect becomes more pronounced and the business experiences accelerated growth. Network effects further enhance this growth.
- **Maturity Stage**: Eventually, the business matures, and the growth rate starts to plateau as the total addressable market becomes saturated. The customer acquisition costs and the cost to serve will increase as the easy-to-reach customers are already acquired, and the rate of adding new revenue will start balancing out with the churn. During this phase, while the business continues to grow, it does so at a slower rate compared to the middle stage. The Compound Effect is still at play, but its impact on growth rate diminishes as the business approaches market saturation.

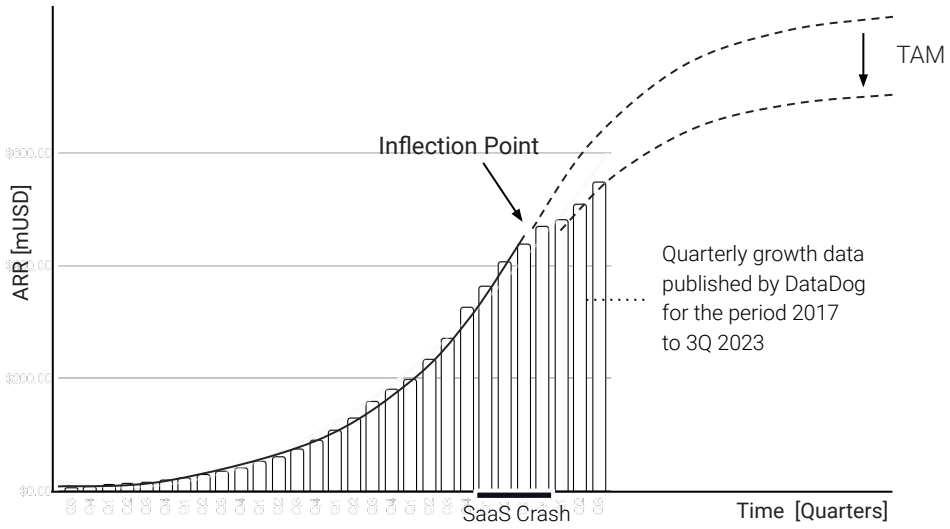
  The does not imply that companies cannot grow further; they absolutely can. However, further growth requires exploring other avenues, such as penetrating new markets, launching new products, or making acquisitions.

The combination of these 3 stages—initial slow growth, rapid growth in the middle stage, and eventual plateauing–forms the characteristic S-curve.

Example of the S-Curve

Next we are using an X-Y framework in which we plot ARR on the vertical axis, and time, measured in quarters, on the horizontal axis. We then chart publicly available quarterly revenue data from DataDog within this framework. The graph reveals that until mid-2022, DataDog traversed the classic S-curve all the way up to an inflection point in 2022

FIGURE 9.2 ***Example of revenue growth following an S-curve using DataDog's public growth data.***



The inflection point was the result of the SaaS crash resulting in a reduced growth rate. DataDog was not alone in this; the SaaS crash had the same effect on almost all SaaS companies. As of 2024, it is still unclear if this slowdown signifies a permanent shift for SaaS companies, indicative of a reduced TAM, or if their growth rate will rebound. Only time will tell.

Guidelines for Understanding Revenue Growth Patterns

It's crucial to understand that graphs, such as the above, can obscure the true nature of growth patterns. To decipher a growth pattern, consider the following guidelines:

- **Data Quality:** Always verify the accuracy and reliability of the data used in the graph, particularly in GTM operations where data are often drawn from different sources that do not adhere to a common data structure.

- **Examine the Scale of the Revenue Axis:** Pay close attention to whether the revenue axis is logarithmic. This is especially important because exponential revenue growth appears linear on a logarithmic scale. Misinterpreting the axis scale will lead to incorrect conclusions about the growth rate.
- **Zoom Out for Perspective:** Zoom in close enough, and any growth curve will eventually appear linear. Thus, zooming out to gain a broader perspective at times is essential to determine the growth pattern.
- **Contextualize with Timeframe:** Consider the timeframe represented in the graph. Short-term fluctuations might give an inaccurate impression of long-term trends. A longer time frame provides a clearer picture of the growth trajectory.
- **Watch for Inflection Points:** Keep an eye out for inflection points where the direction or trajectory of a company's growth changes noticeably. These points signify a change in the growth pattern that can have a drastic impact on future growth. It is crucial to identify and navigate these inflection points effectively, as they require strategic adjustments and decisions to adapt to changing market conditions.

With this in mind we are going to analyze the Growth Rate next.

9.1.2 Growth Rates

The growth rate refers to the percentage increase in revenue, subscribers, or customers over a specific period of time. The growth rate is indicative of the market's hunger for a solution, the company's ability to meet that demand, and the effectiveness of customer acquisition, retention, and expansion.

What sets a recurring revenue business apart is that it is expected to conquer the market "by storm," reflecting an extraordinary high growth rate, much higher than almost any other industry. To keep up such a high velocity companies need to have the resources in place long before they need them. This makes understanding and predicting growth essential in planning for it.

How to Calculate (Annual) Growth Rate

A well-funded late-stage startup is expected to grow 20% to 100% year over year. For example, DataDog, founded in 2010, reported an annual revenue of $1.675B for the year 2022, a 62.7% increase over the $1.029B reported the previous year. The growth rate is calculated as follows:

FORMULA 9.1

$$Growth\ Rate = \left(\frac{Revenue(End) - Revenue(Begin)}{Revenue(Begin)} \right) \times 100\%$$

Revenue(Begin) is the beginning value of the period over which it is measured

Revenue(End) is the ending value of the period over which it is measured

FORMULA 9.1a

$$Annual\ Growth\ Rate = \left(\frac{\$1.675B - \$1.029B}{\$1.029B} \right) \times 100\% = 62.7\%$$

Let's compare the annual growth rate of 62.7% of DataDog at $1.7B to Ford, a 100+-year-old Enterprise company, which grew 14.8% to $174.23B in the 12 months ending September 30, 2023.

Compound Growth Rate

Whereas the growth rate tells us the immediate change from one period to the next, the compound growth rate (CGR) gives us a smoothed average rate that accounts for ups and downs over multiple periods, such as seasonality. Compound growth rate is considered a more nuanced and informative measure for assessing long-term performance vs. annual growth rate

FORMULA 9.2

$$Compound\ Growth\ Rate = \left(\frac{\text{Revenue at the end of a period}}{\text{Revenue at the beginning of a period}} \right)^{1/\text{period}} - 1$$

Revenue(Begin) is the beginning value (the denominator).

Revenue(End) is the ending value.

Period is the time of measurements. This can be annually (CAGR) or monthly (CMGR).

The −1 converts the growth ratio over the period into an annualized growth rate.

Monthly Compound Growth Rate (MCGR)

Measuring growth in monthly recurring revenue (MRR) can be a challenge as month-over-month growth rates can be inconsistent. A more reliable metric to use is the Compound Monthly Growth Rate (CMGR), as David Spitz, Founder of BenchSights, suggests. CMGR provides a smoothed, average rate of growth over multiple months. For instance, if you started the year at $10M IN ARR and ended it at $20M in ARR, this method would yield a CMGR of 5.95%

FORMULA 9.2a

$$Compound\ Monthly\ Growth\ Rate = \left(\frac{20}{10}\right)^{1/12} - 1 = 5.95\%$$

When it comes to startups seeking Series A or B funding, a CMGR of over 10% is considered healthy. To put it in perspective, a CMGR of 10% translates to roughly 3x year-over-year growth, which is a strong indicator of the market demand and your business's Scalability.

Annual Compound Growth Rate

You may find your investors look for Compound Annual Growth Rate (CAGR). CAGR smooths out fluctuations and provides an average annual growth rate that accounts for compounding. For example, if you grow from $10M in ARR to $100M in ARR in 5 years, it would equate to a CAGR of 58.5%.

FORMULA 9.2b

$$Compound\ Annual\ Growth\ Rate = \left(\frac{100}{10}\right)^{1/5} - 1 = 58.5\%$$

CAGR can be especially informative for late stage investors as it serves as a reliable indicator of the appetite of the market for the product. In this case, a CAGR of 58.5% over 5 years is a fantastic growth rate that many investors would find attractive. In short, use CAGR for investor relations and benchmarking, providing a smooth annual growth rate ideal for comparing performance over several years. On the other hand, CMGR is more suited for short-term, internal business analysis, offering insights into monthly trends and aiding in running the business on a day-to-day basis.

THE DENOMINATOR EFFECT

In a recurring revenue business, especially one experiencing rapid growth, the growth rate is calculated as the increase in revenue over a period relative to the revenue at the start of that period. As the business grows and the base revenue (the denominator in this calculation) becomes larger, maintaining the same growth rate becomes more challenging. This is where the denominator effect comes into play. It works as follows:

- As the recurring revenue business grows, its base revenue—the denominator in the growth rate calculation—becomes larger. This large base can be from an expanding customer base, increased subscription fees, or additional services.
- With a larger denominator, the same absolute increase in revenue represents a smaller percentage of growth than before. For example, adding $1 million in revenue to a total of $5 million is a 20% increase, but adding the same $1 million to a $50 million total is only a 2% increase.
- This leads to a natural decline in the growth rate over time, even if the business adds the same or even greater absolute revenue each year. As a result, despite strong performance, the growth appears to stall.
- The effect is more pronounced in rapidly growing businesses because they quickly accumulate a substantial revenue base. As the company scales, the sheer volume of revenue required to sustain high percentage growth increases, making it a more challenging target to achieve.
- Businesses with recurring revenue need to manage stakeholder expectations regarding growth rates. Stakeholders should understand that percentage growth rates will naturally decline as the business scales, even as absolute growth remains strong.

The denominator effect is a mathematical reality even for the healthiest of businesses, rather than an indicator of deteriorating performance.

Growth Rate Terms

There are different growth rate ranges each with their own popularized name (see Table 9.2) such as normal growth, rapid growth, and hypergrowth. All of these are commonly seen in B2B companies. The coolest term of all, *Blitzscaling*, is reserved for the rarest of success stories. Blitzscaling requires a large accessible market. It can be found in the consumer and professional user space. Recent examples include Shopify and OpenAI.

TABLE 9.2 ***Different (names of) growth rates.***

Name	Annual Growth Rate	CMGR
Normal Growth	0% to 10%	0.8%
Rapid Growth	10% to 20%	1.5%
Hypergrowth	20% to 40%	2.7%
Double Growth	100%	5.9%
Triple Growth	200%	9.9%
Blitzscaling	>1,000%	>21.2%

The Denominator Effect and its Impact on SaaS Growth Rates

The denominator effect is a normal mathematical phenomena that causes a gradual decline of growth rate as the business grows.

Let's say the total revenue in Year 5 was $100 million, and in Year 6 $10M in revenue is added. According to Formula 9.1, this would represent a 10% annual growth rate. Now, if in the next year, the same team delivers the same results, and it increases revenue once again by $10M to $120 million, the growth rate naturally drops from 10% to 8.3%. The untrained eye may perceive that growth is stalling. This misunderstanding is crucial for companies in a mature growth stage, who find that new revenue growth doesn't have the same dramatic impact on overall revenue as it did in earlier years. The origins and characteristics of this are explained in more detail in Annex B.

BLITZSCALING

The term Blitzscaling was popularized by Reid Hoffman, co-founder of LinkedIn, and Chris Yeh in their book *Blitzscaling: The Lightning-Fast Path to Building Massively Valuable Companies*. Blitzscaling is best applied when being the first to scale can lead to a dominant market position that competitors find difficult to challenge. The strategy involves growing at a breakneck pace and quickly capturing market share. Blitzscaling causes excessive spending on marketing and sales, rapid hiring, aggressive investment in product development, and scaling operations at a pace many would consider reckless. The approach exploits network effects at the expense of short-term profitability, requiring significant investments and calculated risks to achieve massive growth. This strategy can lead to immense success, as seen in companies like Spotify, Uber, and Airbnb, but it carries substantial risks, including potential financial collapse.

9.1.3 Growth Stages

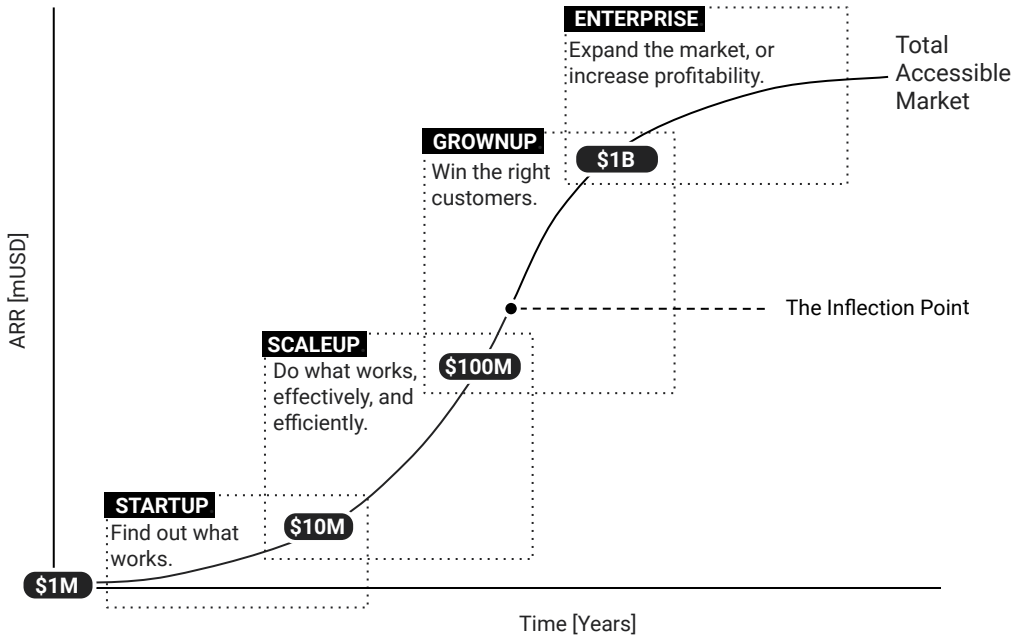
Growth stages refer to the different phases of a company's development, each characterized by specific financial, operational, and market milestones. Understanding the difference between these stages is crucial as they reflect investment risks and opportunities. Table 9.3 describes the most common growth stages, the funding round that fuels them, their average duration, their revenue ranges, and their growth rates.

TABLE 9.3 ***Growth stages with funding, financial, and market milestones as a function of time.***

Growth Stage	Funding Round	Revenue (ARR)	Length	Growth Rate
Seed	Angel	Up to $1M	1 to 2 years	Achieve $1M
Startup	A, B	Up to $10M	2 to 4 years	100% to 200%
Scaleup	C, D, (E)	Up to $300M	3 to 6 years	60% to 100%
Grownup	IPO+	Beyond $300M	2 to 4 years	10% to 60%
Enterprise	Public	Beyond $10B	Over 20 years	<10%

Mapping these growth stages to the S-curve illustrates the typical lifecycle of a venture-funded company, from seed funding to becoming a successful public company (see Figure 9.3). This means that Startups, Scaleups, Grownups, and Enterprises are all on the same trajectory. Every Startup wants to become into a Scaleup, each Scaleup aims to go public, and every Grownup endeavors to become highly profitable. Note that not all venture funded companies may wish to pursue an IPO, with some choosing alternative exit strategies. Regardless each company's growth phase can be pinpointed on the S-curve, based on time and revenue, aligning with a distinct growth stage.

FIGURE 9.3 ***The growth stages mapped to the S-curve.***



The Inflection Point

The inflection point is a pivotal moment that signifies that the direction of growth is shifting. It serves as an early indicator providing the leadership team with a crucial decision: whether to continue pursuing growth, which often requires further investments such as expanding the market and user base, or to focus on achieving profitability, where the emphasis is on optimizing operations and revenue.

Along this journey, an IPO can serve as a transformative event, bringing a new wave of capital that the company can utilize to consolidate its market position. This may involve strategic moves such as acquiring complementary businesses to expand the total available market, thereby extending the upward trajectory of the S-curve and shifting the inflection point further into the future. An example of this is Uber, which leveraged its existing infrastructure to launch UberEats and subsequently acquired Postmates. This exemplifies how expansions serve to broaden the market and defer the inflection point.

9.1.4 Growth Trends

Growth trends are governed by 2 important effects:

- **The Compound Effect** (see page 324 for a description): In a recurring revenue business, future revenues are influenced by past revenues. This effect is grounded in 'The Fundamentals of Growth,' (see Section 2.2), in which we outline that Growth from Retention is the dominant contributor of the total annual revenue each month, often exceeding 90%. Consequently, the bulk of future revenues is derived from the revenue generated in previous years. Companies with revenues spanning multiple years have woven a growth trend into each cohort of customers progressively enhancing predictability over time.

- **The Denominator Effect** (see page 331 for a description): This effect occurs in rapidly growing businesses where, as the base revenue increases, each addition to revenue represents a smaller percentage of growth. This leads to a natural decline in growth rates over time, despite strong absolute revenue growth.

The combination of these 2 growth effects, when applied to the S-curve, form the basis of growth trends. They also explain why investors are more attracted to subscription-based businesses compared to those that rely on ownership or consumption for revenue. Understanding and using these effects is essential for businesses aiming for steady growth and investor trust.

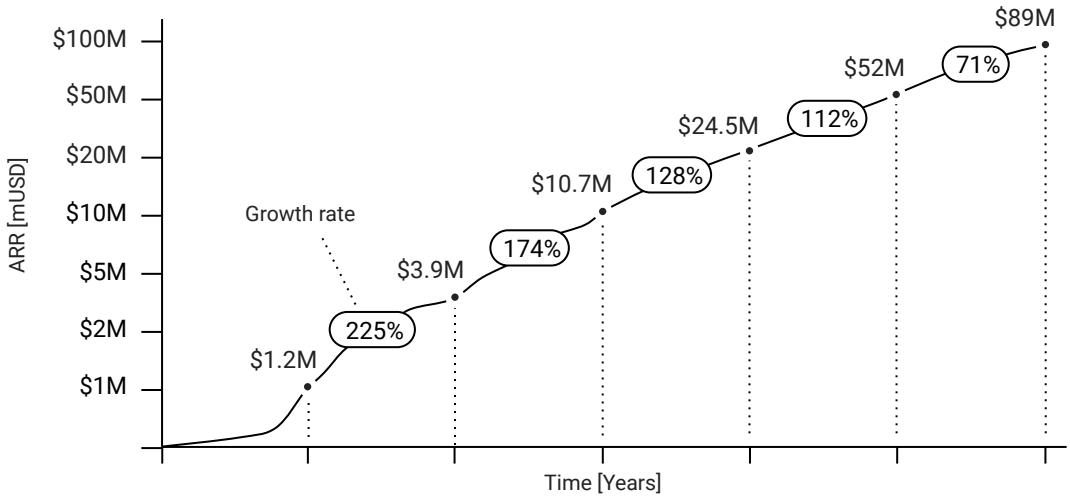
The T2D3 Growth Trend

In 2015, in the middle of the Golden Era of SaaS, Neeraj Agrawal of Battery Ventures observed that successful companies followed a similar trajectory each time. He observed that once a Startup exceeds $1M in revenue, they quickly triple that revenue, then triple it again, followed by doubling, then doubling, and doubling again. In other words, Triple 2 times and Double 3 times, or T2D3. At the end of T2D3 startups ended up in close proximity to $100M in revenue, and with the going valuations at the time, they would achieve unicorn status. Here's how that works out:

Start:	$. 1.4M	
		Triple
Year 1:	$. 4.2M	
		Triple
Year 2:	$ 12.6M	
		Double
Year 3:	$ 25.2M	
		Double
Year 4:	$ 50.4M	
		Double
Year 5:	$100.8M	

A real life of this example is depicted in Figure 9.4.

FIGURE 9.4 ***Demonstration of the declining of the growth rate as the revenue rapidly increases. The growth follows a T2D3 pattern. Note that the graph has the revenue depicted on a logarithmic scale, causing the otherwise exponential growth curve to appear linear.***



After the T2D3 growth pattern, startups continue to grow, but their growth rate gradually declines. In the following years, they first trend toward hypergrowth (40%) and then rapid growth (20%). During this evolution, the growth rate naturally declines. With it, the importance of growth as a metric for valuation decreases, and profit starts to play a more significant role. This leads to the Rule of 40 as an important factor for companies that surpassed $100M in ARR. Historically, companies following a known growth trajectory secured substantial funding rounds at high valuations. This is because such predictability indicates that these companies have successfully met the needs of their target market.

- **Statement:** While T2D3 serves as a concise representation of a correlation in the growth trend, the combination of the Compound Effect, the Denominator Effect, and the S-Curve as a growth pattern reflects the causal nature of growth, rooted in a mathematical foundation.
- **Condition:** The predictability of revenue growth relies on the maturity of the processes that have yielded the results it is based on.
- **Let's translate:** Each GTM motion functions like a sub-system, essentially its own revenue production line. For example, consider a low touch inbound GTM motion as its own sub-system. The maturity of the processes behind this GTM motion reflects the stability of the data and, consequently, its predictability. It usually takes a certain volume of business, often around $8M in ARR, for a process to mature. By aggregating the predictions of all mature sub-systems, we can determine the performance of the entire system, which is measured in ARR.

In other words, the maturity of the GTM processes within your organization significantly influences your growth (and valuation), often more than most leadership teams realize. And, it is remarkable how, over several years, the company's growth pattern will reflect all the obscure processes in a company, think of the hiring process, the onboarding process, the process to integrate new tools, launch a new campaign, and so on.

Circumstances Causing Growth to Deviate from the Growth Trend

The growth trajectory of a company can significantly deviate from the established growth trend under specific circumstances. These circumstances may include:

Internal Factors, such as strategic moves taken by companies to introduce innovations, adapt to changing market conditions, or expand their product offerings in pursuit of accelerated growth.

- Launching a new product, as exemplified by Apple's introduction of the iPhone, App Store, iPad, and later the iPhone.
- Changes in pricing and packaging strategies, such as Netflix introducing premium packages, as well as an Ad-supported model.
- Acquisition of a company with substantial revenue, akin to Facebook's acquisitions of Instagram and WhatsApp.

External Factors are those that go beyond a company's control, and they can have a substantial negative impact on its growth rate. These events are notoriously challenging to predict. Here are some examples:

- A major brand issues triggering cancel culture, resulting in user disassociation from the company and its products.
- Competitors disrupting the market with superior products at lower prices, illustrated by OpenAI's actions in December 2022.
- Economic events influencing macro behavior, such as the housing bubble and more recently the SaaS crash in early 2022.

These "once-in-a-lifetime" external events have a much higher likelihood than the name suggests. The real challenge lies not in predicting "if" these events will occur, but rather "when," as they often are outcomes of the "boiling frog syndrome" in which substantial gains are made in time, often with the biggest gains occurring just before the bubble bursts and the market crashes.

These factors illustrate how various internal and external factors can lead to deviations from expected growth patterns.

9.1.5 Growth Funding Stages

A pattern emerges when we analyze data from services like Pitchbook and Crunchbase, along with performance metrics from respected partners across various VC and PE firms. According to this data acquired during the course of 2021, the peak of the SaaS boom, the number of Startups that make it to the next stage decreases significantly at each funding stage—approximately halving with each round. For example, in 2021 it took 45 companies that received an A-round to produce just one that went public (IPO) or was acquired. By late 2023, this ratio dwindled from 1:45 to 1:60. Since then, these metrics have only deteriorated.

TABLE 9.4 ***Growth funding stages, and the stage to stage success metrics.***

Success metric from $2M Seed	Funding round	
45% get to Product Market Fit	A-round	Startup Stage
27% will make it to Go To Market fit	B-round	
14% become a Scaleup	C-round	Scaleup Stage
6% make it to $100M in ARR	D-round	
1% goes public	IPO	Grownup Stage

Having been involved with over a thousand Startups and Scaleups, it is apparent that these low success rates often stem from the same set of challenges. There is a name for them: revenue breakpoints. And they occur all along the S-curve. To be clear, Startups are expected to fail, and failure is an absolutely necessary part of the process. However, no company with a successful product should fail because they picked the wrong GTM model, launched too many GTM motions, hired a wrong executive, or had a bad year. Good news: these revenue breakpoints are easily identifiable, and by understanding their root causes, we believe it's possible to substantially improve success rates. In the following paragraph, we'll identify 12 revenue breakpoints and provide valuable insights on each to help you prepare for them.

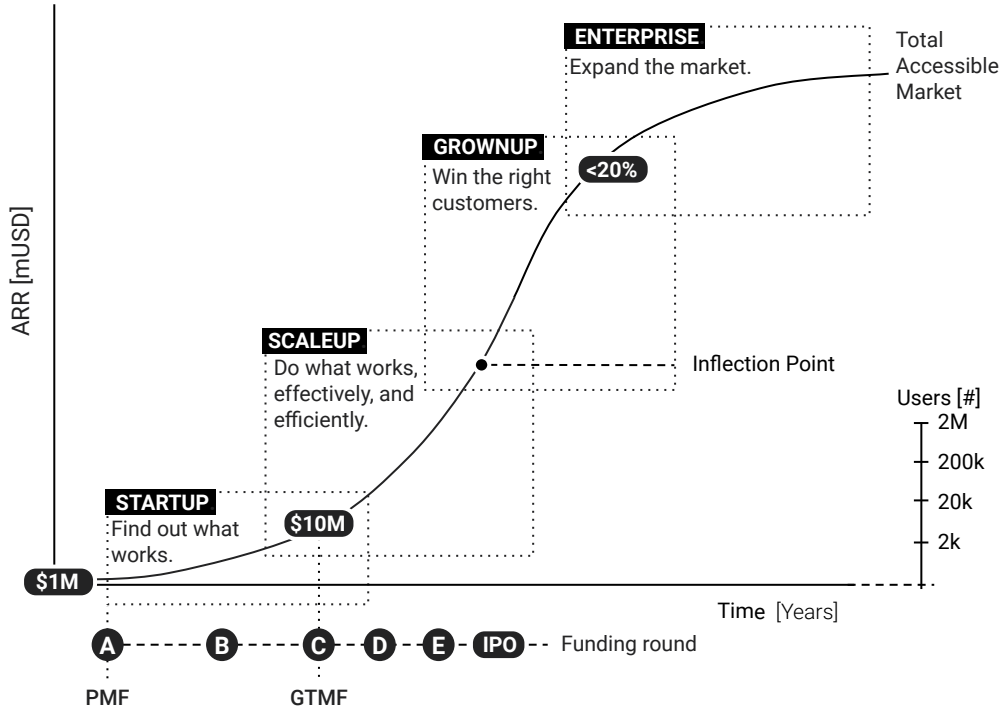
9.1.6 *Growth Model*

When we put the all the components together we get the Growth Model:

- Growth Pattern: The S-Curve
- Growth Rate = $\left(\frac{Revenue(End) - Revenue(Begin)}{Revenue(Begin)} \right) \times 100\%$
- Growth Stages: Startup, Scaleup, Grownup, and Enterprise
- Growth Trends: Triple, Double, Hypergrowth, and Rapid growth
- Growth Funding Stages: Startup, Scaleup, Grownup, and Enterprise

In a recurring revenue model built around a platform, such as a CRM or ERP system, progression along the S-curve is measured in terms of recurring revenue over time. However, in application-based businesses that cater to individual users, this progression can also be gauged by tracking the number of active users over time. In these businesses, Daily Active Users (DAU) and Monthly Active Users (MAU) become important metrics to monitor.

FIGURE 9.5 ***All the different growth components mapped to the Growth Model***



Growth Modeling as a Crucial Operational Tool

For companies on a rapid trajectory, understanding and applying growth modeling is not just advantageous—it's imperative. Let's break it down:

- **A Foundation in Past Performance:** A growth trend is based on the principle that past performance influences future performance, enabling companies to forecast future revenues using historical data.
- **Effectiveness of GTM Motions:** Data reflects the effectiveness of every part of a GTM motion. These GTM motions reflect an ecosystem, integrating a way of working that generates growth; this includes, among others, the tools used and all established processes, including critical ones like the hiring and onboarding process.
- **The Sum of GTM Motions:** The overall number reflects the sum of all GTM motions, each based on repeatable processes, which when combined provide predictable growth.
- **Human-Led Process:** Processes that involve humans usually take a lot longer (1 to 2 years) to mature and deliver the expected results.
- **Investing in Growth :** Rapid growth of a recurring revenue business necessitates investing in growth in advance as much as 1 or 2 years. In comparison, organic growth is more gradual; it depends on existing success for future expansion. Consequently, organic growth, while sustainable, progresses much slower, increasing the risk of missing the window of opportunity compared to a venture funded startup.

This tells us that the growth rate is not merely a metric for driving valuation but, more importantly, is a crucial operational tool. It guides an organization in planning and implementing the necessary means and methods for each GTM motion 12 to 18 months in advance. But all of this depends on the maturity of a business's processes, which is not inherently present even in some of the largest SaaS companies. This, in part, explains the lower success rates but also points to a clear direction for improvement. Using growth modeling as a framework, organizations can streamline and optimize their GTM motions, identify areas for improvement, and align their strategies for rapid growth.

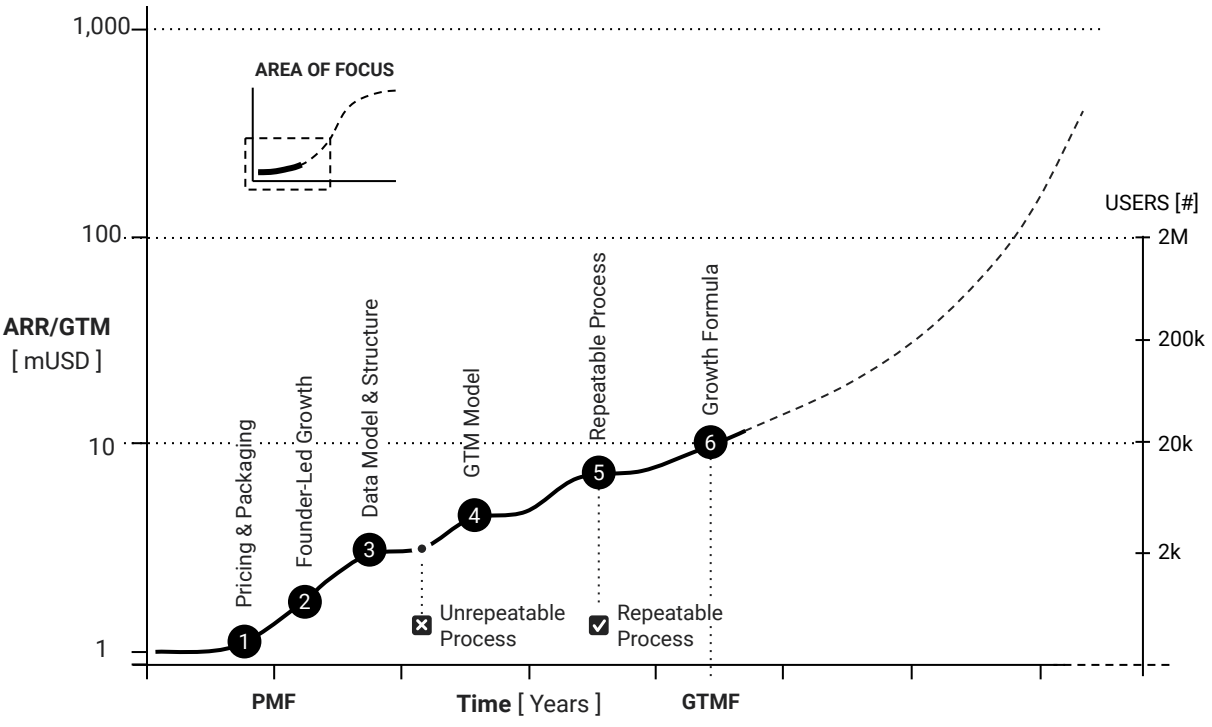
9.2 REVENUE BREAKPOINTS

There is a series of revenue breakpoints along the S-curve. These breakpoints do not occur all at once, nor just once. They apply to each specific GTM motion, and at times they may have to be navigated multiple times as a company grows.

The first 6 revenue breakpoints are:

- **Breakpoint 1:** Pricing and packaging (9.2.1)
- **Breakpoint 2:** Founder-led growth (9.2.2)
- **Breakpoint 3:** Data Model and structures (9.2.3)
- **Breakpoint 4:** GTM Model (9.2.4)
- **Breakpoint 5:** Repeatable process (9.2.5)
- **Breakpoint 6:** Growth Formula (9.2.6)

FIGURE 9.6 ***The first 6 revenue breakpoints on the road to achieving true GTM Fit***



9.2.1 Breakpoint 1: Pricing and Packaging

Choosing the correct revenue model is essential, as it must align with your product, target market, and overall business strategy. As presented in Chapter 5, there are 3 different approaches to choose from: an ownership model, a subscription model, or a consumption-based model. But there is a lot more to it that companies need to get right:

- **Keep Pricing Simple:** Early on, you may dabble with a mix of the 3 models, such as having an additional piece of equipment sold based on an upfront fee, adding re-occurring support services like training, or even a consumption model for usage of some consumable.

  While it's okay to experiment in the early days, having multiple mixed revenue models is not advisable. For example, it is a common mistake to keep a monthly pricing structure on the books just so "customers can try out the service for a couple of months." You don't want to carry that pricing and packaging structure to $100M in ARR.

- **Business Model:** Will you run the business based on monthly recurring revenue (MRR) or annual recurring revenue? This choice is independent of the pricing strategy; for example, you may sell annual contracts but still decide only to recognize revenue monthly.

- **Refund Policy:** Defining refund policies is essential for customer satisfaction and indicates the business model's flexibility. For example, what will your policy be if a customer wants a refund 5 months into a 12-month contract? Transparency will enhance trust and confidence in your offering.

- **Revenue Recognition for Multi-Year Contracts:** Consider how you'll handle 2- to 3-year contracts. Will you recognize the entire booking up front, or will you recognize only the annual payment? This decision affects your financial reporting and can affect business health and growth perceptions.

These are just a few topics that illustrate that once you pick the monetization strategy, you still have to get the pricing and packaging right.

By considering the multifaceted aspects of pricing, payment, and refund policies, you can create a robust revenue model that supports your growth while maintaining trust and transparency with your customers. Price Intelligently, a company specialized in the industry, says it best: *"A well-oiled pricing strategy is 7.5x more effective at generating growth than acquisition strategies alone. Yet monetization is too often an afterthought."*

9.2.2 Breakpoint 2: Leveraging Founder-Led Growth

Founder-driven refers to the founder personally getting involved in operational processes. For example, in the early stages, there is often a founder-led sales effort in which the founder plays a crucial role in closing deals. Considering the challenges with outbound sales, having the founder involved will significantly impact lead generation and drive instant success, even fostering a unique trust with customers.

Founder-driven engagement can create a more personalized experience and demonstrate the company's responsiveness, resulting in higher commitment and quicker decision-making. Although founder-led sales motions are well-known, they are not limited to sales. For instance, Zoom's founder, Eric Yuan, used social media to interact directly with customers, identify and solve software bugs, and showcase a responsive and hands-on approach. This reflects a Founder-Led Customer Service motion.

Founder-driven strategies offer many advantages, but they also come with drawbacks. They can lead to an over-reliance on the founder, making it challenging to scale the business later. The founder may bypass existing processes, resulting in inconsistencies that can become counterproductive.

Founder-Driven Strategies to Scale Growth

Organizations should develop a strategy that allows the founder to gradually reduce direct involvement while ensuring the company matures without losing its innovative spirit. As the company grows, the founder's role must evolve from working with customers to transferring their knowledge to the operational staff. To harness the distinctive qualities of a founder, consider

implementing a range of strategies that gradually shift the founder's role from direct operational involvement to other impactful avenues. Here are some strategies to consider:

- **Customer Advisory Board:** Cultivate strong relationships with customers and gather valuable product feedback.
- **Team Training:** Convey the stories behind the fundamental elements that led to creating the solution in order to empower the team.
- **Speaker Circuit:** Engage in public speaking engagements to enhance brand visibility and introduce groundbreaking developments.
- **Thought Leadership:** Share expertise and insights through publications, blogs, and other channels.
- **Research and Development:** Founders with a penchant for innovation may find leading the R&D department as a natural outlet.
- **Open New Markets:** Entrepreneurial-minded founders can contribute to expanding into new geographic or demographic markets.

These initiatives can help leverage the energy, innovation, and customer connection that often accompany this one-of-a-kind personality.

9.2.3 Breakpoint 3: Establishing the Right Data Model and Structure

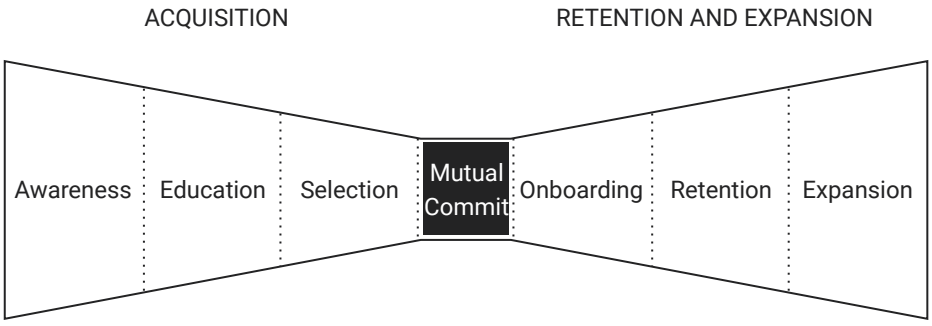
Along the journey from $1M to $1B in revenue, achieving and maintaining growth requires the investment of tens to hundreds of millions of dollars into programs that are proven to create growth. This funding often must be spent within a relatively short time frame on expensive marketing campaigns and hiring premium talent, some of whom may have long-term contracts. Such significant investments should not be based on opinion but on reliable data that can guide whether further spending will achieve the intended results.

In almost all companies, tensions between marketing and sales functions will develop sooner rather than later. Even sales and customer success functions can fall victim to miscommunication, especially concerning customers who churn too early. A sign of trouble is when executive meetings include questions about data validity, such as, “where did you get that data from?”

The Danger of an Ill-Defined Data Model

This problem often arises when a company allows its marketing and sales leaders to choose their data model and structure despite not being experts in these areas. This inexperience will result in an ill-defined lead-to-deal data model with varying definitions for leads and opportunities across different teams.

FIGURE 9.7 ***The Bowtie, the data model custom developed for recurring revenue.***



With the high turnover of leadership roles, newly hired executives come and go, and each one will question the data model and make changes within their departments. Without a standardized data model and structure, the data model and all associated historical data will soon be in disarray. On the other hand, mapping to a standardized data model with a well-defined structure early on will help you benchmark against yourself over the years. It will increase insights and, most importantly, enable organizations to make crucial data-driven decisions when needed the most.

The Importance of a Unified Data Approach

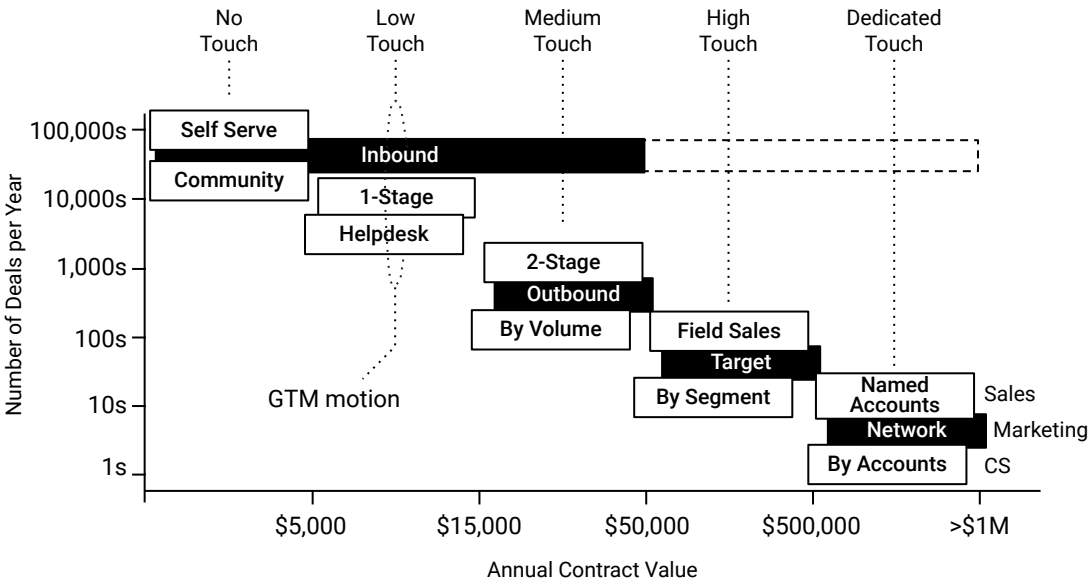
Establishing a consistent Data Model, like the Bowtie model discussed in Chapter 6, is crucial for tracking the entire customer journey. This can be a challenging task for companies that lack the resources and expertise. However, delaying this only makes it more complicated down the line. This isn't just about sidestepping interdepartmental conflicts; it's a strategic investment in your company's long-term success, setting a clear, aligned course for data-driven decision-making and (more) predictable growth.

9.2.4 *Breakpoint 4: The GTM Model*

What's essential to understand is that a GTM approach serves as a framework for organizing all customer-facing roles. A company's overall GTM approach can be divided into different GTM motions, each operating as a standalone business. An organization must be deliberate in selecting the correct GTM motion for the task and align its GTM efforts accordingly with the chosen motions.

Figure 9.8 illustrates the various GTM motions. This topic is so important that we've dedicated an entire chapter to it (Chapter 10).

FIGURE 9.8 ***The GTM model with 5 GTM motions.***



It is expected to get the first GTM motion right; it often happens organically, and with only one GTM motion, all the resources naturally align. However, soon enough, new GTM motions are launched, leading to all kinds of issues. The most common ones are selecting the wrong GTM motion or executing the correct GTM motion poorly. Many things can trigger the launch of an additional GTM motion, and organizations must make a deliberate choice each time. When left unchecked, it is not uncommon for a company with $250M in revenue to have over 20 GTM motions, each with its own requirements.

Here are some examples that may cause the launch of a new GTM motion:

- **Opening a New Market Segment:** Changing a GTM motion can open a new market segment. For instance, if you use a PLG solution to sell to professional users, and you want to enter a new market like Enterprise, you will need to use a new GTM motion, e.g., a high-touch GTM motion.
- **Launching a New Product:** A new product may necessitate revisiting the GTM motion altogether, as it might target a different price point or buyer or involve other buying processes and criteria.
- **Changing the Pricing Model:** Switching from monthly to annual contracts can impact profits, possibly making the chosen GTM motion too costly.
- **Opening a New Vertical Market:** For example, selling a remote communication solution to technology companies and targeting pharmaceutical companies requires understanding the differences between these industries.
- **Opening a New Region:** Regulations regarding prospective buyers may vary by region. Some GTM motions, such as those focused on volume-based emails or calls, might be restricted in certain countries due to privacy laws.
- **Mergers and Acquisitions:** This less common but highly complicated scenario requires careful consideration of the implications of merging different GTM motions.

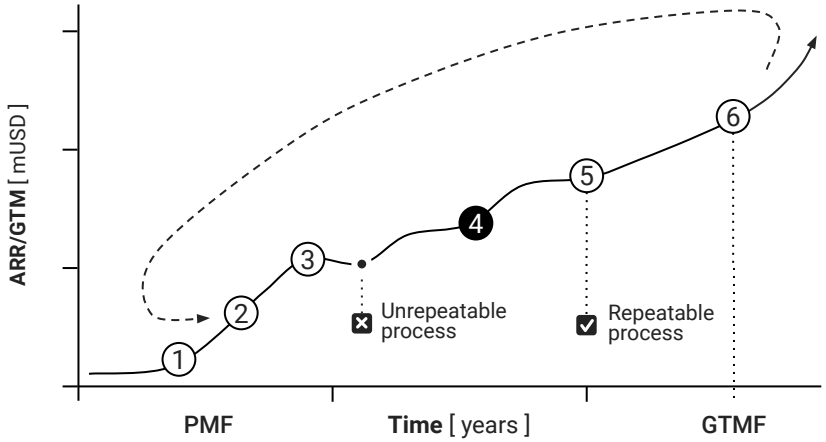
Selecting, launching, and operating the right GTM motions is not a luxury; it is fundamental to establishing scalable and sustainable growth.

The Importance of Selecting the Right GTM Model

Choosing the correct GTM model is not a one-time decision but an ongoing process that adapts to market changes. Mistakes can be costly, resulting in tangible expenses and missed opportunities, whereas the right choices lay the foundation for success. By thoughtfully considering and implementing the most effective GTM motions, a company can remain aligned with customer needs and business objectives, ensuring sustainable growth.

Launching a new GTM motion requires stepping through the process. You can't start selling to the Enterprise by promoting an SMB seller and hiring a few 'big hitters.' In fact, selling to the Enterprise has implications across the organization. It entails re-establishing PMF (pricing and packaging) and GTM Fit (new processes). This means navigating the revenue breakpoints all over again, albeit at an accelerated pace.

FIGURE 9.9 ***Launching a new GTM motion requires navigation of all revenue breakpoints.***



LinkedIn's Customer-Centric Approach to Product Launch

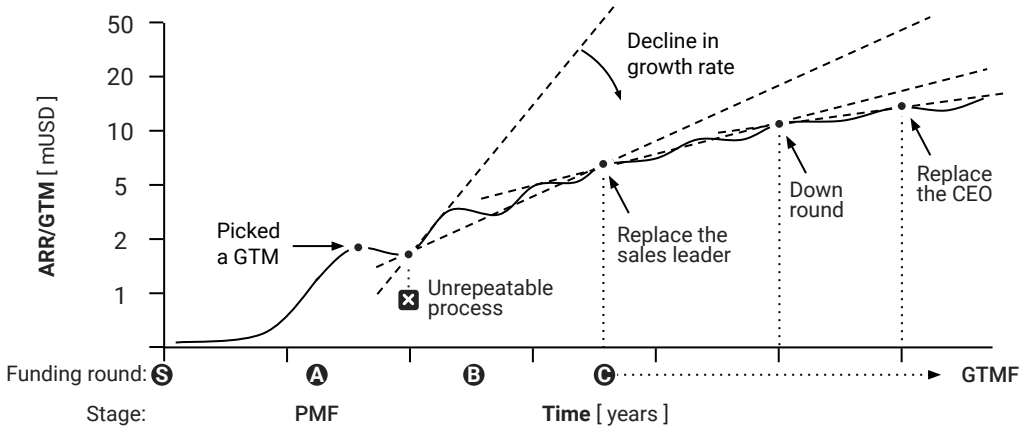
A few years ago, I was fortunate to have a front-row seat as LinkedIn launched a new solution. Instead of developing a product in secret and then unveiling it with fanfare, they assembled a Customer Advisory Board (CAB). From the beginning, they used data to demonstrate the innovative product's necessity to the CAB. They kept the CAB informed through quarterly product demonstrations and engaged in discussions about pricing, packaging, and how to address integration issues. Several months before the official launch, they initiated an education program for the marketing and sales teams, which included publishing articles, participating in events, and providing enablement materials. This two-year process enabled LinkedIn to create an excellent product with customer involvement, achieve an almost immediate GTM fit, and gain customer advocates for the newly launched product.

9.2.5 *Breakpoint 5: Establishing a Repeatable Process*

Scalability hinges on the ability to repeat a process reliably. A repeatable process is a set of activities consistently executed to achieve consistent results. When we implement such processes, we inherently create Scalability. On the flip side, the absence of a structured process makes Scalability elusive. Without a foundation to build upon, the only options are to hire more exceptional individuals or boost lead generation. The telltale sign of an unscalable approach is fluctuating results despite increased investments. It stems from a long-standing growth-at-all-costs mindset that prioritizes just doing more without a well-defined process.

In the absence of processes, organizations become heavily reliant on the abilities of individuals within the company, a term known in the sports world as 'Hero ball.' While it may work on a small scale, such as in a startup, on a larger scale, it leads to unpredictable revenue growth. This unpredictability leaves the organization ill-equipped to meet growing demands, resulting in a decline in the growth rate and prematurely leveling the S-curve. When growth falters, it initiates a chain reaction: firstly, the sales leader is replaced, followed by a down round that penalizes the executives, and ultimately, a change in CEO. However, the most consequential issue is the delay in achieving GTM Fit, which causes the entire venture to miss its window of opportunity.

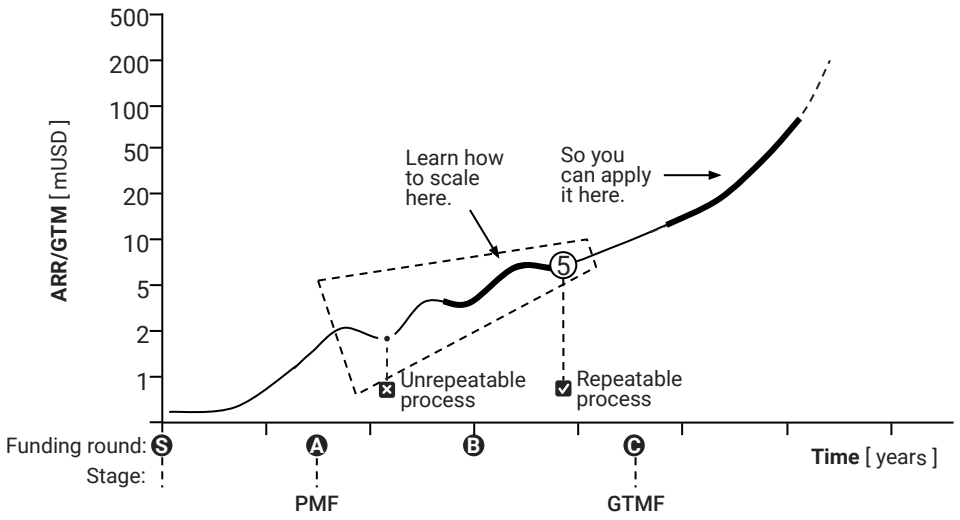
FIGURE 9.10 ***The absence of a repeatable process leads to a decline in the growth rate, a delay in GTM fit, and prematurely plateaus the revenue. This carries significant consequences.***



Creating Scalable Growth Through Repeatable Processes

Scalable growth is attainable through establishing effective and repeatable processes within sales and across all functions within a GTM motion. Once a process has proven to work again and again, organizations can utilize funding, such as a C-round, to replicate what works and expedite their growth. It's not uncommon for companies to secure C-round funding even when they have only implemented a limited number of processes. However, this landscape is expected to evolve in the coming years as Revenue Architecture becomes increasingly prevalent in SaaS companies.

FIGURE 9.11 ***To achieve Scalability, replicate and expand only those processes that have demonstrated their effectiveness and yielded positive results.***

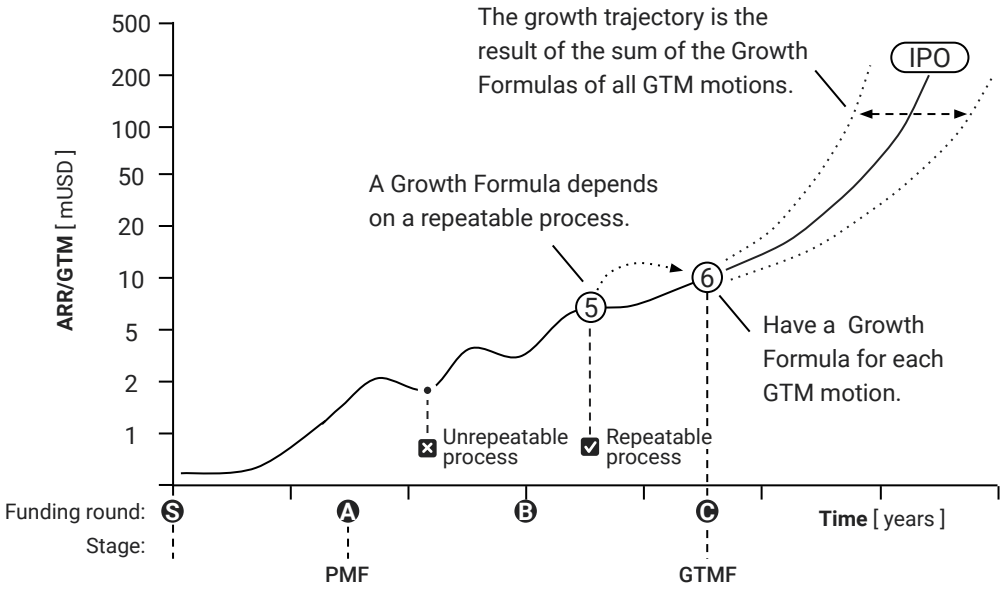


The growth rate represents the culmination of revenue generated through various GTM motions, where each GTM motion functions as a sub-system within the larger organization. The efficiency and effectiveness of each GTM motion are tightly linked to the maturity of its processes. Furthermore, the larger organization is a system itself, with its own unique set of processes, such as the hiring process. All these processes must function seamlessly, like a well-oiled machine, for sustainable growth. Therefore, successful GTM teams must find a way to prioritize nurturing and refining their processes while maintaining the agility and innovation associated with startups.

9.2.6 *Breakpoint 6: A Growth Formula and Unit Economics*

A Growth Formula is a mathematical representation of a scalable and proven process for each GTM motion. It clearly outlines the necessary resources and interconnectedness within each GTM motion required to achieve the desired growth. A Growth Formula can extract insights related to unit economics, providing a quantifiable foundation for informed decision-making to scale revenues. Recognizing its pivotal role, we have dedicated an entire section to the Growth Formula and unit economics (Section 7.2). Establishing a Growth Formula for your GTM motion is the pinnacle of achieving GTM fit and hinges on having a repeatable and scalable process in place.

FIGURE 9.12 ***The use of a Growth Formula and how it predicts the impact on the growth rate.***



A Growth Formula functions as a roadmap for scaling revenue, guiding crucial aspects of the business, including lead generation targets, monthly sales quotas, and expansion revenue goals. Organizations must develop a Growth Formula for each GTM motion and continually refine these formulas to adapt to changing conditions. Since the total revenue is the sum of all GTM motions, combining Growth Formulas allows an organization to model growth.

Unlocking the Power of Growth Formulas

It's important to note that the Growth Formula doesn't incorporate time or cost elements. Instead, it straightforwardly conveys that "If you provide this amount of leads to this system, you can anticipate a corresponding amount of revenue from the system over its lifetime." In this context, the system encompasses all GTM-related efforts, underscoring that growth stems from a revenue factory managed by the GTM team. As an example, consider a basic Growth Formula for the Low Touch GTM motion presented in Tables 7.5 and 7.6:

> *Securing one win requires 253 leads, typically sold at an average price of $18,408, factoring in a 23% discount. Over a 5-year horizon, this results in $106,909, considering an average NRR of 107% per year.*

RECAP OF THE FIRST SIX REVENUE BREAKPOINTS

The Revenue Model lays the foundation for the subscription services pricing and packaging (Breakpoint 1). Maintaining a clear separation between non-recurring revenue products and services versus recurring revenue is crucial. The organization must embrace a process-centric approach while effectively using superstars like Founders (Breakpoint 2). Recurring revenue growth is the sum of the growth from acquisition, retention, and expansion.

A robust data model covering all 3 growth components is needed (Breakpoint 3). Marketing, sales, and customer success functions must be consolidated into a unified GTM motion (Breakpoint 4). A repeatable process for each GTM motion ensures a consistent and effective output (Breakpoint 5).

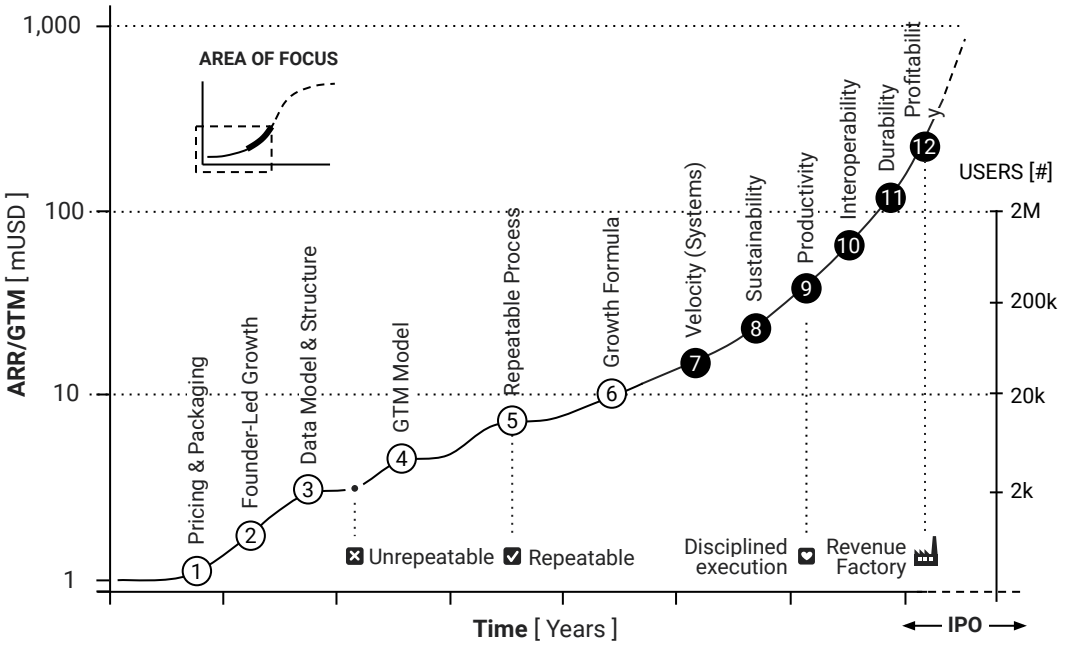
Once the process yields repeatable and predictable results, it is translated into a Growth Formula for each GTM motion (Breakpoint 6). The Growth Formula serves as a formulaic representation of the process's performance, guiding organizations on what needs to be done to achieve their desired growth.

The Next Six Breakpoints On The Way To $1B In Revenue

As we traverse the S-curve a fresh set of challenges emerges. The pace quickens, room for error shrinks, and the consequences of misjudgments swell. Warren Buffett famously said, “Only when the tide goes out do you discover who's been swimming naked.” Just as the tide exposes what's hidden beneath the surface, the next set of Revenue Breakpoints reveal the preparedness of organizations behind their numbers, and what we have learned in 2022 and 2023 is that most are unprepared for what lies ahead:

- **Breakpoint 7:** Velocity (9.2.7)
- **Breakpoint 8:** Sustainability (Cost) (9.2.8)
- **Breakpoint 9:** Productivity (9.2.9)
- **Breakpoint 10:** Interoperability (9.2.10)
- **Breakpoint 11:** Durability (9.2.11)
- **Breakpoint 12:** Profitability (9.2.12)

FIGURE 9.13 ***The twelve revenue breakpoints on the way to becoming a revenue factory***



9.2.7 Breakpoint 7: Scalability (Velocity)

One of the common misconceptions about market leadership is that it goes to the first player on the scene. However, a closer look reveals that many of today's market leaders weren't necessarily the first to start but rather the first to scale. Even a company as dominant as LinkedIn faced competitors in its early days, with some of them, like Plaxo, offering arguably better solutions at the time. The key lesson here is that organizations that carefully select their GTM motions, even if it means having fewer of them, often achieve faster scaling. To illustrate this concept, let's dive into a story featuring 2 direct SaaS competitors, each with a distinct GTM motion: ACME and NewCo.

ACME vs. NewCo: Two Competing GTM Strategies

In 2015, ACME burst onto the scene and quickly garnered industry attention, leading to a significant Series A funding round. The GTM team embarked on a journey of experimentation with various GTM motions. Given the product team's familiarity with a product-led growth approach, they leaned into it. Simultaneously, the newly recruited sales team heavily focused on inside sales but ventured into High Touch sales roles, albeit without a complete understanding of the implications. Instead of narrowing its focus following the Series A funding, ACME continued to explore multiple avenues, primarily due to the challenges associated with decision-making. As time passed, they found themselves with 3 distinct GTM motions in play:

- **GTM Motion 1/High Touch:** Field sales motion that contributes $5M in ARR
- **GTM Motion 2/Low Touch:** Inside sales motion that contributes $3M in ARR
- **GTM Motion 3/No Touch:** PLG motion contributes $2M in ARR

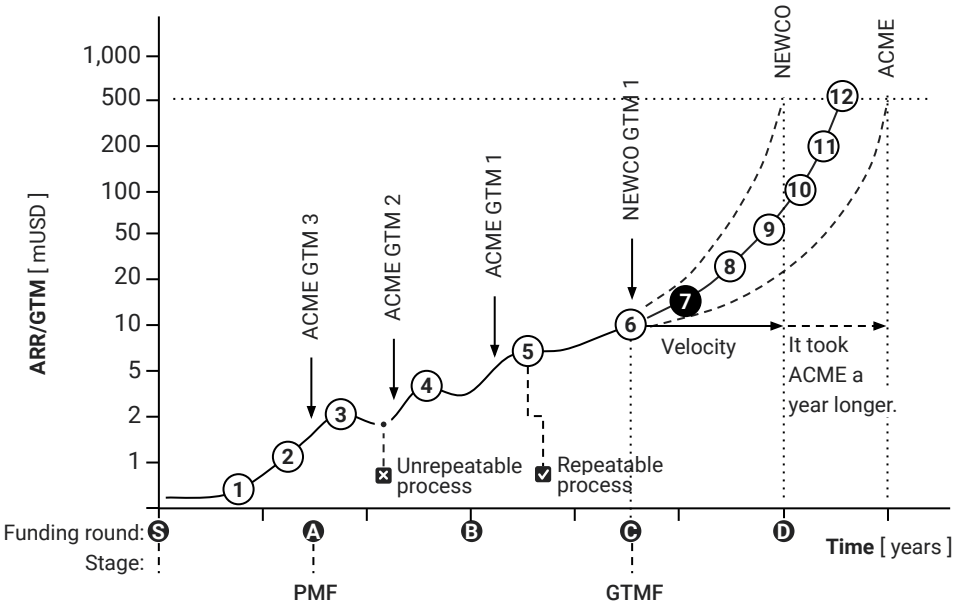
ACME's journey to reach $10M in revenue took several years. In contrast, NewCo entered the market almost 2 years later, in late 2016, benefiting from the market education already provided by ACME. Despite having less funding, NewCo strategically concentrated its resources on a single GTM motion. The leadership team, with extensive Enterprise experience, decided to build their entire GTM strategy around the Enterprise/High Touch motion.

Analyzing the ACME GTM Strategy

When ACME reached $10 million in revenue, it managed 3 distinct GTM motions that were somewhat disconnected. Their high-touch GTM motion lacked a well-established repeatable process, the medium-touch GTM motion faced challenges with insufficient lead volume, and the no-touch GTM motion had abundant leads but was still grappling with finding the optimal pricing and packaging. None of ACME's 3 GTM motions were well-prepared for scaling.

ACME's rapid growth to $10 million garnered much attention and soon led to a successful $25 million funding round. With this infusion of new capital came the mandate to accelerate growth. So unsurprisingly, ACME allocated the funding to all 3 GTM motions, thereby investing in multiple marketing campaigns, expanding all 3 teams, adopting different cutting-edge tools for each GTM motion, and enlisting the support of various independent consultants to orchestrate this large-scale effort.

FIGURE 9.14 ***ACME spread its resources over 3 GTM motions, whereas NewCo focused its resources on one GTM motion. NewCo achieved GTM fit sooner and used its C-round to scale at high velocity. Velocity is the determining factor in achieving market leadership.***



Analyzing the NewCo GTM Strategy

NewCo's high-touch GTM approach may have resulted in fewer deals, but it brought in significantly larger and more profitable contracts. Although NewCo had started almost 2 years later, by choosing to focus on one GTM, NewCo achieved $10 million in revenue shortly after ACME did. NewCo's higher velocity did not go unnoticed, and it attracted a $35 million funding round, enabling it to scale its proven GTM motion.

In contrast to ACME, NewCo allocate 3 times the resources to a single, more mature GTM motion, allowing them to replicate their successful strategy. The outcome was that they scaled much faster, as depicted in Figure 9.14. This illustrates that the key is not who enters the market first but who scales first.

Scalability is Growth as a Function of Velocity

The ACME/NewCo scenario is not an isolated case. Take HubSpot, for instance, which succeeded through a low-touch GTM motion focused on producing valuable content and educating people about inbound marketing, targeting the VSB/SMB market. The alignment between the product it sells and the GTM motion it employs is vital here. Similarly, Slack adopted a no-touch GTM motion, aiming at tech-savvy engineering teams needing collaboration. Using a PLG model, Slack enables organizations to experience the product directly, driving adoption. Slack's focus on delivering an exceptional user experience, coupled with customer-friendly pricing, packaging, and seamless integration with other tools, ensures its GTM motion perfectly harmonizes with its product, contributing to its rapid growth.

Both examples illustrate that deploying a GTM strategy with a motion aligned to the product catalyzes high-velocity growth. This velocity encompasses not only the rate of growth but also its direction, with the latter being contingent upon the correct GTM motion. This underscores the importance of prioritizing scalability and achieving growth velocity rather than simply being first to market as the foundation of early success.

9.2.8 *Breakpoint 8: Becoming Sustainable (Cost of Growth)*

During an economic downturn, all metrics across all GTM functions are impacted at the same time. There will be fewer leads, conversion rates will be lower, discounts will go up, customers will churn, and fewer customers will expand. As this occurs, the same amount of resources suddenly brings in much less revenue, dramatically increasing customer acquisition cost and the CTS. We learned about the impact of marginal changes in Section 7.1.4; a summarized version of this data can be found below (see Table 9.5).

TABLE 9.5 ***The marginal decline per department and the impact on ARR (from Table 7.1).***

Month	Prospects	CR1	MQLs	CR2	SQLs	CR3	SALs	CR4	Wins	Discount	ARR
Q1	500	12%	60	15%	9.0	85%	7.7	30.0%	2.3	10%	$41,310
Q5	400	10%	40	13%	5.2	80%	4.2	27.0%	1.1	15%	$19,094

Use Case Example

In this example, we'll use the data from Table 9.5 to analyze a Low Touch GTM motion. In this scenario, a Sales Development Representative (SDR) generates Marketing Qualified Leads (MQLs) and converts them into Sales Qualified Leads (SQLs), while the Account Executive (AE) closes deals. The SDR earns $80,000/year, the AE earns $140,000/year, and they are selling a platform software priced at $20,000.

First Quarter (Q1) Analysis:

In Q1, the acquisition system's run-rate is as follows: 2.3 deals/month, generating $41,310/month, which adds up to $495,720 in ARR per year.

Cost Comparison:

Now, let's compare the cost of achieving this by assuming both the SDR and AE are on a 50/50 base/variable compensation plan, with a $500,000 quota. It costs approximately $100 in campaign costs to generate one MQL. In this example, the total customer acquisition cost is $225,058 against an ARR of $495,720, which means 45% of the ARR was spent on acquisition.

TABLE 9.6 ***The salaries of an SDR/AE team to secure $495,720.***

Role	OTE	Base	Variable	Quota	Results	Variable	Comp
SDR	$80,000	$40,000	$40,000	$500,000	$495,720	$39,658	$79,658
AE	$140,000	$70,000	$70,000	$500,000	$495,720	$69,401	$139,401
					60	$100	$6,000
						Total	**$225,058**

Four Quarters Later (Q5) Analysis:

In Q5, the revenue secured declines to $19,094/month, resulting in an annual revenue of $229,133. Due to variable compensation, the acquisition cost decreases to $164,409 as shown in Table 9.7. However, the revenue experiences a steeper decline from $495,720 to $229,133.

In summary, as revenue declined, the acquisition cost as a percentage of revenue increased significantly.

TABLE 9.7 ***The salaries of an SDR/AE team to secure $229,133 (during an economic downturn).***

Role	OTE	Base	Variable	Quota	Results	Variable	Comp
SDR	$80,000	$40,000	$40,000	$500,000	$229,133	$18,331	$58,331
AE	$140,000	$70,000	$70,000	$500,000	$229,133	$32,079	$102,079
				MQLs	40	$100	$4,000
						Total	**$164,409**

The Challenge of Rising Costs in GTM

The challenge goes beyond the inevitable rise in costs; it's rooted in the lack of understanding regarding the cost dynamics of a GTM motion and its trajectory. In business models with narrow profit margins, the dramatic shift we've illustrated highlights a scenario where costs don't decrease in proportion to revenue. This reveals an underlying inefficiency that may not be immediately evident but has significant implications. This dynamic, where declining revenue results in a higher proportion of costs, even as absolute costs decrease, exemplifies what we mean by "unsustainable."

If left unaddressed, this situation can severely impact a company's financial health and stability. In today's evolving business environment, control and Sustainability aren't merely desires; they're essential. This signifies a departure from past practices and guides us toward a future where growth is pursued scientifically and responsibly.

KEY TAKEAWAY FOR GTM TEAMS

GTM teams should not only assess the Scalability of each GTM motion using the Growth Formula but also closely monitor the cost of each GTM motion as a percentage of generated revenue. Looking ahead, we recommend that GTM teams track these metrics for each GTM motion.on a monthly basis. Thereby evaluating Scalability and Sustainability.

This journey aligns us with a path that numerous other disciplines have successfully followed before us—a path marked by quality control, data-driven decision-making, continuous improvement, and iterative, incremental progress. All of these achievements are made possible through collaboration and teamwork.

What we recommend here is not new, and it may not be flawless, but every journey must begin somewhere, and this is where we begin.

9.2.9 Breakpoint 9: Increasing Productivity

As a company grows, it becomes increasingly dependent on the productivity of its GTM crew. We have observed that productivity will vary significantly from person to person. For instance, it's not uncommon for top sellers to consistently exceed 100% of their goals, while lower performers often struggle to achieve even half of their objectives. In customer success, for example, the best reps manage a book of business twice the size of their lower-performing peers. This growing disparity between top and bottom performers puts pressure on companies to improve productivity.

In 2023, our findings revealed 3 distinct cohorts with varying levels of productivity:

- **The Normal Group:** This group consisted of 32% of all Go-To-Market reps who consistently performed at a normal level. Within this 'normal' group, only 4.4% consistently exceeded their goals, falling short of the 20% benchmark commonly observed in B2B sales. It's worth noting that several factors contribute to this, primarily the nature of SaaS, which involves a higher volume of deals based on standardized products and fixed pricing, making it less reliant on superstar reps.
- **The Swing Group:** This group represents individuals who consistently achieve between 50% and 80% of their goals, typically constituting about 40% of the team. Often referred to as the ‘swing group,’ they possess the most significant potential to assist organizations in achieving their objectives.
- **The Bottom Group:** This cohort comprises individuals who consistently operate below 50%. Despite the company's investment in these reps, they consistently fall short of expectations and are found to do the minimum amount of work to stay in the job. As of early 2024, this underperforming group represents approximately 28% of the organization, marking an increase from the bottom 10% we have grown accustomed to.

The key revelation here is that the Normal Group, representing 32%, outperforms the other groups by a factor of 1.53x in productivity. For example, sellers in the Normal Group, with the same number of leads, generate 1.53x more revenue. The primary distinction causing this gap can be attributed to the level of discipline in executing proven processes. This also implies that 68% of the GTM crew was not effectively executing these processes. This group has grown so large that it significantly lowered the 'average,' which is why we refer to 'normal' performance levels. It highlights the potential to increase revenue at a lower costs, thereby boosting productivity.

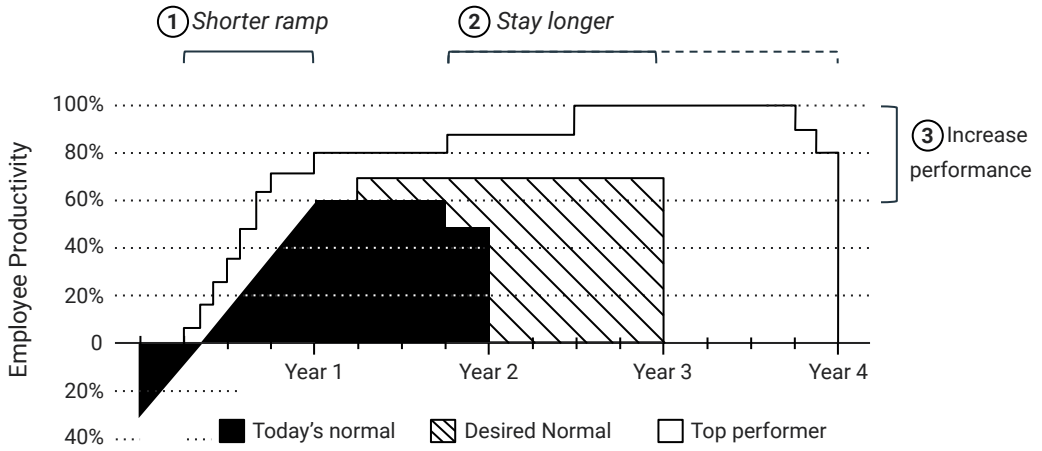
Key Steps to Boost Productivity

In this discussion, we will focus on productivity related to 'on-task' performance. On-task performance reflects the ability of a GTM rep to stay focused and productive while working on specific tasks. When reps exhibit on-task performance, they work efficiently, maintain consistency in achieving their goals, and execute proven processes effectively. This level of performance directly attributes to revenue generation, enabling them to achieve more with the same resources. In essence, on-task performance is the driving force behind increased productivity, consistency, and revenue growth. There are 4 actions that will increase on-task performance:

- **Action 1: Shorten the Ramp-Up Time**, not just during onboarding but whenever they transition to new tasks and their roles change.
- **Action 2: Retain Productive GTM Reps Longer:** Encourage productive GTM reps to stay with the organization.
- **Action 3: Enhance a GTM Rep's On-Task Performance** through skill training and disciplined execution of proven processes.
- **Action 4: Optimize Headcount:** Many organizations have traditionally focused on growth through hiring. However, as we explored in the Fundamentals (Section 4.3), this approach can be counterproductive. Historically, organizations end up hiring way more people than necessary. In such cases, lowering headcount can lead to an increase in productivity.

Next we will delve deeper into each of these steps.

FIGURE 9.15 ***The shrinking productivity window of a modern employee reflects the effects of changing working conditions, such as remote working, the utilization of talent earlier in their career, a lack of skill training, overdependence on tools, and a shortage of managers who are to act as coaches.***



ACTION 1.

Shorten the Ramp with Modern Training Techniques

Many forward-thinking organizations are embracing modern training techniques to expedite the onboarding process.

- One common trend is establishing internal academies that blend on-demand and live training sessions, reducing reliance on external trainers. However, these academies are not limited to teaching tool stacks or HR policies; they aim to bridge the critical gap in soft skills necessary for effective execution, a need applicable across all GTM roles.
- Another valuable approach is leveraging call recordings. Studies have revealed that sales representatives engaging with customer conversations, especially during discovery calls and demos, tend to onboard more swiftly. Creating a comprehensive call library can significantly scale up the effectiveness of this practice.

Peer-based coaching is another indispensable strategy. New hires are paired with seasoned team members, fostering a close working relationship over 3 to 6 months. This hands-on mentoring approach facilitates rapid skill acquisition and integration within the team.

Incorporating artificial intelligence (AI) into training programs is an emerging trend. AI-driven platforms offer personalized training paths, identifying each contributor's needs and improvement areas. They also provide simulated calls and emails for practical training, enhancing the onboarding experience. By implementing these modern training techniques, organizations can streamline the ramping-up process and equip their teams with the skills needed for success in the competitive business landscape.

ACTION 2. **Retain Productive GTM Reps Longer**

To enhance employee retention and productivity, cultivating an accountability culture is paramount. This culture shift involves a forward-looking approach to talent retention, emphasizing continuous learning and development as key drivers of success.

- Retaining top-performing employees is a pivotal aspect of this strategy. By creating a work environment that encourages ongoing growth and improvement, organizations can attract and keep their most valuable team members engaged and committed.
- Another crucial element is the strategic utilization of employees' strengths. Identifying top performers' unique talents and capabilities and leveraging them within the team can lead to increased productivity and overall team success.
- In addition, progressive organizations are increasingly adopting the practice of promoting from within. By establishing in-house academies and development programs designed to nurture and elevate their star employees, these organizations ensure that their talent pipeline remains robust and that future leaders are cultivated.

By fostering an accountability culture that values continuous learning, recognizes individual strengths, and invests in internal talent development, organizations can retain their top-performing employees and ensure sustained productivity and growth.

ACTION 3.

Increase Performance Through Continuous Development

To drive performance improvement, organizations are increasingly turning to continuous development initiatives. This approach involves a proactive and ongoing effort to enhance employee skills and capabilities, ensuring they remain competitive and effective in their roles.

- One effective strategy is the implementation of ongoing micro-skills sprints. This approach encourages performers to acquire a new skill each month through targeted training and managerial coaching. By breaking down skill development into manageable monthly objectives, employees can steadily enhance their abilities and contribute more effectively to the organization's success.
- Real-time (AI) coaching is another innovative technique. It provides reps with immediate hints and guidance during their interactions with customers, enabling in-the-moment learning and skill refinement. This real-time feedback loop can have a profound impact on performance and customer satisfaction.
- More recently we are seeing the use of AI to improve productivity by performing auxiliary tasks. Think of summarizing meetings, updating the CRM, and drafting follow-up emails. As AI continues to advance, we anticipate more productivity solutions that will streamline workflows and boost overall performance.

By embracing continuous development, organizations empower their employees to grow their skills incrementally, take advantage of real-time coaching, and leverage AI-driven productivity tools. These strategies collectively contribute to improved performance and competitive advantage in a rapidly evolving business landscape.

Productivity in GTM roles is a challenge that requires a uniform perspective from hiring to streamlining onboarding, continuous development, and a performance culture using a coaching over a managing mindset. This will retain top performers and transform average contributors into top performers.

The Resurgence of the Academy

Companies like IBM, Cisco, and Xerox, once titans of innovation, owe a significant part of their historical triumphs to their internal academies. These academies weren't mere training grounds; they were crucibles of knowledge and know-how, turning their workforce into a competitive differentiator. Few companies have since trotted that proven path. Due to incredible rate of innovation, combined with the lack of talent, leading companies will invest in an internal Academy which will train and coach on knowledge and know-how. These academies will be built around the importance of the human-to-human experience and augment, not replace it, with AI.

DISCIPLINE UNLOCKS PRODUCTIVITY

Proven processes alone do not guarantee productivity; productivity is unlocked through the disciplined execution of these established processes. Discipline and process are inseparable partners, with processes providing the blueprint for necessary actions, while discipline ensures their effective execution. Together, they form the bedrock of productivity, enabling individuals and organizations to achieve their goals efficiently.

Discipline is a powerful force that empowers individuals to perform tasks accurately (on-task performance) and overcome challenges. It resembles having a plan and unwavering commitment to it, ensuring task completion, exceptional quality, and timeliness. Discipline serves as the catalyst, transforming potential into performance and setting the stage for success.

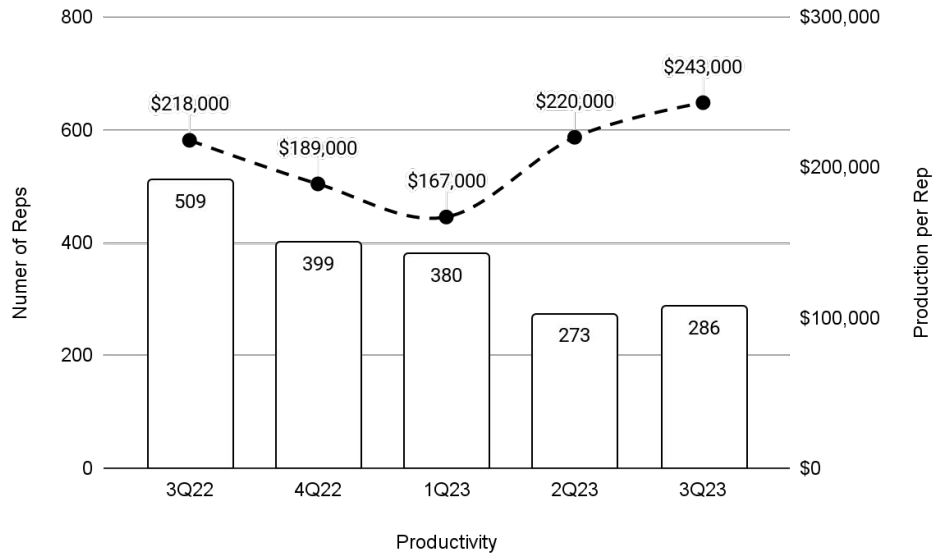
In recent years, discipline has received an undeservedly negative reputation; however, it is the key to turning the impossible into reality. The moon landing, for example, shows how discipline, characterized by rigorous planning, training, and on-task execution, played a pivotal role in accomplishing this extraordinary feat. Anyone who participated in the mission regards it as their proudest achievement. It proves that discipline not only unlocks rewards for organizations but also imparts a profound sense of accomplishment to individuals that can last a lifetime.

ACTION 4.

Lowering the Headcount Leads to an Increase in Productivity

In the quest for productivity, there's another valuable tool— managing the size of your workforce. In 2022, one of our clients reduced its sales organization from 509 to 286 people. Within a year, this caused the productivity per rep to increase significantly. In any reduction-in-force, the goal is to remove underperformers while not adversely affecting customers, quality, or revenue. Customers and other responsibilities are typically re-distributed to the remaining staff, whose acumen makes them well-suited to deliver results. Cutting costs is a growth initiative in these situations, not the opposite.

FIGURE 9.16 ***In this real-life example, the client reduced its headcount over time. Initially, productivity per rep declined. However, as the discipline in executing the processes improved, productivity rose and eventually surpassed previous levels.***

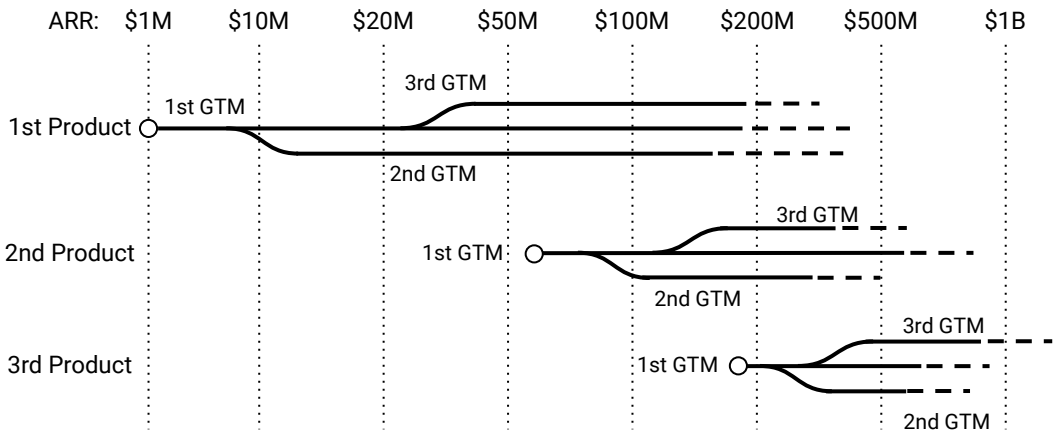


In summary: We identified 3 distinct cohorts of productivity: the Normal Group, the Swing Group, and the Bottom Group. The Normal Group representing 32% outperforms others by 1.53x in productivity. This disparity underscores the need for productivity improvement. There are 4 steps to boost productivity: onboard faster, keep crew members longer, improve on-task performance, and lastly lower headcount by letting underperforming crew members go.

9.2.10 Breakpoint 10: Ensuring Interoperability

In our dedicated chapter, The Operating Model, we discuss the challenges organizations face with the growth of the number of GTM motions. Managing one GTM motion is feasible, but complexity escalates with each additional one. This is due to each GTM having its own language, data structure, and specialized tools. As an organization expands, the number of GTM motions can increase significantly, compounding the difficulties. For example, a company with $100M in ARR might have around 10 GTM motions, while at $1B, this number could rise to as many as 20. Without standardization, employees become the translators further increasing complexity.

FIGURE 9.17 ***As ARR grows, the number of GTM motions increases. Most GTM motions do not interoperate with each other, in fact they are designed to compete with each other.***



Interoperability, at its core, involves 3 essential elements: i) the use of a standardized data model, known as the Bowtie; ii) the adoption of a common language, illustrated by Impact; and iii) the creation of an open interface for method integration, as shown with SPICED. These elements not only boost efficiency but are crucial for unlocking AI's potential. Interoperable systems enhance AI-driven solutions through standardized data and system interactions, leading to accelerated learning and improved responses to customer needs. This grants companies a substantial competitive edge that is challenging for competitors to match.

Here are a few examples of how AI based on an interoperable GTM approach can accelerate growth:

- Optimize sales routes, lead scoring, and content personalization, ensuring that sales and marketing efforts are directed where they will be most effective, reducing wasted effort and increasing overall productivity.
- Provide managers insights into individual team members' performance, learning curves, and collaboration patterns. A data-driven approach enables managers to act like coaches, providing personalized support and guidance.
- Analyze vast amounts of customer data to provide insights into their needs and preferences, allowing contributors to provide a personalized experience.

The ability to analyze data at scale, automate routine tasks, personalize training, and support decision-making makes AI a powerful tool for mitigating productivity gaps.

9.2.11 Breakpoint 11: Attaining Durability (Quality of Growth)

In the book's opening chapter, we drew parallels between a traditional factory and a recurring revenue business, especially for companies exceeding $10 million in revenue. We aligned the objectives of the revenue factory as follows:

- **Scalability:** Increasing production in a factory is achieved by adding manufacturing lines. In a revenue factory, growing recurring revenue is accomplished by adding more GTM motions and providing them with additional resources.
- **Sustainability:** Enhancing cost efficiency in a factory corresponds to reducing costs to ensure Sustainability. Factories employ the elimination of waste as a key principle. Similarly, in the revenue factory model, this translates to achieving cost-efficient growth and leveraging technology to streamline processes and reduce reliance on manual efforts.

Now, how do we relate Quality to the realm of a recurring revenue service?

Quality Equates to the Impact a Customer Gets out of Your Product

The quality of a software product is fundamentally determined by its impact. When a factory produces high-quality products, customers are inclined to want to buy more of them; think of Apple for example. In the software world, this principle remains unchanged and seamlessly aligns with the theme we have been talking about throughout this book: **Impact.** Durability, therefore, is a reflection of the ongoing Impact software products provide.

What are key indicators of Impact? Valuable insights can be drawn from the PLG approach, where one of the key indicators of Impact is the usage of a product, measured through metrics like Daily Active Users (DAU) and Monthly Active Users (MAU). However, Impact goes beyond mere usage; it's about what customers do with the product and the outcomes they derive from it. Let's use the example of an Applicant Tracking System (ATS) to identify different kinds of impact and how you can measure this::

- **Increasing Users:** can be measured by the increasing number of seats.
- **Increase in Usage:** can be gauged through login behavior, the number of job descriptions filed, and the volume of responses received.

However, the ATS's impact goes above and beyond these metrics:

- **The Rational Impact** is evidenced in the quality of employees hired, but also the speed of the hiring process, and adherence to legal hiring processes. To improve this the software may offer AI guidance based on real-time best practices, resulting in candidates who are a better fit for the organization.

Realizing that an ATS is a system that interacts with a lot of humans, which are emotional beings, therefore:

- **The Emotional Impact** extends to the hundreds of applicants who may feel they were seen and share their positive experiences. Moreover, the product's user-friendly nature and its ability to seamlessly publish job listings across multiple platforms simplified the operator's life.

This goes far beyond just onboarding the customer and wishing them well.

Durability is about Aligning Recurring Revenue with Recurring Impact

In subscription-based businesses, organizations often focus on conventional practices such as onboarding, sharing use cases through email lists, addressing password recovery requests, and sending out year-end renewal invoices to secure recurring revenue. However, this approach reveals a misalignment between the impact customers achieve and the recurring revenue earned.

This underscores the essence of Durability: Aligning Recurring Revenue with the Recurring Impact that customers attain. Organizations often experience reduced retention when these 2 elements are not synchronized, as is frequently the case with annual-based SaaS contracts. Here are several strategies to align Recurring Revenue with Recurring Impact:

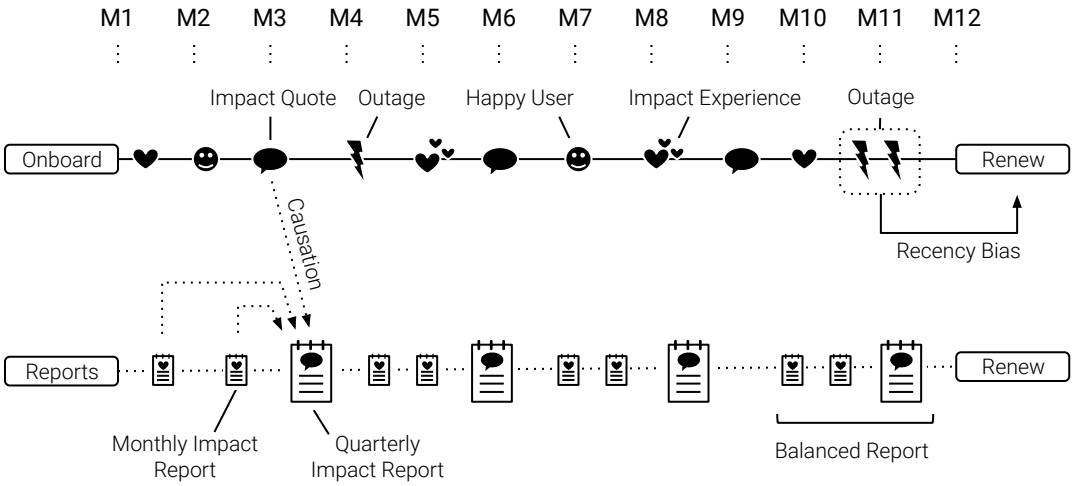
- Go beyond product onboarding; emphasize how customers can extract meaningful results from the product (see Moment 1 in Section 8.3.4).
- Transform the Quarterly Business Review (QBR), which typically focuses on what the seller wants from the renewal, into a Quarterly Impact Review centered on what both parties gain from the renewal.
- Shift the focus from identifying upsell opportunities based solely on usage to identifying customers with whom you can collaboratively achieve a more significant impact (see Moment 3 in Section 8.3.4).
- Extend your assessment beyond the rational impact on the company and delve into the impact provided to users and operators (see Section 8.2.1).
- Evolve your approach, progressing from tracking seats sold to monitoring usage (logins), then from usage to measuring outputs created (reports/dashboards), and ultimately understanding how the product contributes to the achievement of a company's corporate goals (Impact).

By embracing these strategies, you will soon witness expansion-driven Growth surpassing Growth from customer acquisition. Expansion-driven Growth is more cost-effective, resulting in a surge in profitability. What was once a startup with an appealing product has now evolved into a resilient business with a base of loyal customers.

Case in Point: Boosting Renewals Through Timely Impact Reporting

In many organizations, monthly executive staff meetings are convened to unite functional heads in discussing progress toward the company's objectives. It's beneficial to establish the schedule of these meetings during the customer onboarding process—for example, every first Monday of the month. In the days preceding these meetings, your champion users will often rush to collect the necessary data for their reports. It presents a prime opportunity for your technology to excel by concisely summarizing the impact with clear progress charts. Submitting this data, along with a fantastic-looking chart and insights, in a timely manner significantly increases the chances that your contributions will be included in the monthly status report, thereby significantly enhancing the prospects for renewal and expansion.

FIGURE 9.18 ***Aligning Recurring Revenue and Recurring Impact by providing monthly impact reports.***



This approach exhibits 3 key characteristics: i) it minimizes the influence of recency bias, ii) it creates a more comprehensive view of performance, and iii) it encourages widespread distribution. A case in point is Slack, which reports key metrics such as active users and conversation statistics monthly, thus establishing itself as an essential communication tool.

Importance of Acquiring the Right Customers

To reach a state of Durability, companies must concentrate on acquiring the right customers—those who find your impact indispensable. Such customers renew contracts and consider additional expansion. Net revenue retention (NRR) and gross revenue retention (GRR) emerge as pivotal metrics for a subscription-driven business. When evaluating the Durability of a recurring revenue business, consider that GRR holds more weight than NRR for several reasons:

GRR: Indicative of Durability

- **Customer Stickiness:** GRR is a simple metric that measures how well a company can retain revenue from existing customers.
- **Quality of Service:** GRR serves as a more genuine indicator of your service's essential value to customers since it isn't influenced by expansion revenue.
- **Predictability:** A high GRR implies business stability, which is valuable during economic downturns when upselling and cross-selling are more challenging.

NRR: Growth-Oriented but Less about Durability

- **Inclusion of Expansion Revenue:** While a high NRR indicates business health, it might mask issues related to the core product or service offering.
- **Economic Sensitivity:** NRR is vulnerable to economic fluctuations, making the business seem less durable during downturns.
- **Not Core-Focused:** NRR is more about demonstrating growth potential than core product stability and customer satisfaction.

As the company grows its revenue, it is common for subscription businesses to keep channeling premier resources disproportionately toward acquisition. This causes an influx of new customers but at the same time neglect existing ones, thus negatively impacting GRR. This causes the company to grow its revenue but stay in the maturity phase of scalability or sustainability.

To become durable the company has to balance its resources towards existing customers driving durable growth from expansion (and retention) which comes at a much lower cost thereby driving profitability.

WHAT WE CAN LEARN FROM PLG METRICS

Fundamentally, from a GTM perspective, PLG shifts the focus from sales-led strategies to ones where the product itself is the main driver of customer acquisition, conversion, and expansion. In such a landscape, understanding user behavior, feature adoption, and customer engagement helps companies understand how customers interact with the product.

Data guides the decision-making, helping refine the product, optimize user experience, and prioritize feature development. It empowers businesses to respond quickly to market changes, customer needs, and emerging opportunities. In essence, a data-driven approach in PLG is what transforms insights into action. There are numerous metrics that offer valuable insights into customer engagement, product value, and areas for improvement. Here are some commonly tracked metrics:

- Monthly Active Users (MAU) and Daily Active Users (DAU): The number of unique users who engage with the product each month or day.
- DAU/MAU Ratio: A measure of engagement; a higher ratio indicates more frequent usage.
- User or Activity Scores:
    - Session Duration: How long users are actively using the product.
    - Feature Adoption Rate: Percentage of users who use a specific feature.
    - Time-to-Value (TTV): Time it takes for users to realize the value.
    - Engagement: Custom metrics measuring user interactions.
    - User Growth Rate: The rate at which the user base is expanding over a defined time period.

Understanding how your customers use the product and what they are able to get out of it is the linchpin that connects product development to achieving customer impact.

9.2.12 Breakpoint 12: Maximizing Profitability

When a privately venture-funded company goes public, it shifts from the realm of private ownership into the intense glare of public scrutiny. This transition necessitates a heightened sense of responsibility towards shareholders, stricter adherence to regulatory compliance, and unwavering pressure to not only maintain growth but also to prioritize the maximization of shareholder value, which ultimately boils down to profitability.

Analyzing Public SaaS Companies' Performance

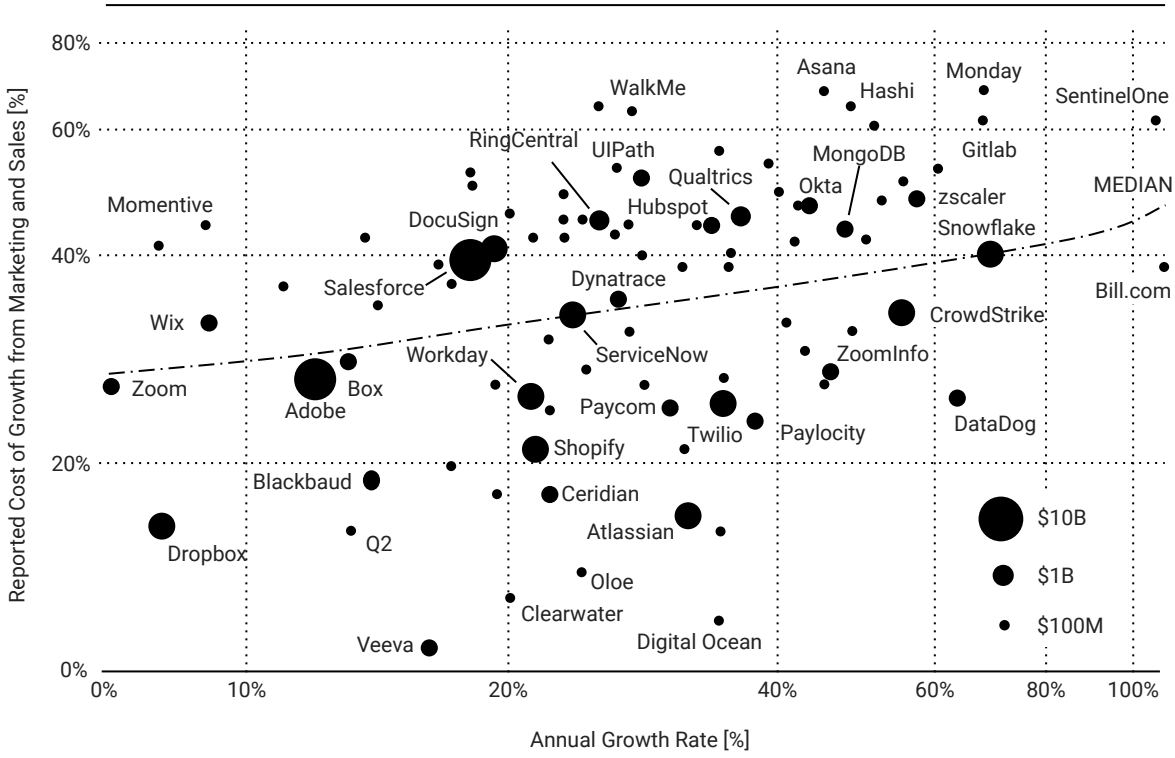
In April of 2023—more than a year after the SaaS market had experienced a crash—we examined the growth data of numerous public SaaS companies. We suspected that SaaS firms were allocating excessive financial resources toward growth, hinting at a potential loss of GTM fit. One of the pivotal metrics we scrutinized was the relationship between the cost of growth and the growth rate, as these metrics were available in the financial reports of SaaS companies.

To gain insights into the challenges faced by the industry in 2023, we generated a chart on the following page (Figure 9.18). In this chart, the horizontal axis represents the annual growth rate, while the vertical axis portrays the cost of marketing and sales as a percentage of ARR. Note that both axes are depicted logarithmically. Within the chart, the bubble size corresponds to the business size reflected by the total ARR.

For example, the 2 giant bubbles are Salesforce and Adobe, which are the 2 largest SaaS companies, boasting revenues of $37 billion and $18 billion, respectively, as of January 2024.

Considering the growth rate (x-axis) as a measure of Scalability and the cost of growth (y-axis) as a measure of Sustainability, it becomes evident that many companies were pursuing growth at a high cost, consequently failing to attain Durability. They remained stuck in the Scalability stage, relentlessly striving for growth at any expense.

FIGURE 9.19 ***In Q2 of 2023, public GAAP based stock performance data from public SaaS companies depicted a picture that showed the impending collapse of GTM fit due to the disproportionate cost of acquisition compared to the growth rate.***



Areas of Opportunity for Increased Profitability

Having been closely involved with over 2 dozen companies on this chart, we have learned that 3 common scenarios explain these high costs, pointing us to areas of opportunity for increased profitability:

1. Difficulty in reducing expansion costs, often because expansion efforts have not been properly separated from acquisition teams.
2. Inefficiencies arise from a lack of interoperability and a uniform Operating Model.
3. Rapidly hiring many people but struggling to sustain productivity per GTM representative.

These issues keep the cost of acquiring and maintaining revenue high therefore these companies have not matured into the Durability stage.

For readers who are still on a journey to get to such a problem, realize that it is much easier to design your revenue factory to be scalable, sustainable, and durable from the beginning using the principles discussed in this book than it is to reverse the trend once habits, outdated systems, and processes have set in.

After going public, SaaS companies face pressure to maximize shareholder value but often struggle with inefficiencies. Our analysis shows most marketing and sales aren't delivering expected growth rates, hurting profitability. The key issues are unclear expansion strategies, operational inefficiencies, and rapid, unproductive hiring. Addressing these early is essential for long-term success.

ACCOUNTING FOR SAAS GTM COSTS UNDER GAAP

GTM costs typically include various expenses related to marketing and sales efforts aimed at acquiring growth from acquisition and expansion. These costs can include advertising, sales team salaries, marketing campaigns, and other expenses associated with acquiring and retaining customers.

Under Generally Accepted Accounting Principles (GAAP) guidelines, certain expenses, such as those related to customer retention (like renewals), are categorized under Cost of Goods Sold (COGS) rather than being classified as marketing and sales expenses. This distinction is made because retention costs are directly tied to maintaining and delivering the product or service to existing customers, which is a component of the cost of goods sold.

9.3 GROWTH METRICS

In early 2022, numerous venture-funded SaaS companies showcased impressive financial metrics, such as their Magic Number and the LTV to CAC ratio. However, business operators had been warning for months that the resources required to sustain the growth behind these metrics were unsustainable. Following the SaaS Crash, it became evident there was an apparent disconnect between the metrics presented at the board level and the realities faced by GTM teams. This disconnect can largely be attributed to the existence of different kind of metrics.

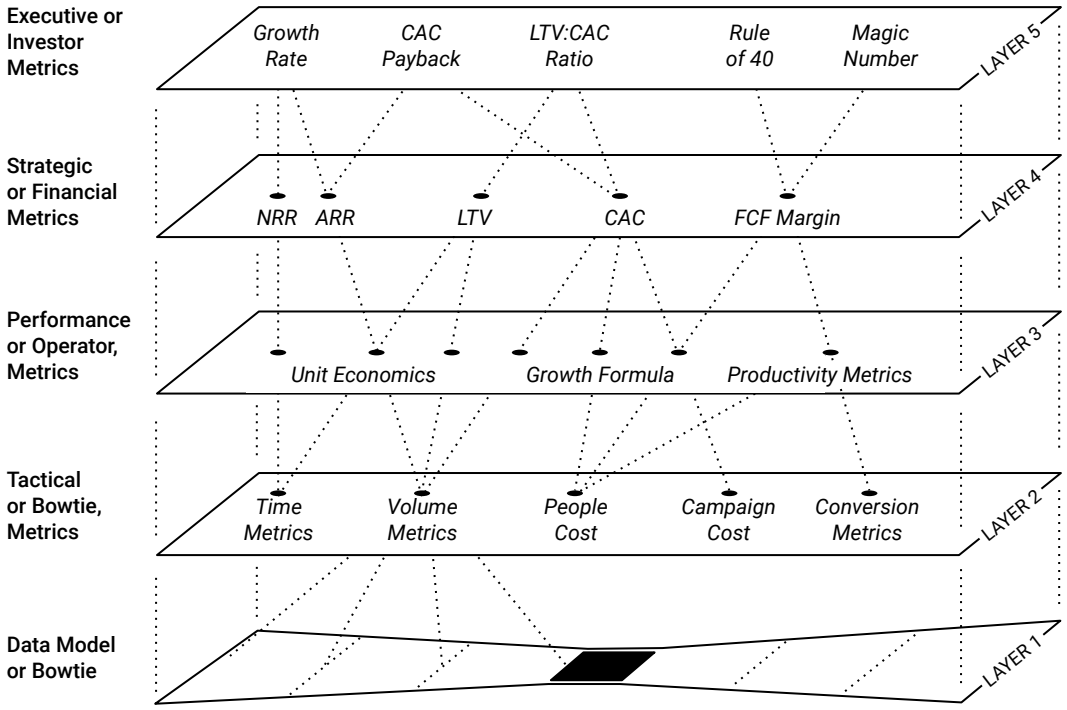
Hierarchy of Metrics

Not all metrics are created equal; there is a hierarchy with layers. Each layer has a different kind of metrics and a different emphasis:

- **Investor Metrics:** High-level indicators such as the LTV to CAC Ratio and Burn Multiple are crucial for investors as they often involve ratios of financial and performance figures.
- **Financial Metrics:** Metrics like ARR, CAC, and FCF directly pertain to the company's financial health.
- **Performance Metrics:** Operational teams rely on these to steer the business. Of particular note is the Growth Formula for each GTM motion.
- **GTM Metrics:** This layer encompasses detailed operational data—Volume Metrics (like lead counts), MRR, Time Metrics (like sales cycle lengths), Costs (including personnel and campaigns), and various Conversion Metrics.

All metrics originate from the same source: The Data Model, or Bowtie (see Figure 9.19). The interconnected nature of metrics is illustrated by dotted lines. When these metrics intersect, they form ratios. Additionally, these layers represent temporal aspects; GTM Metrics are closer to the data source, while Investor Metrics are more distant. This highlights the delay between Investor Insights and GTM metrics, emphasizing the real-time relevance of GTM data compared to the retrospective analysis often used by investors.

FIGURE 9.20 ***Example illustrating the causal and temporal relationship among diverse layers of data, each tailored to a specific use case, all anchored in the same fundamental data model and structure.***



The key here is this: Executive or Investor Metrics are used to determine how best to allocate investments to hit metrics that improve valuation of a company. They are not intended to guide an operational team, such as sales leaders, to make decisions based on resource allocation in any given month.

For making operational decisions, such as increasing SEO spend, hiring more salespeople, or determining the right time to add account managers, you need metrics closely aligned with the day-to-day operation. In the next section, we are going to explain the difference across 3 separate topics:

- Executive or Investor Metrics (9.3.1)
- Growth Maturity Phases (9.3.2)
- Performance or Operator Metrics (9.3.3))

Let's start by understanding Investor Growth Metrics.

9.3.1 Executive or Investor Metrics

When viewing investor growth metrics from an operational standpoint, they exhibit the following characteristics:

- **Reflect the Business as a Whole:** Metrics, like CAC and LTV, provide a high-level overview of the entire business. They offer a broad perspective, similar to taking a distant snapshot. However, to comprehend specific details and assess what's effective in various business segments, it's necessary to zoom in on individual aspects—for example, comparing the cost of customer acquisition to that of expansion within each GTM motion.
- **Obscure Underlying GTM Metrics:** Investor growth metrics can sometimes conceal what's transpiring within the business. For instance, a positive NRR may appear favorable but could be spoofed by a price increase.
- **Are Based on Ratios:** Optimizing one ratio may come at the expense of another. For instance, metrics like the LTV to CAC ratio may encourage a focus on short-term financial outcomes at the potential cost of long-term Sustainability, such as prioritizing profitability over customer success.
- **Trailing Indicators:** These metrics reflect past performance and serve as trailing indicators. They may not offer real-time insights into the current state of the business. This lag can result in growth metrics appearing strong while the market has already shifted, as in 2021 and 2022.
- **Dependent on the Context:** The interpretation of these metrics hinges on the context of a business. What proves effective for one company or industry may not be universally applicable. It's crucial to consider the unique circumstances of your business when relying on investor metrics.

These characteristics highlight the importance of not relying on investors' metrics to make investment decisions when operating a recurring revenue business. Metrics like CAC:LTV ratio, Burn Multiple, FCF margin, and the Rule of 40 are not intended for guiding day-to-day operational decisions.

In practice, founders, CEOs, and revenue leaders gain insights from venture partners regarding which metrics, in the form of Key Performance Indicators (KPIs), are crucial for attaining the highest valuation. Subsequently, their finance and revenue leadership teams align the business toward achieving these KPIs. These KPIs not only facilitate the acquisition of additional funding but also require improving these investor-driven metrics, further driving up valuation. This pressure can lead operators to spoof the necessary growth metrics, a topic we discuss next.

Spoofing of Investor Growth Metrics

Spoofing, or falsifying information to deceive or manipulate, has been used in various areas, from technology and cybersecurity to entertainment. It's not a shock that people who stand to gain so much from a company's valuation choose to manipulate growth metrics. It often happens with sincere intentions. For example, during the Golden Era, venture-backed companies were valued based on the growth rate, leaving us today with the ramifications of the growth-at-all-costs generation felt in every part of the business. Here are some examples of growth metrics being spoofed today:

- **Growth Rate Spoofing:** Privately owned companies can decide how and when to recognize revenue. For example, do multi-year contracts book all on the day they close or when they are consumed? These decisions can have radical implications for growth metrics.
- **Retention Spoofing:** Retention can be measured against logos, seats, revenues, and usage. One may present an incorrect picture of what is happening by excluding a specific user group that exhibits high churn metrics, such as single-seat sign-ups. At the same time the growth of single-seats are used elsewhere to reflect a high growth rate.
- **ARR Spoofing:** A common area of ARR spoofing is to include hybrid revenue, such as services. Some of this may even be "re-occurring" revenue. As we explained elsewhere, re-occurring revenue differs from recurring revenue from a subscription contract and reflects a lower valuation.

- **NRR Spoofing:** One of the few SaaS-centric metrics reported by many SaaS companies. It remains unregulated, and therefore, it is expected to be a metric that will be spoofed in the coming years. And there's a reason for it: NRR can easily be spoofed. For example, if retention goes down by 5–7% due to the loss of customers, the seller can raise the product's price by the same amount, thereby spoofing NRR.

While these tactics may serve short-term interests, they can lead to a distorted understanding of a company's performance and value. This will undermine investor confidence and, more importantly, misguide operational strategies. Adhering to transparent and honest practices in reporting growth metrics is essential for businesses aiming for long-term success and Sustainability.

At this point, it must be clear that relying on Investor Metrics for day-to-day operations is not the most effective approach. This is the reason for GTM metrics, and as we previously discussed (in Sections 9.1 and 9.2.11), these metrics vary depending on the maturity phase. So, let's begin by defining the metrics for each maturity phase based on what we've learned so far.

9.3.2 Growth Maturity Phases

All complex things can be reduced to simple fundamentals. Similarly, for hypergrowth companies, the objective of the entire operation can be deduced to these 3 simple goals:

- Provide a great product(s) that customers are thrilled about.
- Grow the revenue.
- Improve your profits by lowering the cost due to economies of scale.

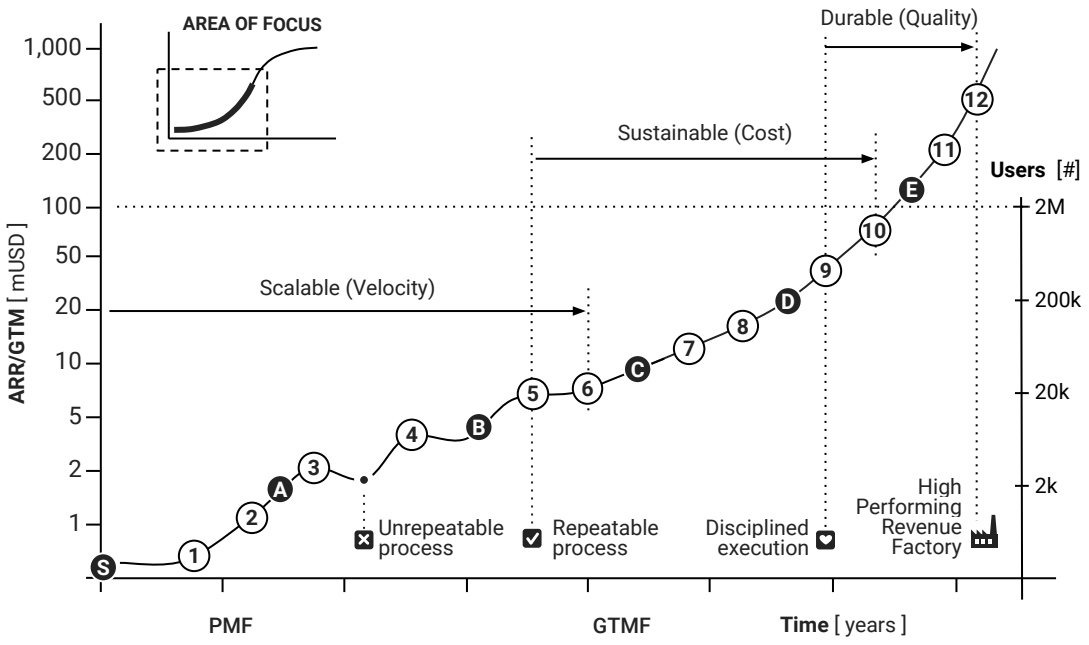
Here, it's essential to distinguish between venture-backed and non-venture-backed companies. In the latter's case, profitability usually comes before reinvestment in growth—a process can take years due to the time needed for hiring and operational scaling. However, venture-backed companies focus on investing in the potential for growth ahead of profits.

As we learned in the previous section, this is where the danger lies. The scramble for funding can set companies on a precarious course, leading to a Pyrrhic victory where the company burns through valuable resources without ever being able to achieve a profit. To mitigate this risk, we outline 3 phases of growth that align with the company's maturity level:

- **Maturity Phase 1:** Focus on growth to achieve Scalability.
- **Maturity Phase 2:** Focus on cost-efficient growth to achieve Sustainability.
- **Maturity Phase 3:** Focus on the quality of growth to strive for Durability.

This provides a clear direction for operational growth metrics: identify the right metrics in each phase (see Figure 9.19) and work towards achieving set goals. The first phase's message is simple: "Go win as many deals as possible." During a board meeting, an investor might ask, "If we provide twice the funding, can you grow twice as fast?" As you transition to the next phase, the focus shifts to Capital Efficient Growth. Investors may ask, "Is there a way to leverage more technology (AI) to reduce costs?"

FIGURE 9.21 ***Maturity phases mapped to the Growth Model.***



Lastly, like a factory striving to increase production while reducing costs, a hyper-growth organization must prioritize durable growth. It entails a focus on Quality, where Quality equates to Recurring Impact when it comes to recurring revenue. Investors might ask, "Can you develop additional products for your customer base?" All of this starts at the beginning: Achieving Scalability.

Maturity Phase 1: Achieving Scalability

This phase starts around $1M to $2M in ARR or 2,000 users. Sellers start to recognize patterns in the buying behavior—who is buying, how they are buying, what features they value the most, and the words they use to reflect the impact of the product (#1). These insights help in picking the first GTM motion (#4). The goal for scaling is to map the GTM motion into a well-oiled process (#5), represented by a Growth Formula (#6), based on data and trendlines (#3).

TABLE 9.8 ***The first 6 revenue breakpoints are mapped to Scalability***

1. Pricing & Packaging	Pricing (annual/monthly), tiers, payment terms, refund terms, and discount policies have been established.
2. Leverage Founder-Led Growth	Founder plays an important but no longer operationally critical role.
3. Standardize Data Model	A standardized Data Model is used across all departments, regions, verticals, and segments.
4. Structured in GTM Model(s)	A structured growth strategy using different (but not too many) GTM motions mapped to the data structure.
5. Repeatable Process/GTM Model	Establish a process per GTM motion, write it down so it can be explained and people can be trained on it.
6. Growth Formula/GTM Model	Establish a Growth Formula per GTM motion that matches the process.

Scalability primarily focuses on acquisition, so crucial metrics revolve around pipeline conversion and sales metrics, such as price and the sales cycle. It doesn't mean you can ignore customer success; however, your goal is to cast a wide net to gauge how scalable your product is, which may result in low retention rates. And that is okay in the Scalability phase.

Track the acquisition metrics; you will need the data later when launching the next GTM. Monitor expansion metrics, indicating which customers derive significant impact from your product. Achieving Scalability takes about $8M in ARR for a GTM motion, but be warned—the costs can be steep. Therefore, this phase depends on early-stage funding by investors who help achieve GTM fit.

Deliverable: Each GTM motion must have a Growth Formula (#6).

Maturity Phase 2: Becoming Sustainable

At this stage, organizations begin scrutinizing costs and striving to make their chosen GTM motion sustainable through economies of scale and technological advancements. Achieving Sustainability is generally a multi-year process and may involve launching alternative GTM motions to increase velocity (#7). Seen through the lens of a GTM motion, we're focusing on both the growth (#6) and the cost of that growth (#8) in acquisition, retention, and expansion.

TABLE 9.9 ***Revenue breakpoints 7 to 10 are mapped to Sustainability.***

7. Velocity Based Growth	Use the company's most valuable resources to drive the GTM motion with the highest growth rate.
8. Sustainable Growth	Ability to track what each GTM motion is costing and a trendline shows the costs are declining.
9. Increase Productivity	Productivity per GTM rep is measured; programs to shorten ramp time and improve productivity are in place.
10. Ensure Interoperability	A standardized Data Model, uniform methodology and a common language is used across all GTM motions.

When a subscription business reaches around $30M in revenue, most of its recurring revenue stream will come from retention. Here, executives must exercise caution. History has proven that most executive teams instinctively continue to invest disproportionately in acquisition. Don't fall for this; growth from retention has become equally important and requires the same level of investment. And once you surpass $50M in ARR, there needs to be a balanced investment across all growth areas: acquisition, retention, and expansion.

As discussed in an earlier section (Section 9.2.12), when you pass $50M in ARR, your growth rate should still be over 40%, GTM metrics should trend towards increased profitability based on improved conversion rates (#9), and steady decline in cost metrics improving productivity (#9). At this stage, organizations must structure the myriad of GTM motions (#10), including letting go of some costly GTM motions that have been trending in the wrong direction. This phase often aligns with late-stage funding to help the company reach Scaleup fit and prepare for an IPO.

Deliverable: Each GTM motion must have a Growth Formula and a cost picture.

Maturity Phase 3: Pushing for Durability

In the third phase, external funding to drive the business starts to take a backseat, and the spotlight shifts to the company's ability to self-sustain and grow organically. The critical transition here is that your growth engine is powered by existing customers through renewals, expansions, and even customer-generated leads that help reduce acquisition costs. The dependency has shifted—from relying on external funding to relying on existing customer base. As we have learned, this is based on happy customers who achieve the desired impact from the product they commit to.

TABLE 9.10 ***Two revenue breakpoints are mapped to Durability.***

11. Attain Durability	The company focuses on anchoring itself on Customer Impact.
12. Achieve Profitability	The key GTM motions are profitable, with enough FCF to fund innovations where needed.

Here are several aspects to consider:

- **Customer-Centric Focus:** Customer satisfaction and retention are paramount. Happy customers who achieve the desired impact from your product are your best advocates. A focus on delivering exceptional value and ensuring customer success is essential.

- **Renewal and Expansion Strategies:** Your revenue growth is driven by existing customers renewing their subscriptions and expanding their usage. Implementing effective renewal and expansion strategies becomes critical. It includes whitespace planning around upsell opportunities, cross-selling complementary products, and continuously demonstrating the value of your solutions.

- **Organic Lead Generation:** Customer referrals and organic lead generation play a significant role. Satisfied customers are more likely to recommend your product to others. There should be a clear shift to customer marketing with advocacy programs that fuel organic growth.

- **Investment in Product Quality:** The focus on delivering recurring impact makes product quality the cornerstone of Durability; a fantastic product can overcome almost any GTM challenge. Continuously improve your product to meet evolving customer needs and maintain high satisfaction; for example, invest in addressing user feedback within the product.

- **Exploring Growth Initiatives:** While the focus is on self-sustainability, there may be opportunities for strategic growth initiatives. Consider entering new markets, expanding your product portfolio, or enhancing customer success efforts to solidify your market position further.

For those companies not completely ready, an E-round of funding can be inserted to overcome issues such as accelerating product development (PLG), entering an international market to drive growth (SLG), or expanding the customer success efforts to push for Durability demonstrated by improved GRR/NRR metrics.

Deliverable: Customers causing efficient revenue growth.

CASE IN POINT: GOING IPO

In 2020, we consulted for a company that offered a software developer platform. Their sales team was compensated for both customer acquisition and expansion sales. The standard purchase price for a newly acquired customer was $22,000, while expansion deals typically reached $45,000.

This approach gave rise to 2 issues. First, it led the sellers to prioritize expansion, resulting in a slowdown in customer acquisition. Second, because the compensation structure for expansion deals mirrored that of acquisition, it made the cost of expansion equal to the cost of acquisition. For reference, the cost of expansion should ideally be between 1/4th and 1/6th of the cost of acquisition. By continuing to use salespeople for expansion, the cost of growth remained exceptionally high in the subsequent years.

To prepare the company for the public markets, our recommendation was simple: separate expansion from acquisition and staff the expansion team with specialized personnel and a compensation package aligned with the business. Such a restructuring should have been put in place when growth from expansion starts to exceed growth from acquisition.

This transformation is categorized as a phase shift and it typically takes about 2 years to complete. Unfortunately, many companies tend to initiate this transition too late, waiting until they approach $100 million in ARR, and relying on a later investment rounds to fund the transformation.

In this case, our client chose not to make this transition before the IPO. Unfortunately, the new public investors were less forgiving than the private investors had been. Following the initial enthusiasm, the stock experienced a sharp decline.

Unsurprisingly, it took our client about 2 years to regain its footing, a moment that was memorialized with the headline: "Shares Surge As ACME Posts Its First Profit Ever."

9.3.3 *Performance or Operator Metrics*

To be successful, you don't need to operate the business along every possible growth metric from day one. Instead, successful companies focus on a few metrics in each maturity phase:

- **Phase I.** Scalability Metrics focus on ARR and Growth Rate
- **Phase II.** Sustainability Metrics focus on CAC Payback, CAC, and CTS
- **Phase III.** Durability Metrics focus on GRR and NRR

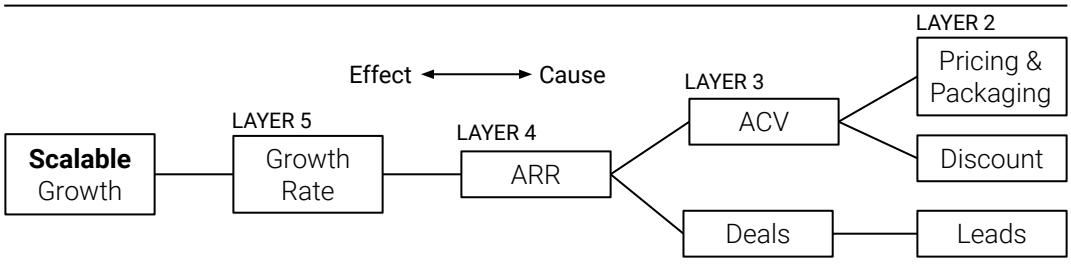
The intention behind this approach is to enhance focus on a few specific metrics and, by doing so, increase the chances of achieving success.

PHASE I

Scalability Metrics (ARR and Growth Rate)

GTM motions in PMF must monitor 3 specific metrics: number of customers, pricing & packaging, and revenue per customer. These metrics form the foundation for the first operational plan, defining how many customers are needed to generate the next revenue milestone. GTM motions trying to achieve GTMF shift their focus on conversion metrics, exploring how many leads are needed to create the right opportunities and deals. Capacity problems may arise due to the lack of operational processes; for example, hiring processes may cause the ramp of new employees to take too long.

FIGURE 9.22 ***Scalability metrics breakdown (example).***



In this phase, it feels like it's run on power drinks; each month, new records are set, more deals are signed, and deal sizes grow larger and larger. Revenue continues to grow, but retention can become a challenge. The company is forced to establish processes and begins to function as a factory.

PHASE II

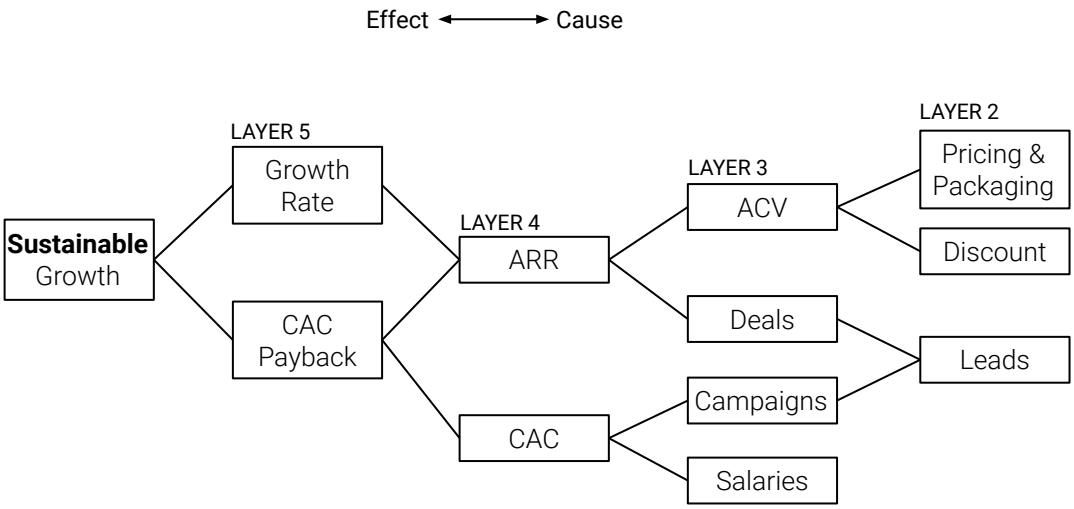
Sustainability Metrics

At first, it was all about growth, but as the scale gets bigger, cost comes into play. What is critical, and a point that we will keep coming back to, is that success in this phase requires companies to calculate the cost for each GTM motion that covers not just acquisition but the entire customer journey.

In this stage, companies launch new GTM motions based on data-driven decisions, which GTM motions they are betting on are based on growth/growth rate (Growth Formula) and cost/payback (CAC Payback).

Companies get stuck in the Scalability phase primarily because they stay too long focused on growth from acquisition. However, those stuck in Sustainability mode tend to do so because they have too many GTM motions. It causes the (too thinly) spreading of resources. And, if companies cannot single out the cost per GTM motion, the company does not know where to invest its resources, and that means there are going to be a lot of inefficient campaigns, a low conversion on those who signed up for the trial, and a lot of salespeople operating well below quota. One of the key challenges at this stage is the rapidly growing size of the company and the associated payroll. And to no surprise, many companies experience a drop in productivity as the number of employees increases.

FIGURE 9.23 ***Sustainability metrics breakdown (example).***



PHASE III

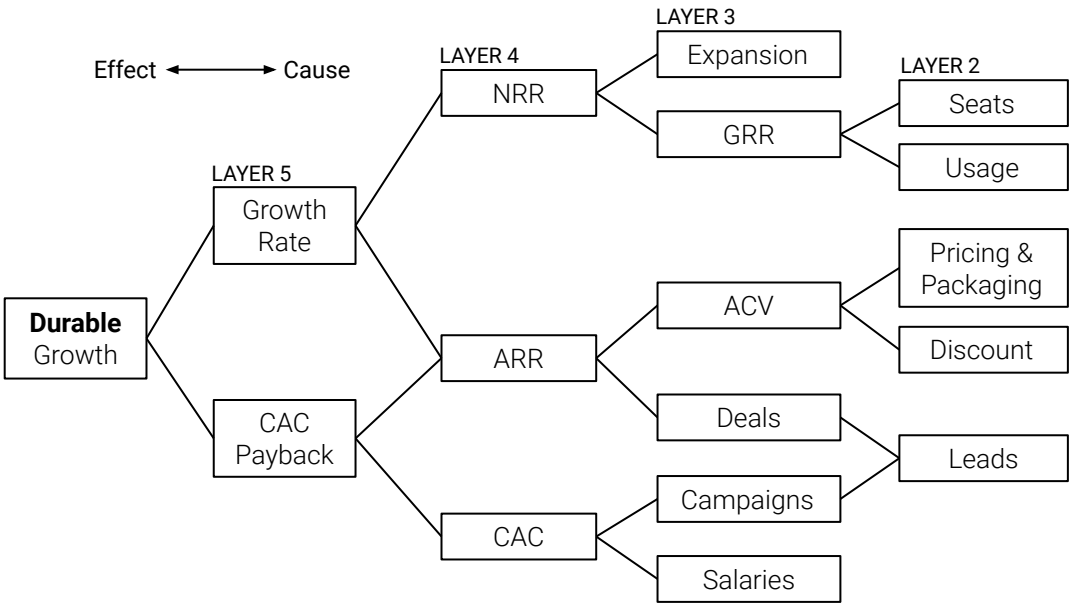
Durability Metrics

Reaching this stage is a remarkable achievement, as only 1 out of 20 startups typically makes it here, often requiring substantial funding. At this point, venture funds aim to maximize their investments. Therefore, it should come as no surprise that critical metrics for Durability include GRR and Gross Margin.

GRR is pivotal as it measures revenue retention from existing customers, directly indicating product indispensability and long-term business durability. Gross margin becomes a priority well before a company goes public, often as early as reaching $50M in ARR. Precise knowledge of GTM motion costs is now crucial. With less funding available, companies must closely monitor their free cash flow (FCF), which indicates available resources for growth initiatives like new features, customer events, or market expansion.

By adhering to this structured approach, companies can aspire to reach $1B in ARR while meeting their growth and profitability targets. This data-driven approach ensures durable growth to meet market demands and seize new opportunities. It also helps secure the necessary funding, but this time around, from happy customers purchasing more products.

FIGURE 9.24 ***Durability metrics breakdown (example).***



9.4 GROWTH MODEL EXERCISE

EXERCISE 9.1 **Check the boxes of the revenue breakpoints your organization has tackled.**

Do this first for each GTM motion. Think through each of these breakpoints. This is a simple exercise but it will provide you an amazing insight as to the maturity of the organization as a whole and each GTM motion.

Phase I. Focus on growth to achieve Scalability.

1. Pricing & Packaging	☐	Pricing (annual/monthly), tiers, payment terms, refund terms, and discount policies have been established.
2. Leverage Founder-Led Growth	☐	Founder plays an important role but is no longer in an operationally critical role.
3. Standardize Data Model & Structure	☐	A standardized Data Model is used across all departments, regions, verticals, and segments.
4. Structured in GTM Model(s)	☐	A structured growth strategy using different (but not too many) GTM motions mapped to the data structure.
5. Repeatable Process / GTM Model	☐	Establish a process per GTM motion; write it down so it can be explained and people can be trained on it.
6. Growth Formula / GTM Model	☐	Establish a Growth Formula per GTM motion that matches the process.

Phase II. Focus on cost-efficient growth to achieve Sustainability.

7. Velocity Based Growth	☐	Use the company's most valuable resources to drive the GTM motion with the highest growth rate.
8. Sustainable Growth	☐	Ability to track what each GTM motion is costing and a trendline shows the costs are declining.
9. Increase Productivity	☐	Productivity per GTM rep is measured; programs to shorten ramp time and improve productivity are in place.
10. Ensure Interoperability	☐	A standardized Data Model, uniform methodology and a common language is used across all GTM motions.

Phase III. Focus on the quality of growth (Impact) to strive for Durability.

11. Attain Durability	☐	The company focuses on anchoring itself on Customer Impact.
12. Achieve Profitability	☐	The key GTM motions are profitable, with enough FCF to fund innovations where needed.

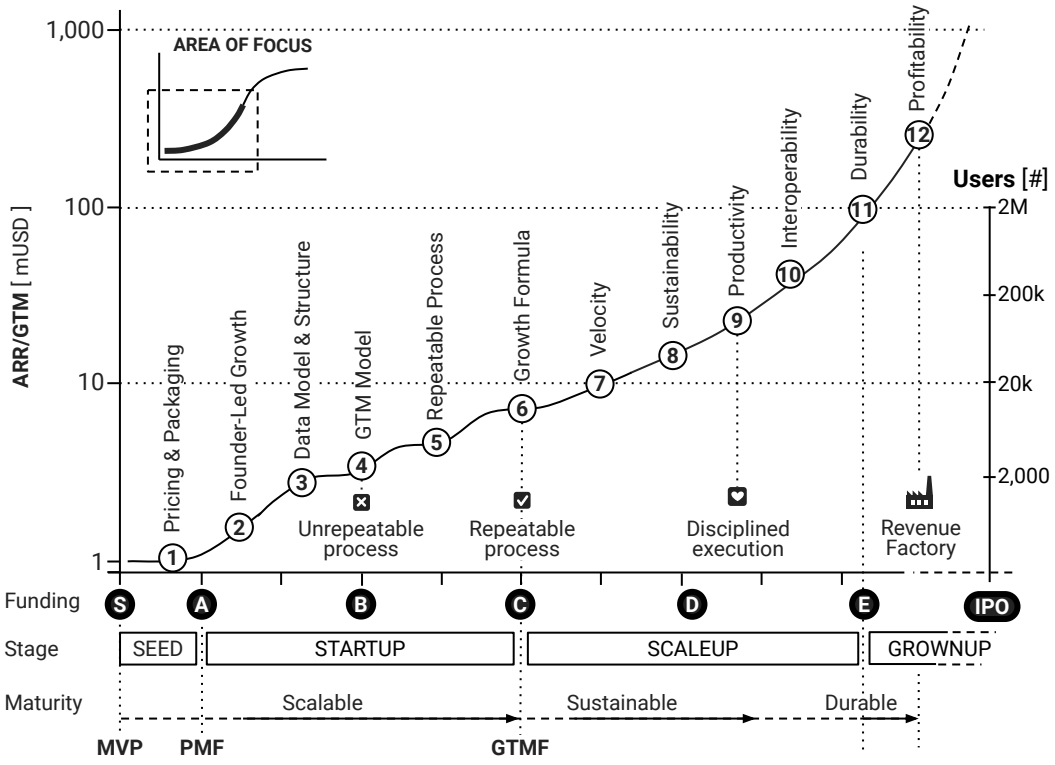
9.5 RECAP GROWTH MODEL

The Growth Model is shaped like an S-curve and covers 4 key stages: Startup, Scaleup, Grownup, and Enterprise. A company's position on this curve is determined by its annual recurring revenue, the number of years since it passed $1M in ARR, and the trend of its growth rate. This framework not only provides a snapshot of a company's current stage but also offers a roadmap for what comes next. We have identified 12 revenue breakpoints along the S-curve, to help companies navigate growth complexities, foresee potential pitfalls, and adequately prepare for inevitable phase shifts.

1. **Pricing and Packaging:** Establish pricing tiers and payment terms.
2. **Founder-Led Growth:** Transition the founder's role from operational to strategic.
3. **Standardize Data Model & Structure:** Implement a standardized data model across all departments and segments.
4. **GTM Motions:** Align all roles and functions involved in the customer journey.
5. **Repeatable Processes:** Document and train GTM teams on proven processes for each GTM motion.
6. **Growth Formula:** Establish a Growth Formula for each GTM motion.
7. **Velocity-Based Growth:** Allocate resources to GTM motions with the highest growth rates.
8. **Sustainable Growth:** Monitor and reduce costs for each GTM motion through iterative improvements and waste elimination.
9. **Increase Productivity:** Measure and enhance GTM rep productivity, streamline onboarding, improve skills, and address underperformance.
10. **Interoperability:** Ensure interoperability across all GTM motions fostering a common language, a standardized data model, and a uniform methodology.
11. **Durability:** Focus on impact driving up customer retention and expansion, using specialized teams and dedicated processes that operate at a lower of the cost.
12. **Profitability:** Ensure profitability in all GTM motions and allocate funds for innovation to keep the product delivering impact.

By mapping these 12 Revenue Breakpoints to the S-Curve, and along the maturity phases we get the Growth Model depicted in the following figure.

FIGURE 9.25 ***The 12 key breakpoints mapped to the S-curve that governs Startups and Scaleups.***



The company progresses through 3 phases aligned with its maturity level, utilizing operational growth metrics to tailor their focus.

- **Phase I, Scalability,** emphasizes recognizing buying patterns and establishing efficient growth processes, focusing on ARR and Growth Rate.
- **Phase II, Sustainability,** prioritizes cost-efficient growth and balance between acquisition, retention, and expansion, spotlighting CAC Payback and cost metrics for acquisition, retention, and expansion..
- **Phase III, Durability,** marks a shift to self-sustainability, driven by existing customer relationships, emphasizing customer renewal and expansion strategies, product quality, and GRR and Gross Margin metrics.

Adhering to this structured approach will help companies to scale to $1B in ARR, achieve growth and profitability targets, and ensure durable growth by securing growing revenue from happy customers who come back for more.

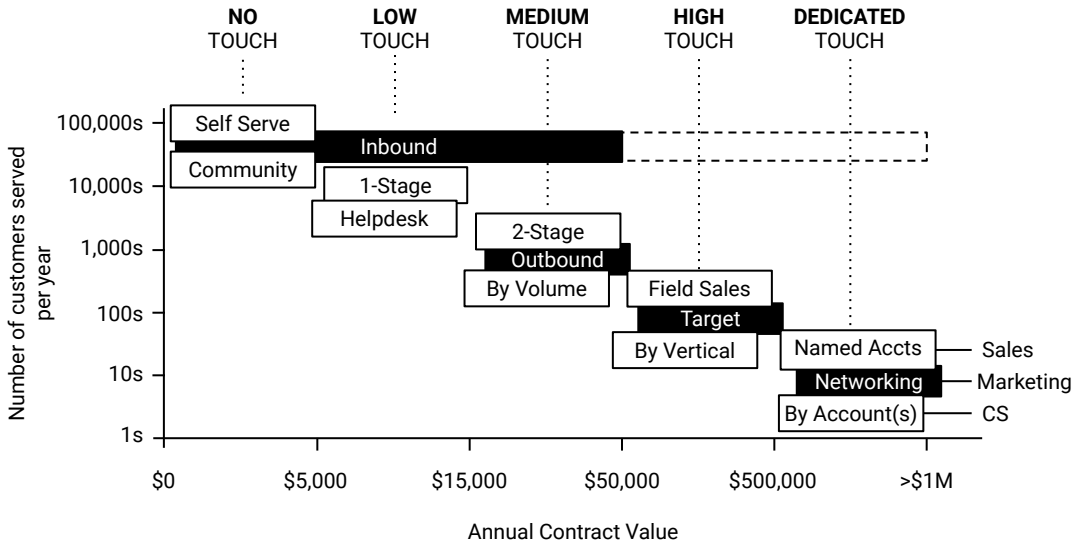
10

THE GTM MODEL

10 | THE GTM MODEL

One of the most common challenges companies face is selecting the suitable GTM motion for their product or executing the chosen GTM motion poorly. This challenge arises from organizations implementing a departmental model rather than structuring their GTM motions effectively. The GTM model provides insights into the selection and structuring of GTM motions, recommending the appropriate one that aligns marketing, sales, and customer success efforts to ensure customers achieve recurring impact, thereby securing recurring revenue. This alignment is guided by 2 key metrics: the number of deals per year for scalability and the average recurring contract value per year for sustainability.

FIGURE 10.1 ***The GTM model contains today's 5 most common GTM motions. Each of the blocks can be human-led, channel-led, product-led, etc.***



The GTM model is explained as follows:

- How the GTM Model Works (10.1)
- Putting the GTM Model to Work (10.2)
- Determining the Scalability of a GTM Motion (10.3)
- Determining the Sustainability of a GTM Motion (10.4)
- Determining the Durability of a GTM Motion (10.5)

Each GTM motion should be based on a proven, repeatable process, and each one should be scalable to achieve high-velocity growth and, over time, become sustainable (cost-efficiency). Lastly, GTM motions can achieve durability by focusing on delivering customer impact (quality), which drives more customers to renew and expand, thereby generating recurring revenue at a lower cost.

10.1 HOW THE GTM MODEL WORKS

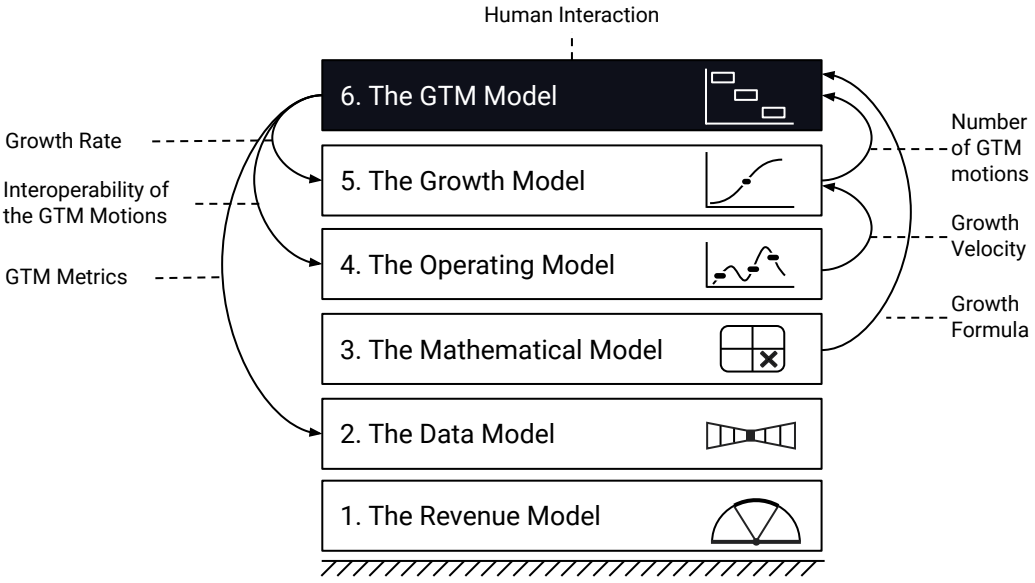
The GTM model plays a crucial role in bringing alignment across all customer-facing roles, and holds a prominent position among the other models for good reason. Unlike the Revenue Model, which tends to remain relatively static, the GTM Model is a dynamic hub of activity. In our daily routines, we engage with the GTM model through dashboards that provide operational insights. We use it to make decisions such as adjusting marketing campaigns, updating pricing, monitoring the number of daily active users, and expanding our sales team, among other things. It constantly evolves and is responsive to trends, especially those driven by innovative technologies, such as the advances in AI.

What can we learn from the GTM Model?

The GTM model is instrumental in selecting the GTM motion that aligns the revenue generated from an account with the associated costs to manage an account. This alignment is crucial in a subscription business, where costs can be substantial and it takes considerable time to achieve CAC Payback.

To attain this alignment, the GTM model collaborates with other models. By assessing the growth pattern of each GTM motion, as indicated by the Growth Formula, we can determine whether the scalability and sustainability of the GTM motion are driving toward the desired outcome.

FIGURE 10.2 ***How the GTM model interfaces with the other models.***



Structure of the GTM model

The GTM model consolidates is based on the following structure:

- The X-Y Framework of the GTM Model (10.1.1)
- Market Segments (10.1.2)
- Sales Motions (10.1.3)
- Marketing Motions (10.1.4)
- Customer Success Motions (10.1.5)
- GTM Motions (10.1.6)
- Maturity Stages of a GTM Motion (10.1.7)
- Best Practices from Product Led Growth (10.1.8)
- Channels, Partners and Systems Integrators (10.1.9)

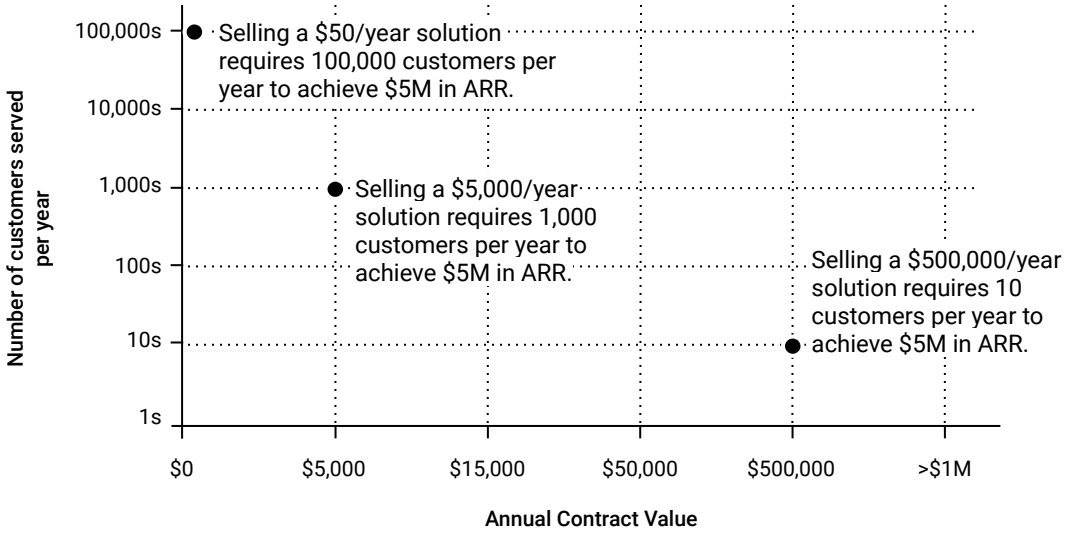
Like the Growth Model, it all starts with an X-Y framework.

10.1.1 The X-Y Framework of the GTM Model

When you commit to a single-user application license for $50 per year, it's not typically anticipated that the seller will arrange an on-site stakeholder meeting involving the CFO and CEO. The seller must onboard 100,000 users at this price to reach an annual revenue of 5 million dollars. On the contrary, when a company opts for a platform with a $500,000 per year subscription, only 10 deals are required and it's not expected that the buyer will purchase by entering credit card details on a self-serve website. This distinction forms the basis of the X-Y framework within the GTM model.

In this X-Y framework, the horizontal axis represents the annualized value of the subscription: the annual contract value (ACV). The ACV only includes the recurring revenue part of the model, not one-time services such as installation or re-occurring services such as training, nor any upfront costs such as on-premise equipment. To be sustainable, the ACV directly affects how much we can spend annually on managing the customer. The vertical axis represents the volume of deals per year, winning 10 deals vs. 100,000 deals, which is indicative of the needed scalability level. It is worth noting that this Y-axis is logarithmic, while the X-axis is divided into categories.

FIGURE 10.3 ***The X-Y Framework of the GTM model.***



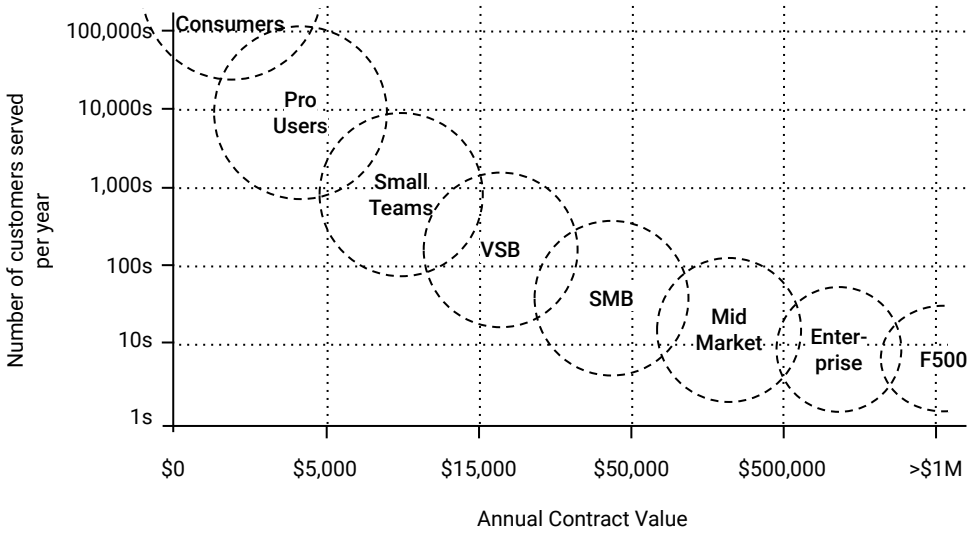
10.1.2 Market Segments

Market segments refer to identifiable groups of businesses or organizations that share common characteristics and needs. These characteristics can relate to industry type, company size, geographic location, buying behavior, and specific challenges or requirements. Segmentation empowers businesses to tailor their products, services, marketing strategies, and sales approaches to better address the unique needs of different segments within the broader business market. This approach enables companies to focus their efforts more effectively and efficiently rather than employing a one-size-fits-all approach.

Building upon the X-Y framework, we can overlay some of the most prevalent market segments, including Consumers, Pro-users, Small Teams, Very Small Businesses (VSB), Small to Medium-sized Businesses (SMB), Mid-Market, Enterprises, and Fortune 500. It indicates you can adapt and scale your GTM motions to adjacent segments evolving to higher or lower price ranges.

Next, we will map commonly used sales, marketing, and customer motions to this framework. With it, this framework becomes a guide to align the most suitable GTM motion with the market segment you want to pursue.

FIGURE 10.4 ***Different business segments mapped to the GTM model.***



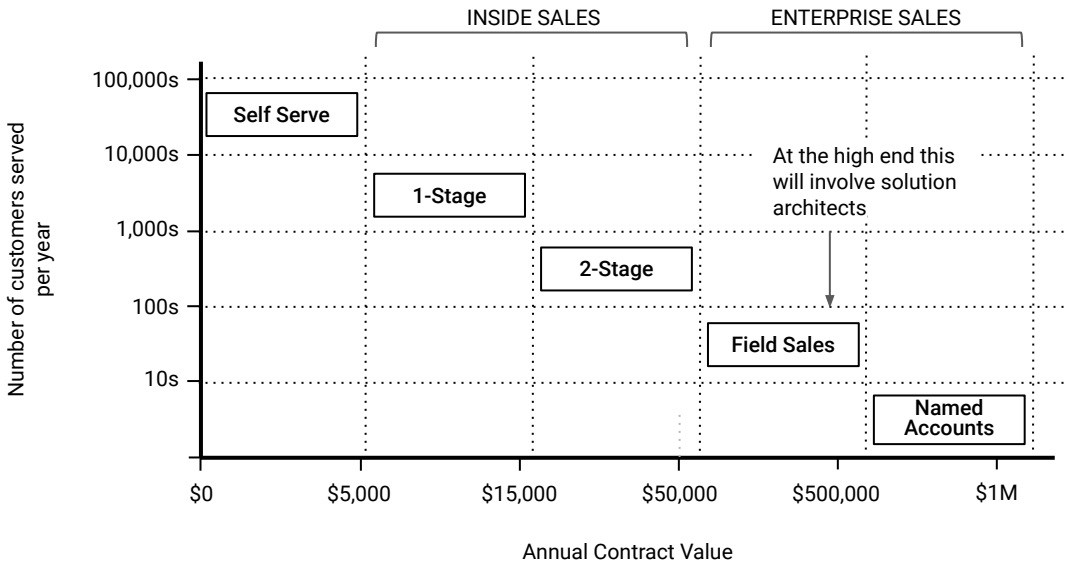
10.1.3 Sales Motions

In the ever-evolving landscape of sales, understanding your GTM motions is crucial. Whether you're a Startup seeking your first customers or a Scaleup aiming to compete in new markets, choosing the correct sales motion can be a game-changer. Below, we've outlined some of the most popular sales motions:

- **Self-Service:** Here, customers can purchase and onboard themselves without speaking to a salesperson. Think Shopify or Dropbox—these platforms are easy to understand; try and buy.
- **Inside Sales (1-Stage):** This is generally an inbound approach, where customers navigate the journey mostly independently but may reach out with questions about things such as compatibility. It works well when selling pro-user licenses to experts in their field, like Adobe Effects users.
- **Inside Sales (2-Stage):** This approach divides the work between those who qualify leads and set up meetings (sales development reps) and higher-skilled sellers who close the deals. This model thrives in an outbound motion, particularly in vertical market segments where the company has a strong brand name. Think of Procore selling into the construction industry.
- **Field Sales (Team):** A direct sales force often living close to the customer. Unlike inside sales, field sales reps augment their online meetings with in-person visits. Historically, this has been the standard method for medium- to high-value deals that require a broader understanding and, as a result, involve more complexities, leading to longer sales cycles.
- **Named-Account Sales (Team):** Suited for complex, high-value deals, this approach is tailored to large organizations and involves multiple stakeholders. Salespeople act as consultants, navigating complex decision-making processes and understanding the pain points of different stakeholders to recommend tailored solutions.

In the following figure (see Figure 10.5), we align these GTM sales motions with the GTM model based on the ACV and the volume of annual commitments. It is important to note that the number of commitments reflects the total number of customers acquired, retained, and expanded.

FIGURE 10.5 ***The most common sales motions mapped to the GTM model.***



Salaries and expenses are crucial elements in recurring revenue models, as illustrated in Table 10.1. It provides insight into how much each sales motion could cost and provides an idea of what revenue targets those teams would be expected to achieve, facilitating budget planning and strategy development in sales operations. As you can tell, human involvement typically multiplies costs, and by taking this into account, the alignment of various sales motions with the ACV of a product becomes evident.

TABLE 10.1 ***Approximate salaries vs. quota expectations as of Q1 2024.***

Sales Motion	Cost: Salary plus Expense	Quota/Year	Increase in cost
Self-Service	$0 (costs are allocated to marketing)		
Inside Sales (1-stage)	$ 45,000 - $ 60,000	$240k to $480k	∞
Inside Sales (2-stage)	$ 150,000 - $ 250,000	$480k to $960k	5x
Field Sales	$ 250,000 - $ 500,000	$720k to $1,440k	4x
Field Sales + Sales Engineer	$ 350,000 - $ 800,000	$960k to $2M	3x
Named-Account Sales Team	$ 600,000 - $ 2,000,000	$1M to $10M	2x

10.1.4 Marketing Motions

Marketing has come a long way—from billboards and broad advertising to micro-targeting individuals based on person specific intent data. Amidst this complexity, engaging your target audience in a meaningful conversation remains one of the trickiest aspects of the entire customer journey.

Whether you're on a quest to land your first client or scaling into new territories, the challenge is real. That's why we've distilled the marketing maze into 5 timeless B2B marketing motions. Each has unique strengths and fits various business needs, and they've all found innovative ways to leverage the latest technology for maximum impact.

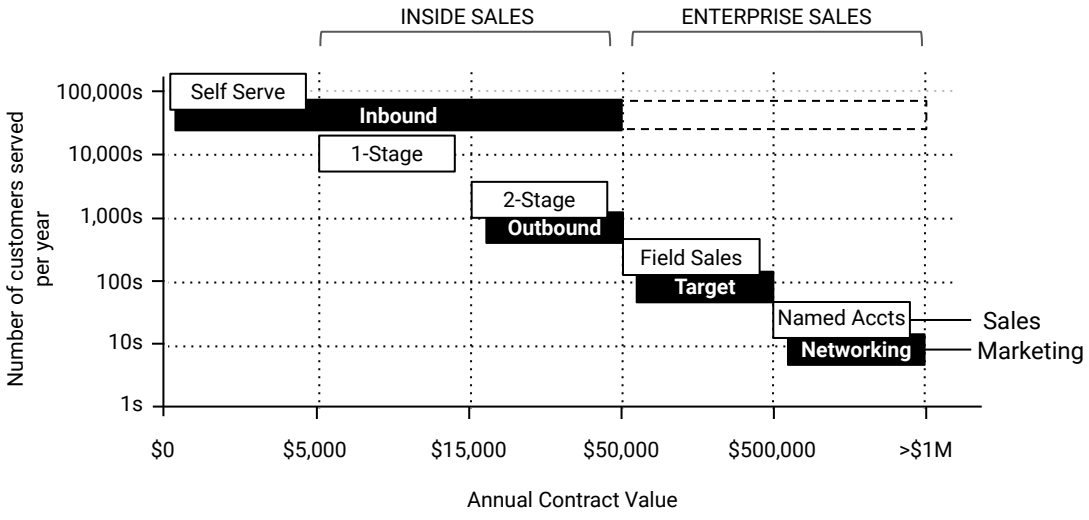
- **Inbound Marketing:** Through SEO, content creation, referrals, and paid advertising (SEM and display ads), inbound marketing attracts customers by offering valuable, relevant content and offers. This approach aims to convert prospects into customers. Example tactics include blogs, white papers, podcasts, and eBooks tailored to address specific industry challenges; paid search terms to capture prospects while searching for solutions; and display ads designed to intersect with prospects where they spend time online. PLG teams often build "loops" into their products–opportunities for existing customers to attract new users via invitations, alerts, reports, publishing tools, and collaboration requests.
- **Outbound Marketing:** This approach uses timed email campaigns to engage specific customer groups. Outbound marketing is helpful for lead nurturing, pipeline building, and customer retention. Newsletters are a typical tactic used by companies in the B2B space.
- **Targeted Marketing:** Often called account-based marketing, or ABM, this method focuses on individual accounts by employing customized campaigns. The marketing medium and message are tailored based on each account's unique attributes and needs. ABM tactics range from customized, attention-getting mailers to individualized invitations to broad stakeholder engagement across known personas at the target account.

- **Networking**: Networking is a classic but often underrated B2B strategy. Networking is most effective in small, informal settings like lunch meetings or golf outings. Industry events, such as regional trade shows and "city workshops," offer broader but less targeted opportunities. Professional member societies that require specific credentials are among the most popular as a networking platform.
- **Word of Mouth:** This strategy relies on satisfied customers and industry influencers voluntarily advocating for your product on social media or in local communities. Brandname, image, high customer satisfaction, compelling user experiences, and targeted influencer partnerships drive this motion.

  While organic, its impact can be amplified through referral programs such as organizing in-region events. Affiliate and influencer marketing are non-organic forms of word of mouth. At the same time, social media platforms like TikTok, LinkedIn, and X (previously known as Twitter) help generate a word-of-mouth buzz.

By aligning these marketing motions with the sales motions we discussed earlier, we add an another layer to the GTM model (see Figure 10.6).

FIGURE 10.6 ***The most common marketing and sales motions mapped to the GTM model.***



There are a several well-known combinations where specific marketing motions align seamlessly with corresponding sales motions. These synergistic pairings create the most effective and efficient customer acquisition processes. Let's delve into some of these noteworthy combinations:

- **Inbound Marketing Maps to Self-Serve and 1-Stage Inside Sales:** Due to the high volume of leads needed, Inbound marketing (content) aligns seamlessly with self-serve and 1-stage inside sales motions, especially targeting VSBs and small teams.

- **Outbound Marketing Supports Growth Investment in Targeted Markets:** Companies must actively reach potential customers to achieve the necessary volume. If companies are willing to invest more in growth, they can prospect for new customers. A 2-stage outbound approach may make sense when targeting Small and Medium-sized Businesses (SMBs) or vertical SaaS markets. While inbound marketing relies on content and SEO, outbound motion leverages thought leadership events and city-based workshops to attract the right buyers.

- **Targeted Marketing Complements Field Sales:** Field sales benefit from targeted marketing, which pairs well with Account-Based Marketing (ABM) campaigns. Targeting accounts requires a deep understanding of who the ideal customers are (ICP). For a more detailed explanation of the difference between Targeting and Outbounding, refer to section 8.3.1, "Means and Methods in Lead Generation."

- **Networking and Direct Executive Engagement Support Named-Account Sales**: When employing a named account sales strategy, the focus is on identifying the right executives at named accounts. Establishing a relationship without an introduction can take 9 to 18 months.

Up to this point, we've focused mainly on customer acquisition. However, it's crucial to understand that significant growth often comes from customer success—more specifically, retention and expansion. We will delve into this commonly misunderstood topic next.

10.1.5 Customer Success Motions

While acquisition sets the stage, the fundamental cornerstones of long-term growth are retention and expansion—elements mainly managed by customer success (CS). CS reflects a multitude of activities such as Onboarding, Adoption and Engagement, Customer Retention, Expansion and Upselling Opportunities, Customer Advocacy Programs, Feedback and Insights Gathering, Health Scoring and Risk Mitigation, Customer Education, Account Management, and creation of Personalized Customer Experiences.

In a competitive landscape where customer loyalty is increasingly elusive, CS motions determine the success or failure of a recurring revenue business. To help navigate this, we're honing in on the 2 indispensable motions in any CS playbook: community and helpdesk.

- **Community**: "Community" is a catch-all representing the range of options for self-service customers. The center of a community strategy is the knowledge base: a database with self-help resources, often front-ended by a chatbot. The community strategy may also include an opportunity for power-user customers, experts, and your team to converge to solve problems and share experiences. As users assist each other, the support load on your team decreases.

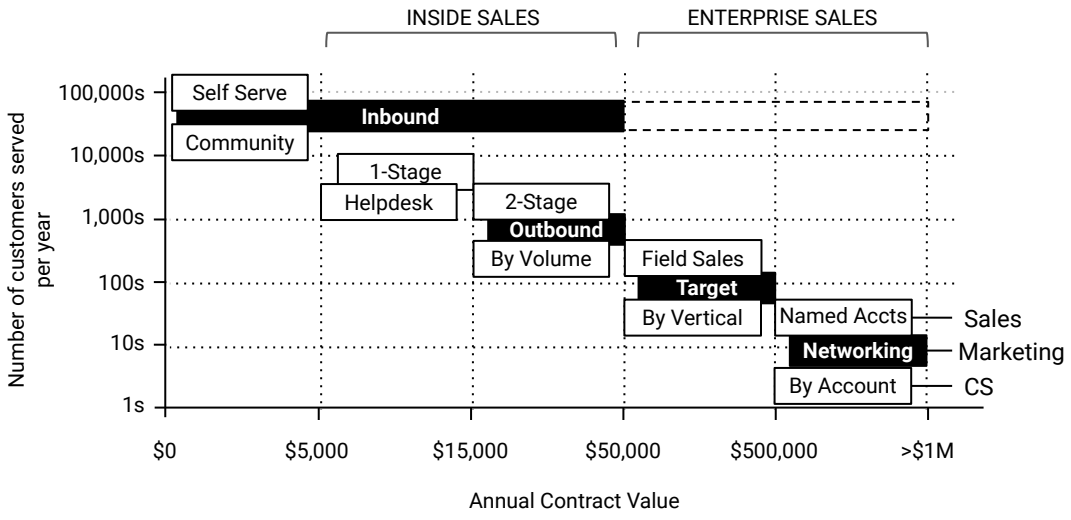
- **Helpdesk**: Think of the helpdesk as your company's emergency room—organized, fast, and effective at triaging and troubleshooting. The helpdesk is staffed by on-call personnel to answer questions and track down issues. It is your official channel for customer support, using ticketing systems or live chats.

These first 2 motions play a role across the entire spectrum of customer success activities. The customer journey through customer success includes Onboarding, Retention, and Expansion stages. It may mean you have specialized onboarders, CSMs, and account managers, each tasked to achieve specific outcomes using one of the following approaches:

- **Volume-Based:** In a volume based approach one CSM manages a number of accounts to adoption—say, up to 500. Volume-based requires the CS to have knowledge on the applications of the products and the impact they provide. In this approach efficiency is absolute key. The community remains the front line for most issues, while the helpdesk acts as a secondary line of support.
- **Vertical-Based:** As the ACV increases CSM are required to have a deeper industry and application knowledge. Therefore, it is unsurprising that in this approach the CSM is dedicated to a specific industry, such as healthcare. This less common, highly specialized approach integrates the community and the helpdesk to address unique industry needs, often using its own language. Think of education, financial services, and manufacturing.
- **Account-Based:** A CSM focusing on high-value (F500) accounts like Disney or Amazon is referred to as an account-based approach. These CSMs have an intimate understanding of the account, its organizational structure, and the company's business objective. The community is an advocacy platform, and the helpdesk recognizes the number and escalates to the dedicated CSM to offer a highly personalized service..

Ideally, you'd use a mix of these customer success motions to create a well-rounded, effective customer success approach.

FIGURE 10.7 ***Marketing, sales AND customer success motions mapped to the GTM model.***



10.1.6 GTM Motions

There is a range of terms to describe different GTM motions. For example, when you ask a GTM professional what kind of GTM motion they use, they may answer: "We use a *low touch* GTM motion to sell into the *SMB market*, using a combination of *inbound marketing and an SDR/AE sales team.*"

Let's untangle these terms by exploring their origins and usage:

- **Market Segmentation:** The primary segments are VSBs, SMBs, mid-market, and enterprises. In this case, the GTM professional mentioned "SMB." However, segments are not a determining factor; for example, an SMB may buy a $100,000 SaaS service that requires an enterprise GTM motion.
- **Marketing & Sales Strategy:** "Inbound marketing" and "an SDR/AE sales team" describe how businesses engage with the market segments. But it often overlooks the role Customer Success plays.
- **GTM Approach:** The reference to "a low touch GTM motion " corresponds to the engagement level. In this case, "low touch" hints at a low cost.

There often is overlap among these, which can be confusing. For example, an outbound strategy could target both SMBs and smaller groups within an Enterprise. It is for this reason that we will focus on describing the chosen GTM approach using the "touch" concept, which involves all customer-facing roles.

The Touch Concept: A Unifying Framework

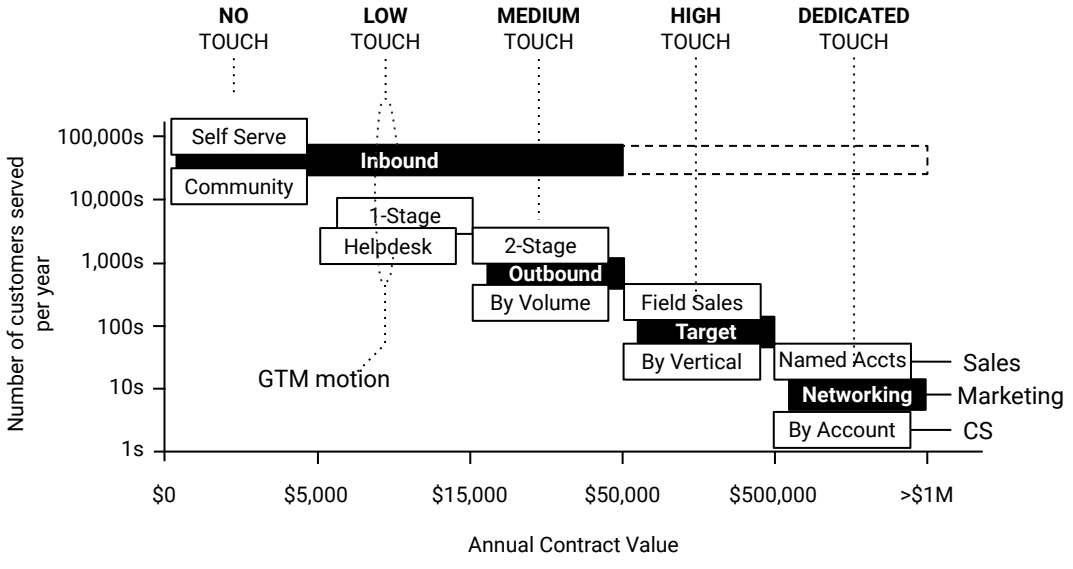
The term "touch" has been used in the industry since 2010 to quantify the level of customer engagement. David Skok, an early pioneer in this field, developed a framework outlining the costs of various sales complexities. Skok noted, "*Touch levels provide a measurable standard for human effort in the sales process, allowing for resource allocation and strategy alignment.*" In his work, Skok outlines different touch levels that we are going to map into the GTM framework:

- **No Touch:** Syncs inbound marketing, a self-serve (credit card) purchase, with community-driven customer support, making it ideal for self-sufficient customers who want to get something done immediately.

- **Low Touch:** Aligns with event based marketing and a volume-based CS approach. It is well suited for pro-users who at times require expert help.
- **Medium Touch:** Involves personalized sales and account-centric marketing. This touch level is versatile. Whether you're targeting a division within a large Enterprise or smaller company like an SMB, it's applicable.
- **High Touch:** Designed for the mid-market or high-value customer segments, a High Touch approach involves custom marketing and deeply engaged CS teams. Imagine a 5,000-person company purchasing security software requiring in-depth guidance during the selection and activation phases.
- **Dedicated Touch:** Assembles a specialized team (often incorporating roles from product marketing to engineering) solely dedicated to a single client. For instance, consider a multifaceted account like Disney, which includes various divisions like ESPN and Disney Parks.

The touch-based GTM framework not only aligns marketing, sales, and CS but also harmonizes them. Think of it as assembling musicians playing different instruments into a symphony, all playing from the same music sheets. The framework provides the flexibility to apply these synchronized GTM motions across various market segments and strategies.

FIGURE 10.8 ***The 5 touch-based GTM motions are mapped to the GTM framework.***



Each GTM Motion Is Powered by a Different Engine

Applying different GTM motions offers clear advantages, enabling a company to reach various market segments. However, managing many different GTM motions simultaneously requires a diverse set of resources, akin to operating electrical and combustion engines in a single automotive fleet.

As combustion and electrical engines operate on different principles, so do various GTM motions. Examining the “engine" behind different GTM motions, you'll find different mechanisms drive them, each with unique characteristics and maintenance needs. This complexity makes it difficult for any company to excel in multiple GTM motions simultaneously, much like a hybrid car might have both types of engines but won't achieve top speeds with either.

Consider a Medium Touch GTM motion similar to a combustion engine: it's versatile. Still, it demands specialized care—thought leadership, a steady flow of quality content, and possibly an annual in-person customer event. Conversely, a Low Touch GTM motion could be likened to an electrical engine: less resource-intensive but highly specific, requiring different marketing campaigns and sales support.

The contrasting needs and complexities of these engines make it challenging to easily switch between GTM motions, just as pivoting from a fossil fuel-based fleet to an all-electric one would require careful planning and resource allocation. Therefore, addressing the interoperability of these different GTM motions from the start is crucial to prevent potential complications requiring a *phase shift*.

TABLE 10.2 ***Example of the different engines each GTM motion is built around.***

GTM Motion	Engine	What People Talk About	How It Spreads
No Touch	Product	User Experience	Word of Mouth
Low Touch	Velocity	Easy to Deploy	Word of Mouth
Medium Touch	Content	Thought Leadership	Events/Webinars
High Touch	Brand	Expertise of People	Networking
Dedicated Touch	Relationships	Responsiveness	CxO to CxO Referral

10.1.7 Maturity Stages of a GTM Motion

The maturity stages we discuss here map back to the revenue factory we discussed in Chapter 1 (see Section 1.2.2):

- **Maturity Stage 1–Scalability:**
  Assesses a GTM motion's ability to handle increased demand through higher volume or improved throughput. Scalability hinges on the implementation of well-established and repeatable processes. If a GTM motion is scalable, it implies that by allocating additional resources, revenue can be scaled up effectively.

- **Maturity Stage 2–Sustainability:**
  While a GTM motion may be scalable, it might not be sustainable if the costs of scaling—whether operational, marketing, or otherwise—exceed revenue growth. Sustainability evaluates if the generated revenue adequately covers the costs of customer acquisition and retention.

  Example: A company sells a solution with an ACV of $60,000. It uses a seller and sales engineer combo, costing the company $600,000 annually. They sell 10 solutions. It means that 100% of the first-year revenue would go to pay for the acquisition, not accounting for other overheads like management, ops support, and marketing. It may be scalable, but this is not sustainable, a topic discussed in Section 10.4.

- **Maturity Stage 3–Durability:**
  At this stage, companies focus their most valuable resources on acquiring customers who derive significant, long-term impact from your service. These customers will remain loyal over time. Durability focuses on recurring impact to meet the customer's current and future needs. It makes your product indispensable and integral to their long-term plans. Durability also means sellers are selective about which customers commit to, which requires a process for qualifying based on the potential for impact.

During the Golden Era, an overflow of venture capital caused companies to focus solely on scaling, often overlooking sustainability.

Although startups and scaleups initially appeared mature regarding revenue, their GTM motions were stuck in the Scalability stage. CEOs equated business maturity with metrics such as the amount of ARR (Annual Recurring Revenue), the growth rate, or the size of the latest funding round. In essence, the GTM motion remained immature. Now that we have identified the problem, the solution is clear: shift towards Sustainability, a more cost-efficient approach to growth that gained popularity in 2023.

TABLE 10.3 ***The 3 maturity stages of a GTM motion.***

Maturity Stage	Revenue Factory	ARR/GTM motion	KPIs
Scalability	**Growth**: Increase in volume and improvements in throughput result in an increase in revenue.	**<$10M**	Growth Rate and ARR
Sustainability	**Efficiency**: Focus on the cost of growth. This comes at a time there is a shift to expansion, which comes at a lower cost.	**<$30M**	CAC Payback, NRR, and FCF.
Durability	**Quality**: Shift the focus on delivering recurring Impact–and select those customers who can achieve more of it.	**>$30M**	Usage (DAU) and GRR.

10.1.8 Product-Led Growth

Buyers continue to evolve, shaping their preferences for how they wish to be approached. In the past, the favored approach involved a salesperson physically visiting your location with product samples and demos. Today, this approach is commonly referred to as sales-led growth or SLG. However, in recent years, we've observed a shift towards PLG or Product-Led Growth, where customers interact with the product before engaging in the sales process.

It has become evident that relying solely on PLG has limitations and can only propel companies to a certain point. As companies grow, they often set their sights on securing deals with large enterprises. This is where the concept of product-led sales comes into play. Product-led sales represent a powerful fusion of PLG and SLG, but it's important to emphasize that it all starts with a strong foundation in PLG.

What Sets PLG Apart?

The term "product-led growth" has become more than industry jargon; it's a pivot in how businesses approach their GTM. While we've looked at several GTM motions like Low Touch and Medium Touch models, PLG stands distinctively apart. As Dave Boyce aptly put it: "PLG is a GTM strategy whereby users experience the product before purchasing."

PLG distinguishes itself from others through its unwavering commitment to the user experience and actionable data rather than merely focusing on contracts and transactional engagements. This shift in perspective has become a cornerstone in the evolution of the GTM paradigm. Throughout this book, we have leaned on several elements to reshape how we view business growth. You will notice that PLG addresses all of these issues "out of the box."

- **A Comprehensive GTM Approach:** PLG isn't restricted to the early stages of a customer journey: It engages with customers from the first touchpoint to customer success and beyond. This approach ensures that the impact is consistently delivered at every interaction, creating sustainable growth.
- **Customer-Centric Impact:** Where traditional GTM motions may be product- or even seller-centric, PLG is unambiguously customer-centric. It's all about creating a measurable impact in the user's life, thereby aligning a company's success with the user's success.
- **GTM Motion Interoperability:** PLG promotes seamless transitions between different GTM motions. Whether it's an individual user who becomes part of a team or a team that evolves into an entire company, PLG facilitates growth at each stage. This capability enables businesses to navigate complex customer life cycles more effectively.
- **Creation of an Operating Model:** PLG doesn't discard the human element that high touch motion brings or the velocity driven by medium touch motion. Instead, it seeks to combine these advantages, creating a hybrid model where technology and human interaction coexist for maximum Impact.

- **Closed-Loop Systems via Word of Mouth:** Word-of-mouth advocacy is one of the most potent engines of PLG. A genuinely delighted customer becomes an advocate, helping to create a closed-loop system where new customers are continuously drawn into the ecosystem. This isn't just beneficial for acquiring customers, but also in improving retention rates.
- **Data-Driven Decision-Making:** In PLG, data-driven decision-making extends beyond tracking conversion rates. Real-time, segmented usage data around feature adoption offers precise insights that can automate processes and facilitate A/B testing. In this context, data serves dual purposes: it's a metric for success and a roadmap for optimizing the user journey, refining product features, and identifying upselling opportunities.
- **Durable Growth:** Without the forcing function of contracts, PLG gravitates to its best customers, shedding unfit customers early on.

The point is this: PLG is a harbinger of what's possible when we apply its best practices across all GTM strategies. By doing so, we aren't just increasing scalability or sustainability; we're elevating the entire business model to new heights of customer satisfaction and operational excellence.

10.1.9 Channels

So far, we've been focusing on a direct customer approach. However, it's essential to understand that different sales channels, like resellers, strategic partners, and system integrators, play vital roles in distributing and selling products or services. Let's simplify the distinctions:

- **Resellers:** Resellers are intermediaries who market your solution to clients. They often represent a range of products, not just yours, which means they may lack a deep understanding of your specific offering. Nevertheless, they are crucial in helping you access a broader audience, particularly if they have an established customer base, perhaps in a region with a different language. The cost of a reseller can vary anywhere from 10% for a referral to >50% for a value-added reseller (VAR) that provides a direct sales force, an annual volume commitment, and performs the first line of support.

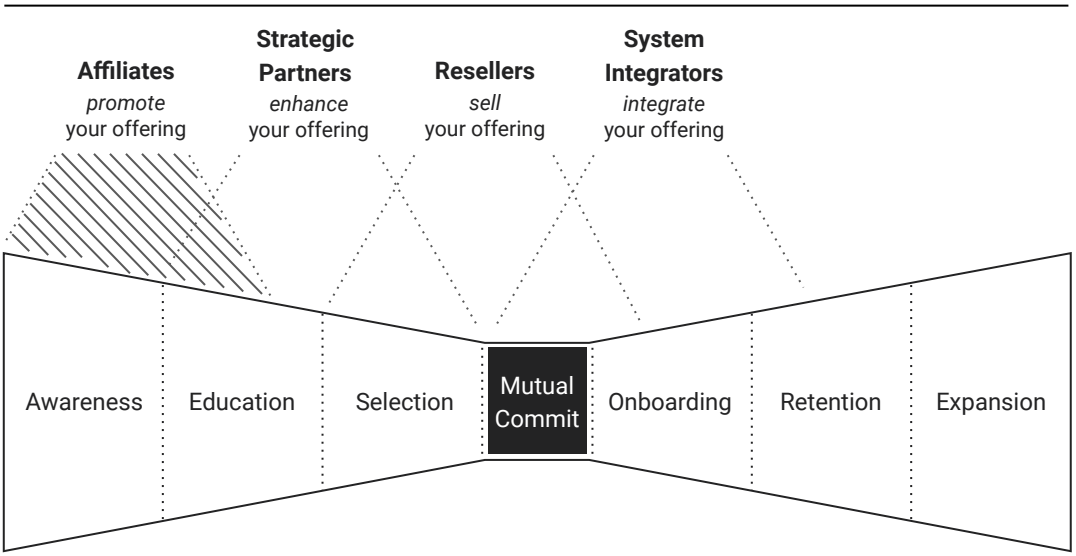
- **Strategic Partners** work collaboratively to enhance the value of your product. These partners can provide complementary services or technologies that seamlessly align with your solution. Together, you create a more comprehensive offering for customers.

- **Affiliates** are partners or entities that promote products or services to other businesses in exchange for commissions. These affiliates can be individuals or companies that leverage their networks, content, or industry influence to drive sales or leads for another business.

- **System Integrators (SI)** are experts in combining different solutions into a unified system. System integrators can open doors to industries or clients that require bespoke solutions, such as selling to the Department of Defense and meeting SOC or FISMA compliance standards.

To clarify, Resellers sell your product, Strategic partners collaborate to enhance it, Affiliates promote it, and System Integrators specialize in integrating it into intricate systems (see Figure 10.9). Different channels bring unique strengths to the table that can play a vital role at different stages of the customer journey. Note that channels can be applied to any functional block in the 5 GTM motions (see Figure 10.8).

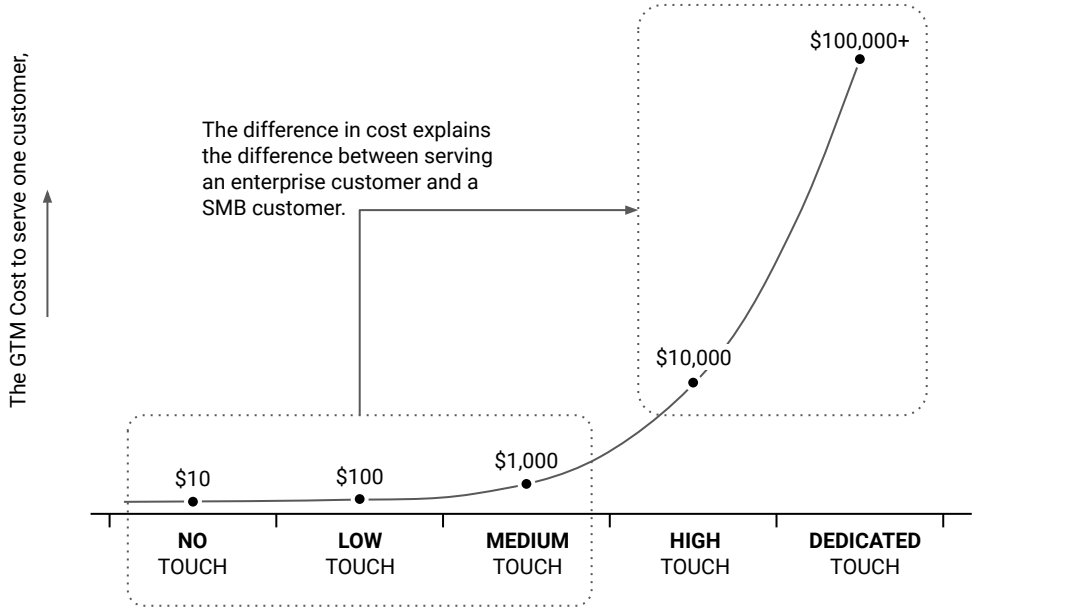
FIGURE 10.9 ***The application of different channels apply to different areas of the customer journey.***



In summary: The GTM model offers a unified framework that aligns marketing, sales, and customer success. Segmented by ACV and deal volume, this framework provides insights into which GTM motion will be more likely to succeed and how it should be executed. Companies can now differentiate between GTM motions for different products or employ multiple GTM motions for a single product. This approach helps with a uniform methodology, making it more cost-efficient and allowing quick responses to market shifts.

It is a common misunderstanding to assume a linear relationship exists between the cost of different GTM motions. However, introducing human elements increases the cost with a factor ranging from 5x to 20x. It highlights the importance of continuing to evaluate the scalability and sustainability of GTM motions. It also explains the explosive demand for AI and its anticipated influence on GTM over the coming years.

FIGURE 10.10 ***The first year cost to serve a single customer across GTM motions increases exponentially, not linearly, due to the escalating level of human involvement needed.***

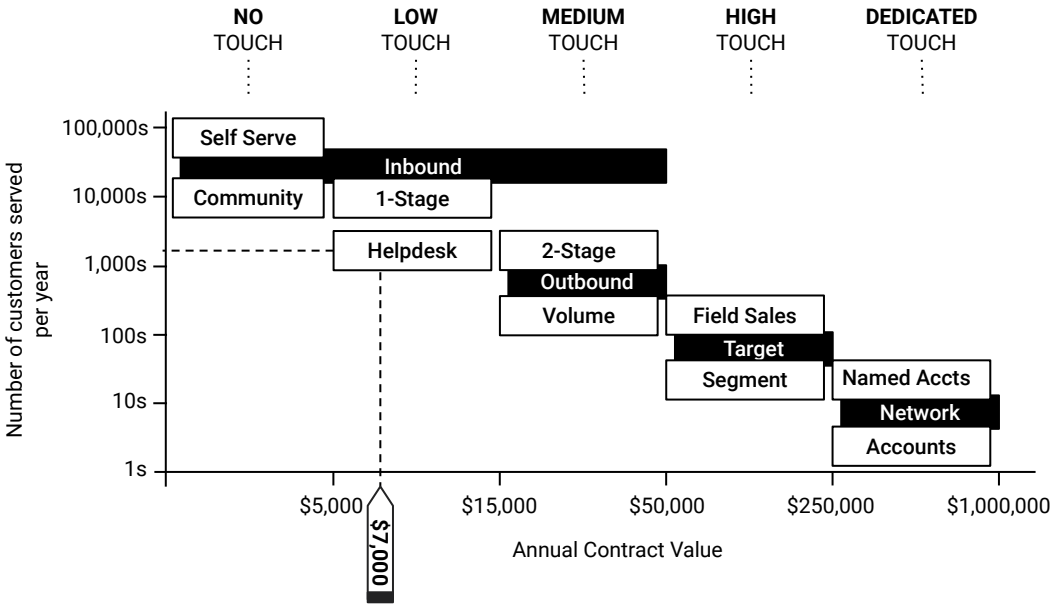


Next, we will delve into practical use cases for these GTM motions, followed by the application of Growth Formulas to determine the unit economics of each motion, aiding in scalability. Furthermore, by assessing the costs, we can gauge long-term sustainability. Keep in mind that ultimately, your company's growth is the sum of the outputs generated by multiple GTM motions working in unison.

10.2 PUTTING THE GTM MODEL TO WORK

Let's bring the GTM model to life with a few real-life examples. Suppose a company has been selling a SaaS solution with an average ACV of $7,000 to VSBs, targeting customers with 3 to 5 seats on average, and has achieved $45M in ARR. It is being told by its investors "to move upstream" and start "hunting for bigger deals." What should they do? What is the most suitable GTM motion for them?

FIGURE 10.11 ***The right GTM motion for a product with an ACV of $7,000 is a Low Touch motion.***



What Did We Learn?

At $45M in ARR, a single GTM motion at an ACV of $7,000 would take over 6,400 customers and probably gain a thousand new B2B commitments a year to thrive. Using the GTM model shows they should implement a Low Touch GTM motion with a PLG front end. In other words, get sign-ups via the web, convert those sign-ups post-trial, and then focus on expansion. A critical part of this strategy is maintaining high retention; the company must ensure that customers get the desired impact out of the product.

Equally important is identifying what won't work. For instance, when we look at the GTM model, it clearly shows there's no need for a field sales team with high-cost sellers or floors filled with inside sellers (SDRs), for that matter. As straightforward as this seems, GTM executives are known to stray from this path. This can be due to investor pressure, advice from false prophets, hiring a new executive with specific expertise in a particular GTM motion, or an impulsive decision triggered by buying a new tool and following a new industry trend. In this case, the GTM model acts as a guide; it shows: "This is the GTM motion you should use; now, why do you think your situation is different?"

Let's step through a series of in-real-life use cases to better understand how the GTM model works:

- **Use-case 1:** Use of Multiple GTM Motions (10.2.1)
- **Use-case 2:** Everything. Everywhere. All at Once. (10.2.2)
- **Use-case 3:** Use of a Trendline (10.2.3)
- **Use-case 4:** When NRR Conflicts with ACV (10.2.4)
- **Use-case 5:** The Odd Couple: PLG and Enterprise (10.2.5)
- **Use-case 6:** Evolution of the GTM model (10.2.6)

Let's start with the use of multiple GTM motions.

10.2.1 Use-case 1: Use of Multiple GTM Motions

This approach aligns with the following guidance on the number of GTM models: focus on at most 3 GTM motions until you reach $50M in ARR, and then introduce a new product to break the $100M barrier. For example:

- **High Touch GTM:** A field sales team focused on Enterprise sales with ACVs ranging from $150,000 to $500,000, often aided by a sales engineer and, in most cases, an executive.
- **Medium Touch GTM:** To manage a large influx of inbound leads spurred by its growing popularity, they deployed an inside sales organization composed of several SDRs/AEs.

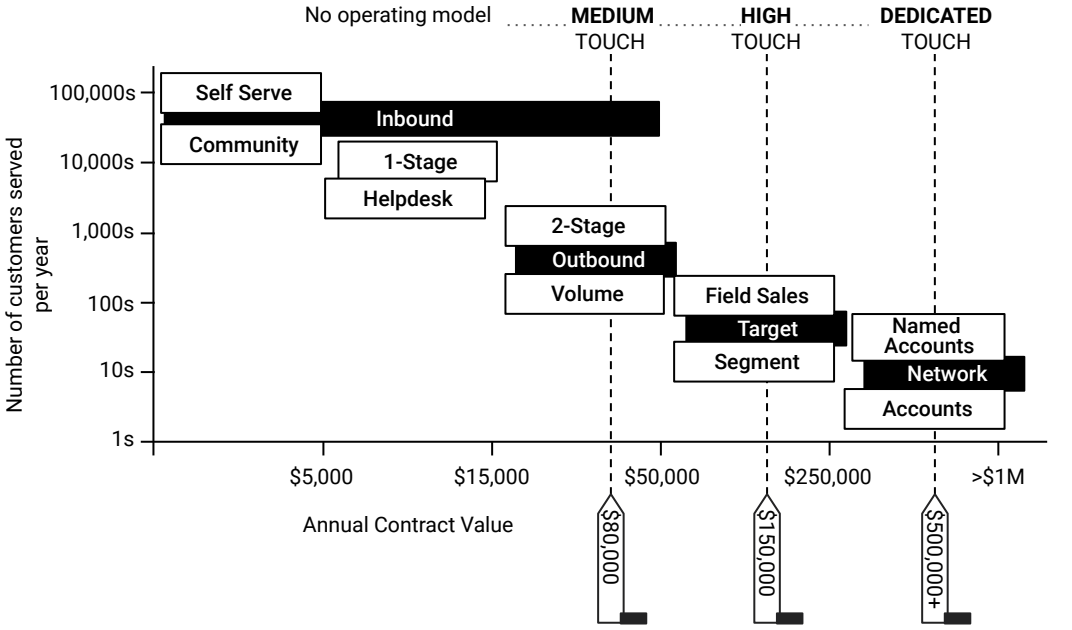
- **Dedicated Touch GTM:** The company had secured contracts with several F2000 companies, including 2 world-leading airlines. For example, they assigned dedicated account managers to these airlines, each contributing several million dollars in annual ARR.

This doesn't mean that just because the company surpassed $50M, it can deploy unlimited GTM motions. As discussed in Chapter 8, The Operating Model, complexities will emerge when multiple GTM motions are in play. You will soon grapple with varied terminologies, inconsistent data structures, and a myriad of tools. Such lack of uniformity will drive up costs quickly, underscoring the importance of implementing an Operating Model.

What Did We Learn?

Deploying an Operating Model is necessary when you operate more than one GTM motion. The lack of an operating model will impact the entire organization's performance. The introduction of an operating model takes a phase shift, and as previously discussed, these phase shifts often take at least one, if not two, years to complete. With a second GTM motion often kicking in around $10M in ARR, an operating model is needed much earlier than anticipated.

FIGURE 10.12 ***The use of different GTM motions for one product without a standardized operating model will cause GTM motions to perform inefficiently due to interoperability issues.***



10.2.2 Use-case 2: Everything, Everywhere, All at Once

Much like the chaotic, multi-dimensional narrative of the movie *Everything, Everywhere, All at Once*, this GTM approach creates a complex landscape that is hard to navigate. Popular among companies that have been in business for more than 7 years, who experienced staff turnover. They have many different GTM elements doing a little bit of everything, but none of it very well. While this all-over-the-place mess might be captivating on the big screen, it's far less effective in a GTM approach.

The Problem: Incoherent Strategy Increases the Cost to Serve

A lack of alignment is commonplace, especially in companies with an ARR of $20–50 million. Within these organizations, departments like marketing, sales, and customer success often operate in silos. Marketing focuses on generating opportunities in one area, sales aim to close deals in another, and customer success is held accountable for metrics over which they have little control.

This disjointed approach originates from various factors. New leadership may introduce divergent methodologies, departments might function autonomously—leading to misalignment—or the distraction of the latest "shiny tools" shifts focus away from core objectives. Above all, ownership is absent. The CRO typically zeroes in on growth metrics, while a founder/CEO with no commercial background leaves no one accountable for uniting the teams under a singular, long-term objective. To paint a clearer picture, consider an example where a $120,000 ACV solution is being sold (see Figure 10.13):

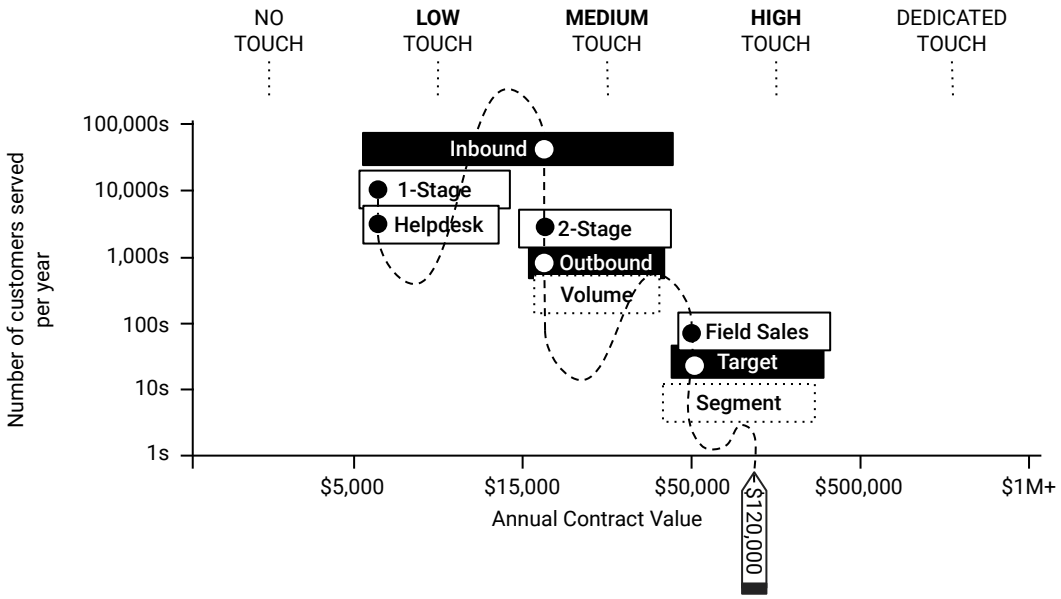
- A centrally executed ABS campaign targeting 100 of the largest companies.
- SDRs draft their own email cadences.
- Junior sellers, lacking domain knowledge, reach out to CxO-level decision-makers.
- Helpdesk support falls short of the expected 24/7 Enterprise-level service.
- A chatbot on the website routes valuable leads to whoever is available. Often, to the least qualified person, the SDR.

This strategy is not just ineffective; it's wasteful. It often stems from a "let the customer decide how to buy" mentality. While this might be acceptable if it were an intentional experiment within given time constraints, when implemented haphazardly, it creates a scenario no one wants to be part of.

What Did We Learn?

Focus on what works, and stop pursuing GTM motions that don't work. Reallocate all available resources to GTM motions that are proving successful.

FIGURE 10.13 ***Results of a departmental approach.***



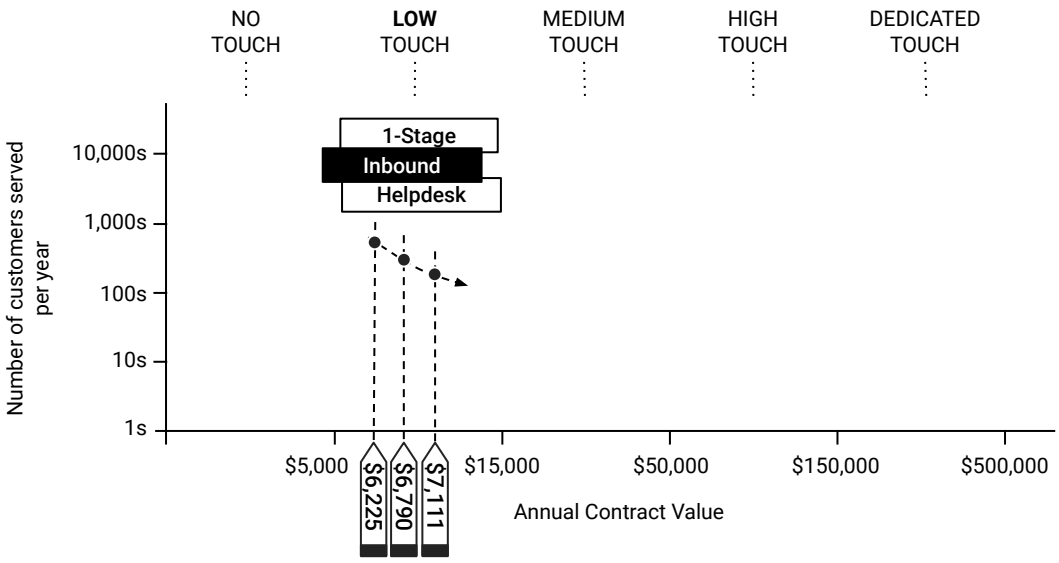
10.2.3 Use-case 3: Use of a Trendline

In late 2021, we were pulled into a project with $40M+ in ARR, selling a CRM solution to VSBs. They successfully used a Low Touch GTM motion and had 7,000+ customers. The ACV trended from $6,225 to $7,111 over 3 quarters, but NRR was painfully at 96%. Some customers were churning, while others doubled down on the product.

To reinvigorate growth, they were going to invest in 2 areas: i) Generate pipeline in SMB using a Medium Touch GTM motion by hiring SDRs and AEs. And ii) Win big deals by going "whale hunting" in the Enterprise market using one of their top sellers and hire a team of enterprise sales reps; in other words, launch a high touch GTM motion.

Their venture partner was worried about this and brought us in to validate this big move. We used the GTM model and plotted a trendline for their current GTM motion (Figure 10.14), which confirmed our suspicion that they were indeed operating under the appropriate GTM motion. The chart debunked the viability of the other GTM motions.

FIGURE 10.14 ***A trendline of the product's ACV shows he product operates in the right GTM motion.***



Based on this, we recommended the following:

- **Retain:** Invest in your customer success team to drive meaningful customer impact. Build a user community, share best practices, offer workflow examples, and conduct workshops.
- **Expand:** Launch a new product (a customer success offering).
- **Acquire More Efficiently:** Focus on acquiring faster. Optimize your VSB operations by eliminating inefficiencies in the signup process and enabling quicker launches—measured in minutes, not hours.

What Did We Learn?

This is an application of second-order thinking: simply hoping another GTM motion will solve the issue is not a sound strategy, so always identify the root causes of impeding growth before planning a new one.

10.2.4 *Use-case 4: When NRR Conflicts with ACV*

A few years ago, we were approached by a customer who said they had watched every video, read all the books, and implemented everything accordingly, yet exclaimed on a call, "It doesn't work?" They had an ACV of $40,000 and had hired a team of SDRs and AEs to target DataOps executives. Using their founder, they gained about 80 customers and expected another 80 within a year by launching a professional sales team.

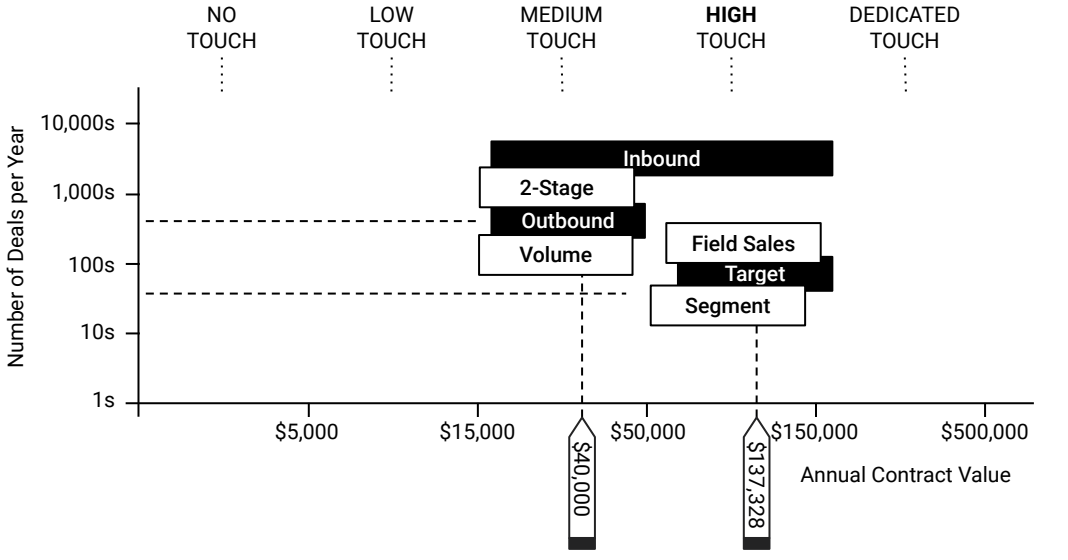
The Problem: Looking at the NRR, They Picked the Wrong GTM Motion

We were intrigued when they mentioned having SDRs call on DataOps executives. We later discovered that their NRR was staggering, taking the software from a $40,000 first-year cost to $107,200 in the second year and $264,784 in the third—a total of over $411,984. Their mistake was basing their GTM motion on the initial ACV, ignoring that, based on the ACV over 3 years, it needed a high touch motion. Therefore, the solution was simple: replace the SDR/AE team with an experienced seller and a sales engineer.

What Did We Learn?

Consider the first-year ACV in the context of the revenue over the next 2 to 3 years by including the NRR in your decision. Moreover, the switcheroo from one GTM motion to another took 2 years and cost over $10 million; that's a lot of lost time that is hard to recoup.

FIGURE 10.15 ***Looking at the NRR, the GTM motion does not entirely match up.***



10.2.5 Use-case 5: The Odd Couple, PLG and Enterprise

Atlassian broke new ground by leveraging a unique PLG strategy for software developers and using a bottom-up sales model, free trials, and low-cost plans for individual Users or small teams. This approach sidesteps the need for executive buy-in, making adoption more seamless. Once hooked, the Users become Champions of the product within their organizations, acting as marketers, sales reps, and sales engineers. As the user base expands, a more traditional payment model kicks in. Atlassian's focus on self-serve options, transparent pricing, and customer-centricity has made this GTM approach, often referred to as a PLG motion, remarkably effective. Many others have attempted to emulate this, but only some have succeeded. Many companies still struggle to make it work. Let's explain how this use case works.

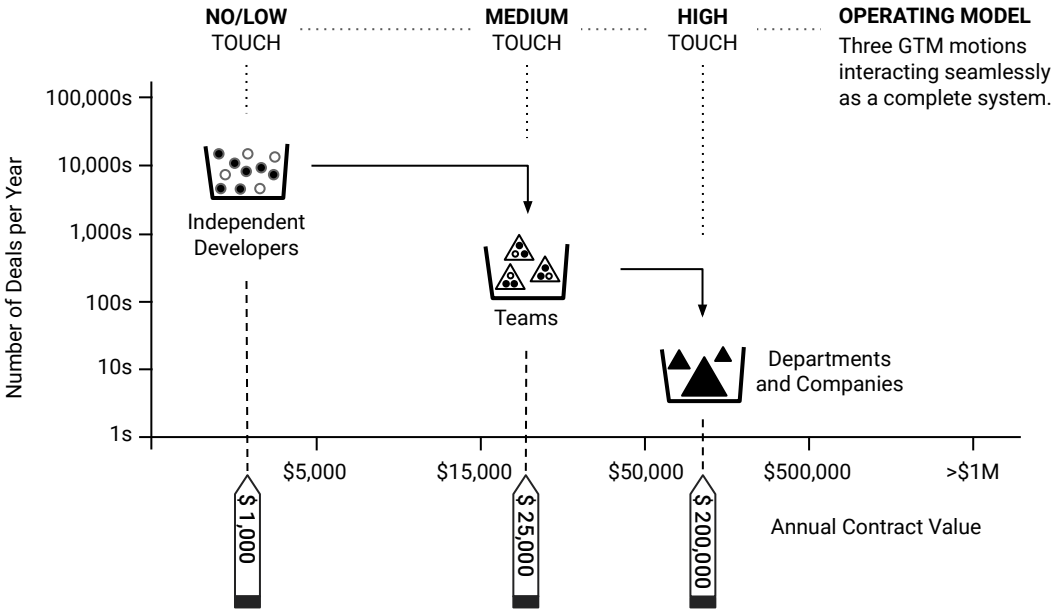
The Problem: It's Not Product-Led Growth; It's Developer-Led Growth

Years of experience with top PLG companies have shown that the magic of Atlassian's model is realizing its developer-led growth. Unlike basic PLG models that target individual users—think Superhuman or Calendly—developer platforms necessitate the collaboration of multiple developers. The developers' behavior and culture—valuing skill and tenure over managerial authority— ultimately dictate the GTM motion's success.

The conversion timeline from a pro-user to a small team or from a small team to a larger group is gradual, often spanning months or even years. This extended gestation period is not a bug but a feature. When a developer completes a project or transitions to a new job, it is the best time to switch to a new tool stack. Providers who understand and embrace this concept invest years in cultivating this culture, establishing an insurmountable competitive advantage.

Moreover, the developer-led growth motion seamlessly blends the low-, mid-, and high-touch models, naturally creating a unified Operating Model (see Figure 10.16). This establishes a fluid user journey, from initial contact to high-value transactions under one strategic umbrella. This approach sets a new benchmark for harmonizing multiple GTM motions.

FIGURE 10.16 ***Developer-led growth is the engine behind PLG strategies used by developer platforms, they natively form an Operating Model.***



What Did We Learn?

In developer platforms, PLG should be seen as developer-led growth. It isn't a high-velocity lead generation strategy using a freemium model or a sales methodology to close deals faster; it must be seen as an investment in a long-term, highly sophisticated GTM motion.

10.2.6 Evolution of the GTM Model

The evolution of the GTM Model is dynamic, as it continuously adjusts to market conditions. It's crucial to understand that the buyer determines how they want to be catered to. It means the GTM model responds and evolves to customer trends across marketing, sales, and customer success. And that it is constantly evolving.

GTM Motion Trends

In the Golden Era of SaaS, the market underwent rapid transformations, and various trends emerged, often propelled by groundbreaking technological innovations. Given the industry's history of seismic changes, we can reasonably expect another evolution in the near term, mainly due to advances in AI and the impact it will have on all GTM motions.

Trend 1–Evolving SEO Landscape: The landscape of SEO is transforming significantly, and we start with this trend as it impacts all GTM motions.

- **Search Engine Optimization (SEO):** Ideally, organic traffic accounts for greater than 40% of a website's total traffic. Yet, many SaaS companies today see less than 20% due to profound changes in Search Engine Results Pages (SERPs). Previously, keyword ranking was central to driving traffic and conversions, but this approach is no longer sufficient. The traditional focus on specific methodologies and channels (SEO, PPC, Social) has evolved into a complex multi-touch media attribution model.

  There are many nuances to SEO to consider; for example, auto-complete and suggestive search phrases significantly impact user search behavior, offering distinct results from traditional natural language searches.

- **Content:** Today, engagement is driven by thought leadership and quality content, requiring adaptations to how and where people search and the kind of content they find valuable. Video content, notably on YouTube, has become increasingly important in search results, while most B2B organizations lack the skill of doing video well.

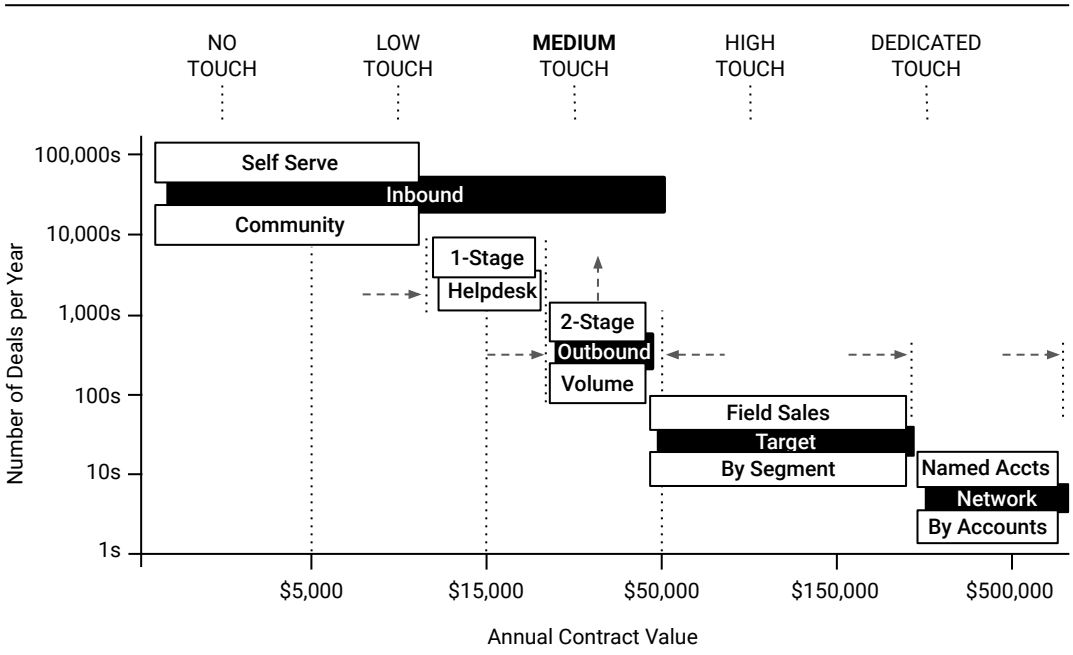
  AI-generated searches challenge content creators to stay relevant and objective, emphasizing transparency over sales-driven narratives. This shift underscores the renewed importance of press releases, which necessitate strategic placements in leading trade sites for the legitimacy of the content and the establishment of powerful inbound links.

  Moreover, using content distribution platforms like TikTok and Instagram illustrates the necessity to engage audiences with shorter attention spans, indicating a shift towards more dynamic and accessible content formats.

As the SEO landscape evolves, the implications for content strategy, audience engagement, and digital marketing approaches are profound. Companies like Adobe, Canva, and Grammarly leveraging TikTok for advertising underscore the need for SaaS companies to adopt innovative and responsive SEO strategies.

No Touch/Low Touch Trends: No Touch/Low Touch GTM motions are increasingly popular as they move to serve higher ACV ranges, signaling a shift towards more scalable, cost-efficient models. AI developments are poised to accelerate this trend, potentially diminishing the reliance on more labor-intensive medium touch approaches.

FIGURE 10.17 ***The No Touch GTM motion is moving to serve higher ACV ranges, signaling a shift towards more scalable, cost-efficient models.***



Next are 3 trends that affect the no touch/low touch GTM motions:

- **Trend 2–Inbound Marketing is Unable to Sustain the Growth:** Inbound marketing, a core element of SaaS GTM for over a decade, is now under pressure due to market saturation. With generative AI poised to inundate the market with a lot of content, standing out has become more challenging for companies relying heavily on this approach.
- **Trend 3–Conversational Marketing is being Powered by AI:** Since 2018, conversational marketing has been reshaping the Low Touch GTM motion by integrating AI-driven chatbots. The development of AI will help chat bots become more nuanced and have more context-aware dialogues with clients, substantially enhancing automated customer interactions.

- **Trend 4–The Evolution of PLG:** PLG's customer-centric focus increasingly puts the product at the helm of business growth, causing scalable and sustainable growth. While PLG historically accelerated growth at a reduced cost of sales, the marketing and customer success expenses have remained substantial. AI is poised to further revolutionize PLG by reducing these costs and improving the post-sales customer experience. PLG will continue to follow how customers want to buy, guiding other GTM motions toward more scalable and sustainable growth.

Medium Touch Trends: This particular GTM motion was popularized by innovations in email automation (sequencing). In short, it will see a narrower application. The transformation is fueled by the increase in the cost of human resources (see Figure 1.11), which is balanced with advances in AI replacing these resources. AI will also improve the outreach based on insights available through widely available data, enabling unprecedented customization and targeting on a large scale. Whereas the low touch motion leverages users to create word of mouth, the mid touch uses thought leaders to present their approach at industry events. Two trends reshaping the medium touch GTM motion are:

- **Trend 5–Outbound Has Reached Saturation:** Between 2016 and 2020, outbound was one of the default GTM motions used as the Mid Touch motion. Initially thriving with email automation and hyper-personalization outbound via phone, email, and inmail has reached saturation with a sharp decline in response rates. Despite this, we can expect AI-powered techniques to continue playing a significant role in customer marketing spaces.
- **Trend 6–The Verticalization of Inside Sales Teams:** Inside sales teams have been integral to medium touch GTM, typically consisting of SDRs and AEs. PLG and PLS will narrow the field of application of this specific GTM motion. We will see inside sales find new life in vertical SaaS markets, which will benefit from a highly personalized outreach.

It is true that today's oversized SDR teams are likely to downsize, but expect an increase in focus on more experienced staff with deep market knowledge—for example, think of former teachers calling on schools and former nurses calling on hospitals.

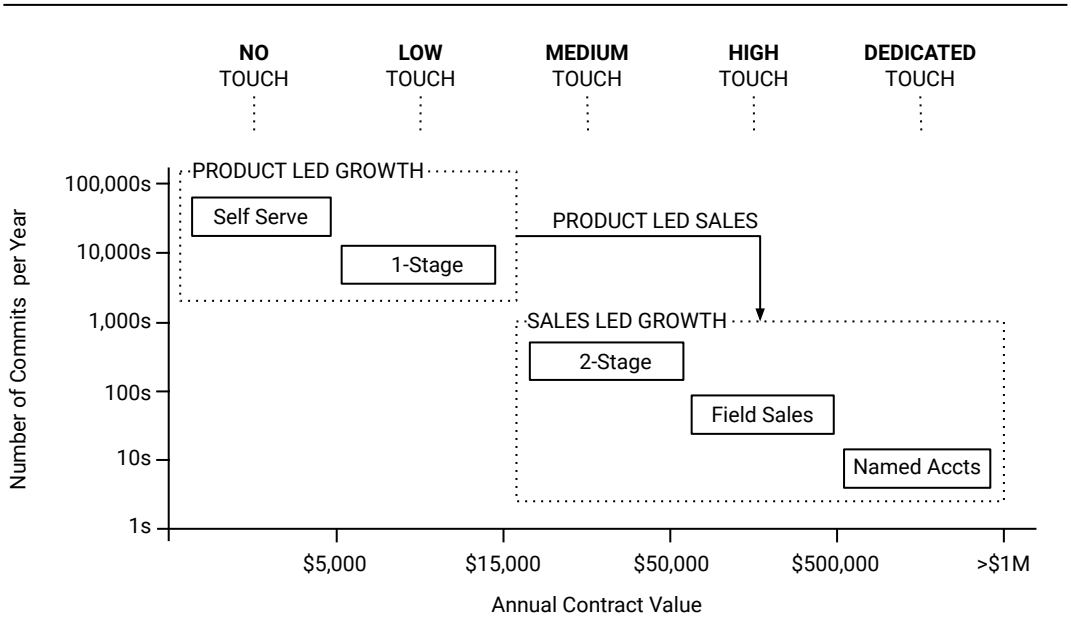
Next, we will look at the trends in the high/dedicated touch GTM motions.

High/Dedicated Touch GTM Motion Trends

Contrary to the notion that online and inside sales would eclipse the high touch motion, it is making a big comeback. As more technology is used and AI leaves us wondering who we are talking to, the ability to talk to a real person who has lived it will become of premium value.

- **Trend 7–Product-Led Sales (PLS):** PLS is the sibling of PLG, where a sales-led motion is tightly aligned with PLG. Who has been using the product, what features, what was the user experience, and what impact did the user get out of it? It brings the product (and user) into a more complex, multi-stakeholder decision process. The user's increased role in the decision process must be codified in modern sales processes; an example of this is depicted in Figure 8.21.

FIGURE 10.18 ***Product-Led Sales uses PLG as lead generation for a high(er) touch sales motion***



- **Trend 8–Expanding Role of In-Person Selling:** The High Touch sales model, traditionally the realm of "road warriors" closing million-dollar deals, is becoming cost-effective, even for smaller deals ($30,000).

  Moving forward, In-Person is no longer confined to sales; customer success teams can embrace this engaging approach, too. Expect more regional events to build local customer communities that share best practices.

  Coupled with the ever-increasing price of subscription services, expect High Touch sales and dedicated CS reps to move toward mainstream use.

- **Trend 9–Resurgence of Regional Teams:** On the backs of the increasing role of in-person selling, localized teams covering major metropolitan areas like New York, London, and Singapore are making a comeback. These small, region-specific offices aren't just about sales; they're becoming hubs for building an in-region community.

- **Trend 10–The Hyper-Specialist Era:** The customer's demand for nuanced insights drives demand for subject-matter experts from R&D, not just in sales but also in marketing, and customer success efforts.

Foundational Principles of Trends in GTM Motions

The vast array of trends in GTM motions can seem daunting, yet understanding their cyclical nature is essential. At their heart, GTM motions are anchored by foundational principles (see Table 10.2). Unveiling these underlying principles reveals specific needs that drive a constant evolution of these trends.

- **No touch needs a high volume of leads:** This approach demands a high transaction volume and prioritizes cost-efficiency. It employs content-driven inbound marketing to engage a broad audience, fostering word-of-mouth, which explains why PLG works so well here.

- **Low touch needs a high velocity of sales and expansion:** This strategy is defined by the rapid pace of transactions and a focus on accelerating customer growth. It explains the use of SDRs to qualify buyers to setting up the seller to perform a "disco-demo-close." It also explains the popularity of industry events and a market rife with self-anointed thought leaders.

- **High Touch needs a brand build on expertise:** Tailored for CxO-level decision-making, this approach requires deep level of expertise, demands significant technical support throughout the customer's lifetime, and may even involve a level of customization. Cultivating a trusted relationship is essential, which causes a happy customer to refer new customers.

These trends demonstrate that the GTM motions are constantly moving within the GTM model. They're fluid and must be revisited and revised to match the ever-changing business landscape.

With the Golden Era in the rearview mirror, we know it's not just about scalable GTM motions anymore. The grow at all costs mindset of the past decade led to companies avoiding due diligence to determine what GTM motions would work best. Companies instead used the funds provided by a venture partner to deploy many different GTM motions. As we learned, this makes it costly and creates a culture where growth staggers due to the resources being spread thinly over too many GTM motions. Today, we have entered a new era, that of the revenue factory, in which each GTM motion operates like a production line. Each GTM motion, much like a production line, provides scalability (growth velocity), sustainability (cost-efficiency), and durability (high quality).

In the process, we learned from successful PLG motions that they reflect critical elements any GTM motion needs to address to succeed:

- Help the customer to buy. The company selling is, therefore, a result.
- Help customers use of your product successfully: thereby achieving impact.
- Create interoperability between different GTM motions to be more efficient..

Conclusion: Gone are the days when GTM strategies were based on gut feelings or industry buzz. Today, we're in an era of data-driven decision-making. By leveraging real-time metrics, we can scientifically evaluate different GTM approaches. The move to data-centricity isn't just an upgrade; it's a game-changer. It empowers us to make well-informed decisions, trading guesswork for quantifiable insights, which is the key to unlocking scalable and sustainable growth.

SCALABILITY, SUSTAINABILITY, AND DURABILITY

The goal of the Revenue Factory is to achieve Durable Growth, which means winning customers who help you grow revenue quickly and cost-efficiently. These customers can be identified as those who achieve the desired impact. In the context of high-velocity growth, we approach this by splitting growth into 3 maturity phases, each focusing on a specific area:

Phase 1. Scalability = Growth with a focus on Velocity Scalability emphasizes the velocity of growth, where 'velocity' refers to the alignment between the product and the chosen GTM motion. For instance, the velocity increases when aligned, as seen with Slack's adoption of a PLG motion. This phase leverages all available resources and opportunities without prioritizing efficiency. It is characterized by a drive to rapidly increase revenue, relying on the business's ability to invest significant capital in generating and developing leads in a brand-new market. The goal is to transform these leads into customers who have the potential to increase revenues significantly over the years to come.

Phase 2. Sustainability = Scalable Growth + a focus on Cost: Builds upon scalability by integrating efficiency. Resources are becoming finite, and as a result, an unchecked focus on scalable growth leads to unsustainable resource demands. Thus, sustainable growth balances growth velocity with resource optimization, ensuring long-term viability without overextending the business's capabilities.

Phase 3. Durability = Sustainable Growth + a focus on Quality: Represents the pinnacle of growth evolution, building on the principles of scalability and sustainability while emphasizing quality. In durable growth, quality is paramount, focusing on delivering a recurring impact to customers. Happy customers stay loyal, expand their business, and become advocates, aiding new customer acquisition. Consequently, growth is achieved more cost-effectively, propelling the system forward in a manner that is both efficient and effective.

In the following sections, we unpack the strategies and tactics necessary to propel the GTM motions toward achieving lasting growth.

10.3 SCALABILITY OF A GTM MOTION

Chapter 4 delved into how GTM motions function like systems with inputs and outputs. This simplified perspective reveals that there are 2 primary approaches to achieving revenue scalability:

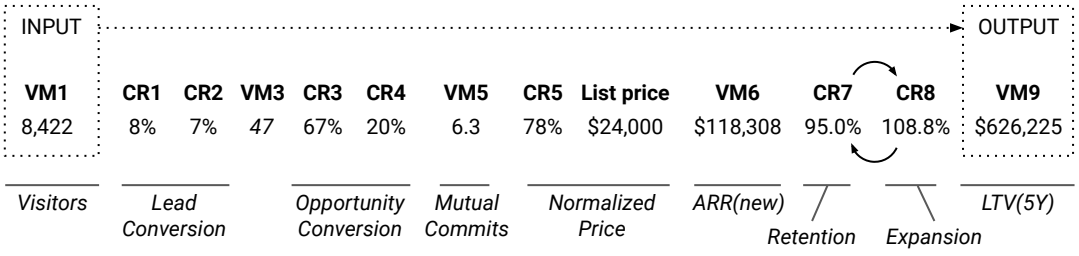
- **Increasing Inputs** (quantity), think of adding more leads,
- **Improving Throughput** (quality), think of improving conversion rates.

To determine the impact of each we will use the Growth Formula.

10.3.1 Understanding Scalability

Let's start with a practical use-case: a Low Touch Inbound GTM motion, depicted in the next figure. The journey starts with 8,422 monthly website visitors (VM1). Of these visitors, 8% (CR1) take action by signing up for more content. This engagement produces 673 leads, providing an opportunity to nurture them with additional content and events. As their engagement deepens, 7% (CR2) express interest in having a conversation, leading to 47 opportunities (VM3). Of these opportunities, 67% (CR3) are deemed a fit, and with help from the sales team, 20% (CR4) commit to a purchase, with an average discount of 22%. Based on a list price of $24,000, this results in a new ARR of $118,308 per month (VM6).

FIGURE 10.19 ***A simplified Growth formula for a Low Touch (Inbound) GTM motion***



The monthly ARR_{new} (VM6) will grow to $626,225 (VM9). This figure represents the LTV over 5 years (LTV(5Y)) of customers acquired that month, based on annual Retention (CR7) and Expansion (CR8) metrics, which compound. Note that for ease of understanding Onboarding (CR6) is assumed to be 100%.

The growth of recurring revenue from $118,308 to $626,225 involves multiple factors that affect the revenue of a cohort of customers over time. A detailed breakdown is necessary to accurately calculate the annual growth percentage attributable to retention and expansion. The breakdown in the next table illustrates an in real life customer example of how retention and expansion rates contribute to the year-over-year revenue figures, accumulating over 5 years.

TABLE 10.4 ***The compounding effect of revenue through retention and expansion***

	ARR(start)	Retention	Expansion	ARR(end)
	VM7	**CR7**	**CR8**	**VM9**
Year 1	$118,308	93%	109%	$119,929
Year 2	$119,929	96%	107%	$123,191
Year 3	$123,191	96%	110%	$130,090
Year 4	$130,090	95%	109%	$134,708
Year 5	$134,708			
5 Year Total	**$626,225**			

The Growth Formula represents a sequence of conversions and activities leading to revenue growth. It aids in understanding the cause-and-effect relationship between different stages of customer acquisition and retention and can aid in comparing different GTM motions. The Growth Formula helps derive unit economics, which is essential for comprehending the cost and revenue generated per unit of input (such as leads or visitors) or unit of output (like revenue). For instance, utilizing this Growth Formula, we can deduce that this particular GTM motion yields $14,407 in revenue for every 1,000 visitors.

FORMULA 10-1

$$1{,}000 \ / \ 8{,}422 \ \square \ \$118{,}308 = \$14{,}407 \ in \ \mathrm{ARR}(new)$$

Or it takes 71,186 visitors to generate $1M in new ARR, assuming the quality of visitors and, thereby, their conversion into revenue stays the same.

FORMULA 10-2

$$\$1{,}000{,}000 \ / \ \$118{,}308 \ \square \ 8{,}422 \ = 71{,}186 \ visitors$$

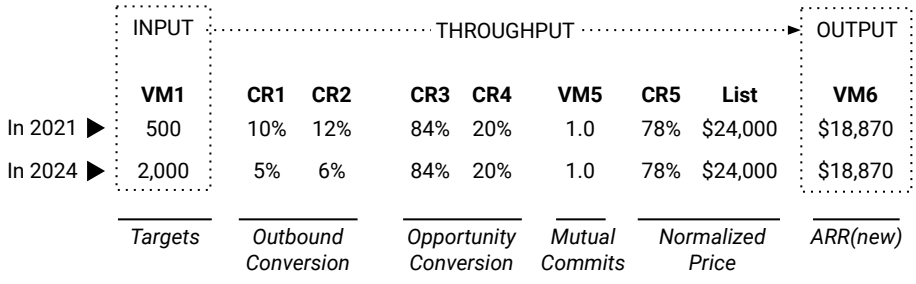
10.3.2 *Scalability: Increasing the Input*

During the Golden Era, the market was brimming with opportunity, reminiscent of human's "hunter-gatherer" period. This period was a time in which humanity could thrive by simply foraging for plentiful, naturally replenishing food sources without the need for farming. Scaling was akin to having more people forage.

From 2015 to 2021, scaling a recurring revenue business followed a similar principle: all you had to do was increase the number of leads (inputs) to amplify growth (output). Think of boosting SEO/SEM spend, hiring more sales reps (SDRs/ AEs), and applying state-of-the-art tools. A time in which VCs would ask, "If we double your round, can you grow twice as fast?" It was an era marked by a linear mindset—in that 2x growth resulted from 2x inputs.

The landscape has since shifted, with many facing a scarcity of inputs. Take an outbound GTM motion as an example: In 2021, a list of 500 targeted accounts paired with an email automation tool might have yielded a 10% open rate and a 12% click-through rate, converting to 5 opportunities and resulting in 1 win (see Figure 10.20). However, by 2024, outbound conversion rates had deteriorated, requiring many more targeted attempts to generate the same number of opportunities. The substantial increase in inputs and a steep rise in the unit cost per input caused Lead Generation cost to catapult.

FIGURE 10.20 ***A simplified Growth formula for a Medium Touch (Outbound) GTM motion.***

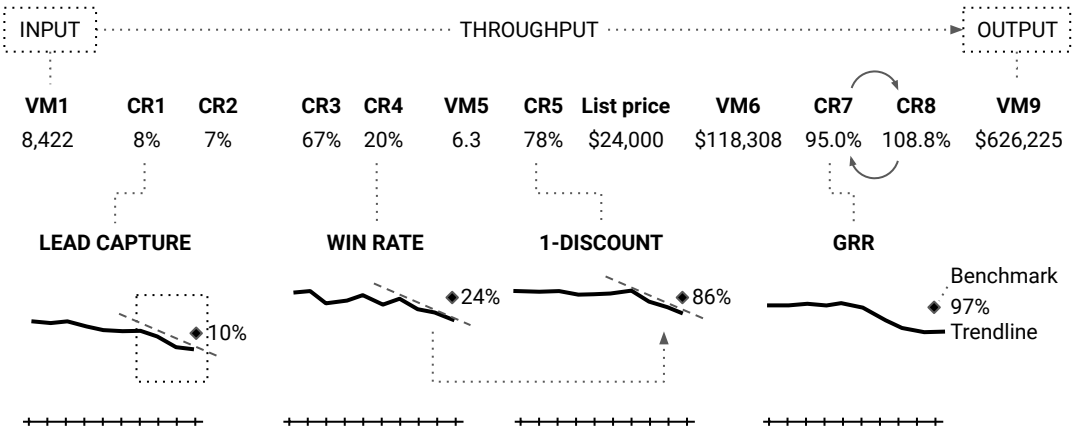


Companies reliant on input-based scaling, such as vertical SaaS, must track the amount of leads needed to generate a single deal, as well as the cost per input, vigilantly. These are clear signs that scalability based on volume of inputs is drawing to a close, and that you need to shift to throughput based scalability.

10.3.3 *Scalability: Improving the Throughput*

Scalable growth is often seen as the result of increasing the number of inputs, such as leads. It leads GTM teams to believe that increasing growth requires boosting the volume of inputs, e.g. more leads. However, as demonstrated by the Medium Touch GTM motion depicted in the previous figure, a marginal decline in lead quality necessitated a fourfold increase in the number of leads to sustain the same revenue levels. Thus, a decrease in conversion metrics impacted the quantity of inputs needed. Conversely, an increase in conversion metrics will lead to an increase in revenue. This strategy is known as Throughput Improvement. Conversion rates are dynamic; they change. By establishing a trendline and comparing it to industry benchmarks, we can assess whether there is room for improvement. For example, a lead capture rate might dwindle by only 0.25 percentage points per quarter. However, its persistent decline eventually causes it to fall well below benchmark data, signaling a significant issue. When such a trend occurs across multiple metrics simultaneously, it serves as a clarion call for immediate action.

FIGURE 10.21 ***Growth Formula with Trendlines and Benchmark data for individual metrics reveal room for marginal adjustments to individual throughput metrics.***



KEY 1. Trendlines provide more relevance to more recent data than an average, which assigns equal value to all data points.

KEY 2. Combining trendlines can aid in identifying causality, thereby improving the accuracy of predictions.

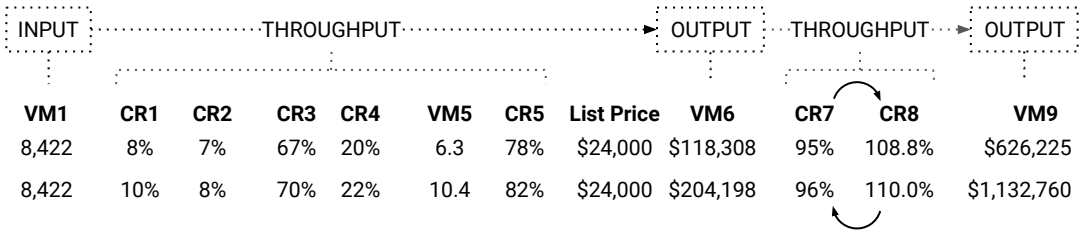
KEY 3. Comparing benchmark data against the trendline helps identify if there is a scalability issue.

Instead of a disproportionate increase on a single metric, such as doubling the number of leads, marginal theory, detailed in section 7.1.2, examines what happens if multiple metrics are improved simultaneously. For example:.

- **Download [CR1 8% > 10%]:** Reduce the number of entry fields, bringing it doesn to just the email address for example.
- **Interested [CR2 7% > 8%]:** Use technology to cross-reference intent data and focus on higher-value prospects.
- **Qualified [CR3 67% > 70%]:** Provide compelling reasons for prospects to join a discovery call, such as unveiling new research, while improving the skills needed for effective discovery calls.
- **Win rate [CR4 20% > 22%]:** Invest in skill development in key areas, such as navigating the decision-making process.
- **Discount [CR5 22% > 18%]:** Train the team to trade rather than negotiate and require executive approval for discounts above 10%.
- **Retention [CR7 95% > 96%]:** Inform the customer of the impact delivered when it occurs, and provide frequent summaries to management.
- **Expansion [CR8 108.8% > 110%]:** Invite customers with the biggest expansion opportunity to a specific session on how to achieve growth.

When we apply this marginal gain to the Growth Formula, as depicted in the next table, the results show that the same number of visitors (VM1) increases the ARR_{new} (VM6) from $118,308 to $204,198—a 72% increase. The gains extend to acquisition to retention and expansion, resulting in a boost in revenue over a 5-year period (VM9) by a whopping $506,535, and consider this: most of this additional revenue is profit. Alternatively, the improved Throughput can achieve the same $626,225 (VM9) output with only 55%, or 4,649, leads (VM1).

FIGURE 10.22 ***The result of a small increase in throughput with a stagnant input***



VM1	CR1	CR2	CR3	CR4	VM5	CR5	List Price	VM6	CR7	CR8	VM9
8,422	8%	7%	67%	20%	6.3	78%	$24,000	$118,308	95%	108.8%	$626,225
8,422	10%	8%	70%	22%	10.4	82%	$24,000	$204,198	96%	110.0%	$1,132,760

The Next Generation of Growth

We are witnessing the awe-inspiring capability of the recurring revenue propulsion system built into every subscription service. When operated as designed, it unlocks hyper-growth potential through marginal improvements, paving the way for scalable growth. Scalability manifests itself in 2 ways:

- **Input Driven:** Increasing the number of inputs results in growth. However, this can only be done for a while; at some point, the quality of the inputs will deteriorate, affecting conversion metrics and causing the need for an increasing amount of inputs, resulting in a decreasing output.
- **Throughput Driven:** Growth depends not just on the number of inputs but also on the quality. This is reflected by a series of conversion points at various stages along the customer journey. An earmark of throughput improvement is that it leads to cumulative effects, where marginal gains in each conversion point impacts the next conversion, and the next. Etcetera.

Three Ways to Improve Throughput

During the 'Grow at all costs' era, our primary focus was on growth by increasing leads (inputs), for which it leveraged technology such as email automation. Over time, this led to a decline in the quality of inputs, adversely affecting conversion metrics and causing the system to collapse. As we enter a new era, our focus shifts toward Throughput Improvement, in which we aim to achieve marginal gains, not just in one function but across the entire customer journey. There are 3 ways to improve Throughput:

- **Streamlining processes** by eliminating unnecessary steps,
- **Automating systems** with cutting-edge technology, such as AI,
- **Enhancing skills** through training, supported by in-person coaching.

At first, it may seem far-fetched that these marginal gains can lead to such a big impact. But ask yourself: Is asking individual functions to aim for a 10% improvement reasonable? It seems feasible for a GTM organization to achieve this when it starts to work together as a team, use a common language, and implement a standardized approach. Isn't this precisely what professional sports teams do? And isn't it time we do the same for GTM?

The Crucial Role of the Growth Formula

Determining the scalability of a GTM motion remains a judgment call. However utilizing a Growth Formula and deriving unit economics from it aids those in charge of revenue operations in several ways:

- It highlights causality within the business operations.
- It identifies assumptions through measurable metrics.
- It establishes reasonable expectations for teams based on these metrics.
- It enables an organization to monitor progress and identify bottlenecks.

It is clear that targeting incremental improvements across various departments is more feasible than expecting a single department to drive significant change.

According to Theorem of Margin, even minor changes in one conversion metric (CR[n]) should prompt the GTM team to pay close attention and monitor developments rigorously. A simultaneous shift in 2 metrics compounds their effects, necessitating heightened vigilance. A change in 3 metrics signals an "all hands on deck" scenario, requiring immediate action regardless of whether the situation is rapidly improving or deteriorating.

This underscores the importance of the use of a Growth Formula to quantify the impact of marginal changes accurately. While it may initially seem complex, comprehending the causality between conversion points and their compounded impact on growth is essential. Scalability means that GTM motions are capable of managing fluctuations in input volumes—such as leads or visitors—and generating increased outputs, like revenue, all without necessitating large resource increases or compromising existing processes.

Throughout this book, we've drawn analogies to a factory, highlighting the transformative impact of the third industrial revolution, marked by the advent of robots that revolutionized manufacturing through scalability and efficiency. As we enter the fourth industrial revolution, fueled by advancements in AI and Large Language Models (LLM), the potential for significant enhancements in GTM—particularly in terms of scalability and efficiency—becomes unmistakable. This technological progress promises a substantial leap forward and underscores the evolving landscape of GTM strategies in the new age.

An Exciting Vision for the Future of GTM

If you've been nodding along up to this point, perhaps you're ready to take one more step: Is it time for a Quality Management solution for GTM?

Consider this: The foundational elements for an effective GTM—strong customer focus, ongoing improvement, cross-functional collaboration, quality control, and process optimization—align with established quality management practices from the manufacturing world. Methodologies that aim to enhance product quality, boost productivity, and increase profit margins.

TABLE 10.5 ***A comparison of key elements in quality management and process improvement methodologies demonstrates alignment with the need for a quality management methodology for GTM.***

	Customer Focus	Continuous Improvement	Data Driven	Process Optimization	Employee Involvement	Waste Reduction	Quality Control	Team Collaboration
Agile	+	+	+	+			+	+
BPR	+	+	+	+	+	+		+
ISO 9001	+	+	+	+	+	+	+	
Kaizen	+	+		+	+	+	+	+
Lean	+	+	+	+	+	+	+	+
Six Sigma	+	+	+	+	+	+	+	+
TQM	+	+	+	+	+	+	+	+

Reflecting on history, the integration of robotics in the 1950s catalyzed the Quality Management movement. Similarly, the rise of AI, powered by Large Language Models, promises a comparable revolution for GTM strategies.

As we navigate this new era, it's clear that such advancements are not mere possibilities but realities unfolding in front of our eyes at a pace that challenges our systems and processes. Leveraging AI to implement a quality management solution for GTM will be revolutionary; it will usher in a new era of industry leadership and signal the decline of those unable to adapt.

10.4 SUSTAINABILITY IN GTM MOTIONS

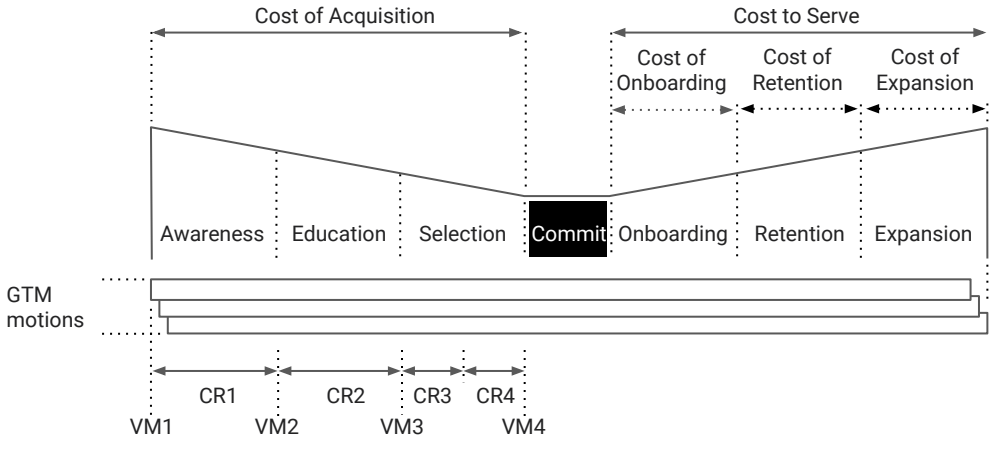
Scalable growth focuses on expanding inputs, such as increasing lead flow (VM2), and enhancing throughput, illustrated by improved conversion rates, like win rate (CR4). We employ the Growth Formula to articulate this concept. Sustainable growth extends scalable growth by adding a critical factor: Cost.

Each of the 7 stages of the Bowtie model incurs specific costs. We can organize the 7 cost centers with the origins of growth:

- **Acquisition Cost:** Covers the costs accumulated across the stages of Awareness, Education, and Selection (10.4.1).
- **Retention Cost:** Accounts for the one-time cost during onboarding and the ongoing costs to ensure adoption (10.4.2).
- **Expansion Cost:** Refers to the cost incurred during Expansion, including upsell and cross-sell (10.4.3).

A more accurate cost assessment is needed as the difference in cost across GTM motions between low-touch and high-touch motions can differ by a factor of 10x to 100x. Calculating the cost of a GTM motion involves examining role-specific salaries and allocating marketing expenses to each GTM motion. This approach contrasts with conventional CAC calculations, which evaluates costs on a much broader, departmental level.

FIGURE 10.23 ***Cost Allocation across different GTM motions***



In the Data Hierarchy depicted in Figure 9.19, the acquisition cost per GTM motion operates at Layer 3, whereas 'CAC' operates at Layer 4. A higher precision in the cost calculation is vital for conducting scenario analyses, which can highlight a narrow path to sustainable revenue growth over a prolonged and treacherous period. Currently, most decisions do not examine growth and cost trends per GTM motion, which is a root cause of unsustainable growth. By grounding investment decisions in scenario analysis that entails growth and cost per GTM motion, organizations better understand their venture's scalability and sustainability trends for years to come.

The Financial Planning and Analysis (FP&A) team plays a crucial in performing scenario analysis. Their responsibility is to provide you with insights on how to grow rapidly while efficiently using the available resources, across acquisition, retention, and expansion.

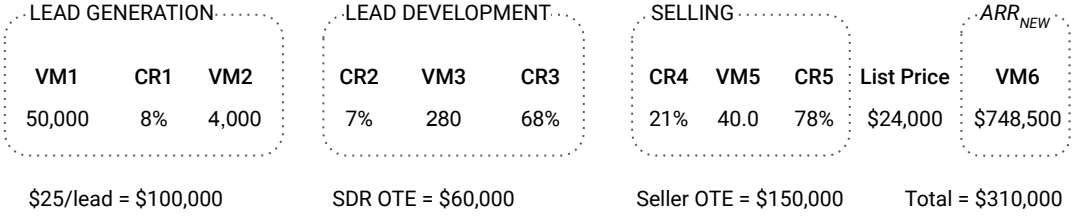
10.4.1 Cost of Acquisition

Let's delve into a practical example based on a medium-touch GTM motion. This motion attracts 50,000 visitors a year, of which 8% seek more information. These are referred to as leads. In this example, the following costs are incurred:

- The cost of attracting visitors, and converting them into a lead (CR1) is $25 per lead for 4,000 leads per year, totaling $100,000 in lead generation costs.
- The cost of developing a lead (CR2) is based on the salary of a Sales Development Rep (SDR) who has an OTE of $60,000 per year.
- Once an opportunity is qualified (CR3), a seller (AE) secures 40 deals per year with an average win rate (CR4) of 21%. The OTE for an AE is $150,000.

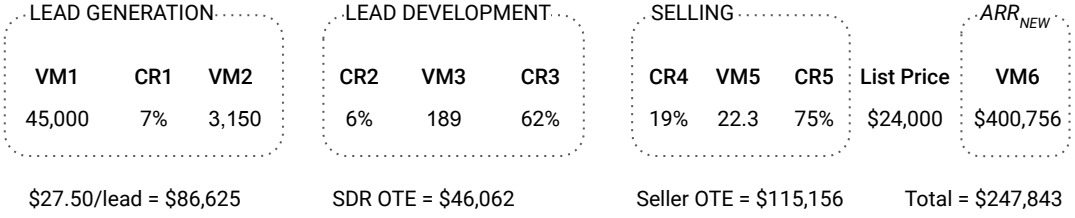
It results in $748,500 against a target of $750,000 in ARR_{NEW} per year. The total cost of acquisition is $310,000, or 41% of the first-year revenue (see Figure 10.24). While such a percentage would be considered excessive in an ownership-based model, for a recurring revenue business, it may be justified, as the revenue has the potential to grow over the subsequent years. Each renewal will further the amortization of the acquisition costs.

FIGURE 10.24 ***Adding the cost to a Growth Formula for a GTM motion provides insight into the sustainability. In this case it takes $310,000 to generate $748,500 in ARR_{NEW}.***



Let's conduct a scenario analysis on the above GTM motion, simulating a downturn causing a marginal decline in throughput performance across the board. As shown in the following figure, this causes the revenue to drop from $748,500 to $400,756, a 46% decrease. With the number of leads diminishing, the price per lead rises due to supply and demand dynamics. Fortunately, the SDR and Seller roles are on a variable compensation plan, with 50% guaranteed and 50% reliant on performance. This reduces the acquisition cost from $310,000 to $247,843, achieving a total cost reduction of approximately 20%.

FIGURE 10.25 ***As the performance marginally decreases the 50/50 variable compensation does not impact the cost proportionally. It now takes $247,843 to generate $400,756 in ARR_{NEW}.***



But herein lies the problem: this decline in revenue by 46% is far steeper than the ~20% decline in the cost of acquisition. The discrepancy causes the acquisition cost to soar from 41% to 62% of the first year's revenue.

A bellwether metric in this is the number of qualified opportunities an SDR generates. During the Golden Era, this figure ranged between 20 and 25 opportunities per month, aligning with the example in Figure 10.24. Over time this has dropped to below 10 per month, demanding 2x the amount of lead generation and development efforts causing these costs to skyrocket.

10.4.2 Cost of Retention

Historically, the Cost to Serve (CTS) was employed to account for the expenses associated with customer service in an ownership-based model, where costs were covered up front. It primarily included installation assistance, bug fixes, and account management, with a notable focus on password resets. Consequently, according to accounting principles (GAAP), Customer Service is classified under the Cost of Goods Sold (COGS). As discussed throughout this textbook, customer success in subscription- or consumption-based business models differ.

In these models, it's crucial to help customers establish a recurring impact to retain their business—not just once but over a prolonged period. According to GAAP, Onboarding and Retention costs are accounted for under the Cost of Goods Sold (COGS). In contrast, costs associated with Expansion, such as upselling and cross-selling, are categorized under Sales and Marketing expenses. The allocation of costs, in line with accounting principles, causes the distinction between the cost of retention and expansion.

Let's sit down with the FP&A team and establish the:

- **Onboarding Costs:** In this example, an Onboarder with a salary of $100,000 per year onboards 40 accounts a month or 480 a year. This boils down to around $203 per account for onboarding. It may not be important for an account that generates $18,000 in revenue annually, but this would be a non-starter for an account that generates $60 in revenue annually.
- **Retention Costs:** The CSM who oversees retention earns $120,000 annually and works 2,000 hours yearly. We allocate 1,200 hours/year to customer-related work, excluding administration and participation in team events.

  Suppose it takes, on average, 6 hours per year to manage an account that generates $18,000 in ARR. This implies that one CSM can handle a maximum of 200 accounts. Consequently, the cost per account is $120,000 divided by 200, equating to $600 each. Doing the math—200 accounts times $18,000—we find that a CSM looks after $3.6 million in recurring revenue.

In summary, the first-year cost to onboard a customer is $208, and for retention, it is $600 annually. According to the Growth Formula depicted in Figure 10.24, with 40 accounts added, this results in an onboarding cost of 40 x $208 = $8,333 in the first year. Assuming the $600 retention cost applies from the second year onward for each account, the annual retention cost for these accounts would be 40 accounts x $600 = $24,000.

A REVENUE FACTORY MINDSET

The objective of running scenarios is not to identify the average number of accounts a representative can manage or to determine a reasonable salary. Instead, the goal is to establish a process for deducing the retention cost at an account level and then calculate the cost that needs to be allocated to the GTM motion. This approach is based on assumptions that can be discussed, challenged, and, most importantly measured thus improved.

10.4.3 Cost of Expansion

In most organizations, the responsibility for Expansion resides either with the sales team or the CSM team. However, there are well-known problems with each. The CSM team often lacks the profile to perform sales effectively, while utilizing the acquisition sales team is too costly to operate on a large scale over a longer period. It will impact growth from acquisition, as experienced sellers tend to optimize their time around the easier sale to an existing customer.

The solution lies in creating a dedicated role that combines sales and customer success with a specialization in relationship development at an executive level. This role is commonly known as an Account Manager, or AM. An AM's OTE typically hovers around $180,000 against a $4–5 million quota. In this role, an AM handles hundreds of accounts, significantly higher than a salesperson. It causes the AM to operate at about 1/5th of the cost. If the accounts contribute over a million dollars in revenue each, the role evolves into that of a Strategic Account Manager (SAM). A SAM can oversee a team of people, managing only a handful or even a single account, with an OTE/SAM of over $1 million per year.

In this scenario we worked on (see Figure 10.24), in which we have 40 accounts, we can now calculate the cost that need to be allocated to AM as follows:

- An AM that makes $180,000 and manages 150 accounts would allocate $1,200 in cost to each account.
- However we can use data and AI to learn that only 1 in 4 accounts has the expansion potential to warrant the assignment of an AM. Since this GTM motion secures 40 accounts per year it means we need to allocate 10 x $1,200 or $12,000 per year.

It may feel like we are compensating both the CSM and the AM. This is true, that indeed is the case, and that is okay. For example the CSM can represent a specific solution, whereas the AM oversees the entire account.

10.4.4 Determining Sustainability

Selling perpetual software with an upfront payment yields immediate profit. However, with subscription revenue, profitability unfolds over time. While assessing scalability is relatively simple, assessing sustainability is more complex and requires considering various factors over a longer timeframe.

It starts with the revenue in the first year, which is straightforward: Account for the new ARR, subtract the churned ARR, and add the expanded ARR. The associated cost of acquisition, mainly the expenses related to marketing and sales, takes a big bite out of the first-year revenue, delaying profits. Generating revenue in subsequent years becomes essential to amortize the considerable acquisition cost. This has led to the emergence of a popular metric for determining sustainability: CAC Payback. It refers to the time it takes a company to recoup the expenses incurred in acquiring a new customer. However, as we will learn, recouping the cost of acquisition is just the beginning. A sustainable business must cover various other costs and, of course, make a reasonable profit. This underscores the importance of customer retention and expansion, as they too carry a cost. Although initially small, these costs recur annually, accumulating over time.

This underscores the need to analyze the financial impact over the years to determine sustainability. It explains why it is recommended to put a time horizon on a subscription business.

It is a widely accepted practice for the CFO to amortize the purchase of a large infrastructure project, such as routers, over 5 to 7 years. Now, due to the shift in the business model, in which the risk of the purchase shifts to the seller, it is the seller who needs to amortize the cost over time. Therefore, we recommend to calculate sustainability against the following time horizons:

- **Five years** for platforms such as CRM, ERP, ATS platforms, etc.
- **Three years** for applications that sit on top of platforms.
- **Twelve months** for (browser) plug-ins sold using a monthly subscription.

Using a standardized time horizon allows for evaluating financial performance, including benchmarking, which supports informed decision-making.

The following figure presents the compounding of customer revenue over a five-year period, considering both retention and expansion factors. We begin with an ARR of $748,500. The Retention (CR7) metric shows the percentage of revenue retained from the previous year; for instance, $748,500 multiplied by 87% results in $651,195. We then apply the Expansion (CR8) of 112% to this amount, leading to an adjusted ARR of $729,339 by the end of year 1.

TABLE 10.6 ***The cumulative amount of revenue over time is referred to as LTV(nY), with (n) being the number of years. LTV(nY) is needed to apply the cost of acquisition, retention, and expansion, determining the sustainability over (n) years.***

	ARR(start) VM7		Retention CR7		Expansion CR8		ARR(end) VM9		LTV(nY)	
Year 1	$748,500	×	87%	×	112%	=	$729,339	+	$748,500	**LTV(1Y)**
								=		
Year 2	$729,339		89%		108%		$701,041		$1,477,839	
Year 3	$701,041		87%		104%		$634,301		$2,178,880	**LTV(3Y)**
Year 4	$634,301		84%		104%		$554,126		$2,813,181	
Year 5	$554,126								$3,367,307	**LTV(5Y)**

Revenue is committed up front. Thus LTV(nY) is based on the sum of the revenue at the start of each year.

The Lifetime Value reflects the cumulative worth of a customer over a specified time, denoted by LTV(nY). In the first year, LTV(1Y) is equivalent to the starting ARR. By the fifth year, the LTV of this cohort of customers has increased to an LTV(5Y) of $3,367,307. This offers insight into the long-term value of a customer cohort and its vital to assess sustainability.

First, we take the cumulative revenue ① and add the costs of acquisition, onboarding, retention, and expansion ② (see Table 10.7). In this example, the first year's total cost equals to $354,333 ③. Notice that the acquisition cost in year one, with $310,000, accounts for 87% of the total cost. It shows that customers who churn in year one consume 47.3% of the revenue (LTV(nY)). Over subsequent years ④, these costs will be amortized; however, not as fast as one might expect. This is because the costs of retention and expansion are accumulating to a substantial amount: $172,295 over 5-years ⑤. This brings the total GTM cost over 5 years to 14.3% of the revenue.

TABLE 10.7 ***Scenario A depicts the cost of GTM as a [%] of the revenue gained over a 5-year horizon.***

LTV(nY)	S&M	ONB	CSM	AM	Total	Cumulative	Ratio
	Acquisition	Onboarding	Retention	Expansion			
① $748,500	② $310,000	$8,333	$24,000	$12,000	→ $354,333	③ $354,333	④ 47.3%
$1,477,839	$0	$0	$20,880	$13,440	$34,320	$388,653	26.3%
$2,178,880	$0	$0	$18,583	$14,515	$33,098	$421,752	19.4%
$2,813,181	$0	$0	$16,167	$15,096	$31,263	$453,015	16.1%
$3,367,307	$0	$0	$13,581	$15,700	$29,280	$482,295	14.3%
	$310,000	$8,333	$93,211	$70,751	→ $172,295	⑤	

A perpetual software business historically allocated 15% to 25% of their revenue to S&M. Although undefined today, we recommend to consider a GTM motion sustainable when the GTM costs are 20% or less of the revenue earned over a given period (LTV(nY)). Future revenues aren't guaranteed, therefore customer churn poses a significant risk. In the above example, if a customer churns at the end of year two, the GTM cost ratio surges to 26.6%, indicating unsustainability.

The Impact of a Marginal Decline on Sustainability

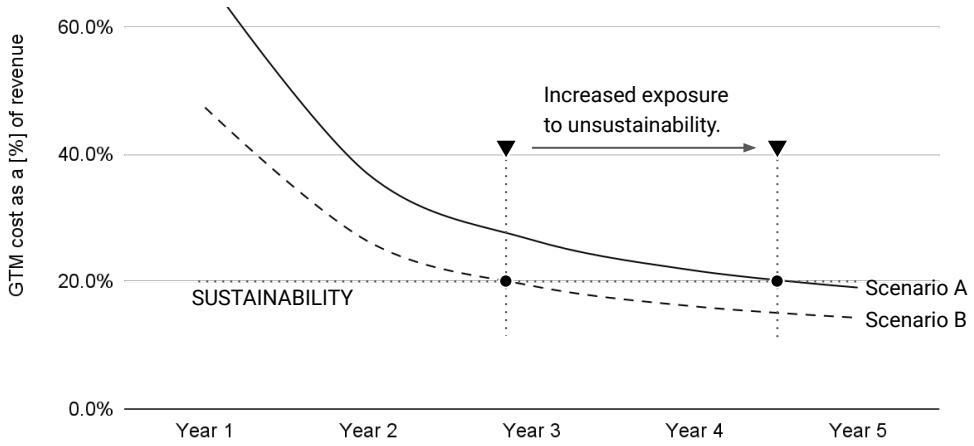
As discussed throughout this book, a recurring revenue model operates in a closed-loop system, where marginal adjustments can have significant effects. Figure 10.25 showed us how a marginal decline in performance caused the cost of acquisition to soar to 62% of first-year revenue. The table below shows the effects of this over 5 years. Note the costs for onboarding, retention, and expansion, decreases with the decline from 40 to 23 commits. This mitigates the impact of the decline in revenue (as a % of revenue).

TABLE 10.8 ***Scenario B depicts the impact of marginal decline on sustainability over a 5-year horizon.***

LTV(nY)	S&M	ONB	CSM	AM	Total	Cumulative	Ratio
	Acquisition	*Onboarding*	*Retention*	*Expansion*			
$400,756	$247,843	$4,638	$13,359	$6,679	$272,519	$272,519	68.0%
$791,252	$0	$0	$11,622	$7,481	$19,103	$291,622	36.9%
$1,166,597	$0	$0	$10,344	$8,079	$18,423	$310,045	26.6%
$1,506,209	$0	$0	$8,999	$8,402	$17,401	$327,446	21.7%
$1,802,894	$0	$0	$7,559	$8,738	$16,298	$343,744	19.1%

The next chart plots the GTM costs from scenarios A and B. It shows when the GTM motion becomes sustainable. Scenario B takes over a year longer. It stresses the impact of marginal changes, emphasizing the fragility and response sensitivity inherent in subscription-based business models.

FIGURE 10.26 ***The GTM cost as a function of time between the original cost of a GTM motion and the one that experienced a marginal downturn shows the impact, a delay in over a year.***



10.5 DURABILITY OF GTM MOTIONS

Simply put, durable growth is the response to a simple yet loaded question: What happens when we scale growth but at lower costs.

Scalability is about productivity—like ramping up production lines for high-volume growth. Sustainability aims for operational efficiency and the elimination of waste. Durability, then, is the quality control mechanism. Neglecting durability will yield fantastic growth metrics, at a low cost, in the short term, but the lack of quality will damage the lifetime value.

When we think about the quality of a SaaS product, our minds will quickly wonder about a product with a beautiful user interface and a fantastic, simple user experience. While these are important for emotional impact, durability determines whether the customer will repeatedly derive rational benefits from your product. That means that quality in the context of a SaaS product equals the ability to deliver the promised impact. The key metric that encapsulates this is Gross Retention Rate (GRR), a pivotal measure that signifies more than numbers; it reflects the health of your GTM motion.

The next table examines the impact on a single deal priced at $18,408. Over time, the deal experiences contraction due to churn (CR7) and expansion (CR8). The significant expansion in year two, at 128%, is attributed to a price increase, which concurrently leads to a decline in retention to 95%. This change causes the NRR (CR7 multiplied by CR8) to rise from 100% to 121.6%. The dynamics between GRR and NRR demonstrate the characteristics of a durable business.

While NRR is very important when assessing durability, it also can distort the factual picture. That's why GRR is the right metric to reflect durability over NRR. Although GRR may appear simple, do not underestimate its potency. A consistently high GRR over multiple years signals more than just customer satisfaction—it indicates a deep-rooted customer reliance. This single metric illuminates your value in the market and to your customer base, serving as the litmus test of your business's inherent durability.

TABLE 10.9 ***Focus on GRR to determine durability.***

	ARR(start)	Retention	Expansion	NRR	ARR
	[VM7]	[CR7]	[CR8]	[CR7xCR8]	[VM9]
Year 1	$18,408	98.0%	102.0%	99.96%	$18,401
Year 2	$18,401	95.0%	128.0%	121.6%	$22,375
Year 3	$22,375	94.0%	112.0%	105.3%	$23,557
Year 4	$23,557	95.0%	108.0%	102.6%	$24,169
Year 5	$24,169	93.0%	111.0%	104.0%	$24,950
5 Year Total	**$106,909**				

GRR is a true indicator of durability.

Price increase increases expansion (NRR), and obfuscates the problem.

10.5.1 Determining Durability

Different GTM motions yield varying GRRs (see Table 10.10). What is considered a great GRR in one motion may not translate to another. For instance, a Low Touch GTM motion typically target a GRR of 85%. In contrast, Enterprise GTM motions targets a much higher GRR between 95% and 98%. There's a correlation between higher ACVs and higher GRRs. The higher GRR targets are often met through highly specialized roles within customer success teams. For example, you may have a dedicated account manager for larger customers and employ a specialized customer marketing campaign tailored to individual users and operators within a single account.

TABLE 10.10 ***Durability metrics for different GTM motions.***

	No Touch	Low Touch	Mid Touch	High Touch	Dedicated Touch
GRR	80%	85%	90%	95%	98%

In the previous section on sustainability, we learned that cutting costs through technology, such as chatbots, can make operations more sustainable. But that's not the only avenue. Growth from existing customers is another cost-effective growth strategy, as it comes at a lower cost than acquisition.

10.5.2 *Durable Growth Metrics*

Durable growth is characterized by rational (quantifiable) impact:

- The system adapts quickly and efficiently to customer needs, demonstrating the product's evolutionary capability. **Metric**: GRR (CR7).
- Customers experience impact soon after their commitment, highlighting the immediate benefit of your product. **Metrics**: Time to First Impact (Δt6) and higher conversion during onboarding (CR6).
- Customer satisfaction right after interaction is crucial for understanding the short-term impact of a product on its users. **Metric**: CSAT.
- As customers' businesses grow, they increase their investment in the product, underscoring its critical role in their achievements. **Metric**: Expansion revenue (CR8).
- Customers become advocates, sharing positive experiences and helping to spread the word organically. **Metrics**: Warm lead conversion (VM4), higher win rate (CR4), increased ACV (CR5), shorter sales cycle (Δt4), and NPS. The latter measures the likelihood of customers recommending a product and signifies solid relationships and a healthy brand reputation.

And by behaviors that reflect emotional (qualitative) impact:

- Your product becomes essential to customers' daily workflows and success, signifying its integral role in their professional lives.
- Customers who develop a strong affinity for your brand are eager to publicly and vocally associate with it and demonstrate deep brand resonance.
- Customers value your insights and expertise, incorporating them into their strategic discussions and decision-making, highlighting the impact of your thought leadership.
- Public-facing representatives of your brand are seen as heroes, reflecting respect and admiration for their leadership and vision.

Durable growth serves as a beacon of enduring relationships with customers.

10.5.3 *Durability Is Not A Destination. It Is A Journey.*

The maturity phases evolve from Scalable Growth, characterized by rapid growth at the expense of high customer acquisition costs, to Sustainable Growth, which promotes growth at a lower cost but may affect renewal rates. The journey culminates in the phase of Durable Growth, where the emphasis shifts towards creating lasting impact, leading to customer satisfaction. This satisfaction fuels organic growth and lowers acquisition costs, which is crucial to transforming durable growth into a self-sustaining ecosystem.

This poses the question: Why not strive for durable growth from the outset?

The answer lies in the necessity of progressing through scalability and sustainability phases, which are vital in a startup's maturation into a scaleup. The stages of evolution of a startup are akin to the stages of human development, where each stage is fundamental to growth and cannot be bypassed without consequences. Just as a child cannot leap into adulthood without experiencing adolescence, a startup cannot jump to durable growth without first navigating the challenges of scalability and sustainability. Adolescence, with its tumultuous blend of growth spurts and hormonal changes, is essential; it tests and builds resilience, social skills, and self-identity.

Similarly, a company must learn to manage customer acquisition and market expansion before it can fine-tune its operations for sustainability. This stage involves learning from intense market engagement, customer feedback, and operational challenges. It's where a business develops its character, refines its value proposition, and learns the complexities of its chosen market. Likewise, sustainability is like the late teenage years, where financial and operational discipline must be learned: the company experiments with various growth tactics, often keen on efficiency and long-term viability—much like a young adult learning to balance ambition with practicality.

Only after successfully passing through these formative stages can a company truly understand and implement durable growth strategies. Skipping a stage means missing essential lessons needed to make it robust enough to withstand the challenges of scaling in a sustainable and lasting manner.

10.6 EXERCISES

Use these exercises to develop an understanding how this works for your business.

EXERCISE 10.1

Identify One to Three GTM Motions

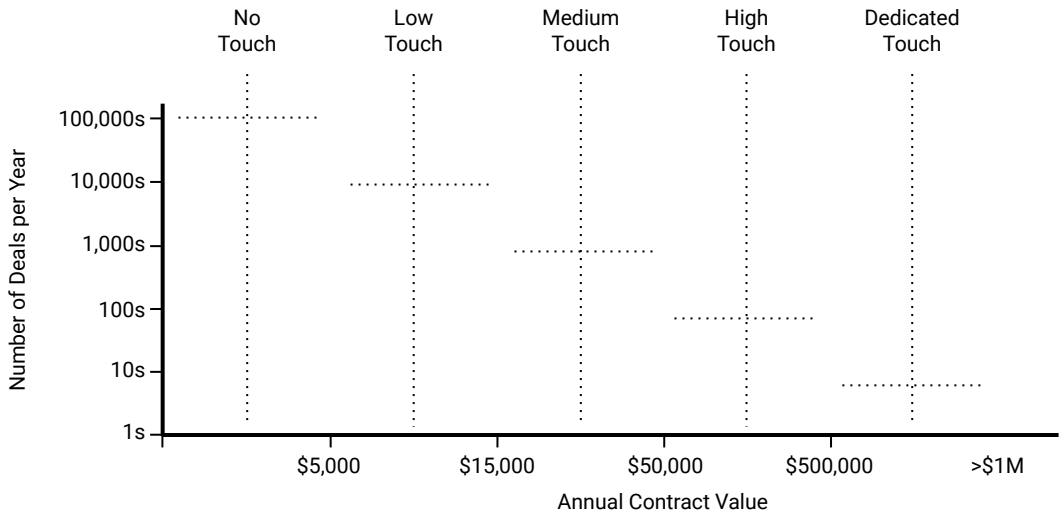
List the top 3 GTM motions you're currently using, chosen from the following options: No Touch, Low Touch, Medium Touch, High Touch, or Dedicated Touch. Specify their ACV, the annual volume of deals they generate, and the ARR for each. Arrange them in descending order based on ARR.

	Description	**ACV** *Average*	**Volume** *Deals/Year*	**ARR/GTM motion** *High to low*
GTM motion 1				
GTM motion 2				
GTM motion 3				
GTM motion x	High Touch/Field sales	$50,000	80	$24M

EXERCISE 10.2

Plot Your GTM motions on the GTM model

Map out the identified GTM motions on the GTM model, using ACV and annual deal volume as coordinates. If you have data from the past 2 to 3 years, plot the dots and draw a trendline to discern any specific directional shifts. You should be able to pinpoint dominant motions to focus your business on.



EXERCISE 10.3A

Determine Your GTM motion

Write down the name of each GTM motion from exercise 10.2, such as High Touch. Then move on to marketing motion, is it through inbound, our a specific outbound technique, or a targeting approach such as ABM. Next name the sales motion, such as field sales. Finally, outline how your customer success management (CSM) is structured: by volume, accounts, or segments.

	Name	Lead gen motion	Sales motion	CS motion
GTM motion 1				
GTM motion 2				
GTM motion 3				
GTM motion x	High Touch	ABM/Targeting	Field sales	By Accounts

Combined this should reflect your main business. If they are not easy to relate to your team, or they have lots of programs in each, that is a sign you and the team are making things too complicated.

EXERCISE 10.3B

Check for common use-cases

Now is a good time to review common use-cases and ensure your business is not mistakenly categorized under an incorrect GTM motion.

Description	Check for
Use-case 1: Multiple GTM motions	One GTM motion for the first $10M in ARR, 3 GTM motions up to $50M in ARR, second product over $100M in ARR
Use-case 2: Everything all at once	Are your GTM motions aligned vertically, or are you using a CS motion from low-touch with a sales motion from high-touch
Use-case 3: ACV Trendline	Is your ACV trending up or down, and if so is it entering a new GTM motion, e.g. is the price from high touch dropping int medium touch.
Use-case 4: ACV, NRR and LTV	If you take the total LTV over 5 years and divide by 5 are you stil in the right GTM motion? This is the result of high NRR.
Use-case 5: Mixing GTM motions	Are you combining a no touch GTM motion such as PLG with a high touch GTM motion such as Enterprise sales?

EXERCISE 10.4

Determine The Growth Formula

Choose a specific GTM motion for which you have readily available data. Fill in known conversion rates as they currently stand ONLY in the “as is” row. Don't worry if you need to make educated guesses at this stage. Calculate the formula out VM2 = VM1 x CR1, etc. until you come to the ARR_{COMMIT}

	Visitors	Email	Leads	Interested	Oppty	Qualified	Q'Oppty	
	[VM1]	[CR1]	[VM2]	[CR2]	[VM3]	[CR3]	[VM4]	
As is	400							
Future State	400							

	Win rate	Commit	Discount	List Price	ARR(commit)
	[CR4]	[VM5]	[CR5]	ACV	[VM6]

EXERCISE 10.5

Calculate Scalability: Increase Inputs vs. Improve Throughputs

Perform the following scenario analysis:

	Scenario Analysis	**ARR_{COMMIT}**
Scenario A	Using the numbers from exercise 10.4 what is the ARR_{COMMIT}?	
Scenario B	What is the ARR_{COMMIT} when you double the amount of inputs?	
Scenario C	Improve CR(1-5) slightly, and reasonably. What is the ARR_{COMMIT}?	
Scenario D	Use CR(1-5) of scenario C and reduce the amount of Inputs until you achieve the same ARR_{COMMIT} as in scenario A.	

If you can achieve growth by doubling the leads without affecting conversion rates—a scenario often seen in vertical markets—then prioritize this strategy immediately. However, if an increase in leads results in a decrease in conversion rates (throughput), you must promptly focus on improving throughput through enhancements in skills, tools, and process

EXERCISE 10.6

Sustainability: Determine Cost of Acquisition

Calculate the total cost of acquisition (year 1) for the above GTM motion as a [%] of the ARR_{COMMIT} it generates:

	Cost Center	% of ARR_{COMMIT}
Lead Generation [CR1]	Cost per Lead $ _____ x _____ inputs	
Lead Development [CR2]	Salaries _____ Campaigns _____	
Lead Qualification [CR3]	Salaries _____ Campaigns _____	
Sales [CR4]	Salaries _____ Campaigns _____	
Gain Commit [CR5]	Salaries _____ Campaigns _____	
	Total cost [% of revenue]	%

Conclusion (based on cost of acquisition)

☐ Total cost of acquisition [% of revenue] > 50%: Unsustainable

☐ Total cost of acquisition [% of revenue] 40% - 50%: Determine a path to sustainability.

☐ Total cost of acquisition [% of revenue] <40%: Sustainable

EXERCISE 10.7

Determine Durability

Identify the GRR for each GTM motion, then identify what the most successful part is of that campaign that can be copied to other GTM motions.

	Name	GRR	What can you learn from it that can be applied to other GTM motions?
GTM motion 1			
GTM motion 2			
GTM motion 3			
GTM motion x	High Touch	98%	Use of hyper-personalized monthly newsletter

10.7 RECAP

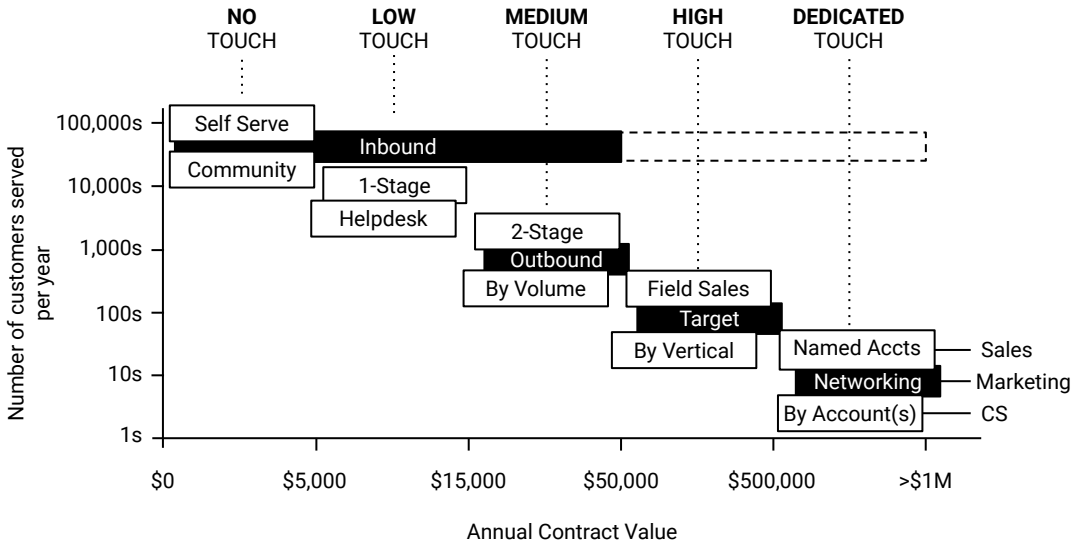
In this chapter we explained the GTM Model. The GTM model structures a company's departmental functions into different GTM motions.

Each GTM motion aligns the efforts across marketing, sales and customer success to help the customer achieve recurring Impact. Think of a GTM motion as a manufacturing line in a factory. There are 5 GTM motions:

1. **No Touch:** Tailored for users who self-sell. PLG is a form of No Touch.
2. **Low Touch:** Also known as inside sales, often supported by a chatbot.
3. **Medium Touch:** An inside sales operation optimized for high velocity by using an development rep (SDR) who set up a meeting for an seller (AE).
4. **High Touch:** Customized for large Enterprises requiring extensive support.
5. **Dedicated Touch:** An entire team dedicated to a single, major client with complex needs. This is also known as strategic account sales.

A business has multiple GTM motions. Each GTM motion consumes resources to produce recurring revenue. The total revenue is the sum of the revenue generated by each GTM motion.

FIGURE 10.27 ***The GTM model aligns cross functional efforts from marketing, sales, and customer success departments to 5 most GTM motions in use today.***



The GTM model operates by correlating a product's price and the annual volume of deals to provide insight into what is the most effective GTM motion.

The 5 use-cases to consider:

Use-case 1. Use multiple GTM motions to grow your business: One GTM motion for the first $10M in ARR, 3 for the first $50M in ARR. To go beyond $100M in ARR we recommend you launch a new product (again $10M for first GTM).

Use-case 2. Structure your GTM motion vertically, avoid that you do everything all at once.

Use-case 3. Create a trendline of the price of the product, and keep track of it to make sure you are not growing out of the chosen GTM motion over time.

Use-case 4. If your NRR is high, make sure you pick the right GTM motion based on the average price over a 5-year period.

Use-case 5. Be careful mixing GTM motions such as a no touch with high touch. They often have longer sales cycles than you think.

The 10 trends changing the industry

Trend 1. The evolving SEO landscape.

Trend 2. The limitations of inbound marketing for sustainable growth.

Trend 3. The rise of conversational marketing powered by AI.

Trend 4. The growing adoption of PLG in B2B.

Trend 5. The saturation of outbound tactics in non-vertical SaaS.

Trend 6. The vertical specialization of inside sales teams (Vertical SaaS).

Trend 7. The increasing popularity of Product-Led Sales (PLS).

Trend 8. The renewed importance of in-person selling.

Trend 9. The resurgence of regional teams.

Trend 10. The era of hyper-specialization.

There Are Three Maturity Phases of a GTM Motion

- **Maturity Phase 1. Scalability** is like pushing more products through your assembly lines to meet increasing demands.
    - Increase input such as doubling the amount of leads
    - Improve throughput by improving conversion rates based on
        - Streamlining processes by eliminating unnecessary steps,
        - Automating systems with cutting-edge technology, such as AI,
        - Enhancing skills through training, and in-person coaching.
- **Maturity Phase 2. Sustainability** is akin to optimizing the assembly lines, making sure they run efficiently while minimizing waste—think of it as running an eco-friendly factory where nothing goes to waste. We measure cost as follows (see Figure 10.28):
    - Cost of Acquisition, covers Awareness, Education, and Selection.
    - Cost to Serve, covers Onboarding, Retention, and Expansion.

  The cost is amortized against a fixed horizon, similar to that of perpetual software, and depreciation of on-premise hardware:

    - Five years for platforms such as CRM, ERP, and ATS, etc.
    - Three years for applications that sit on top of platforms, think of Email automation, forecasting or call recording applications,.
    - Twelve months for (browser) plug-ins sold using a monthly subscription, often using a no touch GTM motion.

FIGURE 10.28 ***Cost Allocation across different GTM motions.***

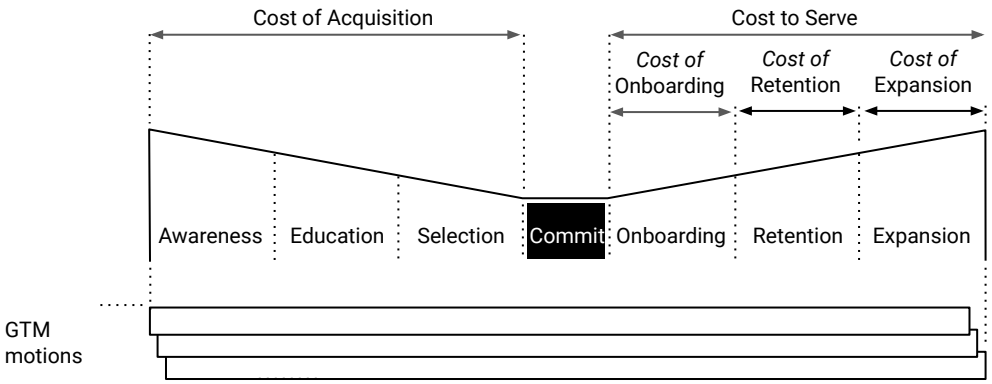


TABLE 10.11 ***Step by step explanation of how to calculate sustainability***

LTV(nY)	S&M Acquisition	ONB Onboarding	CSM Retention	AM Expansion	Total	Cumulative	Ratio
① $748,500	② $310,000	$8,333	$24,000	$12,000	③ $354,333	④ $354,333	⑤ 47.3%
$1,477,839	$0	$0	$20,880	$13,440	$34,320	$388,653	26.3%
$2,178,880	$0	$0	$18,583	$14,515	$33,098	$421,752	19.4%
$2,813,181	$0	$0	$16,167	$15,096	$31,263	$453,015	16.1%
$3,367,307	$0	$0	$13,581	$15,700	$29,280	$482,295	14.3%
	⑥ $310,000	$8,333	$93,211	$70,751	$172,295		

Sustainability is calculated as follows:

1. Calculate the cumulative revenue over a period of time.
2. Calculate the cost for each cost centers.
3. Sum up the total cost per year.
4. Accumulate the cost over the years
5. Calculate the cost of revenue

If the cumulative cost over the set horizon is <20% it is determined sustainable. Note that in a subscription business the cost of expansion is about ½ of the cost of acquisition (6) which is in stark contracts to perpetual software where it is about ¼.

- **Maturity Phase 3. Durability**, then, is your factory quality control department, ensuring that every product coming off the line meets high standards.

TABLE 10.12 ***Durability metrics for different GTM motions (same as Table 10.10).***

	No Touch	Low Touch	Mid Touch	High Touch	Dedicated Touch
GRR	80%	85%	90%	95%	98%

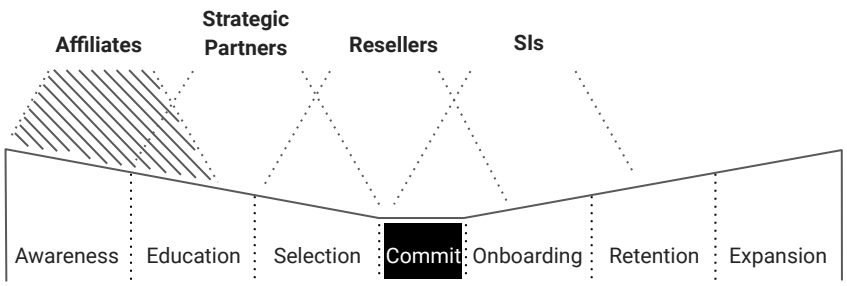
The Growth Formula is a lens for the maturity phases of each GTM motion. It offers insights into causality, clarifies assumptions, and helps create easy to understand unit economics. It helps us establish the maturity of a GTM motion.

So, skip sustainability, and you've got a factory spewing out products rapidly, but at a significant environmental (spam) and financial cost—essentially, a factory running in overdrive with no thought for the future, e.g. growth at all costs. But similarly, neglect durability, and while your assembly lines may be efficient and sustainable, you risk sending out defective or subpar products, which in the case of a subscription business means customers do not achieve impact. The lower cost might look great on a quarterly report, but customers will eventually turn to competitors for better quality, eroding your market share in the long run (and with a negative impact on LTV). The key to long-term success lies in building a scalable model first, and then progressively honing it for sustainability using a data-driven, analytical approach using the Growth Formula. Finally, it's crucial to allocate resources judiciously across all customer interactions, with a particular emphasis on retention strategies that bolster GRR.

Channels significantly influence scalability and sustainability, and can be categorized into 4 types:

- Affiliates drive sales or leads using their networks or influence.
- Strategic Partners elevate your product's value through complementary services or technologies, creating a more compelling customer offering.
- Resellers market solutions broadly, with costs ranging from 10% for referrals to over 50% for full-service VARs, they often lack deep expertise.
- System Integrators specialize in unifying systems from diverse solutions, crucial for targeting specific industry needs or compliance standards.

FIGURE 10.29 ***Different channels can be applied to any GTM motion, with an impact to the journey.***



PART III | SUMMARY

You've done it—you've navigated through 6 models and mastered 3 fundamental scientific concepts. Grasping this material is no easy task. This isn't some light reading to skim over coffee; it's a robust workbook. Whether it's your go-to guide in a Revenue Architecture class, a self-study companion, or a playbook for your executive team, your copy should be worn, full of scribbles, earmarks, and highlights.

Let's recap how you got here. The past 3 chapters have equipped you with models crucial for building a subscription business from the ground up. We kicked off with the Operating Model, your blueprint for scaling from $20M to $1B in revenue. It underscores the necessity of standardized Data Model (the Bowtie) , a unified language (Impact), and a uniform methodology across the entire customer journey. Next, the Growth Model guided us along an S-curve, punctuated by 12 pivotal revenue breakpoints. Knowing where you are on this curve readies you for what's next. Lastly, the GTM Model offered a tactical framework for running your revenue factory with a variety of GTM motions, aligning marketing, sales, and customer success for meaningful impact.

Along the way, we've unraveled the recurring revenue engine essential to every SaaS business. Our journey unveiled a Growth Formula, rooted in unit economics, and we created 3 maturity stages: scalability, sustainability, and durability—all solidly anchored in scientific principles.

So, what's next? You're armed with invaluable insights and likely buzzing with the energy to put them into action. You've learned the science in Part I, designed your revenue strategy in Part II, and constructed your revenue system in Part III. Now, take that final, crucial step: Simply Deploy.

SaaS functions as a fractal system designed for scalability and repeatability. In contrast, most GTM strategies do not.

PART IV

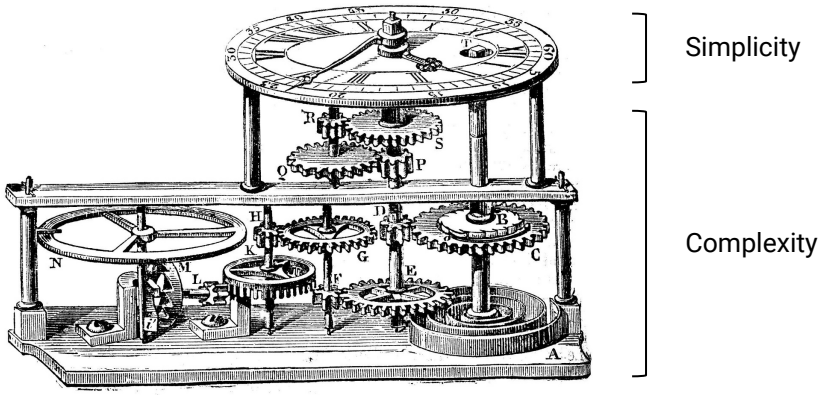
DEPLOY

PART IV | DEPLOY

Does recurring revenue need to be this complex? Shouldn't a great product simply sell itself? Unfortunately, in reality, products don't sell themselves–not even with a PLG strategy. In fact, making something simple is really hard!

Every day, billions of people glance at their watches to check the time. This act is so simple, so mundane, that it's easy to overlook the intricate craftsmanship behind it. In classic timepieces, behind the unassuming façade of the hour, minute, and second hands, lie complex wheels, springs, and gears operating in a delicate balance. The simplicity of telling time is not accidental, not at all, it is a deliberate choice by the watchmaker to conceal layers of underlying complexity.

FIGURE IV ***Simplicity by design—a carefully engineered piece of machinery that makes it easy for the user to tell time.***



Likewise, in a subscription business, the simplicity experienced by the customer and the GTM team members is a carefully constructed illusion. Beneath this surface lies a meticulously engineered ‘revenue propulsion engine.’ This engine must be well-calibrated and fine-tuned to manage the intricate operations involving hundreds of team members—from product development to customer success. Making it look simple is not easy; it is hard, very hard.

Up to this point in the book, we've delved into the nuts and bolts of how this metaphorical "watch" is assembled. Next, our objective is to provide you with a simple ‘façade’ to make it easy for everyone in your organization to ‘tell time.’

11

SIMPLY DEPLOY

11 | SIMPLY DEPLOY

This chapter provides a blueprint for building a revenue factory for companies with an ARR ranging from $10M to $10B.

- **Think Big – Industrial Scale Impact (11.1):** Imagine executing your GTM strategy with the precision and efficiency of a factory. For this we are going to use 3 models: The Growth Model assists in pinpointing your current status while identifying potential roadblocks from the past, present, and future. The GTM Model organizes your GTM efforts into revenue production lines, and the Data Model aids in optimizing the performance of each production line and enabling scenario analysis.
- **Act Small – Moments Matter (11.2):** Instead of boiling the ocean, we will keep it simple by creating a customer journey based on a few Moments That Matter (MTMs) most to the customer. Then, we are going to consider how the GTM team can enhance the experience in those specific moments. Remember, sustainability and durability arise from the compounded impact of small actions performed correctly, time and time again.
- **Move Fast – Better Yet, Sprint (11.3):** Executing short sprints can help you achieve quick, within-the-quarter results. If it works, roll it out to the rest of the company. Analyzing your Data Model and monitoring leading indicators of success can help you pick what you wish to improve. Find out what works and do more of it. Stop doing what does not work.

Think Big, Act Small, and Move Fast forms a powerful strategy for achieving the ambitious goals of hypergrowth while remaining agile and responsive.

11.1 THINK BIG – INDUSTRIAL SCALE IMPACT

When we think of a "Factory," we often imagine something large and expansive, conjuring images of vast floors filled with machinery, production lines, and workers dedicated to various stages of the manufacturing process. This vision also applies to a revenue factory that generates millions of dollars in revenue. So, let's start by THINKING BIG. We'll approach this in 4 steps:

1. Bring the team together (11.1.1)
2. Identify the growth plan (11.1.2)
3. Structure the business in GTM motions (11.1.3)
4. Establish the growth formulas for each GTM motion (11.1.4)

Let's break ground on the factory with the first step.

11.1.1 Bring the Team Together

We need alignment across every tier of the organization, along the entire customer journey. This includes everyone from the executive team to front-line managers, down to each individual interacting with customers. What unites all these people is a shared commitment to making a positive impact on your customers business. If this commitment and dedication wavers, you're veering off track. After all, recurring impact leads to recurring revenue.

We categorize the GTM team organizational structure into 3 layers:

- **Executives:** The visionaries and strategists
- **Managers:** The enforcers and optimizers
- **Individual Performers:** The doers and deliverers

We begin by assembling the executives—a crucial group chosen for their vital roles in our mission. The CEO should lead the team and is vital for providing directional leadership. Next, add the functional heads responsible for marketing, sales, and customer success. Also essential are the Head of Product and the CFO, aided by the head of FP&A.

These individuals ensure that the product roadmap and financial models align with the company vision. It's advisable to limit the team size to 10 members to maintain agility. Start with a briefing followed by a kickoff. The goal is for the team to walk out of the kickoff meeting believing that customer impact is at the center of the customer journey—and that restructuring the organization into a revenue factory will provide revenue growth for decades.

ACTION 11.1

Brief the Executive Team

Before the kickoff, organize a 30-minute briefing to set the stage and present the day's goal. Include Chapter 1 (PDF) in the invitation with the ask to read it before the briefing. During the meeting, explain the goal of becoming a revenue factory and the need to structure the organization using GTM motions. It can be helpful to ask the head of product to explain the significance of the shift from Waterfall to Agile development in product development. This is a good time to distribute a copy of the book to every team member.

Assign Stewards to Each Chapter

ACTION 11.2

Conclude the meeting by assigning chapters to different participants and requesting that they serve as the stewards for their respective chapters during the upcoming kickoff. Engaging your team like this will significantly increase their commitment to the program's success rate.

TABLE 11.1 ***Enhance engagement during the kickoff by assigning stewards to each chapter.***

Model	Steward(s)	Example
2. First Principles		VP Product
3. Models & Data		Revenue Operations
4. Systems & Processes		VP Engineering
5. Model 1. Revenue Model		CFO/Head of Finance
6. Model 2. Data Model		CMO
7. Model 3. Mathematical Model		FP&A
8. Model 4. Operating Model		COO
9. Model 5. Growth Model		CCO/Head of CS
10. Model 6. GTM Model		CRO/VP of Sales

As a steward you serve as your team's primary point of contact for everything related to a specific model. Your responsibility is to gain a deep understanding of the model, with a focus on its diagrams and tables. While you're not expected to be an outright expert, a comprehensive grasp of the model and the ability to quickly locate crucial information are vital.

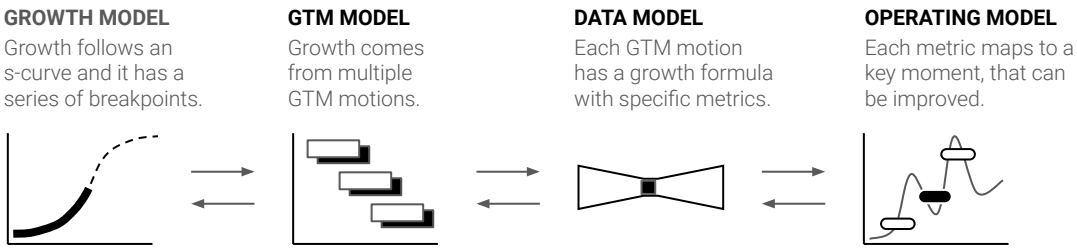
Before the kickoff session, as a steward, you should have studied the model, including the use of AI to answer any questions you may have had. Additionally, it's important to understand where your model fits within the hierarchy of models—specifically, which models are directly above and below—and how your model connects to the scientific principles in Part I.

ACTION 11.3

Organize a Kickoff Meeting

We recommend organizing a kickoff meeting where the steward assigned to each specific model explains how the model works and steps the team through an exercise to gain a better understanding of how each model works. A simplified overview of the sequence of the models is outlined below (see Figure 11.1).

FIGURE 11.1 ***Sequencing of the models in the order that can cause hypergrowth.***



- **The Growth Model:** This model outlines the revenue growth plan for the next 18 to 24 months. The plans needs to adjust to changes in the marketplace, including technological advancements (e.g., AI), valuation shifts (e.g., funding), and team performance changes (e.g., productivity and cost).
- **The GTM Model:** Structures the business into known GTM motions that align with the customer journey to identify areas to invest to achieve the growth plan outlined in the Growth Model.

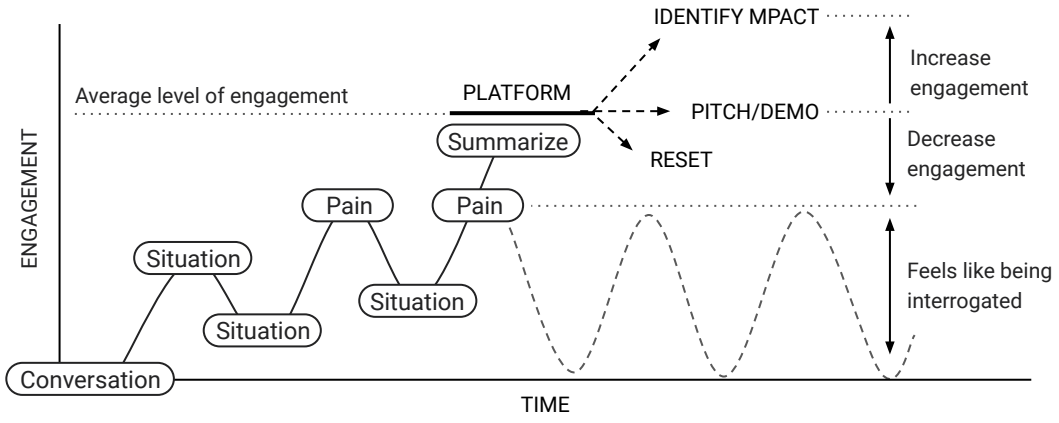
- **The Data Model:** Transitions the GTM team from a funnel to a Bowtie. This maps back to the GTM model and enables the team to formulate growth strategies for each GTM motion, encompassing the entire customer journey, and evaluate their scalability (growth) and sustainability (cost efficiency). It allows scenario analysis, which will help anticipate the GTM system's response to incremental improvements in specific actions.

And lastly:

- **The Operating Model:** Sellers often guide their buyers through hundreds of actions along the customer journey over the customer's lifetime. Yet only about a dozen actions deeply impact the customer. Quick response times during unexpected system downtimes serve as a prime example. The performance of a company in these critical instances can dramatically shift the customer's perception and loyalty. They are known as "Moments that Matter," or MTM. Simply put, we are setting out to meticulously blueprint a specific MTM to deliver the optimal experience for customers. By monitoring and incrementally refining performance in these moments, we aim to achieve marginal gains. A series of minor simultaneous improvements in a select number of moments will set off a chain reaction, propelling the company into hypergrowth.

A simple example of a blueprint can be seen below (see Figure 11.2)

FIGURE 11.2 ***A blueprint of a Moment that Matters, creating marginal gain by improving a diagnose.***



11.1.2 *Identify the Growth Plan*

Lead by the steward for the Growth M odel, establish where you are on the growth curve (see Figure 11.3) based on the total ARR for the company:

- Current Revenue (ARR): $ _____ on _____
- Target Revenue (ARR): $ _____ by _____ (18 to 24 months later)

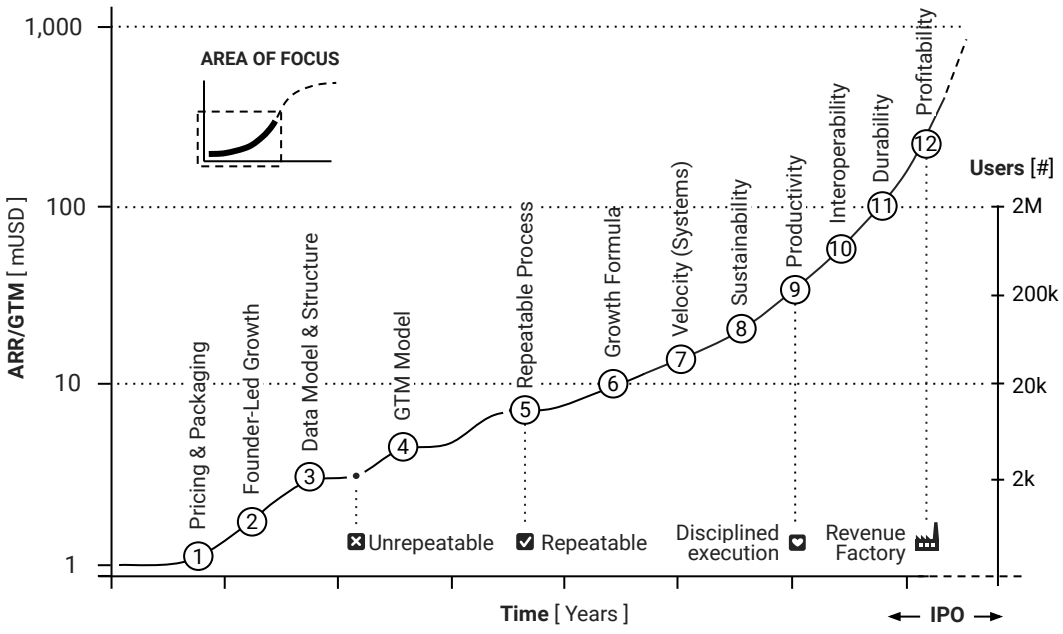
ACTION 11.4 ***Identify the revenue breakpoints applicable to your growth trajectory.***

This tells you which revenue breakpoints you should have achieved, which one you are experiencing, and which ones you should prepare for:

- Breakpoints achieved: _____
- Breakpoints missed: _____
- Breakpoints in progress: _____
- Breakpoints in the next months: _____

Missed breakpoints must be revisited, as they inevitably hinder progress. It's also crucial to note that future breakpoints might entail a phase shift, requiring up to 18 months of preparation.

FIGURE 11.3 ***The 12 revenue breakpoints on the way to becoming a revenue factory.***



ACTION 11.5

Break Down the Revenue Growth into its Growth Components

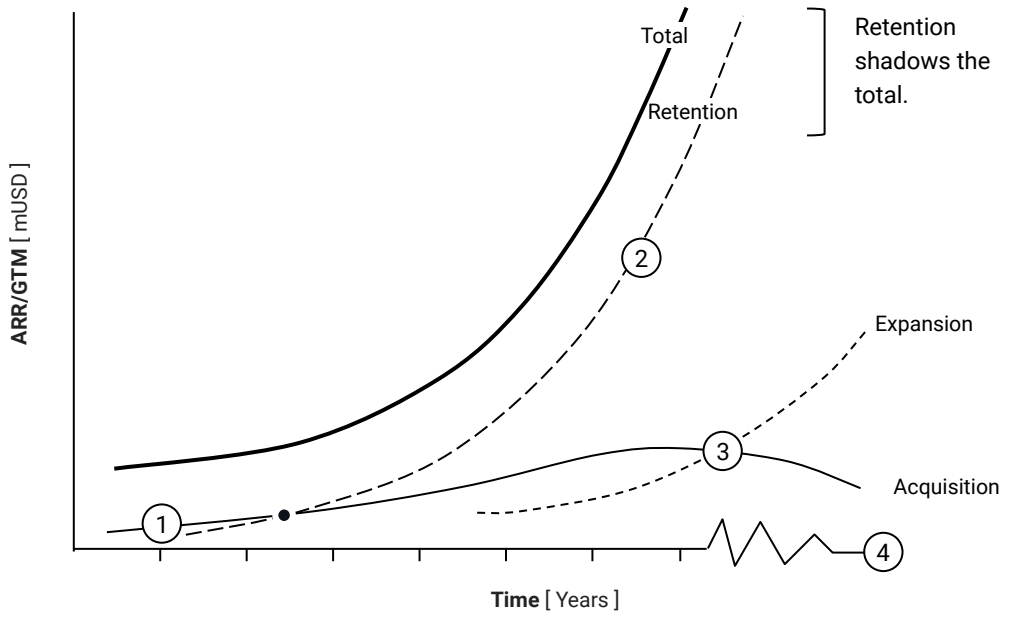
In most businesses, revenue growth primarily comes from marketing generating leads, sales converting those leads into wins, and customer success maximizing revenue from those wins. This strategy often propels companies forward initially. However, growth from acquisition will inevitably start to slow. When this happens, it's critical to have another source of growth ready to sustain the momentum—namely, retention and expansion.

The steward of Chapter 2 should collaborate with the FP&A or RevOps team to break down the overall Annual Recurring Revenue (ARR) into three growth components: Acquisition, Retention, and Expansion.

This analysis leads to the identification of four stages of growth (as outlined in Figure 11.4), which tells us what to do and when to do it. For example, Stage 4 is all about increasing the lifetime value of customers, which may tell us we need to launch a new product.

FIGURE 11.4

Example of how the growth chart may will look. It shows retention being the top contributor to revenue, and how growth over time shifts from acquisition to expansion. Where you are on this curve is important to your growth strategy.



ACTION 11.6

Model the Growth Patterns for Each Growth Component

Supported by the steward of the mathematical model, apply a trendline to determine the growth pattern behind each of the three growth components. A second-degree polynomial might be the most fitting choice for the trendline, but feel free to experiment and discuss your findings as a team.

Which components are key contributors to growth? Did it start with acquisition? At what point did retention become more significant? How does expansion compare to acquisition in terms of impact? Is the growth driven by acquisition speeding up or slowing down?

TABLE 11.2

Contribution of each component to overall growth, its growth pattern, and the type of trendline used to determine the growth pattern.

	Contribution	**Growth Pattern**	**Trendline Used**
Acquisition	[$] _____ , ____ [%]		
Retention	[$] _____ , ____ [%]		
Expansion	[$] _____ , ____ [%]		
Example	$ 48 M , 39%	Decelerating	2-Degree Polynomial

Result: It should become clear to all team members that growth consists of three components: acquisition, retention, and expansion. Each plays a vital role in driving recurring revenue growth at different stages of the journey, with retention-based growth closely mirroring the overall growth curve.

We've also discovered that each growth component follows its unique growth pattern, leading to distinct stages where the focus shifts from acquisition to retention, then to expansion, and ultimately to enhancing the lifetime value of a customer. Armed with this knowledge, we will next explore how these elements power the recurring revenue engine.

11.1.3 Structure the Business in GTM Motions

To develop a robust growth strategy, we will segment the overall revenue into distinct GTM motions, each serving as an independent revenue engine. This approach allows us to identify growth areas and concentrate our efforts where they will have the most significant impact.

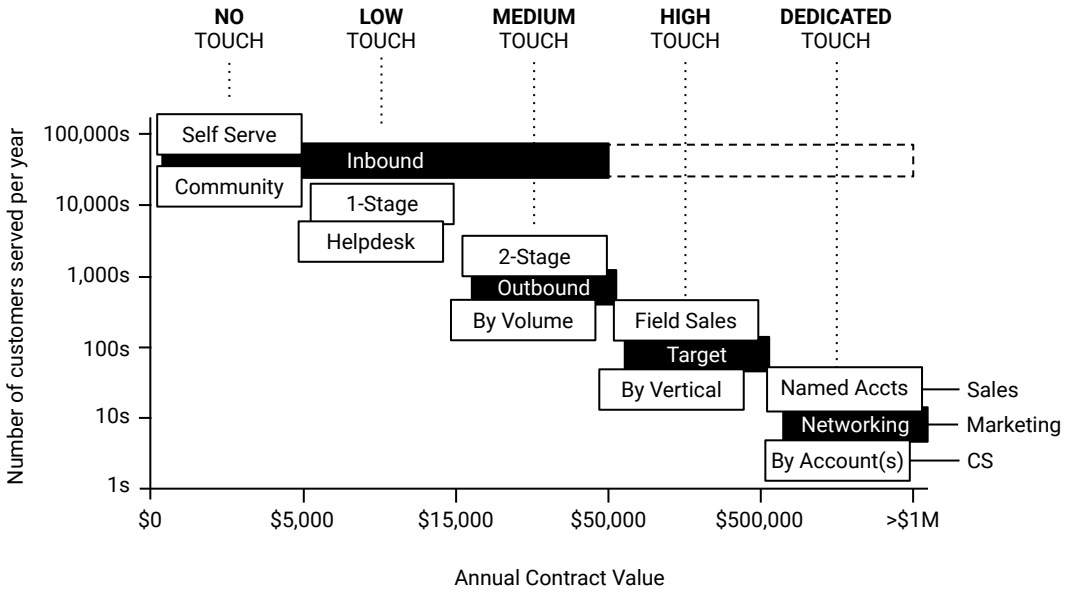
ACTION 11.7

Establish GTM Motions

This action begins with the steward assigned to the GTM model presenting an overview of how the GTM model works, which is crucial for grounding the team in the concepts of the GTM approach (see Figure 11.3.). The team then evaluates its current GTM motions within the framework, considering ACV and the number of customers served annually. During this phase, it's normal for team members to engage in heated debates, pacing around the whiteboard and fervently marking it up.

Unlike traditional GTM approaches, which are primarily focused on customer acquisition, our GTM motions span the entire customer lifecycle. This comprehensive strategy guarantees a seamless customer experience from their first website visit to retention and expansion.

FIGURE 11.5 ***Draw the GTM model on the whiteboard and display your top 3 GTM motions in it.***



Each GTM motion contributing to revenue follows the trajectory outlined in the growth model. This journey includes navigating the same 12 revenue breakpoints. As the company launches additional GTM motions, it gains proficiency in managing these breakpoints, accelerating the journey through them. Continuous improvement in this domain indicates a maturing business capable of scaling growth efficiently, a cornerstone of sustainable growth.

11.1.4 Establish the growth formulas for each GTM motion

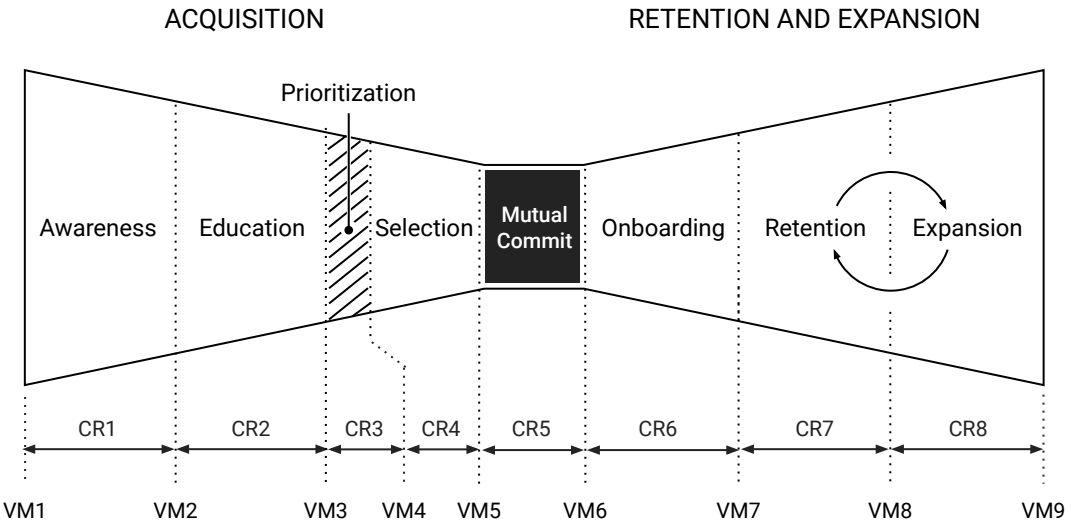
Having dissected the revenue factory into several GTM motions, our next step is determining each motion's production capacity, known as scalability. We will use a Growth Formula for this, but first we must establish the data model or Bowtie.

Build the Data Model

ACTION 11.8

The steward of the Data Model draws the Bowtie model on the whiteboard, highlighting how the customer journey extends beyond the classic marketing and sales funnel. It shows that recurring revenue begins where the classic funnel ends (refer to Section 4.1). As a team briefly discuss the additional stages of the Data Model, focusing on the customer's progression through each stage without delving into conversion rates or specific metric names at this time.

FIGURE 11.6 ***The Bowtie: The standardized data model for recurring revenue.***



ACTION 11.9

Build the Data Structure (Label the Metrics)

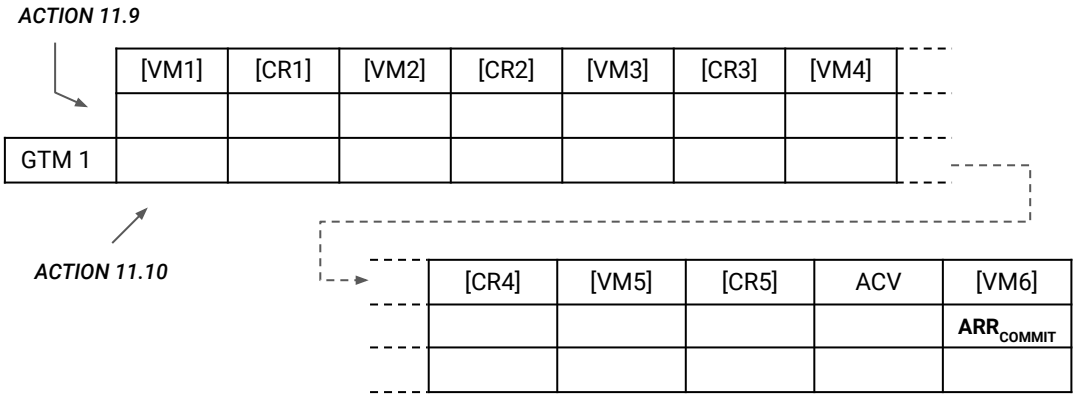
Choose a GTM motion and match its specific language to the volume metrics (VM[n]); for example, VM[1] might denote the number of visitors. After establishing the volume metrics, proceed to define the conversion metrics (CR[n]), deferring the discussion on the velocity metric (Δt[n]) for the moment.

ACTION 11.10

Create a Growth Formula

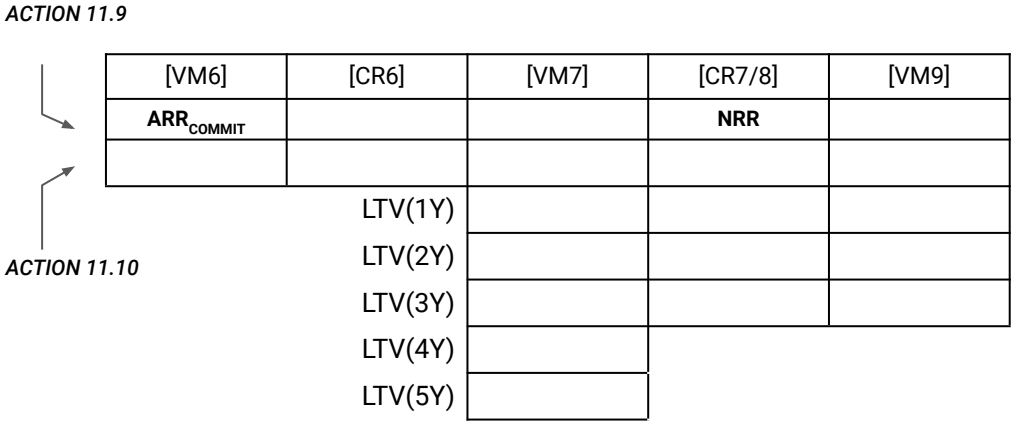
Bring in the steward assigned to the Mathematical Model (FP&A) to fill in the metrics for the selected GTM motion (see Exercise 7.1).

FIGURE 11.7 ***The acquisition part of the Growth Formula.***



Continue this process for the retention and expansion phases to finalize the growth formula, noting that CR7 and CR8 are consolidated into NRR. Combine Figures 11.7 and 11.8 to arrive at the growth formula. Applying this methodology across multiple GTM motions offers a panoramic view of the "factory floor."

FIGURE 11.8 ***The retention and expansion part of the Growth Formula.***



ACTION 11.11 ***Compare the effects of Increasing Inputs vs. Improving Throughput***

Next, we determine scalability by performing scenario analysis on this growth formula. Scalability can be determined in its response to 2 different scenarios:

- **Quantitative response:** Increase Input
- **Qualitative response:** Improve Throughput

As a group, discuss what is more likely, within the company's ability, and quicker to establish. You will find that mature GTM motions will have a harder time increasing Inputs to scale the revenue, meaning it is more worthwhile to invest in Throughput performance. In contrast, GTM motions earlier in their maturity cycle may see a quicker response by continuing to increase inputs. For GTM motions dependent on throughput performance, consider 3 avenues:

- **Process Optimization:** Many organizations have existing processes that may be inefficient, improperly executed, or a combination of both. It's crucial to verify the effectiveness of processes and ensure they're properly executed. Subsequently, any redundant steps should be removed to enhance efficiency.
- **Use of Technology:** Technology can automate proven processes, enabling faster growth at lower costs and, when done correctly, at a higher quality.
- **Skills Development:** In processes dependent on people, increasing scalability involves enhancing workforce productivity. Productivity improvements can be achieved through targeted training and coaching.

Determine Scalability and Sustainability

ACTION 11.12 Discuss as a team what improvements can improve the scalability of a GTM motion. Utilizing the Growth Formula for scenario analysis is crucial (see Figures 11.7 and 11.8). Determine the impact of a few small enhancements.

Next, incorporate variables such as campaign costs, personnel, and technology, to determine sustainability (see Figure 10.7). Prioritizing improvements that boost recurring customer impact (quality) will not only accelerate revenue growth organically but also enhance scalability (enabling faster growth) and sustainability (achieving more efficiency).

11.2 ACT SMALL. MOMENTS MATTER.

We now have a revenue factory with multiple GTM motions that produce revenue like production lines. The revenue growth is based on the growth formula. Next, we will cause the revenue factory to respond to our actions by making marginal incremental improvements at strategic points along the customer journey. The next 3 topics describe this:

1. Establish a Customer Journey for each GTM motion (11.2.1)
2. Identify the Moments that Matter (11.2.2)
3. Make Incremental Improvements for each MTM (11.2.3)

As Lao Tzu said, “A journey of a thousand miles begins with a single step.” But that step must be in the right direction—for us, that means starting by meeting the customers where they are.

11.2.1 Establish a Customer Journey for each GTM Motion

Each GTM motion has its own customer journey. The journey unfolds through a tapestry of interactions—emails, meetings, calendar invites, and social engagements—creating a unique experience for each customer. Even for the best organizations, it is unreasonable to expect a 5-star experience for each interaction. But is it even necessary?

Amidst this ocean of interactions, all journeys share a handful of crucial moments. These moments serve as crossroads and wield significant influence over the entire customer experience. We refer to these moments as Moments that Matter, or MTM. The impact of how the seller treats these MTMs cannot be overstated; excelling in these MTMs can transform the customer journey from ordinary to extraordinary. Dan and Chip Heath explored this concept in their book, *The Power of Moments*, referring to them as "Experiences That Have An Extraordinary Impact." Identifying and mastering these MTMs is the key to enhancing the customer journey. By focusing on a few crucial moments, we can elevate the entire customer experience.

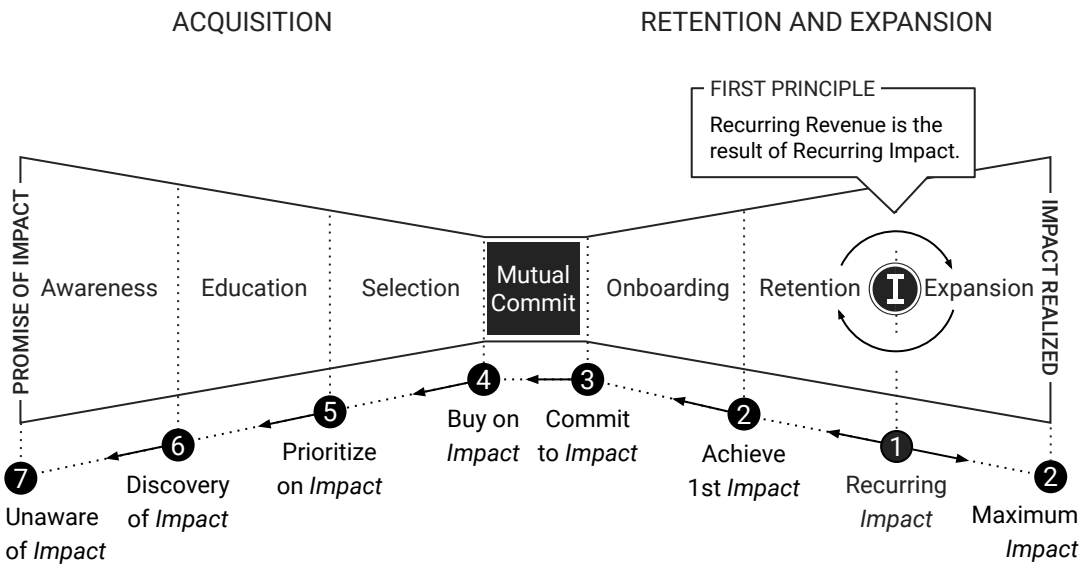
Next, we are going to create a simple customer journey for a specific GTM motion. The stewards in charge of the Operating Model can help direct the team to build this journey, but important, starting from the right side of the Bowtie—where customers consistently see recurring Impact—instead of the left side, where they are merely considered leads (see Figure 11.9).

ACTION 11.13

Build and Impact Journey

Starting on the right, pinpoint the top 5 recurring impacts that your most successful customers have in common. Consider consulting your CAB for insights before the session. As you move towards the left side, remember that the impact that customers' value can differ across stages. For example, a quick response time might be crucial during the awareness stage, while a customized demonstration may be more appreciated during the education stage. While these impacts are vital early on, they may diminish as the relationship matures.

FIGURE 11.9 ***The customer journey must be mapped out with the final destination in mind, where customers experience recurring impact resulting in recurring revenue.***



Consider the terminology used for stages and metrics within your customer journey. Opt for customer-centric or impact-focused terms. Words matter. For instance, rather than “Closed/Won,” consider “Mutual Commitment” or simply “Commit.” This term more accurately represents the moment when both parties agree to a partnership for the coming years.

11.2.2 Identify Moments That Matter

Rather than leaving these important moments to chance, we can intentionally create and orchestrate them. We can blueprint each of these moments, utilizing either technology (AI) or staff skill training to create memorable experiences.

Identify Moments that Matter (MTM)

ACTION 11.14 Here are some moments that we've consistently observed across customers:

- First visit to the website.
- Quality of a webinar.
- Keynote presentation.
- Content such as a post.
- Easy-to-download app.
- Quick response time.
- Discovery call.
- Fantastic emo.
- Stakeholder meeting.
- Onboarding experience.
- First Impact.
- Fantastic product experience.
- Amazing visuals (UX).
- Easy to navigate (UI).
- Response to an issue.
- Involvement in the roadmap.
- Spontaneous outreach.
- Speaking engagement.
- Receive an award.
- Random act of kindness.

Improving each of these moments iteratively can drive growth, but when combined, they start to amplify each other. For example:

- First diagnose on the desired Impact, then demonstrate the Impact.
- Decision criteria based on the Impact, onboard to first Impact.
- Provide insights into the recurring Impact, renew the contract.
- Identify new areas of Impact, expand the business.

By leveraging the elements that contribute to these memorable experiences, organizations can profoundly influence recurring Impact, thus resulting in recurring revenue. This insight empowers organizations to uncover the moments that matter most to their customers and blueprint the absolute best experience, leading to more meaningful and impactful outcomes, and create a competitive advantage that is difficult to replicate. New moments that are uncovered lead to a new opportunity to blueprint and improve. Pick 7 to 10 Moments that Matter. Make sure they cover the entire customer journey and go beyond customer acquisition.

11.2.3 Incremental Improvements

One of the early "aha" moments we identified from the mathematical model is that hypergrowth is fueled by the compound impact of a few actions that repeat themselves. We demonstrated that the acquisition engine operates on repetition, such as the frequency of the number of meetings, which differs from how retention and expansion function. Retention and expansion repeat over time and build upon themselves, much like a snowball rolling downhill. Throughout the chapters, we've also demonstrated repeatedly that a marginal improvement of 10% across 7 throughput conversion points will double the output.

Aim to improve the conversion rate of each MTM by 10%.

ACTION 11.15 Based on the moments you've identified in the previous section, link them to a conversion metric. Record the current conversion metric associated with that action and target a 10% improvement.

TABLE 11.3 ***Double your revenue through marginal gain.***

ACTION 11.14	*ACTION 11.15*		
A Moment that Matters	Conversion Rate	Current metric	Target metric
	CR1/_____		
	CR2/_____		
	CR3/_____		
	CR4/Win rate		
	CR5/_____		
	CR6/_____		
	CR7/_____		
	CR8/_____		
Example: Multi-thread an account	CR4/Win rate	*22%*	*24.2%*

Recalculate the Growth Formulas outcome for this GTM motion, as outlined in Figures 11.7 and 11.8, using the target metrics from table 11.15. You will see that your revenue will double, meaning we are creating hypergrowth.

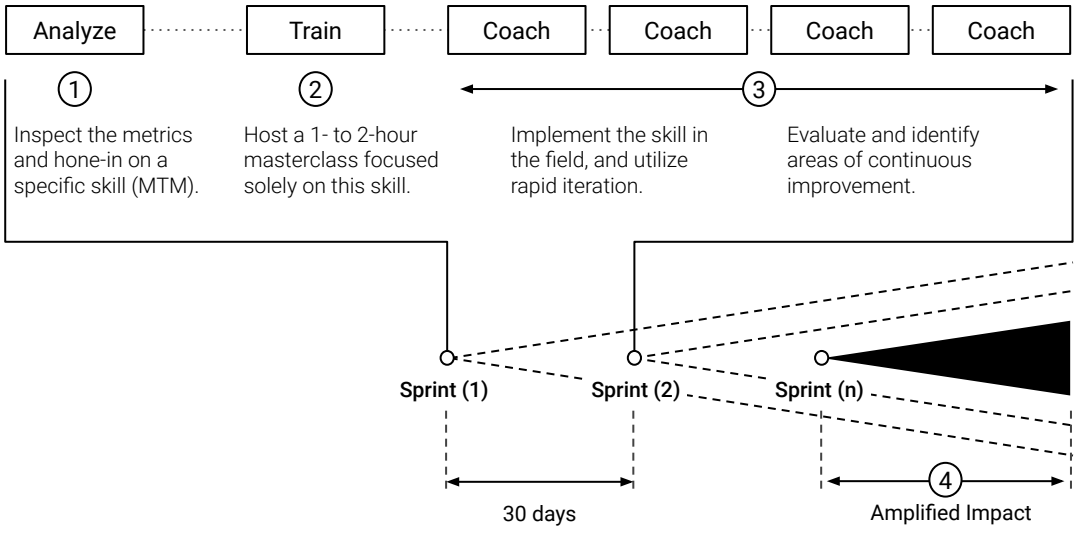
Now that we understand how it works, how do we achieve this? For that, we'll introduce the concept of “Sprints,” which is explained in the following section.

11.3 MOVE FAST. BETTER YET, SPRINT!

We're borrowing the idea of a "sprint" from Agile software development. Sprints break down large, complex projects into manageable tasks. Each specific task is based on a repeatable process, executed over 2 to 4 weeks. This ensures immediate impact and allows for rapid iteration and continuous improvement. Sprints enhance team collaboration, making them an indispensable tool for achieving success on large, complex projects.

Our twist on sprints will leverage the breakdown of the entire customer journey into a few moments that matter ①. Focusing on the gradual improvement of these moments leads to a compound impact. This is achieved by conducting a masterclass focused on a distinct skill ②. Each team member is tasked to apply this skill in the field right away ③. The team cultivates ongoing enhancement through collaboration and rapid iteration of best practices. By combining related skills, such as Discovery of Impact with Demonstration of Impact, we can cause amplification ④.

FIGURE 11.10 ***The Impact Sprint targets a single skill with the goal of enhancing a specific moment that matters greatly to the customer. While each skill yields an immediate impact, combining skills can amplify the overall effect significantly.***



ACTION 11.16

Analyze the team's performance

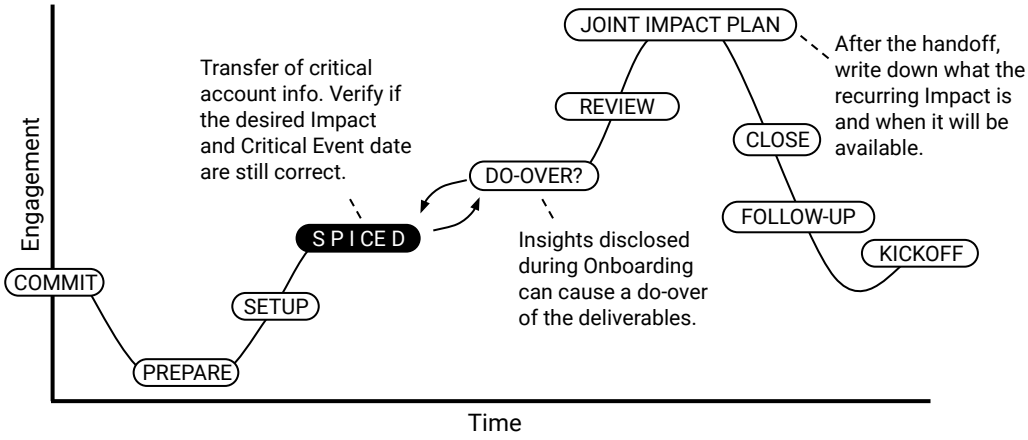
Analyze the team's performance metrics to identify what should be improved to drive the right impact. For instance, is NRR too low? Then the skill to focus on is customer retention. Are contract values too low due to excessive discounting? Then focus on making more effective trades during the negotiation stage. Pick just one metric that will significantly impact the business if it can be improved.

Example: Improving the Onboarding Experience

Let's consider the Onboarding of a customer to be a moment that matters. The customer just spend money and wants to feel this is warranted. The first step is to divide up the task into micro-skills to be done correctly and in the right order. In this case when listening to a few onboarding calls, we find the following micro-skills can lead to a improvement with significant downstream impact:

- A consistent hand-off between sales and onboarding using a standardized method such as SPICED.
- To get the right people from the customer team to show up for the kickoff by using triggers identified by the sales team.
- Make the kickoff not about checking boxes, but use it to identify the Impact the customer is expecting and in what timeframe.
- Re-diagnose the customer's Critical Event, which may have changed or split over multiple events, and create a mutually agreed Critical Event timeline.

FIGURE 11.11 ***The Onboarding call is an example of a key moment comprising a series of micro-skills.***



Example: Improving the Expansion Rate

We have conclusive evidence that expansion is more likely when you connect with more people across levels and responsibilities. Therefore:

- Go from a single-threaded account to multiple stakeholders per account, leveraging your executives and creating a 3x3 or a 5x5 matrix.
- Diagnose the customer (Emotional) Impact across multiple stakeholders using contextual diagnostic questions.
- Present products provocatively, e.g., relate it to the Impact the customer wants to achieve, combined with your industry knowledge.
- Run a professional stakeholder meeting by sharing customer stories of companies in a similar situation that benefited from working with you.

This shows how to turn a moment that matters into a few micro-skills.

ACTION 11.17

Conduct a Masterclass

Once the skill gap is discovered, train your employees on this singular skill. The following are the keys to success:

- Keep a maniacal focus on one single skill. Don't be tempted to address any other adjacent or "quick" challenges.
- Start simple like improving discount. Don't start with the most complex skill like Enterprise stakeholder management you have been frustrated about for years. It can take months or even years to master such a skill.
- Keep it clear. This training session should be at most one to two hours. Learners should leave the session knowing what "great" looks like.
- Create an immersive educational experience. A masterclass must be led by an expert in the field, who offers participants an in-depth exploration of a topic, skill, or area of expertise, designed to provide practical insights and hands-on learning experience.

Masterclasses are a highly effective and appealing learning format. However, they are not good enough on their own; they still need one more step: coaching!

ACTION 11.18 **Coach the team using real-life use cases**

This is where a skill starts to stick. Coaching is very different than managing. Although both involve guiding and developing individuals, coaching focuses more on empowering individuals to achieve their potential, while managing focuses more on directing and overseeing work to achieve organizational goals.

The keys to successful coaching:

- Repetition and reinforcement. This must be done weekly over 4 weeks.
- Look for Incremental Improvement. Do not expect large bumps in improvement; instead, look for small steps. Over time, it will accumulate.
- Frontline managers must be front and center in these coaching sessions. Their commitment and presence show the rest of the team how vital these coaching sessions are.
- Coach against actual customer call recordings. Break down what happens in an actual call, showing examples of what it looks like when it goes right and wrong; both are crucial learning moments.
- Track Leading Indicators: Identify simple-to-extract leading indicators, such as how many times customer stories are shared. This can help you course-correct where needed. Here is the exciting part: you should see measurable, albeit marginal, Impact within weeks.
- Sprint as a Team: Learning science tells us that people learn from training (10%), from each other (20%), and from in-the-field application (70%). However, the latter is amplified based on the network effect, which is based on learning from each other.

Rolling out sprints requires your managers to become coaches, which means they must believe in what you're trying to accomplish with the new GTM framework—or "The {Your Company Name} Way." Managers playing a more active role in improving performance through coaching is a big trend in the industry today. As coaches, they must be able to inspect the activities of their team members and inspire them to do 10% better.

ACTION 11.19

Combine Sprints to Amplify the Effect

Integrating and applying individual skills in a coordinated manner amplifies their collective impact beyond the sum of the individual sprints. For instance, sequencing sprints—one focusing on diagnosing Impact, followed by another on demonstrating Impact—creates a powerful effect. To stay competitive, it's crucial to continuously revisit and refine your strategy, using tools like the Bowtie model to plan future sprints. The objective is not just to match but to exceed the achievements of the preceding sprints. This ongoing process of iteration keeps the sprints fresh and aligned in a changing market.

Sprints are simple concepts based on coaching, and every parent who coached a soccer or baseball team knows how this works. Just as coaching elevates individual performance, AI can revolutionize system efficiency and effectiveness. With the correct application, AI enables scaling of successful strategies, ensuring faster and more efficient outcomes.

ACTION 11.20

Launch a GTM Council

As the year 2000 approached, the technical challenges were significant and costly, necessitating updates to software, hardware replacements, and the development of contingency plans. To tackle these issues, companies established special councils and task forces dedicated to the assessment, and remediation of their systems. Despite widespread concerns, the transition into the new millennium was remarkably smooth. The response to Y2K stands as a prominent example of how coordinated efforts can effectively address complex challenges.

This shows the power of a counsel and we recommend establishing a GTM Council. Meeting monthly, this governance body will assess the outcomes of recent sprints and chart the course for future ones. To facilitate this, the council should integrate the Bowtie model into a permanent dashboard accessible to all GTM teams. This dashboard simplifies holding regular discussions and serves as the heartbeat of your organization, assuring real-time monitoring and departmental alignment. The gains from the revenue factory inspire you to think big. However, to be successful, you must start small, and to capture growth, you have to move fast.

11.4 Time to Get Everyone Involved

The key to successful implementation comes down to a simple statement: involvement creates commitment, so it's time to get others involved. This can be a subset of second- and third-level managers, but don't exclude forward-leaning and influential frontline managers and individual contributors.

ACTION 11.21 **Involve Everyone**

Re-run a similar experience with these broader groups and eventually every part of the company. You can shorten it by using highly relevant examples for each group. For example, CS can focus on seven moments in retention, and sales can focus on seven moments in the sales process.

While the second- and third-level managers catch up, the executive team needs to gain accurate and real-time trendlines for each metric of the Growth Model for different GTM motions (see Section 6.3.2, in particular Figure 6.8).

You now have 3 action items to tackle in the next month:

- Propagate the Models (in particular the Bowtie), Impact, and Marginal Gains Theory to the next level of managers.
- Have people across the team specialize in a model so that when you get together as a team, they can say, "Hang on a minute. According to my model, this is going to cause issues..." Remember from Chapter 3, the taller we make the towers of a suspension bridge, the thicker the main cables need to be.
- Have a team pull more detailed trend lines of specific volume and conversion metrics together and present this to the executive team in a following up meeting called “GTM Diagnostics.” This meeting lasts 60 to 90 minutes and will create a dashboard moving forward.

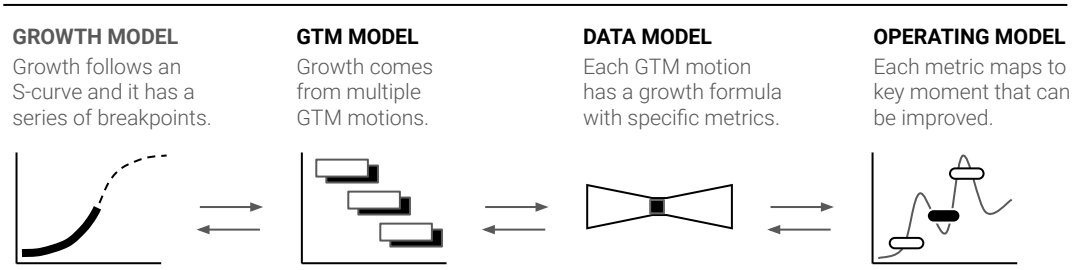
Summary: At the end of the day, you should have an idea of which metrics to improve for each GTM motion, which actions you’re going to rally around to impact those metrics, and what your team needs to do to make that happen.

11.5 RECAP

A startup's growth trajectory typically follows an S-curve. This curve results from the contribution of several GTM motions, each following an S-curve. Within each GTM motion, startups must navigate through twelve revenue breakpoints. These breakpoints revolve around establishing repeatable processes aligned with the customer's journey. Each process consists of a series of actions. Certain actions stand out as they create moments that matter to a customer. Think of a quick response time, for example.

Monitoring the performance of the actions against these moments, over time, pinpoints opportunities for incremental improvements. Executing these actions can lead to marginal gains. When applied to 5 to 10 actions along the customer journey, this strategy can drive hypergrowth.

FIGURE 11.12 ***The revenue factory operates along a series of models that reflect its behavior.***



The process for each GTM motion is captured by what we call a growth formula. This mathematical equation demonstrates that slight, incremental improvements across a series of actions can lead to disproportionate gains, such as hypergrowth.

Therefore, the secret to growth lies in making incremental enhancements—by as little as 10%—to the actions that are most impactful to customers. When these improvements are applied concurrently across various GTM motions, the cumulative effect leads to sustainable and hyper growth.

Overview of Actions

Action 11.1: Brief the executive team.

Action 11.2: Assign stewards to each chapter.

Action 11.3: Organize a kickoff meeting.

Think Big – Industrial-Scale Impact

Action 11.4: Identify the revenue breakpoints applicable to your growth trajectory.

Action 11.5: Break down the revenue into its growth components.

Action 11.6: Model the growth patterns for each growth component.

Action 11.7: Establish GTM motions.

Action 11.8: Build the Data Model.

Action 11.9: Build the Data Structure (Label the metrics.)

Action 11.10: Create a Growth Formula.

Action 11.11: Compare the effects of Increasing Inputs vs. Improving Throughput

Action 11.12: Determine scalability and sustainability.

Act Small – Moments Matter

Action 11.13: Build an Impact Journey.

Action 11.14: Identify Moments That Matter (MTM).

Action 11.15: Aim to improve the conversion rate of each MTM by 10%.

Move Fast – Better Yet, Sprint!

Action 11.16: Analyze the team's performance.

Action 11.17: Conduct a masterclass.

Action 11.18: Coach the team using real-life use cases.

Action 11.19: Combine Sprints to amplify the effect.

Start Now – Simply Deploy

Action 11.20: Launch a GTM council.

Action 11.21: Involve everyone.

PART IV | SUMMARY

Deliberate design and structuring of systems and processes, based on scalability and repeatability, lead to the creation of fractal systems. Both cloud infrastructure and software function as such fractal systems. However, most GTM strategies, with the exception of PLG, do not operate as fractal systems. This discrepancy results in anomalies in growth and cost patterns, largely attributable to the influence of irrational human behavior, most notably "grow at all cost."

By adhering to the principles of the revenue factory, the GTM organization is structured to function within proven systems and processes. This approach fosters more fractal-like patterns within a GTM organization, enabling companies to follow a more reliable growth trajectory. The guiding principles are clear:

- **Think Big:** Build a revenue factory capable of scaling growth in a cost- efficient manner, by delivering a quality product. Within this factory, GTM motions function like revenue production lines.
- **Act Small:** Focus on incremental improvements that, cumulatively, will have a significant impact.
- **Move Fast:** Employ Sprints, borrowed from Agile Software Development, to achieve these incremental improvements one action at a time, in rapid succession.

As you turn the final page, understand that the systems and processes are just one part of the equation. The key driver is your belief that you, too, can become a pioneer, an architect of wonder, crafting businesses that not only meet growth needs but also stand the test of time and leave us in awe.

EPILOGUE | THE PIONEER SPIRIT

There's an essence coursing through our veins—a legacy of pushing boundaries, shattering ceilings, and conquering the seemingly impossible. From erecting skyscrapers that touch the sky to building bridges that span continents and launching rockets that explore our universe. If you're reading this, you've always known to be an explorer—mapping new worlds and conquering the most daunting of challenges.

We have always defined ourselves by our ability to overcome the impossible. And we have celebrated moments like breaking through the sound barrier, walking on the moon, and diving into the deep oceanic abysses to find the Titanic as some of our proudest achievements. It is these moments that fuel our imagination. Yet somewhere along the line, we seem to have lost all that, or perhaps we have just forgotten that what lies before us in this industry we call home is as boundless as the sky above—a canvas of untold possibilities.

May these findings serve as a testament to the unyielding spirit of innovation and exploration that still lie before us. May they guide a new generation of pioneers, those who view the maze of technological advancements not as a threat but as a puzzle holding the key to a better tomorrow for all of us.

May you wake each day believing you stand on the cusp of a breakthrough, that will redefine how we interact with technology, how businesses serve customers, and how we connect as souls across cultural barriers. So, no, our story isn't over. We haven't yet witnessed our greatest days, not by a long shot. We haven't experienced our proudest moments, far from it. We have only just begun. Let us aim higher. Let us be pioneers once again.

ANNEX

ANNEX A. WORKSHOP MATERIALS

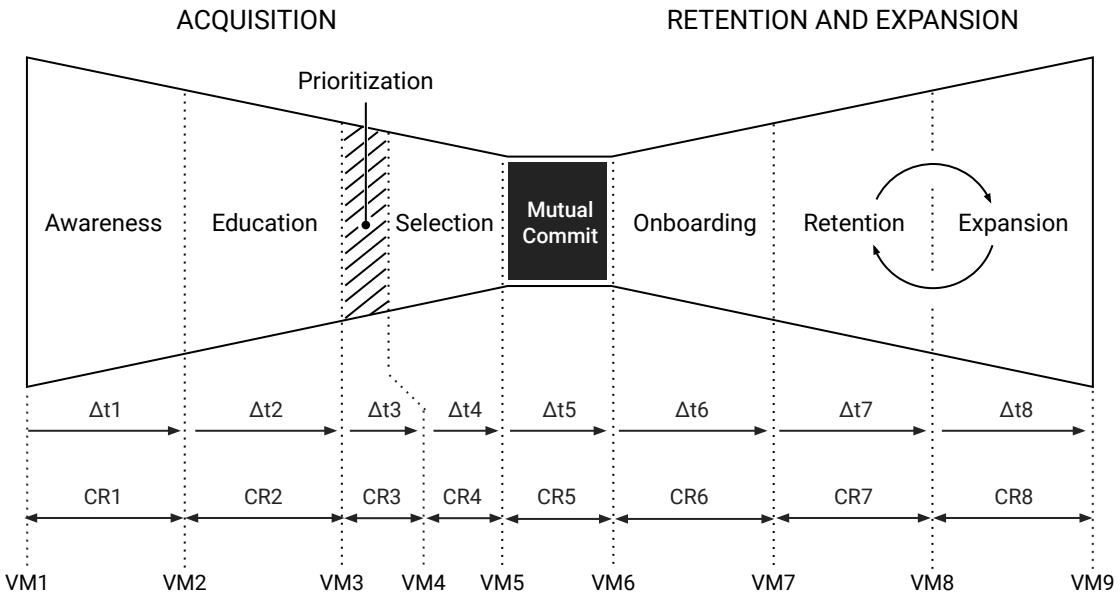
A1 REVENUE ARCHITECTURE DIY WORKSHOP

Assign 1 or 2 executives to each chapter. Ask them to provide a few takeaways that relate to your business from each chapter.

	Who?	What? (key takeaway)
Chapter 1	*CEO*	*SaaS Crash / Growth at all costs*
Chapter 2		
Chapter 3		
Chapter 4		
Chapter 5		
Chapter 6		
Chapter 7		
Chapter 8		
Chapter 9		
Chapter 10		
Chapter 11		

A2 DATA MODEL

First, label the volume metrics [VM(n)] using the terminology used within your company. Then label the conversion metrics [CR(n)], and lastly label the time metrics [Δt(n)].



VM1 _____ CR1 _____ Δt1 _____

VM2 _____ CR2 _____ Δt2 _____

VM3 _____ CR3 _____ Δt3 _____

VM4 _____ CR4 _____ Δt4 _____

VM5 _____ CR5 _____ Δt5 _____

VM6 _____ CR6 _____ Δt6 _____

VM7 _____ CR7 _____ Δt7 _____

VM8 _____ CR8 _____ Δt8 _____

VM9 _____

A3 OPERATING MODEL

For each product or solution offered, identify 5 rational (quantitative) impacts, 5 emotional (qualitative) impacts, and 5 critical events. This approach serves as a means to facilitate communication across the entire organization.

RATIONAL IMPACT	EMOTIONAL IMPACT	CRITICAL EVENTS
1. _____	1. _____	1. _____
2. _____	2. _____	2. _____
3. _____	3. _____	3. _____
4. _____	4. _____	4. _____
5. _____	5. _____	5. _____

A4 GROWTH MODEL

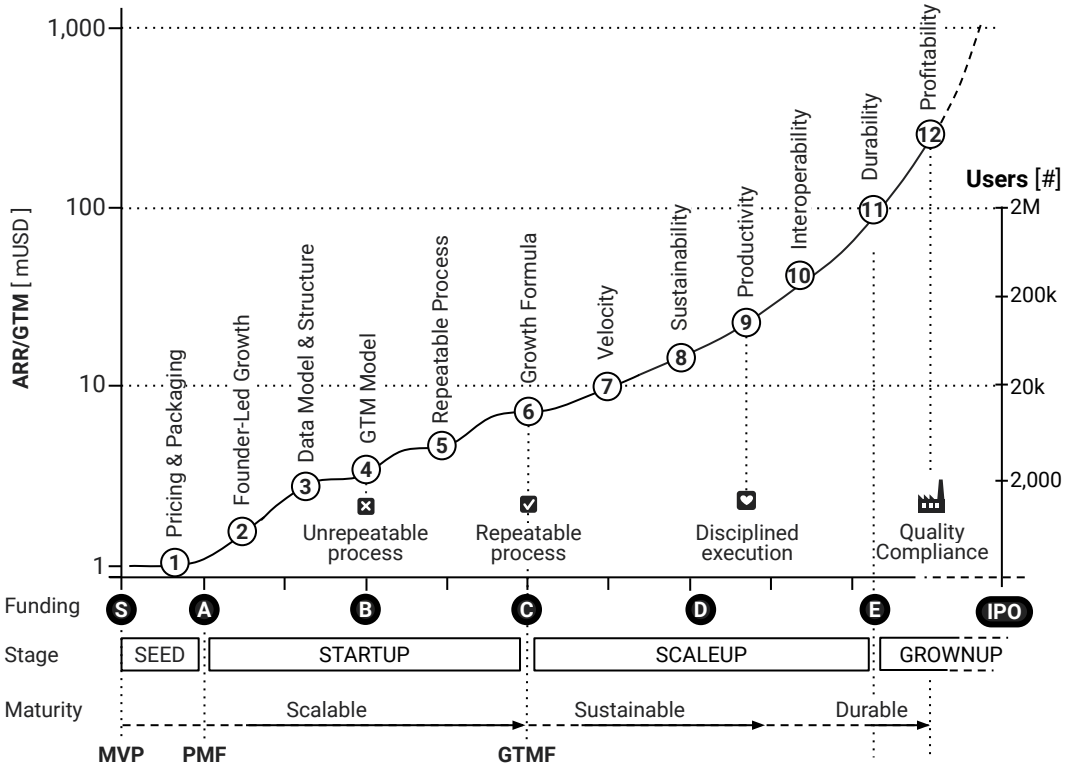
Depict your revenue growth trajectory on the growth model:

- Current Revenue (ARR): $ _____ on _____
- Target Revenue (ARR): $ _____ by _____ (18 to 24 months later)

See where this places you as it relates to the revenue breakpoints:

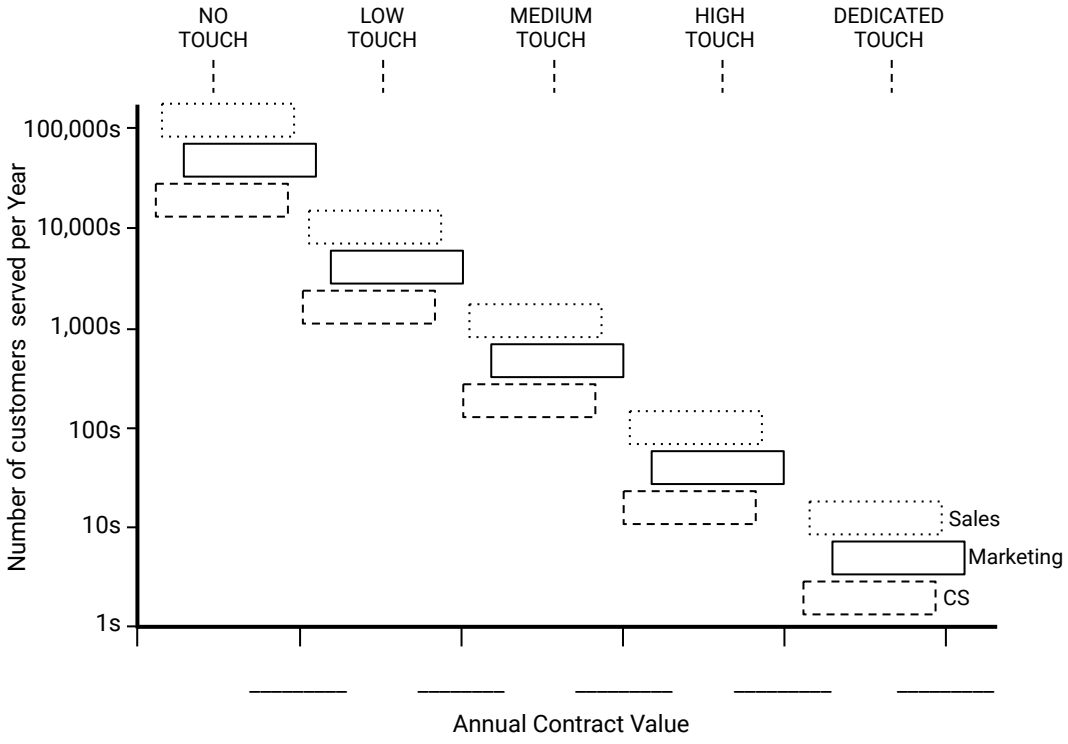
- Breakpoints achieved: _____
- Breakpoints missed: _____
- Breakpoints in progress: _____
- Breakpoints in the next months: _____

If past breakpoints have yet to be addressed, they will impede progress. Also, future breakpoints may involve a phase shift, which may require up to 18 months of preparation.



A5 *GTM MODEL*

Establish the different GTM motions. Fill in the functions per GTM motion you have in use today. Make sure they are aligned with the ACV and # deals/year.



GTM motion _____ _____ _____

ACV: _____ _____ _____

#Deals/year: _____ _____ _____

LeadGen: _____ _____ _____

LeadDev: _____ _____ _____

Selling: _____ _____ _____

Onboarding: _____ _____ _____

Adoption: _____ _____ _____

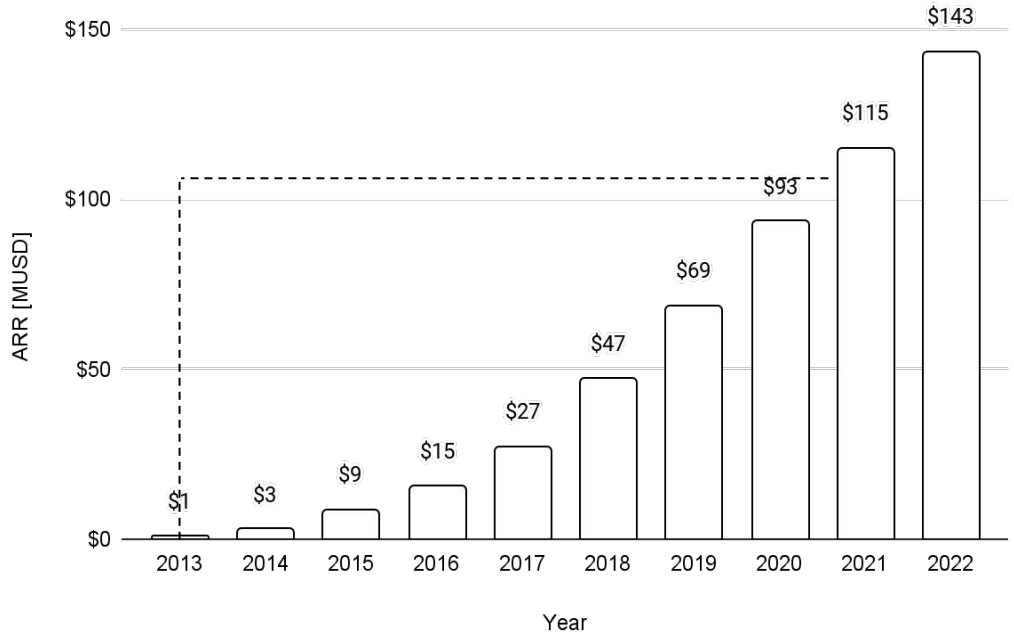
Expansion: _____ _____ _____

ANNEX B. UNDERSTANDING REVENUE GROWTH

In his 2015 Crunchbase article titled "The SaaS Adventure," Neeraj Agrawal described a growth pattern commonly observed in the early years of the Golden Era known as T2D3, which stands for “Triple, Triple, Double, Double, Double.”

The following figure depicts a use case for achieving growth using the example of BestCo, a fintech company that grew from $1M to $100M ARR over the course of 8 years. Like many companies, BestCo followed the T2D3 pattern during its initial 5 years: tripling from $1M to $3M to $9M, then nearly doubling from $9M to $15M to $27M to $47M.

FIGURE B1 ***Revenue growth of BestCo, a fintech that grew from $1M in 2013 to $115M in 2021.***



Between 2012 and 2022, the SaaS market experienced remarkable growth, expanding from 1,000 to 35,000 companies. The high ROI associated with SaaS-based Startups led to many more funds being raised, intensifying competition among industry leaders. Consequently, founders began demanding higher valuations, prompting VCs to seek higher growth rates.

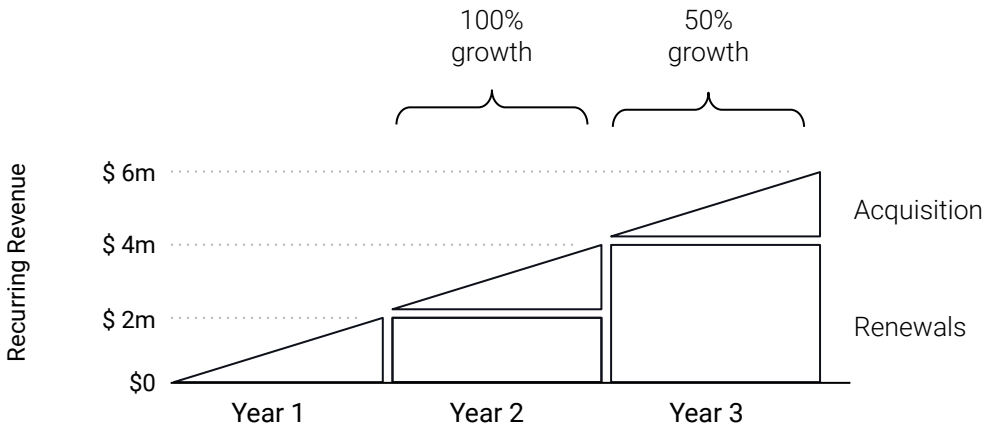
This shift is significant. It caused many founders to lose sight of their original focus—building an exceptional product that enabled customers to achieve tangible Impact. Instead, their sole objective became revenue growth—a self-centered goal detached from customer satisfaction. This mindset ultimately created the growth-at-all-costs mantra.

While we cannot overlook the important role that the growth-at-all-costs mantra played in the emergence of countless SaaS companies, we must also pause to reflect: will the strategies that brought us here be sustainable now that costs have gone up and effectiveness has dropped?

NEWCO (a SaaS Company Using a Recurring Revenue Model)

NEWCO is a company that operates on a recurring revenue model with an ACV of $40,000 per year. In the first year, NEWCO's marketing and sales efforts generated $2 million in revenue by acquiring 50 customers.

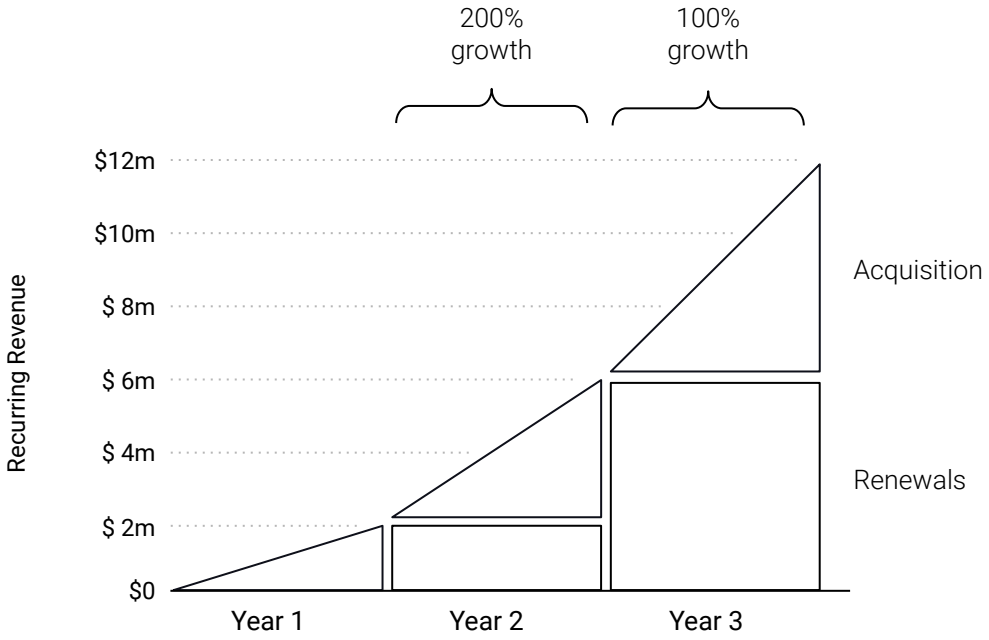
FIGURE B2 ***Revenue growth profile of a SaaS business using a recurring revenue model.***



However, NEWCO doesn't start from zero in year 2. Assuming all 50 customers renew their subscriptions, NEWCO begins year 2 with $2 million in recurring revenue. With the same marketing and sales team and resources, NEWCO can achieve the same results, generating an additional $2 million in revenue. This results in 100% revenue growth without further investment in marketing and sales.

What makes this scenario even more interesting is the potential for exponential growth. Suppose we choose to increase investment in growth, and we assume that growth from customer acquisition increases by 100% and 50% in subsequent years. In that case, we would witness a significant surge in revenue (as shown in Figure B3).

FIGURE B3 ***Revenue growth profile of a subscription business using a recurring revenue license model with 100% retention.***



A closer look at the data in Table B1 provides a crucial insight: when we consistently achieve a 100% renewal rate and continue to grow from acquisition—even when the growth rate is halved from 100% to 50%—it still results in exponential growth in total revenue, from $2M to $6M to $12M.

TABLE B1 ***In the beginning, exponential growth results from renewals and growth in acquisition.***

NEWCO	Renewals	Acquisition		Total	
Year 1	$ 0M	$ 2M		$ 2M	
			100%		200%
Year 2	$ 2M	$ 4M		$ 6M	
			50%		100%
Year 3	$ 6M	$ 6M		$ 12M	

The Impact of Customer Expansion

Up to this point, we have considered a scenario with a 100% renewal rate—or a retention rate of 100%. Achieving a high retention rate is essential in any subscription- based business. This relies heavily on the customer success function, which is vital throughout the entire customer lifecycle.

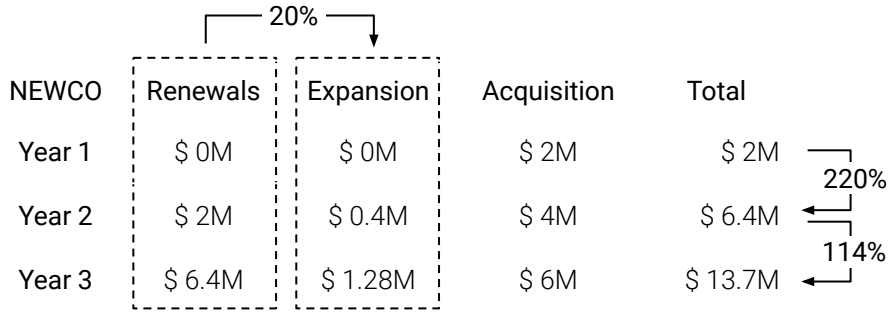
For example, CS teams in a recurring revenue business should proactively inform customers when they have achieved their desired impact. This is imperative because SaaS products continually evolve, incorporating new features to meet the growing demands of customers. Consequently, it is common for SaaS companies to implement a price increase of approximately 5% to 8% per year as part of their expansion strategy. However, if customers are not proactively informed when their Impact is achieved, the price increase may antagonize them.

The recurring revenue engine holds even more power. The ongoing relationship established via customer success ensures renewals with price increases across the board and opens up opportunities for expansion within a subset of customers. For example, CS teams can often drive additional sales from existing customers by identifying new users and exploring other use cases.

Let's consider an average growth of 20% from expansion across all customers. (It's important to note that achieving a 20% expansion rate is challenging and typically only accomplished by the top 10% of SaaS companies; nevertheless, this highlights the significant impact of this growth function.)

TABLE B2

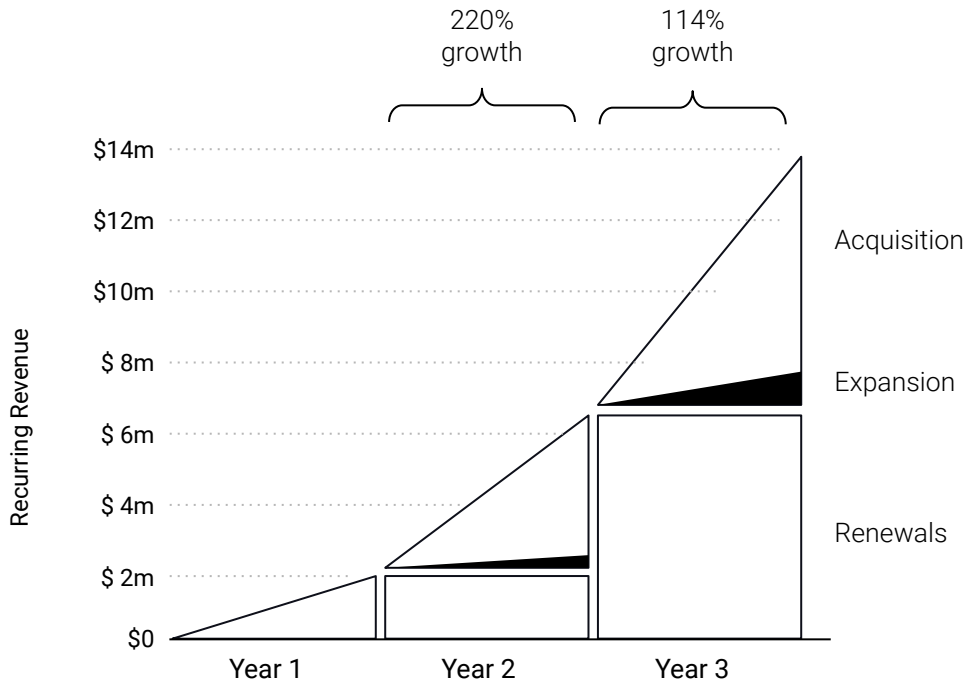
Expansion is critical in any recurring revenue business.



Visualizing the Three Growth Engines in SaaS

We now have 3 growth engines: acquisition, renewals, and expansion. The effects of these 3 combined become even more apparent when we depict them together in a chart to show how they propel growth.

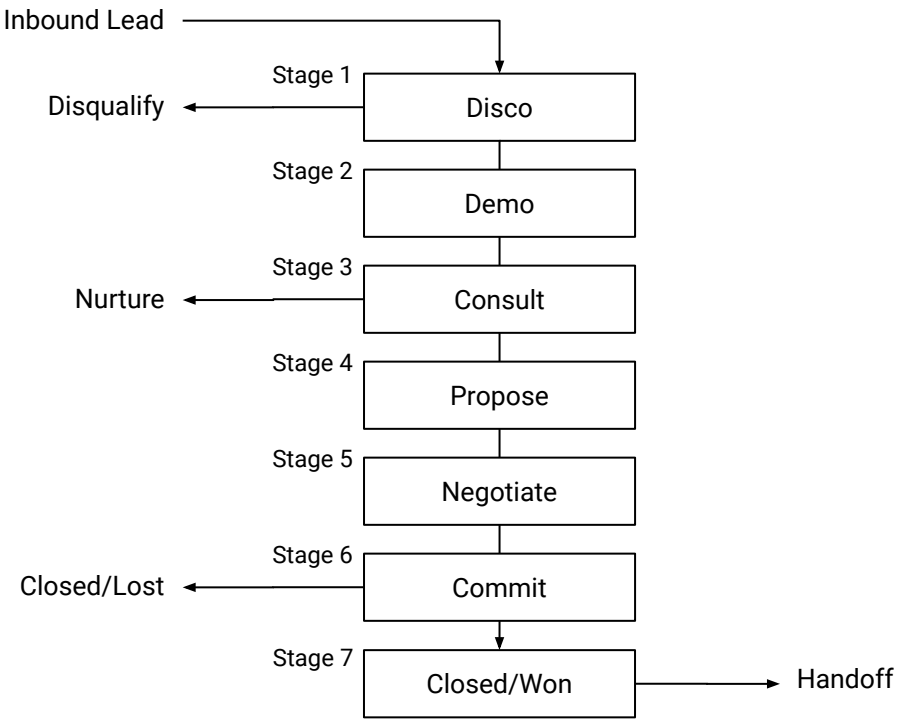
FIGURE B4 ***Recurring revenue has multiple components of growth that, when managed correctly, create hypergrowth.***



ANNEX C. ADVANCES IN PROCESS

Sales stages are the steps that a lead takes through your company's sales pipeline before becoming a customer. These stages are a group of actions. Stages can differ from one business to another, depending on product complexity and sales methodology. In most cases, there are about 6 to 8 stages similar to those depicted in the figure below.

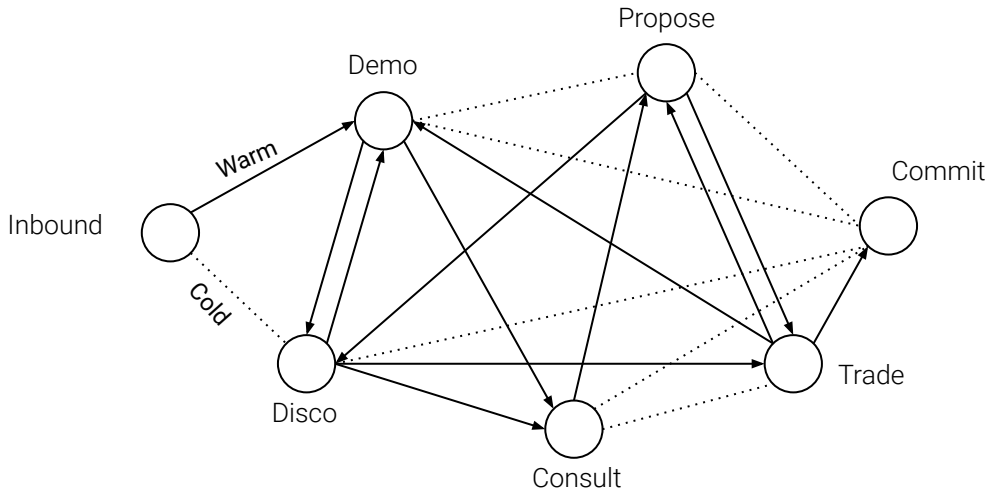
FIGURE C1 ***A simplified 7-stage sales process as commonly seen in most B2B sales companies.***



In a stage-based process, each stage has entry criteria, several actions per stage, and exit criteria to advance to the next stage. Most actions involve a call, an email with materials to review, or a meeting (remote or in person). The stage-based approach proves beneficial when humans need to interpret a deal's status, as it facilitates structure and enables stage-based forecasting.

However, this stage-based approach is typically one-directional. Customers are guided through these stages sequentially, primarily for the seller's benefit and to enhance forecasting accuracy. Unfortunately, customers rarely follow a linear path and often hop back and forth through the process in a somewhat random pattern over a period of 12 to 18 months.

FIGURE C2 ***A more reflective pattern of how customers step through a series of meetings. This concept is known in mathematics as graph theory. It allows AI systems to learn which sequence of meetings causes the best results.***



Visualizing the sales process as a series of key meetings and charting the customer's navigation path through these meetings presents a different picture (Figure C2). From a scientific perspective, each path the seller suggests has a weight associated with it that impacts the success rate, the length of the sales cycle, and the price the customer will pay. If a demo follows a discovery call, for example, the chances of winning may increase by 4%.

AI can help us decide if and when we need to do something. For example, we anticipate that data will suggest a consultative approach—and in particular, the use of a needs assessment call—to significantly impact the chances of securing a deal and increasing the price. While this is the current trend, we

can’t definitively say whether it applies to all customers or if it will continue to be the case. AI can help us make informed decisions about if and when this approach should be used based on various factors, such as whether the customer has already been through a lot of education about the product or pain by watching your company’s videos.

The Presence of Micro-Actions

Upon closer inspection, each meeting doesn't just lead into the next meeting as depicted by the straight line that connects the two. In reality, each meeting is connected through a series of actions such as preparation calls, email invitations, follow-ups, and follow-through messages. We refer to these as micro-actions.

Micro-actions make the entire process work. A single micro-action skipped or ill-performed can derail the whole project. An incredibly high volume of micro-actions are required in a sales cycle. Many managers who have never been in the role before are oblivious to the volume and importance of these actions, which is why many front-line reps across sales and customer success feel misunderstood.

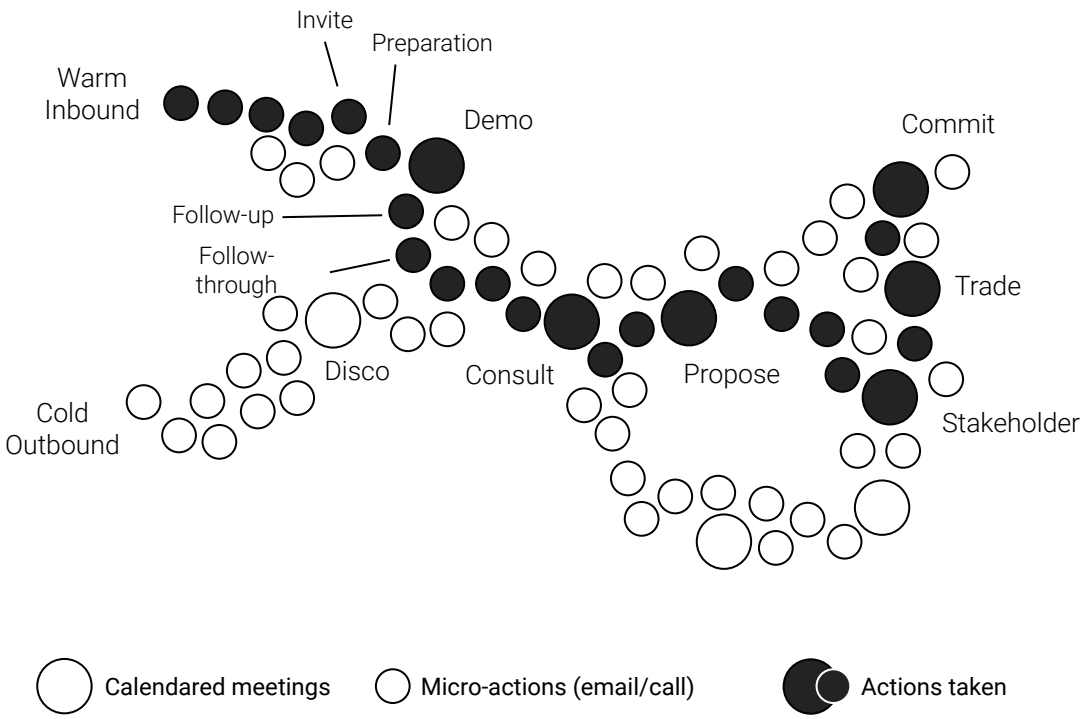
In Figure C3, you'll see 4 micro-actions surrounding the demo itself: an invitation is sent, preparation for the demo, an immediate post-demo follow-up (such as a thank you note with a link to the recording), and a follow-through message the next day with the promised materials.

Some of these micro-actions significantly increase the chances of winning. Once hundreds to thousands of deals have been processed, an AI system can determine the most logical path under various conditions for the highest probability of winning. Over time, with advances in real-time AI response, this could evolve into a sales guidance system in which the AI makes recommendations similar to lane-assist technology while driving a car.

When compared to stage-based sales, the role that AI can play becomes evident as it performs tasks beyond today's human capacity and merges roles.

FIGURE C3

Micro-actions connect calendared meetings—they provide a more accurate picture of the number of actions a salesperson must take to gain mutual commitment from both sides.



Imagine that, through AI, a single individual could handle outreach, craft the appropriate marketing materials, undertake qualification, provide comments, manage onboarding, and perhaps even deliver the customer success experience.

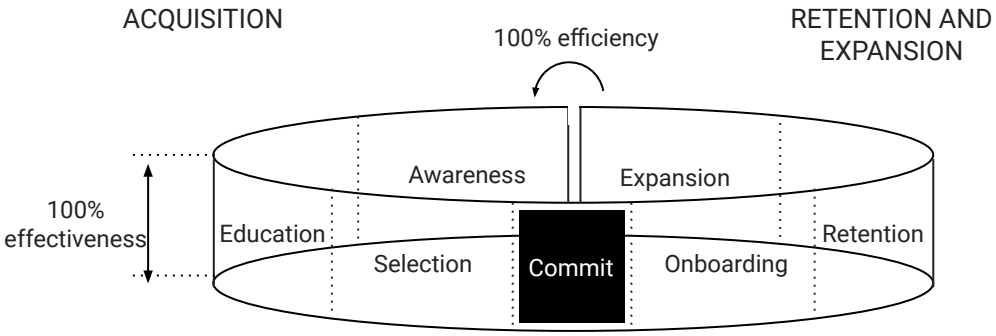
ANNEX D. ADVANCES IN SYSTEMS

For AI to be effective, it must have access to thorough and precise data spanning the entire customer journey. This data should be normalized, aligning it with a standardized Data Model that is adopted company-wide. If there are gaps in the data, AI might make assumptions. These assumptions can introduce inaccuracies, potentially diminishing the accuracy of predictions and, consequently, business efficiency. On the other hand, given limitless and accurate data, an AI system could, in theory, attain unparalleled efficiency and effectiveness, barring external variables like economic downturns or changes within a customer organization. It would look something like this:

- **Conversion Efficiency:** With an ideal AI model, 100% of leads could convert into opportunities, and 100% of those opportunities could further convert into customers. The AI system could use various data points to accurately target the most promising leads, thereby maximizing conversion rates.
- **Customer Retention:** The AI system could predict customer behaviors, preferences, and potential issues, enabling proactive customer retention strategies. Customers would remain for the entire duration of their suspected lifetime value (LTV), contributing the maximum amount of revenue.
- **Seamless Prospect Generation:** Existing customers would seamlessly transform into new prospects as individuals move between companies. AI could track such movements, identify the potential for engagement, and initiate contact.

The Bowtie model would essentially evolve into a “Roman collar,” symbolizing market dominance. Historically, only a handful of products, such as PowerPoint, Intel chips, Adobe products, and TiVo, have come close to this state of near-perfect efficiency and effectiveness, largely owing to their innovative application of data and technology. However, such dominance is often fleeting as lower-cost competitors eventually surface.

FIGURE D1 ***A 100% effective and efficient system reflects market dominance.***



This highlights the potential of sophisticated AI to propel companies to a commanding market position. But to achieve this, firms must maintain rigorous data management practices and possess a profound understanding of customer behaviors and market dynamics. While AI can substantially optimize GTM processes, it amplifies the significance of human insight and decision-making, especially in relationship management. Everything begins with GTM processes.

To win in the next decade will require the full utilization of AI. Those companies that will succeed must harness—no, embrace—AI within every part of their business. Therefore, the roadmap is simple:

- **Define and connect departments** and the functions within each department. This will require a common language, a uniform approach, and a standardized Data Model.
- **Close the loops.** With open-loop systems such as SEO, cold outbound, and email campaigns seeing diminishing returns, perhaps it's time to invest in closed-loop systems.
- **Leverage AI.** Once your company operates as a system and the loops are closed, you can leverage the advantages of AI and do what the subscription-based model was designed to do—deliver compound growth.

A venture-funded business will generate wealth, which will fund new innovation, accelerating further advances. In a way, it's already forming its own closed loop.

ANNEX E. MATHEMATICAL APPROACH TO SALES EFFICIENCY

Historically, salespeople selling to Enterprise customers pride themselves on being better than their peers selling to SMBs. Now we'll test whether they are. Let's use the industry-wide benchmark from Table 6.5, which provides an average win rate of 30% for an Enterprise deal with an ACV of $120,000 and a win rate of 20% for an SMB deal with an ACV of $10,000.

Consider this: an Enterprise sales rep typically needs to schedule a larger number of meetings to close a $120,000 deal compared to an SMB sales rep closing a $10,000 deal. For instance, it might take the Enterprise rep 12 scheduled meetings to close an Enterprise deal, whereas the SMB rep might only need 5 meetings to close an SMB deal.

With these data points, we can calculate the difference in conversion rates per meeting. We find that the win rate is actually the product of the conversion rate at each meeting. This gives us the following insights:

FORMULA E1

$$Win\ rate = \mathrm{CR}^{\,number\ of\ meetings}$$

Now, if we regroup that formula around the conversion rate per meeting, we get the following:

FORMULA E2

$$\mathrm{CR} = \sqrt[number\ of\ meetings]{win\ rate}$$

And if we apply the arguments for SMB, we get:

FORMULA E2a

$$\mathrm{CR} = \sqrt[5\ meetings]{20\%\ win\ rate} = 72.48\%\ (round\ it\ to\ 72\%)$$

This means that each calendar meeting converts at an average of 72%.
In other words:

$$Win\ rate = 72\% \times 72\% \times 72\% \times 72\% \times 72\% \sim 20\%.$$

Now let's compare this to the Enterprise performance per meeting:

FORMULA E2b

$$CR = \sqrt[12\ meetings]{30\%\ win\ rate} = 90\%$$

It means that an Enterprise rep, on average, has to convert at a significantly higher win rate and keep this performance up for a much longer time:

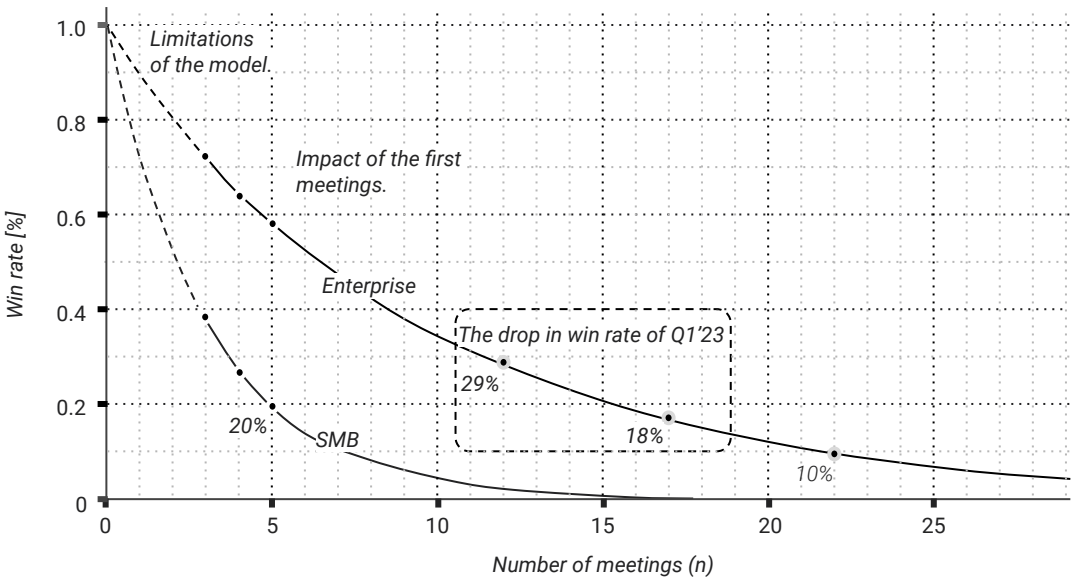
$$Win\ rate = 90\% \times 90\% \times 90\% \times 90\% \times 90\% \times 90\% \times 90\% \times 90\% \times 90\% \times 90\% \times 90\% \times 90\%$$

$$Win\ rate = 0.9^{12} = 30\%$$

Plotting out these 2 functions in a graph tells us the story.

FIGURE E1

The difference in performance between an SMB rep and an Enterprise rep depicted as a function of the number of meetings.



This graphical representation of the win rate tells us we have 2 different functions for SMB and Enterprise. It explains, for example, why organizations should be careful when promoting an SMB rep to Enterprise without proper training and field experience. It also shows that, eventually, all deals are lost as long as we have enough meetings. In this particular example, it takes about 14 meetings to kill an SMB deal (or to get to a win rate < 1%) and 44 meetings for an Enterprise deal (not detailed in the graph above).

You will notice the disproportionate impact we explained earlier: the duplication of input in the number of meetings (Δx) leads to a significantly smaller output in win rate (Δy). For instance, when examining the first 3 to 5 meetings, a steeper decline is observed early on, highlighting their diminishing effect on the win rate. The visualization of the win rate underscores the significance of these initial meetings and reveals that they have a more significant impact on SMB deals than Enterprise deals.

It is important to consider that there are limitations to any model. These limitations are often found in edge cases involving extreme or exceptional scenarios that cause results that fail to align with reality. For example, this model suggests that your win rate would be 100% if you performed zero meetings. That, of course, is not the case. This does not invalidate the model; instead, it highlights the need to refine our understanding, particularly when it comes to the boundaries of the model. Remember, we are merely at the start of a journey to develop scientific frameworks for acquisition and expansion, and we still have a lot of work ahead of us.

Use Case: The Drop in Win Rate of Q1 2023

From November 2022 to April 2023, the SaaS market witnessed a significant decline in the win rate for Enterprise-sized deals. The average win rate for deals with ACVs between $50,000 and $500,000 decreased from 29% to 18%. During this period, revenue leaders reported that deals were not being lost, but customers were experiencing "indecision." According to interviews with the team at DCM Insights, this indecision was driven by a fear of making the wrong decision, which led to an increase in the number of scheduled meetings. As Ted McKenna aptly stated, "FOMU is exceeding FOMO." The “fear of messing up” became more significant than the “fear of missing out.”

In March 2023, during an interview with the Chief Sales Officer of one of the world's largest SaaS companies, she highlighted that closing deals now required significantly more effort from their sales teams. Specifically, there was a notable increase in the number of meetings, particularly with stakeholders from the CFO's office, to justify the investment amidst the market's economic strain. Mathematically, this aligns with our findings, as the increase in the number of meetings correlates with a drop in the win rate. Now, let's further explore if we can mathematically substantiate this observation:

FORMULA E3

$$Win\ rate = \mathrm{CR}^{(n)\ number\ of\ meetings}$$

FORMULA E4

$$18\% = 0.9^{(n)\ number\ of\ meetings}$$

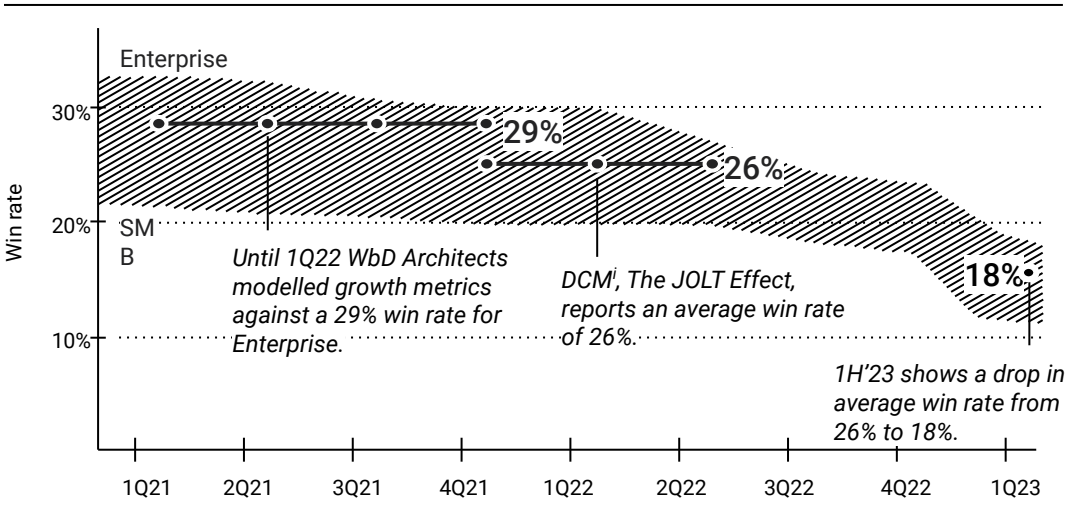
For some topical fun, let's use an AI prompt to help us solve for the number of meetings by stating, "If x = y^n and I have x and y, how do I solve for n?" we get:

FORMULA E5

$$Number\ of\ meetings(n) = ln(0.18) \ / \ ln(0.9) = 16\ meetings$$

The mathematics explain what we observed in the field. The average win rate dropped from 30% to 18%, while at the same time the average number of meetings increased from 12 to 16 (see Figure E1).

FIGURE E2 ***The persistent decline in win rate over time across Enterprise and SMB deals.***



ANNEX F. RESEARCH ON PRODUCTIVITY

Underperformance is plaguing SaaS companies everywhere—and the problem is more acute than most revenue leaders realize: 2 of every 3 reps are failing to meet quota, and 40% of the reps can quickly increase their performance—with the right focus.

How Did We Get Here?

During the Golden Era of the last 10 years, SaaS companies went through a period of overhiring. Software from modern SaaS companies was so sought after that companies were scrambling to hire as many people as possible to meet the market demand. In a strong market, it wasn't too hard for these employees to be successful; the product was in demand, so it was easier to sell. But the cracks begin to show when the market softened and weakened, as it started to do in 2021 and 2022.

What Are those Cracks, Exactly?

Most companies are now experiencing the reality that 32% of the GTM team can operate at a “normal” level, while 68% cannot. In other words, 2 out of 3 reps can no longer hit their targets. What does “normal” mean? In sales, this typically means hitting at least 80% of the quota regularly. Those between 50% and 80% may have a decent chance of reaching a ”normal” level, depending on the situation—perhaps with more guidance from their manager, more training, or more time to develop their skills. However, those operating at 50% or below will be a risk to the organization; the company is investing resources into those team members, but they are falling far short of the expected results.

In addition to understanding how many reps fall into each category, it’s important to look at the impact that each cohort delivers to understand the impact of the problem. The “normal” performers can deliver 1.53 times more than the underperformers. And this phenomenon is happening across the entire GTM team: the sales team is falling far short of meeting the team quota for new business, marketers are not connecting with enough ICP accounts, and the CS team cannot come close to its goal for NRR.

Breaking down the “normal” group and the underperforming group shows the true magnitude of this problem for revenue leaders. Within the “normal” cohort, it used to be that the top 20% of reps were the high performers—the superstars. In 2023, that number decreased to 4%. On the other end of the spectrum, within the 68% of underperformers, it used to be that the bottom 10% of the team were the lowest performers—those nowhere close to meeting quota and unlikely to do so even with time and proper training. In 2023, that number has increased to 28%.

Why Existing Solutions Are Not Working

Historically, companies have relied on traditional strategies like those listed below. However, in the current market, these strategies are no longer effective. The following analysis will provide clear insights into why.

TABLE F1 ***Why existing solutions are not working.***

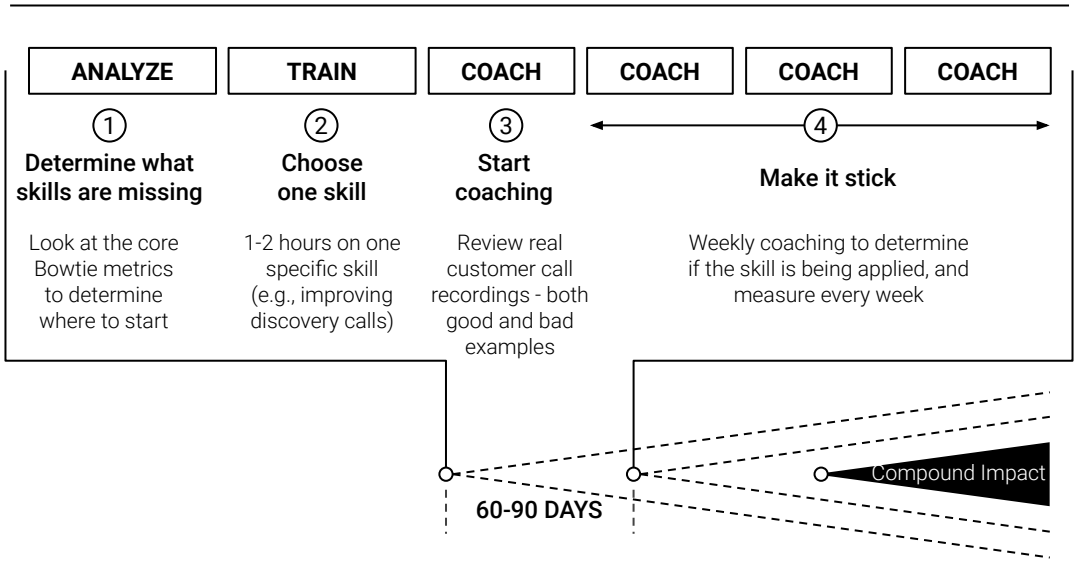
Prior Solution	Why it Doesn’t Solve the Current Problem
Large-scale training programs	Traditional training programs can take a long time to realize Impact: reps can be trained and certified, but because they are learning several skills within the same training course, they don't emerge with mastery. Much more time is needed for ongoing coaching and applying all those skills.
Month-long onboarding bootcamps for new reps	Most companies are not hiring right now; in fact, many are doing the opposite as they lay off high proportions of their teams to cut costs.
Rolling out a new methodology	A methodology is key for any scaling sales team, but doing this well requires a heavy dose of change management and won't quickly solve the current problem.
Reliance on superstar reps	As we see in the latest data, the number of superstar reps remaining at companies has drastically declined. Companies can no longer rely on just the superstars to carry them through a tough market.

How We Fix This

GTM teams need a solution that drives Impact quickly—within 60 to 90 days. The answer lies with the 40% of the team sitting just below the “normal” performance line.

This "swing group" can quickly succeed provided they are given focused support. With the proper training, coaching, and structure, the right approach can help them swing over the performance line and into acceptable performance levels. Revenue leaders can lift this 40% group to ”normal” using a "sprint." This concept, inspired by agile software development methodologies, applies training more surgically. Instead of introducing several skills simultaneously, the "sprint" focuses on just one skill, with a specific and measurable goal aligned to it. Unlike traditional training programs, this approach bridges the gap between learning and application by focusing solely on the practical application of a single, prioritized skill.

FIGURE F1 ***Overview of an Impact Sprint.***



We suggest a specific type of approach known as an Impact Sprint. Each sprint should run no more than 30 to 60 days before starting the next focused sprint. Here's how to run a proper Impact Sprint.

TABLE F2 ***An example of how to make training stick through coaching.***

Analyze	Train	Coach
Some common areas of opportunity: ● NRR is too low ● Discounting is too high ● The conversion rate from a deal to a closed-won is too low	Start with a fundamental skill (e.g., get your discovery calls done well before attempting to solve for Enterprise stakeholder meetings).	Use actual customer calls; break them down as a group and determine if the skill was applied, how it was applied, and what the results were. Study call snippets of where it goes right and where it goes wrong to facilitate learning and understanding across the team of what "good" looks like.

Moving Ahead

Once you've rolled out the first Impact Sprint, introduce the next sprint in 60–90 days. And the next one, and the next one. This system provides focus and continuous improvement. Remember that the first sprint doesn't need to make a massive impact—this is about getting the entire time into a cadence of ongoing improvement over time, working toward a clear and specific goal.

Solving for underperformance means shifting the training structure to a sprint-based approach. By focusing on one specific prioritized skill at a time with a focused training session and ongoing coaching, revenue leaders can elevate the performance of their employees—notably the ~40% and largest cohort of their team with the most significant potential for quick improvement. Run a sprint, then run the next one, and the next. Lift up your underperformers with targeted support and a maniacal focus on impact. This is a repeatable method you can use to achieve results where it matters and drive more durable revenue growth.

The Effect on Your Revenue

Calculate for yourself the impact this approach can have on your revenue:

- Estimate the number of reps in your top, middle, and bottom performer cohorts. You may instinctively know where each rep falls without looking at the exact data; take a guess if you don't have easy access to precise data.

- Enter your average rep quota and quota attainment.
- Calculate your current (approximate) revenue by cohort.
- Apply 1.53x improvement for the middle performer cohort. This is the result that can be achieved by lifting up the performance of this cohort.

The example below was used as a template to calculate the expected results for a team of 100 reps, each with an annual quota of $1,000,000, and the effects of implementing an Impact Sprint that boosts performance by a factor of 1½.

TABLE F3 ***Expected results of improving the group of middle performers.***

Cohort	# of reps	Quota attainment	Average quota attainment	Current revenue by cohort, current state	New revenue by cohort, after Impact Sprints
Top	32	80%+ quota attainment	90%	$28,800,000	$28,800,000
Middle	40	50-79% quota attainment	60%	$24,000,000	$36,720,000
Bottom	28	<50% quota attainment	30%	$8,400,000	$8,400,000
				$61,200,000	$73,920,000

In summary, this research offers a critical lens on the persistent underperformance plaguing SaaS sales teams. While the traditional methods of training and reliance on top-performing sales reps have proven ineffective, a more agile and focused approach—Impact Sprints—emerges as a viable solution. These short, intensive training cycles prioritize one skill at a time, offering a way to swiftly uplift the performance of the middle 40% of sales reps, those most ripe for improvement. By embracing this innovative training approach, companies not only stand to substantially enhance their sales figures within a short period of time, but they will also instill a culture of continuous improvement that promises sustainable revenue growth.

ANNEX G. PILLARS OF A COACHING CULTURE

For years, GTM management has been driven by a desire to achieve better results. We've been implementing the same management tactics, motivating people with money and fear, trying to manage outcomes with deal reviews, and forecasting—and then we wonder why we struggle to deliver consistent results. When we look at high performers in other fields like sports, the military, arts, and academia, what becomes clear is that success does not come from talent alone.

Success Comes From Deliberate Practice

With a defined process and accountability, combined with caring about the individual and building trust through candid conversations, we can achieve amazing results for GTM professionals, on both an individual and a team level. Start coaching by building a culture of learning and development. Provide GTM professionals with the tools, processes, and environment to make the difficult behavioral changes required to succeed in the ever-evolving world of GTM. The fastest way to improve is by eliminating your weaknesses rather than optimizing your strengths.

Becoming a coach with a selfless style of management will give you the skills to enable your team and empower them to succeed. As a coach, you will lead your team by teaching them why each goal is set, which skills it will take to achieve those goals, and how to build those skills.

The Six Pillars: Building a Robust Coaching Culture

There are 6 pillars that act as the foundation of any coaching culture. From setting meaningful goals to understanding the science of adult learning to fostering a culture of accountability, these pillars are designed to make coaching an integral part of your GTM organization's DNA. They help create an environment of continuous learning, accountability, and performance improvement.

Pillar 1. Establishing Goals

Pillar 2. Coaching Framework

Pillar 3. Learning Science

Pillar 4. Coaching Cadence

Pillar 5. Turn-by-Turn Directions

Pillar 6. Consistent Commitment and Accountability

Together, these 6 pillars provide the basis for a culture of coaching that empowers GTM professionals to not only meet but exceed expectations, both for themselves and the organization they are part of.

Pillar 1: Establishing Goals – Starting With "Why"

Asking "why" will help your team members understand the long term by aligning their personal motivations with business motivations. GTM can be a challenging pursuit, with many obstacles and objections along the way. As a manager, you may need to help your GTM professionals articulate their personal motivations so they have a clear understanding of what they're working towards and why.

Pillar 2: Coaching Framework – REKS

Along with clear goals, we need to create a clear path to success—one that isn't just looking at the end goal but all the elements required to achieve these goals. Use the REKS framework below to visualize that path and provide a framework for collaborating with your team. Everyone should agree to clear coaching principles, like how you should communicate with each other if goals are missed or achieved and whether skills are present or not being implemented.

- **Results:** The specific and measurable outcome of efforts. Depending on the role, these can include discovery calls, meetings, opportunities created, deals/revenue closed, QBR/Impact Review calls, or renewal conversations.
- **Effort:** The defined specific and measurable activities that lead to the results required. This can include calls made, emails sent, social messages sent, events attended, leads converted, or any other input activities that are leading indicators of results.

- **Knowledge:** The formal knowledge required, such as that of myriad GTM processes, product knowledge, persona profiles, industry context, and recognition of compelling events that are a catalyst for your product.
- **Skills:** The core skills necessary to execute on that knowledge. This can include the ability to run a discovery call, run an effective demo, handle objections, write a compelling email, or trade during the close phase.

Using REKS: Managers Focus on Results, Coaches Build Skills

In the REKS framework, a manager's primary focus is on “Results” and “Effort” because these directly impact the company's bottom line. The manager ensures that specific, measurable outcomes are achieved and that there is a consistent level of activity or effort leading to those results. In essence, the manager is primarily concerned with how the team's actions contribute to the organizational goals, and the company is the chief benefactor of this focus.

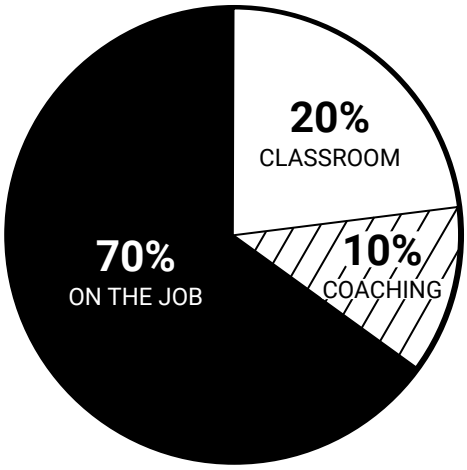
Conversely, a coach is more oriented towards the “Knowledge” and “Skills” components of REKS. The emphasis is on the personal development of the team members. The coach invests in improving an individual's understanding of the various GTM processes, industry nuances, and critical skills like objection handling or effective communication. As a result, the individual team member becomes the main benefactor, gaining expertise and abilities that contribute to their long-term career growth. While managers and coaches both play crucial roles in an organization, their focus and beneficiaries differ. A manager is outcome-centric, aiming to benefit the company, whereas a coach is development-centric, seeking to enrich the individual team member.

Pillar 3: Learning Science

The traditional learning framework is broken. Adults don’t learn best from lectures, and one-time onboarding courses don’t stick. In contrast to what most of us have been led to believe, science shows that only 10% of learning happens in a formal setting like classrooms, videos, and books, while 20% happens through observing peers, and 70% comes from actually doing the work.

Adult learning science has shown us the importance of on-the-job learning. Without structure, this crucial learning opportunity is lost, which is why creating a coaching cadence is essential.

FIGURE G1 ***The 10:20:70 learning model.***



Pillar 4: Coaching Cadence

There are 2 main elements of coaching:

- **Performance (or traditional) management**

  Traditional 1:1 relationships are manager-focused, drilling into the forecast and past results, while looking to help on specific deals that "move the needle." This is all focused on the goals of the manager, not the goals of the sales professional.

  Instead, a coaching cadence provides opportunities to identify the sales professional's "why," understand any gaps in their knowledge and skills, and help them to conduct the actions to make improvements and achieve results. Manager-led cadences should include 1:1s, team stand-ups, territory planning, personal goal setting, and career development.

- **Development sessions**

  In development sessions, managers should act as a coach to empower their team to contribute to a sales team-driven, continuous coaching culture.

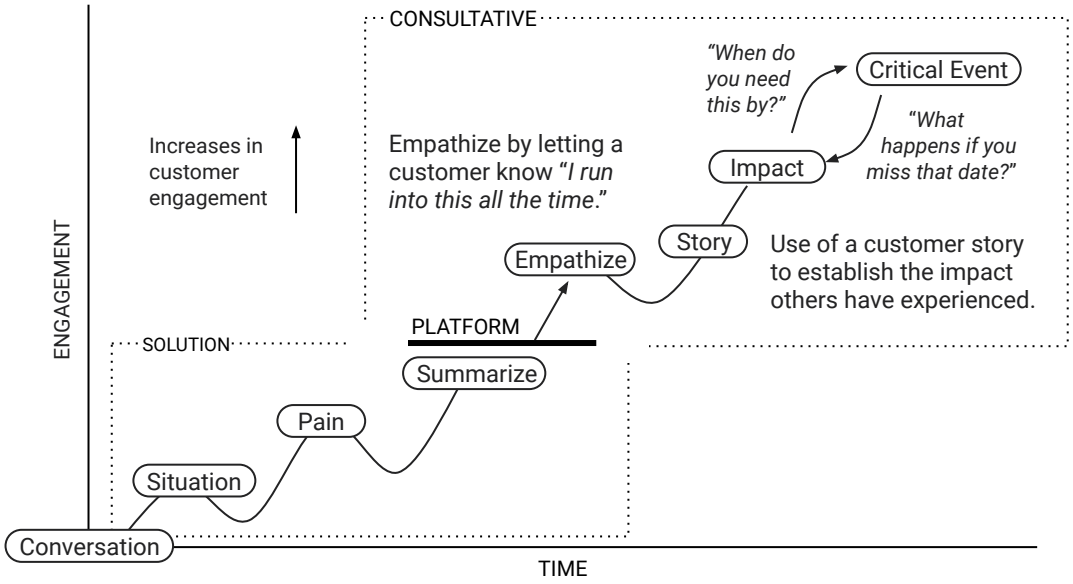
Many managers see themselves and their L&D team as the bastions of knowledge for their sales professionals, but this creates a bottleneck in their sales team's development and misses out on peer-led learning opportunities. To harness the 10:20:70 principle of learning science, you must create a structured, safe environment for sales professionals to share feedback and learn from each other and you by practicing their skills.

Pillar 5: Provide Turn-by-Turn Directions

As we master new skills, it's important to understand the foundation those skills are based upon. Having sales professionals memorize scripts for complex conversations is not a good long-term strategy.

By providing turn-by-turn directions, you're arming your team with frameworks that apply to many different situations. They can use these to continue to guide themselves each time, instead of being stuck with what worked one time, only to fall behind when the world changes or something unusual happens during an interaction.

FIGURE G2 ***Example of a Diagnose Blueprint (explained in detail in Section 8.2.2).***



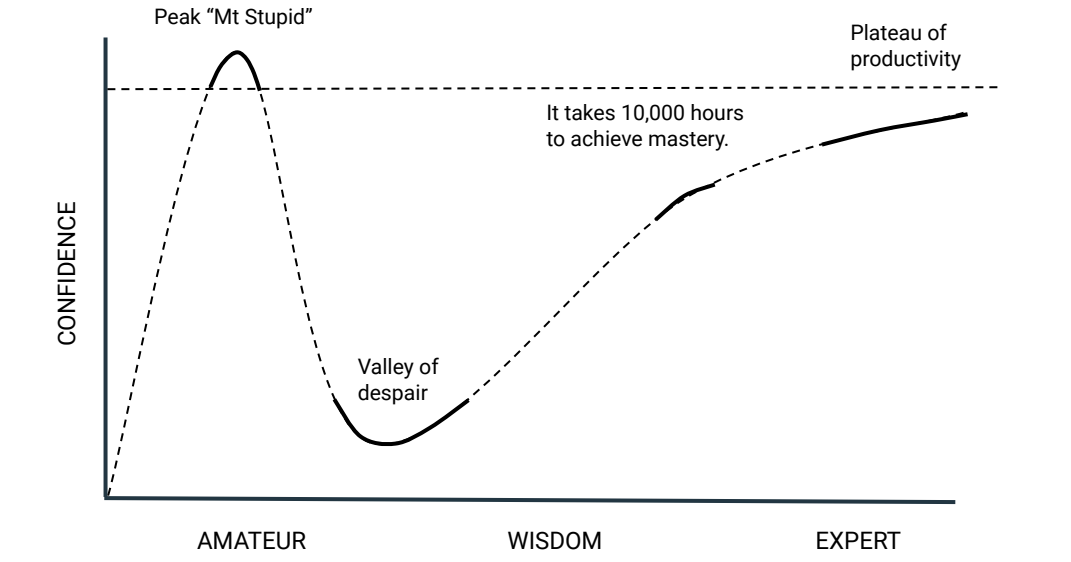
Although every customer conversation is different, there are common characteristics that are clear indicators of a successful interaction through any style of communication (e.g., email, phone call, or in-person).

Without a blueprint, many coaching conversations are guided by the coach's previous experience, making the feedback subjective and unactionable. By working from a blueprint, both sales professionals and managers can provide objective feedback, free from prejudice and ego. This turns a previously "artful" process into something scientific and data-driven.

The Dunning-Kruger Effect

Coaching is critical to improvement. The Dunning-Kruger Effect, first published in 1999, suggests that poor performers are not able to recognize shortcomings in their performance because of their inability to recognize nuance like a true expert. In fact, amateurs are often more confident than experts in their ability to perform a given task. For example, over 80% of drivers self-categorize as "above average" when statistically this is impossible. A blueprint is an example of the fundamental skills that go into a framework, along with some clarity on why the framework exists and what you can do to improve upon it.

FIGURE G3 ***Amateurs typically overestimate their ability above expert level.***



All professionals are susceptible to the Dunning-Kruger Effect. As one becomes more experienced and competent at a given task, their wisdom usually leads to the realization that there is more to learn—even things they don't know that they don't know. The best way to avoid overestimating your ability is by having an expert review your work, in real time or through video recording, and getting structural feedback based on a repeatable process.

Pillar 6: Consistent Commitment and Accountability

The biggest barrier to having an impactful conversation is the lack of a safe environment where sales professionals and managers can provide the feedback required to improve performance. Feedback should be honest, transparent, and delivered in a professional manner that doesn't feel like an attack. This builds trust and requires a thoughtful approach where both parties feel respected and invested. Leveraging blueprints to enable feedback that's focused on process and execution, rather than subjective experience, can rapidly accelerate the adoption of a coaching culture. Trust is something that is earned over time by consistently completing your commitments—for example, by arriving on time and prepared for 1:1s and coaching sessions.

Conclusion: Transform to GTM Through a Culture of Coaching

In today's dynamic and ever-evolving landscape, traditional management practices are no longer sufficient for achieving consistent results. This 6 pillar framework is aimed at building a robust coaching culture within GTM organizations. These pillars serve as cornerstones that encourage continuous learning, align motivations, and foster accountability. By adopting these foundational elements, managers can shift from a transactional focus to a transformational one and move beyond mere outcome management to actually equip sales professionals with the skills, mindset, and environment they need for long-term success. In doing so, we not only elevate individual performance, we create a culture where continuous improvement becomes an organizational habit. Adopting these 6 pillars leads to more effective GTM teams, but it also contributes to individual and organizational growth, which sets the stage for sustainable success in an increasingly complex environment.

ANNEX H. THE ART OF CONVERSING AT HIGH VELOCITY

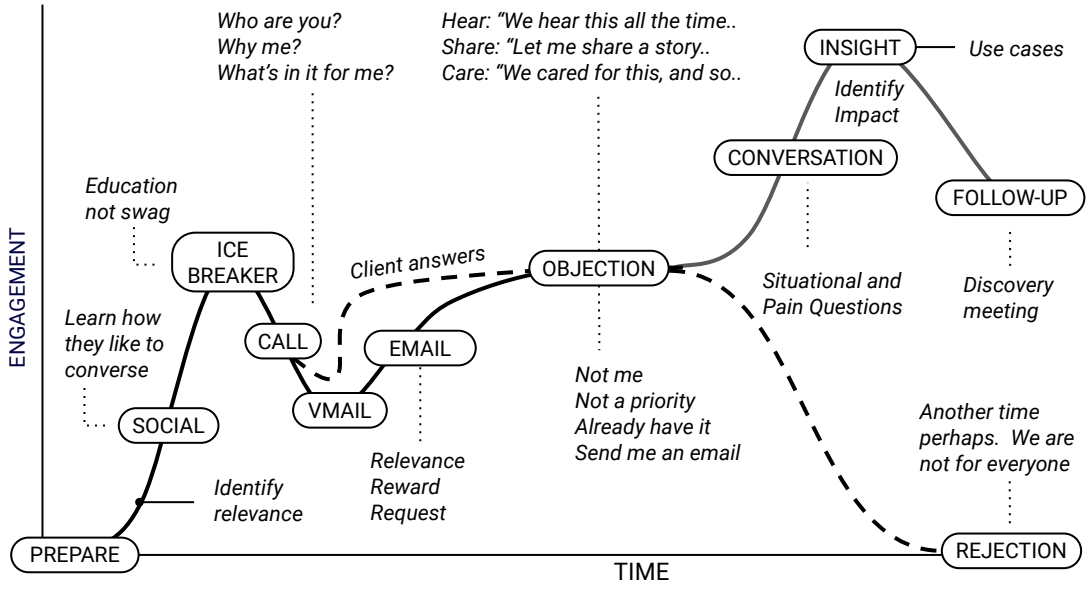
One of the first skills taught to all salespeople is qualification. It involves determining whether a person representing a company with specific characteristics—such as size, market, and intent to purchase—qualifies to continue in the sales process.

In the days when teams sold IBM mainframe computers, this approach made a lot of sense. Mainframes were scarce and in high demand, and selling them involved tens of thousands of dollars and the utilization of specialized resources like engineers and architects for integration into the customer's infrastructure. Sales teams used a defined set of questions to gauge the customer's commitment and, based on their answers, decided whether the deal was a priority for the seller.

In today's world, however, SaaS solutions can be integrated into a cloud platform with just a single click or by providing a login via email. Outdated qualification methods designed for multimillion-dollar products do not apply to high-velocity sales, where the client has multiple options and budget constraints are generally not an issue.

Instead of qualification, we recommend focusing on the fundamental skill of conversation to establish the impact the customer aims to achieve and to ascertain whether it's genuinely a priority for them. The framework for teaching these conversation skills is built on an easy-to-remember acronym: TALKER.

FIGURE H1 ***TALKER, a conversation technique that can be applied to any customer conversation.***

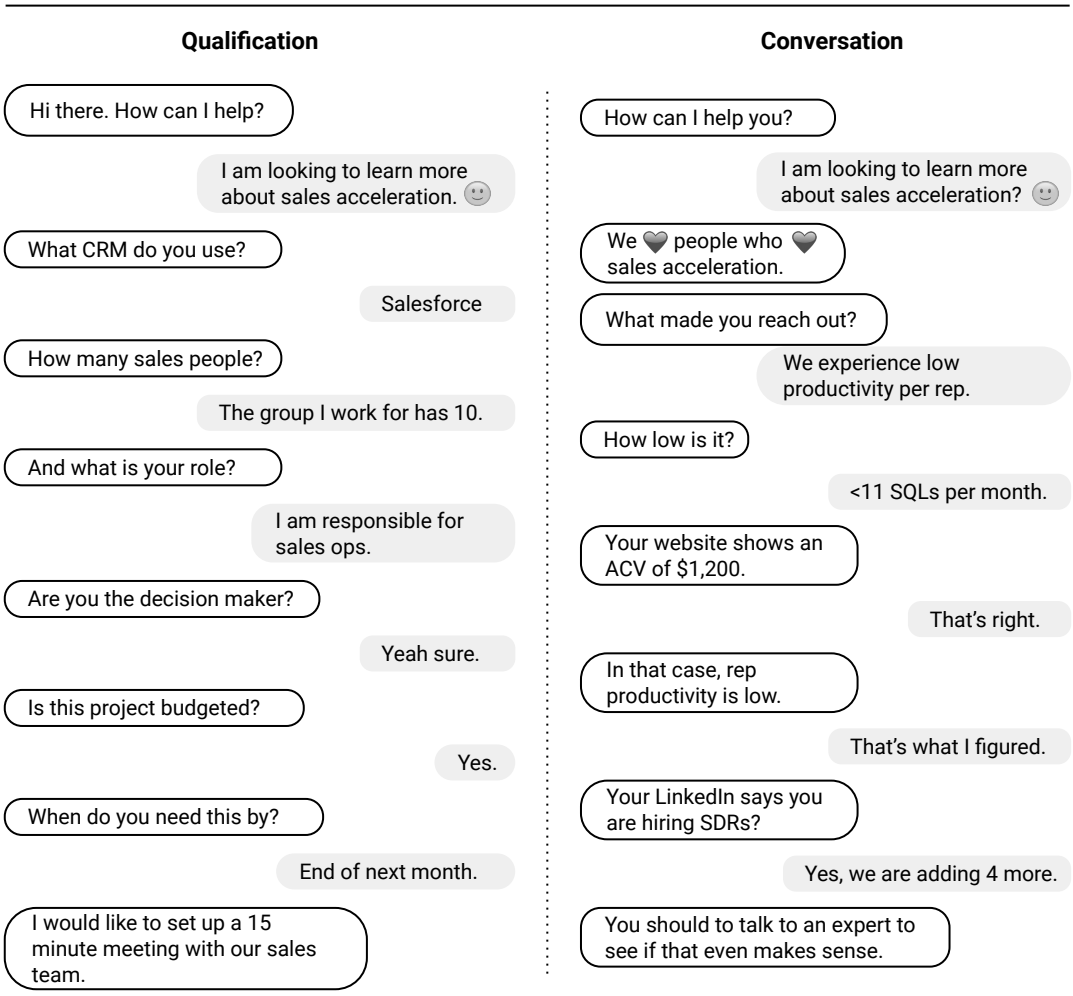


How to Have a Sincere Conversation

- **(T)one of voice:** Consider not just the tone when speaking on a call but also the use of emoticons in chats and emails. One key element to focus on is speed; for example, avoid talking too fast in person but aim to respond quickly in chat sessions.
- **(A)sk questions:** Master both closed- and open-ended questions, and learn to ask diagnostic questions, much like a doctor would.
- **(L)isten actively:** Tune into patterns in the customer's words, tone, and emotional state. Learn to recognize emotionally charged words.
- **(K)eep accurate but brief notes:** Differentiate between Situation, Pain, and Impact while identifying causality.
- **(E)laborate:** Follow the conversation thread, teasing out both Pain and Impact.
- **(R)epeat:** Echo what you've heard to show that you're paying attention and to ensure you understand what is being said.

A conversation is a natural, human interaction. It connects you emotionally with the prospect and further allows you to uncover the real, pressing issues. It's the moment when a hypothesis about customer impact can be confirmed or refuted by a trained professional.

FIGURE H2 ***Example of a live chat with a client who came to your website to learn more.***



After such a conversation, you should clearly understand whether and how your product can impact the customer's business. More importantly, you probably managed the conversation to allow the customer to verbalize the problem and envision a potential solution for themselves. TALKER can be applied in various contexts to initiate conversations, from emails to phone calls to social interactions.

ABBREVIATIONS

4IR	Fourth Industrial Revolution
ABM	Account-Based Marketing
ACV	Annual Contract Value
AE	Account Executive
AI	Artificial Intelligence
AM	Account Manager
ATS	Applicant Tracking System
ARR	Annual Recurring Revenue
AWS	Amazon Web Services
B2B	Business to Business
B2C	Business to Consumer
BANT	Budget, Authority, Need, Timeline
BDR	Business Development Representative
CAB	Customer Advisory Board
CAC	Customer Acquisition Cost
CAGR	Compound Annual Growth Rate
CCO	Chief Customer Officer
CE	Critical Event
CET	Critical Event Timeline
CLG	Customer Led Growth
CMGR	Compound Monthly Growth Rate
CMO	Chief Marketing Officer
CPC	Cost per click
CR	Conversion Rate
CRM	Customer Relationship Management
CRO	Chief Revenue Officer
CS	Customer Success
CSM	Customer Success Manager
CTS	Cost to Serve
CE	Critical Event
CEO	Chief Executive Officer
COGS	Costs of Goods Sold
CCO	Chief Customer Officer
DAU	Daily Active Users
DEMO	Demonstration
ERP	Enterprise Resource Planning
F500	Fortune 500
FCF	Free Cash Flow
FOMO	Fear Of Missing Out
FOMU	Fear Of Messing Up
FOFO	Fear Of Finding Out
FP&A	Financial Planning & Analysis
GAAP	Generally Accepted Accounting Principles
GR	Growth Rate

GRR Gross Revenue Retention

GTM Go-To-Market

GTMF GTM Fit

I Impact

ICE Impact and Critical Event

ICP Ideal Customer Profile

IO Insertion Order

IPO Initial Public Offering

IRL In Real Life

IRR Internal Rate of Return

ISR Inside Sales Rep

KPI Key Performance Indicator

L2O Lead to Opportunity

LTV Lifetime Value of a customer

MAS Marketing Automation System

MAU Monthly Active Users

MCGR Monthly Compound Growth Rate

MDR Marketing Development Representative

MEDDIC Metrics, Economic Buyer, Decision Criteria, Decision Process, Identify Pain, Champion

ML Machine Learning

MM Mid Market

MQA Marketing Qualified Accounts

MQL Marketing Qualified Lead

MRR Monthly Recurring Revenue

MTM Moment That Matters

NPS Net Promoter Score

NRR Net Revenue Retention

Oppty Opportunity

OTC Opportunity to Close

OTE On-target Earnings

ORG Organization

OS Operating System

PE Private Equity

PLG Product Led Growth

PLS Product Led Sales

PMF Product Market Fit

POC Proof of Concept

PPC Pay-per-click

PQL Product Qualified Lead

QBR Quarterly Business Review

R40 Rule of 40

RFP Request for Proposal

RFQ Request for Quotation

ROI Return on Investment

ROM Recurring Revenue Operating Model

SaaS Software as a Service

SAL Sales Accepted Lead

SEM Search Engine Marketing

SDR Sales Development Representative

SEO Search Engine Optimization

SLG Sales Led Growth

SMB Small to Medium Business

SQL Sales Qualified Lead, same as Opportunity

T2D3 Triple Triple Double Double Double

TAM Total Available Market

TOFU Top Of The Funnel

TQM Total Quality Management

TTV Time to Value

USB Universal Serial Bus

VAR Value-Added Reseller

VC Venture Capitalist

VM Volume Metric

VP Vice President

VSB Very Small Business (emerging) segment

WAU Weekly Active Users

WR Win ratio

BIBLIOGRAPHY

Adams, D. J. (2007). *Building Trust, Growing Sales: How to Master Complex High-End Sales.*

Agrawal, N. (2015). *The SaaS Adventure.*

Andreessen, M. (2011). *Why Software is Eating the World.*

Beaubien, R., & Parrish, S. (2019). *The Great Mental Models series.*

BetterCloud. (n.d.). Average Number of Software as a Service (SaaS) Applications Used by Organizations Worldwide from 2015 to 2022.

Boyce, D. (2023). *Product that Sells Itself: An Executive-level Primer on Product-led Growth.*

Brailsford (Sir), D. (2015). *Core Principle and Marginal Gains.* YouTube.

Buffett, W. (2001). *Berkshire Hathaway Chairman's Letter.*

Behavior Shifts. The Wall Street Journal.

Cespedes, F. V. (2014). *Aligning Strategy and Sales: The Choices, Systems, and Behaviors that Drive Effective Selling.* Harvard Business Review Press.

Cespedes, F. V., & van der Kooij, J.J. (2016). *Hiring Star Sales People Isn't the Best Way To Grow.* Harvard Business Review.

Cespedes, F. V., & van der Kooij, J.J. (2023). *The Rebirth of Software as a Service.* Harvard Business Review.

Chin, K. (2021). DocuSign Shares Fall More Than 40% as Customer Behavior Shifts. *The Wall Street Journal.*

DataDog. (2023). *Quarterly Results, Fourth Quarter 2023.*

Deming, W. E. (1982). *Out of The Crisis: 14 Points for Management.* MIT Center for Advanced Engineering Study.

Deming, W. E. (2018). *The New Economics for Industry, Government, Education, 3rd edition.*

Dixon, M., & Adamson, B. (2011). *The Challenger Sale: Taking Control of the Customer Conversation.* Portfolio/Penguin.

Dixon, M., & McKenna, T. (2022). *The JOLT Effect: How High Performers Overcome Customer Indecision.*

Dunning, D., & Kruger, J. (1999). *The Dunning-Kruger Effect.* Journal of Personality and Social Psychology.

Dunkel, D., McMahon, J., & Napoli, J. (1996). *MEDDIC Sales Methodology.*

Heath, C., & Heath, D. (2017). *The Power of Moments: Why Certain Experiences Have Extraordinary Impact.*

Höök, M., Li, J., Oba, N., & Snowden, S. (2012). *Descriptive and Predictive Growth Curves in Energy System Analysis.*

Howarth, J. (2023). *How Many People Own Smartphones?* [Publication Source Not Provided]

Izosimov A.V., (2008). *Managing Hypergrowth.* Harvard Business Review.

Johnson, C. H. (2022). *Scaling People: Tactics for Management and Company Building.* Stripe Press.

Junger, S. (2016). *Tribe: On Homecoming and Belonging.* Grand Central Publishing.

Kajanus, S. (2020). *Types of Growth and How to Show Them.*

Kastrenakes, J. (2022). *Netflix Raises Prices on All Plans in the US.* Forbes.

Khalsa, M., & Illig, R. (2008). *Let's Get Real or Let's Not Play: Transforming the Buyer/Seller Relationship.*

Knaflic, C. N. *Storytelling with Data: A Data Visualization Guide for Business Professionals.* Wiley.

Lee, D. (2023). *Reddit Made the Mistake of Ignoring Its Core Users.* The Washington Post.

Lewis, E. S. E. (1898). *The New Thought in Advertising.*

Lewis, M. (2003). *Moneyball: The Art of Winning an Unfair Game.* W. W. Norton & Company.

McJannet, D. (2022). *CEO Systems: 5 Lessons Learned from Scaling at Every Growth Phase with HashiCorp CEO Dave McJannet.* SaaStr.

MacDonald, D., & Nadel, I. (2008). *Golden Gate Bridge: History and Design of an Icon.* Chronicle Books.

Millard, S. (2023). *From $1 to $100m Revenue: Scaling VC Backed SaaS with Notion Capital.* Notion Capital.

Mubeen, J. *Mathematical Intelligence: A Story of Human Superiority Over Machines.* Pegasus Books.

Nahm, T. H., & Tinker, B. (2018). *Survival to Thrival: Building the Enterprise Startup.* April 16, 2018. Mascot Books.

Page, S. E. (2018). *The Model Thinker: What You Need to Know to Make Data Work for You.* Basic Books.

Parrish, S. (2022). *Chesterton's Fence: A Lesson in Second Order Thinking.* Farnham Street Blog.

Pink, D. (2012). *To Sell Is Human: The Surprising Truth about Moving Others.* Riverhead Books.

Rackham, N. (1995). *SPIN Selling.* McGraw-Hill.

Reason, J. (2000). *Human Error: Models and Management.* National Institute of Health.

Roberge, M. *The Sales Acceleration Formula: Using Data, Technology, and Inbound Selling to Go from $0 to $100 Million.* Gildan Media.

Rubin, R. (2023). *The Creative Act: A Way of Being.* Penguin Press.

SaaS Capital Index. (n.d.). *Performance of SaaS Companies Over Time, Normalized Against January 2012.*

Sacks, D. (2020). *The Burn Multiple.*

Sandler, D. (1967). *Sandler Selling System.*

Skok, D. (2010). *How Sales Complexity Impacts Your Startup's Viability.*

Skok, M. (2009). *Chess Metaphors: Artificial Intelligence and the Human Mind.*

Szkutak, R. (2022). *Record-Setting Venture Capital Market Shows off a Slowdown.* Forbes.

Taylor, F. W. (1910). *The Principles of Scientific Management.* Harper & Brothers.

The Farnam Street. (2019). *The Great Mental Models Volume 1: General Thinking Concepts.* Latticework Publishing Inc.

The Farnam Street. (2021). *The Great Mental Models Volume 3: Systems and Mathematics.* Latticework Publishing Inc.

Van der Kooij, J. J. (2016). *Blueprints for a SaaS Sales Organization: How to Design, Build, and Scale a Customer-Centric Sales Organization.* Winning by Design.

Van der Kooij, J. J. (2018). *The SaaS Sales Method: Sales as a Science.* Winning by Design.

Vonnegut, K. (1995). *The Shape of Stories.* UC Berkeley.

Voss, C. (2016). *Never Split the Difference,* Negotiating as if Your Life Depended on It. Harper Business.

Walsh, B. (1998), Finding the Winning Edge, Sports Publishing Inc. Illinois.

Woodlock, D. (2009). *Intro to System Dynamics [YouTube series].* December 18, 2009. Youtube.

Yeh, C., & Hoffman, R. (2018). *Blitzscaling: The Lightning-Fast Path to Building Massively Valuable.* Crown Currency.